

Registration document
and annual financial report 2017



BANQUE ET CITOYENNE

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Annual Financial Report items are clearly
identified in the Contents by the pictogram 

La Banque Postale Group

Registration Document and Annual financial report

2017



Only the French version of the Registration document has been submitted to the AMF ; it is therefore the only version that is binding in law. The original document was submitted to the French Financial Markets Authority (AMF) on 16 March 2018 in accordance with Article 212-13 of its General Regulations. It may be used in support of a financial transaction only if supplemented by a Transaction Note approved by the AMF. This document was prepared by the issuer and its signatories are liable for its content.

The English language of this report is a free translation from the original, which was prepared in French. All possible care has been taken to ensure that this translation is an accurate presentation of the original. However, in all matters of interpretation, views or opinion expressed in the original language version of the document in French take precedence over the translation.

Pursuant to Article 28 of EC Regulation 809/2004 of 29 April 2004, the following documents have been incorporated by reference into this Registration Document:

- ▶ the consolidated financial statements for the financial year ended 31 December 2016, together with the related statutory auditors' report, presented respectively on pages 157 to 200 and pages 201-202 of Registration Document No. D.17-0164 registered with the French Financial Markets Authority on 14 March 2017;
- ▶ the consolidated financial statements for the financial year ended 31 December 2015, together with the related statutory auditors' report, presented respectively on pages 113 to 171 and pages 172-173 of Registration Document No. D.16-0147 registered with the French Financial Markets Authority on 16 March 2016.

These documents are available at the Company's registered office at 115, rue de Sèvres – 75275 Paris Cedex 06, France, as well as on its website www.labanquepostale.com.

INTRODUCTION

Company name and trading name

The name of the Company is: "La Banque Postale", herein called La Banque Postale.

Legal form - Applicable legislation

Limited Company with Executive and Supervisory Boards

The Company is governed by current laws and regulations, and specifically by:

- ▶ the provisions of the French Commercial Code regarding commercial companies;
- ▶ the provisions of the French Monetary and Financial Code regarding credit institutions;
- ▶ the provisions of law No. 2005-516 of 20 May 2005 regarding the regularisation of the Post Office business;
- ▶ the provisions of order No. 2014-948 of 20 August 2014 regarding governance and transactions involving the share capital of companies with public shareholdings.

Place of registration and registration number – Date of incorporation – Country of origin

The Company was registered with the Paris Trade and Companies Registry under number 421 100 645 on 10 December 1998.

Country of origin: France

Registered share capital amount

The share capital is set at four billion forty-six million four hundred and seven thousand five hundred and ninety-five euros (€4,046,407,595). It is divided into thirty-five million one hundred and eighty-six thousand one hundred and fifty-three (35,186,153) fully paid-up shares of a single class.

Duration of the Company

The duration of the Company is 99 years from the date of its registration with the Trade and Companies Registry (i.e. 10 December 1998), except in the event of dissolution or extension decided by the Extraordinary General Meeting.

Registered office

The Company's registered office is at 115 rue de Sèvres – 75275 Paris Cedex 06, France.

The telephone number for the registered office is +33(0) 1 57 75 60 00.

PRESENTATION OF LA BANQUE POSTALE GROUP

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1.1 KEY FIGURES

La Banque Postale, a limited company with Executive and Supervisory Boards, is the parent company of La Banque Postale Group.

A bank that works in the best interest of the community at large, it shares La Poste's values of trust, accessibility and local presence, endowing it from the start with an original and unique positioning on the French market. Its approach is driven by an offer based on low service rates, access for all customers and a simple product range that focuses on customer needs.

As at 31 December 2017, La Banque Postale had:

- ▶ 10.5 million individual customers;
- ▶ 11.2 million deposit accounts;
- ▶ 9,426 advisors and customer managers;
- ▶ 728 advisors specialised in real estate, 903 specialist financial advisors and 52 wealth management advisors⁽¹⁾;
- ▶ 8.1 million bank cards and 7,800 ATMs.

Key consolidated figures (reported data)

(€ million)	2013	2014	2015	2016	2017
Net Banking Income	5,539	5,673	5,745	5,602	5,687
Management fees ⁽¹⁾	4,685	4,672	4,693	4,587	4,619
Gross operating income	854	1,001	1,052	1,015	1,068
Cost of risk	154	163	181	181	192
Net income, Group share	579	677	707	694	764
Balance sheet total (in billions of euros)	200	213	219	230	231
Cost-to-income ratio ⁽²⁾	84.9 %	82.7 %	82.1 %	82.4 %	81.8 %

(1) Management fees = general operating expenses + net depreciation, amortisation and impairments of tangible and intangible assets.

(2) Cost-to-income ratio = management fees / (net banking income - doubtful interest).

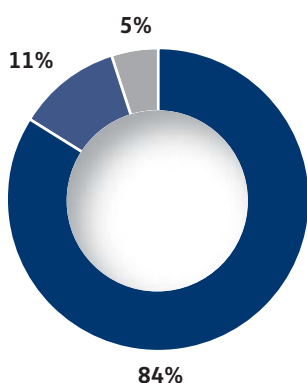
La Banque Postale Group's business is focused on Retail Banking activities in France. It is organised around three business divisions:

- ▶ Retail Banking, its core business, mainly focused on individual customers, and extended to corporate customers in 2011 and local authorities in 2012;
- ▶ insurance, undertaken by the life insurance, provident, property and casualty, and health subsidiaries;
- ▶ asset management, undertaken by the asset management subsidiaries.

BUSINESS LINE CONTRIBUTIONS TO NBI AND NET INCOME, GROUP SHARE, IN 2017

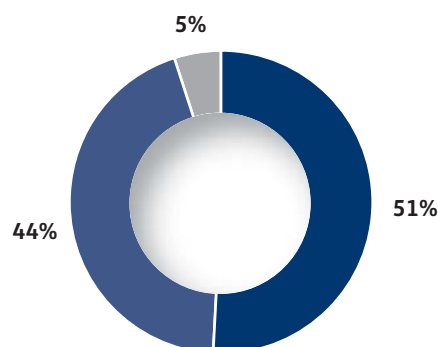
The breakdown of net income includes the contribution of CNP Assurances to the Insurance business income.

CONTRIBUTIONS TO NBI



- Retail Banking
- Insurance
- Asset management

CONTRIBUTIONS TO NET INCOME



- Retail Banking
- Insurance
- Asset management

(1) 2017 average.

Financial structure

La Banque Postale Group has a financial structure characterised by sound solvency ratios and comfortable liquidity ratios.

	2017	2016	2017/2016 change	
			by amount	in %
Balance sheet total (in billions of euros)	231	230	+1	+0.4%
Common Equity Tier 1 ratio ⁽¹⁾	13.1%	13.7%	-	-60 bps
Loan to deposit ratio ⁽²⁾	81.3%	74.4%	-	690 bps

(1) Ratio of CET1 regulatory capital amounts and risk-weighted assets.

CET1 ratio with application of transitory measures (the fully loaded ratio was 13.4% at 31 December 2017).

(2) Ratio of loans and deposits excluding savings outstandings centralised at the CDC.

Rating

La Banque Postale enjoyed good credit ratings at 31 December 2017, reflecting its financial strength and its rigorous risk management:

	Standard & Poor's	Fitch
Long-term ratings	A	A-
Outlook	Stable	Stable
Date updated	5 October 2017	25 April 2017
Short-term rating	A-1	F1

In 2017, the annual rating review by Fitch and Standard & Poor's did not result in any change. For Fitch, the intrinsic rating remained A-. For Standard & Poor's, the intrinsic rating remained BBB+.

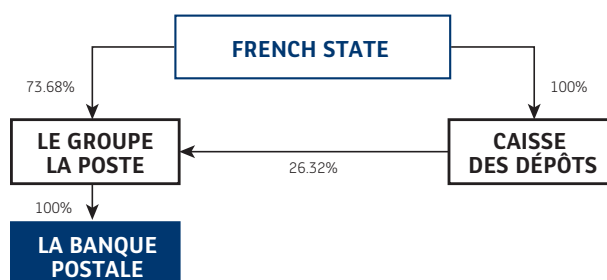
1.2 GROUP SHAREHOLDING

1.2.1 Shareholding

Le Groupe La Poste owns all of La Banque Postale's equity capital and voting rights, except for the eight shares held by the Directors. There are no employee shareholders.

Article 1 of law No. 2010-123 of 9 February 2010 provides that La Poste's share capital shall be held by the French State and by other Government bodies, except for any capital that may be held under employee ownership schemes.

La Poste is controlled by the French State, 73.68% directly and 26.32% through the Caisse des dépôts et consignations.



1.2.2 Changes in the share capital

In 2013, the share capital was increased to €3,413,734,750 following a capital increase via the contribution of La Banque Postale's head office. In 2014, the share capital was increased to €4,046,407,595

following a further capital increase. No further change in the share capital took place in 2015, 2016 and 2017.

(€ million)	2013	2014	2015	2016	2017
Number of shares	29,684,650	35,186,153	35,186,153	35,186,153	35,186,153
Share capital (€)	3,413,734,750	4,046,407,595	4,046,407,595	4,046,407,595	4,046,407,595
La Poste holding	100%	100%	100%	100% ⁽¹⁾	100% ⁽¹⁾

(1) With the exception of one-share loans to Supervisory Board members.

The shares that make up the share capital have not been pledged.

1.2.3 Dividend policy

The dividend distribution policy is set by agreement with the shareholder, and is decided by the General meeting, on the Executive Board's recommendation.

The dividends distributed are as follows:

(€ million)	2013	2014	2015	2016	2017
Dividend per share	8.78	8.66	9.04	8.87	9.77 ⁽¹⁾
Distribution (€ million)	261	305	318	312	343 ⁽¹⁾

(1) With the exception of one-share loans to Supervisory Board members.

The shares that make up the share capital have not been pledged.

1.2.4 Shareholder relations

Pursuant to Article 16 of law No. 2005-516 of 20 May 2005, and to its enactment decree of 30 August 2005, La Poste, a Public and Commercial company, transferred all the assets, rights and obligations relating to its Financial Services to La Banque Postale, with effect from 31 December 2005. Equity interests were included in the transfer, with the exception, where appropriate, of those required by La Poste for its directly managed businesses. As a result of these transactions, La Poste holds all the capital of La Banque Postale (except for the shares held by the members of the Supervisory Board, which amount to less than 0.01% of the capital).

The aforementioned Article 16 expressly provides that La Poste must own a majority interest in the Bank's capital.

The relationship between La Poste and La Banque Postale is very close. It operates both at governance and management body level, and in the companies' industrial and commercial dealings. As a result, the Executive Board Chairman of La Banque Postale is also Executive Vice-President of La Poste and a member of its Executive Committee. The La Banque Postale Supervisory Board comprises six members of Le Groupe La Poste, some of whom belong to the Board Committees. The Chairman of La Poste is also the Chairman of the Supervisory Board of La Banque Postale.

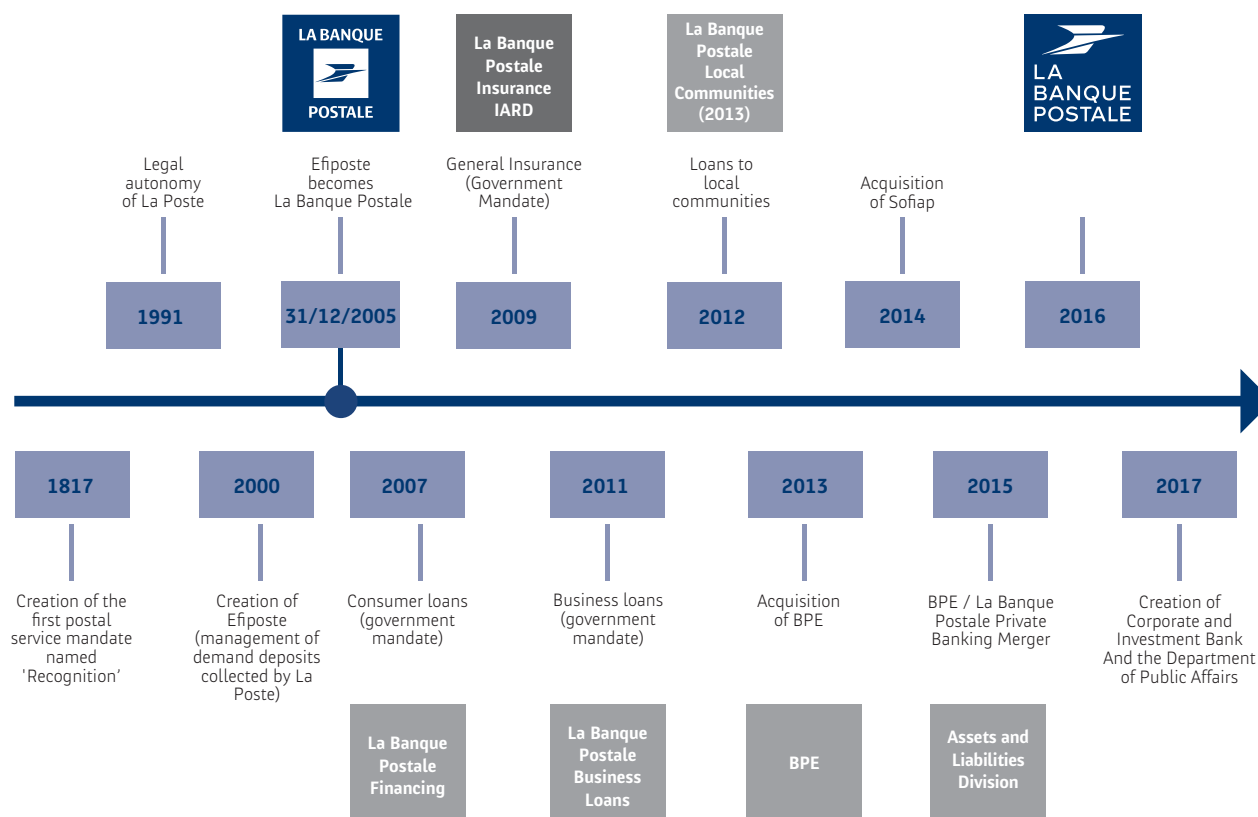
La Poste is La Banque Postale's main service provider, and La Banque Postale uses La Poste's resources to conduct its business. Various agreements have been reached between La Poste and La Banque Postale in this respect, and pursuant to Article 16 of law No. 2005-516 of 20 May 2005. The main agreements have been authorised by the La Banque Postale Supervisory Board. These agreements are regularly updated, depending on the trends observed and presented to the Supervisory Board.

As a subsidiary of Le Groupe La Poste, La Banque Postale must obtain prior authorisation from the Board of Directors of La Poste to carry out certain transactions such as acquisitions, investments, disposals of assets, strategic partnership transactions, and other significant investments and divestments. The Bank must request prior authorisation for any borrowing made by it which has a significant impact on the consolidated balance sheet of Le Groupe La Poste.

Lastly, La Banque Postale is La Poste's main banker.

As well as its close relationship with its parent company, La Banque Postale is in frequent contact with the French Government Holdings Agency (APE), which is regularly informed of the Bank's strategic direction.

1.3 HISTORY



A bank that works in the best interest of the community at large, it shares La Poste's values of trust, accessibility and local presence, endowing it from the start with an unusual and unique positioning on the French market. Beyond its accessibility mission, its policy consists in providing simple products based on customer needs, reasonable service prices and accessibility for all customers.

As the successor to La Poste Financial Services, La Banque Postale was established on 31 December 2005, via the legal transformation of Efposte, an investment company established in 2000 to provide financial management for La Poste's demand deposit outstandings, and which wanted to establish a banking subsidiary able to carry in its balance sheet all customer deposits and loans. Pursuant to Article 16 of law No. 2005-516 of 20 May 2005, and to its enactment decree of 30 August 2005, La Poste, a Public and Commercial Company, transferred all the assets, rights and obligations relating to its Financial Services to La Banque Postale, with effect from

31 December 2005. Equity interests were included in the transfer, with the exception, where appropriate, of those required by La Poste for its directly managed businesses. As a result of these transactions, La Poste holds all the capital of La Banque Postale (except for the shares held by the members of the Supervisory Board, which amount to less than 0.001% of the capital).

La Banque Postale has a distinguishing feature arising from the public service missions of its sole shareholder, La Poste, which is the obligation to open a Livret A account free of charge for any person who requests it. As part of this mission, it authorises payment transactions to Livret A accounts relating to social security benefits and to civil servants' pensions, as well as direct debits relating to the payment of taxes and duties, water, gas, and electricity bills, and subsidised housing rents. Finally, La Banque Postale is the only bank which authorises withdrawals from and deposits to Livret A accounts starting at €1.50.

Since its creation, and in line with its certification, La Banque Postale has extended its product range from home loans with no prior savings requirement (in 2006), to consumer loans (in 2007), to property and casualty insurance (in 2009), to financing products and services for legal entities (in 2011) to financing products for local authorities (in 2012).

Since this date, La Banque Postale has offered the full range of Retail Banking products and services, and is continuing its development through new acquisitions and the implementation or strengthening of partnerships.

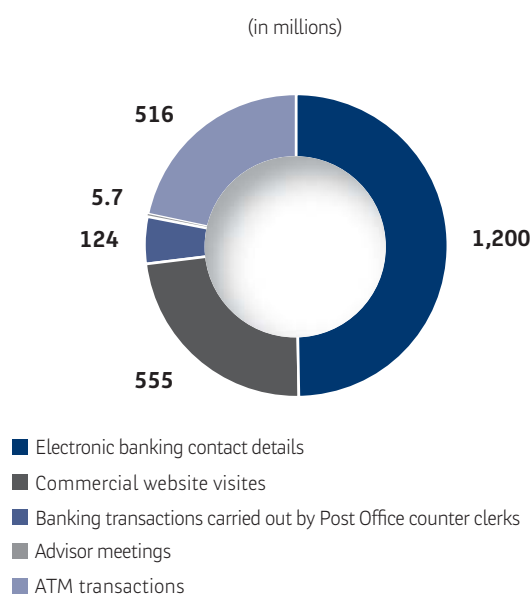
La Banque Postale completed its full-service product range in 2017 with the creation of the Banque de Financement et d'Investissement (the latter handles financial market transactions, structured financing and asset and project financing).

In addition, during the year, La Banque Postale's governance was extended and strengthened with the arrival of a new General Secretary, who sits on the Executive Board. The Bank also added a department of Public Affairs responsible for market relations with the regulatory and supervisory authorities of the Bank/Insurance/Asset Management sectors.

1.4 A MULTI-CHANNEL BANK

La Banque Postale has a proximity relationship with its customers thanks to its multi-channel relationship system which enables each customer to select the way in which they deal with the Bank and to stay in touch no matter where they are and regardless of their needs: internet, mobile internet, telephone, mail, post office.

NUMBER AND TYPE OF CONTACTS WITH LA BANQUE



The banking relationship La Banque Postale maintains with its customers is built on and backed by its physical distribution network which covers all of France: over 9,000 customer advisors and managers work for customers in over 8,400 post offices. La Banque Postale also relies on a network of over 7,800 automatic teller machines which processed over 516 million transactions in 2017.

In addition, the banking relationship is based on a number of telephone-based systems, including:

- ▶ over 3,000 employees working in Financial Centres dedicated to transaction processing and customer relations. La Banque Postale has 23 Financial Centres (19 in metropolitan France and four overseas) including two national Financial Centres with special expertise⁽¹⁾. One example is the National Customer Introduction Centre which, since 2009, has been providing a dedicated solution for customers and prospective customers who want to find out about the Bank and its products;
- ▶ on the three specialised platforms of the La Banque Postale Financement, La Banque Postale IARD and La Banque Postale Assurance Santé subsidiaries.
- ▶ single call number: 36 39⁽²⁾;

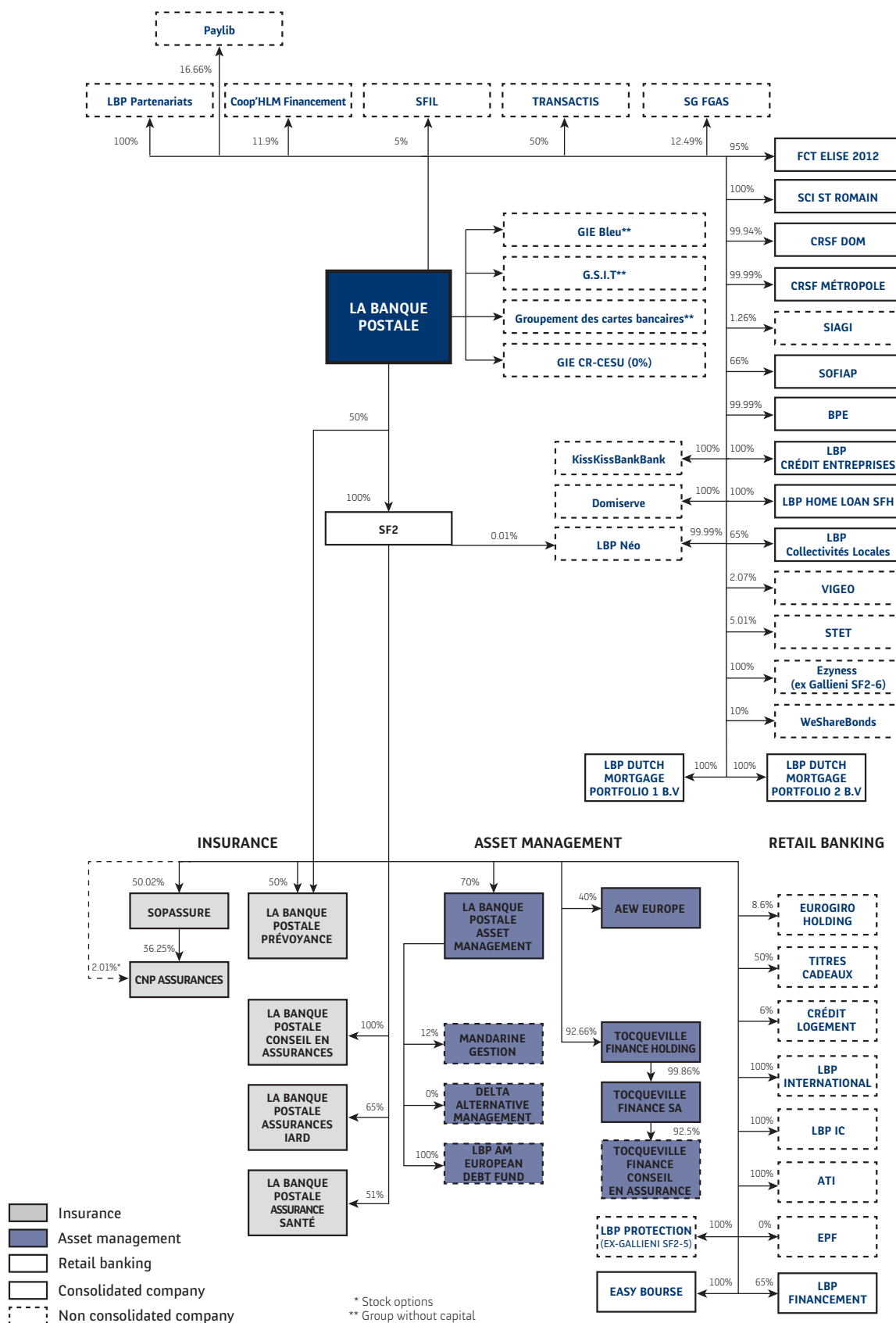
In addition, the website www.labanquepostale.fr, with 555 million monthly visits in 2017, is a major information, data collection and introduction channel.

A number of applications have been implemented to enrich digital contacts between customers and La Banque Postale (a tablet application in 2014 and a new mobile application in 2015). They allow customers to navigate in an identical world regardless of the device used for consultation. Today, 53% of active customers use online services and over 81% of online banking users have their main bank account at La Banque Postale. Lastly, La Banque Postale customers have the option of a full-service remote banking relationship using La Banque Postale Chez Soi. The six La Banque Postale Chez Soi (LBPCS) branches offer customers a 100% remote advice service (chat, video, telephone, email) enabling them to access all of La Banque Postale products at the same rate as the other relationship channels, as well as enabling fully independent money management and guidance by a dedicated team of advisors. At 31 December 2017, 108,000 customers use this service.

(1) Introduction, transferable securities, insurance and home, loans, money orders and optical payments, and electronic money.

(2) €0.15, including taxes, per minute + potential surcharge depending on the service provider.

1.5 GROUP ORGANISATION



The organisational chart shown does not include entities to be sold or consolidated entities in which the holding is below a 2% threshold (except for SIAGI, which is shown historically).

1.5.1 Organisational structure

La Banque Postale's structure was inherited from La Poste's Financial Services organisational chart. It includes:

- ▶ La Banque Postale, parent company of the Group to which the activities of La Poste's Financial Services were migrated. It is at the heart of the Retail Banking activity and holds the most recent acquisitions;
- ▶ SF2, a holding with 26 subsidiaries and equity interests (with the exception of entities held directly) created during the time of La Poste's Financial Services and acquired by La Banque Postale at its creation in 2005. At that time, SF2 held most of the Insurance and Asset Management subsidiaries.

Operational relations with Le Groupe La Poste

Wholly owned by La Poste, La Banque Postale is both a customer (for mail, parcel, network and other services) and a supplier (as its principal bank) to the Group. La Poste acts as a service provider, supplying staff who act on behalf of La Banque Postale.

Relations between La Banque Postale and La Poste are conducted within the framework of service agreements as provided for by law No. 2005-516 of 20 May 2005 concerning the regulation of post office business activities (Article 16). This arrangement comprises a Framework Agreement which establishes the general and responsibility principles between La Poste and La Banque Postale. The Agreement has 14 implementing conventions divided into the following five areas:

- ▶ information technology and telecommunications;
- ▶ employee support and accommodation;
- ▶ counters, ATMs and commercial distribution;
- ▶ controls, risks, compliance, combating money laundering and terrorism financing;
- ▶ support functions.

La Poste staff used by La Banque Postale implement the Bank's policies on its behalf. La Poste employees are authorised to act on the Bank's behalf, in accordance with specific rules necessary for conducting banking business. They primarily exercise the back and middle-office functions, IT support, and the banking, financial and insurance product sales force activities of La Banque Postale.

Over-the-counter services are performed by La Poste Network's Post Offices and are governed by agreements concerning the type of work to be carried out, its unit tariff in accordance with an economic model, the way it is carried out and quantitative and qualitative service criteria.

Organisation of La Banque Postale

La Banque Postale is organised as follows:

- ▶ 46 subsidiaries and strategic equity interests;
- ▶ resources provided by Le Groupe La Poste consisting of the distribution capability of La Poste Network's 17,000 retail outlets (including 8,400 of its own), a dedicated IT Department and the activity managed by 23 Financial Centres⁽¹⁾. Of these Financial Centres, two are national and have specific expertise⁽²⁾. They are responsible for handling customer requests, the administrative management of files, providing means of payment, processing correspondence and documents, and managing risk and fraud and remote product sales;
- ▶ three categories of players, present daily in the relationship the bank maintains with its customers:
 - the employees of La Banque Postale and its subsidiaries, i.e. nearly 4,681 employees hired directly and who are located throughout France,
 - the employees of La Poste's Financial Services⁽³⁾, i.e. 14,413 employees. These employees report to the Chairman of La Banque Postale's Executive Board, in his capacity as Executive Vice-President of La Poste responsible for Financial Services,
 - banking advisors and customer managers in post offices reporting to La Poste Network within the Ligne Conseil Bancaire and the ASBs⁽⁴⁾, i.e. 10,069 employees.

In all, more than 29,000 employees work for and on behalf of La Banque Postale⁽⁵⁾.

For more details on the employees, please refer to the section on "Social Indicators" in Chapter 6 "Corporate Social Responsibility".

(1) Introduction, transferable securities, insurance and home, loans, money orders and optical payments, and electronic money.

(2) 19 in metropolitan France and four overseas.

(3) Financial services include the Financial Centres, national centres (including the CNMR) and the IT Department of financial services and La Poste Network, DEDT SF and DSF.

(4) La Ligne Conseil Bancaire (LCB – Groupe La Poste employees who work under the name of and on behalf of the La Banque Postale). LCB functions are as follows: customer advisor, financial advisor, customer manager, specialised asset advisor, specialised real estate advisor, government-assisted housing loan advisor, housing loan advisor, Appui Soutien Bancaire (ASB) (banking assistance): bank sales monitor, youth leader, loan assistant, acquisitive prescription operations director and private client manager.

(5) Permanent, fixed-term and secondment contracts.

1.5.2 Partnerships

In order to broaden its business and skills portfolio, and in order to improve its coverage of customers' requirements, La Banque Postale has implemented a very active partnership policy that focuses primarily on the effective sharing of know-how, and on cost control, in accordance with the values that it embodies.

La Banque Postale's multi-partner policy is based on the pooling of expertise, technology, and tools, and on access to the customer base. Through these partnerships, La Banque Postale has been able to rapidly develop new business lines relying on the expertise of standard-setters in each field.

Insurance partnerships

La Banque Postale has developed a partnership strategy based on product and service offerings for:

- ▶ life insurance, based on the expertise of CNP Assurances. The distribution conditions for life insurance products are defined by a business agreement. In March 2016, CNP Assurances and La Banque Postale renewed their distribution partnership up to the end of 2025, with its scope being extended to include BPE, the private banking subsidiary, and a direct partnership in collective credit protection insurance for home loans was set up. Moreover, La Banque Postale consolidated 20.15%⁽¹⁾ of CNP Assurances;
- ▶ assurance prévoyance (provident insurance), by creating a company in 1998 which is held equally by CNP Assurances and La Poste, renamed La Banque Postale Prévoyance in 2007. In June 2016 and in the context of renewing its agreements with CNP Assurances, La Banque Postale acquired from CNP Assurances its 50% stake in La Banque Postale Prévoyance, bringing its holding to 100%;
- ▶ property and casualty insurance, by partnering with Groupama in 2009 in the La Banque Postale Assurances IARD subsidiary, 65% held by La Banque Postale;
- ▶ health care insurance, by entering into a partnership with La Mutuelle Générale in 2010 and the establishment of La Banque Postale Assurance Santé, originally 65% owned by La Banque Postale. The launch in 2015 of a new supplementary health product adapted to the requirements of VSEs/SMEs led to Malakoff Médéric entering the share capital of the subsidiary. La Banque Postale now holds 51% of La Banque Postale Assurance Santé, while Malakoff Médéric and La Mutuelle Générale respectively hold 14% and 35%. The development of the partnership with Malakoff Médéric in the insurance field is part of a larger partnership that also covers asset management.

For more details on the insurance business line, please refer to point "1.6.2. Insurance".

Partnerships in loans

La Banque Postale entered into several credit partnerships for:

- ▶ consumer credit, provided by La Banque Postale Financement, 65% owned by La Banque Postale and 35% by Franfinance, a subsidiary of Société Générale;
- ▶ credit to local authorities and hospitals. Established in 2013, La Banque Postale Collectivités Locales, 65% owned by La Banque Postale and 35% by Caisse des dépôts et consignations, offers services on loans granted by La Banque Postale to local authorities and hospitals. Eligible loans are refinanced by CAFFIL (Caisse Française de Financement Local), a company in which La Banque Postale (5%), Caisse des dépôts et consignations (20%) and the French State (75%) are shareholders;
- ▶ housing purchase assistance, notably via SOFIAP (66% held by La Banque Postale since 2014 and 34% by SNCF) which mainly provides mortgages to SNCF employees and, more recently, regulated mortgage loans to Gaz de France employees since the end of 2014.

Partnerships in asset management

La Banque Postale's asset management offering is managed by La Banque Postale Asset Management (LBPAM) subsidiary and its two partnership agreements:

- ▶ with Aegon Asset Management (in 2015), via an equity and industrial partnership which enables LBPAM to expand its skills, increasing its expertise and its institutional positioning. On this occasion, Aegon AM acquired a 25% minority stake in the capital of LBPAM;
- ▶ with Malakoff Médéric: with the merger of the LBPAM and Fédériss Gestion d'Actifs management companies. LBPAM has developed its business with mutual companies and broadened its product range, notably in SRI. This transaction took the form of a 100% contribution of capital and voting rights by Fédériss Gestion d'Actifs to LBPAM and a 5% equity stake by Malakoff Médéric in LBPAM's capital.

Lastly, in November 2016, La Banque Postale and Natixis finalised the merger of Ciloger and AEW Europe, their respective real estate asset management companies. This new entity created one of the leading real estate asset managers in Europe with over €27.7 billion in assets under management at the end of 2017. AEW Europe's capital is now 60% held by Natixis Global Asset Management and 40% by La Banque Postale.

For more details on the asset management business line, please refer to point "1.6.3 Asset management"

(1) 18.14% via Sopassure and 2.01% in call option.

Partnerships in the means of payment field

La Banque Postale's partnerships in means of payment cover the following activities:

- ▶ electronic money: in 2008, La Banque Postale and Société Générale created Transactis, a joint venture to pool the resources of the two partners to develop and operate electronic money information systems. Transactis processes all of La Banque Postale and Société Générale's transactions with merchants as well as all of the bearer flows of the two companies. In June 2016, the two organisations decided to create a new industrial partnership around this operating structure to provide Transactis with a shared computerised processing system for all of the transfers and direct debits of the two groups;
- ▶ internet payments: in 2013, BNP Paribas, La Banque Postale and Société Générale launched Paylib, a company offering a new, simple and secure solution for internet payments. Crédit Mutuel Arkéa joined the consortium in July 2014, followed by Le Crédit Agricole in November 2014. La Banque Postale owns a 20% stake in the Company.

Other partnerships

La Banque Postale's partnership policy also includes the following activities:

- ▶ multi-brand gift cards and vouchers managed by the Titres Cadeaux subsidiary created in 2006 and equally owned by La Banque Postale and Natixis, to sell a product to private individuals, professionals, companies and works councils. The purpose of the subsidiary is to create, promote, issue, distribute, process and reimburse all gift vouchers and cards and other special payment vouchers that are not subject to the banking monopoly and that enable their holders to buy specific items or services from a list of retailers or other companies;
- ▶ Universal Personal Service Cheques (CESU): La Banque Postale is authorised to issue CESUs which make it easier for individuals to pay their home help's salaries and social security contributions. It also owns 16.66% of the GIE CESU economic interest Group, a CESU processing and repayment body founded with five other partners.

1.6 PRESENTATION OF THE BUSINESS UNITS AND BUSINESS LINES

With nearly 10.5 million individual customers and nearly 400,000 legal entities at the end of 2017 (companies, professionals and the local public sector), the development of La Banque Postale relies on building and maintaining a sustainable customer relationship, focused on understanding customer needs and the willingness to provide tailored advice to them.

La Banque Postale Group's business is organised around three units: Retail Banking (including private individuals, companies and local authorities), insurance, and asset management.

1.6.1 Retail Banking

Retail Banking consists of:

- ▶ La Banque Postale;
- ▶ Retail Banking subsidiaries (La Banque Postale Financement, La Banque Postale Crédits Entreprises, SOFIAP) and private banking (BPE, created by the merger of BPE and La Banque Postale Gestion Privée in 2015);
- ▶ SCIs (property investment companies) which own the operating premises of the Financial Centres in metropolitan France and the overseas territories;
- ▶ SF2, which holds a share of La Banque Postale's equity investments and receives dividends from non-consolidated equity investments in its scope.

La Banque Postale offers a complete range of products and services to individuals for deposits and savings, loans (home and consumer), payment methods and insurance products.

La Banque Postale has developed its offer to legal entities through its parent company and its specialist subsidiaries, La Banque Postale Crédit Entreprises (LBPCE) and La Banque Postale Collectivités Locales, and its asset management and insurance subsidiaries. The 25 corporate business centres and eight local public sector business centres established in metropolitan France ensure that commercial relations with economic stakeholders are as close as possible.

The offering for Retail Banking customers

La Banque Postale offers its customers comprehensive Retail Banking products:

Which meet everyday needs

At the end of 2017, 10.9 million individuals had a CCP (Compte Courant Postal).

La Banque Postale offers individuals the *Formule de Compte*, an account option with products and services which can be tailored to each individual's needs and financial position. With more than 670,000 accounts opened in 2017, the total number of accounts reached 6.7 million⁽¹⁾.

Following a 7.4% increase for individuals, demand deposit outstandings were €62.7 billion at the end of 2017.

There were 8.1 million bank cards in circulation at the end of 2017. The number was boosted by a positive evolution in the product mix given that high-end cards (Visa Premier, Visa Platinum and Visa Infinite) saw growth of 15%. This growth also saw increased activity with payments by card up by 6.5% in 2017.

(1) Inventory of packaged offers for all customers.

Creating and managing wealth

With more than €74.7 billion in funds in Livret A, LDDS and LEP accounts, La Banque Postale is a major stakeholder in **regulated savings** and accounts for 17.9% of market share in these three products⁽¹⁾

The **home savings** product line consists of the PEL (Plan Epargne Logement – Home Loan Savings Plan) and the CEL (Compte Epargne Logement – Home Loan Savings Account). Assets in this product line were virtually stable at 0.5%. They reached €32 billion in 2017 as a result of the weak appeal of the yield on new-generation PELs which were dropped twice during 2016 and now stand at 1%.

La Banque Postale's **Life insurance**⁽²⁾ assets remained virtually stable at €126 billion (+0.2%) with an increase in the unit-linked share (UC). The UC proportion on gross collections reached 16.5%.

OPC (Organisme de Placement Collectif – Undertakings for Collective Investment) assets were down slightly at €11.8 billion (-1%), impacted by the decline in yields in an unfavourable interest rate environment.

Project financing

Home loan activity in 2017 was sustained in a very dynamic market for purchases of both new and existing properties and for refinancing and redemptions.

La Banque Postale enabled over 76,000 home projects of which 52,980 purchases of old and existing properties. Home loan outstandings increased, reaching €13.5 billion, up 21%.

La Banque Postale also assists its customers with their first purchase of a primary residence with suitable financing eligible for assisted loans (Épargne Logement, Prêt à l'Accession Sociale, etc.).

The consumer credit offering was developed in the spirit of the new law No. 2010-737 of 1 July 2010 on the reform of consumer credit, known as the Lagarde law. It is based on the Bank's values, especially transparency for customers, and focus on the risks of over-indebtedness.

La Banque Postale has a full range of products: personal loans, debt consolidation, revolving credit and, since 2016, an addition to the revolving credit offer with the Option Crédit card.

Consumer credit is provided through traditional channels: post offices, customer relations centres and Financial Centres.

The multichannel marketing of consumer credit grew in 2017 with significant growth in remote channels: telephone, internet and mobile applications.

At end 2017, total consumer credit outstandings reached €5 billion (+2.6%), including €238 million of revolving credit outstandings.

Providing complementary products and services

La Banque Postale offers **online brokerage** services for customers who want to independently manage their investments on the financial markets through its wholly owned subsidiary EasyBourse. EasyBourse provides easy access to foreign stock markets, to a wide range of financial products and instruments, and to deferred settlement services, as well as to information, through articles, topical files and interviews with market experts. The customer can follow the stock market, manage their accounts (positions, unrealised gains and

losses, committed and available, and order book) and put through orders.

In July 2016, EasyBourse implemented its 100% online subscription service via its website using electronic signatures, the creation of an online dossier and a deposit on account opening by bank card.

In 2017, EasyBourse handled more than 667,000 stock exchange orders on behalf of more than 25,000 customer accounts.

In the area of Titres Cadeaux, the Titres Cadeaux SAS subsidiary creates, promotes, issues, distributes, processes and redeems all **gift vouchers and cards** and other special payment vouchers that are not subject to the banking monopoly and that enable their holders to buy specific items or services from a list of retailers or other companies.

The **funds-transfer** business is also a buoyant area, based on two activities: firstly, the money order business, inherited from La Poste and enabling international money transfers through the Universal Postal Union, and secondly, Western Union transfers, also available from post offices.

Since 2015, La Banque Postale has been supplementing its foreign exchange service with Travelex, a major provider of B2B digital solutions, and now offers more than 50 foreign currencies online, at competitive rates, in order to support customers travelling outside the euro zone.

In 2017, La Banque Postale strengthened its commitment to crowdfunding by purchasing 100% of KissKissBankBank@Co one of the leaders in the European market with which it had been partners since 2011. The acquisition is part of La Banque Postale's digital development strategy and its intent to provide citizen product and services offerings which meet the new expectations of its customers.

Buoyed by its initial two successes, at the end of 2017 La Banque Postale, KissKissBankBank and MakeSense⁽³⁾ launched the fourth edition of the Social Cup, the French cup for student social entrepreneurs aimed at supporting financial projects in the social and environmental fields, a project which reflects the values of the Bank.

Individual customers

Customer relations are a major driver for the development of La Banque Postale, which places the customer's interests at the centre of all its activities, from product design to the advice provided to customers.

Young customers

La Banque Postale is making significant investments for its young customers (16-29). In 2017, it renewed and expanded its offering for customers ages 18 to 25 to assist them at key moments in their life: financial independence (with the Spécial Jeune account), departure from the family home to live alone or in a shared rental (home insurance, telephony), funding of studies and projects (personal student loans, personal apprenticeship loans, permit loans of one euro per day), travel abroad (international payments with no currency charges and health insurance for students while in other countries). This new set of products is called **#TalentBooster**. It is associated with a skills development programme in partnership with M6, based on contests and meetings with inspirational personalities.

(1) (Source: LBP/Calculs Etudes éco, Banque de France, December 2017).

(2) Products distributed by LBP SA and its subsidiaries.

(3) Association de promotion de l'entrepreneuriat social.

La Banque Postale also developed a range of pre-paid cards in 2017, and sold over 100,000 cards. Rechargeable international prepaid bank cards enable the youngest customers to make payments and withdrawals everywhere in France and other countries. They are available to young people starting at age 12. Each prepaid card is connected to La Banque Postale's "Prépayé" (Prepaid) mobile application which provides simple and secure prepaid card balance management and viewing from a smart phone, everywhere and at any time.

Family customers

In 2017, La Banque Postale also set up a programme of family benefits called **"Famille comprise"** (The Family Included).

Senior customers

As it is concerned with supporting senior customers and because of its legitimacy in providing services to individuals on a local basis, La Banque Postale offers solutions that are tailored to each stage of older peoples' lives, from retirement until old age, via a range of insurance products (life and non-life), loans and, since 2015, services such as the "estate planning" service which provides advice on understanding mechanisms and considering strategies for transferring assets.

High-net-worth customers

At the end of 2017, over 629,000 high-wealth customers trusted La Banque Postale to create, grow and manage their assets.

This is a strategic clientèle for La Banque Postale because it plays an important role in its assets (+ €100 billion in demand deposit and savings outstandings at the end of 2017) and in its net banking income (+18% of individual customer NBI at the end of 2017).

La Banque Postale bases its wealth management business on three strategies:

- ▶ a complete range of solutions covering all wealth management needs (financial investments, financing and daily management);
- ▶ a local sales force:
 - to support its high-net-worth customers, La Banque Postale has a team of dedicated specialist financial advisors (903 advisors throughout France) as well as a team of 52 wealth management advisors for its wealthiest customers;
 - increased skills for generalist advisors to assist their customers with wealth management;
- ▶ increased expertise thanks to the know-how of its subsidiaries and management partners: La Banque Postale works with:
 - La Banque Postale Asset Management and La Banque Postale Immobilier Conseil to define its overall investment strategy;
 - BPE (private banking and wealth management) to work with extremely high-wealth customers (BPE locations in about 40 post offices by the end of 2019).

BPE, the wealth management bank, which has been a wholly owned subsidiary of La Banque Postale since 2013, is the last part of the system. It has 62,000 high-net-worth customers and a network of 30 branches and 22 locations in post offices with 300 employees supporting customers. It offers the full services of a private bank (open architecture and multi-management savings, delegated management agreements, asset-based financing) and has a Wealth Management service to manage financial assets worth more than €1 million and to support its customers in wealth engineering, and preparing and supporting business handovers. BPE provides a very

wide range of management mandates for different profiles which can be subscribed to via life insurance contracts, a Share Savings Plan (PEA) or a securities account. Assets under discretionary management (GSM) stood at just over €4.7 billion at the end of 2017 (euro fund assets included).

Financially vulnerable customers

In addition to its banking accessibility function and its reasonable pricing policy, La Banque Postale plays an essential role in combating banking exclusion through its daily actions to enable access to quality banking services to the greatest number of people and by providing guidance to financially vulnerable customers, notably to prevent over-indebtedness and develop an original comprehensive approach to banking inclusion.

Micro-loans

La Banque Postale is a leader in social micro-credit in France. Over 2,100 personal micro-credits were financed by the bank in 2017. In this context, it works with many regional associations responsible for identifying projects led by individuals who do not have access to banking services due to their low solvency, and for supporting them in their plans (examples of partner associations: Secours Catholique, UDAF, Croix-Rouge française, Les Restos du Cœur, etc.).

Lastly, Bank customers who are refused a consumer loan due to low solvency are presented with the personal assisted micro-loans option, and are directed either to the Crédit Municipal de Paris platform (for Île-de-France customers), or to the www.france-microcredit.org website for all other customers. The same is true for small entrepreneurs looking for funding to start up or expand their professional activity, who are directed to the Adie phone platform. Since the introduction of this partnership, over 2,000 micro-entrepreneurs have been assisted and more than 420 have been able to complete their projects thanks to Adie financing.

La Banque Postale wanted to make a stronger and more effective contribution to personal micro-credit in France in 2017 and decided to become a sponsor of the Institution de Microfinance Créa-Sol, a non-profit certified by the ACPR. This social economy player has technology and expertise which enable it to make access to personal micro-credit easier and quicker. The system has been in operation since 2 January 2018.

Other products are available to financially vulnerable customers, notably a supplementary health care insurance scheme called *Oui Santé* for customers who are eligible for Aide à la Complémentaire Santé (complementary healthcare assistance). La Banque Postale is also a member of Club Mobilité, which is led by the *Action Tank Entreprise et Pauvreté* think tank. It provides vehicles under a lease-purchase plan (Renault-Dacia) financed with a micro-credit (Caisse d'Épargne) with optional car insurance (La Banque Postale) and a discount on petrol (Total).

Budget and financial support

In the spirit of its policy of being a responsible bank that works in the best interest of the community at large, La Banque Postale created "L'Appui", a platform for personal financial and budgeting advice with a dual purpose: on the one hand, assisting customers of La Banque Postale who are experiencing one-off or recurring financial difficulties, and, on the other hand, improving prevention of financial difficulties. Since the end of 2017, customers can take out products suited to their financial situation from Appui (*Formule de Compte Simplicité*, Livret A, Livret Jeune or LEP). They can also take advantage of a debt consolidation solution from its subsidiary La Banque Postale Financement and of credit restructuring with an external partner.

The Bank's commitment also involves assistance on training projects focused on the use of banking services. This assistance is provided by Bank or Le Groupe La Poste employees as part of a skills volunteer programme promoting banking inclusiveness. In addition, La Banque Postale supports the Institut pour l'Éducation Financière du Public (IEFP), a non-profit association accredited by the Ministry of National Education, the purpose of which is to help citizens acquire basic financial knowledge. The Bank is also continuing its work with the think tank "L'Initiative contre l'exclusion bancaire" (Initiative against banking exclusion)⁽¹⁾, set up to bring together committed stakeholders from the social welfare and non-profit association field who want to develop new initiatives against banking and financial exclusion. Lastly, La Banque Postale sits, alongside representatives of the government, consumer and family non-profit associations, non-profit associations combating exclusion, and other lending institution representatives, on the Observatoire de l'Inclusion Bancaire (OIB)⁽²⁾. Its purpose is to monitor the practices of credit institutions with regard to banking inclusion, especially for people who are financially vulnerable.

La Banque Postale organised the first Assises de la Banque Citoyenne in 2017. It announced the launch of its "Plan d'Inclusion Bancaire par le Numérique" plan with the support of the WeTechCare non-profit, a specialist in the fight against digital exclusion. Depending on their level of digital insecurity, the plan provides its customers with a physical or remote alternative to digital services with assistance to transition to digital and inclusive digital services. Experiments were initiated in two post offices in Saint-Denis and Bordeaux in 2017. As a result of this initiative, La Banque Postale was awarded the second EFMA Accenture Distribution and Marketing Innovation prize.

In addition, La Banque Postale contributed to the development of a budget management application for beneficiaries and support networks in collaboration with Emmaüs SOS Famille Nanterre, Banque de France, Crédit Municipal de Paris, Finance et Pédagogie, Fondation Cetelem, Cerise, les clés de la banque, mesquestionsdargent.fr, and Logirep. The project was led by ANSA. Lastly, in early 2017, La Banque Postale deployed a general information service about La Banque Postale and its products for deaf and hearing-impaired customers with translation into French sign language. By the end of 2017, over 5,000 customers had been assisted thanks to sheltered sector Company Deafi which was responsible for the translation.

For further information, see Chapter 6 "Corporate Social Responsibility", Section 6.2.1.1 "Banking accessibility"

Legal entities

La Banque Postale develops its products for legal entities via its parent company and its specialised retail bank subsidiaries: La Banque Postale Crédit Entreprises, La Banque Postale Collectivités Locales and its asset management and insurance subsidiaries. The 25 corporate business centres and eight local public sector business centres established in metropolitan France ensure that commercial relations with economic stakeholders are as close as possible.

At end-2017, La Banque Postale had nearly 400,000 legal entities and local public authorities as customers, and benefited from its positioning as a leading banker recognised in the regions it serves. It has a diverse range of customers including major companies and institutions, SMEs and professionals, major management associations, local associations, major social landlords and large

and small local authorities. These legal entities of all different sizes now benefit from a complete offering: accounts, payment systems, investments, advice, financing and insurance.

La Banque Postale, which has been marketing financing products for companies since 2011 and for the local public sector since 2012, now offers all types of financing:

- ▶ short-term: cash facilities, overdrafts, credit lines managed online;
- ▶ medium-term: traditional financing, revolving credit facilities;
- ▶ commitment by signature: first demand guarantees, loan guarantees, other guarantees;
- ▶ specialised financing via its subsidiary LBPCE (La Banque Postale Crédit Entreprises): equipment lease-financing, property lease-financing, factoring.

La Banque Postale has become a leading lender in the market: the production of credit to companies saw an increase of 31% in equipment lease-financing in 2017, real estate financing production up by 12% and a strong increase in factoring, for which the volumes of purchased revenue reached 4.7 billion at the end of 2017. Loan outstandings to legal entities stood at €20.7 billion, representing an increase of 43.5% compared to 2016.

La Banque Postale is continuing to innovate and expand its range of services in cash flow and investment products in order to offer services that fulfil the expectations and concerns of its customers. In addition to its financing offering, La Banque Postale supports its customers in three major areas:

- ▶ **cash flow management:** as a major historic stakeholder in cash flow handling, La Banque Postale offers its customers a large range of payment and collection services to manage their everyday cash flows (cheques, cheque-letter, transfers, direct debits, interbank payment orders, etc.), as well as a range of electronic money services both locally and electronically, a range of Visa Business cards enabling current business expenses management to be simplified while benefiting from many insurance and support services, and finally specific added-value services in the area of cash collections;
- ▶ **cash management:** The range of investments offered by La Banque Postale is growing. It covers the needs of short-term liquidity remuneration: savings accounts, monetary UCITS, time deposit accounts, negotiable certificates of deposit and also a diverse range of medium- and long-term investments: bond UCITS, equity and balanced funds, capitalisation contracts, EMTNs, open-ended property funds and REITs;
- ▶ **insurance:** La Banque Postale rounds out its offer for legal entities with dedicated insurance products: means of payment insurance, loan and key person insurance, comprehensive insurance for businesses and associations, insurance for sole traders and a collective health insurance range.

The acquisition in 2017 of Domiserve, the leading issuer of social CESU, expanded its product line for the public sector and large companies. It now has a 50% market share for pros and CESU HR.

In 2017, it significantly accelerated its production in factoring (tripling with companies of all sizes), equipment lease-financing (+31%) and real estate (+12%).

(1) The Observatory is chaired by the Governor of the Banque de France. The member list was published in the Official Journal by decree of the Ministry of Finance and Public Accounts on 1 August 2014.

(2) The members of the club are currently Adie, ANDML, Armée du Salut, ATD Quart Monde, Crésus, La Croix-Rouge française, La Banque Postale, Emmaüs France, Habitat et Humanisme, Les Restos du Cœur, Secours catholique, Secours Populaire, Soliha, UNCCAS, UNAF, Crédit Municipal de Paris, CreaSol, FACE, Solidarité Nouvelle pour le Logement, Wetechnicare and UNPIMMS.

With over 100 new professional customer managers in place in 2017 and four new business centres (Paris region, Bayonne, Annecy), La Banque Postale increased its regional network, making local service its primary sales argument.

La Banque Postale is increasing its expertise, at the service of stakeholders in the real and social economy, to support their projects and guide them in managing banking for their business.

It has achieved a leading position in its five major markets over the years.

Large account customers

La Banque Postale is a major partner for its 300 “major Group” customers (large companies and institutional customers). It provides large businesses with a wide range of products and services in terms of cash flow management, asset management and market, financing and staff policy products, and supports the development of large institutions and, more particularly, mutual insurance companies and stakeholders in the field of social protection (provident institutions, insurance providers, social organisations, etc.).

It further developed its financing activity in 2017, notably via structured loans and projects.

SME-ISE customers

La Banque Postale supports SMEs and ISEs based in metropolitan France by making available to them services that are tailored to their profiles and requirements in terms of everyday banking, cash flow and cash management, and financing. It is continuously innovating and improving its services for its ISE and SME customers, using the expertise of its subsidiaries and partners in order to meet customer expectations, regardless of their size or field of activity.

In 2017, short-, medium- and long-term credit to SMEs and ISEs saw an unprecedented acceleration with over €2.4 billion in diversified financing granted: purchase of walls, equipment and materials, working capital and cash needs. Some of the financing was used to improve the energy efficiency of buildings, promote recycling, renew ageing vehicle fleets and develop the network of players dedicated to providing personal services. In 2017, it increased its presence in retail, transport and real estate.

Professionals

Professionals are already long-standing customers of Le Groupe La Poste whether they are self-employed persons, shopkeepers, craft workers, or in the liberal professions:

- ▶ 500,000 professionals visit post offices every day for their mail and parcel activity;
- ▶ 700,000 professionals are already retail customers of La Banque Postale.

Within the context of the Group's strategic plan, La Banque Postale has decided to grow this customer base by introducing a dedicated sales force. By 2020, 1,000 professional customer managers will be

introduced in post offices to provide everyday support for professional customers, both for banking management purposes and development projects. They will provide banking services covering all of the requirements of professionals at some of the lowest prices in the market. A large-scale external recruiting campaign was launched in 2017 to accelerate the implementation of the sales network. In 2017, this service was expanded with medium- to long-term financing solutions, an offering to promote the “dual relationship” (professionals-private), and a service offering devoted to franchising.

In addition, to better meet the needs of its customers, La Banque Postale launched an online credit application site in November 2017. This very flexible offering meets the medium- to long-term equipment loan and lease-financing needs for amounts ranging from €3,000 to €20,000 excluding taxes. E-credit completes the face-to-face relationship offering (at the post office with Client Managers for Professionals) and the remote relationship with Agence Pros advisors, whose teams have already been expanded. E-credit completes the bank's multi-channel model for VSEs and Pros.

Non-profits

La Banque Postale is one of the main players in the non-profit association market, with more than 300,000 local non-profit associations as customers and nearly 5,000 management associations which account for a quarter of the French market.

La Banque Postale has offered management associations a wide range of financing products since the end of 2013, particularly to support them in carrying out real estate projects for the acquisition of new sites, for renovations, to upgrade access to older premises to current standards, and for construction projects.

It is also committed to streamlining its line of medium- and long-term investment products in order to promote its socially responsible investment (SRI) products for non-profit organisations.

The local public sector (local authorities, hospitals, semi-public companies and social housing agencies)

La Banque Postale has been authorised to provide loans to the local public sector since 2012.

It provides simple and understandable liquidity-backed products that are granted under a transparent pricing policy and a responsible approach to advice and risk.

It became the leading lending bank to local authorities in 2015 with more than 25% of the accessible market, and it also offers its services to social housing associations and local public companies.

In addition to financing, La Banque Postale assists social housing agencies, local public companies and health associations with all their cash flow management and investment issues. It is, notably, the leading bank in terms of collections of low-cost public-housing rents via its post office network.

1.6.2 Insurance

The Insurance Division brings together some 536 employees working to develop and manage products and customer relations. La Banque Postale is present in life insurance (savings/retirement), personal insurance (contingency and health) and in property and liability insurance (home, car, legal protection, means of payment and extended cover). It is aimed at individuals as well as professionals and non-profit associations.

La Banque Postale completed the creation of its Non-Life Insurance Division with the purchase from CNP Assurances of its 50% stake in La Banque Postale Prévoyance.

Life insurance

La Banque Postale Group is a shareholder (20.15%)⁽¹⁾ of the CNP Assurances Group and markets its life insurance and capitalisation products. In 2017, it accounted for 28.7% of the revenue of the CNP Assurances Group. CNP products make up most of the life insurance products offered by La Banque Postale.

La Banque Postale offers segmented life insurance and retirement solutions in order to better meet customer requirements:

- ▶ general public customers: with products accessible to most people through appropriate and evolving formulas;
- ▶ high-wealth customers: with flexible, customised policies, specifically designed for the top-of-the-range market. Some of the multi-asset and multi-manager product lines developed with CNP Assurances or with the Allianz Group, another La Banque Postale Group partner, also offer discretionary management.

Contingency insurance

Through its subsidiary La Banque Postale Prévoyance, La Banque Postale offers a full range of personal contingency insurance products covering all the protection required from the uncertainties of life (death, dependency, funerals, personal accident cover, etc.) and offering a broad range of services beyond financial services. In 2016, La Banque Postale brought its stake in La Banque Postale Prévoyance to 100%.

With 266,368 new policies in 2017 and more than 2.7 million policies in its portfolio at the end of 2017, La Banque Postale Prévoyance is positioned as a major player in the French provident market. Its growth has also been boosted by credit protection insurance policies taken out during a financing transaction with La Banque Postale Financement (consumer credit). Following the renegotiation of its agreements with CNP Assurances, La Banque Postale no longer sells collective credit protection insurance for new home loans.

Health

La Banque Postale Assurance Santé, 51% owned by La Banque Postale (see Chapter 1 - Section 1.5.2 Partnerships) offers supplementary health insurance in line with the values and strategic choices of La Banque Postale.

As part of its merger with Malakoff Médéric, in April 2015 La Banque Postale Assurance Santé put on the market a collective health insurance product for businesses with fewer than 50 employees, which it continues to market.

In 2015, La Banque Postale Assurance Santé launched a critical illness insurance product called Assurance Coup Dur Santé (hard times health insurance). With over 40,900 new contracts in 2017, there were nearly 75,000 active policies at the end of 2017. In order to support its sales, La Banque Postale Assurance Santé decided to open the product to sales via the Insurance relationship centre.

Lastly, as part of the ACS offering (Aide à la Complémentaire Santé), La Banque Postale Assurance Santé, together with Mutuelle Générale and Malakoff-Médéric, sells supplementary health care under the ACS label called *Oui santé*. Nearly 20,000 of these policies were subscribed to during 2017.

With over 89,000 new contracts in 2017, and over 195,000 policies in its portfolio at the end of 2017, La Banque Postale Assurance Santé has experienced sustained growth of nearly 18.5% over a year, reflecting the successful deployment of this health care offering by La Banque Postale.

Property and liability insurance

La Banque Postale offers individuals a range of property and liability insurance through its subsidiary, La Banque Postale Assurances IARD.

The core of the product line is car, comprehensive home and legal protection insurance offered by all of the distribution channels.

A multi-channel system (telephone, internet and post offices) allows customers to choose how they will interact and to anticipate changing practices.

In order to meet the widely varying expectations of its customers, particularly those of young people and families, La Banque Postale Assurances IARD also expanded its range by launching two "pocket products" at the end of 2013 (warranty extension, portable device insurance) with 90,000 policies in place at the end of 2017.

In a very competitive and low-growth market, La Banque Postale Assurances IARD exceeded 1.6 million policies in 2017, six years after its launch, growth of 7.9% in volume over a year.

Furthermore, La Banque Postale Conseil en Assurances, the Group's insurance broker and a wholly owned subsidiary of La Banque Postale, designs and offers turnkey insurance, assistance and service solutions for the various management bodies and subsidiaries of La Banque Postale and those of Le Groupe La Poste generally.

These services are closely tied with current accounts (Alliatys means of payment insurance taken out by nearly 7 million customers), bank cards (7.3 million), mobile phones, savings products, and all kinds of loans for individuals and professionals, non-profit associations, companies and social housing associations.

(1) 18.14% via Sopassure and 2.01% in call option.

1.6.3 Asset management

This business brings together the third-party asset management companies of the Group which provide expertise that enable La Banque Postale Group to provide individuals, legal entities and institutions with a full range of savings and investment products covering traditional financial markets as well as more diversified asset classes (debt funds, Euro PP, high yield, hedged shares, etc.). The third-party asset management subsidiaries have 269 employees working on macro-economic and financial management and analysis, product development and financial engineering, and customer relations with the various internal and external customers of the Group.

Assets under management totalled €218 billion at the end of 2017.

Since August 2013, all asset management subsidiaries have been formally committed to complying with the PRI (Principles for Responsible Investment), reflecting their intention to implement responsible management in line with the Group's values.

Management of CNP Assurance's own funds, in the amount of €23 billion, was taken over in 2017. This enabled LBPAM to significantly exceed €200 billion in assets under management while developing expertise in the management of mandates under Solvency II.

Asset Management plays a major part in the business with the general public and high-wealth customers as well as with companies and institutional customers: the UCITS' of La Banque Postale Asset Management and Tocqueville Finance are offered to them as part of unit-linked life insurance contracts, securities accounts and PEAs, as well as under discretionary management.

For more details, see Chapter 1 – Section 1.5.2 – “Partnerships”

Multi-expertise investments

La Banque Postale Asset Management is the fifth largest French management company in terms of managed assets, and represents, within the asset management business of La Banque Postale, the specialist in UCITS management and institutional mandates, now operating on almost all financial markets.

The research and analysis synergies developed between La Banque Postale Asset Management and its new partner, Aegon Asset Management, enable it to offer investment solutions in multiple international rate and equity asset classes with the launch of a new range of flexible LBPAM Allocation Flexible funds.

This product range intended for private La Banque Postale customers is actively subscribed to: over €1 billion in collections in 2017 (compared to €738 million in 2016).

LBPAM has also increased its expertise and base in SRI management (Socially Responsible Investing). It will now manage CNP Assurances equities based on a SRI process and is working on the creation of a new SRI savings offering in the Grand Public (general public) fund line for launch in 2018.

“Value” share management

La Banque Postale offers its customers UCITS from Tocqueville Finance, a 92.6% owned subsidiary. This subsidiary has a particularly well-developed presence with financial investment advisors, independent financial advisors, private banks and institutional investors. A specialist in managing shares of the “Value” (discounted values) and “Small and Medium Capitalisation” type, the firm invests to foster the long-term growth of companies, applying management strategies driven by strong convictions that are independent of the indices.

Tocqueville Finance is a regular supplier of dedicated funds to La Banque Postale Group's Private Banking, as part of its selection of funds under discretionary management.

Tocqueville Finance also provides wealth management for customers that do not necessarily hold a bank account with La Banque Postale, and under stock savings plans (PEA) and life insurance policies.

In 2017, total UCITS and discretionary collections exceeded €130 million.

REITs (SCPIs) and open-ended property funds (OPCIs)

La Banque Postale has had a 40% holding in AEW Europe since October 2016 following its acquisition of Ciloger.

General public customers continue to subscribe to SCPIs as part of the diversification of their investments in securities accounts, as well as in life insurance, with the OPCI available as a unit-linked product.

1.7 STRATEGY AND OUTLOOK

Since its creation in 2006, La Banque Postale has gradually combined many different Retail Banking, insurance and asset management skills to become a full-service bank providing a complete product line which meets economic and social challenges while providing services to all.

La Banque Postale's history, values and service to the real economy make it unique. It is currently building the bank of tomorrow by capitalising on these fundamentals. With its 2014-2020 development plan "Osons créer la banque de demain" (Let's create the bank of tomorrow), an integral part of the La Poste Group's "La Poste 2020: Conquering the Future", La Banque Postale has set itself up

to transform itself, accelerate its growth and improve its operational effectiveness, to better serve its customers in a rapidly changing environment: an economic and financial context of historically low interest rates, changing consumer behaviour and life styles which are evolving as a result of new technologies, a changing regulatory environment which is requiring that banks be both more careful (notably in prudential matters) and more open (second payment services directive), a very competitive domestic banking landscape which is highly focused on the mature full-service Retail Banking and insurance market and the emergence of new players on the periphery of the banking industry with innovative and appealing solutions for traditional customers in the domestic banking market.

1.7.1 The objectives of the 2020 development plan

La Banque Postale's development plan prioritises commercial development for all types of customers, whether individuals or legal entities, and developing the Asset Management and Insurance Divisions which underpin its diversification strategy.

Accelerate business development in the Retail Banking market

In the Retail Banking market, the major development focus is on:

- ▶ winning and retaining the loyalty of **young** customers. Attractive commercial terms for products, responsiveness to suggestions and the quality of customer relations are the keys to attracting and retaining the loyalty of these demanding customers. Specific offers and commercial guidance are provided to them;
- ▶ building life solutions for **seniors citizens**. The societal challenge presented by an ageing population and the management of dependency has led La Banque Postale to provide new solutions (dependency insurance, etc.) and to support its senior customers while taking the financial situation of each into account;
- ▶ accelerating the development of **wealth** banking, relying on an expanded sales structure, a full range of services and a suitable organisation. The creation of a wealth management unit at the Bank and the merger of La Banque Postale Gestion Privée and BPE at the end of 2015 illustrate the Bank's desire to accelerate the expansion of the high-net-worth customer segment, primarily in the areas of wealth and tax engineering and made-to-measure management. Wealth management services are growing with the support of La Banque Postale Group's entities specialising in asset management, insurance and contingency insurance;
- ▶ offering **vulnerable customers** tailored solutions and providing the long-term public interest financing known as banking accessibility. La Banque Postale is continuing its commitment to banking solutions for vulnerable customers, in particular through the Livret A account, but also through banking and budget support and support for budgetary and financial education via workshops with non-profit association partners.

La Poste Network's banking priority has been materialised through the introduction of single commercial teams for La Banque Postale and La Poste Network. The gradual expansion and development of Network stakeholders' responsibilities allows them to devote

themselves entirely to developing banking activities for private customers and to take quick and high-quality commercial decisions, in close proximity to customers.

Continuing to build the bank for businesses and the regions

Crafts people, large companies, shopkeepers, associations, mutual insurance bodies, hospitals, social housing organisations, local authorities, etc. all contribute in their way to life and prosperity in the regions by fostering their proximity to their customers, their members and citizens.

Using its nationwide network, La Banque Postale is supporting the projects of all of these stakeholders and guiding them in the banking management of their activities. It intends to increase its expertise to the benefit of stakeholders in the real and solidarity economy, building on its banking expertise, combined with its knowledge of local issues and its public service values. In order to propose offers that are tailored to everyone's requirements, La Banque Postale relies in particular on the Corporate and Regional Development Department whose commercial activity is organised to allow it to be as close as possible to customers.

This work is notably based on:

- ▶ conquering the **professionals** market: La Banque Postale uses its "Banque des pros" programme, which looks to provide professionals (crafts people, VSEs, shopkeepers, etc.) with the most appropriate solutions. Although La Banque Postale is positioning itself in this market as a challenger to the leading banking groups that dominate it, it is able to build on its historical and local relationship with professionals who are often customers on a personal basis. La Banque Postale intends to build on the synergies between its sales forces, by implementing its "Dual Relationship" offer, in order to reinforce its appeal and win new professional customers. The gradual ramp-up of this programme involves constructing and deploying a specialised sales force in post offices throughout the country and training 1,000 Pros advisors by 2020 (including 300 since 2015);

- ▶ consolidating positions in the **local public sector**: in 2017, after five years of supporting regional activities (regions, departments, local authorities, consortia, municipalities, etc.), La Banque Postale is, and wants to continue to be, the benchmark bank in the local public sector and the leading lending bank in this market;
- ▶ developing **large corporate and institutional** customer accounts: La Banque Postale is gradually consolidating its position with companies as a recognised stakeholder in cash flow and cash management banking and offers a comprehensive range of banking products and services in the areas of cash flow management, asset management, market products and financing which it intends to

expand further with the creation of a financing and investment bank division in 2018. The Corporate and Investment Bank supports the profitable growth goals of Retail Banking with a range of market and financing products and services which meet the expectations of customers and reflect the values of La Banque Postale. It is introducing a bank-corporate relationship based on partnerships and the joint development of solutions, by making available to large companies and institutions a team of expert large customer project managers, which is completely dedicated to developing tailored services in accordance with La Banque Postale's and its subsidiaries' business lines.

1.7.2 The levers of the development plan

This development plan is based on a solid balance sheet, increased equity and the planned, gradual integration of an internal La Banque Postale risk assessment method. Based on better knowledge of customers and risks, it will allow the Bank to manage and control the risks related to its activities more effectively. It will be part of the Bank's various management processes, product pricing, loan granting, collections and the equity capital management process.

The development plan is also based on the major transformation programmes intended to serve the Bank's commercial goals. These include:

- ▶ the Cap Client 3.0 programme which aims to offer a more ergonomic and smart workstation that allows advisors to use more fluid banking applications and processes in order to better prepare for their interviews, refine their business cases, provide the best recommendations at the right time for their customers and, as a result, improve sales efficiency at all levels of the banking relationship;
- ▶ the Excello programme, to organise the transformation of Financial Centre activities (the Bank's remote front-office, and middle and back offices) to increase the effectiveness of the Financial Centres (team professionalisation, development and specialisation; streamlining of processes; tools development for greater flexibility, efficiency and productivity);
- ▶ Concerto is also a major transformation programme and part of the renewal of the Bank's information systems. It involves designing an information system able to respond to all of the Bank's requirements in terms of processing speed, flexibility and security. In particular it involves overhauling the production and processing lines for banking transactions.

The development plan also focuses on identifying future business activities and training La Banque Postale and La Poste Network stakeholders in these new business activities. This cross-entity project led to the creation of the École de la Banque et du Réseau (EBR) in 2014. It underpins the Group's strategic transformation by supporting the career development of 70,000 La Banque Postale, Financial Services, and La Poste Network employees.

This innovative, large-scale training system is intended to provide the 70,000 La Banque Postale, Financial Services and La Poste Network

employees with the opportunity to learn more about the banking business and the skills of tomorrow to better serve customers. The school is open to all and at everyone's service. It supports the forward-looking vision of the Company and innovates via new practices and training content. In 2017, the EBR supported over 1,200 employees through courses leading to qualifications or diplomas, provided almost 312,000 training days for La Banque Postale, Financial Services, and La Poste Network employees, and rolled out major courses aimed at all of the managers of the priority banking network and at expanding and delegating Home Loans for banking advisors and managers. Training of Heads of Sector (of whom 780 received training in 2016) was concluded in spring 2017.

In order to succeed with its ambitious development plan, the Bank is activating every lever at its disposal:

- ▶ service quality, through the quality of the customer experience and effective multi-channel management, a lever for customer satisfaction and loyalty;
- ▶ improved effectiveness of La Banque Postale-La Poste Network, through the development of the Network's banking culture and by optimising tools, processes and organisation;
- ▶ innovation, via the creation of a dedicated ecosystem with the support of KissKissBankBank & Co, a crowdfunding specialist acquired by La Banque Postale in 2017;
- ▶ the development of La Banque Postale's non-life bank and Insurance Division via improved management of its business model in an environment of digital disruption and a sea change in the competitive landscape (GAFAM, AssurTech, etc.);
- ▶ improved Financial Centre effectiveness, by building an agile and successful model around an innovative social model;
- ▶ streamlining of head office and support functions and optimising of cross-entity processes with other Group entities.

Through all of these actions, La Banque Postale has proven, and will continue to prove, that by offering its customers a range of banking and insurance products and services based on simplicity, accessibility and transparency at the right price, it gives priority to development that supports changing habits, and that it is entirely dedicated to customer satisfaction.

1.8 2017 HIGHLIGHTS

January

Together with KissKissBankBank and MakeSense, La Banque Postale organised the Social Cup, student social entrepreneurship championship in France.

February

La Banque Postale and CNP Assurances launched a growth instrument with guaranteed 80% return on the net payment after 12 years. Offered as part of the management of the Cachemire 2 life insurance policy, the product is distributed by La Banque Postale and provides performance with a partial capital guarantee.

WeShareBonds, a credit crowdfunding site for SMEs in which La Banque Postale has a minority holding, announced the launch of its second fund called "Prêtons aux PME 2022". The goal of the fund is to reach €10 million in assets invested in about 50 French SMEs.

March

La Banque Postale took a 100% holding in Domiserve, a major player in the market for prepaid CESU and at-home services.

La Banque Postale launched a digital banking inclusion plan to provide solutions to the challenges of the digital transition and the opportunities it can provide the greatest number of people. This project is a first in the banking industry.

April

May

June

La Banque Postale and KissKissBankBank announced that they had signed an acquisition agreement for 100% of KissKissBankBank & Co (the developer of KissKissBankBank, Hello merci and Lendopolis), a crowdfunding leader in Europe

La Banque Postale lowered its threshold for granting medium- to long-term loans for local authorities to €40,000

La Banque Postale launched Talk to Pay, a remote payment solution via voice authentication, and a new product for young people: #Talent Booster

July

L'Envol, La Banque Postale's campus, celebrated its five-year anniversary during the "5 years of civic action for education" forum, held on 11 July 2017.

September

Confirmation of the strengthening of governance and the expansion of the Executive Board with the appointment of a General Secretary.

La Banque Postale also added a department of Public Affairs responsible for market relations with the regulatory and supervisory authorities of the Bank/Insurance/Asset Management sectors.

October

La Banque Postale rounded out its full-service banking offering by creating the Corporate and Investment Bank. The latter brings together all activities associated with financial market, structured financing and asset and project financing transactions.

November

La Banque Postale launched a recruiting campaign for 150 bank advisors for its business line dedicated to professionals and VSEs.

December

La Banque Postale took part in the launch of the #HubFrancelA non-profit as a founding member. #HubFrancelA's objective is to create a French Artificial Intelligence industry. Under the assumption that this is in the public interest, it explores ethics placing people at the heart of the issues raised.

CORPORATE GOVERNANCE

2

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2.1 REPORT OF THE SUPERVISORY BOARD ON CORPORATE GOVERNANCE

This report was drawn up by the Supervisory Board at its meeting on 27 February 2018, in accordance with Article L. 225-68 of the French Commercial Code.

2.1.1 Corporate Governance Code applied

La Banque Postale's approach to corporate governance is based on the Afep/Medef Code of Corporate Governance for listed companies (available at www.afep.com)

La Banque Postale complies with most of these recommendations, subject to the distinctive nature of its shareholder base, and to the application of the regime instituted by order No. 2014-948 of 20 August 2014 relating to the governance and share capital transactions of companies with public shareholdings, and in accordance with Article 3 of the decree of 9 August 1953, as amended by the decree of 26 July 2012, relating to the French State's control of the remuneration of the managers of public companies, which notably provides for:

- ▶ a significant number of employee representatives on the Supervisory Board, i.e. one-third of the Board members;
- ▶ where applicable, the presence on the Supervisory Board of one member designated by the French State and/or members appointed by the General Meeting upon proposal by the State;
- ▶ a cap on the remuneration of corporate executive officers and the approval by the Minister of the Economy of the amount of attendance fees, remuneration for various activities and benefits

in kind for corporate officers, as well as the components of remuneration, compensation or benefits due or likely to be due as a result of the termination of their duties, a change in their duties, or subsequent thereto.

Application of the Afep/Medef Code

The Company applies the recommendations of the Code, with the exception of the following:

AFEP/MEDEF CODE RECOMMENDATION	COMPANY PRACTICES COMMENTS
Independent directors Recommendation 8.3 "In controlled companies, independent directors should account for at least a third of Board members. Directors representing the employee shareholders and directors representing employees are not taken into account when determining these percentages."	Company practices: In 2017, 30% of the Board was composed of independent members; members representing employees were not counted in establishing this percentage. Comments: This difference is explained by the Company's specific situation, being held by a single shareholder. The threshold of 33% of independent members is attained if the representative designated by the State, whose presence on the Board is related to order No. 2014-948 of 20 August 2014, is not taken into account.
Length of term of office Recommendation 13.1 "The duration of directors' terms of office, set by the Articles of Association, must not exceed four years, so that the shareholders can express their wishes regarding these terms of office with sufficient frequency."	Company practices: The term of office of the members of the Supervisory Board is five years. Comments: The provisions of law No. 83-675 of 26 July 1983, relating to the democratisation of the public sector, required that the Company has terms of office lasting five years. In 2016, at the time of the switch to the regime of order No. 2014-948 relating to the governance and share capital transactions of companies with public participation, the Company considered that this term of office allowed the Board to operate efficiently. This decision was supported by the fact that the Company is held by a single shareholder, where the term of office of the directors is five years.
Recommendation 13.2 "Terms should be staggered so as to avoid replacement of the entire body and to favour a smooth replacement of directors."	Company practices: The terms of office of all members end on the same date, after a five-year period. Comments: The provisions of law No. 83-675 of 26 July 1983 relating to the democratisation of the public sector, required the Company to reappoint all members of the Supervisory Board at the same time. In 2016, at the time of the switch to the regime of order No. 2014-948 relating to the governance and share capital transactions of companies with public shareholdings, the Company considered that not staggering the terms of office of the Board members did not jeopardise the proper functioning of the Board. Furthermore, this decision does not prevent members of the Supervisory Board from being regularly reappointed during their term of office. Thus, for example, in 2016, one third of the members changed.
Audit Committee Recommendation 15.1 "The share of independent directors on the Audit Committee must be at least two-thirds, and the committee must not include any corporate executive officers."	Company practices: In 2017, no executive officers sat on the Financial Statements Committee and two of the five members were independent, not counting the members representing employees. Comments: Out of the seven members comprising the Financial Statements Committee, two members represents the employees and another represents the French State. The four other members are Supervisory Board members appointed by the General Meeting, two of which have independent status; i.e. a total of 50% of the Financial Statements Committee are independent members, excluding the employee and State representatives, while the two other members were appointed because of their accounting and financial skills. An additional independent member is to be appointed to this committee in 2018.
Appointments Committee Recommendation 16.1 "It must not include any executive officers and must consist of a majority of independent directors."	Company practices: In 2017, no executive officers sat on the Appointments Committee and three of the six members were independent, not counting the member representing employees. Comments: Out of the seven members comprising the Appointments Committee in 2017, one member represents the employees and another represents the State. The five other members are Supervisory Board members appointed by the General Meeting, three of which have independent status; i.e. a total of 60% of the Appointments Committee are independent members, excluding the employee and Government representatives.

AFEP/MEDEF CODE RECOMMENDATION

COMPANY PRACTICES COMMENTS

Compensation Committee**Recommendation 17.1**

"It must not include any executive officers and must consist of a majority of independent directors. It is recommended that the Chairman of the committee be independent and that one of its members be an employee director."

Company practices:

In 2017, no executive officers sat on the Compensation Committee, and the committee included one member representing employees and a Chairman who is an independent member of the Supervisory Board. Three of the six members were independent, not counting the member representing employees.

Comments:

Out of the seven members comprising the Compensation Committee in 2017, one member represented the employees and another represented the State.

The five remaining members were Supervisory Board members appointed by the General Meeting, among which three had independent status; *i.e.* a total of 60% of the Appointments Committee were independent members, excluding the employee and State representatives.

Code of ethics of the Supervisory Board members**Recommendation 19**

"(...) In the absence of legal provisions to the contrary, a director must personally be a shareholder and, by virtue of the provisions in the Articles of Association or the internal regulations, hold a minimum number of shares that is significant in relation to the attendance fees received. If he or she does not hold these shares when assuming office, he or she should use his or her attendance fees to acquire them. The director will notify the corporation of this information, which will publish it in its annual report;"

Company practices:

The members of the Supervisory Board are not required to be shareholders in the Company.

Comments:

The fact that members of the Supervisory Board do not hold a significant number of shares is explained by the specific nature of the Company's shareholding structure.

As all La Banque Postale shares are held by its parent company, La Poste, and cannot be traded on a regulated market.

As La Poste does not wish to open up the share capital, holding shares would have no meaning with regard to the philosophy of the Afep/Medef Code in the absence of any market for these shares.

Corporate executive officers' obligation to hold shares**Recommendation 22**

"The Board of Directors defines a minimum number of registered shares that the Company officers must hold through to the end of their term of office. This decision is reviewed at least on each extension of their term of office."

Company practices:

The members of the Executive Board do not hold any shares in the Company.

Comments:

The fact that members of the Executive Board do not hold a number of shares is explained by the specific nature of the Company's shareholding structure. Indeed, all La Banque Postale shares are held by its parent company, La Poste, and cannot be traded on a regulated market.

As La Poste does not wish to open up the share capital, holding shares would have no meaning with regard to the philosophy of the Afep/Medef Code in the absence of any market for these shares.

2.1.2 Functioning of the Company

Agreements referred to in Article L. 225-86 of the French Commercial Code

Agreements still in effect in 2017:

Date	Purpose
27 February 2013	The Company's commitment granting compensation to Marc Batave in the event of termination of his term of office.
15 October 2013	The Company's commitment granting compensation to Rémy Weber in the event of termination of his term of office.
03 April 2015	Framework protocol agreement, replacing the preliminary protocol agreement of 18 February 2015 notably signed with Malakoff Médéric, La Mutuelle Générale and La Banque Postale Assurance Santé in relation to health insurance.
25 March 2016	General framework protocol agreement with CNP Assurances, replacing the preliminary protocol agreement of 18 December 2015 regarding life insurance, capitalisation of credit insurance and personal risk insurance.

Agreement approved and signed in 2017.

Date	Purpose
17 January 2017	Amendment No. 1 to the framework protocol agreement of 3 April 2015 notably signed with Malakoff Médéric, La Mutuelle Générale and La Banque Postale Assurance Santé in relation to health insurance.

Table of delegations granted by the General Meeting of Shareholders and their use in 2017

General Meeting	Purpose of the authorisation given to the Executive Board	Delegation validity period	Limit	Use in 2017
None	None	None	None	None

Conditions for shareholder participation in the General Meeting

The conditions governing shareholder participation in the General Meeting of La Banque Postale are defined in Article 31 of the Articles of Association, which are contained in Chapter 8 of this Registration Document.

Information in Article L. 225-37-5 of the French Commercial Code

In accordance with the provisions of Article L. 225-37-5 of the French Commercial Code, the following items must be disclosed and explained, where appropriate, when they are likely to have an impact in the event of a public offer.

The current capital structure of La Banque Postale makes it impossible for a takeover bid to be made on Company shares, which are not admitted for trading on a regulated market. However, reference is made below to the items listed in Article L. 225-37-5 of the French Commercial Code to the extent that this information is contained in the Registration Document for other obligations or is directly addressed below:

1. the capital structure of the Company: this information is provided in Chapter 1 "Overview of La Banque Postale Group";
2. statutory restrictions on the exercise of voting rights and the transfer of shares, or clauses in the agreements brought to the knowledge of the Company in application of Article L. 233-11: none (see chapter 8 "Articles of Association");
3. direct or indirect investments in the Company's share capital that it is aware of pursuant to Articles L. 233-7 and L. 233-12: none (see chapter 1 "Overview of La Banque Postale Group");

4. list of the holders of any securities conferring special control rights and a description of these rights: no security confers special control rights;
5. control mechanisms stipulated under any employee-shareholding scheme, where control rights are not exercised by the employees: not applicable. There is no employee-shareholding scheme;
6. shareholder agreements that the Company is aware of and which may result in restrictions on the transfer of shares and the exercise of voting rights: not applicable. La Banque Postale has a single shareholder;
7. rules applicable to the appointment and replacement of members of the Executive Board as well as to the amendment of the Company's Articles of Association: this information appears in chapter 8 "Articles of Association";
8. powers of the Executive Board, in particular to issue or buy back shares: this information appears in chapter 8 "Articles of Association" (Article 14);
9. agreements entered into by the Company that would be altered or terminated in the event of a change in the Company's control, except where this disclosure would seriously jeopardise its interests, aside from the legal disclosure obligation: not applicable;
10. agreements stipulating compensation for the members of the Executive Board or employees, if they resign or are made redundant without just cause or if their employment is terminated due to a public offering: a very limited number of employees (fewer than 10) is guaranteed end-of-contract compensation in their employment contract.

2.1.3 Corporate bodies

La Banque Postale is a French public limited Company (*société anonyme*) with an Executive Board and a Supervisory Board that is wholly-owned by La Poste. The Company began its activity on 1 January 2006, after having received authorisation from the French Prudential Supervision and Resolution Authority (ACPR) on 2 December 2005.

The choice of a dual corporate governance structure allows a clear division between management and control powers, and guarantees the separation of these powers and the balance between them. Thus, there is a tangible separation between the supervision and management powers of the Executive Board and the control and decision-making powers exercised by the Supervisory Board.

La Banque Postale is subject to the French Commercial Code, the French Monetary and Financial Code, the decree of 3 November 2014 relating to the internal control of companies in the banking, payment services and investment services sectors subject to the French Prudential Supervision and Resolution Authority (ACPR), the regulations of the French Advisory Committee on Financial Legislation and Regulation (CCLRF) as a credit institution, and since 25 May 2016, to order No. 2014-948 of 20 August 2014 relating to the governance and share capital transactions of companies with public shareholdings.

2.1.3.1 The Supervisory Board

2.1.3.1.1 Composition of the Supervisory Board – Appointments and positions held by members of the Supervisory Board

The Company is administered by a Supervisory Board, made up of three to eighteen members, including at least one-third of members representing employees, elected under the conditions provided for in the law on the democratisation of the public sector of 26 July 1983 and, where applicable, a representative designated by the French State and/or members of the Supervisory Board appointed by the General Meeting upon proposal by the State, pursuant to Articles 4, 6 and 7 of order No. 2014-948 of 20 August 2014.

As at the date of this report, the Supervisory Board has fifteen members, namely:

- ▶ ten members appointed by the General Meeting, including the French State; the State representative is appointed by decree;
- ▶ five members representing employees, who are elected.

The Supervisory Board is chaired by Mr Philippe Wahl, Chairman and Chief Executive Officer of La Poste.

Members of the Supervisory Board are elected for a term of office of five years. Among the nine Board members appointed by the General Meeting, other than the State, six carry out management duties in La Poste Group and three are independent.

The appointment of Supervisory Board members upon proposal by La Poste is done according to the positions they hold within the Group.

Appointments and positions held by members of the Supervisory Board

*N.B.: terms of office and functions carried out in companies whose shares are traded on regulated markets are identified by an asterisk**

Philippe WAHL, born in 1956	Biography
Chairman of the Supervisory Board First appointment: 15 October 2013 End of term: 26 February 2023 Board Committees: Member of the Appointments and Compensation Committees Professional address: La Poste –9 rue du Colonel Pierre Avia –75015 Paris Education: Graduate of IEP, Paris, Research Master's Degree in Monetary and Financial Economics, studied at the French National School of Administration (ENA)	▶ Auditor, then Master of Requests at the French Council of State between 1984 and 1988. ▶ From 1986 to 1988, special advisor to the Chairman of the French Stock Exchange Commission's Office. ▶ From 1988 to 1991, Technical Advisor responsible for Monetary, Financial and Tax Affairs at the Prime Minister's Office. ▶ Appointed Advisor to the Chairman of Compagnie Bancaire in 1991, then as a member of the Management Committee in 1992 and Executive Vice-President in 1994. ▶ Appointed Head of Paribas' Specialist Financial Services Division and a member of the Executive Committee in 1997. ▶ Appointed Chief Executive Officer of the Caisse Nationale des Caisses d'Épargne in 1999. ▶ Appointed Chief Executive Officer of the Havas Group in 2005, and Vice-Chairman of the Bolloré Group in 2006. ▶ Appointed Chief Executive Officer of Royal Bank of Scotland's (RBS) French subsidiary in 2007, advisor to the RBS Global Banking and Markets Board in London in 2008, and Chief Executive Officer of RBS's French, Belgian and Luxembourg subsidiaries in 2009. ▶ Executive Vice-President and member of the Executive Committee of the La Poste Group, and Chairman of the Executive Board of La Banque Postale between January 2011 and October 2013. ▶ Vice-Chairman of the French Banking Association between June 2012 and December 2013 and member of the French Banking Federation's Executive Committee between July 2012 and December 2013. ▶ Director since 1 August 2013 and Chairman and Chief Executive Officer of La Poste since 26 September 2013.

Other current appointments**Companies of the Le Groupe La Poste**

- ▶ Chairman and Chief Executive Officer of La Poste (a French public limited Company – SA).
- ▶ Director of Sopassure (a French public limited Company – SA).
- ▶ Director of L'Envol, La Banque Postale's campus (a non-profit association).
- ▶ Permanent Representative of La Poste on the Board of Directors of Poste Immo (a French public limited Company – SA).
- ▶ Permanent Representative of La Poste on the Board of Directors of GeoPost (a French public limited Company – SA).
- ▶ Member of the Strategy Committee of La Poste Silver (a French simplified joint stock Company – SAS).
- ▶ Companies outside the La Poste Group
- ▶ Director and member of the Appointments and Compensation Committee of CNP Assurances* (a French public limited Company – SA).
- ▶ Member of the Institut Montaigne Management Committee.

Appointments that expired during the last five years

- ▶ Member of the Supervisory Board of La Banque Postale Financement (a French public limited Company – SA – with an Executive Board and a Supervisory Board).
- ▶ Member and Chairman of the Board of Directors and of the Appointments and Compensation Committee of La Banque Postale Assurance IARD (a French public limited Company – SA).
- ▶ Chairman and Chief Executive Officer of La Poste (a French public limited Company – SA).
- ▶ Director and Vice-Chairman of the Board of Directors of l'Envoi, the La Banque Postale campus (non-profit association).
- ▶ Member of the Audit Committee of CNP Assurances* (a French public limited Company – SA).
- ▶ Director and Chairman and Chief Executive Officer of SF2 (a French public limited Company – SA).
- ▶ Member and Chairman of the Supervisory Board of La Banque Postale Gestion Privée (a French public limited Company – SA with an Executive Board and a Supervisory Board).
- ▶ Member and Chairman of the Board of Directors of La Banque Postale Assurance Santé (a French public limited Company – SA).
- ▶ Member of the Compensation Committee of La Banque Postale Asset Management, (a French public limited Company – SA with an Executive Board and a Supervisory Board).
- ▶ Member and Chairman of the Board of Directors and of the Appointments and Compensation Committee of La Banque Postale Assurance IARD (a French public limited Company – SA).
- ▶ Representative of La Banque Postale, manager of the limited property investment partnerships CRSF Dom and CRSF Métropole.
- ▶ Director and member of the Audit Committee of Société de financement local (a French public limited Company – SA).
- ▶ Member of the Supervisory Board of the Fonds de garantie des dépôts (Deposit Guarantee Fund).
- ▶ Vice-Chairman of the Association française des banques (French Banking Association).
- ▶ Member of the Executive Committee of the Fédération bancaire française (French Banking Federation).
- ▶ Member and Chairman of the Executive Board and of the Appointments and Compensation Committee of La Banque Postale Asset Management (a French public limited Company – SA with an Executive Board and a Supervisory Board).
- ▶ Member of the Board of Directors of the association Paris Europlace.
- ▶ Permanent Representative of La Poste on the Board of Directors of Sofipost (a French public limited Company – SA).

Attendance rate at the Supervisory Board	100%
Attendance rate at the Appointments Committee	100%
Attendance rate at the Compensation Committee	100%

Yves BRASSART, born in 1960**Vice-Chairman of the Supervisory Board****First appointment:** 24 April 2014**End of term:** 26 February 2023**Board Committees:** Member of the Financial Statements and Risk Committees and Chairman of the Strategy Committee**Professional address:** La Poste – 9 rue du Colonel Pierre Avia – 75015 Paris**Education:** Graduate of IEP Paris, Public Service Section, ENSPTT and the EDHEC business school – DECS (Diploma in advanced accounting)**Biography**

- ▶ Career within the La Poste Group since 1987 From 1987 to 1990, various positions in marketing and sales within La Poste Group's Postal Department. Then Marketing and Sales Director for the Mail/Parcels Division from 1991 to 1993.
- ▶ From 1994 to 1999, Chief Financial Officer for the western France section of the La Poste Group.
- ▶ From 1999 to 2006, Head of La Poste's Financial Services and also Chief Financial Officer for the General Public Network from 2001 to 2003.
- ▶ From 2006 to 2011, Chief Financial Officer of La Banque Postale.
- ▶ From September 2011 to April 2014, Head of Finance and Strategy at La Banque Postale, as well as supervision of the Financial Operations Department from September 2012.
- ▶ From January 2013 to 7 April 2014, member of the Executive Board of La Banque Postale.
- ▶ From 7 April 2014, Executive Vice-President, Chief Financial Officer and member of the Executive Committee of the La Poste Group, then, since 7 September 2015, Executive Vice-President in charge of Finance and Development.

Other current appointments**Companies of the Le Groupe La Poste**

- ▶ Executive Vice-President of La Poste (a French public limited Company – SA) in charge of finance and development.
- ▶ Director and member of the Audit Committee, and since 21 July 2017 member of the Strategy Committee since of Poste Immo (a French public limited Company – SA).
- ▶ Director and member of the Audit and Financial Statements Committee and of the Strategy Committee of Geopost (a French public limited Company – SA)
- ▶ Member of the Supervisory Committee of Vehiposte (a French simplified joint-stock Company – SAS).
- ▶ Member of the LP/SFR Strategy Committee of La Poste Telecom (a French simplified joint-stock Company – SAS).
- ▶ Permanent representative of La Poste, non-voting advisor of Siparex Associés (a French public limited Company – SA).
- ▶ Permanent representative of La Poste, member of the Supervisory Board of Siparex Proximité Innovation (a French simplified joint-stock Company – SAS).
- ▶ Member of the Strategy Committee of La Poste Silver (a French simplified joint-stock Company – SAS)

Companies outside the La Poste Group

- ▶ None.

Appointments that expired during the last five years

- ▶ Chairman of Galliéni SF2-3, Galliéni SF2-4, Galliéni SF2-5 and Galliéni SF2-6 (French simplified joint-stock companies – SAS).
- ▶ Member of the Executive Board and the Audit Committee of La Banque Postale (a French public limited Company – SA – with an Executive Board and a Supervisory Board).
- ▶ Director of SF2 (a French public limited Company – SA).
- ▶ Member of the Supervisory Board and the Audit Committee of La Banque Postale (a French public limited Company – SA – with an Executive Board and a Supervisory Board).
- ▶ Director of Préviposte (a French public limited Company – SA).
- ▶ Permanent Representative of SF2 on the Board of Directors, member and Chairman of the Audit Committee, member of the Finance Committee and Independence Committee of La Banque Postale Prévoyance (a French public limited Company – SA).
- ▶ Permanent Representative of SF2 on the Supervisory Board, member of the Audit Committee and member and Chairman of the Appointments and Compensation Committee of La Banque Postale Financement (a French public limited Company – SA – with an Executive Board and a Supervisory Board).
- ▶ Director and member of the Audit Committee of La Banque Postale Assurances IARD (a French public limited Company – SA)
- ▶ Member and Chairman of the Board of Directors of La Banque Postale Home Loan SFH (a French public limited Company – SA).
- ▶ Chairman of Issy La Banque Postale (a French simplified joint-stock Company – SAS).
- ▶ Chairman of Auxiliaire Transactions Immobilières (a French simplified joint-stock Company – SAS).
- ▶ Member of the Directors Committee and the Audit and Risk Committee of La Banque Postale Crédit Entreprises (a French simplified joint-stock Company – SAS)
- ▶ Chairman of the “LBPAM Obli Monde” mutual fund.
- ▶ Permanent representative of La Poste, Member of the Supervisory Board of XAnge Private Equity (a French simplified joint-stock Company – SAS).
- ▶ Chairman of LP 2 (a French simplified joint-stock Company – SAS)
- ▶ Chairman of the Supervisory Board of XAnge Capital (a French public limited Company – SA – with an Executive Board and a Supervisory Board) until 31 March 2017.

Attendance rate at the Supervisory Board	100%
Attendance rate at the Financial Statements Committee	100%
Attendance rate at the Risk Committee	100%
Attendance rate at the Strategy Committee	100%

Elisabeth AYRAULT, born in 1955**Independent member of the Supervisory Board**

First appointment: 15 April 2016

End of term: 26 February 2023

Board Committees: Member of the Appointments Committee, the Compensation Committee and the Strategy Committee up to 26 February 2018

Professional address: CNR – 28 boulevard Raspail – 75007 Paris

Education: DPLG (government-registered) architect – Graduate of the Institut agronomique méditerranéen (IAM) (Mediterranean Agronomic Institute) and of the Institut d'administration des entreprises (IAE) (Business Administration Institute) – DEA (Research Master's) in Urban Geography

Biography

- ▶ From 1980 to 1986, established the Terrain Vague architecture and urban planning agency.
- ▶ From 1987 to 1991, real estate development and arranging transactions at SAE then SETIC.
- ▶ From 1991 to 1997, Côte d'Azur Regional Manager at Dumez Immobilier Promotion, a Suez subsidiary.
- ▶ From January 1998 to December 2008, Key Accounts Manager, then Europe Sales Manager, and finally Ile de France Region Chief Executive Officer at Elyo, a subsidiary of the GDF-Suez Group.
- ▶ From January 2009 to June 2013, Executive Vice-President of SITA France, after having been Chief Executive Officer of SITA Ile de France.
- ▶ Since July 2013, Chairman of the Executive Board of CNR (Compagnie Nationale du Rhône) and from September 2013 to June 2016, Chairman of the Board of Directors of SHEM (Société hydro-électrique du Midi).

Other current appointments**Companies of the Le Groupe La Poste**

- None.

Companies outside the La Poste Group

- Member and Chairman of the Executive Board of CNR (a French public limited Company – SA – with an Executive Board and a Supervisory Board).
- Member of the Supervisory Board and Chairman of the Audit Committee of the Grand Port Maritime de Marseille (Port of Marseille) (Public institution).
- Permanent Director of the Fondation Rovaltain.
- Member of the Board of Directors of the Syndicat des énergies renouvelables (Renewable Energies Association)

Appointments that expired during the last five years

- Permanent Representative of Sita France on the Board of Directors of Sita Oise (a French simplified joint-stock Company – SAS).
- Permanent Representative of Sita France on the Board of Directors of Sita Lorraine (Ltd).
- Permanent Representative of Sita France on the Board of Directors of Sita Dectra (a French public limited Company – SA).
- Permanent Representative of Sita France on the Board of Directors of Recydem.
- Permanent Representative of Sita France on the Board of Directors of Cycleade (a French simplified joint-stock Company – SAS).
- Chairman of Osyls (a French simplified joint-stock Company – SAS).
- Chairman of Ysee.
- Chairman of Sit'Alternatif (a French simplified joint-stock Company – SAS).
- Director of Val'Horizon (a French simplified joint-stock Company – SAS).
- Director of Sita Agora (a French public limited Company – SA).
- Director of Scori (a French public limited Company – SA).
- Executive Vice-President, Vice-Chairman of the Board of Directors and Permanent Representative of Sita France on the Board of Directors of Novergie (a French simplified joint-stock Company – SAS).
- Member and Chairman of the Board of Directors of Sita Centre Est (a French simplified joint-stock Company – SAS).
- Member and Chairman of the Board of Directors of Sita Nord (a French public limited Company – SA).
- Member and Chairman of the Board of Directors of Sita IDF (a French simplified joint-stock Company – SAS).
- Member of the Management Committee of Energalys (a French simplified joint-stock Company – SAS).
- Chairman of Ivry Paris-XIII (a French simplified joint-stock Company – SAS).
- Chairman of CN'Air (a French simplified joint-stock Company – SAS).
- Member and Chairman of the Supervisory Board of Lyon Terminal (a French public limited Company – SA – with an Executive Board and Supervisory Board).
- Member and Chairman of the Board of Directors of SHEM (a French public limited Company – SA).
- Alternate Director of the Fondation d'entreprise ENGIE.
- Member of the Board of Directors of the Union française de l'électricité (professional organisation) until 30 September 2017.
- Member of the Nomination, Compensation and Strategy Committees of La Banque Postale (a French limited Company – SA – with an Executive Board and a Supervisory Board) up to 26 February 2018.

Attendance rate at the Supervisory Board	83.5%
Attendance rate at the Appointments Committee	100%
Attendance rate at the Compensation Committee	100%
Attendance rate at the Strategy Committee	75%

Philippe BAJOU, born in 1958**Permanent Representative of La Poste, member of the Supervisory Board****First appointment:** 5 April 2016**End of term:** 26 February 2023**Board Committees:** None**Professional address:** La Poste -9 rue du Colonel Pierre Avia – 75015 Paris**Education:** Graduate of ENSPTT – Degree in electronics (Paris-XI)**Biography**

- Has worked within the La Poste Group since 1982.
- Policy officer at the French Post and Telecommunications Ministry with the director of Joint Projects in 1989, then various positions within the Financial Department of La Poste.
- Head of Financial Affairs and Investments at La Poste in 1995, responsible for the CCP (postal chequeing accounts) fund management project from 1998.
- Chief Executive Officer of Efposte in 2000.
- Member of the Executive Board of La Banque Postale from December 2005 to January 2013.
- Executive Vice-President of the La Poste Group and Chief Executive Officer of the La Poste Network from December 2012 to June 2015.
- Became Executive Vice-President in charge of the transformation of the La Poste Group on 19 February 2015,
- General Secretary and Executive Vice-President of the La Poste Group since 2 February 2016.

Other current appointments	Appointments that expired during the last five years
Companies of the Le Groupe La Poste ▶ Chief Executive Officer and General Secretary, of La Poste (a French public limited Company – SA). ▶ Chairman of the Board of Directors of Poste Immo (a French public limited Company – SA). ▶ Director of L'Envol, La Banque Postale's campus (a non-profit association). ▶ Director of Fondation La Poste. ▶ Member of the Strategy and Finance Committee of La Poste Telecom (a French simplified joint-stock Company – SAS). ▶ Director and member of the Appointments and Compensation Committee of GeoPost (a French public limited Company – SA). ▶ Chairman of the Supervisory Committee of Vehiposte (a French simplified joint-stock Company – SAS). ▶ Member of the Strategy and Finance Committee of Alterego (a French simplified joint-stock Company – SAS). Companies outside the La Poste Group ▶ None.	▶ Member of the Supervisory Board of BPE (a French public limited Company – SA). ▶ Member and Chairman of the Directors Committee of Easybourse (a French simplified joint-stock Company – SAS). ▶ Member of the Executive Board of La Banque Postale (a French public limited Company – SA – with an Executive Board and a Supervisory Board). ▶ Permanent Representative of SF2, director and member of the Finance Committee of La Banque Postale Assurances IARD (SA). ▶ Member and Chairman of the Supervisory Board of La Banque Postale Asset Management (a French public limited Company – SA – with an Executive Board and a Supervisory Board). ▶ Member and Chairman of the Administration Committee and the Audit Committee of La Banque Postale Crédit Entreprises (a French simplified joint-stock Company – SAS). ▶ Member and Chairman of the Supervisory Board of La Banque Postale Gestion Privée (a French public limited Company – SA with an Executive Board and a Supervisory Board). ▶ Permanent representative of La Banque Postale, director of the Office de Coordination bancaire et financière (Banking and Financial Coordination Office) (non-profit association). ▶ Member and Chairman of the Directors Committee of Titres Cadeaux (a French simplified joint-stock Company – SAS). ▶ Member and Vice-Chairman of the Board of Transactis (a French simplified joint-stock Company – SAS). ▶ Permanent Representative of SF2, director of Tocqueville Finance (a French public limited Company – SA). ▶ Permanent Representative of SF2, director of Tocqueville Finance Holding (a French simplified joint-stock Company – SAS). ▶ Member and Vice-Chairman of the Scientific Committee of the École de la banque et du réseau. ▶ Representative of Poste Immo, Managing Director of SCI 44 Vaugirard, SCI Activités Courrier Industriel, SCI Activités Annexes, SCI Activités Colis and SCI Activités Courrier de Proximité (property investment limited partnership companies), SCCV Rue du Champ Macret Roye, SCCV Roye Nord, SCCV PI Marseille Colbert and SCCV PI 14 (property development companies), SCI PI Bordeaux – Tourville, SCI PI 11, SCI BP, SCI BP Mixte, SCI Centre de Loisirs, SCI PI Route du Moulin Bateau – Bonneuil, SCI La Bataille, SCI Logement, SCI Tertiaire, SCI Tertiaire Mixte, SCI Dom, SCI Arkadea Lyon Girondins, SCI Arkadea Marseille Saint Victor, SCI Arkadea Fort de France, SCI Arkadea Lyon Croix Rousse, SCI Arkadea Rennes Trigone, SC Pyxis, SCI Green Opale and SCI 51 La Boétie (property investment limited partnership companies). ▶ Representative of Poste Immo, Chairman of the companies Poste Immo Invest, Ciposte, Locaposte, Immostoc and Poste Immo Développement (SAS) until 6 February 2017. ▶ Chief Executive Officer of Poste Immo (a French public limited Company – SA) until 6 February 2017.
Attendance rate at the Supervisory Board	100%

Virgile BERTOLA, born in 1972	Biography
Member of the Supervisory Board First appointment: 19 February 2016 End of term: 26 February 2023 Board Committees: Member of the Strategy, Financial Statements, and Risk Committees Professional address: La Poste -9 rue du Colonel Pierre Avia – 75015 Paris Education: Degree in chartered accountancy and DESS (post-graduate degree) in Corporate Finance (Paris-Dauphine University)	▶ From October 1996 to December 2003, manager at Andersen. ▶ From January 2004 to February 2007, Senior Manager at Deloitte. ▶ From March 2007 to April 2012, Manager of financial control and consolidation, reporting to the Executive Vice-President – Finance and Administration at Nexans. ▶ From May 2012 to March 2016, Manager of financial control of the La Poste Group reporting to the Executive Vice-President responsible for Group finance and development: monitoring the performance of the various branches, including La Banque Postale. ▶ Since 1 March 2016, director of strategy, outlook and innovation at the La Poste Group.

Other current appointments	Appointments that expired during the last five years
Companies of the Le Groupe La Poste ▶ Director of strategy, outlook and innovation for La Poste (a French public limited Company – SA). ▶ Member of the Supervisory Board of Siparex Proximité Innovation (a French simplified joint-stock Company – SAS). ▶ President of La Poste Intrapreneuriat (SAS) since 30 May 2017. Companies outside the La Poste Group None.	None.
Attendance rate at the Supervisory Board	100%
Attendance rate at the Financial Statements Committee	67%
Attendance rate at the Risk Committee	100%
Attendance rate at the Strategy Committee	100%

Nathalie DIERYCKXVISSCHERS, born in 1974	Biography
Member of the Supervisory Board from 2 October 2014 to 25 May 2016, and since then Permanent Representative of the French Government, Member of the Supervisory Board First appointment: 2 October 2014 End of term: 26 February 2018 Board Committees: Member of the Strategy, Financial Statements, Risk, Appointments and Compensation Committees Professional address: Ministry of Economy and Finance, French Investments Agency (APE) -139, rue de Bercy Télédéc 228 – 75572 Paris cedex 12 Education: Holder of a DEA (Research Master's) in private wealth law – Former student at the École normale supérieure de Cachan – studied at the French National School of Administration (ENA) – Certificate of aptitude for the profession of lawyer (CAPA) – Associate Professor in economics and management	▶ From September 1999 to May 2001, legal expert then lawyer specialising in business law at the firm Chaillot Miellet in Paris. ▶ From May 2001 to August 2005, Project Leader with the Energy Regulatory Commission. ▶ From September 2004 to May 2010, at the Ministry of Economy, Finance and Industry, legal consultant to the Industrial and Financial law Office of the Legal Affairs Division (September 2004 to October 2005) and Assistant to the Head of the Office of Insurance Companies and Brokers with the French Treasury Department (April 2009 to May 2010). ▶ From September 2010 to August 2014, Assistant Financial Advisor for the Commonwealth of Independent States and Georgia at the French Embassy in Russia. ▶ Since August 2014, Manager of Holdings in the Services and Finances Equity Department of the French Investment Agency (APE).

Other current appointments	Appointments that expired during the last five years
Companies of the Le Groupe La Poste ▶ None. Companies outside the La Poste Group ▶ Head of holdings with the Department of Holdings in the Services and Finance Section of the Government Holdings Agency. ▶ Representative of the French Government, member of the Supervisory Board and the Audit Committee of the Montpellier-Mediterranean Airport (a French limited Company – SA -with an Executive Board and a Supervisory Board).	▶ Member of the Audit Committee and member and State representative on the Supervisory Board of La Banque Postale (a French public limited Company – SA – with an Executive Board and a Supervisory Board).
Attendance rate at the Supervisory Board	0%*
Attendance rate at the Financial Statements Committee	0%*
Attendance rate at the Risk Committee	0%*
Attendance rate at the Appointments Committee	0%*
Attendance rate at the Compensation Committee	0%*
Attendance rate at the Strategy Committee	0%*

* on long-term leave.

Sylvie FRANÇOIS, born in 1954**Member of the Supervisory Board****First appointment:** 15 April 2016**End of term:** 26 February 2023**Board Committees:** Member of the Appointments and Compensation Committees up to 26 February 2018**Professional address:** La Poste - 9 rue du Colonel Pierre Avia - 75015 Paris**Education:** Graduate of IEP Paris - studied at the French National School of Administration (ENA) - holds a degree in law and a DEA (Research Master's) in labour law**Biography**

- ▶ From 1980 to 1997, alternated between ministerial office positions and positions of responsibility in the administration: Office Manager for the Employment Division at the Labour Ministry in 1980, Technical Advisor to the Office of the Minister of Social Affairs and Health in 1983, Chief of Staff for the Secretary of State for Technological and Technical Education from 1985 to 1986 and from 1988 to 1989, Technical Advisor responsible for the renewal of the public service with Michel Rocard from 1989 to 1992 and Deputy Director of Training Courses at the Ministry of Higher Education and Research from 1992 to 1997.
- ▶ From 1997 to February 2008, Head of Human Resources and member of the Executive Committee of CCF-HSBC France.
- ▶ From February 2008 to September 2012, Head of Human Resources for La Banque Postale and its financial services.
- ▶ Since September 2012, Executive Vice-President, Head of Human Resources and Employee Relations for the La Poste Group.

Other current appointments**Companies of the Le Groupe La Poste**

None.

Companies outside the La Poste Group

- ▶ Director of La Mutuelle Générale (a mutual insurance Company).
- ▶ Director and member of the Economics and Strategy Committee of the RATP (Epic).
- ▶ Director of Loyer Modéré Toit et Joie (a French public limited Company - SA).

Appointments that expired during the last five years

- ▶ Member of the Compensation Committee of La Banque Postale (a French limited Company - SA - with an Executive Board and Supervisory Board) up to 26 February 2018.

Attendance rate at the Supervisory Board

67%

Attendance rate at the Appointments Committee

50%

Attendance rate at the Compensation Committee

33.5%

Thierry FRESLON, born in 1968**Employee representative member of the Supervisory Board****First appointment:** 1 December 2015**End of term:** 26 February 2023**Board Committees:** Member of the Financial Statements and Risk Committees**Professional address:** AVEA - 8, rue Brillat Savarin - 75013 Paris**Education:** Certificate in Economics and Employee Relations, IEP Paris - CESB and CESA, HEC DECF - Advanced vocational training certificate in accounting and business management, distinction in English**Biography**

- ▶ Pursued a career in property firms and companies, notably as an accountant and treasurer from 1990 to 1994.
- ▶ Joined the La Poste Group in 1995 and notably held the position of Assistant Chief Accountant of the Group Central Treasury Department from 1996 to 1999.
- ▶ From 2000 to 2005, Manager of bank-related accounting, then central accounting at Etiposte.
- ▶ From 2006 to 2011, Special Advisor to the Accounting Department of La Banque Postale and, in parallel, Secretary of the Works Council.
- ▶ From 2012 to 31 December 2015, Manager of Internal Control Procedures and General Resources at Transactis.
- ▶ Since 1 December 2015, Employee Representative on the Supervisory Board of La Banque Postale.
- ▶ Since January 2016, Chairman of AVEA La Poste, a non-profit association of the La Poste Group.

Other current appointments**Companies of the Le Groupe La Poste**

- ▶ Chairman of AVEA La Poste (association).

Companies outside the La Poste Group

- ▶ None.

Appointments that expired during the last five years

- ▶ None.

Attendance rate at the Supervisory Board

100%

Attendance rate at the Financial Statements Committee

100%

Attendance rate at the Risk Committee

86%

Jean-Pierre HAKIZIMANA, born in 1957**Employee representative member of the Supervisory Board****First appointment:** 27 February 2018**End of term:** 26 February 2023**Board Committees:** Member of the Strategy Committee**Professional address:** La Banque Postale – 115, rue de Sèvres – 75275 Paris cedex 06**Education:** Degree from ENSPT - MBA in Network Company Management – DESS (Master's level degree) in Marketing and Management from ISGE-Intec in Lyon – DA (post-graduate degree) in Telecoms Engineering from CESPTOM in Toulouse**Biography**

- ▶ From 1996 to 1998, Financial Controller, Head of Marketing in charge of development at France Telecom's Regional Department of Evry.
- ▶ Joined La Poste in 1999 in the Financial Services Operations Department as project manager for improving the reliability of IT Systems, then as Head of project management and IT management until 2005.
- ▶ From 2006 to 2012, Head of project management at the Finance and Strategy Department of La Banque Postale.
- ▶ From 2012 to 2015, Head of the microcredit market and social partnership activity of the Retail Banking Division of La Banque Postale.
- ▶ Since January 2016, in charge of the overhaul of the account-keeping project of the Concerto programme within the Operations Division of La Banque Postale.

Other current appointments**Companies of the Le Groupe La Poste**

- ▶ None.

Companies outside the La Poste Group

- ▶ None.

Appointments that expired during the last five years

- ▶ None.

Jean-Robert LARANGE, born in 1954**Employee representative member of the Supervisory Board****First appointment:** 27 February 2008**End of term:** 26 February 2018**Board Committees:** None**Professional address:** La Banque Postale – 115, rue de Sèvres – 75275 Paris cedex 06**Education:** Graduate of the Institut supérieur du commerce international (ISCID-IFCE) and holder of a Master's degree in International Affairs from EDHEC**Biography**

- ▶ Held sales and marketing positions at a number of companies (including Thomson-CSF, Alliance.com, and Iris Développement).
- ▶ Joined the La Poste Group in 2002 as the Head of Business Finance Sales Development in the Paris and Île-de-France Financial Centre, then made responsible for monitoring Internal Audit Department recommendations at La Banque Postale.
- ▶ Head of Banking Services in the jointly-managed La Poste Network and in non-post office entities from 2006 to July 2014.
- ▶ Since July 2014, seconded to the ADIE Sud-Ouest, which manages the partnership between La Banque Postale and ADIE and the professional coaching of entrepreneurs and business creators.

Other current appointments**Companies of the Le Groupe La Poste**

None.

Companies outside the La Poste Group

None.

Appointments that expired during the last five years

- ▶ Member of the Strategy Committee of La Banque Postale (a French public limited Company – SA – with an Executive Board and a Supervisory Board).

Attendance rate at the Supervisory Board

50%

Sophie LOMBARD, born in 1969**Independent member of the Supervisory Board****First appointment:** 15 April 2016**End of term:** 26 February 2023**Board Committees:** Member of the Strategy, Financial Statements and Risk Committees and Chairman of the Appointments and Compensation Committees**Professional address:** –**Education:** Graduate of the EDHEC Business School – MBA from Columbia Business School, NY**Biography**

- ▶ From 1992 to 1995, Société Générale, marketing and sales of structured fixed-income products for customers in France, Switzerland and Benelux (capital markets, options division).
- ▶ From 1997 to 2001, at Deutsche Bank, Associate then Vice-Chairman, in London and Paris.
- ▶ From 2001 to 2012, at PAI Partners: deal-making and monitoring of investments in the consumer goods and distribution sector:
 - From 2001 to 2009, Investment Director then Principal
 - From 2010 to 2012, Partner
 - From 2013 to 2017, founder and Managing Director of Eloa Conseil, advisor on strategy and investments with investment funds.
- ▶ Since the start of 2017, Partner, and since 31 August, Managing Director at Parvilla.

Other current appointments		Appointments that expired during the last five years	
Companies of the Le Groupe La Poste		- Director of Marcolin (a French public limited Company – SA). - Executive Vice-President and director of Financière Gaillon 8 (a French public limited Company – SA). - Manager at Eloa Conseil (a French private limited Company – SARL)	
None.			
Companies outside the La Poste Group			
- Director, member of the Audit Committee and Appointments and Compensation Committee of Kaufman et Broad (a French public limited Company – SA). - Member of the Investment Committee of Citizen Capital (fund). - Member of PAI Human Capital (endowment fund). - Member of the Strategy Committee of the Centre TedyBear (a French simplified joint-stock Company – SAS). - Managing Director at Parvilla (a French simplified joint-stock Company – SAS) since 31 August 2017.			
Attendance rate at the Supervisory Board		100%	
Attendance rate at the Financial Statements Committee		100%	
Attendance rate at the Risk Committee		100%	
Attendance rate at the Appointments Committee		100%	
Attendance rate at the Compensation Committee		100%	
Attendance rate at the Strategy Committee		100%	
Steve MAIGNE, born in 1969		Biography	
Employee representative member of the Supervisory Board		- Pursued a career within the La Poste Group as a Financial Advisor, and then as a Customer Service Manager from 1998 to 2004. - Regional secretary for the Paris/Île-de-France CFE-CGC trade union, responsible for the La Poste General Public Network, member of La Poste's Employee-Relations Committees until 2007. - Employee representative on the Supervisory Board of the La Poste Employee Savings Fund until 2007. - From 2008 to 2013, Head of the Internal Synergies Project within La Banque Postale's Social and Local Economy Department. - Since 2013, Quality Manager for the Compliance Department of La Banque Postale.	
First appointment: 27 February 2008			
End of term: 26 February 2023			
Board Committees: Member of the Financial Statements and Risk Committees			
Professional address: La Banque Postale – 115, rue de Sèvres – 75275 Paris cedex 06			
Education: Sales and finance			
Other current appointments		Appointments that expired during the last five years	
Companies of the Le Groupe La Poste		- Member of the Audit Committee of La Banque Postale (a French public limited Company – SA – with an Executive Board and a Supervisory Board). - Director of Logipostel (a rent-controlled housing production Company). - Alternate Director and member of the financial and markets commissions of Urssaf Ile de France (social security contributions collection agency of greater Paris).	
None.			
Companies outside the La Poste Group			
Permanent member of the Instance paritaire territoriale (Territorial Joint Body) of the Paris Ile de France Employment Office (Pôle Emploi).			
Attendance rate at the Supervisory Board		83.5%	
Attendance rate at the Financial Statements Committee		100%	
Attendance rate at the Risk Committee		86%	
Françoise PAGET BITSCH, born in 1957		Biography	
Employee representative member of the Supervisory Board		- Joined the La Poste Group in 1979 as a branch management executive. - Held positions as Business Development Manager, Deputy Branch Manager and then Branch Manager until 1994. - Delegate management controller until 2001, more specifically in charge of the implementation and supervision of the management cycle for the Management Contracts Division. - Project leader for the switch to the euro in the Vaucluse department. - Departmental management controller for the mail activity. - Since 2006, Banking Controller (Marseille) in the management of territorial control strategies.	
First appointment: 11 March 2009			
End of term: 26 February 2018			
Board Committees: Member of the Strategy Committee			
Professional address: La Banque Postale – 115, rue de Sèvres – 75275 Paris cedex 06			
Education: Degree in fluid mechanics (University of Aix-Marseille)			
Other current appointments		Appointments that expired during the last five years	
Companies of the Le Groupe La Poste		None.	
None.			
Companies outside the La Poste Group			
None.			
Attendance rate at the Supervisory Board		100%	
Attendance rate at the Strategy Committee		100%	

Didier RIBADEAU DUMAS, born in 1946**Independent member of the Supervisory Board****First appointment:** 13 February 2006**End of term:** 26 February 2023**Board Committees:** Member of the Strategy and the Compensation Committees, Chairman of the Financial Statements, Risks and Appointments Committees.**Professional address:** -**Education:** Studied at the French National School of Administration (ENA) – law degree**Biography**

- Pursued a career at the French Ministry of the Economy and Finance from 1971 to 1984; Deputy-Director at the Treasury from 1981 to 1984.
- Chief Executive Officer of a CIC Group bank until 1989.
- Vice-Chairman, then Senior Vice-Chairman at the Paris office of the Boston Consulting Group until 2006.
- Managing Partner of DRD Conseil (2006-2012) and Partner in Courcelles (2007-2012).

Other current appointments**Companies of the Le Groupe La Poste**

- Director, Chairman of the Appointments and Compensation Committee, member of the Strategy Committee and the Audit Committee of Poste Immo (a French public limited Company – SA).
- Member of the Supervisory Board of BPE (a French public limited Company – SA).

Companies outside the La Poste Group

- Managing Partner of Sauvigny (a limited property investment partnership – SCI).
- Representative of ABC Arbitrage on the Board of Directors of ABC Asset Management (a French public limited Company – SA).
- Director of ABC Arbitrage (a French public limited Company – SA).
- Member of the Supervisory Committee of Comgest (a French public limited Company – SA).

Appointments that expired during the last five years

- Director of La Mondiale (a mutual insurance Company – SAM).
- Director of AG2R La Mondiale (a mutual Group insurance Company – SGAM).
- Chairman of the Audit Committee and of the Appointments and Compensation Committee of La Banque Postale (a French public limited Company – SA – with an Executive Board and a Supervisory Board).

Attendance rate at the Supervisory Board	83.5%
Attendance rate at the Financial Statements Committee	67%
Attendance rate at the Risk Committee	86%
Attendance rate at the Appointments Committee	100%
Attendance rate at the Compensation Committee	100%
Attendance rate at the Strategy Committee	75%

Emmanuel RONDEAU, born in 1962**Independent member of the Supervisory Board****First appointment:** 27 February 2018**End of term:** 26 February 2023**Board Committees:** Member of the Strategy, Appointments and Compensation Committees, Chairman of the Financial Statements and Risk Committees**Professional address:** -**Education:** Graduated from Sup de Co in Reims**Biography**

- From 1986 to 1991, Relationship Officer of the Corporate Division of Banque Indosuez.
- From 1991 to 1995, Deputy Head of the Corporate Division of Banque de gestion privée.
- From 1995 to 2002, Senior Banker then Co-Head of Corporate Origination of ING Group France.
- From 2002 to 2010, member of the Executive Committee and Head of Corporate Origination at RBS France.
- From 2010 to 2017, director of Risk & Conduct Assurance, then member of the Risk Committee of Royal Bank of Scotland (RBS) in London.

Other current appointments**Companies of the Le Groupe La Poste**

- None.

Companies outside the La Poste Group

- None.

Appointments that expired during the last five years

- None.

Sabrina ROSTAING-PARIS, born in 1978**Employee representative member of the Supervisory Board****First appointment:** 27 February 2018**End of term:** 26 February 2023**Board Committees:** Member of the Appointments and Compensation Committees**Professional address:** La Banque Postale – 115, rue de Sèvres – 75275 Paris cedex 06**Education:** Master in management, Sydney Business School – PhD in Economics, Université Montesquieu-Bordeaux-IV**Biography**

- ▶ From 2009 to 2015, Economist in the Finance and Strategy Division at La Banque Postale.
- ▶ Since 2015, Project Manager, Home Loans, Retail Banking Department of La Banque Postale.
- ▶ At the same time, from 2015 to 2017, economics professor in business schools (ESG and ESCEN).

Other current appointments**Companies of the Le Groupe La Poste**

- ▶ None.

Companies outside the La Poste Group

- ▶ None.

Appointments that expired during the last five years

- ▶ None.

Nicolas ROUTIER, born in 1963**Member of the Supervisory Board****First appointment:** 30 July 2015 (effective 1 September 2015)**End of term:** 26 February 2023**Board Committees:** None**Professional address:** La Poste – 9 rue du Colonel Avia 75015 Paris**Education:** Graduated from IEP Paris and ENSPTT – Degree in economics**Biography**

- ▶ Has worked within the Le Groupe La Poste since 1988. From 1988 to 1991, Strategic Planning Manager and Economic and Financial Strategy Manager, then from 1991 to 1994, Head of the Management Control Service in the Group Financial Department.
- ▶ In 1994, Head of La Poste de l'Oise.
- ▶ In 1997, member of La Poste's Operational Committee. Creation of the Purchasing Department, which he headed until 2001.
- ▶ In parallel, from 1998 to 2001, Head of Management Control.
- ▶ From 2001, Head of Strategy, member of the Executive Committee and from mid-2002, Executive Vice-President, Group Strategic Development.
- ▶ From 2004 to 2009, Advisor to the Group Chairman. Also in 2004 became Chairman of the Direct Distribution Trade Association.
- ▶ From March 2009 to June 2014, Chief Executive Officer of Mail. Also appointed Chairman of the Postal Operators Trade Association.
- ▶ From July 2014 to September 2015, Executive Vice-President of the La Poste Group and Chief Executive Officer of Mail and Parcel -Services.
- ▶ Since 7 September 2015, Executive Vice-President of the La Poste Group in charge of institutional strategy and regulation.

Other current appointments**Companies of the Le Groupe La Poste**

- ▶ Executive Vice-President in charge of institutional strategy and regulation for La Poste (a French public limited Company – SA).
- ▶ Director of Geopost (a French public limited Company – SA).
- ▶ Director of Poste Immo (a French public limited Company – SA).
- ▶ Member of the Supervisory Board of Véhiposte (a French simplified joint-stock Company – SAS).

Companies outside the La Poste Group

- ▶ None.

Appointments that expired during the last five years

- ▶ Director and member of the Policy Committee of Docapost (a French simplified joint-stock Company – SAS).
- ▶ Director and Chairman of the Board of Directors of Sofipost (a French public limited Company – SA).
- ▶ Member and Vice-Chairman of the Board of Directors of Asendia Holding AG (a Swiss Company).
- ▶ Member and Vice-Chairman of the Board of Directors of Asendia Management (a French simplified joint-stock Company – SAS).
- ▶ Member of the Policy Committee of Mediapost Holding (a French simplified joint-stock Company – SAS).
- ▶ Director of La Poste Global Mail (a French simplified joint-stock Company – SAS).
- ▶ Member of the Policy Committee of Viapost (a French simplified joint-stock Company – SAS).
- ▶ Member of the Supervisory Board of Fret GV (a French simplified joint-stock Company – SAS)

Attendance rate at the Supervisory Board

83.5%

Thierry VIAROUGE, born in 1965**Employee representative member of the Supervisory Board****First appointment:** 27 February 2018**End of term:** 26 February 2023**Board Committees:** Member of the Strategy Committee**Professional address:** La Banque Postale – 115, rue de Sèvres – 75275 Paris cedex 06**Education:** Banking Management at HEC-CESA; DESS (specialised Master's level degree) in Banking and Finance, University Paris-V; D.E.S (specialised graduate degree) from the Institut technique de banque.**Biography**

- ▶ Worked for LCL from 1985 to 1997:
 - Head of the back office from 1985 to 1987 and Credit Analyst from 1988 to 1991.
 - From 1992 to 1994, Project manager in the Corporate business centres.
 - From 1995 to 1997, Business Development Manager of the Corporate and Operations Divisions in Paris.
- ▶ De 1998 à 1999, Auditor of the Financial Centres of the Financial Customers Department of La Poste.
- ▶ From 2000 to 2001, Internal Controller of the Management Board of Oséo Filiale Procrédit-Probail.
- ▶ In 2001, Senior Auditor of the Management and Savings Department of the AMF (French Market Authority).
- ▶ From 2001 to 2006, La Poste: In charge of specialised areas in the Operations Department of the Financial Services Division from 2001 to 2004 and project manager in the Financial Customers Department from 2005 to 2006.
- ▶ From 2006 to 2010, Interbank Correspondent in the Interbank Relations Department of La Banque Postale.
- ▶ From 2010 to 2014, Supervisor of the steering of the audit activity at the national level in the Internal Audit Department of La Banque Postale.
- ▶ Since 2015, Interbank Correspondent of the service in charge of regulation of partnerships and external relationships of the Payments Department (Solutions Division) of La Banque Postale.

Other current appointments**Companies of the Le Groupe La Poste**

- ▶ None.

Companies outside the La Poste Group

- ▶ Member of the Supervisory Board of the Company Atout Pierre Diversification (French REIT)
- ▶ Member of the Supervisory Board of the Company Actipierre Europe (French REIT)
- ▶ Member of the Supervisory Board of Ciloger Habitat (French REIT)

Appointments that expired during the last five years

- ▶ None.

Hélène WOLFF, born in 1955**Employee representative member of the Supervisory Board****First appointment:** 26 October 2006**End of term:** 26 February 2018**Board Committees:** Member of the Strategy, Appointments and Compensation Committees**Professional address:** La Banque Postale – 115, rue de Sèvres – 75275 Paris cedex 06**Education:** DEA (Master of advanced studies) in International Economics, DESS (specialised Master's) in Financial Markets, DEA in Energy Economics**Biography**

- ▶ Head of Marketing at Crédit Mutuel until 1988, then held a number of management positions in financial companies.
- ▶ Joined the La Poste Group in 1993, occupying a number of positions, including Accounting Planner, and Project Manager in the payroll and banking process units.
- ▶ Since 2006, Head of Project Management Assistance in La Banque Postale, then Project Quality Manager and in charge of competitive intelligence in the Marketing Department

Other current appointments**Companies of the Le Groupe La Poste**

None.

Companies outside the La Poste Group

None.

Appointments that expired during the last five years

- ▶ Member of the Audit Committee and Appointments and Compensation Committee of La Banque Postale (a French public limited Company – SA – with an Executive Board and a Supervisory Board).

Attendance rate at the Supervisory Board	67%
Attendance rate at the Appointments Committee	50%
Attendance rate at the Compensation Committee	33%
Attendance rate at the Strategy Committee	75%

Dominique BOCQUET, born in 1957**Government Commissioner**

Replaced by Yves Ullmann appointed by decree on 9 February 2018

Professional address: Ministry of the Economy, Finance and Industry, 139 rue de Bercy – 75572 Paris cedex 12

Education: Graduate of the IEP Paris – Studied at the French National School of Administration (ENA – Promotion Solidarité [Solidarity class])

Published works:

Génération Europe (Éditions François Bourin, 1989).

France-Allemagne un couple en panne d'idées (Fondation Saint-Simon, 1996)

Pour une mondialisation raisonnée. Les révolutions discrètes de l'OCDE (La Documentation Française, 2012).

Biography

- ▶ Special Advisor at the Treasury Department, French Ministry of Economy and Finance (1987-1990)
- ▶ General Secretary of the Mouvement européen France from 1991 to 1996.
- ▶ From 1996 to 2000, Financial advisor for Africa (Treasury Department) and member of the Central African Banking Commission (Central Bank of Central African States).
- ▶ Head of Cabinet for the Cooperation and French Language Minister in 2000.
- ▶ Financial Adviser Minister to the French delegation to the OECD between 2003 and 2008.
- ▶ Head of the Economic Department of the French Embassy in Morocco between 2008 and 2012.
- ▶ Since 2013, Economic and Financial Auditor General at the French Treasury Department, Government Commissioner to La Banque Postale, the film financing companies Sociétés de financement du cinéma (SOFICA) and the rental housing guarantee fund Caisse de garantie du logement locatif (CGLLS).

Yves ULMANN, born in 1959**Government Commissioner**

Appointed by decree of 2 February 2018 published in the Official Journal of 8 February 2018

Professional address: Ministry of the Economy, Finance and Industry, 139 rue de Bercy – 75572 Paris cedex 12

Education: Graduate of IEP Paris – Studied at the French National School of Administration – Degree in public law

Biography

- ▶ Executive assistant at the Banque de France (1985-1995).
- ▶ From 1998 to 2002, Advisor to the Administrative Court.
- ▶ From 2003 to 2005, Head of the oil taxation office.
- ▶ From 2006 to 2008, Adviser to the French Permanent Representation to the European Union.
- ▶ From 2009 to 2011, Deputy Director of TRACFIN.
- ▶ From 2012 to 2013, Deputy Head of the Legal Services Department of the Ministry of Economy and Finance, Deputy State Judicial Officer.
- ▶ From September 2013 to June 2017, Head of the Economic Department of the French Embassy in Vienna (Austria).
- ▶ Since July 2017, Head of the Economic and Financial Control Mission.

2.1.3.1.2 Changes in the composition of the Supervisory Board – Conditions governing the preparation and organisation of the tasks of the Supervisory Board

There were no changes to the composition of the Supervisory Board in 2017.

As the terms of the members of the Supervisory Board ended on 26 February 2018, the elections of the employee representatives were held on 12 February 2018, and the renewal of the terms of nine members and the appointment of a new independent member was voted by the General Meeting of 15 February 2018. Regarding the employee representatives, three new members were elected and two members were re-elected.

As at the date of this report, changes in the composition of the Supervisory Board in 2018 were as follows:

2018	Comments
Jean-Robert Larangé	Member elected by the employees who did not run for election
Françoise Paget Bitsch	Member elected by the employees who did not run for election
Hélène Wolff	Member elected by the employees who did not run for election
Jean-Pierre Hakizimana	New member elected by the employees
Sabrina Rostaing-Paris	New member elected by the employees
Thierry Viarouge	New member elected by the employees
Didier Ribadeau Dumas	Having exceeded the age limit mentioned in Article 21 of the Articles of Association of La Banque Postale, his term as member of the Supervisory Board cannot be renewed
Emmanuel Rondeau	Independent Member of the Supervisory Board appointed by the General Meeting of 15 February 2018 and replacing Didier Ribadeau Dumas

As at the date of this report, the Supervisory Board is composed of nine men and six women. The percentage of women, excluding the five employee representatives in accordance with the provisions of law No. 2011-103 of 27 January 2011, stands at 40%.

All members of the Board are of French nationality.

The Supervisory Board is keen to have a balanced composition, both on the Board and in its committees, with respect to female and male representation as well as the diversity of skills of its members. As there

is no international business activity, nationality is not a determining factor in their appointment.

As at the date of this report, the average age of the Board members was 54 years old.

Skills and availability

The Board ensures that its members collectively have the knowledge, skills and experience required in the areas of banking and financial markets, legal and regulatory requirements that apply to the Company,

its system of governance including internal control procedures, strategic planning and how to implement it, risk management, accounting and financial reporting and, in addition, insurance markets and the legal and regulatory requirements that apply to companies in this sector.

The Board also ensures that the members appointed to its special committees have the appropriate skills and experience to carry out their duties on these committees.

Seminars on strategic, technical or current subjects, were organised on a regular basis during 2017 for the members of the Supervisory Board.

Special attention is paid to availability to attend the Company's governing bodies, and to compliance with the rules of the French Commercial Code, French Monetary and Financial Code and the Afep/Medef Code about the holding of multiple offices. The members of the Supervisory Board and the Executive Board are invited to report to the Chairman of the Company's Supervisory Board before accepting a new appointment in order to verify that the new appointment is compatible with legal and regulatory provisions. New members of the Supervisory Board receive a summary document informing them of their obligations with respect to holding multiple offices.

Vice-Chairman of the Board

The Vice-Chairman of the Supervisory Board is responsible, when the Chairman is absent, for convening the Board, directing discussions, making sure the laws and regulations and the Board's internal rules are complied with and, when necessary, for requesting information

Compliance with the independence criteria at the date of this report.

	Criterion 1	Criterion 2	Criterion 3	Criterion 4	Criterion 5	Criterion 6	Criterion 7
Philippe Wahl, Chairman of the Supervisory Board	x	x	ok	ok	ok	ok	x
Yves Brassart, Vice-Chairman of the Supervisory Board	x	ok	ok	ok	ok	ok	x
Elisabeth Ayrault	ok	ok	ok	ok	ok	ok	ok
La Poste, represented by Philippe Bajou	x	ok	ok	ok	ok	ok	x
Virgile Bertola	x	ok	ok	ok	ok	ok	x
Sylvie François	x	ok	ok	ok	ok	ok	x
Nicolas Routier	x	ok	ok	ok	ok	ok	x
Emmanuel Rondeau	ok	ok	ok	ok	ok	ok	ok
Sophie Lombard	ok	ok	ok	ok	ok	ok	ok
The French State, represented by Nathalie Dieryckxvisschers	ok	ok	ok	ok	ok	ok	x

Key:

"ok" represents an independence criterion that is met in accordance with the Afep/Medef criteria.

"x" represents an independence criterion that is not met in accordance with the criteria of the Afep/Medef Code.

Criterion 1: Has not been an employee or corporate officer during the past five years.

Criterion 2: Does not hold cross directorships.

Criterion 3: Does not have significant business relationships.

Criterion 4: Does not have close family ties with a corporate officer.

Criterion 5: Has not been statutory auditor of the Company during the past five years.

Criterion 6: Has not been a director of the Company for more than 12 years.

Criterion 7: Is not a representative of a major shareholder.

Conflicts of interest

The Board considers that its current operating conditions enable it and its committees to fulfil their duties with the effectiveness, objectivity and independence required, particularly concerning the prevention of potential conflicts of interest.

from the Executive Board on behalf of the members of the Supervisory Board or the committees.

Information on the new Supervisory Board members

When new members of the Supervisory Board assume their positions, they are given a file containing the Bank's Articles of Association, the internal regulations of the Supervisory Board and its committees, the Supervisory Board Members' Charter, the Registration Document and the principal texts implementing the CRD IV rules.

Assessment of the notion of independent member

Since La Banque Postale was founded, its Supervisory Board has used the general definition in the Afep/Medef Code to assess the independence of its members. Members of the Supervisory Board are therefore considered to be independent as long as they have no relationship of any kind with the Company, its parent Group or its management that is likely to compromise their freedom of judgement.

Independence is reviewed each year by the Appointments Committee, which presents its findings to the Supervisory Board. The latter, in accordance with the findings made by the Appointments Committee, which reviewed the members' independence in the light of the new recommendations of the Afep/Medef Code, confirmed in February 2017 the independence of three members of the Board: Elisabeth Ayrault, Sophie Lombard and Didier Ribadeau Dumas.

In February 2018, on the recommendation of the Appointments Committee, a new independent member of the Supervisory Board, Mr Emmanuel Rondeau, was appointed to replace Mr Didier Ribadeau Dumas.

The rules for managing conflicts of interest described in the Members' Board charter of the Supervisory Board of La Banque Postale specify that

"(...) every member of the Board shall inform the Supervisory Board and its Chairman as soon as he/she becomes aware of any situation concerning him/her that is likely to give rise to a conflict of interest, even potential or temporary, with the interests of La Banque Postale or of any of its subsidiaries.

In such cases, the member of the Supervisory Board shall:

- ▶ abstain from taking part in the discussions and from any decision on the issues in question, if the conflict of interest is temporary;
- ▶ take all measures aimed at ending said conflict of interest, including tendering their resignation from their office as a Board member to the Chairman of the Supervisory Board, if the conflict of interest proves to be ongoing.

Generally speaking, every member of the Board shall undertake to avoid any conflict that may exist between their material or moral interests and those of La Banque Postale or any of its subsidiaries".

To the best of the Company's knowledge, there are no conflicts of interest between the duties of the members of the Supervisory Board towards the Bank, and their private interests.

Regardless of the related party agreements and commitments, there is no arrangement or agreement entered into with clients, suppliers and any other third parties, whereby a member of the Supervisory Board has been appointed.

Declarations of the absence of convictions, bankruptcy, sanctions, family ties or benefits as a result of service agreements concerning members of the Supervisory Board

There are no family ties between the members of the Supervisory Board and the Executive Board. Likewise, over the last five years, no member of the Supervisory Board has been convicted of fraud or associated, as members of executive or management bodies, with a bankruptcy, receivership or liquidation.

In the last five years, the members of the Supervisory Board have not been subject to any incrimination or official public sanctions, nor have they been prohibited from exercising their functions.

Members of the Supervisory Board do not enjoy any benefits in respect of service agreements with the Company or any of its subsidiaries.

Role of the Supervisory Board

The Supervisory Board holds powers granted notably by the French Commercial Code, the French Monetary and Financial Code, the decree of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sectors supervised by the French Prudential Supervision and Resolution Authority (ACPR), and under the Company's Articles of Association.

The Supervisory Board deliberates upon major strategic, economic, financial and technological orientations of the Company, prior to the decisions of the Executive Board on these topics.

It reviews the corporate governance plan and evaluates its effectiveness. It approves and regularly reviews the strategies and policies governing the taking, management, monitoring and reducing of risks. It determines the guidelines and monitors the implementation of the supervision systems and reviews the internal control activity and results.

It provides ongoing supervision of the way in which the Executive Board manages the Company and grants prior approval for transactions that the latter cannot carry out without its permission, in accordance with Article 14 of the Articles of Association (see chapter 8).

The Supervisory Board checks and audits the financial statements. It appoints the members of the Executive Board, sets their remuneration in accordance with the decree of 9 August 1953 as amended on 26 October 2012, and has the power to dismiss them, in accordance with Article 12 of the Articles of Association.

Internal rules and charter

The Supervisory Board has adopted internal rules, which govern and determine the preparation and organisation of its work. These internal rules are updated on a regular basis, in order to comply

with legal and regulatory changes, as well as corporate governance recommendations and best practices. The Board has also adopted the "Supervisory Board Members' Charter", which outlines the rights and obligations of Board members. The internal rules and the Supervisory Board Members' Charter are contained in chapter 9 of this Registration Document.

Conditions governing the preparation and organisation of the tasks of the Supervisory Board

The Supervisory Board meets at least four times a year. Meeting agendas are approved by the Chairman depending on issues the Board is legally required to review or matters reported to the Board concerning the Bank's operations and strategic choices.

The Board members are invited to attend at least ten days before the meeting. At least six days before a Board meeting, the agenda, the draft minutes of the previous meeting and any other documents needed to support the agenda, are sent to the Board members.

Supervisory Board meetings last three hours on average.

The items for discussion are presented by a member of the Executive Board or, if applicable, by the person responsible for them. Presentations are followed by an exchange of views, following which the Board issues an opinion as necessary.

The Company Secretary draws up draft minutes of the meeting, and then submits them to the Board members for approval at the beginning of the next meeting.

To support the Supervisory Board's work, two seminars were held in 2017, during which the following themes were studied:

- ▶ the insurance business;
- ▶ the strategy with respect to means of payment;
- ▶ the transformation of the Network;
- ▶ the consumer credit business;
- ▶ presentation of structuring internal projects.

Activities of the Supervisory Board in 2017

The Supervisory Board met six times during the 2017 financial year with an average attendance rate of 87% (excluding periods of long-term leave).

In addition to the Board members themselves, the Government Commissioner, the Single Economic and Social Committee (CUES), and the Chief Financial Officer, some other La Banque Postale Directors occasionally participated in the Board meetings depending on points in the agenda. The statutory auditors attended the meetings at which the annual and half-year financial statements were presented.

During 2017, the work carried out by the Board focused primarily on the following issues:

Strategy

- ▶ acquisition projects or capital increases;
- ▶ the strategic investment plan;
- ▶ sector strategies;
- ▶ the Works Council's opinion on the strategic directions of the Bank and the consequences on the activity and employment.

Functioning of the Supervisory Board and governance

- ▶ appointment of a new member of the Executive Board;
- ▶ change in the governance of La Banque Postale;
- ▶ new organisation of controls/risks;
- ▶ remuneration of Executive Board members;

- La Banque Postale's remuneration policy;
- report prepared pursuant to Article 266 of the decree of 3 November 2014;
- assessment of the functioning of the Supervisory Board and its committees;
- organisation of the elections of the Board members who are employee representatives.

The Bank's business activity

- quarterly business reports;
- presentation of the 2016 parent company and consolidated financial statements, together with the proposed appropriation of net income and the Executive Board's management report;
- presentation of the half-year financial statements and the half-year business report;
- presentation of the budget and annual issue programmes.

Control of the Bank's business activity

- review of business activity and results of internal control;
- report drawn up pursuant to Articles 258 to 264 of the decree of 3 November 2014;
- report drawn up pursuant to Article 253 of the decree of 3 November 2014;
- risk management policy and insurance risk management policy;
- the work of the Internal Audit Department;
- updating of the financial management charter;
- report of the Chairman of the Supervisory Board on corporate governance and internal control;
- annual review of regulated agreements;
- STE (*short-term exercise: 3-year trajectory*);
- opinion of the CUES on the Company's economic and financial situation.

This work and the ensuing discussions enabled the Supervisory Board to exercise its powers of control over the Bank's management team, together with its decision-making powers.

Assessment of the work carried out by the Supervisory Board and the committees

Every year the Supervisory Board devotes one item on its agenda to analysing its functioning and carries out formal assessments on a regular basis.

The results of this formal assessment of the work of the Supervisory Board and its committees was made by two independent members of the Board via detailed questionnaires on the functioning of the Board and each of its committees, sent to each Board member, to the members of the committees concerned and to the Government Commissioner. The conclusions of the assessment were presented at the Supervisory Board meeting of 22 February 2017. The assessments were for the most part good or very good and enabled to pinpoint areas of improvement and to make suggestions for subjects to examine.

Moreover, at the last meeting of 2017, the Board dedicated an item on its agenda to the debate over its functioning, following which the Chairman noted the positive assessment of the members on the functioning of the Board and its committees.

2.1.3.1.3 The special committees of the Supervisory Board

Organisation and functioning of the special committees in 2017

The Supervisory Board has five special committees (the Audit Committee, the Financial Statements Committee, the Risk Committee, the Appointments Committee, the Compensation Committee, the Strategy Committee) which help it in its tasks.

The duties of each of these committees, the criteria for the selection of their members and their rules of procedure are featured in the internal rules approved by the Supervisory Board.

Any Board deliberation relating to the area of expertise of one of the five committees must be adopted after advice has been sought from that committee, whose Chairman shall inform the Board of its recommendations, suggestions or opinion.

The purpose of setting up these committees is not to delegate powers to them that are assigned to the Executive Board by law or by the Articles of Association, or to reduce or limit the Executive Board's powers.

The Executive Board makes available to the members of these committees, within a reasonable time period, all the items and documents enabling the committees to conduct their work and formulate their recommendations, suggestions or opinions.

The length of a committee member's appointment coincides with the length of their term of office as Board member.

Four out of five of the Supervisory Board Committees are chaired by an independent member.

Note that when their operation during the past year is reviewed, the various committees discuss progress and the avenues for improvement, in the absence of the Bank's management team.

Financial Statements Committee

Because La Banque Postale has a single public shareholder, and pursuant to the law on the democratisation of the public sector, which provides for the inclusion of employee representatives on the Board, the committee consists of Board members appointed by the General Meeting, by Company employees and by the French State.

In 2017, the Financial Statements Committee comprised seven members and was composed as follows:

- two independent members, Didier Ribadeau Dumas (Chairman of the committee) and Sophie Lombard;
- two members belonging to the La Poste Group, Yves Brassart and Virgile Bertola;
- one member representing the French State, Nathalie Dieryckxvischers;
- two members representing employees, Thierry Freslon and Steeve Maigne.

The Government Commissioner also attends Financial Statements Committee meetings.

The committee's internal rules are updated on a regular basis, in order to ensure that they remain compliant with legal and regulatory changes, as well as with corporate governance recommendations and best practices.

Most members of the committee have financial and accounting experience, primarily from former tenure in positions that they have held or hold (CFO, with the French Ministry of the Economy and Finance, or as member of the senior management team of a bank).

The scope of the committee's responsibilities primarily extends to:

- ▶ checking the clarity of financial information supplied by the Executive Board and assessing the relevance of the accounting methods adopted;
- ▶ participating in the selection of the statutory auditors and ensuring that they are independent and objective.

The Financial Statements Committee meets at least twice per year and, in particular, prior to any meeting of the Supervisory Board where one or more questions relating to its area of expertise are on the agenda. The Chairman of this committee reports on its work to the Supervisory Board after every meeting. It may seek the assistance of any person whose skills and expertise it considers necessary to carry out its mission.

The committee listens to the opinions of the statutory auditors, the Bank's Chief Financial Officer, the Heads of Compliance and Risk and the Internal Auditor on issues that concern them, in particular on the Company's risks and significant off-balance sheet commitments, the main points of the results of the legal audit and the accounting options used.

The committee met three times in 2017 with an average attendance rate of 89% (excluding periods of long-term leave).

During 2017, its work focused primarily on the following issues:

- ▶ presentation of the annual financial statements, the management report, the CSR report;
- ▶ detailed summary of the certification work of the statutory auditors;
- ▶ report of the Chairman of the Supervisory Board;
- ▶ 2017 work schedule of the statutory auditors;
- ▶ the consolidated balance sheet under IFRS 9 and update on IFRS 9;
- ▶ presentation of the half-year financial statements and the half-year business report;
- ▶ impact of the audit reform on the work of the statutory auditors;
- ▶ account-closing options;
- ▶ the work of the committee.

Risk Committee

In 2017, the Risk Committee was composed of seven members, namely:

- ▶ two independent members, Didier Ribadeau Dumas (Chairman of the committee) and Sophie Lombard;
- ▶ two members belonging to the La Poste Group, Yves Brassart and Virgile Bertola;
- ▶ one member representing the French State, Nathalie Dierckxvisschers;
- ▶ two members representing employees, Thierry Freslon and Steeve Maigne.

The Government Commissioner also attends Risk Committee meetings.

Members of the Executive Board and the Company's Head of Finance may be asked to attend Committee meetings at the request of the committee Chairman.

Members of the Risk Committee have the knowledge, skills and expertise necessary to perform their duties and to understand and monitor the Group's strategy and appetite for risk.

The committee's internal rules are updated on a regular basis, to ensure that they remain compliant with legal and regulatory changes, as well as with corporate governance recommendations and best practices.

The scope of the committee's responsibilities primarily extends to:

- ▶ assessing the quality of internal control, in particular the principles and system of risk management;
- ▶ taking note of the Company's Internal Audit Department's charter and that of the Permanent Control Department;
- ▶ examining the accounting aspects of the Company's remuneration policy and practices and its position in terms of risk;
- ▶ more generally, ensuring compliance with the tasks provided by the French Monetary and Financial Code and by the decree of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sectors subject to the supervision of the French Prudential Supervision and Resolution Authority (ACPR).

The Risk Committee meets at least four times per year and, in particular, prior to any meeting of the Supervisory Board where one or more questions relating to its area of expertise are on the agenda. The Chairman of this committee reports on its work to the Supervisory Board after every meeting. It may also seek the assistance of any person whose skills and expertise it considers necessary to carry out its mission.

The committee listens to the opinions of the statutory auditors, the Bank's Chief Financial Officer, the Heads of Compliance and Risk and the Internal Auditor on issues that concern them, in particular on the Company's risks and significant off-balance sheet commitments, the main points of the results of the legal audit and the accounting options used.

The committee met seven times in 2017 with an average attendance rate of 93% (excluding periods of long-term leave).

During 2017, its work focused primarily on the following issues:

- ▶ recovery and resolution plan;
- ▶ report on compliance procedures;
- ▶ annual internal control and risk management report;
- ▶ half-yearly internal control report;
- ▶ update of the Permanent Control Charter;
- ▶ update of the Periodic Control Charter;
- ▶ update of the Financial Management Charter;
- ▶ report on the compliance procedures;
- ▶ setting the direction, policies and risk limits – risk management policy;
- ▶ review of business activity and results of permanent control procedures;
- ▶ review of the reports issued by the Internal Audit Department;
- ▶ EBA internal governance guidelines;
- ▶ analysis of litigations;
- ▶ review of business activity and results of internal control procedures;
- ▶ risk dashboard and EBA internal governance guidelines;
- ▶ ECB follow-up letters;
- ▶ European and French banking benchmark;
- ▶ CIB;
- ▶ Change in the organisation of controls/compliance/risks;
- ▶ 2018 audit plan.

Appointments Committee

In 2017, the Appointments Committee was composed of seven members, namely:

- ▶ three independent members, Didier Ribadeau Dumas (Chairman of the committee), Elisabeth Ayrault and Sophie Lombard;
- ▶ two members belonging to the La Poste Group, Philippe Wahl and Sylvie François;
- ▶ one member representing the French State, Nathalie Dieryckxvisschers;
- ▶ one member representing the employees, Hélène Wolff.

The Government Commissioner also attends the Appointments Committee meeting.

Its members are selected on the basis of their skills and professional experience.

The committee's internal rules are updated on a regular basis, to ensure that they remain compliant with legal and regulatory changes, as well as with corporate governance recommendations and best practices.

In order to prepare the work of the Board with respect to appointment procedures within the Company and its subsidiaries, the committee is responsible for the following tasks:

- ▶ prior review of the profiles of individuals under consideration for a seat on the Board due to their independence vis-à-vis the Company or the La Poste Group, or for becoming a member of the Executive Board. The committee also gives its opinion on renewals of terms;
- ▶ periodic assessment, and at least once per year:
 - review of the structure, size, composition and efficiency of the Supervisory Board with regard to the tasks assigned to it. The committee submits to the Supervisory Board any relevant recommendations,
 - on the knowledge, skills and experience of the Supervisory Board members, both individually and collectively. The committee reports on this appraisal to the Supervisory Board,
 - of the qualification as an independent member of the Supervisory Board;
- ▶ setting the target to be achieved in relation to gender balance on the Supervisory Board and creating a policy to achieve this target;
- ▶ annual assessment of the balance and diversity of knowledge, skills and experience possessed individually and collectively by the Supervisory Board members. It also specifies the tasks and qualifications that are necessary for Supervisory Board positions and assesses the time devoted to Supervisory Board member duties;
- ▶ review of the management succession plan in order to recommend possible candidates to the Supervisory Board, notably in the event of an unforeseen vacancy.

The Appointments Committee met twice in 2017 with a 83.5% attendance rate (excluding periods of long-term leave).

In 2017, the committee's works notably concerned putting forth the candidacy of a new member of the Executive Board, the assessment of the Supervisory Board, the review of the independence of the members of the Supervisory Board and prevention of conflicts of interest.

Compensation Committee

In 2017, the Compensation Committee was composed of seven members, namely:

- ▶ three independent members, Sophie Lombard (Chairman), Elisabeth Ayrault and Didier Ribadeau Dumas;
- ▶ two members belonging to the La Poste Group, Philippe Wahl and Sylvie François;

- ▶ one member representing the French State, Nathalie Dieryckxvisschers;
- ▶ one member representing the employees, Hélène Wolff.

The Government Commissioner also attends the Compensation Committee meeting.

Members of the Executive Board may attend Committee meetings at the request of the Chairman of the Compensation Committee.

Its members have the knowledge and skills to carry out the tasks assigned to the committee and are, in particular, qualified to analyse the Company's policies and practices in the area of remuneration, including with regard to the Company's risk policy.

The committee's internal rules are updated on a regular basis, to ensure that they remain compliant with legal and regulatory changes, as well as with corporate governance recommendations and best practices.

In order to prepare the work of the Board with respect to the remuneration policy within the Company and its subsidiaries, the Compensation Committee is notably responsible for the following tasks:

- ▶ the annual review:
 - of the principles of the remuneration policy,
 - the remuneration, allowances and benefits of all types awarded to the Company's corporate officers,
 - the remuneration policy for employees who manage collective investment undertakings and for employees who are financial market professionals, whose activities are likely to have a material impact on the Company's risk exposure,
 - the report prepared by the Executive Board pursuant to Article 266 of the decree of 3 November 2014 and forwarded to the French Prudential Supervision and Resolution Authority (ACPR);
- ▶ the policy on attendance fees;
- ▶ the review of retirement and benefits plans;
- ▶ the review of the opportunity to set up profit-sharing and incentive schemes for corporate officers and/or employees.

The committee makes sure that the remuneration policy complies with the provisions of the decree of 3 November 2014, and that it is consistent with professional standards, regardless of whether the remuneration is fixed or variable, paid in cash or shares, or consists of benefits in kind, and of whether it is deferred or not. The Compensation Committee reviews the remuneration of the Head of Risk, the Head of Compliance, and of the Internal Auditor.

The Compensation Committee met three times in 2017 with a 78% attendance rate (excluding periods of long-term leave).

During 2017, its work focused primarily on the following issues:

- ▶ the principles of the remuneration policy and the report prepared pursuant to Article 266 of the decree of 3 November 2014;
- ▶ the remuneration of Executive Board members and setting their targets;
- ▶ updating the remuneration policy;
- ▶ the review of the remuneration of the Head of Risk, the Head of Compliance and the Internal Auditor;
- ▶ the attendance fees paid for 2016 and 2017.

Strategy Committee

In 2017, the Strategy Committee had eight members as follows:

- ▶ three independent members, Elisabeth Ayrault, Sophie Lombard, and Didier Ribadeau-Dumas;

- ▶ two members belonging to the La Poste Group, Yves Brassart (Chairman of the committee) and Virgile Bertola;
- ▶ one member representing the French State, Nathalie Dieryckxvisschers;
- ▶ two members representing employees, Hélène Wolff and Françoise Paget-Bitsch.

The Government Commissioner also attends the meetings of the Strategy Committee.

The Strategy Committee examines and monitors the implementation of the Company's multi-year strategic plan, together with the strategic plans and operations of the Company and its subsidiaries.

To address the strategic issues that needed to be presented to the Supervisory Board for review, the Strategy Committee met twice in 2017 with an attendance rate of 90% (excluding periods of long-term leave).

During 2017, its work focused primarily on the strategic projects of La Banque Postale, studying the strategies of French banks and the creation of a CIB.

Composition of the committees

The table below summarises the composition of all of the Board's special committees in 2017.

Composition of the special committees (at 31 December 2017)	Financial Statements Committee	Risk Committee	Appointments Committee	Compensation Committee	Strategy Committee
Elisabeth Ayrault			◊	◊	◊
Virgile Bertola	◊	◊			◊
Yves Brassart	◊	◊			◊
Didier Ribadeau Dumas	◊	◊	◊	◊	◊
Sylvie François			◊	◊	
Sophie Lombard	◊	◊	◊	◊	◊
Philippe Wahl			◊	◊	
Nathalie Dieryckxvisschers	•	•	•	•	•
Thierry Freslon	Δ	Δ			
Steeve Maigne	Δ	Δ			
Françoise Paget Bitsch					Δ
Hélène Wolff			Δ	Δ	Δ

Key:

◊: committee Chairman

◊: committee Member

Δ: Member elected by the employees

•: Member representing the French State

As at 27 February 2018, the composition of the committees was the following:

Composition of the special committees (at 27 February 2018)	Financial Statements Committee	Risk Committee	Appointments Committee	Compensation Committee	Strategy Committee
Virgile Bertola	◊	◊			◊
Yves Brassart	◊	◊			◊
Sophie Lombard	◊	◊	◊	◊	◊
Emmanuel Rondeau	◊	◊	◊	◊	◊
Philippe Wahl			◊	◊	
The State represented by Nathalie Dieryckxvisschers	•	•	•	•	•
Thierry Freslon	Δ	Δ			
Jean-Pierre Hakizimana					Δ
Steeve Maigne	Δ	Δ			
Sabrina Rostaing-Paris			Δ	Δ	
Thierry Viarouge					Δ

Key:

◊: committee Chairman

◊: committee Member

Δ: Member elected by the employees

•: Member representing the French State

The Appointments committee recommended to the Supervisory Board that it co-opt a new independent member at its next meeting and that this person be a member of the five committees.

2.1.3.1.4 Comments of the Supervisory Board concerning the report of the Executive Board and the 2017 financial statements

As required by law and the Company's Articles of Association, the Supervisory Board has made the verifications and controls it deemed necessary as part of its supervisory duties with regard to the management of the Company by the Executive Board.

The Supervisory Board thus notably reviewed the consolidated financial statements for the year ending 31 December 2017 that were presented to it by the Executive Board, in accordance with the law. It also reviewed the Executive Board's management report on the activity of the La Banque Postale Group in 2017.

The Supervisory Board has no particular comments to make regarding the financial statements or the management report of the Executive Board.

2.1.3.2 The Executive Board

2.1.3.2.1 Composition of the Executive Board

La Banque Postale is a French public limited Company (*société anonyme*) with an Executive Board and a Supervisory Board.

Executive management of the Company is carried out by the Executive Board, which has the broadest powers to act on behalf of the Company in all circumstances, within the limits of its corporate purpose and subject to the powers expressly conferred on the Supervisory Board

and shareholders' meetings by French law and the Company's Articles of Association.

Since September 2017, the Executive Board is composed of four members appointed by the Supervisory Board:

- ▶ Rémy Weber, Chairman of the Executive Board;
- ▶ Marc Batave, member of the Executive Board and Chief Executive Officer of the Commercial Bank and Insurance*;
- ▶ Tony Blanco, member of the Management Board, General Secretary;
- ▶ Anne-Laure Bourn, member of the Executive Board and Executive Vice-President of the La Poste Group in charge of the Network, responsible for the oversight of the Operations department.

The Supervisory Board, at its meeting of 27 February 2018, renewed, for a period of five years, the terms of office of the four members of the Executive Board and that of its Chairman.

The members of the Executive Board have the status of executive corporate officer within the meaning of Article L. 511-13 of the French Monetary and Financial Code.

As previously authorised by the Supervisory Board, members of the Executive Board have divided management duties among themselves. They have also set the amounts in excess of which certain actions committing the Company require prior approval from the Executive Board, without which the individual concerned would become personally liable to the Company and its shareholders.

* The term Chief Executive Officer is not within the meaning of article L. 225-66 of the French Commercial Code.

2.1.3.2.2 Appointments and positions held by the members of the Executive Board

N.B.: terms of office and positions held in companies whose shares are admitted for trading on a regulated market are identified by an asterisk*.

Rémy WEBER, born in 1957	Biography
Chairman of the Executive Board First appointment: 15 October 2013 End of term: 26 February 2023 Professional address: La Banque Postale – 115, rue de Sèvres - 75275 Paris cedex 06 Education: Graduate of IEP Aix-en-Provence and HEC	▶ Beginning in 1983, various positions in La Banque Française's Foreign Trade Department. ▶ From 1987 to 1989, Special Advisor in the Department of International Affairs at the Treasury. ▶ In 1990, Deputy Director of Investment and Mergers & Acquisitions at Financière BFCE ▶ In 1993, Regional Director at Lyonnaise de Banque; subsequently, General Secretary and Director of Operations from 1995 to 1996, Executive Vice-President from 1996 to 1999 and Chief Executive Officer from 1999 to 2002. ▶ From 2002 to 2013, Chairman and Chief Executive Officer of CIC Lyonnaise de Banque, member of the Executive Board and then of the Executive Committee of the CIC Group. ▶ Since 15 October 2013, Chairman of the Executive Board of La Banque Postale, Executive Vice-President and Head of Financial Services of La Poste.
Current appointments	Appointments that expired during the last five years
Companies of the Le Groupe La Poste ▶ Executive Vice-President and Head of Financial Services of La Poste (a French public limited Company – SA). ▶ Chairman of the Board of Directors of SF2 (a French public limited Company – SA). ▶ Chairman of the Supervisory Board and member of the Compensation Committee of La Banque Postale Asset Management, (a French public limited Company – SA with an Executive Board and a Supervisory Board). ▶ Director of La Banque Postale Assurance Santé (a French public limited Company – SA). ▶ Chairman of the Board of Directors and Chairman of the Compensation Committee for La Banque Postale Assurances IARD (a French public limited Company – SA). ▶ Director of Sopassure (a French public limited Company – SA). ▶ Representative of La Banque Postale, Manager of the limited property investment partnerships CRSF Dom, CRSF Métropole and Tertiaire Saint Romain. ▶ Director and Vice-Chairman of the Board of Directors of L'Envoi, the La Banque Postale campus (non-profit association). ▶ Director of Poste Immo (a French public limited Company – SA). ▶ Member of the Supervisory Board of La Banque Postale Crédit Entreprises (a French public limited Company – SA with an Executive and Supervisory Board) since 26 January 2017. ▶ Chairman of the Management Committee of KissKissBankBank & Co (a French simplified joint-stock Company – SAS) since 19 July 2017. ▶ Chairman of the Board of Directors of Ezyne (a French simplified joint-stock Company – SAS) since 21 December 2017. Companies outside the La Poste Group ▶ Vice-Chairman of the Association française des banques (AFB – the French Banking Association). ▶ Permanent Representative of the AFB, member of the Executive Committee of the French Banking Federation. ▶ Director and member of the Strategy Committee of CNP Assurances* (a French public limited Company – SA). ▶ Member of the Board of Paris Europlace (non-profit association). ▶ Director and Chairman of the Board of Directors of the Lyon Opera house (non-profit association).	▶ Chairman and Chief Executive Officer of CIC Lyonnaise de Banque (a French public limited Company – SA). ▶ Chairman of Gesteurop (a French simplified joint-stock Company – SAS). ▶ Director of Euro P3C (a French public limited Company – SA). ▶ Member of the Management Committee of Euro Information (a French simplified joint-stock Company – SAS). ▶ Permanent Representative of CIC on the Board of Directors of Sofemo (a French public limited Company – SA). ▶ Permanent Representative of CIC Lyonnaise de Banque on the Board of Directors of CM-CIC Asset Management (a French public limited Company – SA). ▶ Permanent Representative of CIC Lyonnaise de Banque on the Board of Directors of CM-CIC Factor (a French public limited Company – SA). ▶ Permanent Representative of CIC Lyonnaise de Banque on the Board of Directors of UVP (a Mutual Insurance Company). ▶ Permanent Representative of the Crédit Mutuel insurance Group on the Board of Directors of ACM IARD (a French public limited Company – SA). ▶ Permanent Representative of CIC Lyonnaise de Banque, Member and Chairman of the Executive Committee of Danifos (a Simplified Joint-Stock Company). ▶ Permanent Representative of CM-CIC Investissement on the Board of Directors of Descours et Cabaud (a French public limited Company – SA). ▶ Chief Executive Officer of SF2 (a French public limited Company – SA). ▶ Member of the Supervisory Board of the Fonds de garantie des dépôts. ▶ Chairman of the Board of Directors of La Banque Postale Assurance Santé (a French public limited Company – SA). ▶ Chairman of the Compensation Committee of La Banque Postale Asset Management (a French public limited Company – SA with Executive Board and Supervisory Board). ▶ Member of the Audit Committee of CNP Assurances* (a French public limited Company – SA). ▶ Member and Chairman of the Board of Directors and member and Chairman of the Nomination and Compensation Committee of La Banque Postale Prévoyance (a French public limited Company – SA) until 28 June 2016. ▶ Member of the Audit Committee, director, member of the Risk and Internal Control committees and member of the Financial Statements Committee of the Société de financement local (a French public limited Company – SA). ▶ Chairman of the Supervisory Board of La Banque Postale Crédit Entreprises ((a French public limited Company – SA with an Executive Board and a Supervisory Board) from 26 January 2017 to 7 March 2017. ▶ Chairman and Chief Executive Officer of Sopassure (SA) up to 28 March 2017.

Marc BATAVE, born in 1958**Member of the Executive Board****First appointment:** 9 January 2013**End of term:** 26 February 2023**Professional address:** La Banque Postale – 115, rue de Sèvres - 75275 Paris cedex 06**Education:** Graduate of ESSEC**Biography**

- ▶ Crédit du Nord Group from 1983 to 2011:
 - Deputy Head of the Labour Relations Section of the Human Resources Department of Crédit du Nord from 1983 to 1985.
 - Financial Negotiating Department from 1985 to 1986.
 - Head of the Financial Savings and Insurance Products Department, Head of Retail Banking then Head of Marketing at Crédit du Nord from 1986 to 1993.
 - From 1993 to January 2000, Vice-Chairman, then Chairman of the Executive Board of Banque Courtois.
 - From January 2000 to July 2011, Head of Customer Relations, Executive Vice-President and then Deputy Chief Executive Officer at Crédit du Nord.
- ▶ La Banque Postale.
 - From 1 November 2012 to 9 January 2013, Head of Business and Professional Activities for La Banque Postale and member of the Executive Committee of La Banque Postale.
 - Member of La Banque Postale's Executive Board since 9 January 2013, General Secretary from 9 January 2013 to 25 May 2016, and acting General Secretary up until 5 September 2017.
 - Chief Executive Officer of the Commercial Bank and Insurance since 25 May 2016.

Current appointments**Companies of the Le Groupe La Poste**

- ▶ Chief Executive Officer of the Commercial Bank and Insurance Divisions of La Banque Postale (a French public limited Company – SA – with an Executive Board and a Supervisory Board).
- ▶ Member and Vice-Chairman of the Management Committee of Titres Cadeaux (a French simplified joint-stock Company – SAS).
- ▶ Vice-Chairman of the Board of Transactis (a French simplified joint-stock Company – SAS).
- ▶ Chairman of the Supervisory Board and of the Appointments and Compensation Committee of BPE (a French public limited Company – SA – with an Executive Board and a Supervisory Board).
- ▶ Director of La Banque Postale Collectivités Locales (a French public limited Company – SA).
- ▶ Member of the Supervisory Board of La Banque Postale Financement (a French public limited Company – SA with an Executive Board and a Supervisory Board).
- ▶ Permanent Representative of La Banque Postale on the Policy Committee of Adresse Musée de La Poste (a non-profit association).
- ▶ Permanent Representative of SF2, member of the Supervisory Board of La Banque Postale Asset Management (a French public limited Company – SA – with an Executive Board and a Supervisory Board).
- ▶ Since 26 January 2017, Chairman of the Supervisory Board and since 7 June 2017 Chairman of the Appointments and Remuneration committees of La Banque Postale Crédit Entreprises (a French public limited Company – SA with an Executive Board and a Supervisory Board).
- ▶ Permanent Representative of La Banque Postale on the Board of Directors of LBP Digital (formerly LBP NEO) (a French public limited Company – SA) since 21 December 2017.

Companies outside the La Poste Group

None.

Appointments that expired during the last five years

- ▶ Executive Chairman, member and Chairman of the Audit and Risk Committees and, since 26 January 2017, Chairman of the Board of Directors of La Banque Postale Crédit Entreprises (a French simplified joint-stock Company – SAS).
- ▶ Member and Chairman of the Supervisory Board and member of the Compensation Committee of SOFIAP (a French public limited Company – SA – with an Executive Board and a Supervisory Board).
- ▶ Permanent Representative of La Banque Postale on the Board of Directors, Chairman of the Audit and Risk Committees and member of the Appointments and Compensation Committee of BPE (a French public limited Company – SA).
- ▶ Permanent Representative of La Banque Postale, member of the Supervisory Board of XAnge Private Equity (a French public limited Company – SA – with an Executive Board and a Supervisory Board).
- ▶ Member of the Supervisory Board and of the Compensation Committee of La Banque Postale Gestion Privée (a French public limited Company – SA – with an Executive Board and a Supervisory Board).
- ▶ Permanent Representative of La Banque Postale on the Board of Directors of OCBF (non-profit association) until 24 January 2016.
- ▶ Member and Chairman of the Management Committee of Titres Cadeaux (a French simplified joint-stock Company – SAS).
- ▶ Member of the Supervisory Board of the Fonds de garantie des dépôts (a fund).
- ▶ Permanent Representative of SF2A on the Board of Directors of Tocqueville Finance (a French public limited Company – SA) and Tocqueville Finance Holding (a French simplified joint-stock Company – SAS) up until 28 September 2017.
- ▶ Director, member and Chairman of the Financial committee of La Banque Postale Assurances IARD (a French public limited Company – SA) until 4 October 2017.
- ▶ Permanent Representative of La Banque Postale on the Board of Directors of La Banque Postale Home Loan SFH (a French public limited Company – SA).
- ▶ Member and Chairman of the Management Committee of Ezyne (a French simplified joint-stock Company – SAS) from 6 January 2017 to 10 October 2017.

Gregorio Antonio Blanco, born in 1965**Member of the Executive Board****First appointment:** 06 September 2017**End of term:** 26 February 2023

Professional address: La Banque Postale – 115, rue de Sèvres – 75275 Paris cedex 06

Education: Graduated from École polytechnique, engineering degree from École nationale supérieure des télécommunications (Corps des mines), MBA from INSEAD**Biography**

- ▶ From 1988 to 1997, France Télécom, operational positions in France and abroad, notably as the head of a regional centre of operations, before being appointed Regional Sales Manager for Lille.
- ▶ From February 1997 to February 2010, at strategy consulting firm McKinsey & Co, Consultant then Project Manager, then Associate Director for the Financial Institutions sector.
- ▶ From March 2010 to December 2010, Deputy Chief Executive Officer and Head of private clients at Barclays Bank France.
- ▶ From December 2010 to August 2017, Chief Executive Officer of Barclays Bank, Country Manager of Barclays France, member of the Executive Committee of Europe Retail and Business Banking.
- ▶ From January 2014 to May 2016, Chief Executive Officer of Barclays Italy Retail and Business Banking.
- ▶ Since 6 September 2017, member of the Executive Board and General Secretary of La Banque Postale.

Current appointments**Companies of the Le Groupe La Poste**

- ▶ Permanent Representative of La Banque Postale on the Board of Directors of La Banque Postale Home Loan SFH (a French public limited Company – SA) since 27 September 2017.
- ▶ Permanent Representative of SF2 on the Supervisory Board of La Banque Postale Financement (a French public limited Company – SA with an Executive Board and Supervisory Board) since 27 September 2017.
- ▶ Permanent Representative of SF2A on the Board of Directors of Tocqueville Finance (a French public limited Company – SA) and Tocqueville Finance Holding (a French simplified joint-stock Company – SAS) since 28 September 2017.
- ▶ Director and Chairman of the Financial committee of La Banque Postale Assurances IARD (a French public limited Company – SA) since 4 October 2017.
- ▶ Director of SF2 (SA) since 30 November 2017.
- ▶ Permanent Representative of SF2 on the Supervisory Board of La Banque Postale Asset Management (a French public limited Company – SA -with an Executive Board and a Supervisory Board) since 15 December 2017.

Companies outside the La Poste Group

None.

Appointments that expired during the last five years

- ▶ Chief Executive Officer of Barclays Bank PLC (a UK limited Company) until August 2017.
- ▶ Chairman and Chief Executive Officer of Barclays Vie (a French public limited Company – SA) until August 2017.
- ▶ Chief Executive Officer of Barclays France (a French public limited Company – SA) until August 2017.
- ▶ Director of Barclays Wealth Managers (SA) until August 2017.
- ▶ Director of Barclays Diversification (SA) until August 2017.
- ▶ Manager of Barclays Patrimoine (a French limited partnership – SCS) until August 2017.
- ▶ Director of Barclays Vida y Pensiones (a Spanish limited Company).

Anne-Laure BOURN, born in 1962**Member of the Executive Board****First appointment:** 25 May 2016**End of term:** 26 February 2023**Professional address:** La Poste – 9 rue du Colonel Pierre Avia - CP 407 – 75015 Paris**Education:** Graduate of the Institut Supérieur de Gestion (ISG), the Institut Technique de Banque (ITB), EMBA HEC**Biography**

- ▶ From 1985 to 1988, marketing research manager then product manager at Thomson Grand Public.
- ▶ At the Crédit Agricole Regional Bank in Morbihan, financial analyst from 1988 to 1990 then manager of business financing from 1990 to 1992 and marketing manager from 1992 to 1995.
- ▶ Joined the Le Groupe La Poste in 1995 as head of marketing and organisation of La Poste Grand Public Grand Ouest; became Head of the Financial Centre in Rennes in 2000 then Head of the Financial Centre in Paris in 2005.
- ▶ From 2006 to 2009, Territorial Representative of La Banque Postale Ouest Dom Corse.
- ▶ From 2009 to 2011, Secretary General and member of the Executive Board of La Banque Postale Asset Management.
- ▶ From 2011 to June 2015, Head of Operations at La Banque Postale.
- ▶ Since June 2015, Executive Vice-President of the La Poste Group in charge of the Network Division and Managing Director of the La Poste financial services.

Current appointments**Companies of the La Poste Group**

- ▶ Executive Vice-Chairman in charge of the Network branch and Managing Director of Financial Services at La Poste (a French public limited Company – SA).
- ▶ Member of the Supervisory Board of La Banque Postale Asset Management, (a French public limited Company – SA with an Executive Board and a Supervisory Board).
- ▶ Director of Poste Immo (a French public limited Company – SA).
- ▶ Permanent representative of La Banque Postale on the Supervisory Board since 4 October 2017 and, since 11 October 2017, member of the Appointments and Compensation Committee of BPE (a French public limited Company – SA with an Executive Board and a Supervisory Board).

Appointments that expired during the last five years

- ▶ Member and Chairman of the Supervisory Board of Asset Management Lab (a French public limited Company – SA).
- ▶ Director of La Banque Postale Assurances IARD (a French public limited Company – SA).
- ▶ Member of the Policy Committee of Docapost BPO (a French simplified joint-stock Company – SAS).

Companies outside the La Poste Group

None.

Conflicts of interest

To the best of the Company's knowledge, there are no conflicts of interest between the duties of the members of the Executive Board towards the Bank and their private interests.

Apart from the related party agreements and commitments, there are no arrangements or agreements entered into with clients, suppliers or any other third parties pursuant to which a member of the Supervisory Board has been selected.

Although no structural conflict of interest was identified in the cumulation of duties of Anne-Laure Bourn within La Banque Postale and the La Poste Network, she expressly committed, as a preventive measure, to complying with the conflicts of interest management policy implemented by La Banque Postale, which consists of informing La Banque Postale's compliance officer of any conflict of interest and, in the event that the conflict of interest arises from a decision made by the Executive Board or the Executive Committee of La Banque Postale, to abstain from participating in this decision. In this case, a mention will be made in the minutes of the meeting.

Declarations of the absence of convictions, bankruptcy, sanctions, family ties or benefits as a result of service agreements concerning members of the Supervisory Board

There are no family ties between the members of the Supervisory Board and the Executive Board. Over the last five years, no member of the Executive Board has been convicted of fraud or associated, as members of management or supervisory bodies, with a bankruptcy, receivership or liquidation.

In the last five years, the members of the Executive Board have not been subject to any incrimination or official public sanctions, nor have they been prohibited from exercising their duties.

Members of the Executive Board do not enjoy any benefits in respect of service agreements with the Company or any of its subsidiaries.

2.1.3.2.3 Internal committees of the Executive Board

In 2017, the Executive Board was supported by eleven steering committees.

The Executive Committee

The Executive Committee (COMEX) is chaired by Rémy Weber and composed, in addition to its Chairman, of 12 members, who are:

- ▶ Marc Batave, member of the Executive Board and Chief Executive Officer of the Commercial Bank and Insurance;
- ▶ Tony Blanco, member of the Executive Board and General Secretary;
- ▶ Anne-Laure Bourn, member of the Executive Board, Executive Vice-President of the La Poste Group, Chief Executive Officer of the La Poste Network;
- ▶ Serge Bayard, Head of Businesses and Territorial Development;
- ▶ François Géronde, Head of Group Risk;
- ▶ Catherine Charrier-Leflaive, Deputy Head of the La Poste Network in charge of business development, Head of Retail Banking and Insurance;
- ▶ Olivier Lévy-Barouch, Head of Strategy and Innovation;

- Florence Lustman, Chief Financial Officer; Head of Public Affairs;
- Didier Moaté, Head of Human Resources, Executive Vice-President of the La Poste Network;
- Patrick Renouvin, Head of the Solutions Division;
- Daniel Roy, Head of the Asset Management Division;
- Robert Villani, Executive Vice-President of the La Poste Network in charge of organisation, risk and the customer experience, Head of Operations.

The Executive Committee meets once a fortnight. It is La Banque Postale's policy body and supports the Executive Board, particularly regarding business action.

The General Management Committee (CDG)

The purpose of the General Management Committee (CDG) is to communicate the Company's key messages and news on marketing and distribution. It monitors the progress of major structuring projects and manages the responsible development policy.

At present, the CDG is composed as follows:

- Marc Batave, member of the Executive Board and Chief Executive Officer of the Commercial Bank and Insurance;
- Tony Blanco, Member of the Executive Board and General Secretary;
- Anne-Laure Bourn, Member of the Executive Board, Executive Vice-President of the La Poste Group, Chief Executive Officer of the La Poste Network;
- Serge Bayard, Head of Businesses and Territorial Development;
- Catherine Charrier-Leflaive, Assistant Head of the La Poste Network in charge of business development, Head of Retail Banking and Insurance;
- Philippe Cuvelier, Deputy Head of Information Systems;
- Régis Folbaum, Head of Payments;
- François Géronde, Head of Group Risk;
- Alice Holzman, Head of Digital and Communication;
- Olivier Lévy-Barouch, Head of Strategy and Innovation;
- Guillaume de Lussac, Chief Executive Officer of La Banque Postale Prévoyance;

- Florence Lustman, Chief Financial Officer, Director of Public Affairs;
- Stéphane Magnan, Head of the Corporate and Investment Bank;
- Didier Moaté, Head of Human Resources, Executive Vice-President of the La Poste Network;
- Franck Oniga, Head of Marketing for La Banque Postale;
- Patrick Renouvin, Head of the Solutions Division;
- Jean-Marc Ribes, Head of the Wealth Management Division and Chairman of the Executive Board of BPE;
- Dominique Rouquayrol de Boisse, Head of Legal Affairs;
- Daniel Roy, Head of the Asset Management Division;
- Pierre-Manuel Sroczyński, Head of Compliance;
- Julien Têtu, Chairman of the Executive Board of La Banque Postale Financement;
- Christophe Van de Walle, Internal Auditor;
- Robert Villani, Executive Vice-President of the La Poste Network in charge of organisation, risk and the customer experience, Head of Operations.

Nine special committees:

- the Group Risk Management Committee;
- the Group ALM Committee;
- the Group Capital Management Committee;
- the Strategy Committee for Information Systems and Major Projects;
- the Marketing Strategy Committee;
- the Internal Control Coordination and Business Ethics committee;
- the Group Investment Committee;
- the Management Monitoring committee for third parties;
- the Customer Committee.

Minutes are always drafted after each meeting by the Company Secretary and submitted to the Chairman of the committee for approval.

2.1.4 Remuneration

2.1.4.1 Principles and rules for setting the remuneration of corporate officers

La Banque Postale, based on the work of the Compensation Committee, has applied principles and rules to set the remuneration of corporate officers in accordance with the main recommendations of the Afep/Medef Code and the provisions of the decree of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sectors, subject to the control of the French Prudential Supervision and Resolution Authority (ACPR).

Remuneration has been reviewed following the order of 15 October 2012 subjecting La Banque Postale to the provisions of Article 3 of the decree of 9 August 1953, as amended by the decree of 26 July 2012 on State control over the remuneration of the managers of public companies. In accordance with the provisions of the French Monetary and Financial Code and the Afep/Medef Code, the individual remuneration for corporate executive officers and the total sum allocated to employee managers and market professionals during the financial year were subject to an advisory vote of the shareholders during the Annual General Meeting of 30 May 2017.

Rules for determining the remuneration of Executive Board members

Fixed and variable remuneration

On the proposal of the Compensation Committee, the Supervisory Board determines the remuneration of the Executive Board.

Since 15 October 2012, in accordance with Article 3, as amended, of the decree of 9 August 1953, the Minister of the Economy must be consulted before any decisions are made relating to the remuneration components for the activities of Executive Board members and its Chairman and must approve them. This remuneration must not exceed a gross amount set by decree; this amount is currently €450,000.

Consequently, the Chairman of the Executive Board now only receives a fixed remuneration, equal to the limit, part of which is paid by La Poste pursuant to an employment contract made necessary by the postal model of La Banque Postale that appointed him Head of the La Poste Financial Services Department (Financial Centres).

Anne-Laure Bourn is paid in respect of her employment contract with the Le Groupe La Poste.

Members of the Executive Committee do not receive any remuneration from La Banque Postale other than that paid in respect of their appointment as Company officers, nor any remuneration for their terms exercised in the subsidiaries of the La Banque Postale Group.

The variable annual remuneration of Marc Batave and Tony Blanco for 2017 is determined on the basis of three elements:

- ▶ The commercial and financial performance, weighted at 60%, is analysed based on nine indicators, six of which are related to financial performance:
 - (i) the economic contribution of the subsidiaries;
 - (ii) the trend in net banking income from corporations;
 - (iii) consolidated net banking income;
 - (iv) the cost/income ratio;
 - (v) pre-tax income excluding exceptionals;
 - (vi) return on equity.

Sales performance is analysed using confidential indicators.

- ▶ Qualitative targets, weighted at 30%, are focused on adherence to the La Banque Postale's values, the social performance measured through training programmes, support for employees transferring between business lines, the quality of working life, the successful execution of the Bank's major programmes and the quality of customer service.
- ▶ Lastly, 10% of variable remuneration depends on the achievement of the quantitative targets of the Chairman of the La Poste Group.

For 2018, the Supervisory Board meeting of 27 February 2018 made changes to the criteria and weightings of the objectives determining the variable remuneration of Marc Batave and Tony Blanco. Thus, for the financial year 2018, their variable remuneration is capped at

10% of their fixed remuneration and will be determined according to achievements in three categories of objectives:

- ▶ 2018 Quantitative objectives of the Le Groupe La Poste, with a 10% weighting;
- ▶ qualitative objectives, weighted at 40%, notably measuring the increase in customer satisfaction, compliance with the values of La Banque Postale and social performance, increased efficiency of risk control and compliance, implementation of the major programmes of La Banque Postale;
- ▶ quantitative objectives weighted at 50% including sales performance criteria (confidential indicators) and financial performance criteria, namely:
 - the economic contribution of the subsidiaries,
 - the trend in NBI from corporations,
 - consolidated NBI,
 - the cost/income ratio,
 - pre-tax income excluding exceptionals.
 - Return on equity

Other benefits or compensation

Remy Weber, Marc Batave and Tony Blanco receive the health and personal risk insurance taken out by La Banque Postale for all La Banque Postale employees. They also receive additional personal risk insurance coverage for all executive managers and a Company car.

Anne-Laure Bourn receives the health and personal risk insurance taken out by La Poste for all La Poste employees, as well as the supplementary health and personal risk insurance for all La Poste executive managers. She also receives a Company car.

The members of the Executive Board do not receive non-competition compensation and are not awarded equity or debt options on the Company's capital or performance-based shares.

Lastly, executive corporate officers do not benefit from a complementary retirement scheme.

Severance compensation

In accordance with Article 3 of the decree of 9 August 1953, as amended on 26 July 2012, remuneration, compensation or benefit payments due or likely to fall due to members of the Executive Board or its Chairman, as a result of the termination of activity or a change in position or subsequent thereto, must also be approved by the Minister of the Economy.

Following decisions of the Supervisory Board on 27 February, 31 July and 15 October 2013, the termination of the term of office of the members of the Executive Board, in the case of revocation during a term or at the time of a merger, a change of control or strategy leading to the departure of a member of the Executive Board, and when there is no gross misconduct or serious misconduct and no deficiency seriously affecting the financial position of the Company, can give entitlement to compensation.

For the Chairman of the Executive Board, this compensation would be equal to twice the amount of fixed annual remuneration set on the day of termination of office. The severance compensation due to Marc Batave would be the aggregate amount of his last annualised fixed remuneration on the date of termination of his duties, plus the average of the annualised variable component of his remuneration over the last three years.

The payment of this compensation is subject to compliance with a performance condition, i.e. the Executive Board must have a success rate of 80% or higher in meeting the annual targets for two out of the last three financial years ended. These objectives are identical to those determining the variable portion of the members of the Executive Board.

Following exchanges between the French State Investment Agency (Agence des participations de l'État) and La Poste, the members of the Executive Board cannot receive compensation in cases where their terms are not renewed.

Marc Batave opted for an unemployment insurance policy taken out with La Banque Postale and providing compensation in all cases limited to one year's remuneration over the chosen compensation period. This insurance policy will replace the severance compensation listed above on completion of the waiting period.

As the unemployment insurance (GSC) policy stops payments, in any case, on the date that the policyholder liquidates their basic compulsory pension scheme, it is agreed that from this date Marc Batave could benefit from severance pay according to the modalities described above.

Rules for determining the remuneration of Supervisory Board members

Members of the Supervisory Board receive attendance fees which, in compliance with the order of 15 October 2012 making La Banque Postale subject to Article 3 of the decree of 9 August 1953 as amended, must be approved by the French Minister of the Economy.

The attendance fees policy is proposed to the Supervisory Board by the Compensation Committee. This policy, which is set using benchmark analysis performed by a panel of banks, insurance companies and a sample of companies in which the Government has a stake, is detailed below.

Attendance fees are allocated to all members of the Supervisory Board with the exception of members representing the employees.

A yearly lump sum of attendance fees is allocated to the Chairman of the Supervisory Board.

The amount of attendance fees paid to the other Board members is calculated on the basis of their actual attendance at meetings of the Supervisory Board and the committees, with the Chairman of each committee receiving an additional annual fixed amount.

Since financial year 2013, attendance fees are paid twice yearly:

- ▶ a first payment, in the form of an advance calculated using the above-mentioned method, according to the number of Board and Committee meetings held during the first half of the current year;
- ▶ a second payment made following the approval of the total annual amount of the individual attendance fees by the Minister of the Economy.

Pursuant to the internal regulations of the La Poste Group, the attendance fees allocated to the members of the Supervisory Board from the La Poste Group are paid to La Poste. In addition, these members do not receive any attendance fees in respect of their positions in companies in the La Banque Postale Group.

The maximum total sum authorised, set by the General Meeting, is €450,000 (amount unchanged since 2006). It will be proposed to the Annual General Meeting of 16 April 2018 that this amount be raised to €550,000.

Attendance fees due for the 2017 financial year

The Chairman of the Supervisory Board received an annual lump sum in attendance fees for the 2016 financial year of €90,000. The amount allocated to each member of the Supervisory Board was calculated on a pro rata basis of their actual attendance with the limit of €15,000 per year.

In addition, the Chairmen of the Audit and Risk Committees received €12,000 in recognition of their position, while the Chairmen of the Appointments, Compensation and Strategy Committees each received €8,000. Finally, the members of the committees received €1,500 per meeting attended.

Members of the Supervisory Board and the Board's committees from the La Poste Group did not receive their attendance fees, which were directly paid to La Poste. In the same way, the attendance fees for the French Government were paid to the Treasury.

2.1.4.2 Remuneration paid

The data on remuneration provided below complies with the principles and rules of determination adopted by La Banque Postale and described in detail in the report of the Chairman of the Supervisory Board.

Remuneration of members of the Supervisory Board for the 2016 and 2017 financial years

Amount of the attendance fees and other remuneration paid to the members of the Supervisory Board in connection with their appointments within the La Banque Postale Group

Name of the corporate officer	Gross amounts due for 2016 (€)	Recipient	Gross amounts due for 2017 (€)	Recipient
Philippe Wahl ⁽¹⁾				
Attendance fees	90,000	La Poste	90,000	La Poste
Other exceptional remuneration	-		-	
Philippe Bajou				
Attendance fees	12,857	La Poste	15,000	La Poste
Other exceptional remuneration	-		-	
Yves Brassart				

Name of the corporate officer	Gross amounts due for 2016 (€)	Recipient	Gross amounts due for 2017 (€)	Recipient
Attendance fees	34,357	La Poste	44,000	La Poste
Other exceptional remuneration	-		-	
Virgile Bertola				
Attendance fees	25,500	La Poste	34,500	La Poste
Other exceptional remuneration	-		-	
Sylvie François				
Attendance fees	14,357	La Poste	13,000	La Poste
Other exceptional remuneration	-		-	
Jean-Paul Forceville ⁽²⁾				
Attendance fees	2,143	La Poste	-	-
Other exceptional remuneration	-		-	
Georges Lefebvre ⁽³⁾				
Attendance fees	2,143	La Poste	-	-
Other exceptional remuneration	-		-	
Nicolas Routier				
Attendance fees	15,000	La Poste	12,500	La Poste
Other exceptional remuneration	-		-	
Nathalie Dieryckxvischers				
Attendance fees	16,071	The French State	-	The French State
Other exceptional remuneration	-		-	
Elisabeth Ayrault				
Attendance fees	10,071	The person concerned	24,500	The person concerned
Other exceptional remuneration	-		-	
Sophie Lombard				
Attendance fees	26,357	The person concerned	51,500	The person concerned
Other exceptional remuneration	-		-	
Christiane Marcellier ⁽⁴⁾				
Attendance fees	48,786	The person concerned	-	-
Other exceptional remuneration	-	-	-	-
Didier Ribadeau Dumas ⁽⁵⁾				
Attendance fees	74,857	The person concerned	77,500	The person concerned
Other exceptional remuneration	-	-	-	-
Jean-Robert Larangé				
Attendance fees	-	-	-	-
Other exceptional remuneration	-	-	-	-
Steeve Maigne				
Attendance fees	-	-	-	-
Other exceptional remuneration	-	-	-	-
Françoise Paget Bitsch				
Attendance fees	-	-	-	-
Other exceptional remuneration	-	-	-	-
Thierry Freslon				
Attendance fees	-	-	-	-
Other exceptional remuneration	-	-	-	-

Name of the corporate officer	Gross amounts due for 2016 (€)	Recipient	Gross amounts due for 2017 (€)	Recipient
Hélène Wolff				
Attendance fees	-	-	-	-
Other exceptional remuneration	-	-	-	-
TOTAL	372,499		362,500	

In addition,

- (1) Philippe Wahl received remuneration from *La Poste* in 2017 that included benefits in kind of €453,542.
- (2) Jean-Paul Forceville resigned from *La Banque Postale's* Supervisory Board following the meeting of 15 April 2016.
- (3) Georges Lefebvre resigned from the Supervisory Board following the meeting of 15 April 2016.
- (4) Christiane Marcellier resigned from the Supervisory Board following the meeting of 15 April 2016. She received €23,500 in attendance fees for her term of office at *La Banque Postale Asset Management* for 2017.
- (5) Didier Ribadeau-Dumas received €9,000 in attendance fees for his term of office at BPE. In addition, he received €27,500 in attendance fees for his term of office at *Poste Immo* in respect of 2017.

Corporate officers do not benefit from equity or debt options on the Company's share capital or performance based shares, and for this reason, the Company does not complete the tables 4 to 10 requested by the AMF's recommendations relating to corporate officers' remuneration.

Remuneration of employee representative members on the Supervisory Board

Employee representative members on the Supervisory Board do not receive any remuneration in respect of their Supervisory Board appointment. All gross remuneration (including the variable component) paid to employee representatives on the Supervisory Board under their employment contracts totalled €315,515 in 2017.

Remuneration of the members of the Executive Board for 2016 and 2017

Standardised tables that comply with the Afep/Medef recommendation and the AMF recommendation of 22 December 2008

TABLE 1. SUMMARY OF THE GROSS REMUNERATION, SHARE OPTIONS AND SHARES AWARDED TO EXECUTIVE BOARD MEMBERS

(€ '000s)	2016 financial year	2017 financial year
Rémy Weber		
Gross remuneration payable for the financial year (details in Table 2)	453,456	453,456
Value of multi-year variable remuneration during the financial year	-	-
Value of share options awarded during the financial year	N/A	N/A
Value of performance-based shares awarded during the financial year	N/A	N/A
Total	453,456	453,456
Marc Batave		
Gross remuneration payable for the financial year (details in Table 2)	420,036	415,778
Value of multi-year variable remuneration during the financial year	-	-
Value of share options awarded during the financial year	N/A	N/A
Value of performance-based shares awarded during the financial year	N/A	N/A
Total	420,036	415,778
Tony Blanco		
Gross remuneration payable for the financial year (details in Table 2)	-	145,257
Total	-	145,257
Anne-Laure Bourn		
Gross remuneration payable for the financial year (details in Table 2)	393,674	289,471
Value of multi-year variable remuneration during the financial year	-	-
Value of share options awarded during the financial year	N/A	N/A
Value of performance-based shares awarded during the financial year	N/A	N/A
Total	393,674	289,471
EXECUTIVE BOARD TOTAL	1,267,166	1,303,962

The variable remuneration of Anne-Laure Bourn, for 2017 has not been determined at the date of this Document.

TABLE 2. SUMMARY OF THE GROSS REMUNERATION, SHARE OPTIONS AND SHARES AWARDED TO EXECUTIVE BOARD MEMBERS

(€ '000s)	2016 financial year		2017 financial year	
	Amounts payable for the financial year	Amounts paid during the financial year	Amounts payable for the financial year	Amounts paid during the financial year
Philippe Wahl ⁽¹⁾				
Fixed remuneration	-	-	-	-
Variable annual remuneration	-	-	-	-
Multi-year variable remuneration*	-	25,139	-	-
Severance compensation	-	-	-	-
Attendance fees ⁽²⁾	-	-	-	-
Benefits in kind	-	-	-	-
Total	-	25,139		
Rémy Weber				
Fixed remuneration	450,000	450,000	450,000	450,000
Of which paid by La Banque Postale	360,000	360,000	360,000	360,000
Of which paid by La Poste	90,000	90,000	90,000	90,000
Variable annual remuneration	-	-	-	-
Multi-year variable remuneration	-	-	-	-
Severance compensation	-	-	-	-
Attendance fees ⁽²⁾	-	-	-	-
Benefits in kind ⁽³⁾	3,456	3,456	3,456	3,456
Total	453,456	453,456	453,456	453,456
Marc Batave				
Fixed remuneration	315,000	315,000	315,000	315,000
Variable annual remuneration	83,690	79,050	79,097 ⁽⁴⁾	83,690
Multi-year variable remuneration	-	-	-	-
Severance compensation	-	-	-	-
Attendance fees ⁽²⁾	-	-	-	-
Benefits in kind ⁽³⁾	21,346	21,346	21,681	21,681
Total	420,036	415,396	415,778	420,371
Tony Blanco				
Fixed remuneration	-	-	133,333	133,333
Variable annual remuneration	-	-	11,924 ⁽⁴⁾	-
Multi-year variable remuneration	-	-	-	-
Severance compensation	-	-	-	-
Attendance fees ⁽²⁾	-	-	-	-
Benefits in kind ⁽³⁾	-	-	-	-
Total	-	-	145,257	133,333
Anne-Laure Bourn ⁽⁵⁾				
Fixed remuneration	270,360	270,360	285,360	285,360
Variable annual remuneration	119,178	47,992	⁽⁶⁾	117,585
Multi-year variable remuneration	-	-	-	-
Severance compensation	-	-	-	-
Attendance fees ⁽²⁾	-	-	-	-
Benefits in kind ⁽³⁾	4,136	4,136	4,111	4,111
Total	393,674	322,488	289,471	407,056
EXECUTIVE BOARD TOTAL	1,267,166	1,216,479	1,303,962	1,414,216

(1) The multi-year remuneration paid to Philippe Wahl corresponds to the deferred variable remuneration for the years 2011 and 2012. The variable remuneration amounts exceeding the threshold of €150 thousand spread over three years.

(2) Members of the Executive Board do not receive attendance fees for terms of office held in La Banque Postale Group companies.

(3) For Rémy Weber, the benefits in kind correspond to a Company car. For Marc Batave, they correspond to a Company car and senior executive unemployment insurance (GSC). For Tony Blanco, they correspond to a Company car and senior executive unemployment insurance (GSC). For Anne-Laure Bourn, they correspond to a Company car and a debit card benefit.

(4) Subject to approval by the Minister of the Economy.

(5) Anne-Laure Bourn is a member of the Executive Board since 25 May 2016. She is paid by La Poste.

(6) The variable remuneration of Anne-Laure Bourn, has not been determined at the date of this Document.

TABLE 3. EMPLOYMENT CONTRACTS, SUPPLEMENTARY PENSION PLANS AND COMPENSATION FOR EXECUTIVE CORPORATE OFFICERS

Executive corporate officers	Employment contract with La Banque Postale		Supplementary pension plan		Other benefits or compensation payable or likely to be payable on account of a termination or a change in position		Compensation related to a non-competition clause	
	Yes	No	Yes	No	Yes	No	Yes	No
Rémy Weber Chairman of the Executive Board since 15 October 2013		✓		✓	✓			✓
Marc Batave Member of the Executive Board since 9 January 2013		✓*		✓	✓			✓
Anne-Laure Bourn Member of the Executive Board Since 25 May 2016		✓		✓		✓		✓
Tony Blanco Member of the Executive Board Since September 2017		✓		✓	✓			✓

* Marc Batave's employment contract has been suspended since 9 January 2013.

Benefits allocated to managers for termination or change of position

No benefits were allocated to managers for termination or change of position during the 2016 and 2017 financial years.

Supplementary pension arrangements made for the benefit of Executive Board members

As of 31 December 2017, La Banque Postale had made no supplementary pension arrangements for Executive Board members.

Remuneration of members of the General Management Committee

In 2017, the total gross remuneration (including the variable portion) paid under employment contracts to members of the General Management Committee, excluding members of the Executive Board and excluding Robert Villani who is paid by La Poste, amounted to €6,963,639.

No other remuneration was paid to members of the General Management Committee. Moreover, they do not receive attendance fees for appointments that they hold in Group companies.

Members of the Executive Committee receive termination pay established in accordance with the collective bargaining agreements, valued at a total of €940,000.

Remuneration of regulated employees

The Compensation Committee, pursuant to the decree of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sectors, subject to the French Prudential Supervision and Resolution Authority (ACPR), has prepared the work for the Supervisory Board, which then decided on the remuneration policy for regulated employees proposed by the Executive Board.

The Board therefore issued a positive opinion on La Banque Postale's remuneration policy, which has established a global framework for the variable remuneration of the Bank's regulated employees, so as not to jeopardise its ability to generate equity and have a negative impact on its liquidity.

That framework is based on the joint fulfilment of the following two criteria:

- ▶ the total amount of variable remuneration cannot exceed 30% of the fixed remuneration;
- ▶ the total amount of variable remuneration must not exceed 5% of La Banque Postale's consolidated gross operating income.

Professionals affected at La Banque Postale

Pursuant to Article L. 511-71 of the French Monetary and Financial Code, the rules relating to remuneration policy are applied to managers of the institution concerned and to those personnel categories, including risk takers, individuals exercising a control function and any employee who, in light of their total income, is in the same pay band, and whose professional activities have a significant impact on the risk profile of the Company or the Group.

EU Delegated Regulation no. 604/2014 enacted by the European Commission on 4 March 2014 adopted technical regulatory standards regarding appropriate qualitative and quantitative criteria to identify the categories of employees whose professional activities have a significant impact on an institution's risk profile.

Within La Banque Postale, employees concerned by the rules relating to the remuneration policy and practices of credit institutions in 2017 are:

- ▶ management: EXCOM members;
- ▶ persons in supervisory positions: the three directors with supervisory roles, *i.e.*, the Head of Risk, the Head of Compliance and the Head of Internal Audit;
- ▶ risk takers: the Head of the Corporate and Investment Bank (CIB) and market traders.

The remuneration principles of La Banque Postale

Principle of proportionality for variable remuneration

In view of its internal organisation, the nature, extent and low complexity of its activities, and the very low exposure to risk of the activities of La Banque Postale, which come under the scope of the decree of 3 November 2014, the La Banque Postale Group has established a remuneration policy that guarantees an annual cap and a principle of deferred payment in accordance with the requirements provided by Articles L. 511-75 to L. 511-88 of the French Monetary and Financial Code. However, it was not judged necessary to set up a clawback scheme covering variable remuneration, given the low risk exposure.

In effect, La Banque Postale:

- ▶ primarily operates Retail Banking activities for natural persons;
 - ▶ at this point in time, the financing of legal entities is a minor activity compared to La Banque Postale's overall NBI;
 - ▶ the Financial Transactions Department's activities are nearly exclusively focused on the rate markets to hedge its home loan operations and it invests its excess cash in the interbank market.
- In effect, La Banque Postale.

Annual cap on variable remuneration

The variable remuneration paid to the employees in question during a financial year may not exceed 100% of the fixed remuneration.

Variable remuneration will be subject to deferred payment, in accordance with the procedures laid down below, for any employee concerned within La Banque Postale who enjoys variable remuneration in excess of:

- ▶ €150,000 for members of La Banque Postale's Executive Committee;
- ▶ €150,000 for the directors exercising a control function (the Head of Risk, the Head of Compliance and the Internal Auditor);
- ▶ €150,000 for the Head of the Corporate and Investment Bank (CIB); and
- ▶ €100,000 for the traders.

Moreover, under decree no. 2012-915 of 26 July 2012 relating to State control of the remuneration of corporate executive officers of public companies, which institutes a mechanism for capping the remuneration of corporate executive officers of public institutions and companies at an annual gross amount of €450,000, the Chairman of the La Banque Postale Executive Board receives no variable remuneration.

Principle of deferred, conditional payment of variable remuneration

In accordance with the rules relating to the remuneration policy and practices for credit institutions, La Banque Postale has implemented a deferred payment mechanism, over a period of three years, for the variable part of the remuneration of the employees involved.

All variable remuneration is spread out in accordance with the following procedures:

- ▶ above the variable remuneration thresholds set above, according to the professional categories in question, a part of the variable portion is paid in the year following the one in which the variable portion is recognised (the "Paid Component") and the remainder of the variable remuneration is deferred (the "Deferred Component") over the three years following the year in which payment of the Paid Component is made;
- ▶ the Paid Component accounts for 60% of total variable remuneration and the Deferred Component for 40% of the variable remuneration;
- ▶ the Deferred Components are paid in equal amounts over three years, each year in March;
- ▶ the Deferred Component is reassessed based on growth in La Banque Postale's equity between the financial period with which the variable remuneration is associated and the liquidation date of the remuneration subject to deduction of the capital increases subscribed by third parties and setting aside any changes in the dividend distribution rate.

Payment of any Deferred Component likely to be made to the employees in question is subject to achieving positive net income on a consolidated basis at the end of the year preceding that in which the payment is made.

Guaranteed variable remuneration

Regulated employees cannot be granted guaranteed variable remuneration beyond the first year of engagement of the regulated employee concerned which is subject to La Banque Postale Group still being in a healthy and solid financial position.

The Supervisory Board meeting of 27 February 2018 approved these principles.

2.1.4.3 Presentation of the resolutions of the General Meeting relating to remuneration

2.1.4.3.1 Opinion on the remuneration of Executive Board members and regulated employees

In application of Article L. 225-100 of the French Commercial Code, the amount of variable or exceptional remuneration for which payment is subject to approval by an Ordinary General Meeting, under the conditions stipulated in Article L. 225-82-2 of the French Commercial Code, for the year just ended, of the Chairman of the Executive Board and the other Executive Board members may not be paid until a General Meeting has approved the components of remuneration of the person in question.

The remuneration components concerned are listed in the tables above. Four resolutions will be presented at the General Meeting in application of this recommendation; one for the Chairman of the Executive Board and one for the three other members of the Executive Board.

In accordance with Article L. 511-73 of the French Monetary and Financial Code, the General Meeting is consulted yearly with regard to the overall remuneration budget for all types of remuneration paid during the year just ended to the persons mentioned in Article L. 511-71 of said Code. The amount of this budget totalled €8,383,599 for 2017.

2.1.4.3.2 Remuneration policy for corporate officers – Approval of the principles and criteria for determining, allocating and attributing fixed, variable and exceptional remuneration components making up the overall remuneration and benefits awarded to corporate officers

In application of Article L. 225-82-2 of the French Commercial Code, the Supervisory Board also submits for approval by the General Meeting the principles and criteria applicable when setting, allocating and attributing the fixed, variable and exceptional components making up the overall remuneration and benefits of all type that may be paid to corporate officers, *i.e.* the Chairman and members of the Supervisory Board, for their terms of office carried out in 2018 and that constitute the remuneration policy relating to them.

These principles and criteria approved by the Supervisory Board based on the recommendations of the Compensation Committee are presented in point 2.4.1] and will be submitted for approval to the Annual General Meeting. In application of Article L. 225-100 of the French Commercial Code, the amounts resulting from the application of these principles and criteria will be submitted for approval by the shareholders at the General Meeting that will approve the financial statements for 2018.

Approval of the commitments relating to severance compensation due in certain cases of termination of duties of an Executive Board member

In accordance with Article L. 255-90-1 of the French Commercial Code, for companies whose shares are admitted for trading on a regulated market, the commitments taken by the Company in favour of a member of the Executive Board and corresponding to components of remuneration, compensation, or benefits due or likely to be due as a result of the termination of their duties or a change in their duties are subject to the procedure for related-party agreements governed by Articles L. 255-86 and following of said Code.

In application of Article L. 255-88, the approval of the General Meeting is required at the beginning, as well as at each renewal, of the term of office carried out by the beneficiary.

In this respect, the General Meeting must decide on the severance compensation of Rémy Weber and Marc Batave, whose terms were renewed on 27 February 2018 and are described in the special report of the statutory auditors. This compensation will be the subject of a specific resolution for each of the corporate officers concerned, in accordance with Article L. 255-90-1 of the Commercial Code.

Setting attendance fees

Lastly, the General Meeting must decide on the annual budget for attendance fees to be attributed to the members of the Supervisory Board, for which an increase from €450,000 to €550,000 has been proposed.

LA BANQUE POSTALE GROUP BUSINESS ACTIVITY AND RESULTS

3

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3.1 BUSINESS ENVIRONMENT AND HIGHLIGHTS

3.1.1 Economic and financial environment

Acceleration in world growth

World growth has accelerated since mid-2016. It exceeded its long-term average (3.5% since the beginning of the 1990s) in the second half of 2017. Stronger business activity in the euro zone made a significant contribution (see below). American growth has also accelerated strongly since the spring. It was close to 2.5% annually over the year, exceeding its long-term potential (just under 2%). Although the employment rate fell significantly (just over 4%), wages have not really increased. This enabled the Fed to maintain its gradual pace of monetary policy normalisation. Lastly, a programme of tax cuts for households and companies was voted by Congress in December. It should stimulate growth starting in 2018. During 2017, the Chinese authorities moderated their monetary and budgetary support, which was very active in 2016. However, growth did not slow significantly. In addition, Russia came out of recession thanks to the rise in oil prices in 2017. Brazil, which is still vulnerable as a result of political instability, returned to growth thanks to good harvests and dynamic household consumption. Growth accelerated in India at the end of 2017. And, in Japan, GDP grew at a good pace in 2017 thanks to a positive global economic environment.

Consolidation of the euro zone recovery

Euro zone growth consolidated in 2017 with an increase in GDP of 2.4% on an annual average. Economic climate surveys reached a very high level at the end of the year. While household consumption suffered somewhat from firmer oil prices, exports benefited from a favourable international environment despite the slightly stronger euro. Company investments in capital equipment increased for the fourth consecutive year. Unemployment ebbed in nearly all countries, but the differences in unemployment rates remain high.

Growth stabilised around 1.5% annually in the United Kingdom. Inflation exceeded 3% at the end of the year, which led the Bank of England to increase its key rate in November.

More growth and job creation in France

In step with the euro zone, growth in France strengthened in 2017 with an increase in GDP of an annual average of 1.9%. Company investment remained dynamic, boosted by the extension of the fiscal overdamping measure at the beginning of 2017. Exports behaved somewhat chaotically as a result of issues with aeronautical deliveries. The real estate market rebounded in the first part of the year as a result of very low interest rates and expectations that they would rise in the future. There was, however, a slowdown in the second half of the year. Net job creation was robust in the first-half of the year, a sign of a more dynamic economy and the result of special measures (lower cost of employment, etc.). The pace slowed somewhat after that (first impact of the decrease in the number of subsidised jobs). The unemployment trend moderated, but the retreat was limited. While household consumption was boosted by job creation, it was hampered by the moderate gains in salary purchasing power.

Slowdown in inflation after a peak at the start of 2017

After a drop in the first-half of the year, the price of oil rebounded in the second half. The price of a barrel of North Sea Brent, which was a

little under \$US50 in June increased to nearly \$US65 by December. It was supported by stronger global oil consumption and the application of quotas adopted by OPEC and other producing countries, including Russia, at the end of 2016. In addition American production increased less than expected.

The price of oil impacted the inflation profile of the euro zone and France. After reaching 2% in February, then declining to 1.3% in June, the change in euro zone consumer prices over a year settled around 1.5%. Underlying inflation (excluding energy and food) struggled to gain traction and remained close to 1% a year despite a very favourable economic environment. French inflation remained significantly lower than in the euro zone (1.2% in December for the overall index).

Continued low interest rates in the United States and Europe; strong rise in the stock markets

Despite the acceleration in world growth and the prospect of cautious normalisation of the Fed and ECB monetary policies, medium-term interest rates remained low in the United States and the euro zone given the economic fundamentals. In the United States, the 10-year government bond rate lost a little ground over the year after recovering at the end of 2016 following Donald Trump's election. The US 10-year Treasury note lost close to 10 basis points over the year and was 2.40% in December. Likewise, medium-term euro zone interest rates remained very low as a result of the weak inflation observed and anticipated. In addition, despite a reduction in monthly amounts from April on, ECB securities purchases continued to weigh on rate levels. The yield on the German Bund changed little between the end of 2016 (0.3%) and the end of 2017 (0.35%). For its part, the 10-year OAT rate decreased somewhat over the year, to a little less than 0.70% in December 2017, compared to 0.75% a year earlier. However, this was mainly due to the fall in the political risk premium on French public borrowing due to uncertainty about the results of the presidential election at the end of 2016 and in early 2017.

In addition, euro zone interbank interest rates changed very little over the year. They remained negative as a result of the ECB's monetary policy. The latter maintained the rate on its deposit facility for commercial banks at -0.4%, currently the true key rate for the euro zone. As a result, the Eonia stagnated at about -0.35%. For its part, the Euribor 3-months hovered around -0.33%.

The interest rates on French regulated savings accounts (Livret A, Sustainable Development account, National Savings account (LEP), Home Savings) remained stable. The rate of the Livret A has been maintained at 0.75% since August 2015. Likewise, the rate on the PEL home ownership saving scheme (Plan d'épargne logement) did not change, after it was lowered to 1% in August 2016.

Stock markets rallied strongly in 2017 in both the US and the euro zone thanks to earnings growth of listed companies against the backdrop of a favourable world economy. The main US indices went from record to record, buoyed at the start of the year by investor optimism kindled by Donald Trump's promise to lower the corporate tax rate. In the euro zone, the Catalan crisis didn't shake investor confidence or rising prices. In all, the CAC 40 gained 9% over the year, to stand at 5,313 points at the end of December.

3.1.2 2017 highlights

La Banque Postale continued its transformation in 2017. It completed its distribution model with value-added expertise units for customers. It accelerated the digitalisation of its product line and actively deployed its operational efficiency programmes.

A distribution model completed with value-added expertise units for all customers

La Banque Postale financed new real estate projects for its private customers for a total of €13.5 billion in 2017, in a very low rate environment. Loan delegations were deployed within the Network and 33 “home loan expert units” were created with 326 specialised advisors in 37 Regional Network Offices.

La Banque Postale reached a new milestone in its strategy to win over high-net-worth customers by opening 22 dedicated private management locations in its network of post offices, while doubling the number of advisors with the expertise required to meet the needs of this customer base. There are now 900 dedicated advisors serving 629,000 high-net-worth customers (+3.9%).

In addition, the Very Small Enterprises and Pros bank pursued its deployment with nearly 100 new customer managers deployed in the Network bringing their number to a total of 317.

Lastly, to support these changes in the distribution model, the “Ecole de la Banque et du Réseau” provided 312,000 training days in 2017.

Strengthening of specialised activities

The Asset Management subsidiaries continued to grow strongly in 2017. La Banque Postale Asset Management solidified its role as a major player in asset management in France with increased capacity to provide savings options suited to all types of customers. It strengthened its relationship with CNP Assurances which entrusted it with a new management mandate for an additional €24 billion. In addition, the merger with Ciloger-AEW in 2016 enabled La Banque Postale to take full advantage of its pan-European real estate expertise.

In October 2017, La Banque Postale announced that it would consolidate its market, structured financing and asset and project management financing activities within a new entity called “Corporate & Investment Bank”. This change is part of an activities diversification strategy by the Bank and its intent to complete its offering to legal entities and its high-net-worth customers while continuing its cautious risk management in line with its civic values.

La Banque Postale Crédit Entreprises’ commercial activity was dynamic in 2017, driven by all customer segments: 12% increase in the production of home loans over the year, acceleration in the production of equipment lease-financing (+31%) and in factoring (€4.7 billion in revenue purchased in 2017).

Acceleration in the digitisation of the product offering

La Banque Postale increased its commitment to crowdfunding in July 2017 with the acquisition of 100% of KissKissBankBank&Co, a European leader in the field, with which it had been a partner since 2011. This acquisition materialised La Banque Postale’s commitment to providing civic-minded products and services which meet the new expectations of its customers.

After dedicating 2017 to the development of “Ma French Bank”⁽¹⁾, its 100% digital bank, La Banque Postale, received approval from the ECB as a non-investment services credit institution effective 25 January 2018. It will be in test phase with a first Group of customers and Group employees starting at the end of 2018.

La Banque Postale is innovative and has launched several new payment products: *Touch ID* for authentication without entering a username/password, *Certicode +*, to optimise the security of transactions carried out on La Banque Postale’s mobile application and *Paylib sans contact*, a payment service via telephone for purchases made in shops.

In the Very Small Enterprises and Professional market, a strategic growth area, La Banque Postale launched an online “e-credit” site in November 2017 to meet the financing needs of Very Small Enterprises and professional customers. The site accepts loan applications (medium-/long-term and real estate finance-leasing) for amounts ranging from €3,000 to €20,000.

Overall, La Banque Postale’s digital activity in 2017 was positive with a 15% increase in the number of monthly visits to online points of contact, reaching 100 million (of which 55 million via the mobile application, i.e. a 35% increase).

La Banque Postale is also very involved in the challenges of the future. It is a founding member of the “Hub France IA” non-profit whose goal is to create a French Artificial Intelligence industry by mobilising the large ecosystem involved in the field. The Hub France IA initiative runs parallel to the mission entrusted by Emmanuel Macron, the President of the Republic, to the mathematician and Deputy Cédric Villani, to provide France with an Artificial Intelligence strategy.

The pursuit of operational efficiency

Following the specialisation of the retail bank’s middle and back offices and the redesign of the customer relationship management tools, “Excellence 2020”, the third major project to improve operational effectiveness implemented by La Banque Postale, delivered its first results in 2017. Excellence 2020 consists in a review of the 30 main processes of the bank, its insurance and financial services to optimise their effectiveness. The programme is based on an information systems investment plan of €1 billion between 2015 and 2020.

(1) In accordance with the approval decision, the name MA FRENCH BANK remains subject to ECB authorisation.

La Banque Postale demonstrated its financial strength

The European Central Bank informed La Banque Postale of its new minimum CET1 requirement, applicable as of 1 January 2018. It is 8.3125% on a consolidated basis, including the additional "P2R" requirement, compared to a Common Equity Tier 1 ratio of 13.1% at 31 December 2017 (13.4% fully-loaded), which puts La Banque Postale well above regulatory requirements.

LCR⁽¹⁾ was 157.4% at 31 December 2017 compared to 179.5% at 31 December 2016⁽²⁾. This change illustrates La Banque Postale's strong investment dynamic of its excess liquidity in profitable assets, while ensuring that it retains a very good liquidity position. In October 2017, La Banque Postale carried out its inaugural issue of €500 million in Non-Preferred Senior Debt, a new debt class eligible for the MREL⁽³⁾. The success of the issue translated into an order book subscribed several times over and the tightest issue spread among French banks since the creation of this type of instrument, reflecting the high level of investor confidence in La Banque Postale and its strong ability to access capital markets.

La Banque Postale remained faithful to its civic values, the foundation of its growth strategy, throughout 2017

La Banque Postale launched the first conference focused on civic banking, the "Assises de la Banque Citoyenne" in March 2017 to bring together its partners, both non-profits and from the private

sector, with which it jointly builds its offer and develops practices that favour banking inclusion. On this occasion, it announced the launch of a digital banking inclusion plan, in partnership with WeTechCare, an association set up by Emmaüs Connect. This plan targets all financially vulnerable customers and/or those affected by digital exclusion with respect to the daily monitoring of their money, the financing of their projects, or managing over-indebtedness.

La Banque Postale met its commitments as a bank that works in the best interest of the community at large throughout the year: in 2017, over 243 micro-entrepreneurs were directed to Adie, bringing the total to nearly 2,000 since the start of the partnership; 2,114 personal micro-credits were disbursed as was €2.2. billion in housing assistance loans.

Appui, La Banque Postale's free banking and budget planning assistance and orientation platform for financially vulnerable customers provided assistance to over 43,000 customers in 2017, bringing the total number of users assisted since its creation in 2013 to 100,000.

In 2017, the European Commission approved the compensation⁽⁴⁾ paid by France to La Banque Postale for its banking accessibility mission for 2016 to 2020. In addition to its financial aspect, the decision acknowledged at the European level that La Banque Postale plays a special role in the French banking market in terms of the inclusion of the most vulnerable people.

On 31 December 2017, the Banque Postale's status as the leading French bank and second-best global bank in terms of Corporate Social Responsibility performance was confirmed by the sustainable rating agency Oekom Research based on a total of 340 international banks.

(1) Liquidity Coverage Ratio, short-term liquidity ratio.

(2) The liquidity coverage ratio (LCR) calculation method underwent a revision on 31 March 2017 due to a change in the treatment of the European Central Bank's marginal facility deposit. The LCR at 31 December 2016, calculated using the old method, was 260%. This change in method, authorised by prudential regulations and approved by the European supervisory body, corresponds to the simple transfer of the surplus amount deposited with the ECB on top of the mandatory reserves from the denominator to the numerator of the ratio, and in no way does it reflect a structural change in La Banque Postale's liquidity position.

(3) Minimum Requirement for own Fund and Eligible Liabilities, new own fund requirement.

(4) Following the decision, the decree of 4 December 2017 published by the Ministry for the Economy and Finance set the amounts payable for the 2015-2020 period.

3.2 LA BANQUE POSTALE GROUP BUSINESS ACTIVITY AND RESULTS

Consolidated income statement (in millions of euros)

Main items on the income statement	2017	2016	%
Net banking income	5,687	5,602	1.5%
Operating expenses	(4,619)	(4,587)	0.7%
Gross operating income	1,068	1,015	5.2%
Cost of risk	(192)	(181)	6.1%
Operating income	876	834	5.0%
Equity method CNP Assurances and AEW Europe*	263	191	37.7%
Pre-tax income	1,138	1,023	11.3%
Income tax	340	288	18.1%
Net income, Group share	764	694	10.1%
Cost-income ratio	81.8%	82.4%	-0.6bps

* Essentially CNP Assurances and AEW for €7 million.

Consolidated Net Banking Income (NBI) was €5 687 million, i.e. a 1.5% increase over 31 December 2016. Excluding the effect of the home savings provision, growth was 2.9%⁽¹⁾. Restated for the non-recurring effect of exceptional items (recognition in 2017 of the €130 million in compensation for the general interest mission paid for 2016 and €107 million for the gain on the disposal of Visa shares in 2016) and the home savings provision on a like-for-like basis, the change in NBI was 3%.

In a high-growth environment, the Group's management expenses grew by a well-managed 0.7% to reach €4,619 million. Excluding exceptional items⁽²⁾, management expenses fell by €24 million over the financial year (-0.5%).

The cost-to-income ratio retreated by 0.6 basis points, to 81.8% and the rise in NBI absorbed the increase in operating expenses over the financial year.

The cost of risk remained controlled at €192 million. It remained stable at 22 bps compared to the retail bank's outstanding loans.

Gross operating profit was €1,068 million, up 5.2% in reported data.

The share of income from equity associates was up 38% to €263 million over the financial year.

Pre-tax income reached €1,138 million, up 11.3% over the financial year.

Net income, Group share was up significantly by 10%, at €764 million, despite an exceptional increase in taxes which was not entirely offset by the reimbursement of the 3% tax received on dividends.

(1) Excluding the home savings provision and on a like-for-like basis, NBI was up by 3.4% in 2017.

(2) Reversal of provisions for litigation on regulated savings of €44 million in 2017 and €71 million in 2016.

3.3 ACTIVITIES AND RESULTS BY BUSINESS LINE

3.3.1 Retail Banking and private banking

Retail Banking (€ million)	2017	2016	%
Net banking income	5,320	5,242	1.5%
Operating expenses	(4,424)	(4,389)	0.8%
Gross operating income	896	853	5.0%
Cost of risk	(192)	(181)	5.9%
Operating income	704	672	4.8%

Commercial results of Retail Banking customers:

Satisfactory growth in savings outstandings

In a continuing environment of historically low interest rates and weak inflation favourable to the accumulation of liquidity, sight deposits reached €62.7 billion at the end of 2017 buoyed by deposits by individuals (up by 7.4% at €55.9 billion). Ordinary savings outstandings, penalised by low interest rates, were up slightly by 0.7% to €81 billion (of which €59.9 billion for the Livret A, at +0.6%).

Home loan outstandings were virtually stable at 0.5%, reaching €32 billion.

All in all, balance sheet savings increased by 2.5% to reach €176.6 billion.

Life insurance outstandings were also virtually unchanged at €126 billion (+0.2%), with an increase in the share of unit-linked (UL) insurance which increased by 13.8% in 2017. UCITS outstandings were down slightly at €11.8 billion (-1%) and continued to be impacted by the fall in yields in an unfavourable interest rate environment.

Total private banking savings outstandings (including discretionary management) grew by 17.5% to reach €7,853 million, boosted by a significant increase in all savings products:

- ▶ +19.8% in financial savings outstandings (thanks to the successful launch of a new PEA line) of which +17% of outstandings under mandate;
- ▶ +16% of bank savings

In all, customer savings outstandings reached €314.2 billion (compared to €309.7 billion), up by €4.5 billion over the financial year.

An increase in individual loan outstandings, up 4.7%

2017 saw dynamic sales activity for all types of credit.

Home loan production was particularly sustained in an environment of very low interest rates at the beginning of the year. Overall, production increased by 21% to reach €13.5 billion, a historical record for La Banque Postale.

Consumer loan production was down slightly by 2.4% to €2.4 billion in a positive market in which, however, growth has been slowing since

May 2016. Sales via the internet and the remote platform accounted for a growing share of production (32% in 2017 compared to 28% in 2016).

Total loan outstandings increased by 12% over the year to reach €85 billion (a figure which does not include the portfolio of Dutch mortgages acquired during the period). Outstanding loans to individuals rose by 4.7% overall to €64.3 billion, including €5 billion of outstandings in consumer loans (i.e. an increase of 2.6% over the period) and €58.5 billion in home loans (i.e. an increase of 4.8%).

Private Banking loan production continued on a very positive trend, up by 33% over the year. Total outstanding Private Banking loans reached €2.8 billion overall, an increase of 6%.

Financing of Legal Entities remained positive.

The production of loans to companies was positive with a 31% increase in the production of equipment lease-financing over the financial year, property financing up by 12% and a strong increase in factoring, for which purchased revenue reached €4.7 billion at the end of 2017.

Loan outstandings to legal entities reached €20.7 billion at the end of the financial period, up by 43.5% and broken down as follows: €10.5 billion in loans to companies, Very Small Enterprises and Professionals and €10.2 billion in loans to the Local Public Sector. In 2017, outstandings transferred to CAFFIL, which refinances medium- and long-term loans granted by La Banque Postale to local authorities and public health institutions, reached €3.3 billion. La Banque Postale has been the leading local medium- and long-term lender for the past three years.

La Banque Postale's offering for local authorities was also expanded with the acquisition of Domiserve, specialised in the issue of pre-paid CESU (cheque book for employers) vouchers and the organisation of at-home services.

Retail Banking financial results

Net Banking Income for Retail Banking was up 1.5% in reported data and reached €5,320 million. Restated for the home savings provision, growth was 3%. The restated Net Interest Margin (NIM) increased by €45 million. Commissions paid increased by 4.1% as a result of strong sales activity.

Retail bank operating expenses remained under control, up slightly by 0.8% over the period to €4,424 million.

The cost of risk increased by 5.9% to €192 million, in line with the increase in outstandings. The cost of risk compared to loan outstandings was stable at 22%.

Operating income from Retail Banking reached €704 million, up by 4.8%. The operating margin was 13.3%.

3.3.2 Asset management

Asset management (€ million)	2017	2016	%
Net banking income	145	163	-10.6%
Operating expenses	(86)	(93)	-6.6%
Gross operating income	59	70	-15.9%
Cost of risk	-	-	NS
Operating income	59	70	-15.9%

The assets under management of the Asset Management unit consist of the assets of La Banque Postale Asset Management and of Tocqueville Finance. They totalled €218 billion, up 14.8% over the period.

La Banque Postale Asset Management assets increased by 14.8% over the period to €216 billion. The performance is based on the new line of flexible allocation funds and institutional activity, including CNP Assurances.

Tocqueville Finance asset under management (excluding the LBPAM management delegation) increased by 27.8% over the period to reach nearly €2 billion, with net positive collection.

The Asset Management unit's NBI was €145 million, down by 10.6% in reported data. NBI grew 6.3% over the period on a like-for-like basis.

Operating expenses decreased by 6.6% to €86 million.

Operating income increased by 8.5% on a like-for-like basis and reached €59 million.

3.3.3 Insurance

Insurance (€ million)	2017	2016	%
Net banking income	222	198	12.1%
Operating expenses	(109)	(106)	2.5%
Gross operating income	113	92	23.2%
Cost of risk	-	-	NS
Operating income	113	92	23.2%

The non-life insurance business continued to grow with the portfolio reaching nearly 4.6 million contracts (+2.5%). This is an average annual growth of 10% a year since 2011, the year in which the new property and casualty and health care businesses were started. In particular:

- ▶ the portfolio of property and casualty insurance contracts (36.4% of total volume) increased by 7.9% over the period to reach 1,660,764 contracts, boosted by a solid sales dynamic;
- ▶ La Banque Postale Prévoyance's provident savings portfolio (59.4% of the total portfolio) decreased slightly by 1.5% to about 2,710,874 contracts, primarily impacted by the decrease in whole-life insurance (66.5% of the portfolio, -2.6%);

The health care insurance contract portfolio (4.3% of the portfolio by volume) increased by 18.5% to reach 195,183 contracts.

The increase in volume was primarily the result of the good performance of growth products: ACDS ("Assurance Coups Durs Santé", 38.4% of the portfolio) rose by 60.2% over the period and OUI Santé (Aide à la Complémentaire Santé, 18.1% of the portfolio), increased by 10.2%.

The Insurance unit's NBI increased by 12.1% to €222 million over the period, driven by the strong performance of Prévoyance (50% of the Insurance unit's NBI, +21%) and property and casualty (23% of the Insurance unit's NBI, +12%). This growth was the result of the increase in the policy portfolios combined with a better claims-to-premiums ratio. Premiums collected increased by 4.4% over the period to reach €968.4 million.

Insurance subsidiary management fees reached €109 million (+2.5%), i.e. an increase below that of the NBI.

Lastly, the insurance unit's operating income was €113 million over the financial year, up significantly by 23.2%.

3.3.4 Financial structure

The consolidated balance sheet at 31 December 2017 stood at €231 billion, versus €229 billion at 31 December 2016, i.e. an increase of €2 billion.

La Banque Postale continues to have a sound financial structure. Regulatory own funds were stable at €11.9 billion:

- ▶ La Banque Postale's Common Equity Tier 1 phased-in ratio was 13.1%, down 0.6 points compared with December 2016. The ratio was 13.4%, fully loaded;
- ▶ La Banque Postale's total capital ratio stood at 18.2%, down 1.2 points compared to December 2016;
- ▶ the Bank's estimated leverage ratio, taking account of the transitional measures relating to regulated savings funds centralised within the CDC, pursuant to the European Central Bank decision of 24 August 2016, works out to 4.5%. Excluding savings outstandings centralised at the CDC in accordance with the Delegated Act of 10 October 2014, it was stable at 5.3%.

La Banque Postale confirmed its comfortable liquidity position:

- ▶ the LCR was 157.4% compared to 179.5% in 2016. This change reflects La Banque Postale's high level of investment of excess liquidity in profitable assets;
- ▶ the loan/deposit ratio increased by seven points to reach 81.3%, reflecting the same trend.

Rating agencies confirmed the short- and long-term credit ratings of La Banque Postale in 2017:

	Standard & Poor's	Fitch
Long-term rating	A	A-
Short-term rating	A-1	F1
Outlook	Stable	Stable
Ratings updated	05 October 2017	25 April 2017

Following the Supervisory Review and Evaluation Process (SREP) carried out by the ECB, the latter notified La Banque Postale of its consolidated phased-in CET1 own funds requirement applicable as of 1 January 2018. It was 8.3125% and included:

- ▶ 4.5% of CET1;
- ▶ a 1.75% requirement in additional own funds for Pillar 2 (Pillar 2 Requirements);
- ▶ 1.875% for a capital conservation buffer (CCB);
- ▶ and 0.1875% for a buffer for Other Systemically Important Institutions (O-SIIs).

This requirement does not include the recommendation for additional own funds under Pillar 2 (P2G) which is not provided.

Based on this notification, the overall capital requirement (OCR) is 11.8125% (8.3125 plus 1.5% for AT1 and 2% for Tier 2).

The fully-loaded CET1 and total capital requirements are, respectively, 9% and 12.5% taking in account the increase in the CCB (2.5% vs 1.875%) and the O-SII (0.25% vs 0.1875%) buffers.

3.4 ANALYSIS OF THE CONSOLIDATED BALANCE SHEET

The following analysis is in comparison to the 2016 balance sheet.

The total consolidated balance sheet stood at €231.5 billion as at 31 December 2017, up €1.9 billion compared with 31 December 2016, i.e. 0.8%.

The main asset items in the balance sheet comprised:

- ▶ financial assets at fair value through profit and loss (€7.6 billion as at 31 December 2017 versus €12.3 billion as at 31 December 2016). This item essentially comprised bonds and other fixed-income securities for €6 billion versus €11 billion at the end of 2016;
- ▶ available-for-sale financial assets (€17.9 billion as at 31 December 2017 compared with €18.9 billion as at 31 December 2016). This item essentially consists of bonds and other fixed-income securities for €9.5 billion compared to €10 billion at the end of 2016 and government paper and similar securities with for €6.8 billion (compared to €7.5 billion at the end of 2015);
- ▶ loans and receivables – credit institutions (€84.1 billion as at 31 December 2017 compared with €84.5 billion as at 31 December 2016). This item mainly comprises accounts and loans – credit institutions and similar for €83.6 billion, which includes funds of Livret A accounts, Sustainable Development accounts, and National Savings accounts (LEP) centralised at the Caisse des dépôts et consignations (CDC) for €71.1 billion;
- ▶ loans and receivables – customers (€88.1 billion as at 31 December 2017 compared with €78.8 billion as at 31 December 2016). This item essentially includes outstandings for home loans, consumer loans and corporate (businesses, professionals and local public sector) loans;

- ▶ financial assets held to maturity (€20.7 billion compared to €22.3 billion at 31 December 2016). This item, consisting primarily of government paper and similar securities in the amount of €18.4 billion, decreased with the arrival of maturities.

The main liability items in the balance sheet, apart from the equity, Group share of €10 billion:

- ▶ Liabilities due to credit institutions for €14 billion (versus €19 billion as at 31 December 2016). This item essentially includes securities assigned under repo agreements for €11.1 billion versus €15.7 billion as at 31 December 2016;
- ▶ Liabilities to customers for €182.6 billion (versus €176 billion as at 31 December 2016). This item comprises demand deposits for €62.7 billion and special savings accounts for €114.1 billion, including €32.1 billion in home savings, €59.9 billion in Livret A accounts and €22 billion in other special accounts (LEP, LDD and other accounts);
- ▶ Debt securities for €11.4 billion (versus €10.5 billion as at 31 December 2016);
- ▶ Subordinated debt for €3.9 billion (versus €3.8 billion as at 31 December 2016), an item reinforced by the 2028 issue of €150 million (Tier 2 debt) carried out in January 2017.

The Bank's ROA⁽¹⁾ was 0.33 % at 31 December 2017, (+0.03 points compared to 31 December 2016).

3.5 ADDITIONAL INFORMATION

3.5.1 French Economic Modernisation Act (LME) information –Suppliers' terms of payment

At 31 December 2017, payables to suppliers booked in the separate financial statements of La Banque Postale amounted to almost €73.5 million, of which over €60 million was payable within one month or less.

(€ '000s)	Reminder of the closing balance	=< 1 month	> 1 month and =< 2 months	> 2 months
2017	73,574	59,725	13,848	0
2016	57,980	44,860	13,120	0

3.5.2 Amount of non-tax-deductible expenses

The amount of non-tax deductible expenses, as listed in Article 39-4 of the French General Tax Code, was not material.

3.5.3 Research and development, patents and licenses

Research and development expenditure was not material.

(1) Asset profitability (net income, Group share/balance sheet total).

3.5.4 Table of delegations granted by the General Meeting of Shareholders and their use in 2017

General Meeting	Purpose of the authorisation given to the Executive Board	Delegation validity period	Limit	Use in 2017
None	None	None	None	None

3.5.5 Appropriation of 2017 profit and loss

(in euros)

Net income for the period	553,183,003.82
- Allocation to the legal reserve	(27,659,150.19)
Prior retained earnings	950,283,227.15
TOTAL	1,475,807,080.78

And decides to allocate it as follows:

► dividend	343,768,714.81
► retained earnings	1,132,038,365.97
TOTAL	1,475,807,080.78

The proposed dividend is €9.77 for each of the 35,186,153 shares making up the share capital.

The dividend is eligible for the tax allowance provided for in Section 2 paragraph 3 of Article 158 of the General Tax Code and will be paid on 30 June 2018 at the latest.

Reminder of the dividends paid over the past three years.

Financial year	Number of shares	Amount paid out	Per share
2014	35,186,153	€304,712,084.98	€8.66
2015	35,186,153	€318,082,823.12	€9.04
2016	35,186,153	€312,101,177.11	€8.87

3.5.6 Investment

La Banque Postale has not made any significant investments (investment of over €1 billion) during the financial year.

3.5.7 Internal control

In the framework of the law on Financial Security of 1 August 2003, it is the responsibility of the Chairman of the Supervisory Board to account, in a report attached to the management report, for the conditions governing the preparation and structure of the work performed by the Board and for the internal control procedures instituted by the Company, on a consolidated basis.

This report, made public under the conditions provided for by the Autorité des marchés financiers (AMF) and included in this document (Chapter 2, Chairman's report) comprises two parts:

- ▶ the first covers the work of the Supervisory Board of La Banque Postale;
- ▶ the second brings together information on the principles for organising internal control and risk management monitoring systems within La Banque Postale Group.

3.5.7.1 Internal control benchmarks

La Banque Postale's internal control system is governed by:

- ▶ the decree of 3 November 2014 on the additional monitoring of financial conglomerates;
- ▶ the decree of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sectors under the supervision of the French Prudential Supervision and Resolution Authority (ACPR);
- ▶ the decree of 3 November 2014 on prudential supervision on a consolidated basis.

The prudential regulations have incorporated the "significance" of institutions in order to regulate the level of obligations to be met in relation to governance, the risk management and control system and capital requirements.

To ensure compliance at all times with the regulatory ratios (solvency, liquidity and leverage), institutions must integrate systems to measure risks taken and potential risks, as well as capital and liquidity management systems. Large institutions have also been strongly encouraged to develop an internal capacity to evaluate their risks.

It is the responsibility of the supervisory body to evaluate its efficiency, and to approve and regularly review the strategies governing the taking, management, monitoring and reduction of identified and potential risks. The decree on internal control specifies this role in the definition of the supervision guidelines and policy, approval of the overall limits (in particular liquidity), in establishing a strategy for business continuity and remuneration policy.

This role implies that members of the Supervisory Board shall have the necessary knowledge, skills and expertise to understand and monitor the Group's strategy and appetite for risk. Accordingly, the powers of the ACPR regarding directors, as well as Company managers, have been increased particularly as regards appointments and the assessment of expertise.

3.5.7.2 Guiding principles

The Executive Board sets the fundamental principles (strategic guidelines, values, appetite for risk, governance), which are approved by the Supervisory Board, and on the basis of which each business activities sets its priorities and the associated risk management system under the supervision of the Group Risk Department. These fundamental principles are reflected in the Risk Management Policy (RMP).

General framework for internal control

The risk management system has three lines of defence that constitute the general internal control framework:

- ▶ a first line within the operational business lines responsible for applying the risk management procedures which they will have defined in advance in concert with the Group Risk Department (GRD);
- ▶ a second line consisting of the GRD, which ensures the existence of an appropriate, uniform framework to define and improve the risk management procedures;
- ▶ a third line via internal controls designed to give an independent idea of the effectiveness of the risk management system in place.

The internal control system of La Banque Postale includes permanent and periodic controls. This is based on:

- ▶ a Risk Management Policy and a charter of the Risk Management unit drawn up by the Group's Risk Management Division; a La Banque Postale Group Permanent Control Charter drawn up by the Compliance and Permanent Control Division and by the Group Risk Department; supplemented by a Group Compliance charter dedicated to managing the risk of non-compliance. It establishes a series of principles for risk management and control that must be implemented by each management entity in charge of processes. Each department defines documents and maintains a booklet of its procedures. These include the audit point(s) necessary to ensure quality operations;
- ▶ the Periodic Control Charter of the La Banque Postale Group drawn up by the Internal Audit Department and the audit tasks of the Internal Audit Department;
- ▶ the responsibility of all the players, which constitutes the basis of effective management and control procedures. All employees must ensure that the work that they perform and the transactions that they handle are executed in accordance with the expected procedures and the level of quality required. They must be in a position to account for the effective management of the work that they perform and the inherent risks of that work at any time. This principle relies on close involvement of managers;
- ▶ proportionality of controls to the level of risk to be managed. Each manager shall analyse their own risk and implement an appropriate control framework in order to achieve a reasonable level of confidence that their business activities are properly managed, and that they comply with the Company's internal and external standards and regulations;
- ▶ thoroughness of the scope of the control procedures. It covers all the activities of La Banque Postale. These procedures apply to all kinds of risk, to all those employed directly by the Bank and all those acting in its name and on its behalf, and to all the entities of the La Banque Postale Group. The internal control procedures also extend to essential services that have been outsourced.

Policies, charters, standards and procedures in force

The regulatory framework is divided into internal rules, validated by the Bank's Executive Board:

- ▶ the Risk Management Policy with respect to risk management (update presented to the Supervisory Board's Risk Committee in January 2017) and Risk Charter (approved in October 2015), which contains, among other items, the formal Risk Appetite Framework (RAF), see below;

- ▶ the Permanent Control Charter of La Banque Postale Group (update presented to the Supervisory Board's Risk Committee in January 2017);
- ▶ the Group Compliance Charter, dedicated to managing the risk of non-compliance. (presented to the Supervisory Board's Risk Committee in October 2016)
- ▶ the Periodic Control Charter of La Banque Postale Group (update presented to the Supervisory Board's Risk Committee in January 2017).

Reference files are distributed to the Bank's departments in order to implement the systems, in particular:

- ▶ the standards issued by the Group Standards Approval Committee;
- ▶ the key elements of an internal control system;
- ▶ the procedure implementing the *Product Review Committee*;
- ▶ the methodology guides for applying standards, etc.

These risk management systems are updated over time.

Risk Management Policy (RMP)

The Group Risk Management Policy defines La Banque Postale Group's risk management policy. It is part of an approach that is broader than the narrower field of risk monitoring, and plays a full part in the strategic and financial oversight of La Banque Postale.

It aims to determine the degree of risk tolerance that is compatible with the Bank's strategy, level of capital and financial business plan.

Within this framework, its role is to determine:

- ▶ the level of acceptable risk for the La Banque Postale Group;
- ▶ the general rules for measuring and framing risk-taking;
- ▶ the general arrangements for supervising and monitoring risks.

Furthermore, the risk measurement carried out in the La Banque Postale Group feeds a significant number of internal processes which allow the organisation's performance to be monitored and, where applicable, adjustments to be made.

This inclusion of a risk-based approach at a more "strategic" oversight level is notably demonstrated by the annual budget process which is overseen operationally by the Group Financial Department, since it reviews the capital allocations to each business activity and the income projected from each one feeds into the Bank's Capital Planning system. The performance reviews for each business activity also include a risk dimension; for example, indicators like cost of risk, or complying with limits are key components for assessing this performance.

The Risk Appetite Framework

The Risk Appetite Framework, and the different levels of target requirements related to it, were developed by La Banque Postale in order to bring together all of its legal and regulatory requirements, as well as international and European best practice.

The purpose of the Risk Appetite Framework defined by La Banque Postale is to ensure that at all times, the Bank has the level of capital necessary to cover all of its risks and to ensure the development of its business activities. The framework also aims to ensure compliance with the bank's different regulatory requirements:

- ▶ in this way, the bank's risk appetite policy is based on a number of key indicators (solvency, liquidity, risk concentration, global rate risks, excessive leverage risks, trading portfolio risk, etc.) for which overall internal limits are set in addition to regulatory requirements.

These limits are then set on a more operational basis at a business level.

The limits are also developed in accordance with the recovery and resolution plan and they are reviewed and approved on at least an annual basis and with each major change in the Group's current regulatory framework.

3.5.7.3 Main parties responsible

La Banque Postale's system of internal control and risk management is structured, with respect to risk control, management and monitoring, around:

- ▶ a control system as close as possible to the business activities;
- ▶ internal control functions that cover:
 - permanent control,
 - risk monitoring and management,
 - occasional control;
- ▶ Governance Committees relating to internal control.

3.5.7.3.1 Control organised as close as possible to the business activities

La Banque Postale has established a specific system for transactions performed within its network. The aim of this system is to audit the transactions performed in post offices, in coordination with La Poste Network.

The Executive Management of La Poste Network is responsible for designing and managing the Level 1 audits for banking activities in post offices.

Level 2 banking controls are conducted by controllers dedicated to the core banking business. In particular, banking controllers, employees of La Banque Postale, perform level 2 audits on the banking business conducted in post offices, under the responsibility of the Bank's Regional Representatives and the leadership of the Compliance and Permanent Control Department.

3.5.7.3.2 The internal control functions

The Compliance and Permanent Control Department manages the permanent control procedures.

The Compliance and Permanent Control Department is directly attached to the Executive Board.

Its mission is as follows:

- ▶ manage the risk of non-compliance as defined in Article 10 of the decree of 3 November 2014⁽¹⁾;
- ▶ the coordination of all Level 2 audits;

To do this, the Compliance and Permanent Control Department is divided into three departments:

- ▶ Customer Protection and Ethics Department;
- ▶ Financial Transactions Security Department;
- ▶ Permanent Control Department.

The Group Risk Department (GRD)

The Executive Board answers to the Supervisory Board when it comes to controlling risks. It ensures that both it and the Supervisory Board have a clear vision of the risks and how they are evolving.

(1) That is, the risk of non-compliance with legal and regulatory provisions, professional and ethical standards and the orientations of the Supervisory Board and the instructions of the Executive Board.

For the La Banque Postale Group, the risk management function within the meaning of the regulations is provided by the Risk function, which reports to the Head of Group Risk. He advises the management body with regard to all aspects of risk management and, in particular, the preparation of the risk appetite framework. He reports to the Executive Board regarding all of his activities and the level of risk to which the Group is exposed or could be exposed. He has the option to report directly to the Supervisory Board and/or to his Risk Committee in the event that the risks affecting or likely to affect the Bank change. He may inform members of the Supervisory Board of any information necessary for them to perform their duties.

The Risk Division

The Risk Division is made up of all of the employees of the La Banque Postale Group who, either because of their specific role or in an operational context, make a significant contribution to the three responsibilities of the Risk Department, namely:

- ▶ the drawing up of rules in the area of risk-taking;
- ▶ risk prevention;
- ▶ measuring, monitoring and managing risks at the various monitoring levels within the Group (subsidiaries, activities and business lines, Group).

The Risk Division ensures proper implementation of the legislative and regulatory provisions of a prudential character applying to the various Group entities and activities.

It provides risk measurement, monitoring and management pursuant to the decree relating to internal control. It ensures that the risk management system, namely risk identification, measurement and management, is effective, exhaustive and standardised, and that the level of risk taken is consistent with the guidelines for the business activity, in particular the objectives and resources of the Group and the Group companies, as defined by their management body.

The guiding principles of the Risk Division are as follows:

Principle 1: The La Banque Postale Head of Group Risk is responsible for the risk management function of La Banque Postale Group within the meaning of Article 74 of the decree relating to internal control, and, as such, is responsible for the Risk function in charge of risk management for all the Group entities.

Principle 2: The La Banque Postale Group Risk Department is the contact point for the entire Group for the relevant prudential authorities, on all topics concerning the Risk Division.

Principle 3: The Group Risk Department, as part of its mission to conduct cross-functional and consolidated risk management, participates directly or indirectly, via a representative from the Risk Division, in all the dedicated Risk committees of the subsidiaries. As a result, it has a right of oversight over any decision made by the said committees which may affect the risk profile of the entity or the Group, while complying with the governance of the entity concerned.

Principle 4: The Risk Division staff are attached at least functionally to the LBP Head of Group Risk or to any other colleague designated by him.

Pursuant to these principles, the LBP Group Risk Division is composed of:

- ▶ the Group Risk Department, the department in charge of risk management and of running the Risk Division; and
- ▶ all the entities and employees contributing to the Group's risk management.

Role and obligations of the Risk Division entities and relationship with the Group Risk Department

The heads of risk for the banking subsidiaries report to the GRD. The Risk Departments of all other entities have a functional relationship with the Group Head of Risk.

The subsidiaries are responsible, under the supervision of the GRD, for defining, monitoring and managing their risk levels, as well as producing reports and IT data for the Group Risk Department. They must ensure the data is of good quality, reliable and exhaustive, enabling risk monitoring and control on a corporate and consolidated basis.

The Internal Audit Department is dedicated to periodic audits

The Internal Audit Department is responsible for periodic audits as defined in the decree of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sectors under the supervision of the French Prudential Supervision and Resolution Authority (ACPR). It assesses risk management, together with the quality of internal control.

The Internal Audit Department's main mission is to ensure, with regard to all the activities of the La Banque Postale Group, and in accordance with Article 17 of the aforementioned decree:

- ▶ the compliance of transactions;
- ▶ the level of risk effectively incurred;
- ▶ adherence to procedures;
- ▶ the effectiveness and suitability of permanent control measures.

To this end, the Internal Audit Department assesses:

- ▶ risk management, the legality and compliance of transactions within the Company;
- ▶ the operational effectiveness and productivity of the Company with regard to its objectives;
- ▶ the systems introduced in order to ensure a quality customer service that is constantly improving.

The Internal Audit Department is divided into two audit units, in charge of carrying out audit tasks, and a support unit.

The audit units:

- ▶ **The "Bank/Insurance" Division** handles thematic and cross-functional audits relating to processes and entities for the entire scope and activities of the La Banque Postale Group.
- ▶ **The Specialist Business Activity unit (Modelled Risks and Information System)** handles specialist audits and provides technical support to the Bank/Insurance unit.

The Support unit, managed by the Audit Quality and Resources Department, which covers the following tasks:

- ▶ Follow-up of the implementation of the action plans by the audited teams;
- ▶ Coordination of on-site audits and audit tasks conducted by external bodies (supervisory authorities, La Poste Group audits, etc.).
- ▶ Standards & Methods;
- ▶ Quality and associated controls;
- ▶ Datamining;
- ▶ Project and tools management;
- ▶ Development of teams.

3.5.7.3.3 Top-level management structures dedicated to control procedures

Since 2015 and the establishment of a Financial Statements Committee and a Risk Management Committee, there are four bodies organising and driving La Banque Postale risk management:

1. Risk Committee (of the Supervisory Board):

- ▶ its role is to:
 - a. assess the quality of internal control procedures through:
 - reviewing the consistency of the internal control procedures, risk management and the respect of ethical principles,
 - reviewing the periodic control programme,
 - reviewing the monitoring of the principal recommendations of the Internal Audit Department and the supervisory authorities,
 - reviewing the organisation's risk management principles,
 - reviewing the effectiveness of internal control and risk management systems;
 - b. taking note of the Permanent Control Charter and the Periodic Control Charter:
 - not focused on the national level,
 - chaired by the Chairman of the Audit Committee, an independent member of the Supervisory Board,
 - frequency: as often as required.

2. Financial Statements Committee (of the Supervisory Board):

- ▶ its role is to:
 - a. ensure that the information provided is clear and assess the relevance of accounting methods adopted through:
 - review of the draft financial statements presented to the Board (verification of the conditions of preparation, relevance and permanence of principles and methods),
 - review of the framework for consolidating the financial statements and the consolidation scope,
 - auditing of the separate and consolidated financial statements;
 - b. conduct the process for selecting statutory auditors with:
 - recommendations to the Supervisory Board regarding their appointment, reappointment, remunerations and independence,
 - review of the statutory auditors' work programme.

3. The Group Risk Management Committee:

- ▶ its role is to define La Banque Postale 's risk management policy, without prejudice to the responsibilities of the Compliance Department, to approve the risk management procedures (authorisation rules, delegations and limits) and to receive reports about compliance with them, as well as to examine credit and operational market risks and models and other risks that are difficult to quantify and to monitor the principal commitments. The Group Risk Department must also report to this committee about:
 - the scope and reliability of consolidated risk measurement systems;
 - changes in risks with respect to the general focus of the activity implemented and the management policies of operating activities;
 - detecting any concentrations of abnormal risks;
 - the vulnerability of the Group to worst-case scenarios (stress scenarios);
 - chaired by the member of the Executive Board in charge of internal control;
 - supervised by the Head of LBP Group Risk.

4. Internal Control Coordination and Ethics committee:

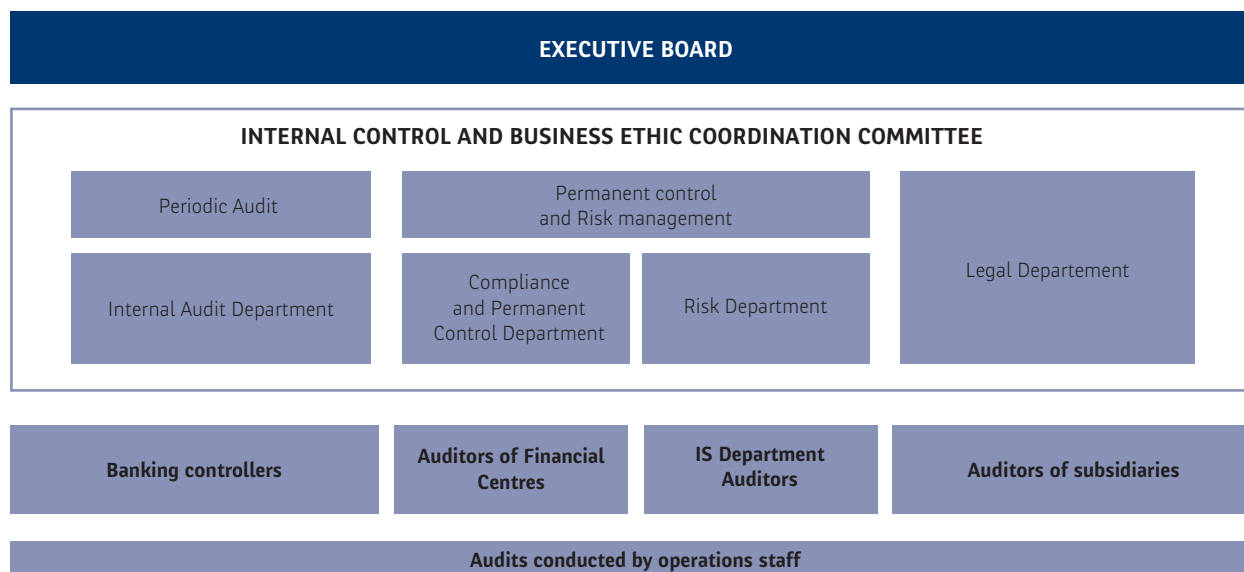
Its role is to supervise:

- the coverage plan for permanent control procedures and its principal salient features;
- the progress of the Internal Audit Department programme and tasks that have already been completed;
- the reporting of operational risks, particularly the business continuity plan;
- the progress of the control plan of the Information Systems Department and its principal salient features;
- the progress of the DRCB control plan and its principal salient features;
- fraud monitoring and AML-CFT (anti-money laundering and counter-terrorism financing) reporting;
- the vision of Group audits;
- the vision of the main contentious issues.

In terms of business ethics, the committee:

- monitors the application of business ethics rules and their compliance with regulatory changes;
- monitors the updating of the list of "sensitive personnel" and respect for confidentiality rules;
- hears cases of major conflicts of interest.

Organisational chart



Control function staff at 31 December 2017⁽¹⁾

Central functions

Central departments that make up the Internal Control Coordination committee:

▶ Group Risk Department	136
▶ Internal Audit Department	95
▶ Compliance and Permanent Control Division	84

Other departments supervised by the Compliance and Permanent Control Department:

▶ Risk and Control Department in the Operations Department	17
▶ Financial Department	11
▶ Information Systems Department	14
▶ Department of Businesses and Land Development	8
▶ Retail Banking Department	3
▶ Human Resources Department	2
▶ Insurance Unit	3
▶ Financial Operations Department	4
▶ Digital and Communications Department	1
– A sub-total of	378

Local functions

Control of banking activities in post offices, Financial Centres and subsidiaries:

▶ Bank Controllers (COB)	183
▶ COB manager and assistants	22
▶ Heads of Risk and Banking Control (in Financial Centres)	27
▶ Risk Controllers and Experts (in Financial Centres)	79
▶ Risk Department	94
▶ Anti-Money Laundering and Counter-Terrorism Financing	62
▶ Unattached staff	20
– A sub-total of	467
– A total of	845

3.5.7.4 Assignments of the Risk, Compliance and Internal Audit Departments and achievements in 2017

Risk Department

The Risk Department is responsible for the Risk Division for the entire Group. It is charged with the function of managing necessary risks:

- ▶ ensuring the consistency, standardisation, efficiency and exhaustiveness of risk measurement;
- ▶ risk monitoring and management.

It is also responsible for managing the Group's consolidated risks.

The task of the Group Risk Department is to develop a coordinated Group Risk Management Policy, subject to the decisions of the Bank's Executive Board.

Each entity is responsible for its risk management policy and regular risk audits subject to approval by the Group Risk Department, which ensures that the risk management policies of the subsidiaries are in line with those of the parent company and that they are correctly applied.

The Group Risk Department is in charge of the measurement, monitoring and management of consolidated risks.

As such, it is operationally responsible for:

- investigating the overall limits set by the Executive Board and approved by the Supervisory Board;
- investigating the criteria and thresholds, determined by the Supervisory Board, that make it possible to identify the incidents (point j) which the department wishes to draw to the Board's attention (see Articles 98 and 244 of the decree relating to internal control);
- investigating individual or operational limits concerning the consolidated risks submitted to the Group Risk Management Committee;
- implementing the delegated plans and monitoring them;

(1) Estimated at 31 December 2017, including dedicated and non-dedicated staff (non-full time).

- e) defining reporting standards specifying the nature and content of the reports that the Group's entities send it; the validation of said standards is the responsibility of the Group Standards Validation Committee;
- f) reporting on exposures and consolidated risks to the Supervisory Board's Risk Committee and the Bank's Executive Board, accompanied by analyses concerning:
 - the scope and reliability of consolidated risk measurement systems,
 - changes in risks with respect to the general focus of the activity implemented and the management policies of operating activities,
 - detecting any concentrations of abnormal risks,
 - the vulnerability of the Group to worst-case scenarios (stress scenarios);
- g) defining action plans when the limit is likely to be reached or exceeded, in order to return within the limits determined, while first alerting the business lines/entities;
- h) alerting the Executive Board when a limit is likely to be reached or when an overall limit has been exceeded, and monitoring the action plan for dealing with this breach;
- i) alerting the Executive Board and the Group Internal Audit Department if the action plan has not been carried out within the allotted time;
- j) reporting incidents covered by Article 98 of the decree of 3 November 2014.

The Group Risk Department is one of the contacts for the supervisory authorities for non-compliance risks. It manages the items relating to the Risks Division for regulatory disclosures prepared on a consolidated basis. When it is questioned by the relevant authorities, it informs the Group Executive Board, the management of the entities concerned, the Group Internal Auditor and, where applicable, the Group Head of Permanent Control and Compliance.

The performance, consistency and reliability of the "risk" information systems, as well as the quality of the associated data, are crucial for the efficiency of the Group's risk management system.

As part of its task of consolidated risk management, the Group Risk Department is responsible for managing the risk information system and for the quality of the associated data, in close coordination with the entities in charge of the Group's various information technology platforms.

From the Group's Risk Information System arise:

- ▶ requirements for risk measurement, consolidation, cross-functional analysis, monitoring and reporting, in their various components including in particular financial risks, credit risks and operational risks;
- ▶ the roll-out by each "business line" (operational or support functions) of these requirements (measurement, consolidation, cross-functional analysis, monitoring, reporting) after discussions with these functions; this roll-out relies on core risk tools, fed by the management systems of each function; this data supply is carried out either at the basic transaction level or by pre-calculated items.

In this context, the Risk Division ensures that each information system in the Business line units is adequate for the core risk tools and is associated both with their definition and implementation.

The core risk tools are organised by type of risk and are determined by the business line. They are constituted in particular of specific tools for:

- ▶ to supply data to cross-functional analysis tools;

- ▶ financial risks;
- ▶ credit risks;
- ▶ operational risks;
- ▶ overall interest rate risks;
- ▶ intermediation risks;
- ▶ liquidity risk;
- ▶ delivery and settlement risks;
- ▶ leverage risk.

The Risk Control function is responsible for supervising the permanent control system of the Risk Division.

Internal Audit Department

As in previous years, at the end of 2016, the Internal Audit Department created its programme of missions for 2017 based on the audit universe, the risk map, requests from the Audit Committee, the Executive Committee and the subsidiaries, as well as the proposals of the Management Committee of the Internal Audit Department. This schedule complies with the regulatory obligation to conduct a full cycle of investigations on all business activities over the smallest possible number of financial years, set at four by La Banque Postale.

Approximately 39 missions were conducted in 2017, addressing the points deemed most sensitive with respect to the Bank's business activities and its organisation, while continuing to cover all the Bank's activities and entities, and those of its subsidiaries that grew consistently with the Group.

The missions carried out covered the following topics:

- ▶ 6 missions on Finance functions;
- ▶ 5 missions focused on IS;
- ▶ 5 missions on HR management, completing a HR audit cycle begun in 2016;
- ▶ 5 missions on Programmes and Projects;
- ▶ 5 missions covered essential external service providers, of which 4 for the Internal Audit Department committee of the eight major French banks;
- ▶ 4 missions on credit;
- ▶ 4 missions on organisation, including 2 on commercial organisation and 1 on the complete life insurance function;
- ▶ 2 missions focused on regulatory issues (AML-CFT and Information Technology & Civil Liberties);
- ▶ 1 mission on asset management;
- ▶ 1 mission on payment methods;
- ▶ 1 mission on fraud.

In addition, in 2017, the Internal Audit Department monitored 29 external audit missions opened on La Banque Postale Group, including 9 missions by the Group's Audit Departments, 11 by the supervisory authorities (BCE, ACPR, CCAAF, SGFGAS...), and 9 opened by partners (CNP Assurances, Allianz...).

Monitoring of the action plans issued following the inspection reports and the recommendations of the supervisory authorities in response to the onsite audits was carried out by the Internal Audit Department throughout the year. At 30 November 2017, the number of action plans which were late being implemented was 787 out of 3,985 (compared to 1,050 out of 3,872 action plans issued on 1 November 2016). The overall implementation rate of action plans was 77% (compared to 69% on 1 November 2016).

Compliance and Permanent Control Division

The Compliance and Permanent Control Department is directly attached to the Executive Board and is responsible for:

- ▶ managing the risk of non-compliance as defined in Article “10p” of the decree of 3 November 2014, via:
 - managing the risk-mapping related to customer protection with all LBP Group entities,
 - the investigation of new files and products: a *Product Review Committee* (PRC) determines and assesses the risks related to the creation of new products,
 - supporting commercial advertising for the completion of product launch media; the principle of subsidiarity adopted means that this responsibility is shared with the subsidiaries,
 - the coordination of measures to combat money laundering and the financing of terrorism, defining procedures, managing TRACFIN (intelligence and action aimed at combating illicit financial circuits) tools and declarations, and the DGTPE (General Directorate of the Treasury and Economic Policy),
 - compliance with the general regulation of the AMF (Autorité des marchés financiers, the French securities regulator) for investment services,
 - the development and publication of good conduct rules and the provision of leadership to the ethics correspondents,
 - central expertise in the field of the prevention of fraud (identification and control of the risks of fraud, securing and publishing fraud management processes, awareness raising amongst the players and adapted tools). Overall fraud monitoring is provided by the Operational Risk Department as part of its tasks (see Chapter 4.2.5 on Operational Risk),
 - participation in various initiatives and projects:
 - work on changes in the compensation rules for salespeople: ensuring that the remuneration processes do not generate conflicts of interest between the Bank, its Advisers and customers,
 - work relating to cross-cutting projects which have an impact in terms of compliance;
 - monitoring of the implementation of the corruption prevention systems with the Legal Department;
- ▶ the coordination of all Level 2 controls via:
 - audits carried out by the banking controllers in the post office network and local public sector and business centres,
 - Level 2 audits carried out in the AML-CFT function,
 - functional management of Level 2 controls in Financial Centres and in the IS Department with the participation of dedicated departments,
 - the implementation of Level 2 audits in entities providing investment services (DOF, SVM, CNVM),
 - supporting and monitoring departments at Head Office and in the subsidiaries in the implementation of their internal control systems.

All these systems work in a coordinated way and fulfil a dual advisory and control role, in order to ensure that the Company’s best practices, culture, and values are reflected in its day-to-day activities, so as to protect:

- ▶ customers, from the risk of poor advice;
- ▶ the Bank and its employees, from the risk of non-compliance with the regulations;
- ▶ the community, by fighting against money laundering and the financing of terrorism.

To carry out its role properly, the department of Compliance and Permanent Control (DCCP) is organised into three departments, based on the business lines and the objectives assigned:

- ▶ the Department for the Protection of Customers and Business Ethics (DPCD);
- ▶ the Financial Transactions Security Department (DSOF);
- ▶ the Permanent Control Department (DCP).

As regards compliance, in 2015 La Banque Postale established a Customer Protection and Ethics Department. This department covers the DCCP tasks with respect to reviewing new products, supervising the investment and business ethics services, and organising customer protection. Indeed, the theme of the protection of customers is becoming more and more present in the Bank’s environment as well as in the minds and the concerns of legislators and regulators.

The **department for the Protection of Customers and Business Ethics** is organised into four separate and complementary departments/functions.

- ▶ The Customer Protection Policy Department manages risk mapping related to customer protection. It also has the role of developing internal compliance standards which will specify, for the business lines and the subsidiaries, the process for taking into account changes in the regulations relating to the protection of customers.
- ▶ The Customer Protection Compliance Department supports the Business Lines and Departments in taking account of the compliance imperatives in commercial developments. This objective is implemented using various complementary elements, by raising awareness, training and supporting the business lines in their operational application and by examining and holding Product Examination committee meetings, which determine and evaluate the risks of non-compliance for new products or significantly modified products. It also involves verification in order to ensure that the imperatives of compliance have indeed been taken into account.

In the framework of the examination of new product files, the Product Examination committee determines and evaluates the risks of non-compliance related to the creation of new products and significant modifications to existing products. The director of Compliance and Permanent Control chairs this committee and formulates an opinion in writing prior to any launch including in the case of simple “experimentation”.

- ▶ The function of Head of Compliance for Investment Services (RCSI).
- ▶ This function is set out in the regulations and is common to all banks. The RCSI is the favoured point of contact for the Financial Markets Authority (AMF). It monitors prevention and the implementation of the General Regulations of the AMF within the Bank and its subsidiaries. It participates in projects falling within its scope of responsibilities (financial instruments).
- ▶ The RCSI of La Banque Postale chairs a quarterly meeting of a committee comprising all the RCCIs and RCSIs of the La Banque Postale Group. Monitoring of new regulations and discussions relating to the compliance of investment services, particularly between producers and distributors, are carried out regularly.
- ▶ The Business Ethics Department supports the director of Customer Protection and Ethics who is the head of Ethics at La Banque Postale Group and embodies the importance of compliance with values to La Banque Postale: “Performance”, “Difference”, “Cohesion”, “Responsibility” and “Accessibility”.

It defines the rules on individual and collective behaviour and ensures their communication to all persons concerned. Requirements in terms of good conduct, contained in the Ethical

Conduct Code and the Anti-corruption Conduct Code are included in the Internal Rules of La Banque Postale and those of La Poste.

The business ethics structure is organised into three levels:

- the La Banque Postale Business Ethics Department, attached to the Compliance and Permanent Control Department;
- “ethics correspondents” for the operational units: the La Poste Network, the Financial Centres, the Financial Services and Retail Brand IT Department (DISFE), the Head Office Departments, the subsidiaries, the Asset Management and Insurance Divisions. These officers work to disseminate business ethics standards within their entities. They guarantee and promote La Banque Postale’s rules of conduct;
- local contacts are well-positioned to pick up any potential breaches or problems that come to their attention, which they then report up the line. They also have an educational role to play by providing information to and raising awareness among their colleagues. Around 100 local contacts are positioned within the Network, with the Managers of the La Poste network. The Operational Risks Manager also acts as the local contact person in each Financial Centre.

In terms of governance, a monthly “Business Ethics Committee” meeting, chaired by the Business Ethics Director of La Banque Postale brings together the local contacts from the La Poste network, the DISFE, the department of Operations, the department of Human Resources, the Risk department and the Retail Bank management. This committee is extended periodically to include all of the officers of La Banque Postale Group and at least twice a year.

The Business Ethics Manager of La Banque Postale is a member of La Poste Ethics committee. In this respect, he participates in the reviews and work which is common to all the Group’s business lines.

Furthermore, the Business Ethics and Authorisations department also manages the authorisation system, including the insurance authorisations, mapping and the AMF certification.

Following the passing of law n° 2016-1691 of 9 December 2016, known as the Sapin II law, the Business Ethics Department has co-managed the Steering committee for the implementation of the corruption prevention system.

The prevention of money laundering and the financing of terrorism (AML-CFT) is for its part managed within the **Financial Transactions Security Department** (DSOF) which is attached to the department of Compliance and Permanent Control.

La Banque Postale’s system for combating money laundering and the financing of terrorism is articulated on three levels (national, regional, local), enabling it to assume its responsibilities both on the transactions that it performs independently and on those made in its name and on its behalf by La Poste Network, which is responsible for implementing the resources necessary for the proper completion of transactions that it performs in the name of, and on behalf of the Bank.

The Financial Transactions Security Department

The prevention of money Laundering and of the financing of terrorism (AML-CFT) is managed within the Financial Transactions Security Department (DSOF) which is attached to the department of Compliance and Permanent Control. The Head of the department is responsible for the system.

In addition to a very operational activity, namely managing the alerts, the DSOF is the contracting authority for the tools dedicated to the unit. A project unit supports any bank projects that may affect the department’s activity as soon as they start. This unit also establishes or updates the regulatory documentation and training related to the AML-CFT function.

It also plays a role in supervision, the provision of expertise and the definition of training for the bank’s AML-CFT Division, extended to the managers of these systems in subsidiaries and in the Monaco branch.

In particular, it ensures that the system is consistent throughout the La Banque Postale Group with regard to the classification of money laundering and terrorism financing risks and ensures consolidated reporting.

Finally, the Financial Transactions Security Department is responsible for managing the bank’s relationships with TRACFIN (AML-CFT) and with the Treasury (financial penalties and embargoes) at national level.

To carry out its work successfully, the Financial Transactions Security Department has dedicated resources, including 14 regional TRACFIN informant officers, reporting directly to management. These TRACFIN informant officers are the only persons within the function (excluding the subsidiaries, branches and management) authorised to convey suspicious transaction reports to TRACFIN and to respond to the rights of communication exercised by that body. They are also responsible for implementing actions on leadership and raising awareness in the La Poste network, the Financial Centres and the business centres of the Business unit.

A dedicated regional AML-CTF Division on two levels

The first level is made up of seven AML units in the Financial Centres (*i.e.* some 60 employees), attached operationally to the DSOF and responsible for analysing all alert systems from post offices, Business Centres and Financial Centres, as well as the alerts generated by the dedicated AML-CTF software package.

In addition, one of the seven AML units is also in charge of the entire procedure for handling first level alerts stemming from filters of financial penalty lists with the aid of a filtering tool, and is responsible for monitoring at-risk countries, particularly fiscally non-cooperative countries and those listed for monitoring by the Financial Action Task Force (FATF).

Having analysed warnings and alerts, the AML unit analysts either proceed to a justified filing with no action, or prepare an investigation file for referral to the Level 2 AML-CFT function.

The 14 informant officers constitute Level 2 of the function for the AML segment. They receive the investigation files, perform a further examination, complete the assembly of any information gathered and transmit a suspicious transaction report to TRACFIN if the suspicion is confirmed.

With regard to the filtering of financial penalty lists, alerts not raised by Level 1 are transmitted to the dedicated operational unit of the Financial Transactions Security Department which manages the entire system.

The local system

The local system is based on the Sector Heads for the Post Office branches, the Operational Risk Managers in the Financial Centres and the Business Centre Heads for the Corporate function.

- The Sector Heads are the AML-CFT managers in the Post Office branches.

They are in charge of establishing alerts related to anomalies, reported as part of Post Office activities, that are likely to constitute a money laundering or terrorism financing risk. These alert systems feed into the AML-CFT Division’s tools for combating money laundering.

They are also in charge of Level 1 control of Post Office branch procedures related to the fight against money laundering. These controls are documented in the Sector Head’s control guidance sheet. They must ensure that training delivered to staff on money laundering prevention is properly approved. Level 2 controls are carried out by the banking controllers.

- The Operational Risk Managers, in the Financial Centres are responsible for risk management, including money laundering and terrorism financing risks. They are responsible for:
 - monitoring specific risks related to sensitive customers and the termination of the business relationship;

- monitoring alerts issued by various Centre services;
- raising the awareness of and training the Financial Centre staff with the support of the AML-CTF units.
- ▶ The Business Centre Heads of the Corporate unit have the same responsibilities as the Sector Heads with regard to the activities of specialist business centre advisors and the professional customer managers.

The Permanent Control Department

The Permanent Control Department's task is to provide an independent measurement of the effectiveness of risk management. This fits into the bank's three lines of defence.

Permanent Level 2 control is the control that is made, retrospectively, by people dedicated to this permanent control function.

The Permanent Control Department contributes to improving the link between risk and control and is responsible for coordinating all second level controls. It does this by:

- ▶ audits carried out by the banking controllers in the post office network and local public sector and business centres;
- ▶ Level 2 audits carried out in the AML-CFT function;
- ▶ functional management of Level 2 controls in Financial Centres and in the IS Department with the participation of dedicated departments;
- ▶ the implementation of Level 2 audits in entities providing investment services (Financial Operations Department (DOF); Securities Service (SVM); National Securities Centre (CNVM);

supporting and monitoring departments at Head Office and in the subsidiaries in the implementation of their internal control systems.

3.5.7.5 Controls applied to the preparation and processing of financial information

The preparation and processing of financial and accounting information is the responsibility of the Financial Department, which is made up of the Accounting Department, the Management Control Department, the Taxation Department and the department of Balance Sheet Management and Supervisor Relations.

The accounting function

La Banque Postale Accounting Department is responsible for the preparation and processing of accounting information. The department's key tasks are to produce and disseminate high-quality accounting information, supported by the managers of La Banque Postale's Accounting and using the accounting project management resources. The Accounting Department stipulates and implements the organisational and IT processes and structures used to produce the financial statements.

In addition to the Accounting Department, La Banque Postale's accounting function includes the banking back-office accounting teams, who report to the Financial Centre Directors, or, in some cases, to the directors of the business lines. The Bank's Accounting Department sends these teams the instructions and control programmes necessary to ensure the consistency and quality of the information produced. The accounting function also includes a centre specialising in the accounting-based processing of the Bank's general resources, together with the Financial Transactions Department's accounting team, which is responsible for recording market transactions in the accounts.

The Accounting Department coordinates and defines the Level 1 justification and audit programmes that must be implemented by the Bank's operating Accounting Departments, which are located in the Financial Centres, in the National Centres, in the Financial Transactions Department and in the general resources Accounting Departments. These auditing and control programmes are reviewed based on the risk analysis carried out periodically when the financial statements are prepared and audited by the dedicated teams for the central auditing of financial statements.

The Accounting Department supplements this Level 1 work by a set of Level 2 auditing controls, consisting of recurrent cross-functional controls to ensure the quality and exhaustiveness of the Level 1 work carried out in the operational entities. The control process is set out formally in audit manuals and is also based on procedures for justifying the financial statements and approving the account-closing records scheduled in the work programmes. The Level 2 work is done by a dedicated team of auditors.

Second-level accounting review is organised around the main activities: deposit and savings account maintenance/loan activities/financial transactions/general resources/consolidation. The activities are reapportioned into audit cycles that each result in the drafting of a monthly audit summary and of detailed summaries, during the audit phase, presenting the significant events in the cycle, the results of the work and an analytical review of the activity.

The auditors' work schedules are periodically updated, in order to:

- ▶ adapt to changes in the activities and the regulatory context;
- ▶ include project-related changes;
- ▶ take into account newly identified risk factors, or conversely, of risks that no longer apply;

optimise the effectiveness of the control process as part of the shortening of end-of-period accounting lead-times.

The audit work on the Bank's retail activity is organised on a declarative basis on the Financial Centres and supplemented by audit cycles based on the sampling of complete records. In this way, all the centres and cycles are tested several times a year. The work is also incorporated into an accounting quality trend chart, which gives a monthly overview of the test results and the quality of the Level 1 system.

These recurrent checks are backed up by tightened audit periods known as "pre-close periods", which begin one to two months before the closing date for the half-year and annual financial statements, and allow for a "dress rehearsal" by the contributors (centres, Head Office Departments). These procedures secure timetables and processes; moreover, they provide interim information on the status of the financial statements to the statutory auditors before they begin their work.

Regarding the scope of financial transactions, the Accounting Department has tightened the coordination process for the parties involved (Financial Transactions Department and Risk Departments). The aim of this system, which takes the form of monitoring meetings and setting down feedback channels, is to:

- ▶ provide in advance the expected schedules for the control deliverables;
- ▶ return comments by the auditors (Internal Audit, statutory auditors);
- ▶ define action plans allowing points for improvement to be monitored.

The entire accounts production system is supplemented by meetings with the statutory auditors' panel, which enable the highlights to be reviewed and the account-closing options to be examined before they are implemented (impacts from new regulations, processing of new products, changes in scope of subsidiaries).

The Accounting Department also co-ordinates the consolidation of the companies that make up the La Banque Postale Group, according to specific instructions.

The process for producing the consolidated financial statements now includes:

- ▶ a system triggered by consolidation instructions sent to all subsidiaries in the scope of consolidation;
- ▶ meetings outlining the Group's news, standards and processes, allowing for discussion within the subsidiaries' Accounting Departments;
- ▶ a Level 2 control organised according to a control schedule and the drafting of summaries so that risks can be dealt with and standards application coordinated at the Group level;
- ▶ a comparison of the management results with the accounting result;
- ▶ an analytical review procedure presented by the subsidiaries to the Group's Financial Department in the presence of the statutory auditors of the subsidiary and the Group.

The subsidiaries have their own structure that enables them to perform level 1 and 2 accounting controls on their scope.

The Accounting Department is also in charge of regulatory reporting production (except for the prudential ratios produced by the Group Risk Department) for the French Prudential Supervision and Resolution Authority (ACPR) or the European Supervisor.

Lastly, the Accounting Department has identified, inside a dedicated function, responsibility for the definition of accounting standards applicable to the Group (international standards) and La Banque Postale (French standards). This department writes the standards manual, interprets new standards and applies them to the Group's accounts. It helps define accounting principles when new business activities or products are launched and responds to business line and Accounting Division requests on the implementation and application of standards. Regular publications are also distributed to the various players within the Bank to inform the business clients about possible changes or to remind them of the principles and methods.

Management control function

Management control, support for the development and improvement of bank profitability.

The Management Control Department is responsible for collating management information. It contributes to the preparation of financial information. Using economic and financial analyses, management control takes part in defining the Bank's strategy, monitors the implementation of the strategy, identifies the areas of progress and proposes solutions. It also creates steering conditions which facilitate the management of the activity and decision-making by the business line and operational managers. The goal is to contribute to improving the bank's performance.

Operational management control is located in the business lines and placed under their responsibility. The business lines constitute (subsidiaries or management) a level where management information is prepared, and they obtain the resources to produce it at the quality level and standards expected.

The main tasks of Central Management Control, reporting to the Group Financial Department, are to:

- ▶ consolidate and build the budget and the Bank's medium- and long-term plan;
- ▶ provide budget reporting and monitoring;
- ▶ develop a "Group" management income that is separate from the accounting data, allowing a monthly accounting-management reconciliation to be drawn up;
- ▶ carry out short-term income estimates or scenario analyses;
- ▶ monitor the subsidiaries and Group investments administratively and financially;
- ▶ participate in the stress test work and reporting to the supervisor on the profitability indicators;
- ▶ ensure production of trend charts and summary reporting on business activity and profitability for the Management and the shareholder.

Management Control is also responsible for:

- ▶ analysing the performance of the Group, its business lines and its entities;
- ▶ managing the product pricing system based on contributions from the business lines;
- ▶ qualifying the information used in commercial performance reporting on credit volumes and margins;
- ▶ monitoring the performance of the business lines and the half-yearly performance review by management in *ad hoc* bodies;
- ▶ preparing analytical accounting, monitoring the resources used in operating the business;
- ▶ reviewing the return on supply projects and investments;
- ▶ the creation and development of a management system suited to the environment and situation of the bank.

The financial communication function

All financial communication is compiled by the department of Capital Management and Supervisor Relations, the Head of which reports to the Chief Financial Officer. This department takes care to rely on general principles and best practice in financial communication, as shown in the guide "Cadre et Pratiques de Communication Financière" (Financial Communication Framework and Practices) (written by the Financial Communication Observatory under the supervision of the French Financial Markets Authority).

Its tasks consist of:

- ▶ coordinating and preparing the information published in financial media releases, media releases on income, and presentations given to institutional investors, credit analysts and ratings agencies, taking care to ensure that the messages are consistent;
- ▶ coordinating and preparing the regulated financial information submitted for approval to the Autorité des marchés financiers (Registration Document and half-yearly update);
- ▶ conducting, with the other Group functions, a regulatory monitoring;
- ▶ organising and coordinating relations with the ratings agencies;
- ▶ together with the other Group functions, liaising with credit investors and the Autorité des marchés financiers (AMF);
- ▶ ensuring that financial information is provided on the La Banque Postale website www.labanquepostale.com.

3.5.8 Informations about locations and business activities at 31 December 2017

Article L. 511-45 of the French Monetary and Financial Code requires that credit institutions publish information relating to the financial year ended 31 December 2017 concerning their business locations and their business included in their scope of consolidation, in each State or territory.

Locations by county at 31 December 2017

France

Retail Banking

La Banque Postale
SCI CRSF DOM
SCI CRSF
SCI Tertiaire Saint Romain
SF2
La Banque Postale Financement
La Banque Postale Crédit Entreprises
Easybourse
FCT Elise 2012
BPE
La Banque Postale Collectivités Locales
La Banque Postale Home Loan SFH

SOFIAP

Insurance

CNP Assurances Group
La Banque Postale Prévoyance
La Banque Postale Conseil en Assurances
Sopassure
La Banque Postale Assurances IARD
La Banque Postale Assurance Santé

Asset management

La Banque Postale Asset Management
Tocqueville Finance Holding
Tocqueville Finance SA
AEW Europe

Principality of Monaco

Retail Banking

La Banque Postale : post office

Netherlands

LBP Dutch Mortgage Portfolio 1 BV
LBP Dutch Mortgage Portfolio 2 BV

Data presented by country as at 31 December 2017

State or Territory consolidated contribution (€ '000s)	NBI and revenue ⁽¹⁾	FTE staff ⁽²⁾	Net income before tax ⁽³⁾	Amount of income tax for which the business locations are liable	Public grants received ⁽⁴⁾
France	5,684,268	4,535	1,136,831	(339,722)	-
Principality of Monaco	2,915		1,268	(423)	-
GROUP TOTAL	5,687,183	4,535	1,138,099	(340,145)	-

(1) The amount of net banking income and revenue correspond to the contribution by business locations in France and the Post Office in the Principality of Monaco to LBP's consolidated financial statements.

(2) The full-time-equivalent staff includes all employees with a local employment contract as well as employees who have been physically seconded.

(3) This is the profit for the period before corporate income tax and other taxes.

(4) These are public grants actually paid and excluding tax credits.

3.6 POST BALANCE SHEET EVENTS

None.

3.7 2018 OUTLOOK

La Banque Postale's digital transformation strategy will gain momentum in 2018. It will include the launch of several fully digital products:

- ▶ *e-credit immo*, a 100% digital home loan, from application to electronic signature;
- ▶ Prêt Express, already accessible in post offices since 30 January 2018, will also simplify the life of 100% digital customers by providing an immediate and definitive answer to requests for consumer credit from customers whose solvency is proven;
- ▶ *EasyVie*, a fully digital life insurance solution sold by EasyBourse and developed in partnership with CNP Assurances;
- ▶ new Paylib product offering a peer-to-peer payment solution.

2018 will also see the ramping up of Ma French Bank, the digital bank that works in the best interest of the community at large which will provide everyone with the option to open a bank account, with no resource requirements, from their mobile telephone or at the post office. Ma French Bank will be connected and participative. It will provide many useful and innovative banking services as well as non-banking services. The offer will also include access to KissKissBankBank, the Bank's crowdfunding financing subsidiary. Following a test phase at the end of 2018 with a first Group of customers and Group employees, Ma French Bank will be offered to the general public starting in the spring of 2019.

The diversification of activities will be expanded. The ramping up of Corporate & Investment Bank will complete La Banque Postale's full-service offering and provide an answer to the needs of legal entities and private banking customers.

In the Insurance field, 2018 will be dedicated to pursuing a multi-device strategy in a multi-channel approach with all of the networks. La Banque Postale has a complete line of property and casualty, provident and health care insurance products and will complete its offering with new services, in line with its initiatives like the resale guarantee included in home insurance and its new GAV product

(Garantie Accident de la Vie). La Banque Postale will also facilitate interactions with its customers via mobile telephone and deploy an interactive prevention system with the launch of a dedicated insurance app. Lastly, as part of its innovation strategy, La Banque Postale will accelerate its cooperation with start-ups in the e-Health and connected insurance fields.

La Banque Postale has set itself four priorities for 2018 with respect to Asset Management: increase its share of the Insurance Management market, develop its skills in conviction equities management to meet the return needs of institutional and individual investors, expand its SRI offering by providing customers with a methodology that meets different needs, and participate in the development of Fintech.

La Banque Postale will continue to closely control its costs. The various operational effectiveness improvement plans (including Excellence 2020) will continue to ramp up throughout 2018 using the most recent and advanced technologies.

Lastly, La Banque Postale will continue its actions for everyone, increasing its partnerships and initiatives throughout 2018. La Banque Postale will review its initiatives and innovations in this respect (banking accessibility mission, Appui programme, banking inclusion via digital tools, responsible saving, etc.) at the second edition of the "Assises de la Banque Citoyenne" next 5 April.

La Banque Postale signed a partnership with the Créa-Sol micro-financing institute, a specialist in personal micro-credit, in early 2018. As a result, La Banque Postale contributes to the operating costs of Créa-Sol and has facilitated the implementation of a solution to enter and manage fully digital micro-credit applications, considerably reducing the wait times for granting this type of loan.

La Banque Postale, a bank that works in the best interest of the community at large, will continue to play an essential role in French economic life and remain committed to the regions and all of its customers.

3.8 INFORMATION ON THE STATUTORY AUDITORS

Statutory auditors of La Banque Postale	Start date of first assignment	End date of the assignment
PricewaterhouseCoopers Audit (member of the Versailles Regional Chamber of Statutory Auditors) 63, rue de Villiers 92200 Neuilly-sur-Seine Cedex Represented by Jacques Lévi as from the 2016 financial year Alternate auditor: Jean-Baptiste Deschryver	28 April 2004	General Shareholders' Meeting called in 2022 to approve the financial statements for the financial year closed on 31 December 2021
KPMG S.A. (member of the Versailles Regional Chamber of Statutory Auditors) Division of KPMG S.A. Tour Egho 2, avenue Gambetta CS60055 92066 Paris La Défense Represented by Marie-Christine Jolys as from the 2015 financial year Alternate auditor: KPMG Audit FS I	27 May 2010	General Shareholders' Meeting called in 2022 to approve the financial statements for the financial year closed on 31 December 2021

Furthermore, as regards the audit of the previous accounts

2016 financial year

PricewaterhouseCoopers Audit

63, rue de Villiers
92200 Neuilly-sur-Seine Cedex
Represented by Jacques Lévi

KPMG Audit

2, avenue Gambetta
CS60055
92066 Paris La Défense
Represented by Marie-Christine Jolys

2015 financial year

PricewaterhouseCoopers Audit

63, rue de Villiers
92200 Neuilly-sur-Seine
Represented by Agnès Husserr

KPMG Audit

2, avenue Gambetta
CS60055
92066 Paris – La Défense
Represented by Marie-Christine Jolys

3.9 ALTERNATIVE PERFORMANCE INDICATORS – ARTICLE 223-1 OF THE AMF GENERAL REGULATION

API	Definition/calculation method
NBI excluding the home savings effect	NBI restated for provisions or reversals of provisions for commitments related to home loan savings accounts and plans (PEL and CEL)
Operating expenses	Sum of general operating expenses, net depreciation and amortisation, and impairment of tangible and intangible fixed assets
Cost-income ratio	Operating expenses divided by NBI corrected for doubtful interest
Cost of risk (in basis points)	Average cost of commercial banking credit risk for the quarter divided by outstanding loans at the beginning of each quarter

RISK MANAGEMENT – PILLAR III INFORMATION

4

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The objective of this chapter is to present the main risks to which La Banque Postale is exposed in the context of its business activities and to provide information on its risk management and capital.

The purpose of this information is to comply with the reporting obligations pursuant to EU Regulation No. 575/2013 relating to

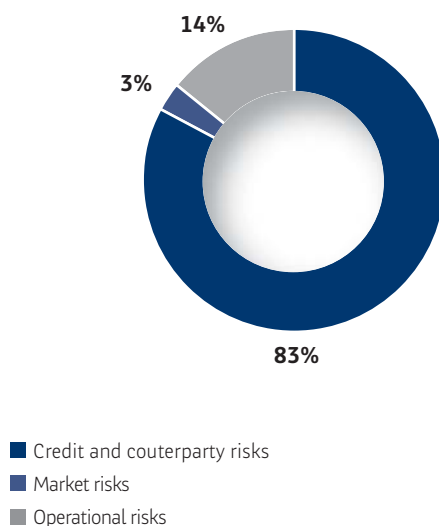
the prudential requirements applicable to credit institutions and investment firms (CRR) and EU Directive 2013/36/EU on access to the activity of credit institutions and the prudential supervision of credit institutions and investment firms.

4.1 SUMMARY OF RISKS

4.1.1 Key figures

Capital (€ million)	2017	2016
Common Equity Tier 1 (CET1)	8,522	8,171
Tier 1 (T1)	9,322	8,971
Total Capital	11,863	11,551
RISK-WEIGHTED ASSETS (€ MILLIONS)	-	-
Total RWA	65,186	59,534
SOLVENCY RATIOS (%)	-	-
CET1 ratio (%)	13.1%	13.7%
T1 ratio (%)	14.3%	15.1%
Total Capital ratio (%)	18.2%	19.4%
ADDITIONAL BUFFERS	-	-
Capital conservation buffer (%)	1.250%	0.625%
Countercyclical buffer (%)	0%	0%
Additional buffer	0.1250%	0.0625%
LEVERAGE RATIO	-	-
Exposure to leverage ratio	205,766	196,096
Leverage ratio (%)	4.5%	4.6%
LIQUIDITY RATIO	-	-
Total HQLA	25,138	24,368
Total net outflows	15,967	13,575
LCR ratio (%)	157%	180%

WEIGHTED ASSETS BY TYPE OF RISK AT 31 DECEMBER 2017



4.1.2 Principal structural risk factors

La Banque Postale is exposed to a range of external and internal risk factors as a result of its status as a credit institution, its history, its growth strategy, changes in the macroeconomic environment in which it operates, of changes in legislation and regulations applicable to it as well as to the competitive environment.

4.1.2.1 External risk factors

The regulatory environment

Although European regulations setting the prudential requirements applicable to credit institutions, including solvency and liquidity rules, have not yet been finalised (the body of application laws is still incomplete and transition periods run until 2022), the European Commission published a package of proposed revisions to the rules in November 2016.

The draft laws take into account the creation of the Banking Union and the adoption of a number of new standards by the international banking regulation bodies (Financial Stability Board, Basel Committee for Banking Supervision). They are starting or restarting European-level discussions on leveraged ratio and large exposure requirements, changes in methods for market risks, the introduction of the methodology for the net stable funding requirement (NSFR) and for the minimum requirement in terms of the total loss absorbing capacity (TLAC) for global systemically important banks (GSIBs).

At the international level, the Basel Committee completed its Basel III reform in early December by obtaining the approval of its members for new calculation methods for risk-weighted assets (RWA) for credit risk and operational risk as well as for the introduction of a new output floor for RWAs calculated using internal approaches. These new standards should be transposed into European law to come into effect on 1 January 2022.

The Bank follows these changes because of their impact on regulatory ratio levels. It is important to remain aware of the potential for complementary prudential changes which could impact La Banque Postale's capital requirements within the framework of the specific application measures of the Basel III rules in European law (CRR and CRDIV).

The same holds true for potential changes to regulations covering «large exposures» embedded in the revision of European regulatory texts which could result in La Banque Postale having to further diversify certain portfolios starting in 2021.

Impact of European regulation on consumer protection and of privacy on information systems security and the Bank's competitive environment

The European Union adopted regulations in April 2016 regarding the protection of natural persons with regard to the processing of personal data and the free movement of data (RGPD) applicable starting in May 2018. France transposed the European directive on payment services of November 2015 into national law in August 2017. It is applicable as of 13 January 2018. These laws further strengthen the obligations of the Bank to ensure the security of its customers' data while also requiring it to provide access to payment and information service providers with which customers may have entered into a contract, for example, account consolidation services.

The Bank is highly aware of its cybersecurity in this context and given the rapid evolution of technology and of digital financial services offerings.

The macroeconomic context

La Banque Postale is impacted by macro-economic and market conditions and could be affected by unfavourable developments in these areas as a result of adverse shocks.

Very low interest rates over a long period of time

A future relapse by European economies in a period of low growth and inflation could bring about the continuation of exceptionally low interest rates. The relapse could itself arise from a combination of adverse shocks such as a banking and financial crisis in China, a rapid cyclical slowdown in the United States or the creation of a vicious circle of political instability and a deteriorating economic situation in some euro zone Member States (see political risks below). Although it currently seems highly unlikely, a possible domino effect from Brexit, with other States requesting to leave the European Union, could also constitute shocks likely to weaken economic growth and prevent the European Central Bank from normalising its monetary policy. In addition, in this type of economic environment, expectations for medium-term inflation would remain very low for the long term. The interest rate curve would both stay low and flat for a long period of time, reducing interest income from the Bank's business activities.

A sharp increase in interest rates

On the other hand, a sharp increase in interest rates could arise from an inflationary shock which would produce a rebound in inflation expectations and prevent the major central banks from normalising their monetary policy more rapidly. This situation could result from geopolitical events generating a strong and sustained increase in the price of oil and lead to an increase in interest rates. This could result in a deterioration in countries' solvency which would reinforce the increase in bond rates; losses on bond portfolios held by institutional investors and the banks; demands for buybacks from the holders of life insurance contracts, which might be outperformed by more short-term investments that are more reactive to changes in market rates. This situation could affect the capital gains of bond portfolios managed by the Bank on its own account, the cost of inflation-indexed balance sheet resources (inflation or interbank rates) or its new issues, or investments in the capital of insurance companies. The impact could, however, be tempered by the gradual improvement in interest income arising from the upward trajectory and steepening of the interest rate curve.

Political risks from adverse economic impacts

The general socio-economic environment is such that it influences French economic conditions and impacts La Banque Postale's business activities.

In France President's Macron's stated intent to implement reforms could cause a backlash and lead to political and social unrest. In addition, to the extent that the so-called «peripheral» euro zone countries remain convalescent and their public debt remains high, any political instability in these countries could rekindle investor fears and lead to the potential re-emergence of a debt crisis and stress on interest rates. Italy could be in this situation because its political stability is still not assured and elections are due within a few months. In addition the public debt and unemployment are still very high in Italy. Lastly, the banking industry is dealing with a high level of doubtful debt and has not completed its reorganisation. The central government in Spain is dealing with the separatist demands of a majority of Catalans. Therefore, although the economic situation in Spain has improved significantly, political turbulence could damage the country's stability. Germany is struggling to put a coalition government in place several months after the federal election.

At the global level, there is ongoing geopolitical risk in Asia with the North Korean missile crisis which has involved several major powers (the United States, China, Russia and Japan). South Korea is a major player in the electronics component industry and any interruption in its production would have a significant economic impact beyond its borders.

These events could, firstly, impact the income from the Bank's self-managed bond portfolios and, secondly, affect its income and that of its asset management subsidiaries.

4.1.2.2 Internal La Banque Postale risk factors

Risks relative to strategy and changes

La Banque Postale set itself the following commercial goals in its strategy:

- ▶ to strengthen its positioning with private customers, including high-wealth individuals, while continuing to fulfil its missions of accessibility and support for its most vulnerable customers;
- ▶ to become a bank for professionals, companies and institutional customers.

These goals require many changes which the Bank must manage to achieve its objectives. They include changes to its organisation, responsibilities (making banking La Poste Network's priority) and by expanding its services offering and its customer base.

Risks relative to banking activities

La Banque Postale's structural risk factors are also related to its Retail Banking activity: liquidity risk and rate risk related to the transformation of customer resources into long-term employment, credit risk on loans granted to customers and operational risk related to banking activities. Market risk is also a structural risk factor which is closely monitored by La Banque Postale. The Bank is also exposed to risks related to its subsidiaries and its interests in insurance companies.

Credit risk is defined as the risk incurred in the event of default by a counterparty or counterparties, considered as a same group of related clients, within the meaning of EU Regulation No. 575/2013.

Liquidity risk is, as defined by the decision of 3 November 2014, the risk that a business cannot meet its commitment or cannot unwind or cover a position either because of the market situation (systemic risk) or idiosyncratic factors (own risks), within a specific period or at a reasonable cost.

Counterparty risk corresponds to the likelihood of default of a borrower or a given organisation within the framework of market (derivatives) or securities transactions (loans/borrowing, repos/reverse repos, placements and investments). It arises when the amounts exchanged or invested are not repaid and therefore become a dead loss for the lender or investor or, at the least, a loss of income as long as the counterparty has not repaid.

Replacement risk is also a counterparty risk. It occurs when the counterparty of a transaction misses a payment date. In this case, the solvent counterparty will have open positions which can result in losses or a loss of income. The market price replacement cost of the original transaction is a risk for the counterparty which suffers the payment default.

Market risk represents the potential loss of value, in income or on the bank's balance sheet, which would be caused by unfavourable fluctuations in market parameters such as interest rates, exchange rates or volatility.

The interest rate risk of a banking portfolio is the likelihood of seeing the bank's future margins or financial value affected by interest rate fluctuations.

In accordance with Article 84 of Directive No. 2013/36 and the EBA guidelines of 22 May 2015, all significant rate risks in the banking portfolio must be identified and measured. Interest rate risk is measured by maturity, by type of index for products dependent on variable rates or rates subject to review (Euribor, Inflation, Eonia, etc.).

The definition of operational risk used by the Group is as follows: «the risk of losses resulting from a mismatch or failure of processes, personnel, internal systems or external events. Operational risk notably includes risks linked to events having a low probability of occurrence but a high impact, risks of internal and external fraud, legal risks, risks of non-compliance (including damage to reputation), and risks linked to the model, but excludes strategic risks». It complies with Regulation (EU) No. 575/2013 of 26 June 2013 and the decree of 3 November 2014 on internal control approved by the Group Risk Management Committee on 26 February 2015. It is also compliant with AMF and Solvency II regulations.

The Bank has created a map of all of the risks to which it could be exposed. The map is monitored on a regular basis to identify the risks that could have a significant negative effect on its business activities, its financial position or its results (or on its ability to meet its targets), and believes that there are no material risks other than those presented above.

The Bank ensures that it is compliant with regulatory solvency (taking into account the additional requirements related to buffers for systemic risk) and liquidity (LCR) limits at all times. It also tracks changes in its leverage and NSFR ratios.

4.2 CAPITAL MANAGEMENT AND CAPITAL ADEQUACY

4.2.1 Fields of application

Defined by CRR Regulation 575/2013, the field of application of the prudential scope pertaining to equity requirements is different from the field of application of the accounting consolidation scope whose composition is subject to the application of IFRS standards.

In accordance with regulations, the scope defined for the exercise of supervision on a consolidated basis of the capital ratios consists of consolidation using the equity method, within the prudential scope, of the insurance entities consolidated using the full-consolidation method within the accounting scope.

Asset disposal and risk transactions must be assessed in light of the type of resulting risk transfer. Therefore, securitisation vehicles are excluded from the prudential scope, in line with the regulations, to the extent that the securitisation transaction in question is deemed effective, *i.e.* it provided a significant transfer of risk. This situation does not impact La Banque Postale as it has never securitised its exposure as is meant in prudential regulations.

Description of the differences between the different scopes of consolidation (entity by entity)

Entity name	Accounting consolidation method	Regulatory consolidation method				Entity description
		Full consolidation	Proportional consolidation	Not consolidated or deducted	Deducted	
LBP SA	Full consolidation	LBPSA	-	-	-	Retail Banking
SCI CRSF DOM	Full consolidation	SCI CRSF DOM	-	-	-	Retail Banking
SCI CRSF METROPOLE	Full consolidation	SCI CRSF METROPOLE	-	-	-	Retail Banking
SCI TERTIAIRE SAINT ROMAIN	Full consolidation	SCI TERTIAIRE SAINT ROMAIN	-	-	-	Retail Banking
SF2	Full consolidation	SF2	-	-	-	Retail Banking
LA BANQUE POSTALE FINANCEMENT	Full consolidation	LA BANQUE POSTALE FINANCEMENT	-	-	-	Retail Banking
LA BANQUE POSTALE CREDIT ENTREPRISES	Full consolidation	LA BANQUE POSTALE CREDIT ENTREPRISES	-	-	-	Retail Banking
EASYBOURSE	Full consolidation	EASYBOURSE	-	-	-	Retail Banking
FCT ELISE 2012	Full consolidation	FCT ELISE 2012	-	-	-	Retail Banking
BPE	Full consolidation	BPE	-	-	-	Retail Banking
LA BANQUE POSTALE COLLECTIVITES LOCALES	Full consolidation	LA BANQUE POSTALE COLLECTIVITES LOCALES	-	-	-	Retail Banking
LA BANQUE POSTALE HOME LOAN SFH	Full consolidation	LA BANQUE POSTALE HOME LOAN SFH	-	-	-	Retail Banking
SOFIAP	Full consolidation	SOFIAP	-	-	-	Retail Banking
LBP DUTCH MORTGAGE PORTFOLIO 1 B.V	Full consolidation	LBP DUTCH MORTGAGE PORTFOLIO 1 B.V	-	-	-	Retail Banking
LBP DUTCH MORTGAGE PORTFOLIO 2 B.V	Full consolidation	LBP DUTCH MORTGAGE PORTFOLIO 2 B.V	-	-	-	Retail Banking
GROUPES CNP ASSURANCES	Equity consolidation	-	-	GROUPES CNP ASSURANCES	-	Insurance
LA BANQUE POSTALE PREVOYANCE	Full consolidation	-	-	LA BANQUE POSTALE PREVOYANCE	-	Insurance

Entity name	Accounting consolidation method	Regulatory consolidation method				Entity description
		Full consolidation	Proportional consolidation	Not consolidated or deducted	Deducted	
LA BANQUE POSTALE CONSEIL EN ASSURANCES	Full consolidation	LA BANQUE POSTALE CONSEIL EN ASSURANCES	-	-	-	Insurance
SOPASSURE	Proportional consolidation	-	Sopassure	-	-	Insurance
LA BANQUE POSTALE ASSURANCES IARD	Full consolidation	-	-	LA BANQUE POSTALE ASSURANCES IARD	-	Insurance
LA BANQUE POSTALE ASSURANCE SANTE	Full consolidation	-	-	LA BANQUE POSTALE ASSURANCE SANTE	-	Insurance
AEW Europe	Equity consolidation	-	-	AEW Europe	-	Asset management
LA BANQUE POSTALE ASSET MANAGEMENT	Full consolidation	LA BANQUE POSTALE ASSET MANAGEMENT	-	-	-	Asset management
TOCQUEVILLE FINANCE HOLDING	Full consolidation	TOCQUEVILLE FINANCE HOLDING	-	-	-	Asset management
TOCQUEVILLE FINANCE SA	Full consolidation	TOCQUEVILLE FINANCE SA	-	-	-	Asset management

Differences between the accounting and regulatory scopes of consolidation and allocation of financial statement items to regulatory risk categories

(€ millions)	Book values as declared in the published financial statements	Book values within the scope of regulatory consolidation	Book value of the items				Not subject to capital requirements or subject to capital deductions
			Subject to credit risk	Subject to the RCC	Subject to securitisation	Subject to market risk	
ASSETS							
Cash and central banks	3,325	3,325	3,325	-	-	-	-
Financial assets held for transaction purposes	7,596	7,535	36	491	-	7,009	-
Hedging derivatives	1,146	1,146	-	1,146	-	-	-
Available-for-sale financial assets	17,850	15,440	15,440	-	0	-	-
Loans and receivables - credit institutions	84,088	84,084	83,860	223	-	-	-
Loans and receivables - customers	88,135	88,213	88,196	1	16	-	-
Revaluation differences on rate hedged portfolios	69	69	69	-	-	-	-
Financial assets held to maturity	20,734	20,702	20,702	-	-	-	-
Current tax assets	204	202	201	-	-	-	1
Deferred tax assets	112	112	112	-	-	-	-
Accruals and other assets	2,882	2,784	2,784	-	-	-	-
Other insurance assets and reinsurer share of underwriting provisions	529	-	-	-	-	-	-
Deferred profit-sharing	0	0	0	-	-	-	-
Investments in associated companies	3383	3943	3913	-	-	-	-
Investment property	0	0	0	-	-	-	30
Property, plant and equipment	645	643	643	-	-	-	-
Intangible assets	618	477	-	-	-	-	477
Goodwill	160	160	-	-	-	-	160
Total assets	231,477	228,834	219,280	1,861	16	7,009	668
LIABILITIES							
Central banks	-	-	-	-	-	-	-
Financial liabilities at fair value through profit or loss	532	532	-	-	-	-	-
Hedging derivatives	238	238	-	-	-	-	-
Liabilities due to credit institutions	14,154	14,148	-	-	-	-	-
Liabilities to customers	182,564	182,645	-	-	-	-	-
Debt securities	11,373	11,373	-	-	-	-	-
Revaluation differences on rate hedged portfolios	721	721	-	-	-	-	-
Current tax liabilities	7	3	-	-	-	-	-
Deferred tax liabilities	112	38	-	-	-	-	-
Accruals and other liabilities	4,939	4,723	-	-	-	-	-
Non-current liabilities held for sale	-	-	-	-	-	-	-
Underwriting provisions of insurance companies	2,257	-	-	-	-	-	-
Shadow	118	-	-	-	-	-	-
Provisions	478	476	-	-	-	-	-
Subordinated debt	3,889	3,889	-	-	-	-	-
Minority interests in equity	109	63	-	-	-	-	-
Equity, Group share	9,984	9,984	-	-	-	-	-
Total liabilities	231,477	228,834	-	-	-	-	

4.2.2 Composition of prudential equity capital

La Banque Postale's Common Equity Tier 1 (CET1) capital includes:

Group share book equity (capital, issue premiums, reserves and annual profits) less the proposed dividend (45% of Group share of net income) and regulatory adjustments that apply:

- ▶ deductions of *goodwill* and intangible assets (net of related tax liabilities);
- ▶ regulatory adjustments (transitional measures applicable to unrealised gains and losses of AFS securities, fair value reserves in relation to gains and losses generated by cash flow hedges, AVA).

La Banque Postale's Additional Tier 1 capital includes:

The €800 million perpetual security, convertible into Common Equity Tier 1 capital, issued in December 2013 and wholly subscribed by the single shareholder, La Poste.

Tier 2 capital includes:

Subordinated securities issued in November 2010, April 2014, November 2015, and in June and October 2016, as well as in January 2017, less the share held by Group entities and holdings, and reintegrations related to gains on variable-income securities.

Reconciliation of accounting equity and regulatory capital

(in € thousands)	31.12.2017	31.12.2016
	Phased-in Basel III	Phased-in Basel III
Group shareholders' share capital and retained earnings	9,984,488	9,744,578
Dividend plan	(343,769)	(312,101)
Deduction of goodwill and other intangible fixed assets	(677,215)	(560,736)
Transitory and other adjustments applicable to CET1 equity capital	(441,858)	(700,635)
Common Equity Tier 1 (CET1)	8,521,647	8,171,106
Eligible AT1 capital instruments	800,000	800,000
Additional T1 capital	800,000	800,000
T1 capital	9,321,647	8,971,106
Capital instruments and subordinated loans	2,468,425	2,452,110
Other reintegrations	72,512	128,041
T2 capital	2,540,937	2,580,151
TOTAL CAPITAL	11,862,584	11,551,257

The change in Common Equity Tier 1 (CET1) is related to the inclusion of the results of the 2016 financial year in La Banque Postale's reserves, the change in the handling of gains and losses on AFS securities resulting from temporary adjustments to Regulation (EU) no. 575/2013 and the change in the value of puts on minority interests.

Total Equity Tier 2 changed little due to the limited number of issues over the 2017 financial year and amortisation effects on T2 debt issued prior to the effective date of Regulation (EU) no. 575/2013.

Detailed analysis of the composition of regulatory capital

	2017		2016	
	Phased-in	Temporary provisions	Phased-in	Temporary provisions
COMMON EQUITY TIER 1 (CET1): INSTRUMENTS AND RESERVES				
Capital instruments and related share premium accounts	4,063,127	-	4,063,127	-
<i>of which ordinary shares</i>	4,063,127	-	4,063,127	-
Retained earnings	1,282,575	-	1,001,807	-
Accumulated other comprehensive income (and other reserves)	3,875,087	-	3,985,819	-
Funds for general banking risk	-	-	-	-
Amount of qualifying items referred to in Article 484 (3), and the related share premium accounts subject to phase out from CET1	-	-	-	-
Minority interests (amount allowed in consolidated CET1)	-	-	-	-
Independently reviewed interim profits net of any foreseeable change or dividend	419,930	-	381,724	-
Common Equity Tier 1 (CET1) capital before regulatory adjustments	9,640,719	-	9,432,477	-
TIER 1 CAPITAL (CET1): REGULATORY ADJUSTMENTS				
Additional Value adjustments	(88,974)	-	(87,194)	-
Intangible assets (net of related tax liability)	(667,082)	-	(554,719)	-
Empty set in the EU	-	-	-	-
Deferred tax assets that rely on future profitability excluding those arising from temporary differences	(10,133)	2,533	(6,017)	4,011
Fair value reserves related to gains or losses on cash flow hedges	(127,649)	-	(198,548)	-
Negative amounts resulting from the calculation of expected loss amounts	-	-	-	-
Any increase in equity that results from securitised assets	-	-	-	-
Gains or losses on liabilities valued at fair value resulting from changes in own credit standing	-	-	-	-
Defined benefit pension fund assets	-	-	-	-
Direct and indirect holdings by an institution of own CET1 instruments	-	-	-	-
Direct, indirect and synthetic holdings of the CET1 instruments of financial sector entities where those entities have reciprocal cross holdings with the institution designed to inflate artificially the own funds of the institution	-	-	-	-
Direct, indirect and synthetic holdings by the institution of the CET1 instruments of financial sector entities where the institution does not have a significant investment in those entities (amount above 10% threshold and net of eligible short positions)	-	-	-	-
Direct, indirect and synthetic holdings by the institution of the CET1 instruments of financial sector entities where the institution has a significant investment in those entities (amount above 10% threshold and net of eligible short positions)	-	-	-	-
Empty set in the EU	-	-	-	-
Exposure amount of the following items which qualify for a RW of 1250%, where the institution opts for the deduction alternative	-	-	-	-
<i>of which qualifying holdings outside the financial sector</i>	-	-	-	-
<i>of which securitisation positions</i>	-	-	-	-
<i>of which free deliveries</i>	-	-	-	-
Deferred tax assets arising from temporary differences (amount above 10% threshold, net of related tax liability where the conditions in Article 38 (3) are met)	-	-	-	-
Amount exceeding the 15% threshold	-	-	-	-
<i>of which direct and indirect holdings by the institution of the CET1 instruments of financial sector entities where the institution has a significant investment in those entities</i>	-	-	-	-

	2017		2016	
	Phased-in	Temporary provisions	Phased-in	Temporary provisions
Empty set in the EU	-	-	-	-
<i>of which deferred tax assets arising from temporary differences</i>	-	-	-	-
Losses for the current financial year	-	-	-	-
Foreseeable tax charges relating to CET1 items	-	-	-	-
Regulatory adjustments applied to Common Equity Tier 1 capital with regard to amounts subject to a pre-CCR treatment	-	-	-	-
Regulatory adjustments related to unrealised gains and losses pursuant to Articles 467 and 468	(225,235)	(225,235)	(414,893)	(414,893)
<i>of which unrealised gains (phase-out)</i>	-	-	-	-
<i>of which unrealised losses (phase-out)</i>	-	-	-	-
<i>of which unrealised gains related to exposures on central governments (phase-out)</i>	-	-	-	-
<i>of which unrealised losses related to exposures on central governments (phase-out)</i>	-	-	-	-
Amount to deduct or add to common equity Tier 1 regarding the additional filters and deductions provided by the pre-CCR provisions	-	-	-	-
Qualifying AT1 deductions that exceed the AT1 capital of the institution (negative amount)	-	-	-	-
Total regulatory adjustments to Common Equity Tier 1 (CET1)	(1,119,073)	(222,702)	(1,261,371)	(410,882)
Common Equity Tier 1 (CET1)	8,521,646	(222,702)	8,171,106	(410,882)
ADDITIONAL TIER 1 (AT1) CAPITAL	-	-	-	-
Capital instruments and related share premium accounts	800,000	-	800,000	-
<i>of which classified as equity under applicable accounting standards</i>	-	-	-	-
<i>of which classified as liability under applicable accounting standards</i>	800,000	-	800,000	-
Amount of qualifying items referred to in Article 484 (3), and the related share premium accounts subject to phase out from AT1	-	-	-	-
Qualifying Tier 1 capital included in consolidated AT1 capital (including minority interest not included in row 5) issued by subsidiaries and held by third parties	-	-	-	-
<i>of which instruments issued by subsidiaries subject to phase out</i>	-	-	-	-
Additional Tier 1 (AT1) capital before regulatory adjustments	800,000	-	800,000	-
ADDITIONAL TIER 1 (AT1) CAPITAL: REGULATORY ADJUSTMENTS				
Direct and indirect holdings by an institution of own AT1 instruments	-	-	-	-
Holdings of the AT1 instruments of financial sector entities where those entities have cross holdings with the institution designed to inflate artificially the own funds of the institution	-	-	-	-
Direct, indirect and synthetic holdings of the AT1 instruments of financial sector entities where the institution does not have a significant investment in those entities (amount above 10% threshold and net of eligible short positions)	-	-	-	-
Direct, indirect and synthetic holdings by the institution of the AT1 instruments of financial sector entities where the institution has a significant investment in those entities (amount above 10% threshold and net of eligible short positions)	-	-	-	-
Regulatory adjustments applied to Additional Tier 1 Capital with regards to amounts subject to a pre-CCR treatment and transitional measures and which will be gradually excluded in accordance with the provisions of EU Regulation No. 575/2013	-	-	-	-
Residual amounts deducted from Additional Tier 1 Capital with regards to the deduction of Common Equity Tier 1 capital during the transition period in accordance with Article 472 of EU Regulation N°575/2013	-	-	-	-

	2017		2016	
	Phased-in	Temporary provisions	Phased-in	Temporary provisions
Residual amounts deducted from Additional Tier 1 Capital with regards to the deduction of Tier 2 capital during the transition period in accordance with Article 475 of EU Regulation N° 575/2013	-	-	-	-
Amount to deduct or add to Additional Tier 1 capital regarding the additional filters and deductions provided by pre-CCR provisions	-	-	-	-
Qualifying T2 instruments that exceed the T2 capital of the institution	-	-	-	-
Total regulatory adjustments to Additional Tier 1 (AT1) capital	-	-	-	-
Additional Tier 1 (AT1) capital	800,000	-	800,000	-
Tier 1 capital (CET1 + AT1)	9,321,646	(222,702)	8,971,106	(410,882)
TIER 2 CAPITAL (T2): INSTRUMENTS AND RESERVES	-	-	-	-
Capital instruments and related share premium accounts	2,468,425	218,425	2,452,110	352,110
Amount of qualifying items referred to in Article 484 (5), and the related share premium accounts subject to phase out from T2	-	-	-	-
Qualifying own funds instruments included in consolidated T2 capital (including minority interests and AT1 instruments not included in rows 5 or 34) issued by subsidiaries or held by third parties	-	-	-	-
<i>of which instruments issued by subsidiaries subject to phase out</i>	-	-	-	-
Credit risk adjustments	-	-	-	-
Tier 2 (T2) capital before regulatory adjustments	2,468,425	218,425	2,452,110	352,110
TIER 2 (T2) CAPITAL REGULATORY ADJUSTMENTS	-	-	-	-
Direct and indirect holdings by an institution of own T2 instruments and subordinated loans	-	-	-	-
Holdings of the T2 instruments and subordinated loans of financial sector entities where those entities have reciprocal cross holdings with the institution designed to inflate artificially the own funds of the institution	-	-	-	-
Direct, indirect and synthetic holdings of the T2 instruments and subordinated of financial sector entities where the institution does not have a significant investment in those entities (amount above the 10% threshold and net of eligible short positions)	-	-	-	-
<i>of which new holdings not subject to transitional measures</i>	-	-	-	-
<i>of which holdings existing before 1 January 2013 subject to transitional measures</i>	-	-	-	-
Direct, indirect and synthetic holdings by the institution of the T2 instruments and subordinated loans of financial sector entities where the institution has a significant investment in those entities (amount above 10% threshold and net of eligible short positions)	-	-	-	-
Regulatory adjustments applied to Tier 2 Capital with regards to amounts subject to a pre-CCR treatment and transitional measures and which will be gradually excluded in accordance with the provisions of EU Regulation No. 575/2	-	-	-	-
Residual amounts deducted from Tier 2 Capital with regards to the deduction of Common Equity Tier 1 capital during the transition period in accordance with Article 472 of EU Regulation No. 575/2013	-	-	-	-
Residual amounts deducted from Tier 2 Capital with regards to the deduction of additional Tier 1 capital during the transition period in accordance with Article 475 of EU Regulation No. 575/2013	-	-	-	-
Amounts to deduct or add to Tier 2 capital regarding the additional filters and deductions provided by pre-CCR provisions	72,512	72,512	128,041	128,041
Total regulatory adjustments to Tier 2 (T2) capital	72,512	72,512	128,041	128,041
Tier 2 (T2) capital	2,540,937	290,936	2,580,151	480,151
Total capital (T1+T2)	11,862,583	68,235	11,551,257	69,269
Assets weighted with regards to amounts subject to pre-CCR treatment and to transitional measures and which will be gradually excluded in accordance with the provisions of EU Regulation No. 575/2013 (residual CCR amounts)	-	-	-	-
<i>of which: «CET1 instruments of financial service entities» not deducted from CET1 (EU Regulation No. 575/2013)</i>	-	-	-	-
<i>of which: «deductible deferred tax assets depending on future profits and arising from timing differences» not deducted from CET1 (EU Regulation No. 575/2013, residual amounts)</i>	-	-	-	-
<i>of which: «AT1 instruments of financial service entities» not deducted from AT1 (EU Regulation No. 575/2013, residual amounts)</i>	-	-	-	-
<i>of which: «T2 instruments of financial service entities» not deducted from T2 items (EU Regulation No. 575/2013, residual amounts)</i>	-	-	-	-
Total risk-weighted assets	65,185,993	-	59,533,990	-

	2017		2016	
	Phased-in	Temporary provisions	Phased-in	Temporary provisions
Capital ratios and buffers				
Common Equity Tier 1 (as a percentage of total risk exposure amount)	13.1%		13.7%	
Tier 1 capital (as a percentage of total risk exposure amount)	14.3%		15.1%	
Total capital (as a percentage of total risk exposure amount)	18.2%		19.4%	
Institution specific buffer requirement (CET1 requirement in accordance with Article 92 (1) point a, plus capital conservation and countercyclical buffer requirements, plus systemic risk buffer, plus establishment buffer)	5.875%		5.1875%	
of which capital conservation buffer requirement	1.25%		0.625%	
of which countercyclical buffer requirement				
of which systemic risk buffer requirement				
of which Global Systemically Important Institution (G-SII) or Other Systemically Important Institution (O-SII) buffer	0.125%		0.0625%	
Common Equity Tier 1 available to meet buffers (as a percentage of risk exposure amount)	8.5%		8.5%	
Non relevant in EU regulation	0		0	
Non relevant in EU regulation	-		-	
Non relevant in EU regulation	-		-	-
Amounts below the thresholds for deduction (before risk weighting)	-	-	-	-
Direct and indirect holdings of the capital of financial sector entities where the institution does not have a significant investment in those entities (amount below 10% threshold and net of eligible short positions)	492,244	-	298,771	-
Direct and indirect holdings by the institution of the CET1 of financial sector entities where the institution has a significant investment in those entities (amount below 10% threshold and net of eligible short positions)	110,959	-	105,362	-
Empty set in the EU	-	-	-	-
Deferred tax assets arising from temporary differences (amount below 10% threshold, net of related tax liability where the conditions in Article 38 (3) are met)	99,747	-	74,380	-
Applicable caps on the inclusion of provisions in Tier 2		-		-
Credit risk adjustments included in T2 in respect of exposures subject to standardised approach (prior to application of the cap)	-	-	-	-
Cap on inclusion of credit risk adjustments in T2 under standardised approach	669,304	-	597,595	-
Credit risk adjustments included in T2 in respect of exposures subject to the internal ratings-based approach (prior to application of the cap)		-		-
Cap for inclusion of credit risk adjustments in T2 under the internal-ratings based approach	-	-	-	-
Capital instruments subject to phase-out arrangements (only applicable between 1 January 2013 and 1 January 2022)	-	-	-	-
Current cap on CET1 instruments subject to phase-out arrangements	-	-	-	-
Amount excluded from CET1 due to cap (excess over cap after redemptions and maturities)	-	-	-	-
Current cap on AT1 instruments subject to phase-out arrangements	-	-	-	-
Amount excluded from AT1 due to cap (excess over cap after redemptions and maturities)	-	-	-	-
Current cap on T2 instruments subject to phase-out arrangements	-	-	-	-
Amount excluded from T2 due to cap (excess over cap after redemptions and maturities)	-	-	-	-

Super subordinated securities

La Banque Postale			
Issuer			
ISIN	FR0011659184	FR0010969410	FR0011855865
Law governing the instrument	French law	French law	French law
REGULATORY TREATMENT			
Transitory CRR regulations	Additional T1 equity	T2 equity with grandfathering	T2 equity
CRR rules after transition	Additional T1 equity	Not eligible	T2 equity
Level	Consolidated	Consolidated	Consolidated
Type of instruments	Additional CET1 (Art. 51-52 of the CRR)	Tier 2 subordinated securities (Art. 484)	Tier 2 subordinated securities (Art. 63)
Amount recognised in regulatory equity (in € thousands)	800,000	750,000	750,000
Nominal instrument value (in %)	100	100	100
Issue price (in %)	100	99.310	99.705
Redemption price (in %)		100	100
Accounting category	Liabilities at amortised cost	Liabilities at amortised cost	Liabilities at amortised cost
Date of initial issue	13.12.2013	30.11.2010	23.04.2014
Term	Perpetual	fixed-term	fixed-term
Initial maturity	no maturity date	30.11.2020	23.04.2026
Buyback option subject to the prior approval of the supervisory authority	Yes	Yes	Yes
Optional date for exercising the option	13.12.2019 Option in the case of a regulatory, fiscal or accounting event or methods for calculating the solvency ratio	Option in the case of fiscal event	23.04.2021 Option in the case of regulatory or fiscal events
Subsequent dates	Every 5 years from 13.12.2019		
COUPONS/DIVIDENDS			
Dividend/coupon	Fixed	Fixed	Fixed
Coupon rate	8.00%	4.375%	2.75%
Existence of a mechanism to suspend dividend/coupon payments	yes	no	no
Full discretion, partial discretion or mandatory (in terms of schedule)	Full discretion	Mandatory	Mandatory
Full discretion, partial discretion or mandatory (in terms of amount)	Full discretion	Mandatory	Mandatory
Existence of a step-up mechanism or another buyback incentive	no	no	no
Cumulative or non cumulative	no	no	no
Convertible or non-convertible	yes	yes	no
If convertible, conversion trigger	decided by the holder or falling 7% under the solvency ratio specified for CET1		
If fully or partially convertible	Always fully converted	Always fully converted	
If convertible, conversion rate	Based on the issuer's equity at the time of conversion	At par	
If convertible, conversion mandatory or optional	Mandatory based on trigger criterion and the choice of the holder	Optional at the choice of the issuer	
If convertible, type of instrument converted to	T1 equity	Other	
If convertible, issuer of the instrument converted to	Holder	Holder	
Characteristics in terms of capital reduction	no	no	
Existence of non-compliant characteristics	no	no	no

Issuer	La Banque Postale			
ISIN	FR0013054913	FR0013181898	FR0013207354	FR0013181898
Law governing the instrument	French law	French law	French law	French law
REGULATORY TREATMENT				
Transitory CRR regulations	T2 equity	T2 equity	T2 equity	T2 equity
CRR rules after transition	T2 equity	T2 equity	T2 equity	T2 equity
Level	Consolidated	Consolidated	Consolidated	Consolidated
Type of instruments	Tier 2 subordinated securities (Art. 63)	Tier 2 subordinated securities (Art. 63)	Tier 2 subordinated securities (Art. 63)	Tier 2 subordinated securities (Art. 63)
Amount recognised in regulatory equity (in € thousands)	750,000	500,000	100,000	150,000
Nominal instrument value (in %)	100	100	100	100
Issue price (in %)	99,623	99.97	99,593	101,510
Redemption price (in %)	100	100	100	100
Accounting category	Liabilities at amortised cost	Liabilities at amortised cost	Liabilities at amortised cost	Liabilities at amortised cost
Date of initial issue	19.11.2015	09.06.2016	05.10.2016	16.01.2017
Term	fixed-term	fixed-term	fixed-term	fixed-term
Initial maturity	19.11.2027	09.06.2028	05.10.2028	09.06.2028
Buyback option subject to the prior approval of the supervisory authority	Yes	No	No	No
Optional date for exercising the option	19.11.2022 Option in the case of regulatory or fiscal events			
Subsequent dates				
COUPONS/DIVIDENDS				
Dividend/coupon	Fixed	Fixed	Fixed	Fixed
Coupon rate	2.75%	3.00%	2.25%	3.00%
Existence of a mechanism to suspend dividend/coupon payments	no	no	no	no
Full discretion, partial discretion or mandatory (in terms of schedule)	Mandatory	Mandatory	Mandatory	Mandatory
Full discretion, partial discretion or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory	Mandatory
Existence of a step-up mechanism or another buyback incentive	no	no	no	no
Cumulative or non cumulative	no	no	no	no
Convertible or non-convertible	no	no	no	no
If convertible, conversion trigger				
If fully or partially convertible				
If convertible, conversion rate				
If convertible, conversion mandatory or optional				
If convertible, type of instrument converted to				
If convertible, issuer of the instrument converted to				
Characteristics in terms of capital reduction				
Existence of non-compliant characteristics	no	no	no	no

4.2.3 Summary of risk-weighted assets

Current methodology used to calculate capital requirements

The standardised approach is used to quantify the capital requirements under Pillar I for:

- credit risk;
- market risk;
- operational risks.

The general approach is employed, with use of the regulatory settings to apply risk reduction techniques.

For operational risk, the equity requirements are independent of the level of loss under this risk. The amount is calculated based on the NBI generated by each banking activity (including the bank's main activity of Retail Banking). Each business activity is weighted (from 12% to 18% for the most risky), in compliance with the provisions of the third part of the CRR.

Risk-weighted assets increased by 9.5% over 2017, or €5,652 million for a growth of gross exposure of €7,926 million.

Credit risk-weighted assets (including exposures in respect of counterparty risk) increased by €5,677 million.

Risk-weighted assets for market risk were stable (-€63 million).

Operational risk-weighted assets were also stable (€37 million).

Overview of risk-weighted assets (RWA)

(€ millions)	RWA		Minimum capital requirements
	T	T-1	T
Credit risk (excluding RCC)	51,996	50,400	4,160
Of which standardised approach	51,996	50,400	4,160
Of which internal ratings-based approach (RBA)	-	-	-
Of which advanced internal rating-based approach (AIRB)	-	-	-
Of which equities using the NI approach as part of the simple weighting method or the internal models approach (IMA)	-	-	-
RCC	1,864	1,779	149
Of which using the market price method	1,549	1,498	124
Of which the initial exposure method	-	-	-
Of which the standardised approach	-	-	-
Of which the internal models method (IMM)	-	-	-
Of which amount of exposure to the risk for contributions to the default fund of a central counterparty	4	2	0
Of which CVA (credit valuation adjustment)	311	279	25
Settlement risk	-	-	-
Bank portfolio securitisation exposures (after cap)	3	4	0
Of which the NI approach	-	-	-
Of which the NI Supervisory Formula Method (SFM)	-	-	-
Of which the internal ratings-based approach (IRB)	-	-	-
Of which the standardised approach	3	4	0
Market risk	2,005	2,836	160
Of which the standardised approach	2,005	2,836	160
Of which IMA	-	-	-
Large exposures	-	-	-
Operational risk	9,318	9,280	745
Of which the basic indicator approach	-	-	-
Of which the standardised approach	9,318	9,280	745
Of which the advanced measurement approach	-	-	-
Amounts below the deduction thresholds (subject to a risk weighting of 250%)	221	183	18
Floor adjustment	-	-	-
TOTAL	65,186	64,299	5,215

Overview of risk-weighted assets by asset classes

(€ millions)	2017		2016
	Risk weighted assets	Capital requirements	Risk weighted assets
Credit risk (excluding counterparty risk)	51,999	4,160	46,604
Of which the standardised approach	51,999	4,160	46,604
► Central governments and central banks	65	5	84
► Regional governments and local authorities	1,282	103	1,062
► Public sector entities	117	9	49
► Multilateral development banks	-	-	-
► International organisations	-	-	-
► Institutions	9,038	723	3,348
► Corporate	11,797	944	7,710
► Retail	11,180	894	18,032
► Secured by mortgages on immovable property	7,306	584	6,303
► Exposures in default	754	60	831
► Items associated with particularly high risk	1,207	97	924
► Covered bonds	342	27	350
► Receivables with institutions and corporates with a short-term credit assessment	-	-	-
► Undertakings for collective investment	340	27	335
► Equities	5,581	447	5,111
► Other items	2,986	239	2,426
► Securitisations	3	0	39
Of which the internal model-based approach	-	-	-
Counterparty risk	1,864	149	1,581
Of which the standardised approach	1,549	124	1,243
Of which at market price	-	-	-
Of which initial risk	-	-	-
Of which internal models approach	-	-	-
Of which amount for contribution to the failure of a central counterparty	4	0	1
Including CVA	311	25	337
Market risk	2,005	160	2,068
Operational risk	9,318	745	9,280
TOTAL	65,186	5,215	59,534

4.2.4 Regulatory framework for solvency and capital adequacy requirements

The regulatory framework defining prudential requirements has been developed and strengthened since the last financial crisis in 2008, by gradually introducing new solvency, leverage and liquidity constraints, and by defining a European framework for managing bank crises including a plan for the recovery and restitution of banking establishments.

As a result, from 1 January 2014, La Banque Postale is subject to the prudential regulations defined by the Basel III agreements: directive 2013/36/EU and regulation (EU) No. 575/2013 of the European Parliament and of the Council. The legislation provided for a phased-in introduction in order to allow institutions to manage transition in a gradual way.

In terms of solvency, three levels of equity are defined:

- Common Equity Tier 1 capital (CET1);

- Tier 1 capital comprising Common Equity Tier 1 capital and Additional Tier 1 capital (AT1);
- total capital comprising Tier 1 capital and Tier 2 capital.

In total, three levels of solvency ratio are calculated:

- common Tier 1 capital ratio or CET1 ratio;
- the Tier 1 equity ratio or T1 ratio;
- the total capital ratio.

These ratios are calculated by comparing each category of Group capital to the total assets weighted by Group risks. They are subject to a «phased» evaluation, that is to say, they incorporate the transition measures provided by the legal texts in terms of applying the prudential filters and deductions.

4.2.4.1 Prudential equity capital requirement

Following the “Supervisory Review and Evaluation Process” (SREP) carried out by the ECB, the latter notified La Banque Postale of its consolidated phased-in CET1 capital requirement applicable as of 1 January 2018. It was 8.3125% and included:

- ▶ 4.5% of CET1;
- ▶ a 1.75% requirement in additional own funds for Pillar 2 (“Pillar 2 Requirements”);
- ▶ 1.875% for a capital conservation buffer (CCB);
- ▶ and 0.1875% for a buffer for Other Systemically Important Institutions (O-SIIs).

This requirement does not include the recommendation for additional own funds under Pillar 2 (P2G) which is not provided.

Based on this notification, the overall capital requirement (OCR) is 11.8125% (8.3125 plus 1.5% for AT1 and 2% for Tier 2).

The fully-loaded CET1 and total capital requirements are, respectively, 9% and 12.5% taking in account the increase in the CCB (2.5% vs 1.875%) and the O-SII (0.25% vs 0.1875%) buffers.

A countercyclical buffer can also be added. This is determined on a country basis and aims to combat excessive credit growth. It applied to countries that have an exposure to these countries. In France, the HCSF (High Council for Financial Stability) is responsible for setting it each year. On 29 December 2017, the HCSF kept the rate that applies in France at 0%. At 31 December 2017, and taking into account its international exposure, LBP is not required to calculate a countercyclical buffer.

Composition of CET1 capital requirements for Pillar II at 1 January 2018

	2018	2019 vision with «fully loaded» buffers
CET1	4.5%	4.5%
Pillar II «requirement»	1.75%	1.75%
Total CET1 (including P2R-2017 SREP)	6.25%	6.25%
Capital conservation buffer	1.875%	2.5%
O-SIB buffer	0.1875%	0.25%
TOTAL CET1 (INCLUDING 2017 SREP AND BUFFERS)	8.3125%	9%

The total capital requirement amounts to 11.8125%, including 1.5% in respect of AT1 and 2% in respect of T2.

4.2.4.2 Solvency ratios

The Common Equity Tier One (CET1) solvency ratio for 2017 was down 60 basis points, primarily as a result of a sustained increase in RWA of 9.5%. This was almost entirely due to the increase in RWA credits for the development of La Banque Postale’s Corporate customer segment

as the increase was not entirely offset by the increase in CET1 funds. The change in the latter, which increased by 4.3% is primarily related to the consolidation of results, and the change in handling of gains and losses on AFS securities resulting from the temporary provisions of Regulation No. 575/2013 and changes in the value of puts on minority interests. The latter two effects virtually offset each other.

(€ millions)	2017	2016
Common Equity Tier 1 capital ratio	13.1%	13.7%
Tier 1 capital ratio	14.3%	15.1%
Total capital ratio	18.2%	19.4%

4.2.4.3 Leverage ratio

The excessive leverage effect is defined in Regulation CRR No. 575/2013 as «the risk of vulnerability of an establishment resulting from leverage or potential leverage which may require corrective measures which were not planned by the Company, including the emergency sale of assets which can result in losses or a re-valuation of remaining assets».

The leverage ratio is currently calculated for information purposes and will become a regulatory threshold with the coming into effect of the «CCR» draft law which is currently under discussion by the European Institutions.

The leverage ratio compares Tier 1 capital (the numerator) to an exposure (the denominator) composed of balance sheet items and off-balance sheet items without a risk approach.

By a decision of the European Central Bank of 24 August 2016, La Banque Postale has been authorised to gradually and linearly reduce its CDC exposure on the 10% surplus of the base through the end of 2022. From 1 January 2023, La Banque Postale must incorporate the total amount of its CDC exposure in the measurement

of its total exposure. At 31 December 2017, this resulted in a 56% reduction of the centralisation of the calculation base of exposure to the leverage ratio.

The leverage ratio was 4.5% at 31 December, slightly down compared to December 2016 as a result of an increase in capital slightly inferior to the increase in exposure related, primarily, to the gradual reintegration of the CDC exposure in application of the ECB decision.

The exclusion of 100% of the CDC centralisation would result in a leverage ratio of 5.3%. La Banque Postale carefully follows the potential changes in the leverage ratio calculation method which could result from the revisions in Regulation CRR No. 575/2013 currently under discussion in the Parliament.

Summary comparison of accounting assets and the measurement of exposure for leverage ratio purposes

(€ million)	31.12.2017 (with delegated act and application of temporary provisions)	31.12.2016 (with delegated act and application of temporary provisions)
TOTAL OF THE IFRS BALANCE SHEET ACCORDING TO PUBLISHED FINANCIAL STATEMENTS	231,477	229,577
Adjustments for investments in banks, insurance companies or financial and commercial entities which are consolidated for accounting purposes but which are outside the regulatory consolidation scope	(2,643)	(2,569)
Adjustments for fiduciary assets recognised on the balance sheet pursuant to the applicable accounting framework but excluded from the leverage ratio exposure measurement	-	-
Adjustments for financial derivatives	695	568
Adjustments for temporary sales of shares (repurchase transactions and other types of guaranteed loans)	2,882	2,507
Adjustments for off-balance sheet items	10,336	10,354
Other adjustments	(36,980)	(44,341)
EXPOSURE TO THE LEVERAGE RATIO	205,766	196,096

Breakdown of exposures

(€ millions)	31.12.2017 (with delegated act and application of temporary provisions)	31.12.2016 (with delegated act and application of temporary provisions)
Balance sheet item exposure	-	-
► Balance sheet items (excluding derivatives and temporary disposals of securities)	187,551	177,740
► Assets deducted for the purposes of calculating Tier 1 capital	(1,119)	(1,261)
TOTAL BALANCE SHEET EXPOSURES	186,432	176,479
Derivative exposures	-	-
► Replacement cost associated with all derivatives transactions (net of the eligible cash variation margin)	1,738	2,213
► Add-on amounts for PFE (Potential Future Exposure) associated with all derivatives transactions	695	568
► Gross amount including collateral provided on derivatives where deducted from the balance sheet assets pursuant to the applicable accounting basis	(1,195)	(1,311)
► Deductions of receivable assets for the cash variation margin provided in derivatives transactions	(444)	(917)
► Adjusted effective notional amount of credit derivatives sold	-	-
► Offsetting of adjusted effective notionals and add-on deductions for credit derivatives sold	-	-
TOTAL DERIVATIVES EXPOSURES	794	554
Exposure to securities financing transactions (SFT)	-	-
► Gross SFT assets (without offsetting), after adjusting for transactions recognised as sales	5,246	6,203
► Offset amounts of cash payables and cash receivables of gross SFT assets	-	-
► Counterparty credit risk for SFT assets	2,882	2,507
► Exposure to transactions where the bank operates as an agent	-	-
TOTAL SFT EXPOSURES	8,127	8,709
Other off-balance sheet exposures	-	-
► Off-balance sheet exposures at gross notional amount	23,150	23,057
► Adjustments for conversion to credit equivalent amounts	(12,815)	(12,702)
OFF-BALANCE SHEET ITEMS	10,336	10,354
Capital and total exposure	-	-
► Tier 1 capital	9,322	8,971
► Total exposure	205,766	196,096
Leverage ratio	-	-
► Basel III leverage ratio	4.5%	4.6%

Breakdown of balance sheet exposures

(€ millions)	31.12.2017 (with delegated act and application of temporary provisions)	31.12.2016 (with delegated act and application of temporary provisions)
Total balance sheet exposures (except for derivatives, SFT and exempted exposures), including:	187,551	177,740
Trading book exposures	7,001	11,749
Banking book exposures, including:	180,550	165,991
Covered bonds	3,420	3,488
Exposures treated as sovereign	73,779	67,981
Exposure to regional governments, multilateral development banks, international organisations and public sector entities not treated as sovereign borrowers	4,036	3,756
Institutions	7,839	8,970
Exposures secured by mortgages on real estate	17,879	16,105
Retail exposures	49,552	46,494
Corporate	13,016	8,936
Exposures in default	874	810
Other exposures (particularly shares, securitisations and other non-credit obligation assets)	10,253	9,451

4.2.5 Capital steering and internal capital adequacy**Objectives**

La Banque Postale has implemented a planning system for its capital at the level of the Group, in order to ensure that the following objectives are met:

- ▶ assess the Group's current solvency position with regard to its risk profile and risk appetite as well as regulatory requirements with regard to solvency, i.e. requirements for CET1 and Total Capital, requirements regarding the composition of prudential capital categories (Common Equity Tier 1, additional Tier 1 capital, Tier 2 capital), the various capital buffers, requirements regarding the leverage ratio and requirements regarding Large Exposures ratios;
- ▶ anticipate future needs through medium-term forecasts incorporating internal and external constraints, investment opportunities and any regulatory changes that may impact the Bank's capital structure such as, for example, the future coming into effect of the MREL ratio (Minimum Requirement for Eligible Liabilities) resulting from the provisions of Directive (EU) No. 59/2014 BRRD (Bank Recovery and Resolution Directive) and the changes to it currently under discussion in the European Parliament or the changes related to the finalising by the Basel Committee of the Basel III reform;
- ▶ assess capital adequacy and ensure adequate equity allocation between business lines and subsidiaries as regards risk/return management;
- ▶ define the measures required in order to attain the capital objectives set by management in connection with major shareholders.

Governance

This planning approach is fully integrated into the strategic piloting of the Bank; it is implemented by the Finance Department and relies on the following two processes:

The **Capital Management Committee**, which was set up in 2014 and meets three to four times a year under the chairmanship of the Chairman of the Executive Board. The committee is responsible for:

- ▶ defining capital management objectives (target ratios, etc.);
- ▶ examining the trajectory of equity and defining the measures required to achieve the capital objectives set by management (securities issuances, capital increase requests, arbitrages/business line orientation, etc.);
- ▶ validating the preventive actions linked to the Bank's financial strength suggested by the Stress Test Operational Committee, based on the results of internal stress tests and those carried out at the request of regulators;
- ▶ examining the recommendations of regulatory and supervisory authorities and their impact on La Banque Postale's capital position and the methods used.

The **RWA Committee**, which was created in 2014 and is chaired by the Finance Department and the Group Risk Department. Its mission is, on the one hand, to validate the assumptions of projected weightings and prudential outstandings; and, on the other, to monitor the development of the business line RWAs in comparison with the RWAs estimated in the budget.

With regards to Pillar II, La Banque Postale also has a process to assess the adequacy of its internal capital (Internal Capital Adequacy Assessment Process (ICAAP)), which is built upon the following elements:

- ▶ medium-term planning of regulatory capital requirements, with a focus on the Group's growth objective and future regulatory changes. This planning exercise is performed once a year and assesses the Group's financial strength in both a central economic (capital planning) and stressed scenario (annual financial strength stress test);
- ▶ assessing capital requirements induced by the principal risks of the Group based on the Bank's internal methods.

Description of the processes used to manage the risk of excessive leverage

The risk of excessive leverage may lead to corrective measures being taken that were not planned in the financial and capital business plan, in particular the sale of assets.

The leverage ratio forms part of the risk management system with the introduction of an internal threshold in the Risk Management Policy

(PMR). It is monitored by the Group Risk Management Committee and the Capital Management Committee.

With regards to the credit business activity financed by its retail customer resources, the risk of excessive leverage is controlled and monitored as part of the ICAAP (Internal Capital Adequacy Assessment Process) in accordance with the objectives and governance described above which includes projections for the leverage ratio as part of La Banque Postale's strategic planning for its activities and balance sheet.

4.2.6 Indicators of global systemic importance

In accordance with the recommendations of the national supervisor, La Banque Postale sets out below its ten indicators relating to financial institutions of systemic importance to the global economy. These

data were established according to the Basel Committee's specific instructions on banking control and cannot be directly compared to other information published by La Banque Postale.

(€ millions)		31.12.2017
Size	Total assets	228,834
Importance (including substitutability/financial system infrastructure)	Value of domestic payment transactions	3,852,672
	Private sector deposits from depositors in the EU	174,693
	Private sector loans to recipients in the EU	80,092
	Value of OTC derivatives (notional)	75,403
Complexity/cross-border activity	Cross-jurisdictional liabilities	5,105
	Cross-jurisdictional claims	20,661
	Intra financial system liabilities	20,592
Interconnectedness	Intra financial system assets	20,847
	Debt securities outstanding	15,267

4.3 GOVERNANCE AND RISK MANAGEMENT SYSTEM

La Banque Postale's internal control system covers all risks and involves the Group Risk Department, the Compliance and Permanent Control Division (which reports to the Risk Department as of 1 January 2018) and the Internal Audit Department.

Further information about this system, which includes its stakeholders and their missions together with its governance, is set out in chapter 3 "Internal Control" of the Registration Document.

4.3.1 Regulatory framework

La Banque Postale is subject to European and French «prudential» regulations applicable to credit institutions and financial conglomerates. The Bank is supervised directly by the ECB as an important institution as meant by Regulation (EU) No. 1024/2013 «SSM» and the framework «SSM» Regulation and applies its instructions and recommendations. It also applies the instructions, notices and recommendations of the ACPR applicable to it.

The internal control system implemented by the Bank is governed by:

- ▶ the decree of 3 November 2014 on the internal control of firms in the banking sector, payment services and investment services subject to the supervision of the ACPR;
- ▶ the decree of 3 November 2014 on prudential supervision on a consolidated basis;
- ▶ the decree of 3 November 2014 on the additional monitoring of financial conglomerates.

The prudential regulations have incorporated the concept of the «systemic importance» of institutions for the economy in order to regulate the level of obligations to be met in relation to governance, the risk management and control system and capital requirements. As a result, the Group is also identified as an «other» systemically important establishment.

As a parent company, credit institution, financing Company, electronic money Company, management Company, investment Company and insurance Company, La Banque Postale ensures that each of its subsidiaries and regulated equity interests comply with the industry regulations applicable to them.

It is the responsibility of the supervisory body to review the Bank's governance system and evaluate its efficiency, and to approve and regularly review the strategies governing the taking, management,

monitoring and reduction of identified and potential risks. The decree on internal control specifies this role in the definition of the supervision guidelines and policy, approval of the overall limits (in particular liquidity), in establishing a strategy for business continuity and remuneration policy.

This role implies that members of the Supervisory Board have the necessary knowledge, skills and expertise to understand and monitor the Group's strategy and appetite for risk. The powers of the supervisor have been strengthened with respect to the appointment and assessment of the competences of the directors and executives.

Application of the CRD IV directive and CRR regulation

La Banque Postale applies the prudential requirements defined in the CRR regulation:

- ▶ capital instrument eligibility rules;
- ▶ capital requirement levels (including systemic risk buffers);
- ▶ capital requirement calculation rules for credit risk, counterparty risk, operational risk and market risk;
- ▶ large exposure thresholds and calculation rules;
- ▶ short-term liquidity ratio (LCR) thresholds and calculation rules;
- ▶ the production of information on the NSFR and leverage ratios for regulators for the calibration of future indicators and associated thresholds;
- ▶ reports to the competent authorities and the publication of information for the markets.

4.3.2 Operational implementation of the regulatory framework

The regulatory framework consists of internal rules, approved by the Bank's Executive Board:

- ▶ the Risk Management Policy with respect to risk management presented to the Supervisory Board's Risk Committee in January 2017, which contains, among other items, the formal Risk Appetite Framework (RAF), see below;
- ▶ the Risk Charter (approved in October 2015);
- ▶ the Permanent Control Charter of La Banque Postale Group (update presented to the Supervisory Board's Risk Committee in January 2017);
- ▶ the Periodic Control Charter of La Banque Postale Group (update presented to the Supervisory Board's Risk Committee in January 2017).

The Bank completes its risk management systems by product type and client as approvals are received (financing of companies and of local public sector entities, etc.) or on internal approval for the launch of new business activities and products. The risk management systems are validated by the Group Risk Management Committee and define the rules for risk taking and management as well as the operational thresholds.

The Bank bases its actions on documented methodologies (standards and methodology guidelines) which are approved by the Standards Validation Committee. It also monitors on a consistent basis to ensure updating based on changes in the Bank's activities and the regulatory framework.

4.3.3 Internal control organisation, governance and actors

The Executive Board sets the fundamental principles (strategic guidelines, values, appetite for risk, governance), which are approved by the Supervisory Board, and on the basis of which each business line sets its priorities and the associated risk management system under the supervision of the Group Risk Department (GRD). These fundamental principles are reflected in the Risk Management Policy (RMP).

The risk management system has three lines of defence that constitute the general internal control framework:

- ▶ a first line within the operational business lines responsible for applying the risk management procedures which they will have defined in advance in concert with the GRD;
- ▶ a second line consisting of the GRD, which ensures the existence of an appropriate, uniform framework to define and improve the risk management procedures;
- ▶ a third line via internal controls designed to give an independent idea of the effectiveness of the risk management system in place.

The internal control system of La Banque Postale includes permanent and periodic controls. This is based on:

- ▶ the risk management policy and the Risk Charter established by the GRD;
- ▶ the Permanent Control charter created by the La Banque Postale Group's Compliance and Permanent Control Department and the GRD;
- ▶ The Periodic Control Charter of the La Banque Postale Group drawn up by Internal Audit Department.

It establishes a series of principles for risk management and control that must be implemented by each management entity in charge of processes. Each department defines, formalises and maintains up to date its procedures and the control points required to ensure the quality of their operations:

- ▶ the responsibility of all the players, which constitutes the basis of effective management and control procedures. All employees must ensure that the work that they perform and the transactions that they handle are executed in accordance with the expected procedures and the level of quality required. They must be in a position to account for the effective management of the work that they perform and the inherent risks of that work at any time. This principle relies on close involvement of managers;
- ▶ proportionality of controls to the level of risk. Each manager shall analyse their own risk and implement an appropriate control framework in order to achieve a reasonable level of confidence that their business activities are properly managed, and that they comply with the Company's internal and external standards and regulations;
- ▶ thoroughness of the scope of the control procedures. It covers all the activities of La Banque Postale. These procedures apply to all kinds of risk, to all those employed directly by the Bank and all those acting in its name and on its behalf, and to all the entities of La Banque Postale Group. The internal control procedures also extend to essential services that have been outsourced.

The Risk Appetite Framework

The Risk Appetite Framework, and the different levels of target requirements related to it, were developed by La Banque Postale in order to bring together all of its legal and regulatory requirements, as well as international and European best practice.

The purpose of the Risk Appetite Framework defined by La Banque Postale is to ensure that at all times, the Bank has the level of capital necessary to cover all of its risks and to ensure the development of its business activities. The framework also aims to ensure compliance with the Bank's different regulatory requirements.

In this way, the Bank's risk appetite policy is based on a number of key indicators (solvency, liquidity, risk concentration, global rate risks, excessive leverage risks, trading portfolio risk) for which overall internal limits are set in addition to regulatory requirements.

These limits are then set on a more operational basis at a business level.

The limits are also prepared in accordance with the recovery and resolution plan and they are reviewed and approved on at least an annual basis and with each major change in the Group's current regulatory framework.

Risk Management Policy

The Group Risk Management Policy defines La Banque Postale Group's risk management policy. It is part of an approach that is broader than the narrower field of monitoring risks, and plays a full part in the strategic and financial oversight of La Banque Postale.

It aims to determine the degree of risk tolerance that is compatible with the Bank's strategy, level of capital and financial business plan.

As part of this, its role is to define:

- ▶ the level of acceptable risk for the La Banque Postale Group;
- ▶ the general rules for measuring and framing risk-taking;
- ▶ the general arrangements for supervising and monitoring risks.

Furthermore, the risk measurement carried out in La Banque Postale Group feeds a significant number of internal processes which allow the organisation's performance to be monitored and, where applicable, adjustments to be made.

This inclusion of a risk-based approach at a more "strategic" oversight level, is notably demonstrated by the annual budget process which is overseen operationally by the Group Finance Department, since it reviews the equity allocations to each business activity and the income projected from each one feeds into the Bank's Capital Planning system. The performance reviews for each business activity also include a "risk" dimension; for example, indicators like cost of risk or complying with limits are key components for assessing this performance.

4.3.4 Risk monitoring, measurement and control systems

Risk management is defined as the identification and management of risks.

The identification of risks involves determining risk factors, *i.e.* explanations of sources of potential or known loss that the Group might incur (insolvency of borrowers, fraudulent behaviour, volatility of market prices, macroeconomic deterioration, changes to the legal and regulatory framework, *etc.*). This identification is based on the creation of risk maps according to different types of risk (credit and counterparty risk, securitisation risk, concentration risk, market risk including basis risks, operational risk including model-related risks, liquidity risk, excessive leverage risks, systematic risks, residual risk, *etc.*) for each Group business and entity. This mapping also provides a consolidated vision of internal and external risk factors that the Group is facing or might face.

Risk measurement involves the preparation of methods to measure the different types of risk that the Group faces.

Risk management allows risks to be hedged, in particular by using appropriate provision and insurance policies or by using credit derivatives or securitisations. It also involves putting in place risk management procedures, processes and tools within the Risk department.

In addition to management by type of risk, activity and entity, analysis, measurement and monitoring are also performed in a cross-entity and forward looking manner:

- ▶ cross-entity: providing an overview of the Group's risk exposure including a consolidated vision;
- ▶ forward-looking: incorporating events which, if they occurred, could have consequences for business activities and the risks faced.

4.3.4.1 Cross-entity risk management systems

Cross-entity concepts and rules

In order to ensure consistency in decision-making, measurement, management and monitoring, the concept and rules that apply to all Group entities and business activities, particularly those in relation to so-called prudential regulation, are defined by the Group Risk Department and approved by the Standards Validation committee. The GRD is responsible for their dissemination and ensures their correct operational implementation.

Models

For its management needs and appropriate risk control, La Banque Postale Group employs a number of models based, in particular, internal data. As these tools are used for or assist with management decision-making, a dedicated system is in place to ensure that risk related to errors during their design, implementation or use is controlled.

The monitoring performed is the subject of a report to the Head of Group Risk, the Group Risk Management Committee and the *ad hoc* committees of the Supervisory Board.

Consolidated risk management

In order to provide information to the different bodies responsible for managing and monitoring the Group and to enable them to track its risk profile, compliance with risk appetite and with prudential

"risks" reporting obligations to the competent authorities (COREP, Large Exposures, International Liabilities, LCR, NSFR, ALMM, STE), the Group Risk Department brings together the resources and tools for creating, analysing, preparing and disseminating risk monitoring reports, particularly in the area of global limits. In addition to the limits which ensure that it complies with regulatory ratios, the Bank has set itself a number of thresholds to manage changes in its risk profile.

The monitoring of limits, expressed as a solvency ratio, within the "risk appetite framework" is performed by monitoring the RWA level and its distribution by risk type (market, credit and operational) and by business activity. This monitoring is carried out in the context of the RWA committee by the Group Risk Department and the Finance Department as well as the various Group departments/business activities.

Internal reports to the Risk function are also mainly produced in a centralised manner and use the same source systems as those used for regulatory declarations.

4.3.4.2 Forward-looking systems

Regulatory monitoring

Generally speaking, the Group has a monitoring system responsible for following the drafting of laws and regulations that could affect its business activity and/or its strategy when they enter into force. The objective is that, whatever the field of application (consumer protection, AML-FT, financial sector stability, accounting, *etc.*), the Bank anticipates impacts, takes appropriate measures and is able to fulfil its obligations in a timely manner.

In terms of the stability of the financial sector, the Group monitors consultations conducted by international authorities, which are primarily the Financial Stability Board (FSB) or the Basel committee ahead of their future transposition into EU law.

Impact analyses, in the area of capital requirements, risk concentration or liquidity are built into the Internal Capital Adequacy Assessment Process (ICAAP) including, in particular, the Bank's capital planning) and Internal Liquidity Adequacy Assessment Process (ILAAP) procedures, and those for risk management and information systems are taken into account in planning projects.

Stress tests

Within the Bank, stress tests are defined as a recurring process that makes it possible to analyse the Group's ability to resist a severe but plausible deterioration in the economic environment in which it operates.

Stress testing activities play a role in creating a joint Risk-Finance management system and are designed to be consistent with the Bank's risk appetite and strategy.

The objectives of the stress test approach contribute to defining and evaluating the following over time:

- ▶ the risk-taking strategy and policy through stress tests, the capital adequacy in the event of a deterioration in the macro-economic context (severe but plausible);
- ▶ the setting of limits and alert levels to provide a framework for risk-taking according to different areas of focus (type of risks, sectoral, individual, *etc.*);
- ▶ the ability to meet regulators' demands but also internal demands or those of Le Groupe La Poste.

The purpose of the stress test system is to cover two major categories of work:

- ▶ macro/global stresses (loss stress testing and financial strength stress testing). At this stage, the tests principally address the issue of the Bank's solvency. They are also designed to be enhanced by other kinds of Group stress tests (liquidity stress testing, reverse stress testing, etc.). The types of tests, methods and performance terms and conditions used in these internal and regulatory tests are similar to recent work, notably conducted in 2014 (ECB Comprehensive Assessment test) and 2016 (EBA stress test);
- ▶ specific and additional stress tests appropriate to each business activity/subsidiary (primarily, insurance/asset management/consumer loans) or by type of risk (credit/market/operational).

The stress test system benefits from a governance arrangement which enables its results to play an active role in the Bank's monitoring and risk management system. Thus, ultimately:

- ▶ the purpose of stress test activities is to provide information to the Supervisory Board's Risk Committee, which approves the framework for activities and, where appropriate, monitors that they are carried out correctly. It is informed of and verifies results, assumptions, methods and scenarios. It also makes decisions about implementing preventative and corrective actions that are required;
- ▶ the Executive Board's Group Risk Management Committee bears ultimate responsibility for implementing the system. It approves the assumptions, scenarios, methods and results, approves preventative and corrective actions to be implemented according to the results and, in particular, the limits and alert levels by type of risk/business activity;
- ▶ the Stress Test Operational committee, developed to respond to this type of activity, manages the operational implementation of the stress test programme; it verifies that it is performed correctly at each stage. It also ensures, as far as possible, that assumptions are consistent and coordinated across specific and global stress tests. Finally, it assesses the effectiveness of the programme and the system implemented and suggests preventative actions to the Group Risk Management Committee.

The incorporation of stress tests in the Bank's Capital Planning is also performed primarily by the Capital Management Committee where the results of financial strength stress tests may be presented before being sent to Le Groupe La Poste.

4.3.4.3 Credit risk systems

The retail credit risk management and corporate credit risk management departments are responsible for defining the credit risk management systems for financing and investment transactions based on the risk appetite. The main components of the system are:

- ▶ the rules for granting loans;
- ▶ scores, ratings, investigation and decision-making tools;
- ▶ delegation schemes;
- ▶ risk management rules;
- ▶ risk control, notably for delegations;
- ▶ risk monitoring;
- ▶ handling rules for inherent risk;
- ▶ declassification and provisioning rules.

These two departments have regional teams.

4.3.4.4 Financial risk system

The Financial Risk department within the Group Risk Department is responsible for managing financial risks which, for La Banque Postale, consist of:

- ▶ market risk, which reflect the potential impact of changes in the financial markets on the Bank's results or balance sheet. They include price risk, exchange risk and commodities risk;
- ▶ balance sheet risk, which reflects the impact of financial risks on the scope of the bank portfolio. They cover:
 - liquidity risk,
 - overall interest rate risk.

Financial risks cover the risks resulting from changes in the financial markets. La Banque Postale is notably sensitive to changes in the rate and debt markets. Changes in these two can impact the NBI of current and previous years, or the Group's balance sheet and, therefore, its solvency, immediately or at a future time.

Financial risk taking must be authorised by an Executive Board delegation or by an authority with this delegation. The delegation must be controlled and reported on. The amount of risk must be commensurate with the Group's capital.

La Banque Postale pays a great deal of attention to the operational security of financial transactions. The process for authorising new instruments and products is standardised.

Management of market risk

a) Strategies and process.

La Banque Postale manages market positions as part of the management of its balance sheet and, notably, of its liquidity surplus. The recent creation of the BFI entity will likely result in a redefinition of the strategy in 2018.

La Banque Postale manages its positions cautiously based on limits. The positions are taken, then managed by a special BFI entity: the Trading Room. It optimises revenue creation and manages the Bank's short-term liquidity. The limits framing its activities are based on methodologies developed by the DRG, and are described in paragraph 4.5.2.4 ("market risk measures") of the Registration Document.

In order to comply with the limits, operators implement hedging transactions whose effectiveness is verified in several ways:

1. An independent dedicated team, the Valuation and Performance Analysis Unit is responsible for implementing the valuation and risk calculation architecture. Its work is validated by the Risk department. It carries out daily assessments of risks and results;
2. A primary mission of this department is to ensure that market conditions enable the correct valuation of transactions;
3. Daily risk calculations are carried out. The risk factors defined (within the main asset classes: rates, credit spread, exchange and equity indexes) hedge and assess the risk of a spread between transactions and their hedges. The risk factors are extremely detailed both in terms of maturities and the rate curve information;
4. The VaR and control of the number of backtesting exceptions, provide an assurance that the risk indicators are, in fact, capturing all of the significant risk factors. There is a limited number of backtesting errors. They show that the risk factors used are sufficiently refined and detailed and that the basic risks (spread between a transaction and its hedge) are also correctly identified/

captured. This point ensures control of the quality and effectiveness of hedges⁽¹⁾ at all times;

5. The consistent tracking of significant day ones is another indicator of the quality of the results and risks processes.

These processes enable measurement of the effectiveness of financial hedges.

The governance of limits is organised around two main levels: The Group Risk Management Committee is responsible for granting them within the risk appetite framework approved by the Supervisory Board.

The Group Risk Department reports to the Group Risk Management Committee on changes in market risk and compliance with exposure limits on a monthly basis. An alert system has also been defined to manage and resolve any exceeded thresholds.

b) Organisation of the risk management function

These parts are explained in paragraphs:

- ▶ 4.5.2.1 Organisation and governance [of market risk]
- ▶ 4.5.2.3 Financial Risk department missions

c) Negotiability

In order to ensure the negotiability of assets managed under market risk, LBP relies on a list of authorised products which favours liquid instruments. Operators can only trade authorised instruments. The authorisation process for instrument types requires that La Banque Postale be in a position to value it.

The transactions carried out within the scope of market risks are based on very traditional instruments, which are among the most current ones in the financial markets:

- ▶ Bonds;
- ▶ Rate derivatives (all vanilla);
- ▶ UCITS ;
- ▶ Marginally, CDS (on index) as hedges;
- ▶ Transactions on listed markets (essentially rate/sovereign bond futures).

The characteristics of these positions are as follows:

- ▶ LBP does not have any exposure to “exotic” products. Its exposures to derivative instruments are vanilla and the valuation risk is low;
- ▶ With respect to credit assets, the vast majority of securities handled are investment grade, with a preponderance of securities from major groups.

LBP holds a very small number of illiquid UCITS in its market books. The maximum allocation is approved by the Group Risk Management Committee.

The Group Risk Department is responsible for supervising the application of the rules and for identifying and reporting any breaches.

Liquidity risk management

Strategies and processes implemented to manage liquidity risk

Liquidity is managed by the ALM committee. Its missions are as follows:

The Asset and Liability Management Committee (ALM committee), the main decision-making body for matters concerning the bank's financial management, is an Executive Board committee chaired by the Chief Financial Officer.

The ALM committee is responsible for:

- ▶ approving outflow agreements pertaining to Retail Banking balance sheet components;
- ▶ ensuring consistency across the Group's financial and commercial policies;
- ▶ planning and developing a framework for the progression of future net interest margins;
- ▶ managing financial risk arising from the balance sheet of La Banque Postale and its subsidiaries, in particular, liquidity risk, interest rate risk and exchange rate risk;
- ▶ carrying out a periodic review of the thresholds underpinning tactical and structural liquidity management;
- ▶ ensuring the diversification of the bank's financing sources and defining the issue schedule;
- ▶ periodically examining customer deposit models and formally validating the associated outflow assumptions;
- ▶ deciding on financial asset placement and hedging policies to be implemented;
- ▶ carrying out a review of all powers delegated to the operational teams;
- ▶ organising the terms and conditions for financing strategic acquisitions;
- ▶ organising the refinancing of Group subsidiaries.

Organisation of the risk management function

The unit responsible for supervising and managing overall interest rate risk is the Balance Sheet Risk department (DRF-RB) of the Financial Risk department, which reports to the LBP Group Risk Department.

The department has several goals:

- ▶ to provide periodic monitoring of the indicators used to manage LBP's overall consolidated interest rate risk and that of its banking subsidiaries;
- ▶ to carry out audits of the calculation processes for the various indicators (static and dynamic) and control the integrity of exposure calculations;
- ▶ To audit the methodologies used.

With respect to the latter topic, the Financial Risk department is part of the global governance for model validation implemented in the LBP Group and managed by the Group Risk Department: The Model Validation committee.

Liquidity risk declaration and assessment systems

The liquidity risk declaration systems cover the entire prudential Group. Some of the thresholds and indicators used in management refer to corporate units of the Group, notably La Banque Postale, the most important Group entity;

Adequacy of the systems in terms of liquidity risk management

Liquidity risk management is based on:

- ▶ A guidelines and thresholds system;
- ▶ A financing plan which assures the ex ante equilibrium of the Bank's funding position;
- ▶ A buffer of high-quality unencumbered liquid securities (and its equivalent in central bank deposits);
- ▶ The bodies of the Bank (Supervisory Board Risk Committee) approved the entire liquidity assessment system and its adequacy (ILAAP) in April 2017.

(1) LBP's VaR takes into account a simplified version of rate-specific risk and uses a “sector/rating” method for credit risk spreads.

La Banque Postale's overall liquidity risk profile

LBP has a strong liquidity position based on:

- ▶ an amount of client deposits greater than that of client loans. LBP has a significant and diversified deposit base (in excess of €160 billion) consisting primarily of deposits from a French retail clientèle;
- ▶ a significant HQLA portfolio (High-Quality Liquid Assets). La Banque Postale has traditionally invested a significant portion of its balance sheet in sovereign securities due to its historical activity as a deposit taker. The customer credit business only began to develop starting in 2006. This portfolio contains high-quality liquid assets exclusively, in accordance with the Delegated Regulation, which allows the short-term liquidity ratio to rise above 135%, to an average of about 150%;
- ▶ a forward-looking financing plan updated on a regular basis;
- ▶ proven access to capital market financing.

In addition to its normal short-term market financing policy based on a certificate of deposit programme, repo activities and an EMTN programme, LBP has used two secured financing vehicles since 2013, which are:

- ▶ LBP Home-Loan SFH, a subsidiary of LBP SA, used to finance residential loans; and
- ▶ CAFFIL, used to finance loans to the Local Public Sector.

These “secured financing” vehicles provide a reliable source of financing, as demonstrated by the fact that the secure financing market continued to operate during the 2011 banking crisis.

4.3.4.5 Operational risk system

The operational risk management procedures rely upon the principal of the empowerment of the businesses in the identification, measurement, hedging and monitoring of their risks.

The management framework for operational risk is set by the Group Risk Department which guarantees its implementation and compliance throughout La Banque Postale Group's business lines and the entities working in the name of and on behalf of the Bank, via the Operational Risk unit.

With respect to the risk of non-compliance, the definition and implementation of risk management systems is the responsibility of the Compliance Department.

The Group Risk Department is responsible for ensuring that the risks are included in a map which is updated annually at least and are classified based on a dual probability/impact axis in order to determine their criticality (low, moderate, major or critical). The Risk Committee approves the impact measurement thresholds and the frequency of critical and major risks for La Banque Postale Group.

4.4 CREDIT AND COUNTERPARTY RISK**4.4.1 Organisation of credit and counterparty risk management**

The Group Risk Department reports to the Group Risk Management Committee on the drafting and implementation of measures for monitoring and managing credit risks relating to retail and legal entities in accordance with the decree of 3 November 2014.

In terms of risk monitoring procedures, the Group Risk Department defines the monthly credit risk monitoring indicators approved by the Group Risk Management Committee.

The Group Risk Department hedges credit risk, i.e., the risk incurred in the event that a counterparty defaults or counterparties considered as a single beneficiary within the meaning of (EU) Regulation No. 575/2013 of the European Parliament and Council relating to the prudential requirements applicable to credit institutions and investment firms (or CRR), in particular, Articles 387 to 403 and 493.

Organisation and management of credit risk

The Risk Management Policy and the Risk Charter are implemented via the management of risks by product type and client which takes into account the changes at La Banque Postale as it grows. The provisions, approved by the Group Risk Management Committee, set the rules and operational thresholds for the granting, management and supervision of risks.

The development of the customer base and of products goes hand in hand with the transformation of the sales network. The Bank continues to expand credit granting delegations to the sales teams. The principle entails that commitment decisions be taken by the bank's commercial line with a review by the risk function when the risk level or financing amount involved requires.

The risk unit was completely deployed regionally, and has regionalised dashboards to monitor and pilot its risk by staying close to the ground.

These dashboards are also used at the centralised level and contribute to the fluidity of exchanges between the centralised functions and the regional functions of the risk unit.

Revision of internal rating models to comply with the new Basel III requirements

La Banque Postale launched an “Internal Models” programme in 2013 to support its growth via more sophisticated credit risk management. Since 2015, the Group Risk Department has incorporated in its credit risks framework and monitoring system the Basel ratings and parameters (PD, LGD, ELBE) arising from the internal models for the LBP SAM Individuals scope. Taking account of these models in approval and delegation chain processes, and every day management has brought about a significant improvement in risk management for private customers. The Group Risk Department relied on this model development and management expertise to prepare for the implementation of IFRS 9 on 1 January 2018.

4.4.2 Presentation of La Banque Postale's credit risk

4.4.2.1 Retail customer credit risk

In terms of financing to individuals, the activities conducted by La Banque Postale Group that give rise to a credit risk include:

- ▶ home loans to individuals and to high-net-worth Limited Property Investment Partnerships (SCIs) (La Banque Postale and its subsidiaries BPE and SOFIAP);
- ▶ overdrafts and means of payment granted to individuals (La Banque Postale and its subsidiary BPE);
- ▶ consumer loans (La Banque Postale Financement, BPE, as well as La Banque Postale for former loans to employees of Le Groupe La Poste);
- ▶ personal micro-loans (La Banque Postale);

The retail customer credit business activity is highly concentrated on France (98.2% of outstandings);

the home loan portfolios ("whole loan portfolios") granted to borrowers residing in the Netherlands as part of two transactions concluded in 2017, one with Aegon Hypotheken BV (commitment to acquire €1.5 billion in several successive waves), and the other with Cooperatieve Rabobank NV (acquisition of €600 million in a single transaction). These portfolios were acquired via "pass through" and "bankruptcy remote" special purpose vehicles (SPV). The credit risk is supported by La Banque Postale, whereas management and recovery of the loans is assured by the servicers. All of the acquired loans finance the primary residence of the borrowers. They are guaranteed by a first mortgage on the property financed. In addition, a portion of the loans acquired benefit from a NHG guarantee (Nationale Hypotheken Garantie, a state guarantee system which covers 90% of the final loss). The acquired outstandings amounted to €1.2 billion at the end of December 2017.

Risk management

For retail credit, the Group Risk Department is responsible on behalf of La Banque Postale Group for:

- ▶ defining the rules and tools governing risk-taking and the management of inherent risks;
- ▶ monitoring the effective application of these rules and the proper functioning of the tools at the Group level, i.e. La Banque Postale SA, La Banque Postale Financement, BPE and SOFIAP.

With respect to the Dutch mortgage portfolios, La Banque Postale's Risk department first intervenes upstream in the analysis of the risks related to the planned transaction (credit risk on the portfolio to be acquired, assessment of the servicer risk, financial risk), then during the life of the transaction (tracking of missed payments or defaults on the portfolios, determination of the amounts of provisions and of RWAs).

It develops the rules for granting and committing to loans.

The Retail Credit Risk department directs La Banque Postale's Group Retail Credit committee which is the highest delegating body within La Banque Postale Group with respect to granting loans to individuals.

For management of inherent risk, the Group Risk Department is responsible for the rules on covering risk, working with the Legal department, the Operations department and the departments governing provisions for accounts receivable in relation to the Accounts department.

Beyond the scope of its own authority, it has these "rules of the game" approved by the Group Risk Management Committee (chaired by a member of the Executive Board) or by the Executive Board, if requested by the Chairman of the Group Risk Management Committee.

After validation, the Retail Credit Risk department ensures implementation and monitors the proper application of these rules throughout the loan process.

As part of the development of the risk function, the LBPF, BPE and SOFIAP Heads of Risk now report to the Head of Group Risk.

In compliance with applicable regulations, the Retail Credit Risk department guarantees implementation of audit and risk monitoring procedures and coordinates all necessary related steps.

Monitoring is provided by the Group Risk Management Committee over the consolidated scope with specific monitoring of each of the subsidiaries.

4.4.2.2 Legal entity credit risk

La Banque Postale's business activities generate credit risk on two levels:

- ▶ within the scope of its commercial economy-financing activities, in September 2011, La Banque Postale obtained authorisation from the French Prudential Control and Resolution Authority to offer financing to legal entities ("PMOs"). The primary customer segments are currently the following, based on the product lines proposed: companies, local authorities, public health institutions, social housing associations and non-profit associations;
- ▶ within the scope of its financial market transactions, La Banque Postale must also manage credit risk stemming from interbank cash transactions such as deposits, loans and buybacks (with respect to financial institutions) and issuer risk on debt securities (from Companies, Financial Institutions, Sovereign States, Local Authorities) in the trading room.

These risks come in the form of balance sheet and off-balance sheet commitments (guarantees, collateral, investments of La Banque Postale's insurance subsidiaries, un-drawn proportion of loans granted, etc.).

La Banque Postale has retained a prudent approach and a gradual ramp-up of the business.

The range of finance products offered by La Banque Postale to companies currently includes: overdraft and credit facilities, advances on subsidies, equipment leasing, medium-term credit, bilateral and syndicated loans for Major Clients, private placements, property leasing, factoring and financing of assets and projects.

For professional customers, La Banque Postale has been offering a range of financing comprising overdraft facilities, equipment leasing, factoring and medium-term credit since January 2016. This business activity is being developed in the context of investigation processes within the framework of decision-aiding tools in order to ensure that risk is appropriately managed.

La Banque Postale has been providing a financing offering to customers from the Local Social Economy (social housing associations, mutual insurance companies, local and regional authorities, public health institutions, management associations, local non-profit associations) since 2012, including credit lines, medium- and long-term financing.

In the context of the proposed development of the specialised credit business activity which aims to develop the range of financing and increase the volume of activity, La Banque Postale Group is strengthening the risk teams of La Banque Postale Crédit Entreprises (LBPCE) by creating a dedicated Risk department which plays a role in equipment leasing approvals and factoring. La Banque Postale Crédit Entreprise remains entirely integrated within La Banque Postale's system both in terms of La Banque Postale's investigation and approval process and in terms of the management and monitoring of risks.

La Banque Postale has been deploying an offer of simple derivatives without margin call, intended for Large Corporates, Institutions, Financial Institutions of the housing-financing type (Housing Financing Company) or mortgage-credit type (Mortgage Credit Company), Large Local Authorities, Public Health Institutions, Social Housing Associations.

Approval process

La Banque Postale's granting and commitment rules are drawn up in accordance with Articles 111 and 112 of the decree of 3 November 2014 on the internal control of companies in the banking, payment and investment services sector subject to the French Prudential Control and Resolution Authority.

The investigation and decision-making process is based on eligibility conditions, analysis and determination of a financial score specific to each segment, and in some cases, on the collection of guarantees.

The aim of the risk management system selected for legal entities financing is to detect risks at every level in each of the business processes (granting, management, recovery and provisioning). It is based on the following elements:

- ▶ delegation schemes suited to each segment;
- ▶ individual and overall risk monitoring.

For micro-businesses, SMEs, and non-profit associations, the general research and decision-making process is supplemented by a specific banking behaviour score.

According to the market, transactions of a unit amount greater than or equal to €10 million or €20 million must be approved by a member of the Executive Board.

Investment limits

In investment matters, third parties are systematically rated and allocated an individual limit which is intended to limit the total commitment. Where applicable, these individual limits are supplemented by so-called Group limits, which govern exposure to a Group of third parties that are considered as a single beneficiary within the meaning of article 4-39 of (EU) Regulation No. 575/2013 of the European Parliament and of the Council.

La Banque Postale's scope of activities is generally limited to investment-grade counterparties and issuers, *i.e.* those whose internal rating is at least BBB-.

The minimum rating threshold is lowered to BB-⁽¹⁾ in certain specific cases:

- ▶ as part of the development of the financing activity for Major Corporate Customers on condition that the Bank maintain a consistent commercial relationship;
- ▶ high-yield trading room Corporate investments within a restrictive intervention system both in terms of the amounts and the concentration thresholds.

Before it can carry out repurchases or forward financial instruments with financial institutions other than the Housing Financing Companies (SFH) or Mortgage Credit Companies (SCF) exposing it to a counterparty risk, La Banque Postale must first ensure that there is an ISDA or FBF framework agreement with clauses concerning collateral. The quantitative aspects entered into such agreements (instruments concerned, threshold and frequency of margin calls, exemptions, etc.) are subject to approval by the Group Risk Department.

The individual limits are supplemented with a set of limits aimed at limiting the risk of concentration on groups of counterparties classified according to their geographic area, business segment, type of activity and internal rating. These diversification limits can be reviewed monthly by the Group Risk Management Committee. This committee also validates a list of authorised countries and a list of authorised currencies.

In the event of significant deterioration of the risk, the issuers and counterparties concerned are subject to strict monitoring by the Watch List committee which reports to the Group Risk Management Committee.

(1) According to the EBA correlation tables, BB- corresponds to quality level 4 (BB- to BB+ at Fitch and S&P; Ba1 to Ba3 at Moody's; 4 to 5 at Coface; 4 to 5+ at FIBEN);

4.4.3 Exposure to credit risk

Net total and average exposure amounts

(€ millions)	Net book value of exposures at the end of the financial period	Average net exposures during the financial period
Central governments and central banks	-	-
Institutions	-	-
Corporate	-	-
► Of which: Specialised financing	-	-
► Of which: SME	-	-
Retail	-	-
► Exposures secured by real estate	-	-
► SME	-	-
► Non-SME	-	-
► Eligible renewable exposures	-	-
► Other - retail customers	-	-
► SME	-	-
► Non-SME	-	-
Equities	-	-
Total NI approach	-	-
Central governments and central banks	119,886	122,993
Regional governments and local authorities	8,234	7,080
Public sector entities	518	439
Multilateral development banks	182	181
International organisations	0	181
Institutions	49,308	48,338
Corporate	17,375	16,187
► Of which: SME	1,981	2,122
Retail	22,572	22,906
► Of which: SME	993	860
Exposures secured by mortgages on real estate	18,031	16,743
► Of which: SME	1,462	1,393
Exposures in default	640	627
Items with particularly high risk	835	741
Covered bonds	3,427	3,487
Receivables from institutions and companies subject to one of the companies subject to a short-term credit evaluation	-	25
Securities of undertakings for collective investment	370	394
Equities exposure	5,098	4,900
Other exposures	4,364	3,938
Total standardised approach	250,839	249,159
TOTAL	250,839	249,159

The data presented in the table above include the effects of Basel substitution in the classification of exposure: therefore, the outstandings guaranteed by banking sector bodies or companies included in the latter categories.

At 31.12.2017, La Banque Postale's portfolio consisted of nearly 48% of exposure to central governments and central banks, by including the credit exposure of the Bank to the Caisse des dépôts et consignations as a result of the Centralisation of "regulated" savings (Livret A, LDD...).

The other main exposures in the portfolio consist essentially of La Banque Postale's traditional core business with €40.6 billion in direct exposure to retail customers (mortgage loan exposure, consumer credit, current accounts) plus the banking portfolio (€49.3 billion) which consists primarily of the Bank's home loans guaranteed by Crédit Logement.

In addition, the strong increase in the Bank's outstandings in the Corporate portfolio and the Regional and Local Authorities portfolio (respectively, €17.3 billion and €8.2 billion) should also be noted. They reflect the Bank's growth with this type of clientèle following the start-up in 2011 of the Local Authorities Financing business.

Geographical breakdown of exposure

(€ millions)	Net book value													Total
	euro zone	Country France	Country Germany	Country Other	Americas	Country United States	Country Canada	Country Other	Asia	Japan	Country Other	Other regions		
Central governments and central banks	-	-	-	-	-	-	-	-	-	-	-	-	-	
Institutions	-	-	-	-	-	-	-	-	-	-	-	-	-	
Corporate	-	-	-	-	-	-	-	-	-	-	-	-	-	
Retail	-	-	-	-	-	-	-	-	-	-	-	-	-	
Equities	-	-	-	-	-	-	-	-	-	-	-	-	-	
Total NI approach	-	-	-	-	-	-	-	-	-	-	-	-	-	
Central governments and central banks	118,887	110,491	3,841	4,555	679	-	679	-	320	320	-	0	119 886	
Regional governments and local authorities	8,172	8,172	-	-	40	-	40	-	-	-	-	23	8 234	
Public sector entities	518	518	-	-	-	-	-	-	-	-	-	0	518	
Multilateral development banks	-	-	-	-	-	-	-	-	-	-	-	182	182	
International organisations	0	0	-	-	-	-	-	-	-	-	-	0	0	
Institutions	47,064	44,409	133	2,521	1,739	1,719	21	(0)	0	0	-	504	49,308	
Corporate	17,139	16,348	211	580	163	162	1	-	1	-	1	72	17 375	
Retail	22,550	22,463	1	87	2	2	0	-	0	0	-	19	22,572	
Retail Exposures secured by mortgages on real estate	18,023	17,493	1	529	3	3	0	(0)	-	-	-	4	18 031	
Exposures in default	637	634	-	4	0	0	-	-	-	-	-	3	640	
Items with particularly high risk	835	752	-	83	-	-	-	-	-	-	-	-	835	
Covered bonds	2,430	1,887	36	507	624	-	624	-	-	-	-	373	3 427	
Receivables from institutions and companies being evaluated for short-term credit	-	-	-	-	-	-	-	-	-	-	-	-	-	
Securities of undertakings for collective investment	370	198	-	172	-	-	-	-	-	-	-	-	370	
Equities exposure	5,098	4,983	-	115	-	-	-	-	-	-	-	-	5 098	
Other exposures	4,364	4,364	-	-	-	-	-	-	-	-	-	-	4 364	
Total standardised approach	246,086	232,712	4,222	9,153	3,250	1,886	1,364	(0)	321	321	1	1 181	250 839	
TOTAL	246,086	232,712	4,222	9,153	3,250	1,886	1,364	(0)	321	321	1	1,181	250,839	

Exposure concentration by type of industry or counterparty

	TOTAL
Central governments and central banks	-
Institutions	-
Corporate	-
Retail	-
Equities	-
Total NI approach	-
Central governments and central banks	113,877
Regional governments and local authorities	6,963
Public sector entities	518
Multilateral development banks	182
International organisations	0
Institutions	0
Corporate	44
Retail	0
mortgage on a property	-
Exposures in default	31
Items with particularly high risk	-
Covered bonds	-
Receivables from institutions and companies being evaluated for short-term credit	-
Securities of undertakings for collective investment	-
Equities exposure	237
Other exposures	0
Total standardised approach	121,852
TOTAL	121,852
Public and related authorities	-
Aeronautics and defence	-
Agriculture	-
Food and beverages	-
Insurance	-
Automotive	-
Other industries	-
Other services	-
Other financial services	-
Current consumer goods (non-food)	-
Construction and public works/Construction materials	-
Chemistry	-
Cosmetics, personal care and other household products	-
Distribution	-
Energy	-
Real estate	-
Infrastructure	-
IT & Technology	-
Luxury	-
Media and communication	-
Retail	-
Commodities	-
Health care, social and education	-
Telecommunications	-
Tourism, hotels, restaurants, leisure	-
Transport and Logistics	-
Utilities	-
TOTAL	119,886

At 31.12.2017, La Banque Postale's credit portfolio remained very concentrated on the French domestic market (nearly 93% of its exposure) due to the nature of its historical core business (financing of retail customers in France).

La Banque Postale's international exposure was concentrated in the euro zone (5.4% of exposure for €13.4 billion), primarily attributable to its holding of sovereign debt, banking securities and securities of major European companies.

With respect to the sector allocation of the Corporate exposure, at 31.12.2017, La Banque Postale's portfolio was well diversified, beyond the concentrations inherent to its traditional core business.

The composition of La Banque Postale's Corporate portfolio reflects its recent history in financing this type of clientèle:

- ▶ with a substantial share of the financing in the property sector tied to the (relative) age of the Bank's property leasing and mortgage loan activities (launched in 2011);
- ▶ with another substantial share in the Transport sector (9.7% exposure), a reflection of the development of the Bank's Asset and Project Financing and equipment leasing businesses;
- ▶ and lastly, a significant weight in sectors which include the largest French institutionals: Utilities (4.3%), Construction (2.8%), Retail (6%), etc.

Exposure maturities

(€ millions)	Net Exposure Value					Total
	on request	>= 1 year	>1 year >= 5 years	>5 years	No maturity stated	
Central governments and central banks	-	-	-	-	-	-
Institutions	-	-	-	-	-	-
Corporate	-	-	-	-	-	-
Retail	-	-	-	-	-	-
Equities	-	-	-	-	-	-
Total NI approach	-	-	-	-	-	-
Central governments and central banks	81,512	3,239	15,467	17,216	2,453	119,886
Regional governments and local authorities	402	1,957	923	4,950	3	8,234
Public sector entities	48	50	58	361	1	518
Multilateral development banks	-	-	182	-	-	182
International organisations	-	-	-	0	-	0
Institutions	324	608	5,935	42,036	405	49,308
Corporate	910	2,712	4,971	8,443	340	17,375
Retail	24	323	4,260	17,622	343	22,572
Mortgage on a property	3	61	1,314	16,654	-	18,031
Exposures in default	2	12	63	546	16	640
Items with particularly high risk	-	-	31	804	1	835
Covered bonds	95	480	2,788	64	-	3,427
Receivables from institutions and companies being evaluated for short-term credit	-	-	-	-	-	-
Securities of undertakings for collective investment	-	-	-	370	-	370
Equities exposure	-	5	4,315	626	152	5,098
Other exposures	0	0	0	3,393	970	4,364
Total standardised approach	83,320	9,446	40,306	113 083	4,684	250,839
TOTAL	83,320	9,446	40,306	113,083	4,684	250,839

At 31.12.2017, the distribution of La Banque Postale's exposure based on residual maturity reflected its historical financing of retail customers and the collection of regulated savings centralised with

the Caisse des dépôts et consignations. As a result 68% of the Bank's exposure to central governments and banks is considered to be "on request".

4.4.4 Credit risk-weighted assets

Standardised approach

Exposure categories (€ millions)	Weighting																	Of which not rated
	0%	2%	4%	10%	20%	35%	50%	70%	75%	100%	150%	250%	370%	1250%	Other	Deducted	TOTAL	
Central governments and central banks	119,032	-	-	-	320	-	-	-	-	1	-	-	-	-	-	-	119 353	-
Regional governments and local authorities	-	-	-	-	6,453	-	-	-	-	-	-	-	-	-	-	-	6 453	-
Public sector entities	-	-	-	-	428	-	38	-	-	13	-	-	-	-	-	-	479	-
Multilateral development banks	182	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	182	-
International organisations	0	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	0	-
Institutions	167	-	-	-	33,639	-	4,664	-	-	1	-	-	-	0	-	-	38,472	-
Corporate	-	-	-	-	1,821	-	5,336	-	-	7,941	596	-	-	-	-	-	15 693	-
Retail	-	-	-	-	-	-	-	-	15,124	-	-	-	-	-	-	-	15,124	-
Exposures secured by mortgages on real estate	-	-	-	-	-	14,850	1,924	-	-	1,204	-	-	-	-	-	-	17 978	-
Exposures in default	-	-	-	-	-	-	-	-	-	338	277	-	-	-	-	-	615	-
Exposures with particularly high risk	-	-	-	-	-	-	-	-	-	-	804	-	-	-	-	-	804	-
Covered bonds	-	-	-	3,420	-	-	-	-	-	-	-	-	-	-	-	-	3 420	-
Institutions and companies being evaluated for short-term credit	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Securities of undertakings for collective investment	-	-	-	-	-	-	-	-	-	340	-	-	-	-	-	-	340	-
Equities	-	-	-	-	-	-	-	-	-	4,521	-	424	-	-	-	-	4 945	-
Other items	901	-	-	-	-	-	-	-	-	2,986	-	-	-	-	-	-	3 887	-
TOTAL	120,282	-	-	3,420	42,661	14,850	11,963	-	15,124	17,345	1,677	424	-	0	-	-	- 227,745	-

4.4.5 Exposures in default, renegotiated exposures and adjustments for credit risk

Age of exposures outstanding

(€ millions)	Gross book values					
	<=30 Days	> 30 days <= 60 days	> 60 days <= 90 days	> 90 days <= 180 days	> 180 days <= 1 year	> 1 year
Loans	1,437	137	91	127	133	215
Debt securities outstanding	-	-	-	-	-	-
Total exposure	1,437	137	91	127	133	215

Non-performing and renegotiated exposures

(€ millions)	Gross book value of performing and non-performing exposures							Cumulative amount of depreciation, amortisation, provisions and negative adjustments to fair value tied to credit risk				Sureties and financial guarantees received	
	Including performing, but outstanding > 30 days and <= 90 days	Renegotiated performing	Non-performing					On performing exposures		On non-performing exposures		On non-performing exposures	Of which renegotiated exposures
			Of which defaulted	Of which impaired	Of which renegotiated	Of which renegotiated	Of which renegotiated	Of which renegotiated					
Debt securities outstanding	23,150	0	0	0	0	0	0	0	0	0	0	0	0
Loans and advances	169,026	178	76	1,426	1,426	1,426	303	(44)	(2)	(560)	(104)	590	146
Off-balance sheet exposures	32,556	95	0	47	46	46	0	0	0	0	0	0	0

Change in the balance of adjustments for general and specific credit risks

	Cumulative amount of adjustments for specific credit risk	Cumulative amount of adjustments for general credit risk
Initial balance	(471)	(45)
Increases due to amounts provisioned for probable losses on loans during the financial year	(231)	(20)
Decreases due to amounts reversed for probable losses on loans during the financial year	136	21
Decreases in the inventory of adjustments for credit risks	-	-
Transfers between adjustments for credit risks	-	-
Business combinations including acquisitions and disposals of subsidiaries	-	-
Other adjustments	5	0
Closing balance	(560)	(44)

4.4.6 Credit risk mitigation techniques

4.4.6.1 Credit risk mitigation system

La Banque Postale minimises its credit risk as soon as possible. To do so, in addition to the quality of the file and of the counterparty which are essential to decision-making, the Bank seeks guarantees to limit its losses in the event the counterparty defaults.

For this purpose, the Bank has a database of guarantee types, standards and rules governing the selection of the guarantors it will accept.

The Bank relies on two dedicated committees: a guarantor committee for retail credit risk and the TARC committee for the other segments. The two committees decide on the eligibility of the guarantees taken by the Bank and monitor them.

To mitigate home loan risk:

The general principle is that any financing must be fully covered by a guarantee, which provides an adequate level of cover that complies with the Group Risk Management Policy, namely:

- ▶ a first (or equivalent) mortgage security: moneylender's privilege, conventional mortgage, mortgage pledge granted by a third party as guarantee of a borrower's debt;

- ▶ pledge of financial products (life insurance policies, securities accounts, REIT units) in compliance with the loan amount covered by the pledged savings, as specified in the general terms and conditions for granting loans, depending on the type of investments pledged (equity, bonds, monetary, etc.);
- ▶ guarantee provided by a body authorised and pre-approved by La Banque Postale's Guarantor Referencing committee.

By way of exception to the preceding principles, some small home improvement loans are granted with no guarantee.

Bridging loans can be granted without or with lesser guarantees, if the sale agreement or the promise of sale for the asset that is the subject of the loan has been signed, and the conditions precedent favouring the buyer of the asset have been lifted. In such a case, the bank can take a simple pledge of mortgaged assets (PAH) on the asset to be sold.

If the quality of the file so justifies, the bank may grant a non-guaranteed loan, provided that all the non-guaranteed loans granted to the same customer together do not exceed the limit fixed by the terms and conditions for granting loans.

If the quality of the file so justifies, La Banque Postale may accept a guarantee from an individual as the principal guarantee, within the limits fixed by the terms and conditions for granting loans.

The realisation value of home loan security rights is subject to a quarterly review based on updated notarised indices.

The institutions/collateral that La Banque Postale uses are:

	Agency Code	Long Term Rating	Short Term Rating	Credit quality level
Crédit logement	MOODY'S	Aa3		1
Fonds de cohésion sociale (FGAS)		NR	NR	NR
CNP Assurances	Standard and Poor's	A		2
Régie Autonome des Transports Parisiens	MOODY'S	Aa1		1
	Standard and Poor's	AA+		1
SNCF Mobilités	MOODY'S	Aa3	P-1	1
	Standard and Poor's	AA-	A-1+	1

To mitigate consumer credit risk:

Consumer loans are granted without guarantees or collateral.

Risk mitigation technique for commercial banking activities in the commercial banking market for legal entities

In the area of guarantees and credit risk mitigation techniques for legal entities, La Banque Postale relies on the following principles:

- ▶ guarantees are "credit risk mitigators"; their role is to limit the bank's loss in the event of a borrower default (LGD);
- ▶ any commitment must be covered by a guarantee except where risk management systems provide otherwise;
- ▶ the guarantees taken must comply with the risk management systems: be legally approved and managed by operational entities;

- ▶ insofar as possible, security rights must be qualify in prudential terms. However, this is not compulsory. Some guarantees do not lead to a reduction in equity requirements but secure the transaction for the lender.

Risk mitigation technique for market activities

With respect to the Credit Risk mitigation technique for market activities, the LBP Group standard calls for the inclusion of collateral from repo transactions as securities when the following eligibility criteria are met:

- ▶ Sufficiently liquid asset included in the list of CRR assets (Article 194.3);
- ▶ Right to liquidate (Article 194.4);
- ▶ Match between the credit quality grade (CQS) and the assessments of the external organisation (Article 197.1).

While waiting for the EBA's publication on "sufficient liquidity criteria" and "price stability", the LBP Group has implemented internal eligibility criteria as a guarantee for repo transactions.

The TARC committee meets every quarter to approve the eligibility of collateral with respect to regulations and its implementation in

the LBP Group standard. The committee verifies that the eligibility criteria have been taken into account, notably, the minimum quality requirement for the collateral received as well as the liquidity and price stability criteria. The committee is chaired by the LBP Head of Group Risk.

4.4.6.2 Quantitative information on credit risk mitigation techniques

ARC techniques – Overview

(€ millions)	Non-guaranteed exposures - Book value	Guaranteed exposures - Book value	Exposures guaranteed with sureties	Exposures guaranteed with financial guarantees	Exposures guaranteed with credit derivatives
Total loans	127,333	37,557	16,864	196	-
Total debt securities	65,169	2,809	154	758	-
Total exposure	192,501	40,366	17,018	954	-
Of which defaulted	343	283	245	-	-

Standardised approach - Credit risk exposure and effect of ARC measures

(€ millions)	Pre-FCEC and ARC exposures		Post-FCEC and ARC exposures		RWA and RWA density	
	Balance sheet amount	Off-balance sheet amount	Balance sheet amount	Off-balance sheet amount	RWA	Density of RWA
Exposure categories						
Central governments and central banks	113,279	597	118,805	548	65	0.1%
Regional governments and local authorities	3,612	3,346	4,758	1,695	1,282	19.9%
Public sector entities	426	92	426	53	117	24.5%
Multilateral development banks	182	-	182	-	-	-
International organisations	-	0	-	0	-	-
Institutions	7,533	11,448	36,615	1,857	9,038	23.5%
Corporate	12,322	4,821	12,580	3,113	11,797	75.2%
Retail	49,552	10,578	13,545	1,579	11,180	73.9%
Exposures secured by mortgages on real estate	17,876	154	17,824	154	7,306	40.6%
Exposures in default	874	53	587	28	754	122.5%
Exposures with particularly high risk	510	325	480	325	1,207	150.0%
Covered bonds	3,427	-	3,420	-	342	10.0%
Institutions and companies being evaluated for short-term credit	-	-	-	-	-	-
Securities of undertakings for collective investment	363	7	332	7	340	100.0%
Equities	5,062	36	4,910	36	5,581	112.9%
Other items	4,364	-	3,887	-	2,986	76.8%
TOTAL	219,382	31,457	218,350	9,395	51,996	23.0%

At 31.12.2017, the average weighting of the La Banque Postale credit portfolio was 23% using the standardised method. This reflects the very moderate level of risk of its portfolio which consists primarily of sovereign exposures with a preferential weighting of 0% (CRR Article 114-4), bank exposures with good ratings and home loans backed by organisations such as Crédit Logement, which are also of high credit quality.

However, the increasing level of Corporate exposures should be noted given the Banks significant growth in this market. These exposures receive less favourable weightings using the standardised approach, at equal rating.

4.4.7 Use of external credit rating agencies

La Banque Postale calls on external ratings agencies in the context of its legal entity customer credit activities. Five external organisations were used by La Banque Postale in 2017 to determine the external ratings used for counterparties: Standard & Poor's, Moody's, Fitch, DBRS and FIBEN.

These five ratings agencies are consulted in order to determine the credit quality level that applies to each counterparty. In accordance

with current regulations, the level used to assess credit risk is the second most unfavourable rating in the event that there is no consensus between the five agencies.

The EBA's prudential correspondence tables are applied in order to determine the credit risk weightings using the standardised method of valuing risk-weighted assets.

4.4.8 Counterparty risk

4.4.8.1 Definition and management framework

Counterparty risk is the manifestation of credit risk during market transactions for forward financial instruments, repo transactions and/or settlements. It corresponds to the risk that the counterparty will not be able to make payment to the Bank of the discounted value of the flows of a Group of transactions when the Bank is a net beneficiary. These transactions include bilateral contracts, i.e. over-the-counter (OTC) and contracts cleared via a clearing house. Counterparty risk is generated by all derivative products and repo transactions held in LBP banking or trading portfolios.

The amount of the risk is affected by changes in market parameters impacting the potential future value of the transactions in question, even when the parameters are not linked to the counterparty's credit risk.

Exposure is assessed via the present value method.

This risk is always calculated when market transaction business lines enter into an International Swaps and Derivatives Association (ISDA) or French Banking Federation (FBF) derivatives contract with a third party. The scope of types of options, as currently defined, that generate a counterparty risk is as follows:

- ▶ Credit derivatives ;
- ▶ Forwards ;

- ▶ FX forwards ;
- ▶ Options ;
- ▶ Swaps.

This risk is limited by the fact that the transactions mainly take place with top-tier financial institutions and that they are systematically performed as part of agreements that make provision for clearing agreements with regular margin calls. Furthermore, most of the instruments involved are "plain vanilla" swaps.

Counterparty risk is also generated by all security loans/borrowings (or equivalent) held in LBP portfolios, namely:

- ▶ Repurchase and reverse repurchase agreements (repo and reverse repo transactions), which generally have underlying bonds, and may be covered by GMRA (Global Master Repurchase Agreement) or FBF (Fédération Bancaire Française) contracts. The principal leg (i.e. negotiated at the start of the transaction) of these agreements is the cash leg. The securities leg(s) therefore forms the collateral in these transactions.

The residual risks are subject to limits and are periodically monitored by the Corporate, Public Sector and Institutional Credit Risk department.

4.4.8.2 Exposure to counterparty risk

Analysis of exposure to counterparty credit risk by approach

(€ millions)	Notional amounts	Cost of replacement/ Current market value	Potential and future credit exposure	Effective anticipated positive exposure	Multiplier	Value exposed to risk post-ARC	RWA
Of which method using market prices	-	5,243	634	-	-	3,557	1,549
Initial exposure	-	-	-	-	-	-	-
Standardised approach	-	-	-	-	-	-	-
IMM (for derivatives and SFT)	-	-	-	-	-	-	-
Of which securities financing transactions	-	-	-	-	-	2,979	1,329
Of which derivatives and deferred settlement transactions	-	-	-	-	-	578	220
Of which resulting from a multiproduct clearing agreement	-	-	-	-	-	590	1,549
Simple method based on financial security rights (for SFTs)	-	-	-	-	-	-	-
General method based on financial security rights (for SFTs)	-	-	-	-	-	3,557	1,549
VaR for SFTs	-	-	-	-	-	-	-
TOTAL	-	-	-	-	-	-	1,549

Exposure to central counterparties

(€ millions)	Exposure categories	Weighting												TOTAL	Of which not rated
		0%	2%	4%	10%	20%	50%	70%	75%	100%	150%	Other			
Central governments and central banks	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Regional governments and local authorities	-	-	-	-	-	3	-	-	-	-	-	-	3	-	
Public sector entities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Multilateral development banks	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
International organisations	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Institutions	-	-	503	-	-	153	-	-	-	8	-	2,778	3,442	-	
Corporate	-	-	-	-	-	-	-	-	-	90	5	12	107	-	
Retail	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Institutions and companies being evaluated for short-term credit	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Other items	-	-	-	-	-	-	-	-	-	-	5	-	5	-	
TOTAL	-	-	503	-	-	157	-	-	-	98	10	2,789	3,557	-	

Central counterparties are grouped with institutions from a prudential standpoint. Exposure to central counterparties

Exposures to central counterparties

(€ millions)	Value exposed to post-ARC risk	RWA
Exposures to QCCP (total)	-	14
Exposure to transactions with qualifying central counterparties (to the exclusion of initial margins and contributions for default funds); of which	503	10
(i) OTC derivatives	127	3
(ii) listed derivatives	-	-
(iii) SFT	376	8
(iv) All clearing for which multiproduct clearing has been approved	127	3
Segregated initial margin	376	-
Non-segregated initial margin	-	-
Contributions to pre-funded default funds	32	4
Alternative calculation method of the capital requirement for exposure	-	-
Exposures to non-QCCP (total)	-	8
Exposure to transactions with non-qualifying central counterparties (to the exclusion of initial margins and contributions for default funds); of which	-	-
(i) OTC derivatives	-	-
(ii) Listed derivatives	8	8
(iii) SFT	-	-
(iv) All clearing in which multiproduct clearing has been approved	-	-
Segregated initial margin	-	-
Non-segregated initial margin	-	-
Contributions to pre-funded default funds	-	-
Contributions to non-funded default funds	-	-

Incidence of netting and guarantees held on exposed assets

(€ millions)	Positive gross fair value or net book value	Netting gain	Current credit exposure after netting	Guarantees held	Net credit exposures
Derivatives	1,738	367	1,533	918	615
SFT	2,309	1,324	3,928	917	3,011
Multiproduct netting	-	-	-	-	-
TOTAL	4,047	1,691	5,461	1,835	3,626

Composition of guarantees for exposures to counterparty credit risk

(€ millions)	Guarantees used in derivative contracts				Guarantees used in SFTs	
	Fair value of the guarantees received		Fair value of the guarantees given		Fair value of the guarantees received	Fair value of the guarantees given
	Segregated	Non-segregated	Segregated	Non-segregated		
...	807	-	433	-	21,459	19,646
TOTAL	807	-	433	-	21,459	19,646

Exposures to credit derivatives

(€ millions)	Hedges based on credit derivatives		Other credit derivatives
	Protection purchased	Protection sold	
Notional amounts			
Single-signature CDS	-	588	-
Indexed CDS	-	-	-
Exchange contracts on global returns	-	-	-
Credit options	-	-	-
Other credit derivatives	-	-	-
Total notional amounts	-	588	-
Fair values	-	3	-
Positive fair value (assets)	-	3	-
Negative fair value (liabilities)	-	-	-

4.4.9 Securitisation

La Banque Postale has €16 million in exposure on securitisation as defined in regulations.

An investment in securitisation units was made in 2012; the underlying assets are receivables outstanding from Italian pharmacies. The securitisation portfolio is of good quality: the tranche in which La Banque Postale invested in 2012 has received a top tier rating.

The other investments in this asset class were brought to La Banque Postale when it was created in 2006 and have been managed in run-off since then. These other investments account for a non-significant level of exposure.

Bank portfolio securitisation exposures

(€ millions)	Classic	Synthetic	Total
Total "Retail"	-	-	-
Of which residential property receivables	-	-	-
Of which credit cards	-	-	-
Of which other retail customer exposures	-	-	-
Of which re-securitisation	-	-	-
Total "Wholesale"	-	-	-
Of which loans to companies	-	-	-
Commercial property receivables	-	-	-
Property leasing and receivables	-	-	-
Other wholesale customer exposures	16	-	16
Resecuritisation	-	-	-

Bank portfolio securitisation exposures

(€ millions)	Value of exposures (by risk weighting band)					Value of exposures (by regulatory approach)				RWA (by regulatory approach)				Capital requirements after cap			
	< 20%	20-50%	50-100%	100%- 1250%	12.5	AFN NI	AP NI	AS/ APS	1,250%	AFN NI	AP NI	AS/ APS	1,250%	AF NI	AP NI	AS/ APS	1,250%
Total exposure	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
CLASSIC SECURITISATION	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which underlying retail	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which wholesale	-	16	0	-	-	-	-	16	-	-	-	3	-	-	-	0	-
Of which re-securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which senior	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which non-senior	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Synthetic securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which underlying retail	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which wholesale	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which re-securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which senior	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which non-senior	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

4.4.10 Large exposures

Regulations on large exposures are applied in accordance with the prudential requirements that apply to credit institutions and investment firms published in the official Journal of the European Union of 26 June 2013 (Directive 2013/36/EU and EU Regulation No. 575/2013 of the European Parliament and of the Council) and which entered into force on 1 January 2014. They stipulate that institutions must comply with the following limit: the total amount

of risks incurred in respect of a single beneficiary may not exceed 25% of the Group's net equity.

At 31 December 2017, La Banque Postale was in compliance with the requirements of the Large Exposures regulations as notified to it by the supervisory authorities.

4.5 FINANCIAL RISKS

Financial risks are presented in two parts in this section:

- ▶ on one hand, overall financial risks covering rate risk related to banking intermediation activities (banking portfolio), completed by liquidity risk and exchange risk for all of the business activities within the La Banque Postale's consolidated scope;
- ▶ and, on the other, the market risk related to trading positions, consisting of negotiable securities and derivative contracts with the intent to trade as well as exposure value risk measured at fair value through profit or loss or equity;

Market risk as meant by prudential regulations corresponds exclusively to transactions carried out with an intent to trade, *i.e.* to only a part of the market risk as defined in the second paragraph above. It notably contains a charge to capital relative to the exchange risk, although the methods for managing it are covered in general as part of the consolidated scope in 4.5.1.

4.5.1 Structural banking portfolio rate risk, liquidity and exchange risk

4.5.1.1 Governance

The Asset and Liability Management Committee (ALM Committee), the main decision-making body for matters concerning the bank's financial management, is an Executive Board committee chaired by the Chief Financial Officer.

The primary missions of the ALM committee are:

- ▶ presentation of the statement of ALM thresholds and limits to management;
- ▶ periodic review of client product modelling and the formal validation of the related assumptions after prior review by the Group Risk Department;
- ▶ annual review by the committee of the overall cash envelope allocated to BFI1;
- ▶ setting of the rate and liquidity strategy subject to compliance with the consistency of financial and commercial policies of the Group in terms of financing capacity and compliance with indicators;
- ▶ monitoring and management of the rate, liquidity and exchange risk indicators and anticipation of future changes given the directions of the commercial policy and observation of customer behaviour;
- ▶ validation of the internal disposal rate system;
- ▶ monitoring and management of the sensitivity of future margins;
- ▶ the setting of alert thresholds for rates, liquidity and exchange within the limits imposed by the risk appetite system proposed by the Group Risk Management Committee and validated by the management body;
- ▶ monitoring of the upgrading of the Bank's processes to conform to ILAAP and IRRBB requirements;
- ▶ decisions regarding financial asset investment and issue policies;
- ▶ decisions regarding rate risk hedging policies to be implemented.

These missions apply to the Banque Postale corporate entity as well as to its subsidiaries via their impact on the consolidated financial statements and the definition of their ALM policy.

The indicators of the main Group subsidiaries are presented to the Group ALM committee in detail at least once a year.

Whenever necessary, the Group ALM committee can request that the heads of financial management of the subsidiaries present their positions and ALM risk management policies.

Otherwise, the Group ALM committee may examine the rate and liquidity indicator dashboards of the subsidiaries every quarter at least and, if necessary, the investment policies of the entities.

The insurance subsidiaries are required to provide rate and liquidity reports which are consistent with those of the banking subsidiaries as well as occasional insight into their governance metrics.

Capital Operational Management Committee

This is a sub-committee of the ALM committee, responsible for the operational application of ALM committee decisions on the ALM banking book and on cash management.

It provides an interface between the ALM committee, the Cash Management unit and other authorised divisions, to proceed with interest rate hedging transactions and liquidity transactions.

Group Risk Management Committee

This committee validates risk management principles and thresholds. It validates the ALM risk management system, in particular the thresholds applicable to asset and liability management. It authorises and approves instruments used for financial management (ALM, trading room), through the New Instrument committee (a subcommittee of the Group Risk Steering Committee, see market risk).

Financial Risks Committees (CORALM and CORM)

These are sub-committees of the Group Risk Management Committee. The Group Risk Management Committee delegates the management of the technical aspects of the financial risk management system to them.

They are responsible for:

- ▶ reviewing banking book thresholds and exposures, specifically as part of the periodic reviews carried out by the Group Risk Management Committee;
- ▶ developing and implementing the methodologies for calculating exposures;
- ▶ approving action plans arising from reported anomalies.

Model Approval committee

This committee is in charge of the approval of La Banque Postale Group models, and includes ALM models in its mapping and in its roadmap.

Capital Management Committee

The Capital Management Committee supervises matters related to equity management, the risk-weighting of assets and related indicators. In this respect, it defines capital management objectives (ratio, targets, etc.):

- ▶ it examines the progression of equity;
- ▶ it defines action plans for shareholders' equity (securities issues, capital increase requests, arbitrage/business line direction, etc.) which can impact La Banque Postale's rate, liquidity and exchange risks.

4.5.1.2 Banking portfolio rate risk

Interest rate risk represents the likelihood of seeing the bank's future margins or economic value affected by interest rate fluctuations. Interest rate risk management includes managing the sensitivity of the net interest margin.

This risk is monitored using interest rate sensitivity indicators for future margins and for economic value and by modelling scenarios which allow the bank's capacity to withstand exogenous shocks to be assessed.

The interest rate movements foreseen affect both uncertain flows from financial products and the performance of Retail Banking operations, via the behavioural models, particularly implicit options available to customers.

The supervision of interest rate risk is the responsibility of the ALM committee which monitors indicators and forecasts their evolution based on commercial policy guidelines and observed customer behaviour. The rate risk indicators are also reviewed by the Group Risk Management Committee. Rate and liquidity risk reviews take place monthly.

Objectives

Rate risk is managed with dynamic procedures, based on the business plan, using interest rate derivatives (hedging) or by modulating commercial policy.

The balance sheet includes implicit and explicit options, giving non-linear results for economic value based on interest rates. In this context, ALM proposes a regular re-balancing of structural positions using market instruments.

Scope

As required by the Basel Committee, significant interest rate risks in the banking book are identified and measured. Some of these risks may give rise to a specific follow-up procedure.

Interest rate risk is measured by maturity and by type of index for products dependent on variable rates or rates subject to review (Euribor, Inflation, Eonia, etc.) whilst taking into account likely

outflow agreements, which are themselves dependent on market conditions. It encompasses several risk factors:

- ▶ fixing risk related to differences between new interest rates applied to assets and to liabilities (according to baseline rates and maturities);
- ▶ yield curve risk related to the setting risk: generated by yield curve changes (translation, rotation, etc.);
- ▶ base risks: related to the use of multiple baseline interest rates and causing risks due to the imperfect correlation of different reference rates;
- ▶ option-related risks (contractual or behavioural);
- ▶ risks caused by positions exposed to the real interest rate/inflation.

In this respect, the net interest margin variation is measured on the basis of several interest rate scenarios. The interest rate risk on the balance sheet is simulated with dynamic modelling, taking into account future variations of outstanding amounts (early repayments, new income, etc.) in accordance with behavioural models and the business plan.

Transactions involving bond portfolios under delegated management do not fall under overall interest rate risk as their risk is monitored and managed according to the individual threshold for each portfolio. These portfolios, specific to the trading room, are subject to market risk-related thresholds.

Assessing overall interest rate risk

Agreements and Models

The interest rate gap and interest rate sensitivity valuation methodologies are determined according to the type of assets (or liabilities) comprising the balance sheet:

- ▶ scheduled outstandings (contractual outflow, whether corrected with a model or not);
- ▶ non-scheduled outstandings (conventional outflow);
- ▶ off-balance sheet (liquidity commitments and guarantees).

Transactions with no contractual maturity date (including customer deposits and livret accounts) are included in accordance with the outflow agreements approved by the ALM committee and by the Group Risk Department.

Off-balance sheet transactions are included whilst taking into account drawdown assumptions.

The interest rate gap

For a given currency, the nominal interest rate gap is calculated for fixed rate transactions and for variable rate and reviewable rate transactions, up to the next rate review or rate fixing date. The nominal interest rate gap does not take into account interest rate drops.

The interest rate gap is the difference between the average amount of assets at fixed rate interest and the average amount of liabilities at fixed rate interest, including the effect of off-balance sheet items (swaps and amortised balances) by maturity.

Table: Interest Rate Gap by maturity (€ million) at 31 December 2017
(Negative amount = Surplus positions at fixed rate)

Average spot gaps (in € millions)	0 to 1 year	1 to 5 years	5 to 10 years	> 10 years
Uses	(91,135)	(60,825)	(28,546)	(4,158)
Resources	97,857	74,543	30,080	1,123

Off-balance sheet	(13,279)	(13,232)	(3,324)	(224)
Rate gap 31.12.2017	(6,557)	486	(1,790)	(3,259)
Rate gap 31.12.2016	(6,914)	874	1,775	(1,465)
Adjustments	357	(388)	(3,565)	(1,794)

The net increase in the long-term fixed rate transformation position over 2017 was primarily due to the growth in credit outstandings and a better assessment of early redemptions following a change in methodology (€3.6 billion between years 5 and 10 and €1.8 billion on maturities in excess of 10 years).

EVE (Economic Value of Equity) sensitivity

This corresponds to a negative change in value following an instantaneous shock of $\pm 2\%$, applied to the bank's regulatory capital. Regulatory capital is calculated using static modelling, based on the contractual maturities of balance sheet items.

Since January 2016, this calculation has been carried out in accordance with the EBA guidelines published in May 2015.

EVE sensitivity by level of parallel interest rate shock (€ millions) at 31 December 2017

	(200)	200
EVE sensitivity (in € millions) at 31.12.2017	(1448)	(1554)
EVE/Equity sensitivity at 31.12.2016	-12.22%	-13.12%
EVE sensitivity (in € millions) at 31.12.2016	(715)	(712)
EVE/Equity sensitivity at 31.12.2016	-6.74%	-6.71%

The increase in the long-term fixed rate transformation position was accompanied by an increase in the sensitivity of fixed-rate positions, also tied to the review of the model for early redemptions and renegotiations. The exposure to a shock of ± 200 bp is now -13.1% of equity. Note that the regulatory limit is -20% for a shock of ± 200 bps.

Net Interest Margin sensitivity (NIM)

Net interest margin sensitivity is defined as being the difference between NIM in a modified interest rate scenario and NIM in a baseline interest rate scenario.

NIM sensitivity is calculated for each interest rate scenario by taking into account the interest rate-dependent behavioural models, and by maintaining levels of new income and deposits from commercial business, and retaining the assumptions related to financial transactions applicable in the baseline scenario.

Only the behavioural models show a reaction to the shock scenario. Their impacts on amounts outstanding modify the level of short-term financing.

List of different interest rate scenarios featuring instantaneous shock, in relation to the baseline curve:

- ▶ parallel +1% (translation+1);
- ▶ parallel -1% (translation-1);
- ▶ shock of +0.5% on all curves and on rates less than or equal to 1 year and of -0.5% on all curves and on rates greater than 1 year. ("flattening" scenario);
- ▶ shock of -0.5% on all curves and on rates less than or equal to 1 year and of +0.5% on all curves and on rates greater than 1 year (steepening scenario).

It should be noted that a floor rate of -1% is applied to NIM calculations.

Net Interest Margin (NIM) sensitivity at 1 year/Scenario (€ million) at 31.12.2017

	31.12.2017	31.12.2016
Translation+1	85	94
Translation-1	-87	-68
Steepening	31	18
Flattening	-38	-8

The least favourable scenario at one year for La Banque Postale is a shock of -100 basis points with a fall in NIM of €87 million amounting to forecast NIM of €2.4 billion, or 3.5%. This exposure to lower rates increased in 2017.

Other scenarios (a rise in short-term rates, virtual deflation or static rates) were also carried out.

4.5.1.3 Liquidity risk

Liquidity risk is defined, by the decree of 3 November 2014, as the risk that an enterprise cannot meet its commitments or cannot unwind or cover a position either because of the market situation (systemic risk) or idiosyncratic factors (own risks), within a specific period or at a reasonable cost.

Two types of management are concerned: on the one hand, management of the bank's short-term liquidity enabling it to keep the cost of management minimal and within reasonable risk limits, and on the other hand, management of the bank's liquidity in the event of significant stress.

LBP has a strong liquidity position based on:

- ▶ client deposits greater than client loans. LBP has a significant and diversified deposit base (in excess of €160 billion) consisting primarily of deposits from a French retail clientèle;
- ▶ A significant HQLA portfolio (High-Quality Liquid Assets). La Banque Postale has traditionally invested a significant portion of its balance sheet in sovereign securities due to its historical activity as a deposit taker. The customer credit business only began to develop starting in 2006. This portfolio contains high-

quality liquid assets exclusively, in accordance with the provisions of Delegated Regulation (EU) No. 2015/61, which enables it to raise its short-term liquidity ratio above 135% and to an average of about 150%;

- ▶ proven access to capital market financing.

Since customer resources are, for the most part, non-maturing and payable at any time (deposits, livret accounts), their outflow is modelled to determine their profile over time. La Banque Postale has taken a conservative approach to its liquidity assessments and has adopted very conservative assumptions in relation to these outflows. Consequently, for the calculation of resources there are upper bounds for the volatility of outstanding amounts and lower bounds for their liquidity duration.

Liquidity risk management

The ALM committee is responsible for liquidity risk management, in compliance with the principals and limits approved by the Group Risk Management Committee. This responsibility is partially delegated to the Balance Sheet Operational Management Committee and to the trading room's cash management and long-term financing units for tactical liquidity risk related to the bank's cash management.

Operationally, La Banque Postale has implemented an internal liquidity assessment system (Internal Liquidity Adequacy Assessment Process), which combines all of its liquidity limit, assessment, monitoring, reporting and management systems. The systems include:

- ▶ a guidelines and limits system;
- ▶ a financing plan which assures the ex ante equilibrium of the Bank's funding position in La Banque Postale's budget planning universe;
- ▶ the maintenance and monitoring of a buffer of high-quality, unencumbered liquid securities and amounts entrusted to the central bank's deposit facility;
- ▶ the Emergency Funding Plan (EFP) which is primarily intended to (see below):

- define the alert thresholds to enable early detection of liquidity stress, regardless if it is idiosyncratic (specific to the Bank) or systemic,
- identify all of the capacities available to generate liquidity (liquidity reserves and financing capacity),
- mobilise governance to manage potential crises with the speed required;
- ▶ to measure La Banque Postale's room for manoeuvre via a stress test system in the context of historically high stress on the Bank's liquidity.

The bodies of the Bank (Supervisory Board Risk Committee) approved the entire ILAAP system in April 2017.

The liquidity risk prudential declaration systems cover the entire prudential consolidation scope. However, some of the thresholds and indicators used in management refer to corporate units of the Group, notably La Banque Postale, the most important Group entity.

Liquidity risk measurement

Short-term monitoring of liquidity

This system is based on:

- ▶ Regulatory liquidity ratios and reporting;
- ▶ The short-term liquidity ratio (LCR – Liquidity Coverage Ratio)
- ▶ The Net Stable Funding Ratio (NSFR).

The LCR is a monthly short-term liquidity ratio which measures the bank's capacity to withstand a severe worsening of its financial situation, for up to 30 days, in a systemic shock environment.

According to the target, LCR should be greater than 100% and the bank has a transition period to achieve that level.

This ratio is calculated by dividing the sum of unencumbered, high quality liquid assets by the liquidity need in a stress environment over a 30-day horizon.

EBA LCR summary at 31.12.2017

Item	Dec-17	Dec-16
Buffer of liquid assets	25,138	24,368
Cash outflows	-23,646	-21,433
Cash inflows	7,677	7,871
Net cash outflows	-15,968	-13,562
Shortfall	9,170	10,806
LCR	157%	180%
Ratio inflows/outflows	32%	37%

The LCR fell in 2017, consistent with the balance sheet movements detected in the "rate risk" section (development of commercial assets).

The LCR is also one of the constraints to be observed when forecasting dynamic liquidity.

Moreover, several LCR ratio stress scenarios were created as part of the ILAAP procedure.

A calculation of LCR and of the liquidity reserve is produced each day.

The concentration, cost and structure of refinancing, and the concentration of the asset buffer are reassessed on a regular basis and regulatory reports (ALMM) are prepared for LCR publication.

Quantitative information on the hedging ratio of liquidity requirements

Scope of consolidation (individual/consolidated)		Total non-weighted value (average)				Total weighted value (average)			
Currency and units (XXX millions)									
Quarter ending (DD month AAAA)		31.03.2017	30.06.2017	30.09.2017	31.12.2017	31.03.2017	30.06.2017	30.09.2017	31.12.2017
Number of data points used to calculate HIGH-QUALITY LIQUID ASSETS		-	-	-	-	-	-	-	-
1	Total high-quality liquid assets (HQLA)					25,879	22,684	25,790	-
CASH OUTFLOWS									
2	Retail deposits and deposits of small customer companies, of which:	164,816	166,571	168,566	167,633	0	0	0	0
3	Stable deposits	122,972	124,383	125,967	125,239	6,149	6,219	6,298	6,262
4	Less stable deposits	41,844	42,187	42,599	42,394	4,422	4,483	4,491	4,445
5	Non-guaranteed wholesale financing	9,364	9,857	8,534	7,484	3,516	3,475	4,792	3,891
6	Operational deposits (all counterparties) and deposits in cooperative bank networks	1,781	1,670	-	-	445	417	-	-
7	Non-operational deposits (all counterparties)	-	-	-	-	-	-	-	-
8	Non-guaranteed receivables	-	-	-	-	-	-	-	-
9	Guaranteed wholesale financing	-	-	-	-	649	509	455	336
10	Additional requirements	9,554	8,965	9,092	10,654	2,341	2,024	1,711	1,864
11	Outflows associated with exposures to derivative instruments and other guarantee requirements	1,384	1,022	686	683	1,384	1,022	686	683
12	Outflows associated with financing losses on debt products	-	-	-	-	-	-	-	-
13	Credit and cash facilities	8,170	7,943	8,406	9,970	957	1,002	1,025	1,180
14	Other contractual financing obligations	3,849	2,821	2,974	5,160	3,806	2,410	2,840	5,093
15	Other potential financing obligations	8,214	8,368	8,609	8,603	1,219	1,432	1,703	1,753
16	TOTAL CASH OUTFLOWS					11,530	9,850	11,501	12,937
CASH INFLOWS									
17	Guaranteed loan transactions (e.g. repurchase transactions)	651	385	75	453	295	352	23	452
18	Inflows from fully performing exposures	839	903	969	1,060	481	507	539	588
19	Other cash inflows	72,979	72,559	73,054	72,304	7,070	6,680	7,065	6,637
EU-19a	(Difference between total weighted cash inflows and total weighted cash outflows resulting from transactions in third countries in which there are restrictions on transfers, or denominated in non-convertible currency)	-	-	-	-	-	-	-	-
EU-19b	(Excess of cash inflows from a related specialised credit institution)	-	-	-	-	-	-	-	-
20	TOTAL CASH	74,468	73,847	74,098	73,817	7,846	7,539	7,627	7,677
INFLOWS		-	-	-	-	-	-	-	-
EU-20a	Fully exempt cash inflows	-	-	-	-	-	-	-	-
EU-20b	Cash inflows subject to a 90% ceiling	-	-	-	-	-	-	-	-
EU-20c	Cash inflows subject to a 75% ceiling	74,468	73,847	74,098	73,817	7,846	7,539	7,627	7,677
TOTAL ADJUSTED VALUE									
21	LIQUIDITY BUFFER	25,879	22,684	25,790	25,138	-	-	-	-
23	TOTAL NET CASH OUTFLOWS	14,256	13,012	14,664	15,967	-	-	-	-
23	LIQUIDITY REQUIREMENT COVERAGE RATIO (%)	181.5%	174.3%	175.9%	157.4%	-	-	-	-

The NSFR corresponds to the amount of available stable funding in relation to required stable funding. This ratio should, at all times, be at least 100%. “Available Stable Funding” refers to the portion of resources that are not payable within the relevant time horizon, in this case, within 1 year. The amount of “Required Stable Funding” of a business depends on its liquidity features and the residual maturity of assets (and off-balance sheet positions) held.

To date, and as part of the regulatory liquidity exercises carried out for the ECB, the NSFR liquidity ratio is above 100%.

The system also depends on:

- ▶ tools which enable cash to track intraday positions in real time;
- ▶ a daily calculation of the Cash liquidity gap;
- ▶ advance liquidity crisis indicators tracked each week and defined in the Bank’s emergency funding plan;
- ▶ biannual market access tests, enabling verification of market access in different currencies.

Long-term liquidity monitoring

The Bank assesses its long-term liquidity level according to a liquidity gap. The liquidity gap includes forecast static gaps by maturity and

limits defined at 1-, 3- and 5-year horizons. The assumptions applied correspond to a stressed scenario, giving a conservative view of the Group’s liquidity position.

The liquidity gap assessment methodologies are determined according to the type of asset (or liability) on the balance sheet:

- ▶ scheduled outstandings (contractual outflow, whether corrected with a model or not);
- ▶ non-scheduled outstandings (conventional outflow);
- ▶ liquidity profile of transferable assets;
- ▶ off-balance sheet (liquidity commitments and guarantees).

Transactions with no contractual maturity date (including customer deposits and livret accounts) are included in accordance with the outflow agreements approved by the ALM committee and by the Group Risk Department.

Off-balance sheet transactions are included whilst taking into account drawdown assumptions.

The transferability of certain transactions may be taken into account, if required.

Long-term liquidity gap (€ million) at 31.12.2017

Average spot gaps (in € millions)	1 year	3 years	5 years
Uses	-89,105	-62,795	-47,945
Resources	103,302	81,139	57,872
Off-balance sheet	-6,569	-4,864	-3,179
Liquidity gap 31.12.2017	7,628	13,479	6,749
Liquidity gap 31.12.2016	14,019	16,553	10,688
Adjustments	-2,079	-2,300	-3,648

The gap (excess resources) decreased in 2017 reflecting the growth in commercial assets.

“Dynamic” liquidity assessments involve the application of assumptions on the bank’s income and on refinancing its budget and its medium/long-term business plan. These assumptions enable the calculation of a “balance sheet forecast”, a financing plan, a future estimated LCR and a static gap forecast.

Emergency Funding Plan (EFP)

The Emergency Funding Plan is to be monitored by the governance bodies in charge of financial management (the ALM committee, the Capital Operational Management Committee and the Group Risk Management Committee) and put into operation by the Financial Operations Department.

The Emergency Funding Plan forms part of the Bank’s annual internal liquidity assessment procedures. The Emergency Funding Plan sets out the leading indicators selected to judge the robustness of the markets (financial or banking) to which the liquidity of La Banque Postale is exposed. These indicators can be broken down into two major groups:

- ▶ systemic indicators;
- ▶ idiosyncratic indicators.

Each indicator is allocated a threshold level (comfort, vigilance or warning).

The Emergency Funding Plan also makes provision for a mechanism to be implemented in the event of a proven crisis, be it systemic or idiosyncratic. This mechanism appears mainly in the form of an inventory of the various funding (or liquidity) sources accessible by La Banque Postale, depending on the amounts involved and the speed of implementation required. The Emergency Funding Plan also makes provision for specific governance through committees which will monitor the leading indicators. The purpose of this governance is to assure management of the heightened

surveillance of the bank’s liquidity risk. The presentation of indicators (during normal periods) is carried out at meetings of the Capital Operational Management Committee. The indicators selected, and the proposed action measures, are tested on the markets so that their suitability and the market liquidity can be fully appreciated.

The funding test consists of testing the market by issuing short-term debt. The aim of this type of test is to regularly check on the bank’s ability to quickly obtain funds in the markets to ensure that its estimated borrowing capacity remains valid. It is envisaged that this type of test will be carried out at least twice a year.

La Banque Postale successfully tested its funding capacity twice in 2017, for a significant amount, in a single day, across its various currencies.

Liquidity Reserve

Definition

The purpose of the Liquidity Reserve is to quantify the amount of cash and liquidity readily available through the sale or repurchase of securities in order to cope with a liquidity crisis.

The Liquidity Reserve is composed of:

- ▶ cash invested with the Central Bank (excluding mandatory reserves);
- ▶ the securities in the HQLA (High Quality Liquid Assets) cushion consisting primarily of government securities, covered bonds and corporate securities meeting the prudential liquidity criteria defined by the regulations for the LCR calculation (Liquidity Coverage Ratio) for which the valuation of securities includes a discount in line with prudential regulations;
- ▶ other securities available from the ECB (primarily bank securities) including the ECB discount.

Premium quality secured home loans that can be mobilised by the Group's home loans Company through the issue of a covered bond. This also represents a significant source of liquidity (potentially around €12.7 billion of collateral at 31 December 2017, in addition to the other sources of funding usually used by the bank).

Composition of the liquidity reserve in securities at 31 December 2017 (in € millions)

Liquidity reserve (in € millions)	Dec-17
Cash and Central Bank	11,797
Unencumbered HQLA securities	13,871
Other ECB eligible securities	7,598
TOTAL LIQUIDITY RESERVE	33,266

Capacity to access external financing

In addition to the prudent liquidity management system implemented by the ALM committee and Risk Committee, La Banque Postale has diverse sources of financing:

- ▶ a €20 billion Neu-CP programme (Negotiable European Commercial Paper), the aim being to refinance a portion of La Banque Postale's short-term financing requirements and to satisfy demand from institutional customers;

- ▶ a €2 billion Neu-EMTN programme, the aim being to refinance a portion of La Banque Postale's short-term financing requirements and to satisfy demand from institutional customers;
- ▶ a €10 billion retail EMTN programme enabling the issue of senior (vanilla and structured), non-preferred senior and Tier 2 debt.
- ▶ A programme of €10 billion in EMTN for the issue of Obligations de Financement de l'Habitat (OFH) via LBP Home Loan SFH, the secure financing vehicle subsidiary of LBP SA, created in 2013;
- ▶ a portfolio of securities held to maturity, consisting mainly of rapidly accessible, high-quality government bonds, which constitutes a stable source of eligible assets enabling access to ECB refinancing operations or to the securities repo market;
- ▶ access to the interbank market.

La Banque Postale also has access to a secured financing vehicle via the Caisse de Financement Local (CAFFIL), with which it regularly carries out disposals of originated loans for the Local Public Sector.

These "secured financing" vehicles provide a reliable source of financing, as demonstrated by the fact that the secure financing market continued to operate during the recent 2011 banking crisis.

4.5.1.4 Encumbered/Unencumbered Assets

The data below are presented at their median value (quarterly database of 2017).

Encumbered/Unencumbered Assets

	Carrying amount of encumbered assets		Fair value of encumbered assets		Carrying amount of non encumbered assets		Fair value of unencumbered assets	
		of which eligible central bank		of which eligible central bank		of which eligible central bank		of which eligible central bank
(in € thousands)								
Assets of the institution	100,809,772	20,957,847	-	-	132,557,847	22,010,397	-	-
Loans payable on demand	-	-	-	-	2,027,988	-	-	-
Equity instruments	76,088	-	-	-	1,022,848	-	1,022,848	-
Debt securities	20,973,375	20,957,847	21,983,165	21,967,452	29,836,023	22,010,397	31,440,563	23,787,758
of which covered bonds	942,869	942,869	1,095,392	1,095,392	2,604,824	2,604,824	2,687,098	2,687,098
of which asset-backed securities	-	-	-	-	586,692	-	586,692	-
of which public administration	19,123,527	19,107,999	19,975,792	19,960,079	10,421,659	9,031,628	11,414,159	10,570,214
of which financial institutions	1,635,266	1,635,266	1,742,160	1,742,160	16,762,061	10,865,994	17,141,493	10,932,305
of which non-financial companies	19,320	19,320	19,333	19,333	2,351,504	1,129,072	2,406,375	1,129,060
Loans and advances other than loans on demand	79,447,668	-	-	-	88,969,625	-	-	-
of which mortgage loans	7,892,258	-	-	-	9,486,945	-	-	-
Other assets	753,886	-	-	-	10,073,614	-	-	-

	Unencumbered guarantees		
	Fair value of encumbered collateral received or own debt securities issued	Fair value of collateral received or own debt securities issued available for encumbrance	Nominal value of collateral received or own debt securities issued which cannot be committed
(in € thousands)			
Collateral received by the institution	-	319,266	56,606,411
Loans payable on demand	-	-	-
Equity instruments	-	-	-
Debt securities	-	319,266	-
of which covered bonds	-	-	-
of which asset-backed securities	-	-	-
of which public administration	-	25,577	-
of which financial institutions	-	278,896	-
of which non-financial companies	-	-	-
Loans and advances other than loans on demand	-	-	-
Other collateral received	-	-	56,606,411
Own debt securities issued other than own covered bonds or ABSs	-	-	-
Total assets and/or collateral received and own debt securities issued	100,809,772	20,957,847	-

(in € thousands)	Backed liabilities, potential liabilities or securities which have been loaned	Assets and/or collateral received and own debt securities issued other than covered bonds and encumbered ABSs
Carrying amount of selected financial liabilities	102,435,068	99,663,978
Derivatives	939,292	435,392
of which OTC	939,292	426,393
Deposits	96,796,860	91,809,605
Repo agreements	21,260,271	20,115,389
of which central bank	-	-
Guarantee deposits other than repo agreements	75,311,647	71,550,642
of which central bank	-	-
Debt securities	4,764,330	7,870,148
of which covered bonds	4,764,330	7,870,148
of which asset-backed securities	-	-
Other encumbered assets	950,839	990,253
Par value of loan commitments received	950,839	990,253
Financial guarantees received	-	-
Fair value of securities issued with non-financial guarantees	-	-
Other	-	-
Total encumbered items	103,498,187	100,809,772

La Banque Postale Group's encumbered assets consist of the following:

- ▶ securities delivered under repurchase agreements with other financial counterparties;
- ▶ securities pledged for the Central Bank and Crédit Logement;
- ▶ home loans pledged in order to hedge bond issues made by the Group's home finance Company (La Banque Postale Home Loan SFH) in favour of holders;
- ▶ margin calls on securities and derivatives;
- ▶ guarantee deposits.

The median "Asset Encumbrance" ratio is 43%.

4.5.1.5 Global exchange rate risk

Exchange rate risk, particularly that related to international mandates and financial activities, remains very moderate despite the start

of dollar-denominated business by the Corporate and Regional Development Department.

In fact, the balance sheet of La Banque Postale is managed almost exclusively in euros. The foreign currency market activities of the cash management unit and those related to portfolios are systematically hedged and converted into euros beyond a given exchange rate position threshold.

The residual exchange rate risk related to income earned from those activities is managed by converting that income at least once every six months or, alternatively, when it reaches the established threshold.

The foreign currency activity of the retail bank, which mainly concerns international mandates, is relatively small in volume.

At 31 December 2017, the exchange rate position of La Banque Postale amounted to €165 million, most of which was dollar-denominated.

4.5.2 Market risks

La Banque Postale manages market positions as part of the management of its balance sheet and, notably, of its liquidity surplus. The recent creation of the BFI entity (Banque de Financement et d'Investissement) will likely result in a redefinition of the strategy in 2018.

La Banque Postale manages its positions cautiously based on limits. The positions are taken, then managed by a special BFI entity: the Trading Room. It optimises revenue creation and manages the Bank's short-term liquidity. The thresholds are based on methodologies developed by the Group Risk Department and described below.

In order to ensure the negotiability of assets managed under market risk, LBP relies on a list of authorised products which promotes liquid instruments. Operators can only trade authorised instruments. The authorisation process for instrument types requires that La Banque Postale be in a position to value it.

The characteristics of the market positions are as follows.

- ▶ LBP does not have any exposure to "exotic" products. Its exposure to derivative instruments are vanilla and the valuation risk is low;
- ▶ with respect to credit assets, the vast majority of securities handled are investment grade, with a preponderance of securities from major groups.

4.5.2.1 Organisation and governance of market risk monitoring

Financial Risk department

Market risk encompasses the risk of losses, generated by adverse changes to variables (interest rates, exchange rates, spreads, volatility, etc.), on the value of financial instruments on the balance sheet or commitments held by the bank.

Within the Group Risk Department, it is the responsibility of the Financial Risk department and, in particular, the Market Risk unit, to manage market risk.

To ensure comprehensive monitoring of market risks, the monitoring scope of the Market Risk unit extends to encompass all fair value transactions. The Financial Risk department defines a framework for market risk management, observing the principles governing organisation and tasks set out in the “Group Risk Management charter” and in the “Risk Management Policy”. It reports to the Head of Group Risk and to various committees, specifically, the Group Risk Management Committee and the Risk Committee.

The Financial Risk department reports to the Group Risk Management Committee, on a monthly basis, on market risk monitoring. It informs the Group Risk Management Committee of the main developments and significant events. The Group Risk Management Committee is the body responsible for approving the main market and drawdown thresholds. The Head of Group Risk is delegated to manage thresholds set at portfolio level. The Group Risk Management Committee delegates the management of technical aspects of the financial risk management system to the Financial Market Risk Committee (CORMF) (see Section 4.5.1 Structural interest rate, liquidity and exchange rate risk).

Valuation and Performance Analysis Unit (VAR)

This unit of La Banque Postale is responsible for independent valuation of market transactions, aggregate risk assessment and Level 1 control of market activities.

The Valuation and Performance Analysis Unit is responsible for implementing the valuation and risk calculation architecture. Its work is validated by the Risk department. It carries out daily assessments of risks and results. A primary mission of this department is to ensure that market conditions enable the correct valuation of transactions.

Daily risk calculations are carried out. The risk factors defined (within the main asset classes: rates, credit spreads, currency and equity indexes) hedge and assess the risk of a spread between transactions and their hedges.

The consistent tracking of important day-one profits (results of the day's transactions) is another indicator of the quality of the results and risks processes.

New Market Instruments Committee

The New Market Instruments Committee is a sub-committee of the Group Risk Steering Committee. It meets based on the needs of business units of La Banque Postale Group to approve financial instruments.

This committee is responsible for approving the use of financial instruments related to market transactions.

The approval concerns the capacity of the business unit and of the support and management departments to manage the use of the instrument in question, in all its facets.

4.5.2.2 Market risk within the Group

Market risk concerns all balance sheet and off-balance sheet items measured at fair value. These items are present within La Banque Postale and within several Group subsidiaries, namely:

- ▶ in the insurance subsidiaries:
 - LBP Prévoyance,
 - LBP Assurances IARD,
 - LBP Assurance Santé;
- ▶ in the asset management subsidiaries:
 - LBP Asset Management,

- LBP Structured Asset Management (merged with La Banque Postale Asset Management in 2016);

- ▶ the banking subsidiaries:

- BPE,
- SOFIAP.

The Market Risk unit of the Financial Risk department is responsible for monitoring the Bank's market risk and for consolidated supervision at Group level.

4.5.2.3 Missions of the Financial Risk department

Within the Financial Risk department, the work concerning the Market Risk unit is organised along four main lines:

Thresholds and authorisations

Loss risks are delimited by commitment or exposure thresholds and by the establishment of a list of authorised financial products. Therefore, the Financial Risk department is responsible for:

- ▶ advising on requests for overall and operational thresholds;
- ▶ advising on requests for new financial products or investments;
- ▶ monitoring compliance with thresholds;
- ▶ reporting and managing any overruns, specifically through the systematic dispatch of an overrun notification sheet.

Valuation

The official valuation of market transactions is managed by the Valuation and Performance Analysis unit, reporting to the Banque de Financement et d'Investissement (BFI). One potential source of losses is the possibility of incorrect valuation of the price of portfolio assets. The Financial Risk department therefore strives to ensure that the value of these assets represents fair market value with the least possible degree of uncertainty. To that end, the Financial Risk department:

- ▶ checks and approves the valuation methods in conjunction with the Model Validation department;
- ▶ approves the valuation parameters;
- ▶ verifies the quality of market data and compliance with valuation procedures;
- ▶ defines valuation adjustments as part of prudent valuation, in accordance with the Capital Requirements Regulation (CRR).

Risk measurement and control

In order to manage risk-taking, the Financial Risk department must be in a position to provide an accurate account of the risks to which the bank is exposed. Consequently, the Financial Risk department is responsible for:

- ▶ identifying risk factors according to the products and strategies implemented;
- ▶ establishing risk measurement methodologies and retrospectively verifying their effectiveness (Backtesting);
- ▶ controlling the positions taken by the Group in order to ensure that they fall within the established thresholds.

Process controls

The Market Risk unit of the Financial Risk department draws up a control plan to ensure the successful execution of its work and the quality of data produced.

4.5.2.4 Market risk measurement and control

Background

Market risk represents the risk that financial instruments held in portfolio may lose value as a result of an adverse change in market conditions. Essentially, it concerns assets restated at fair value, since valuation variations have a direct impact on the bank's profits or equity. Exceptionally, certain portfolios valued at acquisition cost also fall within the scope of the Financial Risk department.

The Financial Risk department defines a measurement framework that is suited to the bank's market exposure.

The main market risk factors are:

- ▶ interest rate risk;
- ▶ the credit risk premium;
- ▶ the risk of changes in the prices of financial instruments;
- ▶ exchange risk;
- ▶ core product risk;
- ▶ volatility risk;
- ▶ and, by extension, delivery settlement risk.

Other parameters are taken into account in market risk management, specifically asset liquidity.

4.5.2.5 Market risk indicators

Sensitivities

Sensitivities enable measurement of the exposure of the bank's portfolio to changing risk factors.

The Financial Risk department approves the sensitivity calculation methodology and ensures that all risk factors identified as relevant and substantial are taken into account.

Value at Risk (VaR)

VaR is an indicator of the risk of loss to which the bank is exposed. It gives an estimate of maximum potential losses over a given horizon within a given probability. However, this indicator does not provide any signals with regard to the level of potential losses that may arise from infrequent events.

The VaR indicator is calculated on trading portfolios and also on certain banking portfolios. An overall VaR encompassing all positions is also calculated.

VaR is broken down by each of the activities included in the market portfolio.

As a precautionary measure, La Banque Postale decided to apply a VaR indicator (one-day, 99%) to all of its mark-to-market positions. The VaR indicator used by La Banque Postale is a parametric VaR, calculated using a variance-covariance matrix that includes risk factors such as interest rate, spread, exchange rate and volatility risk, and the risk of movements in the stock market indices to which the bank is exposed. In terms of risk factors, the main approximation concerns "specific interest rate risk": the credit spread risk (to which bonds are sensitive) is taken into account by a sector-rating approach which only captures a portion of this type of risk.

This matrix is calculated using a scaling factor designed to give a higher weighting to recent movements than to older ones.

La Banque Postale's implementation therefore does not cover second-degree (convex) risks, which are actually rare in its accounts.

The resulting VaR partly covers option-related risks, although second-degree risks are not taken into account. Although they are not currently significant, building option positions could lead Risk department to adopt a more appropriate methodology.

The Risk department backtests the results of the model used to calculate the VaR indicator in order to ensure that the risk indicators effectively capture all of the significant risk factors: There is a moderate number of backtesting errors. They show that the risk factors used are sufficiently fine and detailed and that the basic risks (gap between a transaction and its hedge) are also identified/captured. This point ensures control of the quality and effectiveness of the hedges⁽¹⁾ at all times.

Stress scenarios

The VaR estimate, calculated on the assumption that it follows a normal distribution, is carried out under normal market conditions and does not provide any information on the amount of the potential loss when the VaR is overrun. The ability to estimate potential losses under unusual market conditions (terror attack, collapse of a major Group, etc.), is therefore a necessity and this is when stress scenarios are implemented.

A stress scenario involves simulating an extreme situation in order to evaluate the financial impact on La Banque Postale's profits or equity. The use of these scenarios is an analytical and management tool providing a better grasp of market risk.

La Banque Postale seeks to deal in all markets (UCITS, currencies, rates, loans and derivatives). However, at the present time, the bank deals mainly in interest rate products, loans and UCITS. This is why the crisis scenarios foreseen mainly concern exchange rates, interest rates, credit spreads and UCITS, according to their asset class.

There are two major stress groups under consideration, pursuant to the relevant regulations. We distinguish between "objective" and "subjective" methods:

- ▶ objective methods are based on historical facts (events which have actually occurred). To build the scenarios, changes which took place in the past during major financial crises are applied to current market conditions. These are historical scenarios;
- ▶ the second category of scenarios applies plausible variations which, although they have never occurred, would jeopardise the bank if they did. These shocks are calibrated with assumptions based on historic statistics drawn from market data.

A historic stress scenario is set off by a violent event affecting a combination of factors. With the aim of planning for the worst, the horizons selected are those corresponding to the first stage of the crisis' spread up to the first indication of price stabilisation, given that several trading days are needed to close out the most risky positions.

(1) LBP's VaR takes into account a simplified version of rate-specific risk and uses a "sector/rating" method for credit risk spreads.

Historical scenarios reconstruct the following 128 financial crises:

- ▶ stock exchange crash, 19 October 1987;
- ▶ withdrawal of sterling from the ERM, 20 September 1992;
- ▶ bond market crash 1994-1995;
- ▶ Russia, 17 August 1998;
- ▶ LTCM, 23 September 1998;
- ▶ WTC terror attacks, 11 September 2001;
- ▶ Enron, 31 October 2001;
- ▶ collapse of Lehman Brothers, 15 September 2008 (a global stress scenario and a credit stress scenario);
- ▶ Greek crisis, 2010;
- ▶ US debt crisis, 2011;
- ▶ European sovereign debt crisis, 2011;
- ▶ Brexit, 2016.

The second category of scenarios applies plausible variations which, although they have never occurred, would jeopardise the bank if they did. These shocks are calibrated with assumptions based on historic statistics drawn from market data.

A stress test is applied to a given category of market risk. La Banque Postale carries out stress testing on the following risks:

- ▶ general rate risk: various changes, such as steepening or flattening or widening of rate spreads, are applied to the Euribor/Libor interbank rate curves;
- ▶ specific rate risk: stress testing is based on the application of different shocks to the credit spread curves of corporate, financial and sovereign debt issuers;
- ▶ equities risk (UCITS): various shocks are also applied to UCITS according to their asset class.

4.5.2.6 Market risk thresholds

Organisation

Market portfolio risk is delimited by VaR thresholds. These thresholds are fixed by the Group Risk Management Committee at the proposal of the ALM committee and, in accordance with Risk Management Policy, must not exceed 0.75% of the institution's consolidated CET1 capital.

These VaR thresholds are applied operationally through a more detailed set of limits, while the Risk department ensures, when they are determined, that they are consistent with the VaR thresholds approved by the Group Risk Management Committee. The implementation of these thresholds and monitoring of compliance with them by market operators, are the subject of regular reports given at meetings of the Group Risk Management Committee and the Risk Committee.

The application of thresholds addresses the organisation of La Banque Postale's financial activities. Thus, thresholds are defined by trading room activity, and take into account the aim of transaction management and the impact of transactions on the bank's profits and equity.

Risk metrics

The thresholds are applied to the relevant risk measures to delimit the potential impact of adverse changes in the markets on the bank's profits and on its equity. The objective is also to ensure that each activity remains within the specified management framework and only concerns market instruments that the bank's internal systems are operationally capable of managing.

Review of thresholds

The market risk thresholds must be capable of changing according to the needs and development of the environment. Each update is presented at a Group Risk Management Committee meeting for approval or advice in the event of its delegation.

The thresholds are subject to annual review in conjunction with the Front Office. It is important to ensure that the allocated thresholds remain consistent with changes in the financial markets and the bank's activities.

The thresholds may also be reviewed at other times, at the request of the Front Office or at the discretion of the Risk department.

Exceeding the threshold

Threshold overruns are notified to market operators and to the Head of Group Risk. The manager of the desk concerned must inform the Financial Risk department of the reasons for the overrun and the actions envisaged to get back within the authorised thresholds.

Taking the background of the case into consideration, the Financial Risk department evaluates the suitability of the corrective actions envisaged and may, if necessary and with the agreement with the Head of Group Risk, authorise a threshold overrun for a limited period if it cannot be quickly corrected due to operational reasons or the market environment.

Threshold overruns and temporary overrun authorisations are reported each month to the Group Risk Management Committee and must be logged in an overrun notification sheet approved by the Head of Group Risk.

4.5.2.7 Financial instruments and currencies authorised for trading

The Financial Risk department draws up a list of authorised products, approved by the Group Risk Management Committee. All new instruments appearing on that list must first be approved by the New Market Instruments Committee.

The Executive Board draws up a list of currencies authorised for trading. The Financial Risk department ensures that this list is complied with and that there is sufficient operational capacity to manage these currencies, particularly in terms of risk calculation.

The transactions carried out in the market risk scope are based on very traditional instruments, which are among the most current ones in the financial markets.

- ▶ Bonds;
- ▶ Rate derivatives (all vanilla);
- ▶ UCITS;
- ▶ Marginally, CDS (on index) as hedges;
- ▶ Transactions on listed markets (essentially rate/sovereign bond futures)

The main changes in 2017 were in investments:

- ▶ authorisation of high-yield bonds;
- ▶ implementation of thresholds on callable bonds.

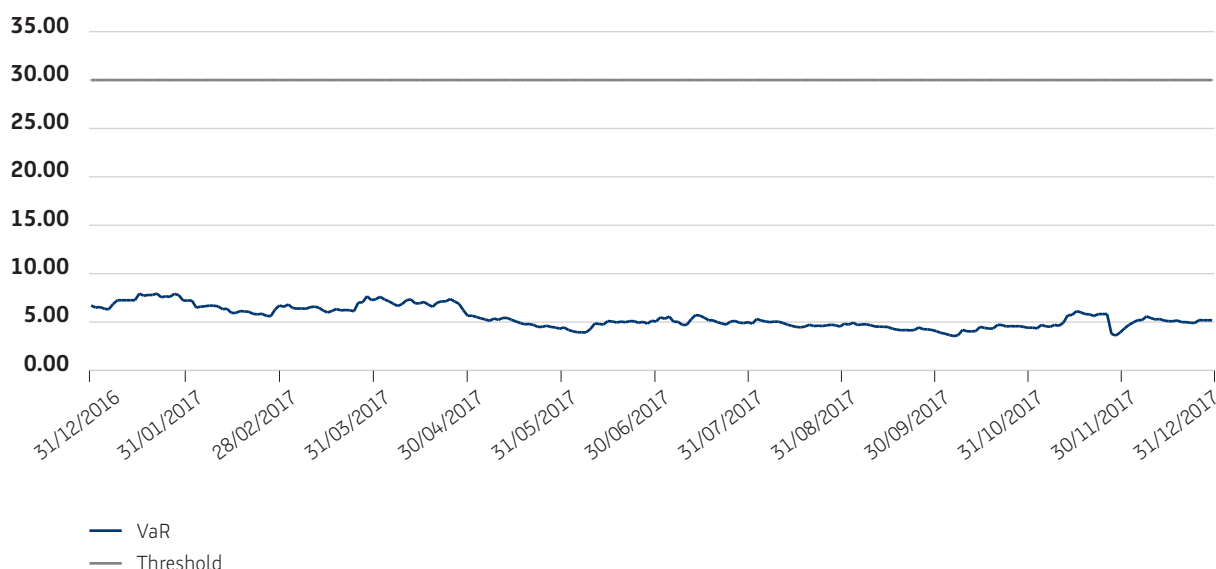
4.5.2.8 Exposure to risk

La Banque Postale is exposed to market risks due to its cash management and balance sheet management activities (portfolio of assets available for sale and hedging transactions).

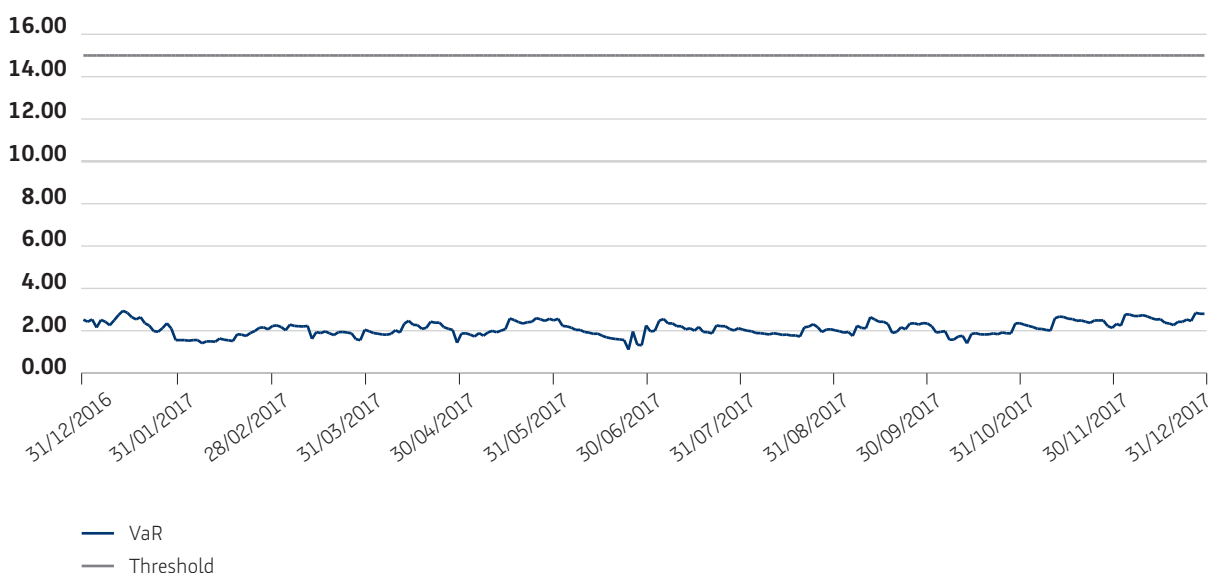
The market portfolio, which combines all transactions exposed to market risks, includes not only the trading portfolio, defined in Articles 102 to 104 of EU Regulation No. 575/2013 of the European Parliament and Council dated 26 June 2013 pertaining to capital requirements for credit establishments and investment firms, but also banking portfolio transactions, including available-for-sale securities and certain lending and borrowing transactions.

In terms of market risk management, La Banque Postale is first and foremost exposed to interest rate risk, credit spreads and the equity markets. Exchange-rate risk, particularly connected with international mandates and financial activities, risk of volatility or commodities risk is moderate.

4.5.2.9 Change in the main risk indicators for the trading room and threshold monitoring in 2017

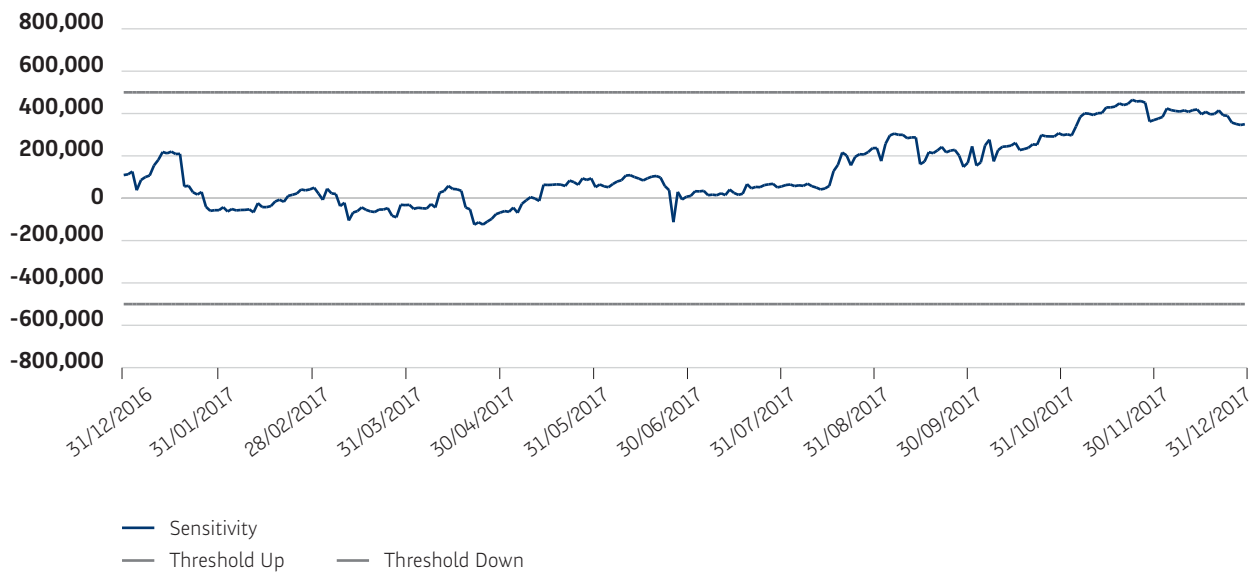


Global Value at Risk (€ million)

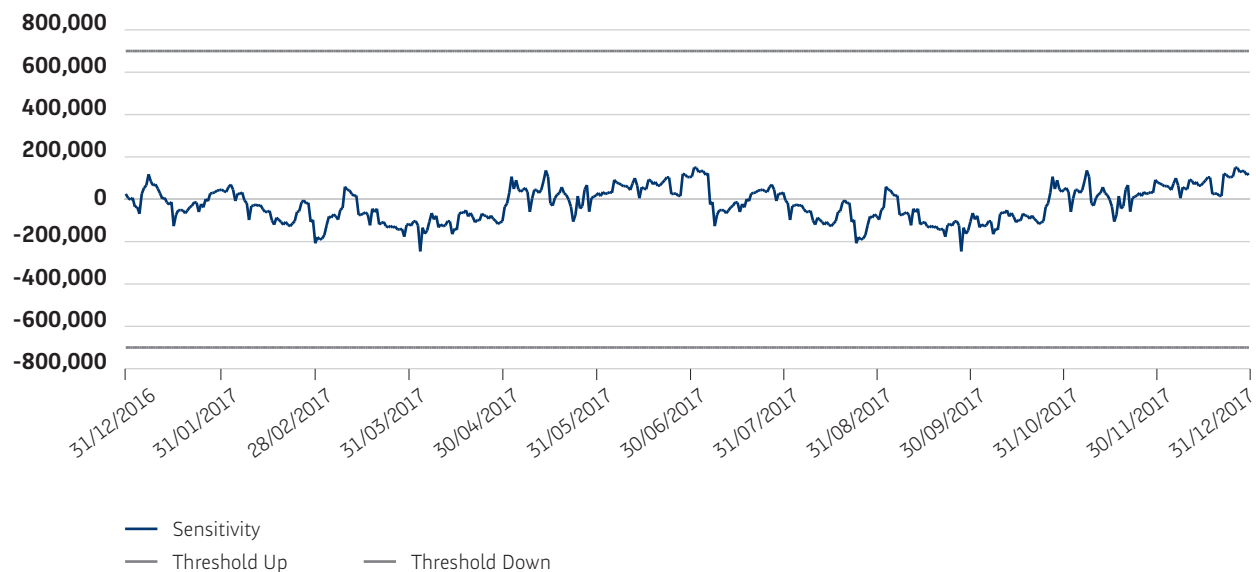


Value at Risk of the trading portfolio (€ million)

The VaRs of the trading scope and of the global scope remained well below their respective thresholds during 2017.

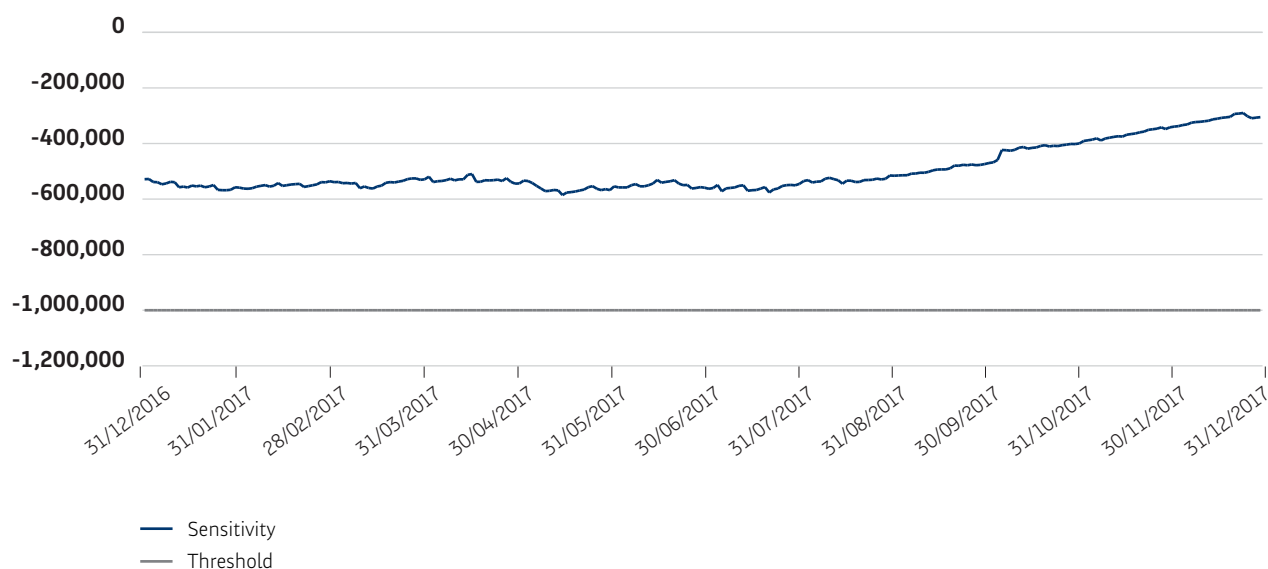
**Rate sensitivity of the trading portfolio (€ thousand/bp)**

The rate sensitivity of the trading portfolio increased significantly over the last quarter of 2017 following a decrease in cash outstandings which fell from €12 billion to €7 billion.

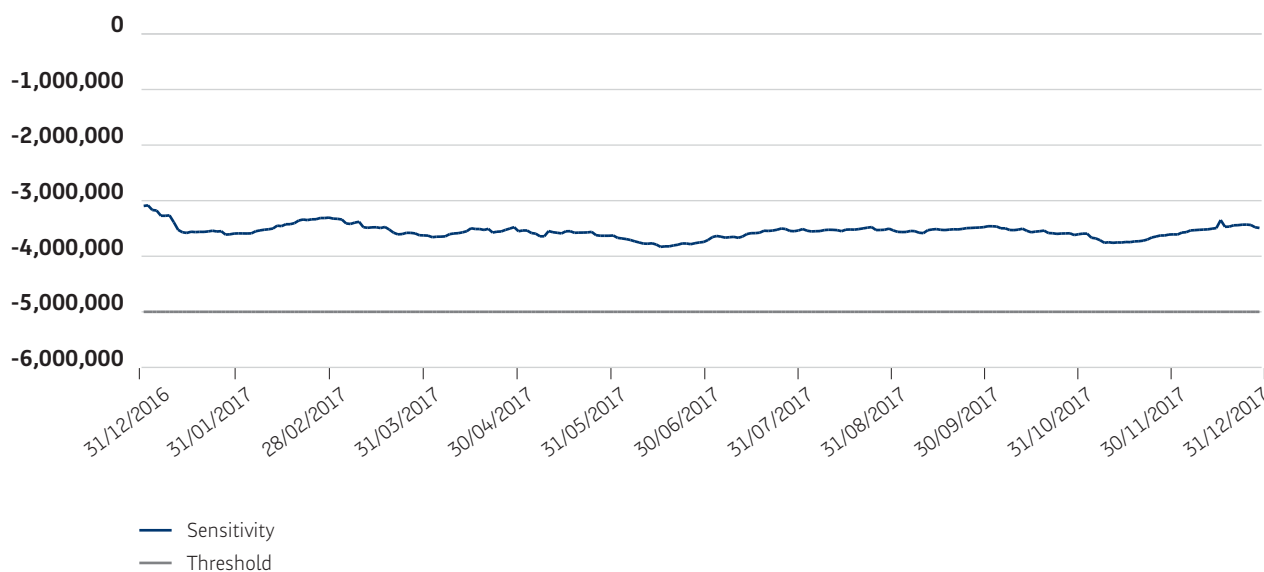


Overall rate sensitivity (€ thousand/bp)

Overall rate sensitivity remained contained throughout 2017. Interest rates are hedged overall in the portfolio.

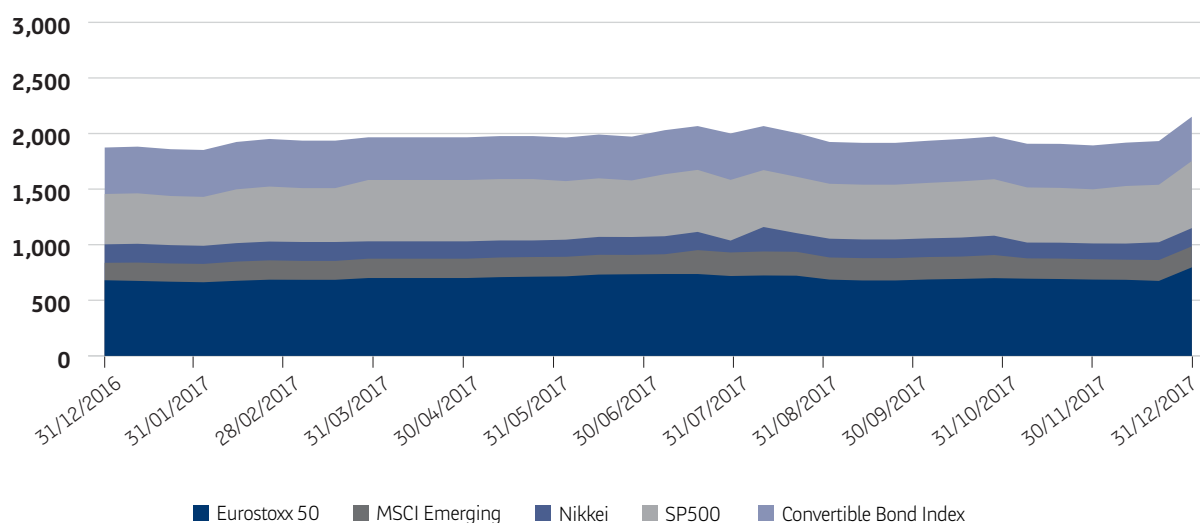
**Credit sensitivity of the trading portfolio (€ thousand/bp)**

The credit sensitivity of the trading portfolio decreased significantly over the last quarter of 2017 following a decrease in cash outstandings which fell from €12 billion to €7 billion.



Overall credit sensitivity (€ thousand/bp)

The overall credit sensitivity threshold remained relatively stable throughout 2017. As for the preceding indicators, the decrease in sensitivity observed at the end of the period was the result of the decrease of cash positions in securities.

**Sensitivity to indices**

The sensitivity of the UCITS portfolio⁽¹⁾ to indexes increased by about 7.7% over the year. The overall distribution of exposures remained fairly stable.

Exceeding the threshold

Thresholds were exceeded seven times in 2017 within the scope monitored by the Market Risk department. All of the breaches were notified and corrective action was taken to quickly return under the threshold.

4.5.2.10 Capital requirements for market risk and for CVA**Market risk within the standardised approach**

(€ millions)

	RWA	Capital requirements
CONFIRMED REVENUE		
Interest rate risk (general and specific)	1,828	146
Equities risk (general and specific)	-	-
Exchange rate risk	177	14
Raw materials risk	-	-
Options	-	-
Simplified approach	-	-
Delta Plus approach	-	-
Scenario-based approach	-	-
Securitisation (specific risk)	-	-
TOTAL	2,005	160

CVA equity requirements

(€ millions)

	Exposure value	RWA
Total of portfolios under the advanced method	-	-
VaR component (including the 3 times VaR multiplier)	-	-
SVaR component (including the 3 times VaR multiplier)	-	-
All portfolios under to the standardised method	581	311
Based on the initial exposure method	-	-
TOTAL SUBJECT TO CAPITAL REQUIREMENTS WITH REGARD TO THE CREDIT VALUATION ADJUSTMENT (CVA)	581	311

(1) For its component valued daily.

4.5.3 Exposure to portfolio equities not included in the trading book

(€ million)	Risk-weighted exposures
Equity investments	4,240
Subordinated securities	220
Other	662
TOTAL EQUITY RISK	5,122

Consolidated equity investments mainly consist of La Banque Postale's interest in CNP Assurances.

Unrealised gains and losses and gains and losses on disposals are presented in Tables "3.4 Available-for-sale financial assets" and "4.4. Net gains and losses on assets available for sale".

4.6 OPERATIONAL RISKS

4.6.1 Key figures

The warning thresholds for operational risk are defined in the Risk Management Policy of La Banque Postale Group, approved by the Supervisory Board.

In 2017, there were no significant events, within the meaning of Article 98 of the decree of 3 November 2014.

The “external fraud” Group has been the Group’s main exposure since 2007. These are frequent cases of fraud, mainly linked to means of payment and new distribution channels.

The prevention of external fraud is a matter that is given continuous attention by the Group.

Changes in the organisation to fight fraud, combined with the implementation of targeted actions, has resulted in a significant decrease in the losses associated with this risk.



Breakdown by business line, by average value (from 2013 to 2017)

Business financing	0.0%
Trading and sales	0.3%
Retail brokering	0.1%
Commercial banking	5.0%
Retail Banking	80.3%
Payment and settlement	7.6%
Agency services	0.0%
Asset management	0.5%
Corporate items	6.4%

4.6.2 Regulatory framework and definition

In accordance with EU regulation No. 575/2013 of 26 June 2013 and the decree of 3 November 2014, the definition of operational risk adopted by La Banque Postale, as approved by the Group Risk Management Committee on 26 February 2015, encompasses the “risk of losses resulting from the unsuitability or failure of internal

procedures, personnel or systems, or from external events. Operational risk notably includes risks linked to events having a low probability of occurrence but a high impact, risks of internal and external fraud, legal risks, risks of non-compliance (including damage to reputation), and risks linked to the model, but excludes strategic risks”.

4.6.3 Scope of application

This definition applies to all of the activities of:

- ▶ La Banque Postale and its subsidiaries;
- ▶ La Poste in all sectors performing transactions in the name of and on behalf of La Banque Postale;

- ▶ companies in which La Banque Postale, through investment, plays a direct and effective management role.

The operational risk management procedures rely upon the principal of the empowerment of the businesses in the identification, measurement, hedging and monitoring of their risks.

4.6.4 Governance

4.6.4.1 Positioning of the Operational Risk department

The Group Risk Department is responsible, with respect to the Executive Board, for the procedures for managing and monitoring La Banque Postale Group's operating risks.

As such, the Operational Risk department, under the responsibility of the Group Risk Department, reports to the Group Risk Management Committee for the creation and implementation of procedures for managing and monitoring operational risks.

Missions of the Operational Risk department

As part of monitoring any type of risks associated with operations (volume V of the decree of 3 November 2014), the main missions of the Operational Risk department are:

- ▶ to establish the framework: establish operational risk policy and governance for La Banque Postale Group, define operational risk management standards, methods and tools and ensure their operational application (supervision of the OR function);
- ▶ monitoring: identify the major risks of La Banque Postale Group, monitor and report on the effectiveness of the systems in place to manage those risks;
- ▶ anticipating future threats: identify and model stress test scenarios, identify weak signals;
- ▶ to provide support: help players in the OR function with the implementation and supervision of the system in place in their unit, contribute to building their professionalism.

4.6.4.2 Operational risk management players

The respective roles and responsibilities of players of La Banque Postale Group with regard to operational risk management are set out formally in the "Group Risk Management System – Operational Risks", approved by the Risk Management Committee and distributed to the various Group entities and bodies working in the name of and on behalf of La Banque Postale (La Poste Network).

The application of the "Group Risk Management System – Operational Risks" is carried out through procedures and operating methods set forth in the documentation database for operational risk management.

The key principle is the accountability of business units. Managers of entities are the risk managers who, to carry out their duties, rely on specifically designated employees known as "Delegated Risk Managers".

The Operational Risk department depends on these officers, who are dedicated or who perform operational activities. They comprise the Operational Risk function. The Delegated Risk Managers are placed in the business units, the support departments and the subsidiaries. Within their respective spheres of responsibility, the Delegated Risk Managers:

- ▶ ensure the implementation and application of the operational risk management system;
- ▶ monitor its effectiveness;
- ▶ report to the Operational Risk department.

The Operational Risk department mobilises all players involved in the OR function with the help of an OR functional road map which establishes the action priorities, deliverables and the respective delivery schedule for each year.

4.6.4.3 Bodies

The Operational Risk department participates, on a monthly basis, in meetings of the Group Risk Management Committee, chaired by the General Secretary. The main responsibilities of the committee in terms of operational risks are to validate the Risk Management department operational risks, approve the rules for taking operational risk and the alert thresholds proposed by the Group Risk Department and to track operational risks. Once a year, the Group Risk Management Committee approves the consolidated Group Operational Risk Map and the list of Outsourced Essential Services.

In addition, each entity must hold a Risk and Control Committee meeting twice a year to provide a consolidated view of the effectiveness of the operational risk management system and of the related controls.

The Operational Risk department organises quarterly meetings of Delegated Risk Managers as part of the work of the Coordination Committee for the Operational Risk Function. These Committee meetings notably make it possible to coordinate the actions initiated by the OR function, to exchange good practices and to reflect on changes to be made to the Operational Risk Management System.

4.6.5 Current systems

Operational risks are classified according to the risk category and sub-category framework proposed by the Basel Committee and set forth in Article 324 of EU Regulation No. 575/2013 of 26 June 2013 concerning prudential requirements applicable to Credit Institutions and Investment Firms.

The Operational Risk department manages the implementation of an operational risk analysis and measurement system compliant with the decree of 20 February 2007 on capital requirements applicable to Credit Institutions and Investment Firms and with Regulation No. 575/2012/3.

The system notably depends on:

- ▶ Operational risk mapping;
- ▶ the implementation of a system for communicating events and losses sustained by the various entities of La Banque Postale and the subsidiaries concerned to the Group Risk Department;
- ▶ the implementation of modelling and quantification of operational risk stress tests;
- ▶ reports, consisting of an assessment of operational risk levels by Basel Group, based on events identified and monitoring indicators.

The system implemented aims to ensure that La Banque Postale Group, as well as all entities acting in its name and on its behalf, is organised in such a way that it is able to continually identify, evaluate and monitor its operational risks, so that it can take appropriate preventive or corrective measures.

Thus, operational risk management contributes to strengthening the bank's internal control system.

4.6.5.1 IS security

A risk-based approach to Information Systems Security

Information Systems Security is defined as an overall risk management system guaranteeing an adequate level of protection of information and related assets in order to ensure:

- ▶ its availability by guaranteeing that authorised users have access to the information and related resources as needed;
- ▶ its integrity by guaranteeing the accuracy and reliability of the information and data processing methods;
- ▶ its confidentiality by guaranteeing that only authorised persons have access to the information;
- ▶ its traceability by knowing which persons have access to the information and when they access it.

The process of securing Information Systems is the responsibility of the business lines under the leadership of the Group RSSI (Manager of Information Systems Security). It deals with information security in an interdepartmental manner in all of the La Banque Postale Group's activities.

The process is fourfold:

- ▶ defining La Banque Postale's ISS strategy under the Risk Management Policy. It is made up of the Information Systems Security General Policy, Thematic Policies, Technical Security Directives, operational procedures and IT charters;
- ▶ overseeing the operational application of the ISS Strategy and alerting to any discrepancies;
- ▶ assisting the business lines in complying with the ISS Strategy and offsetting their risks relating to information systems, in particular by:
 - scrutinising their information systems risk analyses,
 - making employees aware of changes in ISS risks;
- ▶ compiling a list of the ISS risks to which La Banque Postale Group is exposed so as to provide the Group Risk Department with the necessary data to inform Executive Management bodies of exposure to risk.

Organisation

In operational terms, ISS consists of identified Correspondents who report to Operational Risks.

4.6.5.2 EBCP and SPB

The Emergency and Business Continuity Plan (EBCP)

The General Policy and Governance of the Business Continuity Plan (BCP) seeks to provide a reference framework by defining the organisation, tasks and responsibilities that it involves and the principles and rules to be observed by the La Banque Postale Group; it forms part of the Risk Management Policy of the Bank. The objectives of the policy are to:

- ▶ control the impact of major events:
 - by implementing and managing developed solutions,
 - by mobilising each stakeholder in La Banque Postale Group;
- ▶ implement governance and a uniform business continuity management system in which the actions are formalised, traced and shared with management, the Group Risk Department and the Executive Board.

Scenarios selected

The Business Continuity Plan of La Banque Postale is based on several technical emergency Information System solutions and a complete organisational procedure notably including an organisational plan, response modes and communication actions.

It aims to cover situations of extreme shocks and is designed to minimally confront the crisis scenarios used by La Banque Postale.

The scenarios used by La Banque Postale have been segmented into four categories:

- ▶ unavailability of a site (building accident, inaccessibility, energy/HVAC failure);
- ▶ failure of information systems and/or technical systems;
- ▶ employee absence (transport difficulties, health crisis);
- ▶ unavailability of essential service providers.

Organisation

The organisational system managed by the Group EBCP Manager of the Group Risk Department, and adopted by La Banque Postale Group to ensure the implementation and maintenance in operational condition of its BCP, relies on a network of correspondents reporting to the risk managers of the Group and Bank business lines:

The BCP Correspondents (BCP-C) ensure the operational implementation of the General Policy and Governance of the Business Continuity Plan, managed by the La Banque Postale's Group BCP Manager, in the business lines and subsidiaries.

They are responsible, within their scope of action, for defining and implementing the organisation and the resources necessary for the management of business continuity with respect to the major and vital processes under their responsibility which must be covered by a BCP, organising exercises, promoting the Bank's business continuity culture and disseminating it in their business lines;

The EBCP entity, under the responsibility of the Group EBCP Manager, is on call 24/7 to handle any major incidents that need to be managed by the bank's managing bodies.

Activities covered by the BCP

To maintain consistency with the other banks operating in Paris, La Banque Postale has grouped its critical business activities by "Banque de France" and "non-Banque de France" macro-processes, prioritising processes according to their criticality, and the Maximum Admissible Period of Interruption.

Safety of Persons and Property (SPP)

The process of ensuring the physical safety of persons and property is the responsibility of the business lines, units, departments and subsidiaries in question and is managed by the Group Risk Department. In order to do so, a frame of reference defining the governance and general principles to be complied with is provided to all operational and functional players and updated on a regular basis. The organisational system is managed by the Group SPP Manager of the Group Risk Department.

The function deals with the safety issues related to threats, malfunctions and malicious intent. It describes the preventive and protective systems and measures for the Group's human and property assets.

The deployment of this framework and compliance relies on a network of correspondents reporting to the risk managers of the Group and the Bank's business lines.

4.6.6 Calculation of capital requirements in respect of operational risk

Calculation method

The entire La Banque Postale Group implements a calculation of capital requirements according to the standardised approach

pursuant to Articles 317 to 320 of EU Regulation No. 575/2013 of 26 June 2013.

The calculation of weighted assets is obtained by multiplying the capital requirements by 12.5.

Summary Table

(€ million)	31.12.2017		31.12.2016
	Risk-weighted assets	Capital requirements	Risk-weighted assets
Standardised approach	9,318	745	9,280

4.7 INSURANCE AND CONGLOMERATE RISKS

4.7.1 Insurance risks

The Insurance Division comprises four subsidiaries constituted as limited companies and a qualifying shareholding in CNP Assurances, itself a limited Company.

Through its insurance subsidiaries – La Banque Postale Assurances IARD (LBPAI), La Banque Postale Prévoyance (LBPP), La Banque Postale Assurance Santé (LBPAS) and La Banque Postale Conseil en Assurances (LBPCA) – and its relationship with CNP Assurances (through both its commercial partnership and its equity interest in CNP Assurances), La Banque Postale Group is exposed to risks inherent to the insurance sector.

The development of La Banque Postale's activities with its customers has relied, since its creation, on the reinforcement of its insurance offers. In this respect, the insurance business is an important element of the Group's strategy.

For more information on the insurance activities, refer to chapter 1 "Overview of La Banque Postale Group", Section 1.6.2 Insurance.

4.7.1.1 Classification of insurance risks

All of the subsidiaries and investments of the Group belonging to the insurance sector must meet, at all times, the regulatory requirements of this sector. Indeed, La Banque Postale, while it is not an insurance Group within the meaning of Article L. 331-1-2 of the French Insurance Code, as the parent company and head of the financial conglomerate, is responsible for ensuring that each of its subsidiaries meets all the requirements and, more generally, as regards the Insurance Division as a whole, that the mechanisms for risk control implemented are in line with, in particular, the Risk Management Policy and the charter of the risk unit of the Group.

The Insurance Risk Management Policy is carried out on the basis of the legal and regulatory framework implemented by the "Solvency II" and "FICOD" directives, transposed into French law. This Policy sets out the strategies, principles and processes making it possible to identify, measure, manage and monitor risks to which the insurance activities of La Banque Postale Group are exposed, including those entrusted to its partners from the insurance sector.

Within the framework of the Group's Risk Management Policy and the Group Risk Management charter, and by delegation of La Banque Postale Group's Risk Management department, the definition and implementation of the risk management system for the management, control and monitoring of the insurance activities of La Banque Postale and its subsidiaries are entrusted to the Finance, Risk and Compliance Department of the Insurance Division which:

- ▶ develops and validates an Insurance Risk Management Policy which is integrated into the Group Risk Management Policy;
- ▶ implements the mechanisms for the control of the La Banque Postale Group's risks, by deploying and adapting them, as applicable, for the Insurance Division, taking into account the applicable sectoral regulations;
- ▶ oversees compliance, by the Insurance Division entities, with the Group systems and with the requirements specific to the Business and the applicable regulations;
- ▶ implements a risk department for the Insurance Division for which it ensures coordination and liaison with the Bank's Risk department. It is led by the La Banque Postale's Group Risk Department with, notably, the Risk and Actuarial department and, within this framework, the employees responsible for risk functions within the Insurance Division are, at least, functionally attached to it.

These mechanisms for controlling insurance risk must make it possible for the Group to have a sub-consolidated vision, at the level of the Insurance Division, of the risks taken and the potential risks, and to ensure at all times that they are compatible with the appetite for risk. Equally, this mechanism must make such monitoring possible on a consolidated basis at the level of the Group.

To ensure that the insurance activities are aligned with La Banque Postale Group in terms of risk management, the Insurance Risk Committee coordinates and supervises the risk management system for the entire Insurance Division, including outsourced activities. In particular, it is in charge of providing a consolidated perspective of Insurance Division risk and of the corresponding level of control.

The committee is chaired by the Head of the Insurance Division and is coordinated by the Divisional Head of Finance, Risk and Compliance. It brings together the Effective Managers and the managers responsible for the Key Functions of the Subsidiaries as well as the managers of the various functions contributing to La Banque Postale's risk control and management system: subsidiaries, the Group Risk Department, the Compliance and Permanent Control Department, the Finance Department and the Legal department.

With regard to the Insurance Division, the **governance of risk** is based on:

- ▶ the executive bodies of each subsidiary: the Board of Directors and its Audit and Risk Committee, in addition to other committees deriving from it: the Financial Committee and the Development Committee, for example;
- ▶ the operational governance bodies: the General Management of the Subsidiary which relies on two managers, each of which has the authority to commit the Company and whose respective scope of duties and the systems allow for a double view on the operations and continuity in decisional processes defined by the Board of Directors;

General Management undertakes various responsibilities with regard to the establishment, management and monitoring of the internal control and risk management system (implementation of the Insurance Risk Management Policy, allocation of capital to the various business activities, defining operational thresholds with regular reviews according to the development of the risk profile; defines in detail the organisation and, notably, the associated decision-making processes; defines and develops an internal control environment; ensures the implementation of an appropriate structured reporting system; examining the indicator dashboard and updating the risk map; recommending measures aimed at adapting and improving the internal control and risk management system to the Board of Directors and applying the Board's guidelines on measures to be taken to mitigate identified risks and/or introduce improvements based on reports received; alerts the Board of Directors of any malfunctions or significant risks);

- ▶ the Insurance general Management Committee, which brings together the Insurance Division Director, the Effective Managers of the subsidiaries, the Human Resources Director, and the director of Corporate Affairs (responsible for implementing the strategic directions of the Insurance Division, ensuring monitoring of the progress plan and implementing any required corrective actions, defining and coordinating the Insurance Division's activities, managing the results and resources of the Insurance Division, proposing structural operational solutions for the Insurance Division, guaranteeing coordination with the Group and providing it with their expertise, proposing new growth projects, developing the Insurance Division's medium-term plan and monitoring its implementation);
- ▶ the Risk Management Committee under the responsibility of the Risk Management Function (definition and monitoring of risk strategy, measurement of the capital levels required and definition

of any corrective actions, oversight of the risk management system and of the control plans, regular production of the risk indicator dashboard);

- ▶ the Model and Assumptions Committee of each subsidiary reporting to the Actuarial Unit (reports on the status of the models, the environment and security in place, approval and reporting to the Risk Management Committee on changes to models and their impact as well as on model thresholds, ensures that there is an adequate level of documentation, obtains approval for the management strategies proposed to business heads, debates the assumptions, legal framework and models used for the decisions);
- ▶ the *Product Review Committee*, reporting directly to General Management (analyses new products and guarantees and their risks in order to verify their match with the business plan and the risk profile of the subsidiary, approves or rejects projects to launch new products or guarantees prior to presentation to the La Banque Postale's Products Review Committee);
- ▶ partnership Management Committees reporting to General Management to verify implementation by service providers of their contractual commitments in terms of risk management and quality of service;
- ▶ the four key functions of each subsidiary: Risk Management, Compliance Checking, Actuarial Verification and Internal Audit (which is delegated to the Internal Audit Department of La Banque Postale). The key functions have direct access to the Board of Directors.

The operational thresholds are set by type of insurance risk, in line with the risk appetite of each subsidiary, and are approved by each subsidiary's Board of Directors. They provide a strict framework for risk management and the selection of risks.

The main risks linked to insurance activities are monitored by La Banque Postale Group's Risk Management Committee and the CNP Assurances' Audit and Risk Committee.

4.7.1.2 Classification of insurance risks

La Banque Postale's Insurance Division risks are grouped into four main risk categories in line with the risk classification of the Solvency II regulations and the conglomerated risk map:

- ▶ financial risks;
- ▶ insurance liability risks (or technical risks);
- ▶ operational risks and risks of non-compliance;
- ▶ other risks.

Market risk

The insurance subsidiaries of La Banque Postale carry out market transactions as part of their balance sheet asset and liability management: shareholder equity and commitments towards policyholders are covered by various categories of assets exposed to the risk of securities' price changes resulting from movements in the financial markets and factors inherent to each issuer.

Market risk is the risk of losses or a negative change in financial situation resulting directly or indirectly from fluctuations impacting the level and volatility of the market value of assets, liabilities and financial instruments.

The insurance subsidiaries are exposed to the following market risks:

- ▶ interest rate risk;
- ▶ equity risk;
- ▶ property risk;
- ▶ spread risk;

- exchange risk;
 - concentration risk;
 - liquidity risk;
 - counterparty risk.

Interest rate risk

Interest rate risk arises from the sensitivity of the value of financial assets and instruments to changes affecting the yield curve or interest rate volatility.

Given that most of the portfolio consists of interest rate products, the asset portfolio is mainly exposed to interest rate risk: an interest rate rise would have an immediate repercussion on the level of unrealised capital gains or losses on fixed-income assets; a fall in interest rates would entail a dilution of the asset's overall rate of return caused by lower actuarial rates upon the purchase of bonds.

Equity risk and property risk

Equity risk and property risk result from the sensitivity of the value of these assets to changes affecting the market value or volatility of equities and/or property.

As with direct investments in equities and through equity investment funds, equity portfolios are sensitive to fluctuations that may be sustained in the equity markets and the risk of loss of value caused by a fall in prices of property and infrastructure assets.

Spread risk

Spread risk arises from the sensitivity of the value of assets, liabilities and financial instruments to changes affecting the level or volatility of credit spreads compared to the risk-free interest rate yield curve.

Exchange rate risk

Exchange rate risk is associated with exposure through investments denominated in a currency other than the euro. There is a risk that the investment currency will fall in relation to the euro. There may be some indirect exchange rate risk exposure arising from placements in investment funds able to invest in securities denominated in a foreign currency.

Exchange rate risk is related to fluctuations in the level or volatility of exchange rates between the currency of assets and of liabilities.

Concentration risk

Concentration risk arises either from insufficient asset portfolio diversification or from significant exposure to default by a single securities issuer or by a Group of related issuers.

Liquidity risk

Liquidity risk, for the insurance subsidiaries, is the risk of being unable to realise their investments and retain assets in order to meet their financial obligations when they fall due.

Counterparty risk

Counterparty risk is the risk of possible losses which could lead to an unexpected default, or the deterioration of the credit quality of the insurance subsidiaries' counterparties and debtors.

The scope of counterparty risk includes contracts with provision for risk mitigation, such as reinsurance contracts, securitisations and derivatives, and receivables due from intermediaries and insured parties.

In order to manage market risk, strategic and tactical investment allocation guidelines are defined annually by the insurance subsidiaries of La Banque Postale Group. These guidelines specify

targets for portfolio distribution by asset class, the maturities and preferred interest rates for fixed-income investments, as well as the bank's objectives in terms of hedging financial risks.

Oversight of the implementation of these guidelines involves assessing compliance with the thresholds applicable to each asset class, monitoring portfolio sensitivity and ensuring a satisfactory liquidity level.

Technical risks, or insurance liability risks

As with their activities in Property & Casualty insurance and in Health & Personal Risk insurance, the insurance subsidiaries of La Banque Postale are exposed to underwriting risk and to catastrophe risk, associated with changes to the features of portfolios of insured parties.

- **Underwriting risk** is defined as the risk which the insurer takes in distributing insurance contracts to physical persons or to legal entities, stemming from:
 - market segments or risk categories which are not consistent with the risk profile and commercial strategies of the insurance Company;
 - complex risk categories which are difficult to assess;
 - insufficient technical competencies within the internal personnel and the sales networks;
 - failure to comply with limits.

Underwriting risk encompasses the following risks:

- **mortality risk** is the risk of loss, or of an unfavourable change in the value of insurance commitments, resulting from fluctuations affecting the level, trend or volatility of mortality rates, when a rise in these rates brings on a rise in the value of insurance commitments;
- **longevity risk** is the risk of loss, or of an unfavourable change in the value of insurance commitments, resulting from fluctuations affecting the level, trend or volatility of mortality rates, when a fall in these rates brings on a rise in the value of the insurance commitments;
- **disability risk** is the risk of loss, or of an unfavourable change in the value of insurance commitments, resulting from fluctuations affecting the level, trend or volatility of disability, sickness and morbidity rates;
- **surrender risk** is the risk of loss, or of an unfavourable change in the value of insurance commitments, resulting from fluctuations affecting the level, trend or volatility of early termination, expiry, renewal and surrender of policies;
- **expense risk** is the risk of loss, or of an unfavourable change in the value of insurance commitments, resulting from fluctuations affecting the level, trend or volatility of expenses incurred for the management of insurance or reinsurance contracts;
- **revision risk** is the risk of loss, or of an unfavourable change in the value of insurance commitments, resulting from fluctuations affecting the level, trend or volatility of revision rates applicable to annuities, as a result of a change in the legal environment or state of health of the insured party;
- **premium and reserve risk** is the risk of loss, or of an unfavourable change in the value of insurance commitments, resulting from fluctuations affecting the occurrence, frequency and gravity of insured events, as well as the date and amount of claim settlements;
- **catastrophe risk** is the risk of loss, or of an unfavourable change in the value of insurance commitments, resulting from significant

uncertainty of pricing and provisioning assumptions in the light of extreme or irregular events.

Through their underwriting policies, the Property & Casualty and Health & Personal Risk insurance subsidiaries define their requirements in terms of controls, management and monitoring of underwriting risk, in line with the features of the portfolios insured. The applicable rules aim to hedge the anticipated level of technical risk. Underwriting thresholds have been defined for each risk.

Operational risks and risks of non-compliance

Operational risks and risks of non-compliance correspond to unforeseen losses resulting from inadequate or faulty internal processes, personnel, internal systems or external events. Operational risk includes legal risks, but does not include risks stemming from strategic decisions, or from reputational risks.

Operational risks include:

- ▶ **risk of internal fraud:** risk of losses resulting from actions which are not compliant with the legislation in effect or with employment, health or safety conventions, claims for compensation for personal prejudice or breaches of equality/acts of discrimination;
- ▶ **risk of external fraud:** risk of losses resulting from actions by a third party intended to defraud, misappropriate property or bypass legislation;
- ▶ **risks related to employment and workplace safety:** risk of losses resulting from actions which are not compliant with the legislation in effect or with employment, health or safety conventions, claims for compensation for personal prejudice or breaches of equality/acts of discrimination;
- ▶ **risk related to customers, products and business practices:** risk of losses resulting from an non-intentional breach, negligence, failure to meet a professional obligation toward specific

customers (including fiduciary and compliance requirements) or shortcomings in the nature or design of a product;

- ▶ **risk of damage to tangible assets:** risk of destruction or damage resulting from a natural catastrophe or other events;
- ▶ **risk of business interruption or system malfunctions:** risk of losses resulting from interruptions of the business activity or system malfunctions;
- ▶ **risks related to the execution, delivery and management of processes:** risk of losses resulting from a problem in the processing of a transaction or in the management of processes or suffered within the context of relations with commercial counterparties or suppliers.

Other risks

Other risks concern those tied to internal and external factors which may have a significant impact on the strategy and the achievement of the objectives of the insurance subsidiaries or of another entity.

They include the following risks:

- ▶ **risk related to regulatory changes:** risk related to regulatory changes which have not yet been mastered which can unfavourably impact the strategy, volume or quality of new business, the profitability of the portfolio or which could result in sanctions. This also includes tax changes;
- ▶ **retail risk:** risk of losses due to a retail strategy which does not enable achievement of the goals initially set in the business plan;
- ▶ **reputational risk:** risk of losses due to the deterioration of the image of a subsidiary or one of its partners;
- ▶ **emerging risks:** risks related to technology and/or environmental changes which have not yet been mastered;
- ▶ **partnership risk:** risk of losses due to a partner strategy which does not enable achievement of the goals initially set.

4.7.2 Compliance with the regulations on additional supervision of financial conglomerates

La Banque Postale was identified as Conglomerate Head by the competent authority upon its creation in 2006 and, in that respect, is subject to Additional Oversight.

The obligations related to Additional Oversight are described in the decree of 3 November 2014 concerning Additional Oversight, transposing EC Directive 2002/87, also known as the FICOD directive.

In this respect, the insurance subsidiaries: La Banque Postale Assurances IARD (LBPAI), La Banque Postale Prévoyance (LBPP), La Banque Postale Assurance Santé (LBPAS) and La Banque Postale Conseil en Assurances (LBPCA), in addition to the qualifying shareholding in CNP Assurances, the La Banque Postale Asset Management firms and the subsidiary Credit Institutions and Investment Firms, are subject to additional oversight in the following areas:

- ▶ the adequacy of equity at the financial conglomerate level;
- ▶ monitoring concentration risk;
- ▶ monitoring intragroup positions.

The conglomerate structure corresponds to the Group structure set out in chapter 1 of this document, while the consolidation method is detailed in chapter 5, Note 11. The governance of CNP

Assurances is described in its own Registration Document for 2016, in chapter 5 related to Corporate Governance and Internal Control (its 2017 Registration Document has not yet been issued).

Other risks are monitored by sector. In some cases, the same risk may have a very different impact according to the sector, such that other risks are individual to each sector. They are subject to specific monitoring by sector (see chapter 4 of the La Banque Postale Registration Document on credit institutions and asset management firms and, specifically, Section 4.9 for the monitoring of insurance subsidiaries, and refer to the CNP Assurances Registration Document (Chairman's report on Risks)).

The monitoring of conglomerate risks led to the implementation of a conglomerate standard within the Group which was approved by the Standards Validation Committee in May 2017.

4.7.2.1 Governance and organisation

Conglomerate risks are monitored, in particular, for:

- ▶ the subsidiaries, at Group body level, namely the Insurance Risk Committee, then the Group Risk Committee (see Section 4.9 on insurance);

- CNP Assurances' qualified participation, at the level of the Conglomerate Committee, which is subject to specific cross-functional monitoring. The Conglomerate Committee meets on a quarterly basis and includes members from the financial functions (accounting and capital planning) and from the internal control functions (risk, periodic, compliance and permanent control) for each entity. Thereafter, monitoring takes place at the level of the Group Risk Committee.

The management and monitoring of risks in the insurance sector is therefore the remit of the Insurance Risk Committee and the Conglomerate Committee. The main risk factors and risk indicators are discussed at meetings of those committees.

The Conglomerate Committee met four times in 2017 and reviewed the following topics related to internal control:

- presentation and monitoring of the Audit Plan;
- presentation and monitoring of the Risk and Permanent Control System;
- presentation and monitoring of the Compliance and AML/CFT system.

The assumptions regarding the trajectory of the insurance subsidiaries and their significant involvement are covered in the Group business plan.

The committees provide significant exchange ensuring excellent additional supervision.

A summary is presented to the Group Risk Management Committee, in particular:

- solvency ratios for the insurance sector;
- monitoring of concentration risk, broken down by the conglomerate's main beneficiaries.

A summary is also presented on the asset management subsidiaries, setting out:

- distribution by asset class and by rating;
- monitoring of concentration risk, broken down by sector, by geographic area and by bank debt beneficiary.

4.7.2.2 Capital adequacy monitoring

As Conglomerate Head, La Banque Postale must ensure the stand-alone capital adequacy of each entity subject to prudential requirements and of the bank at conglomerate level.

The level of capital, at Conglomerate level, must be sufficient to meet the capital requirements (ratio above 100%).

As at 30 June 2017, the equity of the financial conglomerate meets the solvency requirements for banking and insurance activities.

(€ millions)	30.06.2017	31.12.2016	31.12.2015 <i>proforma</i>
Total equity of the financial conglomerate	13,248	12,925	12,860
Regulatory requirement for the regulated entities	7,715	7,458	7,099
Equity excess or shortage	5,534	5,378	5,761

4.7.2.3 Monitoring of concentration risk

La Banque Postale must ensure that its information is complete and comprehensive to provide full and proper oversight of concentration risk. La Banque Postale has all the information required to monitor concentration risk.

In particular, it takes into account, for insurance sector exposures, the different assessment of exposures borne, the bank carrying fully and directly the risk of exposure carried on its balance sheet assets while the insurers' exposures, which are positioned in relation to insurance premiums, generate a residual risk (zero on certain supports) carried by the Conglomerate.

The conglomerate does not change the risk profile of La Banque Postale to a significant degree. It remains exposed mostly to sovereign risk and local authority risk in the euro zone and mainly in France. The remaining exposures are mainly located on the banking counterparties.

4.7.2.4 Monitoring of intragroup position risk

La Banque Postale monitors intragroup positions between the insurance entities and the credit institutions.

Intragroup exposure is limited to the guarantees provided by CNP Assurances (or its subsidiaries (CNP Caution)) for the real estate loan activities, the amount of which does not exceed €1 billion, and the amount of commissions received. There are no refinancing dependencies (senior or subordinated) between the two sectors.

4.8 OTHER RISKS

4.8.1 Legal and tax risk

The Legal department has two roles in terms of controlling legal risk. It advises the bank's Departments, enabling them to measure the legal risk inherent to their activity, and it also defends the bank's interests.

Control of legal risk extends throughout La Banque Postale Group with the formation of the La Banque Postale Group legal unit. While the legal officers of the subsidiaries report functionally to the La Banque Postale Group Head of Legal department, the legal unit ensures there is consolidated information on and management of significant legal risks that could impact the subsidiaries.

The Legal department also contributes to the work performed by the Bank's various committees:

- ▶ within the Regulatory Oversight committee, the Legal department defines, disseminates and implements the policy positions concerning the laws and regulations which affect the Bank's business activities;
- ▶ within the New Products Review committee, the Legal department analyses the cases presented and issues opinions;
- ▶ within the Disputes & Provisions committee, the Legal department discusses the litigation under way and the provisions to be booked for them;
- ▶ within the Internal Control Coordination committee, the Legal department takes part in reviews concerning audits and internal control activities;
- ▶ within the national Watch-list committees and Special Matters & Disputes committees concerning business markets and regional authorities, the Legal department acts as an advisor. It presents the matters being litigated and their provisioning connected to such markets.

On 18 May 2017, La Banque Postale was sanctioned by the Prudential Supervision and Resolution Authority (ACPR) for its failure to observe the internal warning procedure applicable to the redemption of unit-linked products backed by the Progressio mutual fund.

On 31 July 2017, the ACPR issued its final report following an inspection of La Banque Postale's AML/CFT system.

On 21 December 2017, the Paris Court of Appeal, referred to after appeal, confirmed the decision of 20 September 2010 by the Competition Authority which sentenced 11 French retail banks and the Banque de France to a fine for entering into an agreement on cheque image exchange (EIC) commissions.

There are no other governmental, legal or arbitration proceedings, including any proceedings of which the Company is aware, whether pending or threatened, that are likely to have or have had during the last 12 months, any significant effect on the financial position or profitability of the Company and/or the Group.

Fiscal risks are the responsibility of the Tax department attached to the bank's Finance Department. This department centralises fiscal management and consultancy for all the bank's different business lines and the subsidiaries of La Banque Postale. It helps the different contacts to prevent and control fiscal risks.

The Tax department takes part in and issues its opinion within the different internal committees, namely the *Product Review committee*, the Regulatory Monitoring, Prudential Accounting and Governance Monitoring committee, Cross-Entity Securities committee and the Cross-Entity Savings committee.

4.8.2 Risk of non-compliance and permanent control

4.8.2.1 Supervision of the non-compliance risk management procedures

Definition

Non-compliance risk is defined in banking regulations as "the risk of legal, regulatory or disciplinary sanctions, or significant financial loss or damage to reputation, due to failure to comply with provisions relating to banking and financial activities, regardless of whether these provisions are legal or regulatory, directly applicable national or European provisions, professional or ethical standards or instructions from Company managers given in accordance with the guidelines of the supervisory body".

Risk associated with customer protection was introduced into the banking regulations in 2011. When the Prudential Supervision and Resolution Authority (ACPR) was set up, the legislator granted the regulator, through Article L. 612-1 of the French Monetary and Financial Code, the role of "ensuring that persons subject to the control of the regulator comply with the rules designed to safeguard the protection of their customers [...] and that the resources and procedures that they implement to that end are fit for purpose."

In addition, as a provider of Investment Services, La Banque Postale is obliged to comply with the General Regulations of the French Financial Markets Authority (AMF) with regard to risk management and to manage the associated risks.

Non-compliance risk includes risks associated with combating money laundering and the financing of terrorism activities.

The Compliance and Permanent Control Department

The Compliance and Permanent Control Department is directly attached to the Executive Board and is responsible for:

- ▶ the management of non-compliance risk by:
 - managing the mapping of risks associated with customer protection across all La Banque Postale Group entities,
 - the review of new files and products: a *Product Review committee* determines and assesses the risks associated with the creation of new products,
 - supporting commercial communications to develop marketing aids, while implementation of the subsidiarity principle means that this responsibility is shared with the subsidiaries,

- the coordination of measures to combat money laundering and the financing of terrorism, defining procedures, managing TRACFIN (intelligence and action aimed at combating illicit financial circuits) tools and declarations, and the DGTPE (General Directorate of the Treasury and Economic Policy) declarations,
- compliance with the general regulations of the AMF (Autorité des marchés financiers, or French Financial Markets Authority) for investment services,
- the development and publication of good conduct rules and the provision of leadership to the ethics correspondents,
- the investigation of reported ethics breaches,
- central expertise in the field of fraud prevention (identification and control of the risks of fraud, securing and publishing fraud management processes, awareness raising amongst the players and adapted tools). Group-wide fraud monitoring is part of the work of the Operational Risk department (see Section 4.6 on Operational Risk,
- monitoring of regulatory approvals,
- monitoring of the implementation of the corruption prevention system with the Legal Affairs department (law No. 2016-1691 of 9 December 2016, known as the Sapin II law),
- the conduct risk monitoring system,
- participation in various initiatives and projects,
- work on changes to the remuneration processes for salespeople: ensuring that the remuneration processes do not generate conflicts of interest between the Bank, its advisors and customers,
- work relating to cross-cutting projects which have an impact on compliance;
- ▶ the coordination of all level 2 controls via:
 - audits carried out by the banking controllers in the post office network and local public sector and business centres,
 - level 2 audits carried out in the AML-CFT unit,
 - functional management of Level 2 audits in Financial Centres and in the IS department with the participation of the dedicated departments,
 - the implementation of Level 2 audits in entities providing investment services (DOF, SVM, CNVM),
 - supporting and monitoring departments at Head Office and in the subsidiaries in the implementation of their internal control systems.

To do this, the Compliance and Permanent Control Department is divided into three departments:

- ▶ the department for the Protection of Customers and Business Ethics (DPCD);
- ▶ the Financial Transactions Security department (FTSD);
- ▶ the Permanent Control department (PCD).

The Compliance and Permanent Control Department:

- ▶ has its own budget;
- ▶ is entitled to examine the budgets of other “compliance” functions within the system.

In the event that the Head of Permanent Control and Compliance disagrees with those budgets, the department can request a final decision from the Executive Board on the matter.

The Head of Compliance and Permanent Control has full responsibility for:

- ▶ the hierarchical operation of the Permanent Control function, which primarily consists of the heads of Territorial Control responsible for the supervision of banking controllers;
- ▶ and, functionally via the Risk Management department, reporting to the Operations department, by means of the Permanent Control department through its hierarchical link with the managers responsible for internal banking controllers and the banking controllers attached to the Financial Centres.

These responsibilities specifically involve managing careers in a manner consistent with the requirements of each organisation.

All these systems work in a coordinated way and fulfil a dual advisory and control role, in order to ensure that the Company’s best practices, culture, and values are reflected in its day-to-day activities, so as to protect:

- ▶ customers, by ensuring compliance with the customer protection regulations;
- ▶ the Bank and its employees, by ensuring compliance with all regulations;
- ▶ all stakeholders, by combating money laundering and the financing of terrorism.

Within the Compliance and Permanent Control Department, the Permanent Control department is responsible for the hierarchical management of banking controllers working in the Post Office network and Business Centres of La Banque Postale. It supplies banking controllers and their managers with the tools to enable them to carry out their control duties: control plan, control questionnaires and tools for the consolidation of combined results, according to the corresponding level of responsibility of managers.

This responsibility extends to the directors of Banking Risks and Controls and internal auditors in the Financial Centres, via the operational department responsible for control within the Operations department and to the department of Information Systems (DSI) under similar terms.

The DCP is responsible for the functional management of the permanent control procedures put in place by LBP Head Office Departments and its subsidiaries and controls the Outsourced Essential Services.

Thus, it ensures the standardisation of systems across all Group activities which enables it to produce a control plan document which incorporates all the control programmes for: Network, Financial Centres, IT, Investment Services, Head Office, Subsidiaries and Outsourced Essential Service Providers.

The Compliance and Permanent Control Department will report to the Risk department as of 01 January 2018. Its functions and missions will remain the same.

4.8.2.2 Customer protection and investment services compliance

The system for management of customer protection risk is based on the key principle of accountability among all players involved. This principle is the foundation of an efficient customer protection system. All employees must ensure that the work that they perform and the transactions that they handle are executed in accordance with the expected procedures and the level of quality required, while taking into account the customer’s interests. This principle relies on close involvement of managers.

Similarly, all employees must ensure that each project that they work on is managed in compliance with the systems and internal rules of La Banque Postale Group with regard to customer protection.

The job of protecting customers has always been a matter handled with great vigilance by La Banque Postale. It has a system which aims to control, as effectively as possible, the risks to which it is exposed and it ensures that the system is adapted according to needs.

La Banque Postale is equipped to identify potential or proven risks, whether upstream through regulatory monitoring, or with feedback through the analysis of complaints and control results.

The bank has organised a system for managing this risk.

System

Regulatory monitoring allows the bank to follow the texts applicable to transactions and information related to the personnel concerned. It is based on the regulations set out in the decree of 3 November 2014 and is implemented by the Legal department.

Within La Banque Postale, regulatory monitoring is organised around a regulatory monitoring committee, which meets on a monthly basis and which is attended mainly by the legal specialists of the La Banque Postale Group legal unit, and by four Monitoring committees which meet twice per month and are attended by the business units and subsidiaries, the Compliance and Permanent Control Department and the Risk department.

As part of its work on compliance with customer protection regulations, the Compliance and Permanent Control Department establishes the *compliance framework* adopted by La Banque Postale Group in its application of regulatory texts.

To that end, it issues “Compliance Standards”. These standards specify how certain regulatory texts should be incorporated by the business units and subsidiaries.

The Customer Protection and Business Ethics department ensures, through a validation procedure, that the marketing documentation and all marketing aids produced by the business units and subsidiaries are compliant with the regulations and address the interests of customers.

As part of the implementation of the decree of 3 November 2014 in relation to internal control applicable to the creation of new products and to the significant modification of existing products, La Banque Postale set up a *Product Review committee* chaired by the Head of the Compliance and Permanent Control Department.

The Compliance and Permanent Control Department is also where all claims are forwarded by the Supervisory Authorities: the ACPR and the AMF. It is in charge of dealing with these claims by addressing them with a clear and comprehensive response. In addition to the responses given, these complaints are analysed and fed into the *customer protection risk map*.

With the same objective, all claims handled by La Banque Postale are examined as part of an annual report prepared by the Quality department. The Compliance and Permanent Control Department relies on the content of this report to provide information for the *customer protection risk map*.

The *customer protection risk map* is a key management tool. It enables the various entities to identify, manage and monitor the successful handling of customer protection risks. The *customer protection risk map* enables the Compliance Department to monitor, Group-wide, the management of risks associated with customer protection by the business units responsible for them.

This map constitutes a key element for preparation of the control plan.

The entire Compliance and Permanent Control Department function participates in the implementation of this system in the Group.

Compliance of investment services

The compliance control system for investment services is managed by the Head of Compliance for Investment Services, assisted by the Investment Services Compliance Department. The latter department assists with the functional application of the control of the delivery

of investment services by physical persons working under the authority of La Banque Postale, or on its behalf, as well as controlling relationships with customers and with the markets.

The RCSI chairs La Banque Postale Group’s RCCI/CCSN committee, which is a quarterly forum for Compliance and Internal control managers of subsidiaries providing investment services to discuss experiences and dialogue on expertise.

The Investment Services Compliance Department manages the mapping of risks associated with investment services (and ancillary risks). The purpose of this risk mapping exercise is to assess the suitability and effectiveness of the compliance systems in terms of detecting any risk of non-compliance with the professional obligations referred to in Section II of Article L. 621-15 of the French Monetary and Financial Code.

The risk map identifies the professional obligations applicable to the entity in respect of investment services and the compliance systems in place that enable compliance therewith, including the permanent controls. The essential points are the items referred to in the annual survey, addressed to the AMF, which require Level 2 controls. It is based on the results of permanent and periodic controls and on events.

The non-compliance risk assessment enables the frequency of Level 2 controls for investment services to be adjusted, depending on the level of risk.

This risk map feeds into the *customer protection risk map* for matters concerning customer protection, and also feeds directly into the bank’s operational risk map for risks related to market integrity and information barriers.

Finally, the Investment Services Compliance Department prepares a map of the various potential conflict of interest situations in its business activities which could compromise customer interests (and/or those of unit holders). This risk map ensures that organisational or procedural measures are implemented to prevent or manage potential conflicts of interest and ensures that the related controls are carried out and produce satisfactory results.

4.8.2.3 Combating money laundering and illegal activities

The fight against money laundering and the financing of terrorism is managed within the Financial Transactions Security department which reports to the Compliance and Permanent Control Department.

La Banque Postale’s system for combating money laundering and the financing of terrorism is articulated on three levels (national, regional, local), enabling it to assume its responsibilities both on the transactions that it performs independently and on those made in its name and on its behalf by La Poste Network, which is responsible for implementing the resources necessary for the proper completion of transactions that it performs in the name of, and on behalf of the Bank.

Financial Transactions Security department

The fight against money laundering and the financing of terrorism is managed by the Financial Transactions Security department, reporting to the Compliance and Permanent Control Department, whose Head is responsible for the system.

In addition to a very operational activity, namely managing the alerts, the DSOF is the contracting authority for the tools dedicated to the function. A project unit supports all bank projects, from their inception, that may have an impact on its activity. This unit also establishes or updates the regulatory documentation and training related to the AML-CFT function.

It also plays a role in supervision, the provision of expertise and the definition of training for the bank’s AML-CFT function, extended to the managers of these systems in subsidiaries and in the Monaco branch. In particular, it ensures that the system is consistent throughout La Banque

Postale Group with regard to the classification of money-laundering and terrorism financing risks and ensures consolidated reporting.

Finally, the Financial Transactions Security department is responsible for managing the bank's relationships with TRACFIN (AML-CFT) and with the Treasury (financial penalties and embargoes) at national level.

To carry out its work successfully, the Financial Transactions Security department has dedicated resources, including 14 regional TRACFIN informant officers, reporting directly to management. These regional TRACFIN informant officers are the only persons within the function (excluding the subsidiaries, branches and management) authorised to convey suspicious transaction reports to TRACFIN and to respond to the rights of communication exercised by that body. They are also in charge of the implementation of events and awareness raising activities with the La Poste network, Financial Centres and business centres of the Corporate function.

A dedicated AML-CFT function on two levels

The first level consists of the AML units in the Financial Centres (involving around sixty employees), reporting, operationally, to the Financial Transactions Security department and responsible for analysing all alerts from Post Office branches, Corporate business centres and Financial Centres, in addition to the warnings generated by the dedicated AML-CFT software.

In addition, one of the seven AML units is also in charge of the entire procedure for handling first level alerts stemming from filters of financial penalty lists with the aid of a filtering tool, and is responsible for monitoring at-risk countries, particularly fiscally non-cooperative countries and those listed for monitoring by the Financial Action Task Force (FATF).

Having analysed warnings and alerts, the AML unit analysts either proceed to a justified filing with no action, or prepare an investigation file for referral to the Level 2 AML-CFT function.

The fourteen informant officers constitute Level 2 of the function for the AML segment. They receive the investigation files, perform a further examination, complete the assembly of any information gathered and transmit a suspicious transaction report to TRACFIN if the suspicion is confirmed.

With regard to the filtering of financial penalty lists, alerts not raised by Level 1 are transmitted to the dedicated operational unit of the Financial Transactions Security department which manages the entire system.

The local system

The local system is based on the Sector heads for the Post Office branches, the Operational Risk Managers in the Financial Centres and the Business Centre heads for the Corporate function.

- ▶ The Sector heads are the AML-CFT managers in the Post Office branches.

They are in charge of establishing alerts related to anomalies, reported as part of Post Office activities, that are likely to constitute a money laundering or terrorism financing risk. These alert systems feed into the AML-CFT unit's tools for combating money laundering.

They are also in charge of Level 1 control of Post Office branch procedures related to the fight against money laundering. These controls are documented in the Sector Head's control guidance sheet. They must ensure that training delivered to staff on money laundering prevention is properly approved. Level 2 controls are carried out by the banking controllers;

- ▶ The Operational Risk Managers, in the Financial Centres are responsible for risk management, including money laundering and terrorism financing risks. They are responsible for:
 - monitoring specific risks related to sensitive customers and the termination of business relationships,

- monitoring alerts issued by various Centre services,
- raising the awareness of and training the Financial Centre staff with the support of the AML-CTF units,
- ▶ the Business Centre Heads of the Corporate function have the same responsibilities as the Sector Heads with regard to the activities of specialist business centre advisors and the professional customer managers.

4.8.2.4 Ethics

Business ethics

La Banque Postale has chosen to have a Business Ethics function in place since it was first created. By doing so, the bank gives more meaning and visibility to ethics and thus creates a kind of "benchmark" in matters of "rules of good conduct", which is fully consistent with the "whistle-blowing" procedures in the regulations.

The position was expanded to Ethics at the end of 2016. It integrated the corruption prevention system and conduct risk.

To this end, the **banking business ethics function** is structured on three levels:

- ▶ the Head of Business Ethics, reporting to the Compliance and Permanent Control Department;
- ▶ ethics correspondents in the operational units: the La Poste Network, the Financial Centres, the Financial Services and Retail Brand IT Department (DISFE), the other Head Office Departments, subsidiaries, the Asset Management and Insurance units;
- ▶ local contacts who serve as close-at-hand points of contact.

The position of "Business Ethics Officer" defined by La Banque Postale, is held by employees reporting to the Head of Operations, the Head of La Poste Network, the Head of the DISFE, the Head Office Departments, and to the subsidiaries and units.

The role of "Business Ethics Officer" can be assigned to an employee with other responsibilities, to the extent that those responsibilities are independent from his or her business ethics.

These employees are in charge of disseminating business ethics standards within their unit. They guarantee and promote La Banque Postale's rules of conduct.

Local contact points are managed by the Business Ethics Officers.

Because they work at grass-roots level, local contacts are well-positioned to pick up any potential breaches or problems that come to their attention, which they then escalate. They also have an educational role to play by providing information to and raising awareness among their colleagues. Around 100 local contact points have been set up throughout the network. A local point of contact also exists within each Financial Centre in the form of the Head of Permanent Control and Business Ethics.

Risk of non-compliance and permanent control rules of good conduct are incorporated in the internal rules of procedure of La Banque Postale and La Poste. The professional ethics handbook is appended to the internal rules of procedure.

Ongoing training on business ethics issues is provided in all the entities of the Bank, La Poste Network and the Financial Centres and subsidiaries. Specific training is given to new hires.

The ethical conduct Code was revised in 2017 and was completed by Le Groupe La Poste's anti-corruption code of conduct. All staff were invited to an e-learning course on the topic.

In addition, audits are performed to ensure that business ethics standards are applied by the Permanent Control department by incorporating topics relating to business ethics in the control plans.

La Banque Postale has implemented procedures for withdrawing the right to act in its name and on its behalf from La Poste Network and

Financial Centre employees who have breached its business ethics guidelines. This process is managed by the Head of Business Ethics and the Head of Permanent Control and Compliance.

The Business Ethics Division has implemented procedures for escalating and handling breach of business ethics and misuse committed by employees, who have the right to act in the name and on behalf of La Banque Postale. The warnings are recorded by the Permanent Control of the Bank and are forwarded to the supervisors working closely with the concerned persons, with a view to measures being taken.

In terms of governance, a “Business Ethics committee”, chaired by the Head of Business Ethics of La Banque Postale, holds regular meetings. It brings together contacts from La Poste Network, the DISFE, the Operations department, the Human Resources Department and the Risks department. The Committee meetings are periodically extended to all officers of La Banque Postale Group.

4.8.2.5 Permanent control

The aim of the **permanent control system** is to provide independent measurement of the effectiveness of risk management. It is based on the bank’s three lines of defence. It is responsible for coordinating all the controls, and helps to improve the link between risk and control. The entire system is described in the Permanent Control Charter.

Pursuant to Article 13 of the decree of 3 November 2014, La Banque Postale has set up two types of permanent control:

- ▶ the first type, **Level 1 controls**, concerns the permanent controls conducted by agents carrying out operational activities:
 - by the line managers of agents carrying out controlled transactions,
 - by operational staff, as part of cross-checks,
 - by the operational teams themselves, as part of their day-to-day activities;
- ▶ the second type of control, **Level 2 controls**, combines permanent controls carried out by dedicated control agents who do not have an operational role. These controls are carried out retrospectively by personnel dedicated to the permanent control function. The teams concerned may be centralised or may be located according to the activity, business line or entity concerned.

Permanent control at La Banque Postale is managed and coordinated by two entities:

- ▶ the Compliance and Permanent Control Department (DCCP);
 - ▶ the Group Risk Department (GRD);
- according to each one’s respective remit. These departments ensure the successful functioning of the Level 1 and Level 2 control chain.

The general principle for the distribution of tasks among these two departments is as follows:

- ▶ the Compliance and Permanent Control Department is in charge of the operational management of Level 2 controls. It also contributes to Level 1 controls, particularly through the transfer of risk and control indicators, in addition to Level 1 reporting tools defined in close collaboration with the Group Risk Department. The Compliance and Permanent Control Department manages non-compliance risk control. The Compliance and Permanent Control Department is also in charge of Level 2 control for the AML-CFT function;
- ▶ the Group risk control and management function is managed by the Group Risk Department. The Group Risk Department is responsible for managing and fixing the permanent control framework on the credit risk segment (including counterparty risk in market transactions) and financial risk (ALM, liquidity and market risk). Within this framework, the Group Risk Departments in charge of Credit Risk (the Retail Credit Risk department and the Enterprise and Institutional Credit Risk department) and Financial Risk (the Financial Risk department) carry out Level 2 controls

directly, coordinating with and complementing those carried out by the teams monitored by the Permanent Control department (see above). With regard to operational risks, Level 1 permanent control is the responsibility of the business units. They may be supported by the operational risk function monitored by the Operational Risk department (risk approach) and by the permanent control function supervised by the Compliance and Permanent Control Department (business line expertise). The Operational Risk department, supported by players from the Information Systems Security (ISS) and Safety of Persons and Property (SPP) functions, ensures that the ISS and SPP risk control system is operationally sound and efficient. The Operational Risk department is responsible for Level 2 permanent control of the Emergency and Business Continuity Plan. The coordination of Level 2 permanent control of operational risk, is carried out in close collaboration with the Compliance and Permanent Control Department, notably as part of the work of the Risks and Control Coordination committee.

The Group Risk Department is in charge of essential work related to the risk function, required for the consistency, uniformity, effectiveness and comprehensiveness of risk measurement and for the oversight and management of risks. Further details concerning the organisation, work and remit of each segment of the Group Risk Department are set out in the Group Risk Charter.

The Permanent Control department, part of the Compliance and Permanent Control Department, is in charge of the coordination of all Level 2 audits of all entities.

The Head of Permanent Control has full and complete competence with regard to the functional and hierarchical supervision of the unit. These responsibilities specifically involve managing careers in a manner consistent with the requirements of each organisation.

Two Deputy Heads of Permanent Control are responsible for managing the two main units:

- ▶ since the end of 2016, one Deputy Head is in charge of the hierarchical management of the Banking Controllers function, through the heads of Territorial Control. As such, he is the point of contact for banking controllers within La Poste Network and supervises the Banking Controller function across the Network;
- ▶ another Deputy Head of Permanent Control is in charge of the functional management of permanent control of Head Office units and departments. In this respect, since end-2015, he heads the Management department of the Permanent Control function, with responsibility for setting up a standardised and efficient control system within the Head Office Departments, subsidiaries and Outsourced Essential Services.

His sphere of responsibility extends to:

- ▶ the Permanent Control department, within the Operations department, notably through the hierarchical link with the Managers of Internal Banking Controllers and the internal banking controllers attached to the Financial Centres;
- ▶ the Risk Management department within the Information Systems Department-DISFE;
- ▶ the other Head Office Departments which have permanent second level controllers:
 - Corporate and Regional Development Department,
 - Financial Department,
 - Retail Banking department,
 - Human Resources Department.

Through this permanent control system, the Bank ensures that controls are standardised across all Group activities, which allows it to develop a control plan incorporating all control programmes in a single document: Network, Financial Centres, IT, Investment Services, Head Office, Subsidiaries and Outsourced Essential Service Providers.

4.8.3 Environmental risks

These risks are identified and described in chapter 6 of this Registration Document.

4.9 REMUNERATION POLICY

Items related to the remuneration policy are set out in chapter 2 of this Registration Document, under Section 2.1.4 Remuneration. Certain

items will be completed in the half-yearly update of the Registration Document.

4.10 PILLAR III CORRELATION TABLE

CRR Article	Subject	Chapter 4 – Risk Management	Page	Or page of Registration Document
90 (CRDIV)	Return on assets			Chapter 3, page 69
		Operational implementation of the reference framework		
435	Risk management policy and objectives	LCR	Pages 104	
436	Scope of application	Capital management and capital adequacy	Page 89	
437	Capital	Capital management and capital adequacy	Pages 92+	
		Current methodology used to calculate capital requirements		
438	Capital requirements	Capital management and capital adequacy	Page 99 Pages 99+	
439	Exposure to credit and counterparty risk	Credit risks	Pages 110+	
440	Capital buffers	Capital management and capital adequacy	Page 101	
441	Indicators of global systemic importance	Publication of indicators of global systemic importance	Page 104	
442	Credit risk adjustments	Credit risks	Pages 110+	
443	Unencumbered assets	Encumbered/unencumbered assets	Pages 132+	
444	Use of external ratings agencies	Use of external ratings agencies	Page 121	
445	Market risk exposure	Market risk	Pages 133+	
446	Operational risk	Operational risks	Pages 142+	
447	Exposures in equities not included in the trading book	Exposures in equities not included in the trading book	Page 141	
448	Exposures to interest rate risk on positions not included in the trading book	Interest rate risk	Pages 127+	
449	Exposures to securitisation positions	Securitisation	Page 124	
450	Remuneration policy			Chapter 2, pages 52+ Additional information to be provided in the half-yearly update of the Registration Document
451	Leverage	Prudential ratios	Pages 102+	
452	Use of the IRB approach for credit risk	N/A	NA	
453	Use of credit risk mitigation techniques	Credit risks	Pages 119+	
454	Use of the advanced measurement approach for operational risk	N/A	NA	
455	Use of internal models for market risk	N/A	NA	

4.11 DECLARATION OF ITEMS WITH RESPECT TO PILLAR III

La Banque Postale publishes information related to Pillar III in its annual Registration Document.

La Banque Postale considers that the risk management systems currently in place within the Bank, through the various risk identification, measurement and management systems (by type, activity and entity) combined with the cross-functional and forward-looking systems, ensure that the Bank has a comprehensive vision of its risk profile and enables it to put in place the appropriate preventive or corrective actions, as necessary.

Chapter 4, dealing with risk management and information with regard to Pillar III, was presented to the Supervisory Board on 27 February 2018.

The preparation of this chapter was coordinated by the financial communication unit and the information set out therein was produced and documented by the Accounting department, the department of Capital Management and Supervisor Relations, and the Tax department, all three reporting to the Finance Department, the Group Risk Department, the Compliance and Permanent Control Department, the Legal department and the Insurance Division. The information with regard to the remuneration policy was produced jointly by the Company Secretary and the Human Resources Department.

This chapter was also read by the statutory auditors as part of their work to review the Registration Document.

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5.1 CONSOLIDATED FINANCIAL STATEMENTS

Consolidated income statement as at 31 December 2017

(in € thousands)	Notes	31.12.2017	31.12.2016
Interest and similar income	4.1	4,486,251	4,491,693
Interest and similar expenses	4.1	(1,781,441)	(1,663,822)
Commissions (income)	4.2	2,731,890	2,674,666
Commissions (expenses)	4.2	(275,585)	(285,651)
Net gains and losses on financial instruments at fair value through profit or loss	4.3	(8,199)	(12,253)
Net gains and losses on assets available for sale	4.4	278,455	208,069
Income from other activities	4.5	1,086,870	1,047,496
Expenses from other activities	4.5	(831,058)	(857,903)
Net banking income		5,687,183	5,602,295
General operating expenses	4.6	(4,438,688)	(4,411,629)
Net depreciation and amortisation of tangible and intangible fixed assets		(180,633)	(175,821)
Gross operating income		1,067,862	1,014,845
Cost of risk	4.7	(191,887)	(181,214)
Operating income		875,975	833,631
Share of profits of equity associates	3.11	263,399	190,981
Net gains and losses on other assets	4.8	(1,275)	(1,936)
Changes in the value of goodwill		-	-
Pre-tax income		1,138,099	1,022,676
Income tax	4.10	(340,145)	(288,391)
Net income		797,954	734,285
Non-controlling interests		34,255	40,460
NET INCOME, GROUP SHARE		763,699	693,825
Undiluted earnings per ordinary share (in euros)		21.70	19.72
Diluted earnings per ordinary share (in euros)		19.12	17.46
Dividend per ordinary share (in euros)		9.77	8.87

Consolidated balance sheet as at 31 December 2017

(in € thousands)	Notes	31.12.2017	31.12.2016
ASSETS			
Cash, central banks	3.1	3,324,831	2,732,044
Financial assets at fair value through profit and loss	3.2	7,596,135	12,329,901
Hedging derivative instruments	3.3	1,145,753	1,577,501
Available-for-sale financial assets	3.4	17,850,087	18,879,482
Loans and receivables due from credit institutions	3.5	84,087,559	84,461,375
Loans and receivables due from customers	3.6	88,135,172	78,783,991
Revaluation differences on rate hedged portfolios		68,751	137,559
Financial assets held to maturity	3.8	20,734,014	22,270,714
Current tax assets	3.9	204,121	339,671
Deferred tax assets	3.9	112,413	84,450
Accruals and other assets	3.10	3,411,175	3,412,488
Non-current assets held for sale		-	-
Deferred profit-sharing		-	-
Equity associates	3.11	3,383,358	3,226,660
Investment properties	3.12	-	-
Tangible fixed assets	3.12	644,776	661,900
Intangible fixed assets	3.12	618,398	519,456
Goodwill	3.13	160,227	160,227
TOTAL		231,476,770	229,577,420
LIABILITIES			
Central banks		-	-
Financial liabilities at fair value through profit or loss	3.2	532,352	600,095
Hedging derivative instruments	3.3	238,202	914,107
Liabilities due to credit institutions	3.14	14,154,289	19,003,276
Liabilities to customers	3.15	182,563,774	175,994,407
Debt securities	3.16	11,373,237	10,483,528
Revaluation differences on rate hedged portfolios		720,758	1,050,505
Current tax liabilities	3.9	6,870	17,489
Deferred tax liabilities	3.9	112,308	123,126
Accruals and other liabilities	3.17	4,938,504	4,965,332
Insurance company underwriting provisions and shadow accounting	3.18	2,375,566	2,231,202
Provisions	3.19	478,383	590,190
Subordinated debt	3.20	3,888,976	3,780,398
Equity, Group share		9,984,488	9,744,578
Share capital		4,046,408	4,046,408
Consolidated and other reserves		4,045,437	3,821,817
Gains and losses recognised directly in equity		1,128,944	1,182,528
Profit (loss) for the period		763,699	693,825
Non-controlling interests		109,064	79,187
TOTAL		231,476,770	229,577,420

Statement of net income and gains and losses recognised directly in equity

(in € thousands)	31.12.2017	31.12.2016
NET INCOME	797,954	734,285
ITEMS RECYCLABLE IN PROFIT AND LOSS	(49,705)	317,649
Translation adjustments	-	-
Revaluation of available-for-sale financial assets	(63,153)	170,713
<i>Changes in the revaluation reserve</i>	(6,157)	305,042
<i>Reclassification in profit and loss</i>	(56,996)	(134,329)
Revaluation of derivative hedging instruments	(53,637)	154,934
<i>Changes in the reserve</i>	(11,358)	154,934
<i>Recycling under net profit</i>	(42,279)	-
Deferred tax assets	56,727	(145,458)
Items from the share in gains and losses recognised directly in equity from associates*	10,358	137,459
ITEMS NOT RECYCLABLE UNDER PROFIT AND LOSS	(607)	(6,327)
Actuarial adjustments for defined-benefit schemes	(1,078)	(5,966)
Other changes	-	-
Deferred tax assets	1,842	-
Items from the share in gains and losses recognised directly in equity from associates*	(1,371)	(361)
TOTAL GAINS AND LOSSES RECOGNISED DIRECTLY IN EQUITY NET OF TAXES	(50,312)	311,322
NET INCOME AND GAINS AND LOSSES RECOGNISED DIRECTLY IN EQUITY NET OF TAXES	747,642	1,045,607
Of which net income and gains and losses recognised directly in equity, Group share	710,221	1,022,801
Of which net income and gains and losses recognised directly in equity, non-controlling interests	37,421	22,805

* Amounts presented net of deferred taxes.

Statement of changes in equity

(in € thousands)	Share capital ⁽¹⁾	Issue premium	Legal reserves, retained earnings and other reserves	Consolidated reserves	Gains and losses net of taxes recognised directly in equity		Profit (loss), Group share	Equity, Group share	Equity, non-controlling interests	Total consolidated equity
					Actuarial adjustments	Conversion reserves, Changes in the fair value of financial instruments ⁽²⁾				
Equity restated for IFRS at 31 December 2015	4,046,408	16,719	1,315,114	1,967,188	(20,378)	873,929	706,811	8,905,790	238,570	9,144,361
Appropriation of net income 2015	-	-	513,695	193,116	-	-	(706,811)	0	-	0
Distribution	-	-	(318,083)	(41,965)	-	-	-	(360,048)	(22,250)	(382,298)
Sub-total of movements related to shareholder relations	-	-	195,612	151,151	-	-	(706,811)	(360,048)	(22,250)	(382,298)
Changes in gains and losses recognised directly in equity	-	-	-	-	-	171,569	-	171,569	8,379	179,948
Profit (loss) at 31 December 2016	-	-	-	-	-	-	693,825	693,825	40,460	734,285
Sub-total	-	-	-	-	-	171,569	693,825	865,393	48,839	914,232
Effect of acquisitions and disposals on non-controlling interests ⁽³⁾	-	-	-	(80,006)	(15)	26,161	-	(53,860)	(208,725)	(262,585)
Share in changes in equity of equity-accounted associates	-	-	-	3,844	(361)	137,459	-	140,942	-	140,942
Other changes ⁽⁴⁾	-	-	-	252,196	(5,951)	114	-	246,359	22,754	269,113
IFRS equity at 31 December 2016	4,046,408	16,719	1,510,725	2,294,374	(26,705)	1,209,233	693,825	9,744,578	79,187	9,823,765
Appropriation of net income 2016	-	-	621,050	72,775	-	-	(693,825)	-	0	(0)
Distribution ⁽⁵⁾	-	-	(312,101)	(41,966)	-	-	-	(354,067)	(12,338)	(366,404)
Sub-total of movements related to shareholder relations	-	-	308,949	30,809	-	-	(693,825)	(354,067)	(12,338)	(366,404)
Changes in gains and losses recognised directly in equity	-	-	-	-	-	(63,302)	-	(63,302)	3,252	(60,049)
Profit (loss) at 31 December 2017	-	-	-	-	-	-	763,699	763,699	34,255	797,954
Sub-total	-	-	-	-	-	(63,302)	763,699	700,398	37,507	737,905
Effect of acquisitions and disposals on non-controlling interests	-	-	-	(21)	-	-	-	(21)	-	(21)
Share in changes in equity of equity-accounted associates	-	-	-	(1,387)	(1,422)	10,358	-	7,549	-	7,549
Other changes ⁽⁴⁾	-	-	6	(114,736)	781	-	-	(113,949)	4,708	(109,241)
IFRS equity at 31 December 2017	4,046,408	16,719	1,819,680	2,209,039	(27,346)	1,156,289	763,699	9,984,488	109,064	10,093,552

(1) At 31 December 2017, La Banque Postale's capital consisted of 35,186,153 shares with a nominal value of €115.

(2) The gains and losses entered directly in equity include translation reserves from foreign subsidiaries consolidated by the CNP Assurances and AEW Europe groups.

(3) The acquisition of the non-controlling interests of La Banque Postale Prévoyance in 2016 had an overall impact of -€49.7 million on the Group's equity, i.e. +€34 million on the share of equity associates.

(4) Other changes in the years 2016 and 2017 relate mainly to changes in puts over non-controlling interests. In 2017, the improved economic outlook and the refinement of the methodology led to changes of -€114.6 million in Equity, Group share and -€24.7 million in Equity, non-controlling interests.

(5) Of which €42 million corresponding to the payment of the coupon, net of deferred tax asset, on the bond issued.

Net cash flow statement

The cash flow statement is presented using the indirect method model.

Investment activities represent cash flows for the acquisition and disposal of interests in consolidated companies as well as of tangible and intangible fixed assets.

Financing activities represent changes linked to structural financial transactions involving equity, subordinated debt and acquisition of non-controlling interests.

Operating activities include those cash flows that fall outside the two previous categories. More specifically, securities relating to strategic investments included in "Available-for-sale financial assets" and "Financial assets held to maturity" are classified in operating activities.

(in € thousands)	31.12.2017	31.12.2016
Pre-tax income	1,138,099	1,022,676
+/- Net depreciation and amortisation of tangible and intangible fixed assets	181,009	175,995
- Changes in goodwill and impairment of other non-current assets	(373)	(188)
+/- Net provisions and impairment charges	108,348	100,189
+/- Share of profits of equity associates	(263,399)	(190,981)
+/- Net losses/gains on investment activities	1,321	1,726
+/- Other movements	(568,712)	257,558
= Total of non-monetary items included in net income before taxes and other adjustments	(541,806)	344,299
+/- Flow from credit institution transactions	(4,364,065)	8,007,108
+/- Flow from customer transactions	(2,870,378)	(1,006,657)
+/- Flow from other transactions impacting financial assets or liabilities	8,046,895	(861,343)
+/- Flow from other transactions impacting non-financial assets or liabilities	(262,739)	(12,434)
- Taxes paid	(88,699)	(248,225)
= Net increase (decrease) in assets and liabilities from operations	461,014	5,878,449
Total net cash generated from operations (A)	1,057,307	7,245,424
+/- Flow from financial assets and interests	114,322	(209,669)
+/- Flow from tangible and intangible fixed assets	(277,603)	(217,950)
Total net cash from investment transactions (B)	(163,281)	(427,619)
+/- Cash flow from or to shareholders	(358,934)	(404,301)
+/- Other net cash flows from financing activities	153,559	599,144
Total net cash from financial transactions (C)	(205,375)	194,843
Net increase (decrease) in cash and cash equivalents (A+B+C)	688,651	7,012,648
Net cash generated by operations (A)	1,057,307	7,245,424
Net cash generated by investment activities (B)	(163,281)	(427,619)
Net cash generated by financing activities (C)	(205,375)	194,843
Cash and cash equivalents at opening	12,232,749	5,220,102
Cash, central banks (assets and liabilities)	2,732,044	1,811,631
Accounts (assets and liabilities) and overnight borrowing and lending with credit institutions	9,500,705	3,408,471
Cash and cash equivalents at closing	12,921,400	12,232,749
Cash, central banks (assets and liabilities)	3,324,831	2,732,044
Accounts (assets and liabilities) and overnight borrowing and lending with credit institutions	9,596,569	9,500,705
CHANGE IN NET CASH	688,651	7,012,648

The concept of net cash includes cash, receivables and liabilities with central banks and current accounts (assets and liabilities) with credit institutions.

5.2 NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Legal and financial framework

1 Highlights of the year

1.1 Changes in the consolidation scope

Two Dutch debt securitisation funds, LBP Dutch Mortgage Portfolio 1 B.V and 2 B.V, entered the consolidation scope in October and November 2017, respectively. La Banque Postale holds 100% of the debt of these funds. The assets of these funds are comprised of the home loans granted to individuals by Aegon Hypotheken B.V and Rabobank.

The loans in the portfolios represent total net outstandings of €605 million and €593 million, respectively. These funds are fully consolidated.

1.2 Service of general economic interest of banking accessibility

Following confirmation by the European Commission of its compliance with the rules relative to State aid, La Banque Postale recorded the amount adjusted for the compensation received for the service of general economic interest of banking accessibility. This task is described in chapter 7, Paragraph 7.5.2. of the Registration Document. The gross impact relating to 2016 and recorded in the accounts at 31 December 2017 is €130 million.

1.3 Subordinated bond issue

On 16 January 2017, La Banque Postale issued a €150 million subordinated bond maturing in June 2028. This transaction aims to further strengthen its equity with respect to changes in prudential ratios.

1.4 Highlights for CNP Assurances:

Impact of the end of the French government's contribution to statutory increases in certain annuities:

Article 142 of the 2018 Finance Act cancels the French government's contribution to the statutory increase in annuities (with the exception of annuities for veterans) with effect from 1 January 2018. This creates an additional charge of €212 M. At 31 December 2017 total provisions for statutory increases were €225 M, of which €185 M for current annuities and €42 M for deferred annuities. The Group has not taken the option to smooth over 6 years the impact of this article in the 2018 Finance Act on the financial statements.

Partial asset contribution by CNP Assurances to ARIAL CNP Assurances

On 15 December 2015 AG2R LA MONDIALE and CNP Assurances signed a framework partnership agreement for pension plans. The strategic partnership covers supplementary pensions and corporate social commitment under the umbrella of a new joint subsidiary named ARIAL CNP Assurances, accounted for under the French equity method and 40 % owned by CNP Assurances since 1 April 2016. The reinsurance set up by the two shareholders of ARIAL CNP Assurances

reflects both groups' commitment to supplementary pensions and corporate social commitment. The new insurance company therefore combines the business, know-how and investment capacity of AG2R LA MONDIALE and CNP Assurances.

The main features of the framework partnership agreement are:

- Contribution by each partner of its own group supplementary pension contracts invested in UA and euro funds. The contributions are subject to a reinsurance treaty between ARIAL Assurance and each contributor that will ensure that all assigned contracts are fully reinsured;
- A commitment to reinsure all new business brought in by ARIAL CNP Assurances *pro rata* of each partner's share in it.

With respect to the contribution of group supplementary pension contracts, CNP Assurances has transferred the portfolio concerned with balance sheet and fiscal effect at 1 January 2017. The portfolio comprises company group pension contracts denominated in euro and UA totalling €4013 M, assets representing the actuarial reserves denominated in UA and shares and units in UCITS in the same amount. Transfers have been made at net book value. The net assets contributed by CNP Assurances after deduction of liabilities total €23.99 and have been remunerated in full through issue of a new share in ARIAL CNP Assurances, created by means of a capital increase.

Holding in Réseau de Transport d'Electricité (RTE)

On 14 December 2016, an agreement was signed by EDF, Caisse des dépôts and CNP Assurances for the acquisition by Caisse des dépôts and CNP Assurances of 49.9% of the capital of Réseau de Transport d'Electricité (RTE). The transaction is intended to provide RTE with new governance to provide ongoing support for its investment strategy to optimise electricity transport infrastructure for energy transition.

On 31 March 2017, Caisse des dépôts and CNP Assurances became the lead RTE shareholder along with EDF, via the creation of a holding company held jointly by EDF (50.1%) and Caisse des dépôts and CNP Assurances (49.9%). The indirect holding (via CTE) in the capital of RTE is split 29.9% for Caisse des dépôts and 20% for CNP Assurances.

All of the conditions precedent were removed to finalise the transaction. The acquisition price of the CNP Assurances share of capital in the CTE holding was €1,080 million.

The control of RTE shared by the three indirect shareholders is framed by regulations and supervised by the Energy Regulatory Commission (CRE). An agreement was also put in place for the joint exercise of the rights and obligations of CTE shareholders.

CNP Assurances has significant influence in RTE. However, given that the holding is almost exclusively allocated in participatory contracts, the Group opted for the exemption to equity consolidation provided for in Paragraph 18 of IAS 28. CTE shares are recorded at fair value through profit and loss.

CNP Assurances and UniCredit renew their partnership in Italy

On 20 December 2017 CNP Assurances and UniCredit renewed their partnership in personal insurance in Italy, via the company CNP UniCredit Vita, 57.5%-held by CNP Assurances, 38.8% by UniCredit and 3.7% by Cardif. This partnership was concluded for seven years starting 1 January 2018, via the signing of a shareholder's agreement between CNP Assurances, UniCredit and Cardif, and a distribution agreement between CNP UniCredit Vita and UniCredit. The latter plans to create a dedicated marketing structure within the joint subsidiary in order to develop the sales of unit-linked savings products, personal risk and credit insurance policies, in line with the strategy of CNP Assurances to redirect its product mix. Its geographical scope

remains unchanged: it covers the centre and south of Italy, Sardinia and Sicily, i.e. 1,365 UniCredit agencies and points of sale.

2 Post balance sheet events

La Banque Postale Group has not identified any events after the closing of accounts.

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NOTE 1 **PRINCIPAL VALUATION AND PRESENTATION RULES APPLYING TO THE CONSOLIDATED FINANCIAL STATEMENTS**

1.1 Regulatory framework

Regulation (EC) No. 1606/2002 of 19 July 2002 requires companies whose debt securities are listed on a regulated market to apply the accounting basis established by the International Accounting Standard Board (IASB). Accordingly, La Banque Postale Group has since 1 January 2007 prepared its consolidated financial statements under International Financial Reporting Standards (IFRS) as approved by the European Union. More specifically, the Group has chosen to apply the provisions of European Commission Regulation No. 2086/2004 by adopting IAS 39, with the exception of certain provisions. This European regulation therefore allows certain macro-hedging transactions carried out as part of asset and liability management (including notably customer demand deposits) to be treated as fair value hedges.

The full set of standards adopted in the European Union can be consulted on the European Commission's website at the following address:

http://ec.europa.eu/internal_market/accounting/ias/index_fr.htm.

La Banque Postale Group also applies ANC regulation 2016-09 of 2 December 2016 that transposes into French accounting law certain provisions of the European directive 2013/34 relative to transactions to be mentioned in the notes to the consolidated financial statements in accordance with international standards.

The consolidated financial statements are presented in thousands of euros.

Presentation of the financial statements

In the absence of a model imposed by IFRS, the Group has used the summary statement format suggested in Recommendation No. 2013-04 of 7 November 2013 issued by the French National Accounting Authority.

1.2 Standards and interpretations applied by the Group from 1 January 2017

Compared with the consolidated financial statements as at 31 December 2016, the Group implemented the following standards and interpretations, with mandatory application within the European Union from 1 January 2017:

Standards and interpretations	Date adopted by the EU
Amendment to IAS 12: Recognition of deferred tax assets for unrealised losses	6 November 2017
Amendment to IAS 7: Disclosure initiative	6 November 2017

These amendments have no significant impact on the Group's accounts as at 31 December 2017.

1.3 Standards and interpretations not yet applied

The IASB and IFRIC have issued standards and interpretations that were not compulsory as at 31 December 2017. Standards or interpretations published by the IASB but not yet adopted by the European Union will be mandatory only once they have been adopted.

Standards and interpretations	Date adopted by the EU	Effective date ⁽¹⁾
IFRS 9 "Financial instruments"	22 November 2016	1 January 2018
Amendment to IFRS 4 "Applying IFRS 9, Financial Instruments with IFRS 4"	3 November 2017	1 January 2018
Amendment to IFRS 9 "Prepayment Features with Negative Compensation"	Not adopted	1 January 2018
IFRS 15 "Revenue from Contracts with Customers" and its amendment on the date of entry into force	22 September 2016	1 January 2018
Amendment to IFRS 15: "Clarifications to IFRS 15"	31 October 2017	1 January 2018
IFRS 16 "Leases"	31 October 2017	1 January 2019
IFRS annual improvements 2014-2016 cycle	Not adopted	1 January 2017/2018
Amendment to IFRS 2 "Classification and Measurement of Share-based Payment transactions"	Not adopted	1 January 2018
IFRIC 22 – Foreign Currency Transactions and Advance Consideration	Not adopted	1 January 2018
Amendment to IAS 40: "Transfers of Investment Property"	Not adopted	1 January 2018
IFRIC 23 – Uncertainty over income tax treatments	Not adopted	1 January 2019
Amendment to IAS 28: "Long-term Interests in Associates and joint ventures"	Not adopted	1 January 2019
IFRS 17 – Insurance Contracts	Not adopted	1 January 2021

(1) Subject to adoption by the European Union, applicable as of the financial years starting.

At 31 December 2017, the Group has not applied these standards.

- IFRS 9 "Financial instruments" will ultimately replace IAS 39 – Financial instruments: recognition and measurement. It defines new classification and measurement rules for financial instruments, a new method for impairment of financial assets, as well as the processing of the affected hedging transactions.

IFRS 9 was adopted by the European Union on 22 November 2016 and will be compulsory as of 1 January 2018.

Classification and measurement according to IFRS 9

According to IFRS 9, financial assets must be classified at their amortised cost, at fair value in counterparty of equity (recyclable or non-recyclable), or at fair value through profit or loss. The classification of a financial asset in each category must be carried out based on the management models defined by the entity and

the characteristics of its contractual cash flows ("basic loan" criterion).

Debt instruments with contractual flows consisting solely of the payment of principal and interest on principal remaining due ("basic loan" or "SPPI test" criteria) are classified as:

- at amortised cost, if the goal of the management model is to keep the financial assets to collect the contractual cash flows,
- at fair value through recyclable equity if the objective of the management model is to hold financial assets to collect the contractual cash flows and sell the assets.

All debt instruments which cannot be classified at amortised cost or fair value through equity or which are held for transactions must be classified by fair value through profit and loss.

Investments in equity instruments are valued at fair value through profit and loss, with the exception of those which are not held for transaction purposes and for which the standard provides the irrevocable option, on the date of first entry of each instrument, of classification at fair value through non-recyclable equity. In this case, the unrealised gains or losses entered in equity cannot be recycled in profit or loss in the event of disposal.

With respect to the “basic loan” criterion at La Banque Postale Group, studies have consisted in analysing contractual clauses by instrument type (for example, early repayment clauses and clauses related to changes to a fixed rate) which may not correspond solely to payments of principal and interest on the outstanding principal.

Based on these studies, and given current management models, the main reclassifications are as follows:

- in general, loans and receivables due from customers and credit institutions should be entered at their amortised cost, as they meet the “basic loan” criterion and are entered at fair value through profit and loss,
- loan origination transactions for local authorities eligible for disposals to Caffil classified as loans and receivables according to IAS 39 and including their fair value hedging effect are classified using a transaction-type management model as of 1 January 2018 within the framework of the FTA (First Time Application) of IFRS 9 whose effect will be reclassification in an aggregate of financial statements at fair value through profit and loss,
- with respect to securities portfolios, collective investment scheme units which were classified as assets available for sale under IAS 39 and qualified as debt instruments non-compliant with the “SPPI test” under IFRS 9 must be entered at fair value through profit and loss,
- in addition, share investments in equity instruments and investments in debt securities which do not comply with the “basic loan” criterion must be entered at fair value through profit and loss,
- exceptionally, La Banque Postale can leave certain non-consolidated equity investments at their fair value through non-recyclable equity.

Overall, the Group expects a limited impact in terms of financial asset classification.

In addition, specifications are currently being defined for a tool to analyse contractual characteristics to enable the automation of the “basic loan” test for debt securities.

Likewise, in October 2017 the IASB published an amendment limited to IFRS 9 enabling loans that include prepayment options to be considered as meeting the SPPI (“solely payments of principal and interest”) criteria where the lender makes a payment to the borrower as compensation for a prepayment when the value of the prepayment is insignificant (in this case, the lender receives a prepayment amount that is negative when including the compensation for prepayment). LBP group plans to adopt this amendment early, as soon as it is adopted by the European Union (the number of contracts concerned by this type of clause nevertheless remains very small).

With respect to financial liabilities, the standard now requires entry, for financial liabilities entered at their fair value under profit and loss on option, of the change in fair value attributable to the change in credit risk in non-recyclable equity, except in cases in which this treatment would create or increase an accounting mismatch. This provision can be applied in advance for the financial years opened prior to 1 January 2018.

Together with its shareholder La Poste, La Banque Postale decided to apply the provisions for financial liabilities entered at fair value on option in advance, as of the 2016 financial year. The early application of this provision has a limited impact on the financial statements.

Impairment according to IFRS 9

The new provisioning method is henceforth oriented towards an impairment model for credit risk related to expected losses and no longer only to those proven.

IFRS 9 defines a provisioning model, applicable to all financial assets with a counterparty risk (excluding equity instruments) not revalued at fair value through profit or loss, as well as to financing and guarantee commitments.

The current principles of provisioning applied within La Banque Postale Group lead to recognition of asset impairment on an individual and collective basis. Individual provisions are recorded for an asset as soon as there is an objective indication of loss of value. Collective provisions are statistical provisions. They aim to cover the objective indications of loss of value, identified within a portfolio but unable to be allocated individually.

In application of IFRS 9, new impairments, representing the expected credit losses at one year, will be recorded in the amounts outstanding as soon as they enter the balance sheet, and off-balance sheet for financing commitments, as long as they do not present any significant deterioration in credit risk. The outstanding amounts will be in “Bucket 1”.

The outstanding amounts for which a significant deterioration in credit quality has been identified since their date of first entry must be impaired up to the amount of credit losses expected over the residual life of the instrument. The outstanding amounts will be in “Bucket 2”.

The identification criteria for impaired assets (“Bucket 3”) will be the same as those provided for in IAS 39.

In addition, the methodologies developed for IFRS 9 must take into consideration past events such as loss history, current conditions and reasonable and documented economic forecasts (“forward-looking” concept).

As part of the IFRS 9 programme, La Banque Postale has undertaken to use the current risk management system. Significant IT development work is under way, both at the central level and in the subsidiaries, for data collection and the calculation and recording of “Bucket 1” and “Bucket 2” impairment. Impairment will be calculated centrally for the entire group, with the exception of certain subsidiaries. The subsidiaries will comply with the impairment methodology defined by central management to ensure that the methods used are consistent throughout the LBP group.

With respect to measuring significant credit risk deterioration, the work carried out by the Group has primarily consisted in establishing the border between Buckets 1 and 2.

Moreover, there is a rebuttable presumption that credit risk has increased significantly when contractual payments are more than 30 days past due. As such, the Group could retain payment 30 days past due indicating a financial difficulty (*i.e.* not including payments overdue for technical reasons) as the “backstop” in measuring the significant increase in the credit risk and degrading to Bucket 2.

Likewise, designation to a “watch list” could be an indicator (that can be rebutted by the Watch List Committee) of a significant deterioration in credit quality.

The forward-looking component will be obtained via a multi-scenario model approach. Final impairment will reflect the average weighted by the probability of occurrence of each scenario.

This provisioning model, based on expected credit losses and now applicable to all financial assets, will have a moderate impact on equity at the time of the opening balance sheet and show a likely increase in the cost of credit risk in line with changes in outstandings.

Hedging

The IFRS 9 standard covers only micro-hedging transactions. It extends the potential of hedging strategies with, notably, more items becoming eligible for hedge accounting and fewer requirements regarding the effectiveness of hedging relationships.

With respect to macro-hedging, European Union provisions on the fair value hedging of a portfolio of interest rate items will continue in effect.

IFRS 9 provides the option of deferring application of the hedging accounting provisions pending the effective date of the standard on macro-hedging.

The Group took the opportunity to continue to apply the principles of IAS 39 to hedge accounting.

However, the information in the notes relating to hedge accounting will comply with IFRS 7 as amended by IFRS 9 as from the financial year 2018.

Application of IFRS 9 to the “Insurance” sector and to CNP

In November 2017, the European Union adopted the amendment published by the IASB – Applying IFRS 9 – Financial Instruments with IFRS 4 – Insurance Contracts. The IASB’s amendment proposes two options to offset the effects arising from implementing IFRS 9 before the new insurance contracts standard, IFRS 17, comes into effect on 1 January 2021,

- the first option (the “deferral approach”) consists of deferring application of IFRS 9 until 1 January 2021 for entities whose predominant activity is related to insurance. The amendment also provides for an optional temporary exemption from applying certain provisions of IAS 28, thus enabling groups that apply IFRS 9 and accounting for subsidiaries using the equity method to use the accounts drawn up by these subsidiaries for their consolidated accounts without having to comply with IFRS 9 if the standard is not required for the subsidiary.

As the CNP group meets this eligibility criteria to opt for deferred application of IFRS 9, it will thus continue to apply IAS 39 to account for its financial instruments until the financial year 2021. As authorised by the amendment, LBP will make no IFRS adjustments to the accounts of its equity associate,

- the second option, the “overlay approach”, applies to insurance entities having chosen to apply IFRS 9 as of 1 January 2018. This approach permits, under certain conditions, reclassification to other comprehensive income of some of the volatility generated in the income statement by financial assets that were previously accounted for according to IAS 39 as assets available for sale or at amortised cost and that under IFRS 9 would be required to be accounted for at fair value through profit or loss. LBP group chose this latter option for the financial assets held by its fully consolidated insurance subsidiaries. Thus, the volatility resulting

from the adoption of IFRS 9 would be offset until application of IFRS 17 as at 1 January 2021. The subsidiaries concerned by the overlay approach are mainly La Banque Postale Prévoyance, La Banque Postale Assurances IARD and La Banque Postale Assurance Santé.

Date of first application

The provisions of IFRS 9 on classification, valuation and impairment must be applied retrospectively according to IAS 8.

The standard provides some simplifying provisions for the retrospective valuation of certain items.

Moreover, LBP will not adjust its comparative data in its financial statements, in accordance with the option proposed in IFRS 9.

Organisation of the IFRS 9 project at La Banque Postale

The implementation project for IFRS 9 has initially concerned analysis of the standard and the performance of a diagnosis aiming to identify the various effects of the standard and the work to be done, for the classification and provisioning sections.

A proposed framework for change management, both from an operational and IT point of view, has been implemented to ensure that changes are made in compliance with the adoption date, namely 1 January 2018.

Moreover, in 2017 LBP group provided internal training to all business concerned in order to implement suitable procedures for the analysis and control of financial instruments.

The Finance Department, working closely with the Group Risk Department, manages the IFRS 9 programme for the entire group within the context of overall governance;

- IFRS 15 was published in May 2014 and adopted by the European Union on 22 November 2016 and will be compulsory as of 1 January 2018. IFRS 15 will ultimately replace IAS 11 “Construction contracts” and IAS 18 – Revenue, along with the interpretations linked to these two standards. This new standard defines a single income recognition model for sales of goods, provision of services and long-term contracts. At the level of the Group, the income concerned is mainly the commissions received that do not come under the scope of IAS 39, i.e. those that are not included at the effective interest rate.

The main commissions received by the Group have been reviewed and no significant impact was identified;

- IFRS 16 was published in January 2016 and adopted by the European Union on 31 October 2017, with first application on 1 January 2019. The standard will replace IAS 17 “Leases”, as well as the interpretations associated with the recording of these contracts.

According to standard IFRS 16, a contract is considered a lease contract when an asset can be identified and the lessee has exclusive rights to use the asset. All lease contracts require the lessee to record a right to use the asset in their balance sheet and a debt in liabilities corresponding to the discounted value of the rent payments made over the contract period. The right to use the asset is amortised on a linear basis and the financial debt using the amortised cost method over the duration of the contract. The new standard continues to use most of the existing model for lessors.

The impact of IFRS 16 on the Group financial statements is currently being analysed. La Poste Group opted for implementing a shared tool for policy inflows and data processing.

1.4 Principles used in preparing the consolidated financial statements

1.4.1 Determining the scope of consolidation

The consolidated financial statements include the financial statements of La Banque Postale, the consolidated financial statements of the sub-groups and the financial statements as at 31 December 2017 of subsidiary companies and holdings controlled or significantly influenced by La Banque Postale, when such consolidation has a significant impact on the overall consolidated financial statements. Entities that are excluded despite meeting the control criteria are left out when they are considered not significant with respect to three non-cumulative criteria, corresponding to a percentage expressed on the balance sheet, of net banking income or of net income, as well as in view of their multi-year financial histories.

1.4.2 Consolidation methods

The scope of voting rights taken into consideration when assessing the nature of the control exerted by the Group includes the existence and effect of potential substantive voting rights, such as potential voting rights that could be exercised to make a decision pertaining to relevant activities at the next General Meeting.

The consolidation methods are applied according to the nature of the control exercised by La Banque Postale on the entities.

Structured entities and subsidiaries controlled by the Group are fully consolidated.

A structured entity is created specifically to manage a transaction or group of similar transactions and designed to ensure that voting rights or similar voting rights are not decisive in establishing the control of the entity. They are consolidated when they are substantially controlled by the Group, even if there is no equity link.

In accordance with IFRS 10, analysis of the control is identical to that conducted for a subsidiary.

The control exercised over a subsidiary or a structured entity is assessed based on the following three criteria:

- ▶ the power to direct the key activities of the subsidiary, for example through voting rights or other rights;
- ▶ the exposure or rights to variable returns generated by the subsidiary; and
- ▶ the capacity to allocate these returns via the power exercised over the subsidiary.

Joint arrangements in which the Group exercises joint control with other partners are accounted for using the equity method in the case of a joint venture, or consolidated proportionally to the share of interests held in the case of a joint operation.

The Group exercises joint control over a joint arrangement when decisions concerning the entity's relevant activities contractually require the unanimous consent of all partners.

A joint venture is a joint arrangement in which each partner has an entitlement to a share of the entity's net assets.

A joint operation is a joint arrangement in which the partners have direct rights to the entity's assets and obligations for its liabilities. A joint operation is consolidated according to the share of assets, liabilities, income and expenses controlled by the Group.

Companies over which the Group has a significant influence are accounted for using the equity method.

Significant influence is defined as the power to participate in the financial and operating policies of a subsidiary without having control of it. This influence may notably stem from representation on the subsidiary's management or supervisory bodies, involvement in strategic decisions, the existence of significant inter-company operations, the exchange of management staff, or from technical dependency. Control is assumed to exist from the moment that the Group holds at least 20% of the voting rights, either directly or indirectly.

1.4.3 Consolidation rules

Restatements and eliminations

The restatements and reclassifications required for the financial statements of all consolidated subsidiary companies to comply with the Group's accounting principles are made.

Reciprocal accounts are eliminated, as are income and expenses arising from internal group transactions and which have a material impact on the consolidated financial statements.

Conversion of the financial statements of foreign subsidiaries

For entities for which the functional currency is not the euro, the balance sheet statements of foreign subsidiaries are converted at the applicable year-end exchange rate.

Income and expenses in the income statement are converted at the average exchange rate for the period.

Translation differences arising from changes in the exchange rates applied to equity capital, reserves and net income are entered under "Unrealised or deferred gains and losses – Translation adjustments".

When the Group prepared its first consolidated financial statements according to IFRS, it made use of the option provided by IFRS 1 to transfer the cumulative translation adjustments as at that date to the consolidated reserves. This option only applied to the foreign entities of the CNP Assurances group, which became the first to adopt IFRS in financial year 2005. In the event that these entities are subsequently sold, the sale proceeds will only include the reversal of translation adjustments generated from 1 January 2006 onwards.

Business combinations

Business combinations prior to 1 January 2010 were treated by the Group using the acquisition method, according to the provisions of the initial version of IFRS 3.

Business combinations since 1 January 2010 are handled by the Group based on the acquisition method, in accordance with revised IFRS 3. Business combinations prior to 1 January 2010 were not restated to reflect the implementation of revised IFRS 3, which is prospectively applied.

The cost of acquisition is defined as the total fair value cost on the date of acquisition of the assets acquired, the liabilities transferred, and the equity instruments issued in exchange for control over the acquired company. Any price adjustments are included in the acquisition cost at their estimated fair value on the acquisition date, and revalued on each reporting date, with subsequent adjustments recognised in the income statement.

The identifiable assets, liabilities and contingent liabilities of the purchased entities are recorded at their fair value on the acquisition date. The contingent liabilities of the acquired entities are only recognised on the consolidated balance sheet if they represent an actual obligation at the time of the combination, and if their fair value can be estimated on a reliable basis.

Non-controlling interests may, at their acquisition date, be valued either at fair value or at their proportional share of the fair value of the identifiable assets and liabilities of the acquired entity. The choice between these two methods is made for each business combination.

Costs that are directly attributable to the business combination transaction represent a separate transaction and are recorded under profit and loss.

The positive difference between the sum of the entity's acquisition cost, non-controlling interests and the fair value of any previously held share, and the revalued net assets is recorded as an asset in the consolidated balance sheet under "Goodwill"; any negative difference is immediately allocated to profit and loss.

Analyses required for the initial valuation of these items and any potential adjustments may be carried out within a period of 12 months from the acquisition date.

Goodwill is retained on the balance sheet at historical cost in the reference currency of the subsidiary acquired, and is converted at the official exchange rate at the reporting date.

Goodwill is regularly reviewed by the Group, and impairment tests are performed at least once a year, and as soon as any loss of value occurs.

When the recoverable value of the underlying asset, defined as the higher of the market value or value in use of the underlying asset concerned, is lower than its carrying amount, an irreversible impairment is charged to the income statement.

The carrying amount of goodwill for associates is included in their valuation using the equity method.

In cases where non-controlling interests are acquired in a subsidiary that is already controlled, additional goodwill corresponding to the difference between the total acquisition cost of the additional stake and the Group's share in the net assets acquired is deducted from equity if positive, and recognised as an increase in equity if negative. Likewise, a transaction resulting in a decrease in the percentage of the Group's interest in an entity over which it retains exclusive control is recognised within equity.

At the time an entity is taken over, any share previously held in it is revalued at its market value and booked to the income statement.

Repurchase commitments granted to minority shareholders of fully consolidated subsidiaries

Non-controlling interests are stakes that do not give the Group control and include instruments that represent a share of ownership interests that grant the right to a share of net assets in the event of liquidation, and other equity instruments issued by the subsidiary and not held by the Group.

In their current wording, IFRS 10 – Consolidated Financial Statements and IAS 32 – Financial Instruments: Presentation lead the Group to recognise a debt with respect to commitments to purchase non-controlling interests, offset by a reduction in non-controlling interests. The Group has chosen to deduct from equity the difference between the amount of the commitment and the non-controlling interests offsetting the debt.

Subsequent movements are recognised under reserves, Group share.

The share of net income attributable to minority shareholders who hold purchase options is shown under "Non-controlling interests" in the consolidated income statement.

Consolidation of the insurance activities

The financial assets and liabilities of the Group's insurance companies are mostly valued and recognised according to IAS 39.

However, the following policies are recognised according to IFRS 4:

- ▶ insurance policies that include a contingency clause for the policy holder. This category covers personal risk contracts, pensions, property damage and unit-linked savings policies with a guaranteed floor;
- ▶ financial contracts issued by the insurer that include a discretionary profit-sharing clause.

In accordance with IFRS 4, local guidelines for valuing underwriting provisions are retained for both types of contract.

The financial contracts covered by IAS 39 are investment contracts with no discretionary profit sharing: unit-linked savings policies with no euro-denominated underlying or minimum guarantee.

Pursuant to the "shadow accounting" principles set out in IFRS 4, a provision for deferred profit-sharing is recorded for insurance policies that included a discretionary profit-sharing clause. This provision is determined in a way that reflects the potential rights of policyholders to share in unrealised gains on financial instruments valued at fair value or in potential losses in the event of unrealised losses on those instruments.

On each reporting date, the Group's insurance companies implement a liability adequacy test which checks that the recognised insurance liabilities, net of deferred acquisition costs and associated intangible assets, are adequate, using current estimates of future cash flows arising from insurance policies and financial policies with discretionary profit-sharing.

Technical and mathematical provisions

Technical provisions represent commitments to policyholders.

- ▶ Mathematical provisions for euro-denominated policies correspond to the difference between the present value of the insurer and the policyholder's commitments.

Life insurance reserves are recorded based on discount rates that are at most equal to prudently estimated rates of return on the underlying assets.

The net present value of commitments is calculated by choosing a discount rate that is at most equal to the pricing rate of the policy involved and by using statutory mortality tables or tables based on experience if these are more cautious. Lower interest rates are factored into investment income discount rate calculations when the rate is deemed to be too high relative to the expected reinvestment prospects.

Mathematical provisions for unit-linked policies are valued on the basis of the underlying assets. Gains or losses resulting from the revaluation of these policies are recognised in profit and loss in order to cancel out the impact of movements in underwriting provisions.

- Contractual equalisation reserves are established to meet the exceptional costs relating to transactions covering natural hazard risks, atomic risks, civil liability risks due to pollution, space risks, risks related to air transport, and risks related to terrorism and terrorist attacks.
- Other reserves include reserves for outstanding claims. These reserves are valued on the basis on the estimated value of foreseeable expenses net of any recoveries.

Deferred participating assets

Most financial contracts issued to policyholders by the Group's life insurance subsidiaries include a discretionary profit-sharing clause.

The discretionary participating clause entitles life insurance policyholders to receive a share in any financial gains, as well as the guaranteed income. Pursuant to the "shadow accounting" principles set out in IFRS 4, the provision for deferred profit-sharing for these policies is adjusted to reflect the policyholders' entitlement to any unrealised gains or to their share of unrealised losses on financial instruments valued at fair value under IAS 39. The share of gains to which policyholders are entitled is determined according to the specific features of the policies likely to benefit from such gains.

The amount of the net deferred share in profits established by shadow accounting is recognised either in balance sheet liabilities (net deferred participating liabilities) or assets (net deferred participating assets) depending on the situation of the entity concerned.

A recoverability test is conducted on any asset-based deferred profit-sharing. The aim of this test is to show that the profit-sharing amount is recoverable through sharing in future or unrealised gains, against the background of the Group's business continuity, and will not result in any inadequacy of the commitments recognised in the Group's accounts in respect of these economic commitments. The recoverability test is performed by using current estimates of future policy cash flows. The test is based on tools for modelling the asset/liability management of the subsidiaries involved, and enables a value

to be assigned to commitments under a high number of economic scenarios using a stochastic approach.

In accordance with the recommendation of the French National Accounting Council (CNC) of 19 December 2008 on methods for recognising deferred participating assets issued, recoverability of the participating asset is based on a prudent assessment of the capacity for holding the assets, particularly in terms of their future collection in forecast cash flows.

Likewise, the capacity of future returns to absorb unrealised losses was tested, based on an unfavourable repurchase scenario that has never been experienced up until now.

1.4.4 Sector information

The Group is divided into three separate divisions:

- the Retail Banking Unit, which includes the banking or credit institution businesses, as well as the limited property investment partnerships (SCIs) holding the operating premises, and the Group holding company;
- the Asset Management Unit, which includes the Group's UCITS management companies;
- the Insurance Unit, which includes the individual and collective property and casualty, personal risk, life and health insurance companies.

The sector information in the notes to the financial statements is shown without any reallocation of shareholders' equity or return on this equity. The sector results are presented by breakdown of the internal and external income and expenditure of each sector. The tax shown is the real tax charge for each sector. Potential goodwill impairment charges are shown in the sector of the entity. Asset and liability items are shown after elimination of reciprocal transactions.

No presentation by geographical segment is provided, since the Group's business activities outside the domestic French market are not material.

1.5 Presentation and valuation rules

Foreword: Some information on market risk and the disclosures required by IFRS 7 is included in the Risk Management section of the Registration Document.

The information required under IFRS 7 that is presented - and which is part of the notes to the consolidated financial statements - is covered by the report on the consolidated financial statements issued by the statutory auditors.

1.5.1 Foreign currency transactions

At the reporting date, monetary assets and liabilities denominated in foreign currencies are converted into euros, the Group's functional currency, at the closing rate. Unrealised or realised gains and losses are recognised in the profit and loss statement.

The value of non-monetary assets is converted into euros at the reporting date exchange rate. Exchange differences on non-monetary items denominated in foreign currencies are recognised in the income statement if the gain or loss on the non-monetary item is recorded in the income statement, and in equity if the gain or loss on the non-monetary item is recognised in equity.

1.5.2 Financial assets and liabilities

When initially recognised, financial assets and liabilities are valued at fair value, net of acquisition expenses that are directly related to the acquisition (except for financial instruments recognised at fair value through profit and loss).

Financial assets and liabilities are classified in one of the four following categories:

1.5.2.1 Loans and receivables

Loans and receivables are non-derivative financial assets not listed on an active market and with income that is fixed or can be determined. They include credit institution and customer loans and receivables. Following their initial recognition, they are recognised at amortised cost using the effective interest rate method and may be subject to impairment, if required.

The effective interest rate is the exact rate used for discounting future cash flows at the initial fair value of the loan. It includes transaction costs and ancillary revenues (arrangement fees, commitment fees when drawdown is deemed more likely than not, or participation fees) directly related to the issuance of loans, considered to be an integral part of returns on lending.

Exceptionally, certain securities may be recognised in this category. They are then subject to loans and receivables accounting, valuation, and impairment rules.

Impairment of loans and receivables

The provisioning process applies to outstanding overdrafts, home loans and consumer credit, lease finance and loans to corporate customers.

Specific loan impairment

The Group begins by identifying whether there is objective evidence of an event occurring after a loan was granted that is likely to lead to a loss of value. These may be outstandings that are the object of litigation proceedings, or commitments with respect to counterparties whose financial position has deteriorated, resulting in a risk of non-recovery.

The Group also considers as an objective indication of loss of value:

- ▶ one or more missed payments overdue by more than three months;
- ▶ when an over-indebtedness plan has been requested from the Banque de France.

The outstanding loans and commitments concerned are identified in a specific category.

- ▶ Scope of home loans.

In the Group, specific provisioning for loans can be statistic (based on historical data by homogeneous category), or individual by counterparty.

Amounts outstanding for which there is an objective indication of loss of value are weighted by a factor of “best estimate of expected loss on exposure at default”, adjusted to recognise certain elements (such as the effect of a slowdown in the economy). This factor is determined according to the length of default and the type of security.

The amount of the impairment is recognised in “Cost of risk” on the income statement, and the value of the financial asset is reduced through recording an impairment charge.

Applying the contagion principle, all loans outstanding to the same beneficiary are provisioned as soon as one loan to that beneficiary is provisioned within the Group.

In the event of reassessment of impaired home loans, provisions may be reversed fully or in part and loans reclassified as performing loans when all arrears have been paid and regular payment of the amounts corresponding to the contractual instalments have been made for a period of at least two months.

- ▶ Scope of lease finance and loans to corporate customers.

Within this scope, specific provisioning of amounts outstanding is tracked monthly and adjusted as necessary based on an expert opinion. An impairment is then recorded on the difference between the carrying amount and the net present value of the expected cash flows, discounted at the original effective interest rate, and determined taking account of the financial position of the borrower and the present value of guarantees received. The amount of the impairment is recognised in “Cost of risk” on the income statement, and the value of the financial asset is reduced through recording an impairment charge.

Applying the contagion principle, all loans outstanding to the same beneficiary are provisioned as soon as one loan to that beneficiary is provisioned within the Group.

Collective loan impairment

In addition, loans that are not impaired on an individual basis are analysed on the basis of homogeneous portfolios presenting similar risk features and, where required, impaired on a collective basis. This

process involves a group of “sensitive” loans showing initial signs of default risk, similar at the portfolio level to an objective indication of loss of value, but that cannot be individually allocated.

These cases are provisioned on the basis of probability of their transfer to “doubtful” status, calculated based on historical observations. The risk of loss taking into account the nature of the guarantee is calculated in the same way as for doubtful cases, and is the subject of a provision, based on the discounted recoverable cash flows.

The amount of the impairment is recognised in “Cost of risk” on the income statement, and the value of the financial asset is reduced through recording an impairment charge.

Impairment of outstanding overdrafts

The provisioning of outstanding overdrafts applies to active and closed accounts. It is done monthly and factors in the duration of the overdraft for each account. Very small amounts are immediately recorded as losses.

Provisioning for accounts that are still open is carried out using the same method applied to home loans.

The Bank examines the outstanding debt position, even when it falls within the authorised overdraft limits, as soon as it involves a counterparty considered to be risky and exceeds 30 consecutive days, or else when there has been a missed payment. Impairments on these accounts are then recorded and change with the account balance. The contagion principle applies to other loans of the same category. Beyond a certain period, the account is closed.

Debt restructuring

Restructured loans are loans for which the entity has modified the original financial conditions due to the borrower’s financial difficulties.

Restructuring operations are defined according to two main criteria:

- ▶ concessions by the bank;
- ▶ the borrower’s financial difficulties.

The discount arising from a restructured loan is recorded under cost of risk and on the balance sheet as a deduction from the corresponding amount outstanding. It corresponds to the difference between the nominal value of the debt before the restructuring and the discounted value at the original effective rate of the new expected future flows. The discount is recognised through profit or loss in the interest margin, according to an actuarial method over the term of the loan.

- ▶ Retail customers.

The restructured counterparty has a probationary period of 36 months of no missed payments before being considered performing once again, and with no specific monitoring. After being reclassified as performing debt, if the borrower does not meet the fixed instalments, the restructured loans are immediately downgraded and individually provisioned as from the 1st missed payment overdue by more than 30 days.

- ▶ Non-retail customers.

In the case of non-retail customers, a 12-month probationary period is applied on a case-by-case basis, based on expert opinion and a bank analysis. Reclassification to “performing under watch” is done by the Customer Monitoring Department and validated by the Risk Department.

Note that restructured loans reclassified to performing exposures remain under watch during a two-year probation period and will be provisioned once again on an individual basis if any payments are missed during this period.

Financing commitments

Financing commitments that are not viewed as derivative instruments are not shown on the balance sheet.

Guarantee commitments

Guarantee commitments are valued according to the likelihood of these guarantees being exercised. Provisions are booked under liabilities.

1.5.2.2 Financial assets and liabilities at fair value through profit or loss

Securities classified in this category represent financial assets and liabilities held for transaction purposes, i.e. securities originally acquired with the intention of reselling them in the short-term, together with assets and liabilities that the Group designated from the outset to be valued at fair value through profit and loss, in accordance with the option provided by IAS 39, subject to compliance with the conditions set out by the standard, namely:

- ▶ eliminating or significantly reducing accounting mismatch. This is how the Group assesses the fair value of certain structured issues through profit and loss;
- ▶ Group of financial assets/liabilities for which management and performance are assessed at fair value;
- ▶ compound financial instruments containing one or more embedded derivatives. The Group has notably chosen to recognise as financial assets at fair value through profit and loss some portions of compound financial instruments including embedded derivatives that are not closely related.

Movements in fair value are recorded in profit or loss for the period under "Net gains or losses on financial instruments at fair value through profit or loss". The same applies to dividends from variable-income securities and capital gains or losses on disposals. Income received on fixed-income securities is recorded in "Interest and similar income".

1.5.2.3 Financial assets held to maturity

Financial assets held to maturity are listed financial assets with fixed or determinable income and maturity that the Group intends and is able to hold until maturity, and that it has not chosen to classify as financial instruments at fair value through profit or loss or as financial instruments available for sale.

With a few limited exceptions, IAS 39 forbids the sale or transfer of these securities before they mature. Infringing this rule would result in the Group being prohibited from classifying securities in this category for two financial years.

Interest-rate risk hedging transactions on this category of securities are not eligible for hedge accounting as defined by IAS 39.

At year-end, the securities are valued at amortised cost according to the effective interest rate method, which includes amortisation of the premiums and discounts that correspond to the difference between their acquisition and repayment values.

Income received in respect of these securities is shown under "Interest and similar income" on the income statement.

Where there is an objective indication of impairment, a provision is recorded to represent the difference between the carrying amount and the estimated recovery value, discounted at the original effective interest rate. This impairment charge is offset against the cost of risk. In the event of a subsequent improvement, the excess provision, which is no longer required, is reversed.

1.5.2.4 Financial assets available for sale

Available-for-sale financial assets form a category by default, and include financial assets that are not classified as loans and receivables, or as financial assets held to maturity or at fair value through profit or loss.

These assets are recognised on the balance sheet at their market value at the time of their acquisition and at subsequent year-ends until they are sold. Changes in fair value are recorded in a specific line in equity: "Unrealised or deferred gains and losses". These unrealised gains and losses recognised in equity are not recognised in the income statement unless they are sold or impaired. Income accrued or received from fixed-income securities is recognised in profit and loss according to the effective net interest method in "Interest and similar income". Dividends received on variable-income securities are recognised in "Net gains or losses on available-for-sale financial assets" in the income statement.

When the securities are sold, the unrealised gains and losses that were previously recorded in equity are recycled through the income statement in "Net gains or losses on available-for-sale financial assets".

Impairment of available-for-sale financial assets

In the event of a prolonged or material reduction in the fair value of equity instruments, an impairment charge is recorded on available-for-sale financial assets. The same applies to equity securities in the event of a significant deterioration in the credit risk. The decrease in the fair value of a security is deemed to be significant when an equity instrument has lost at least 40% of its value between the acquisition date and the reporting date. When such objective evidence of impairment is observed, the unrealised loss that had hitherto been directly recognised in equity is automatically recognised through profit and loss. The decrease in the fair value of a security is assumed to be long-term when it extends over a period of more than 24 months. In this case, the Group examines whether there are grounds to recognise the impairment through profit and loss, depending on the level of significance of the unrealised losses.

This approach does not rule out the line-by-line examination of objective indications of impairment.

Moreover, the CNP Assurances group, as part of its insurance company management, uses specific criteria to determine indications of impairment on available-for-sale securities. These criteria are not re-estimated when CNP is included in the Group's consolidated financial statements via the equity method. This principle takes into account the specific management and risk framework that is inherent to CNP Assurances.

For debt instruments such as bonds, an impairment is recorded when there is a proven counterparty risk.

Losses on the impairment of variable-income securities recognised in profit and loss cannot be reversed while the instrument concerned is shown on the balance sheet. They are recognised in "Net gains or losses on available-for-sale financial assets". Losses on the impairment of fixed-income securities are reversible and are recognised in cost of risk when they involve credit risk.

1.5.2.5 Date of entry

Securities are recorded on the balance sheet at their settlement and delivery date, while derivative instruments are entered at their trading date. Changes in fair value between the trading date and the settlement and delivery date are entered in profit and loss or in equity, depending on their accounting classification. Loans and receivables are recorded on the balance sheet at their disbursement date.

1.5.2.6 Reclassification of financial assets

A number of reclassifications are permitted:

Reclassifications permitted prior to the amendments to IAS 39 and IFRS 7 adopted by the European Union on 15 October 2008

These notably include reclassification of available-for-sale financial assets to "Financial assets held to maturity".

All fixed-income securities that meet the definition of securities held to maturity and with a specified maturity may be reclassified, provided the Group modifies its management intention and decides to hold the security to maturity. The Group must also have the capacity to hold the securities to maturity.

Reclassifications permitted since the amendments to IAS 39 and IFRS 7 adopted by the European Union on 15 October 2008

This text sets out the methods for reclassifications to other categories of non-derivative financial assets measured at fair value (with the exception of those measured at fair value as an option):

- ▶ reclassification of trading securities to "Available-for-sale financial assets" or "Financial assets held to maturity". All non-derivative financial assets can be reclassified once the Group can prove the existence of "rare circumstances" justifying the reclassification. Note that the IASB considered the financial crisis in the second half of 2008 to be an example of a "rare circumstance". Only fixed or determinable-income securities can be reclassified to "Financial assets held to maturity". The credit institution must also have both the intention and capacity to hold these securities to maturity. Securities in this category cannot be hedged against interest rate risk;
- ▶ reclassification of trading securities or available-for-sale securities to "Loans and receivables". Non-derivative financial assets that meet the criteria for "Loans and receivables" and, in particular, any fixed-income securities not listed on an active market, may be reclassified, provided that the Group modifies its management intention and decides to hold the security for the foreseeable future or to maturity. The Group must also have the capacity to hold these securities over the medium to long term.

Reclassifications are carried out at market value on the date of reclassification and financial assets transferred in this way are then valued according to the rules applicable to their new category. The transfer price at the reclassification date represents the initial cost of the asset when determining potential impairment charges.

A new EIR is then calculated in order to enable the new depreciated cost to converge towards the repayment value of the instrument. At the same time, profits and losses that were previously recorded in equity are amortised through profit and loss over the residual life of the instrument using the effective interest rate method.

In the case of impairment subsequent to the reclassification date of a security that was previously classified under available-for-sale financial assets, the unrealised loss in gains and losses recognised directly in other comprehensive income on the reclassification date must be immediately reversed through the income statement.

1.5.2.7 Debt

Debt that is not classified as financial liabilities at fair value is initially recorded at cost, which corresponds to the fair value of the amounts borrowed net of transaction costs. At the reporting date, the debt is valued at amortised cost according to the effective interest rate and recorded in the balance sheet under "Liabilities due to credit institutions", "Liabilities to customers", "Debt securities" or "Subordinated debt", except in cases where it has been hedged at fair value.

Liabilities due to credit institutions and to customers

Liabilities due to credit institutions and liabilities to customers are broken down according to their initial maturity or the nature of the debt: demand (overnight deposits, ordinary accounts) or long-term debt (special scheme savings accounts). This debt includes securities and shares delivered under repurchase or lending agreements.

Debt securities

Financial instruments are classified as debt instruments if the issuer is required to remit cash or other financial assets or to exchange instruments under potentially unfavourable conditions. Debt securities consist of negotiable debt securities issued by La Banque Postale.

The debt is initially recognised at face value and is then valued at amortised cost using the effective interest rate method at subsequent year-ends.

Subordinated debt

Subordinated debt includes debt where repayment is only possible once other senior or secured creditors have been repaid in the event that the debtor's assets are liquidated. This debt is valued according to the amortised cost method, except where it has been hedged at fair value.

1.5.2.8 Distinction between debt and equity: Perpetual super subordinated notes

A debt instrument or a financial liability constitutes a contractual obligation to remit cash or other financial assets, or to exchange instruments under potentially unfavourable conditions. An equity instrument is a contract that shows a residual interest in the net assets of an entity.

Subordinated securities are classified as debt or equity instruments according to the analysis of their features, and more specifically according to whether or not their payout method is discretionary.

In light of the conditions specified by IAS 32 for the analysis of the contractual substance of these instruments, and given their contractual characteristics, the perpetual super-subordinated notes issued by the CNP group are classified as "debt instruments".

Subordinated bonds convertible into issued ordinary shares also meet the criteria for classification as "debt instruments", even though the coupons are treated as dividends that are deducted from equity. The deferred tax asset associated with the payment of coupons, representing tax savings, is ancillary to the coupons paid and as such is recognised in equity, in line with the accounting treatment of coupons.

Subordinated bonds convertible into ordinary shares were analysed, in accordance with IAS 32, as hybrid instruments comprising a debt component and an equity component.

1.5.2.9 Financial derivatives and hedge accounting

Within the meaning of IAS 39, a derivative is a financial instrument or other contract that has the following three characteristics:

- ▶ its value fluctuates according to an interest rate, the price of a financial instrument, the price of a commodity, an exchange rate, a price or securities index, a credit rating or credit index, or another variable known as the underlying asset;

- ▶ it requires a low or nil initial net investment, or a net investment that is lower than the investment required by a non-derivative financial instrument in order to achieve the same sensitivity as the underlying asset;
- ▶ it is unwound at a future date.

Financial derivatives break down into two categories:

Derivatives held for transaction purposes

Derivatives belong to the category of financial instruments held for trading, except for derivatives that are used for hedging purposes. They are recognised in the balance sheet at their fair value in "Financial instruments at fair value through profit and loss". Changes in fair value and interest accrued or due are recognised in "Net gains and losses on financial instruments at fair value through profit and loss".

Hedging derivatives

Derivatives that meet the criteria defined in IAS 39 to qualify as hedging instruments are classified in the "Fair value hedges" or "Cash flow hedges" categories, depending on the circumstances. They are recognised as "Hedging derivatives" on the balance sheet. Other derivative instruments are classified in "Assets or liabilities at fair value through profit and loss" by default, even if, from an economic perspective, they have been acquired with a view to hedge one or several transactions.

In order to classify a financial instrument as a hedging derivative, the Group must establish the hedge relationship from the outset (hedging strategy, description of the risk hedged, the item hedged, the hedging instrument and the method used to assess its effectiveness). Effectiveness is assessed when the hedge is set up and at each year-end while it remains in place.

Depending on the nature of the risk covered, the derivative financial instrument is designated as a fair value hedge, a cash flow hedge, or as an exchange rate hedge linked to a net foreign investment.

Fair value hedge

Fair value hedges enable exposure to fluctuations in the fair value of financial assets or liabilities to be hedged; they are primarily used to hedge the interest rate risk on fixed-rate assets and liabilities as well as overnight deposits, according to the options approved by the European Union.

Any revaluation of the derivative is recognised in profit and loss symmetrically to the revaluation of the hedged item. Gains or losses attributable to the hedged risk are recognised in "Net gains or losses on financial instruments at fair value through profit and loss" in the income statement. As soon as the hedge relationship becomes effective, changes in the fair value of the hedged item are symmetrical to the changes in the fair value of the hedging instrument. Any ineffectiveness of the hedge is directly recorded in the income statement. The portion relating to the accrued income or expenses on the derivative instrument is recognised in "Income and interest expense" in the income statement at the same time as the interest income and expense relating to the hedged item.

As soon as the derivative instrument no longer meets the effectiveness criteria specified by the standard, or especially if it is sold, the hedge accounting ceases prospectively: the derivative is transferred to "Financial assets at fair value through profit or loss" or "Financial liabilities at fair value through profit and loss" while the remeasurement adjustment of the hedged item is amortised over the remaining period based on the initial life of the hedge.

In the event that there is no longer a hedged item, the hedging instrument, which is no longer qualified as a hedging instrument but still exists, remains on the balance sheet at fair value through profit or loss. A gain or loss on the sale of the hedged item is eventually recognised in profit and loss.

Macro-hedging

The Group applies the provisions of IAS 39, as adopted by the European Union, to macro-hedging transactions that are carried out as part of the asset and liability management of fixed-rate positions.

Macro-hedging instruments are mainly interest rate swaps designated as fair value hedges for the Group's fixed-rate resources.

Macro-hedging derivatives are accounted for according to the same principles as those described above. The revaluation of the hedging component is recognised in "Revaluation differences on portfolios hedged against interest rate risk".

Cash flow hedges

Cash flow hedges are used to hedge exposure to changes in cash flows from financial assets or liabilities, firm commitments or future transactions. More specifically, they are used to cover the interest rate risk on variable-rate assets and liabilities.

The effective portion of the changes in the fair value of a derivative instrument is entered on a specific line in equity capital, while the ineffective portion is recognised in the income statement in "Net gains or losses on financial instruments at fair value through profit and loss."

The portion relating to the re-discounting of the derivative instrument is recognised in "Interest income and expense on hedging transactions" in the income statement at the same time as the interest income and expense relating to the hedged item.

Hedged instruments continue to be recognised according to the rules that apply to their accounting category.

In the event of an interruption of the hedging relationship, or if the derivative instrument no longer meets the effectiveness criteria specified by the standard, or especially if it is sold, the hedge accounting ceases. The aggregate amounts entered in equity in respect of the revaluation of the hedging derivative are gradually transferred to profit and loss as interest income and expense, or immediately recognised in profit and loss. In the event the hedged item no longer exists, the derivative is reclassified in "Financial assets at fair value through profit and loss", while the revaluation of the hedged item entered in equity capital is immediately recorded in profit and loss.

Foreign currency hedge of a net investment

The Group does not use this type of hedging.

Embedded derivatives

An embedded derivative is a component of a hybrid instrument. It is separated from the host contract and recorded separately when, from the beginning of the contract, its economic characteristics and the related risks are not closely linked to those of the host contract, except where the hybrid instrument is valued at fair value through profit or loss.

Day one profit

The Group does not generate any margin when negotiating structured instruments.

1.5.2.10 Guarantee commitments

Financial guarantees

According to IAS 39, a contract meets the definition of a financial guarantee if it includes an indemnity clause, according to which the issuer shall compensate the beneficiary for losses that the latter has suffered due to the default of a debtor who was specifically designated to make a payment on a debt instrument.

According to IAS 39, the financial guarantees provided are valued at their initial fair value at the date they were set up. They are subsequently valued at the higher of the amount of the commitment

and the amount initially recorded, less the guarantee commission, where applicable. In the event of objective evidence of loss of value, the financial guarantees given are the subject of a provision under balance sheet liabilities. The provision is offset against the cost of risk.

1.5.2.11 Determining fair value or market value

IFRS 13 defines fair value as the price received for the sale of an asset or paid for the transfer of a liability in a standard transaction between market participants on the valuation date.

When an instrument is initially recognised, its fair value is generally the transaction price.

IFRS 13 recommends first using a price quoted on an active market to determine the fair value of a financial asset or liability. A market is considered to be active if prices are easily and regularly available from a stock exchange, a broker (multiple inputs), an intermediary or a regulatory agency, and if those prices represent real transactions (volume and price range) under normal competitive conditions. In the absence of an active market, the fair value must be determined using valuation techniques. These techniques include the use of recent transactions carried out under normal competitive conditions. They are based on market data, the fair value of substantially identical instruments, or on data generated from cash flow discounting or option valuation models, using recognised valuation methods. The aim of a valuation process is to establish what the price of an instrument would be under normal market conditions. For example, the fair value of bonds or variable-income securities and futures is determined using quoted prices. The use of valuation techniques that are based on market data usually concerns over-the-counter derivatives, securities where income is taxed at the source (treasury bills, certificates of deposit, etc.) and repo deposits.

Three levels of financial instruments are shown in Note 6.2, based on the decreasing level of observability of the prices and parameters used for their measurement:

- ▶ level 1: Instruments valued according to the (non-adjusted) prices quoted for identical assets or liabilities on an active market;
- ▶ this level primarily includes listed shares and derivatives on organised markets (futures, options, etc.);
- ▶ level 2: Instruments valued according to data other than the prices listed under level 1 and that can be observed for the asset and liability in question, either directly (prices) or indirectly (derivative price data);
- ▶ these instruments are measured employing valuation techniques that use observable parameters and standard models or instruments that are valued based on similar instruments listed on an active market. This category includes interest rate swaps, caps, floors, etc.;
- ▶ level 3: Instruments valued using data that are not observable market data.

This category mainly includes unlisted equity investments, such as venture capital funds (FCPR) or innovation funds (FCPI).

The market value of unlisted equity investments classified as available-for-sale securities is determined by reference to criteria such as net assets, profitability outlook and discounting of future cash flows. Non-consolidated equity investments whose fair value cannot be assessed on a reliable basis are valued at cost.

The price quoted for an asset held or a liability to be issued is usually the bid price, and it is the ask price for a liability held or an asset to be acquired.

The fair value of financial instruments recognised in the balance sheet at amortised cost is presented in Note 6.1 to the financial statements. All these instruments are considered level 2, the most significant parameters in terms of the market value of these instruments are considered as being indirectly observable.

1.5.2.12 Derecognition of financial assets or liabilities

Financial assets are derecognised when the contractual rights to the cash flows attached to the financial asset expire or when such rights and virtually all the risks and benefits associated with ownership have been transferred to a third party.

When certain risks and advantages have been transferred and while control of the financial asset is retained, that asset remains on the balance sheet so as to reflect the ongoing involvement in the asset concerned.

A gain or loss on disposal is then recorded in the income statement, at an amount equal to the difference between the carrying amount of the asset and the amount received in exchange.

Financial liabilities are derecognised when the contractual obligation is extinguished, cancelled, or expires.

Repurchase agreements

The assignor does not derecognise the securities. The Group records a liability that represents its commitment to refund the cash received. This debt represents a financial liability, which is recorded at amortised cost and not at fair value.

The assignee does not recognise the assets received, but recognises a receivable on the cash loaned by the assignor. At subsequent year-ends, the assignor continues to value the securities according to the rules applicable to their original category. The nominal value of the receivable is shown in loans and receivables.

Securities lending

The lending and borrowing of securities cannot be treated as a transfer of a financial asset according to IFRS. Therefore, these transactions cannot result in derecognition of the loaned securities. They remain recognised in their original accounting category and valued according to the rules of that category.

1.5.2.13 Offsetting of financial assets and liabilities

A financial asset and liability are offset and a net balance is shown on the balance sheet if and only if the Group has a legally enforceable right to offset the amounts recognised, and if it has the intention either to settle the net amount or to realise the asset and settle the liability simultaneously. The legally enforceable right must be irrevocable and must be enforceable under all circumstances.

Repo transactions for which the functioning principles meet both criteria required by the standard are offset on the balance sheet when:

- ▶ they relate to the same counterparty;
- ▶ they have the same maturity dates set from the outset;
- ▶ they are realised in the same currency;
- ▶ they are settled via a settlement/delivery system that guarantees the delivery of the securities against receipt of the associated cash;
- ▶ the securities are deposited with the same depository.

Offsetting primarily concerns securities lending transactions carried out with the LCH Clearnet clearing house.

1.5.3 Finance lease transactions

Lease transactions are classified as finance lease transactions when they substantially result in the transfer of the risk and benefits relating to the leased asset to the lessee. They are analysed as financing granted to the lessee for the purchase of an asset.

The present value of the payments due in respect of the agreement, plus the residual value, where applicable, is recorded as a receivable and is shown under customer loans and receivables on the balance sheet.

The interest included in the lease payments is recorded under Interest and similar income in the income statement.

The lease payments received are spread over the term of the lease agreement, by dividing them into amortisation of the principal and interest, so as to generate a regular and constant rate of return on the net investment. The interest rate used is the interest rate implicit in the lease contract.

In the event of a decrease in the unguaranteed residual values used to calculate the net investment, the discounted value of this decrease is recorded under "expenses from other activities" through a reduction in the finance lease receivable under balance sheet assets.

1.5.4 Tangible and intangible fixed assets

Fixed assets shown on the balance sheet include tangible and intangible operating assets, *i.e.* assets used for administrative purposes. The Group has no investment property.

Fixed assets are recognised at their acquisition cost plus acquisition expenses that are directly related and required to put them in working order so that they can be used.

Following their initial recognition, fixed assets are valued at cost less accumulated depreciation and any potential loss of value.

The portion of a fixed asset that can be depreciated is determined after deducting its residual value net of disposal costs, if that value can be measured and is significant.

Fixed assets are depreciated in accordance with the estimated consumption rate of the expected economic benefits, which usually corresponds to the life of the asset.

When a fixed asset includes several components that may need to be replaced at regular intervals, have different uses, or provide economic benefits at different rates, each component is recognised separately from the outset and is depreciated according to a specific depreciation schedule.

Depending on their components, buildings are therefore depreciated over periods ranging between 10 and 80 years:

- ▶ structural work: 80 years;
- ▶ roofing: 60 years;
- ▶ joinery and external works: 40 years;
- ▶ major equipment items: 20 years;
- ▶ small equipment items, and fixtures and fitting 10 years.

When they meet the criteria for fixed assets, proprietary software packages are recognised at their development cost, including third-party expenses and personnel costs for employees directly assigned to the project. They are usually amortised over a period of between three and seven years, depending on their useful life.

Fixed assets that are depreciated are subject to impairment tests in cases where evidence of a loss of value is identified at the reporting date. Fixed assets that are not depreciated are subject to impairment tests in cases where potential evidence of a loss of value is identified at the reporting date, and at least once a year.

If there is evidence of a loss of value, the recoverable value of the asset is compared with its net book value. In the event of loss of value, an impairment charge is recorded in profit or loss; it changes the depreciable base of the asset prospectively. The impairment is reversed in the event of a change in the estimated recoverable value or if there are no longer any indications of impairment.

Depreciation, amortisation and impairment charges are recognised in "Depreciation, amortisation and provisions for impairment of tangible and intangible fixed assets" in the income statement.

Gains and losses on the disposal of operating fixed assets are recorded in the income statement on the "Net gains on other non-current assets" line.

1.5.5 Special savings scheme accounts

The home loan savings accounts (CEL) and home loan savings plans (PEL) offered to individual customers under the provisions of the law of 10 July 1965 include two stages: a stage where funds are gathered in the form of remunerated savings and a stage where they are used to grant home loans.

They generate two kinds of commitments for the distributing institution:

- ▶ an obligation to remunerate future savings at a rate set at the opening of the account for an indefinite period for PEL accounts opened before 28 February 2011, and at a rate that is reviewed annually for new generation accounts;
- ▶ an obligation to grant customers who request it, a loan at a rate set on signature of the agreement.

These commitments have potentially unfavourable consequences for the Group, and are the subject of provisions recorded in balance sheet liabilities (in the "Provisions" line). Changes in these provisions are recorded in the net banking income interest margin.

The provisions are estimated on the basis of customer behaviour statistics and market data for each generation of plans, in order to cover any future expenses arising from the potentially unfavourable interest rate conditions attached to these products relative to the rates offered to retail customers on similar products for which the remuneration is not regulated. The provisions only relate to the commitments for home loan savings accounts and plans that exist at the date the provision is calculated.

Provisions are calculated for each generation of home loan savings plans, with no offsetting of commitments among the different generations, and for all the home loan savings accounts representing one generation.

At the savings stage, the commitments to be provisioned are evaluated according to the difference between average forecast savings deposits and minimum forecast savings deposits, both of which are determined on a statistical basis by factoring in historical observations on actual customer behaviour.

At the lending stage, the commitments to be provisioned include loans that have already been granted but not yet released at the year-end date, as well as future loans that are viewed as statistically likely based on balance sheet deposits as at the calculation date, and on historical observations on actual customer behaviour.

A provision is recorded when the net present value of future income is negative for a given generation of loans.

These results are assessed relative to the rates offered to retail customers on equivalent savings and lending products and that are consistent with respect to the estimated lifespan of the deposits and date they were set up.

1.5.6 Provisions

Provisions recorded in balance sheet liabilities, other than those relating to credit risk or employee benefits, are liabilities for which the duration or amount is uncertain. A provision is recorded when the Group has an obligation towards a third party and that obligation is likely or certain to cause an outflow of funds in favour of the third party with no expectation of a counter-payment that is at least equivalent.

The net present value of the expected outflow is calculated as soon as the impact of that net present value becomes material.

Provisions and provision reversals are recorded in profit and loss on the lines that correspond to the nature of the future expenditure involved.

1.5.7 Interest income and expense

Interest income and expense are recognised in the income statement for all financial instruments valued at amortised cost using the effective interest rate.

The effective interest rate is the rate that exactly discounts future cash outflows or inflows over the expected life of the financial instrument so as to obtain the net carrying amount of the financial asset or liability. The calculation of this rate factors in commissions received or paid, which are by nature an integral part of the effective contract rate.

1.5.8 Commission income and expenses

The Group recognises commissions in profit and loss depending on the services supplied and the way in which the financial instruments to which that service relates are recognised:

Commissions paid for ongoing services are recognised in profit and loss over the length of the service (commissions on means of payment).

Commissions paid for one-off services or for a major transaction are recognised in full in profit and loss when the service is provided or

the transaction carried out (account management commissions, commissions on payment incidents).

Commissions treated as additional interest are an integral part of the effective interest rate. These commissions are therefore recognised under interest income and expenses and not under commissions.

1.5.9 Cost of risk

The cost of credit risk includes impairment provisions and reversals on fixed-income securities, loans and receivables to customers (and where relevant to credit establishments), as well as impairment provisions and reversals relating to guarantee commitments given, losses on receivables, and the recovery of amortised receivables.

1.5.10 Income tax

Tax payable

La Banque Postale and some of its French subsidiaries are part of the tax consolidation group of the La Poste Group.

Deferred tax assets

Deferred tax assets are recognised on all temporary differences between the carrying amount of an asset or liability and its tax base, except in exceptional cases.

The tax rates used for valuation purposes are the rates that are expected to be applied when the asset is realised or when the liability is extinguished, to the extent that those rates have been adopted or virtually adopted at the reporting date.

Net deferred tax assets are only taken into account if it is likely that the entity involved has a chance of recovering the tax within a determined time frame.

The Group uses the losses carried forward by its subsidiaries only inasmuch as these entities demonstrate via a multi-year business plan their ability to use them over a set and reasonable time frame.

Deferred tax is recognised as tax income or expense in the income statement, except for tax relating to unrealised gains and losses on assets available for sale, and to changes in the value of derivatives classified as cash flow hedges, for which deferred tax is charged directly to equity capital.

1.5.11 Employee benefits

La Banque Postale Group provides different types of benefits to its employees, civil servants and contract staff. These benefits fall into four categories:

Short-term benefits

Short-term benefits primarily include salaries, annual paid leave, incentives, profit-sharing and bonuses that are paid within 12 months of the end of the financial year and relate to that year.

They are recorded as expenses for the financial year, including amounts still owing at year-end.

Long-term benefits

Long-term benefits are benefits that usually relate to length of service, and are paid to working employees more than 12 months after the end of the financial year, such as the "working hours savings accounts", for example.

A provision equivalent to the value of these commitments is recorded at year end.

Termination compensation

This relates to compensation paid to employees when their work contract is terminated before retirement, whether as a result of termination or as part of a voluntary redundancy plan. A provision is recorded for termination compensation. The commitment is valued on the basis of the entitlements earned by all working employees, mainly based on employee turnover, the estimated future salary of beneficiaries at the time they leave the Company, including social security contributions where applicable, and mortality tables (INSEE TH/TF00-02). A net present value is calculated for compensation payable more than 12 months after the reporting date.

Post-employment benefits

Post-employment benefits for employees include retirement compensation, pensions and benefits for pensioners.

The pension plan for contract staff is a scheme known as a "defined contribution scheme". Such schemes are based on payments to

independent bodies that are responsible for paying the amounts due to employees, thus releasing the employer from any subsequent obligation. Therefore, once the contributions have been paid, no liability or commitment is shown in the Group's financial statements. Contributions paid to independent bodies are expensed in the period concerned.

A provision is recorded in balance sheet liabilities for Group employee commitments that are not covered by contributions recorded as expenses and paid to retirement or insurance funds, primarily for retirement compensation.

These commitments are valued according to the projected unit credit method, in accordance with IAS 19R. Actuarial assessments are performed every year.

The appraisal calculations involve taking third-party actuarial economic assumptions into account (discount rates, inflation rates, pension increases, etc.), together with assumptions that are specific to the Group (employee turnover rates, salary increases, etc.).

The provision recorded on the balance sheet for defined benefit post-employment schemes corresponds to the present value of the commitment at the reporting date, adjusted for actuarial gains and losses and the cost of past services that have not been recognised. Actuarial adjustments are now recognised in comprehensive income and the cost of services recorded in the income statement. The present value of the commitment is calculated on an annual basis using the projected credit unit method. It is determined by calculating the net present value of expected future outflows based on the market rate for top-tier corporate bonds, denominated in the currency in which the benefit will be paid and with a maturity that is close to the average estimated length of the underlying commitment.

The actuarial assumptions used to value employee commitments are reviewed and updated once a year at year-end.

The calculations factor in the following assumptions:

- ▶ the likelihood of working employees staying within the Group, life expectancy trends and estimated salary trends;
- ▶ retirement assumptions;
- ▶ discount rates that enable the present value of commitments to be determined. The discount rates used for the 2017 and 2016 actuarial valuations, based on private top-tier bonds, are as follows:

Commitment periods	5 years	10 years	15 years	20 years
2017 discount rate (euro zone)	0.2%	0.9%	1.4%	1.9%
2016 discount rate (euro zone)	0.3%	1.1%	1.4%	1.6%

1.5.12 Non-current assets held for sale and discontinued activities

When the Group decides to sell non-current assets or a group of non-current assets, and when it is highly probable that the sale will occur within 12 months, these assets or group of assets are shown separately on the balance sheet under "Non-current assets held for sale". Any liabilities associated with them are also reported under a specific item, "Debts linked to non-current assets held for sale".

In this context, the assets are no longer depreciated and are valued at the lower of their carrying amount or fair value minus disposal costs. Impairment losses on an asset or a group of assets held for sale are recognised in the income statement as an impairment that is reversible until the disposal date.

Financial instruments continue to be valued based on IAS 39 accounting principles. Securities classified as available-for-sale financial assets and which are held for sale continue to be valued

at their year-end market value, and changes in fair value, with the exception of impairment, are recorded under a separate item in equity (see Note 1.5.2.4).

1.5.13 Use of estimates in the preparation of the financial statements

The preparation of the financial statements requires making assumptions and estimates that involve uncertainties with regard to their future accuracy. These estimates, which are based on the information available at the reporting date, call upon the judgement of managers and the parties involved in preparing the financial statements, particularly when assessing the fair value of financial instruments.

Future achievements depend on many factors: fluctuations in interest and foreign exchange rates, the economic environment, changes in regulations or legislation, etc., which means that the final outcome of the transactions concerned may differ from these estimates and have an impact on the financial statements.

The main valuation processes that require the use of assumptions and estimates:

- ▶ the valuation of financial instruments not listed on organised markets involves the use of models based on observable market data for most OTC instruments. determining the value of certain complex instruments that are not traded on an active market is done based on valuation techniques that in certain cases rely on parameters that are deemed to be non-observable;
- ▶ determining the market value of unlisted equity investments classified as "Assets available for sale";
- ▶ the valuation of financial assets and liabilities recognised at cost and for which fair value information must be provided in the notes to the financial statements;
- ▶ credit risk valuations: provisions calculated on a portfolio basis make specific use of estimates of the probability of default, and general use of expert judgements;
- ▶ calculations relating to expenses linked to future employee benefits are based on discount rate assumptions and employee turnover and salary trend assumptions;
- ▶ the valuation of provisions other than those linked to credit risk is also, by its nature, subject to estimates, as it involves liabilities for which the maturity or amount are not precisely determined, and where it is likely or certain that there will be an outflow of funds in favour of a third party, with no compensation in an amount that is at least equivalent expected from that beneficiary. Notably, the valuation of the home savings provision uses assumptions of changes in customer behaviour based on historical observations which are not necessarily an accurate guide to the future;
- ▶ the value of goodwill recognised when there are business combinations;
- ▶ goodwill impairment tests involve a certain number of assumptions;
- ▶ assessing the effectiveness of hedges in place requires the use of assumptions and estimates of changes in the hedged risks and their impact on the hedge relationship;
- ▶ valuing commitments to buy out minority shareholders;
- ▶ determining the technical provisions of the insurance companies.

NOTE 2 FINANCIAL MANAGEMENT, RISK EXPOSURE AND HEDGING POLICY

2.1 Credit risk

The information relating to the management of credit and counterparty risks is presented in Section 4 of the Registration Document.

This section notably describes the general framework, credit risk management practices, and the data, assumptions and estimates used for each of La Banque Postale's customer categories.

Risk exposure of La Banque Postale Group

(in € thousands)	31.12.2017	31.12.2016
Financial assets at fair value through profit and loss	7,104,854	11,797,858
Derivative instruments at fair value through profit and loss	491,281	532,043
Hedging derivative instruments	1,145,753	1,577,501
Available-for-sale financial assets	17,850,087	18,879,482
Loans and receivables due from credit institutions	84,087,559	84,461,375
Loans and receivables due from customers	88,135,172	78,783,991
Financial assets held to maturity	20,734,014	22,270,714
Balance sheet exposures net of impairment	219,548,720	218,302,964
Financing commitments given	20,548,733	20,086,922
Guarantee commitments given	2,279,248	2,535,439
Off-balance sheet exposures net of impairment	22,827,981	22,622,361
TOTAL NET EXPOSURE	242,376,701	240,925,325

2.2 Credit risk exposure on transactions with retail customers

2017 financial year

(in € thousands)	31.12.2017					
	Gross balance sheet		Gross off-balance sheet		Total exposure	
	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%
Home loans	59,813	96%	2,760	4%	62,574	82%
Consumer loans	5,063	86%	830	14%	5,893	8%
Current accounts in debit and similar	490	6%	7,201	94%	7,691	10%
TOTAL	65,366	86%	10,791	14%	76,157	100%

2016 financial year

(in € thousands)	31.12.2016					
	Gross balance sheet		Gross off-balance sheet		Total exposure	
	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%
Home loans	55,948	94%	3,305	6%	59,253	81%
Consumer loans	4,931	88%	698	12%	5,629	8%
Current accounts in debit and similar	533	7%	7,295	93%	7,828	11%
TOTAL	61,413	84%	11,297	16%	72,711	100%

Guarantees received from customers

2017 financial year

(in € thousands)	31.12.2017									
	Security interests		Guarantee from a legal entity		Guarantee from an individual		No guarantee		Gross balance sheet	
	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%
Home loans	21,390		36,590		337		1,496		59,813	
▶ Performing loans	20,984	36%	36,280	61%	328	1%	1,447	2%	59,038	99%
▶ Impaired loans	407	53%	310	40%	9	1%	49	6%	775	1%
Consumer loans	2		12		2		5,048		5,063	
▶ Performing loans	2	0%	10	0%	2	0%	4,675	100%	4,688	93%
▶ Impaired loans	0	0%	2	1%	-	-	373	99%	375	7%

2016 financial year

(in € thousands)	31.12.2016									
	Security interests		Guarantee from a legal entity		Guarantee from an individual		No guarantee		Gross balance sheet	
	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%
Home loans	18,748		36,061		25		1,115		55,948	
▶ Performing loans	18,440	33%	35,751	65%	24	0%	1,090	2%	55,304	99%
▶ Impaired loans	308	48%	311	48%	0	0%	25	4%	644	1%
Consumer loans	5		10		1		4,916		4,931	
▶ Performing loans	5	0%	8	0%	1	0%	4,551	100%	4,565	93%
▶ Impaired loans	0	0%	2	0%	-	-	365	100%	367	7%

The share of home loans guaranteed by security interests is up slightly (+2.3%) as are those with individual guarantees (+0.5%), to the detriment of legal entity guarantees (-3.3%).

Almost all outstanding consumer loans are without guarantees.

Credit quality of financial assets that are neither doubtful nor impaired on an individual basis

(in € thousands)	31.12.2017		31.12.2016	
	Amounts outstanding	%	Amounts outstanding	%
Performing home loans	59,038	100.0%	55,304	100.0%
▶ without arrears	58,843	99.7%	54,926	99.3%
▶ with arrears	195	0.3%	378	0.7%
Performing consumer loans	4,688	100.0%	4,565	100.0%
▶ without arrears	4,600	98.1%	4,501	98.6%
▶ with arrears	88	1.9%	64	1.4%

Doubtful financial assets – Customers**2017 financial year**

(in € thousands)	31.12.2017										
	Non-impaired loans with arrears						By type of guarantee				
	≤30 days	>30 days ≤60 days	>60 days ≤90 days	>90 days ≤180 days	>180 days	Total	Impaired loans	Security interests	Guarantee from a legal entity	Guarantee from an individual	No guarantee
Home loans	101	54	40	1	0	195	775	407	311	9	49
Consumer loans	58	19	11	0	0	88	375	0	2	0	373
TOTAL	159	73	51	1	0	283	1,150	407	313	9	422

2016 financial year

(in € thousands)	31.12.2016										
	Non-impaired loans with arrears						By type of guarantee				
	≤30 days	>30 days ≤60 days	>60 days ≤90 days	>90 days ≤180 days	>180 days	Total	Impaired loans	Security interests	Guarantee from a legal entity	Guarantee from an individual	No guarantee
Home loans	265	67	34	12	0	378	644	308	311	0	25
Consumer loans	40	16	8	0	0	64	367	0	2	0	365
TOTAL	305	82	42	12	0	442	1,011	308	313	0	390

Impaired outstanding amounts are broken down by type of guarantee received. The retained value of the guarantee is presented in the analysis of individually impaired financial assets. The home loans concerned are principally loans guaranteed by legal entities and security interests.

Breakdown of individually impaired financial assets – Retail customers

2017 financial year

(in € thousands)	31.12.2017			
	Receivables (a)	Retained value of the guarantee	Discounted provisions (b)	Provision rate after discounting (b/a)
IMPAIRED HOME LOANS				
Security interests	295	189	(108)	37%
Guarantee from a legal entity	300	260	(40)	13%
Guarantee from an individual	9	6	(3)	29%
No guarantee	43	(0)	(32)	75%
Loans classified as doubtful based on the contagion principle, but not in arrears	128	128	(1)	1%
Total impaired home loans	775	583	(184)	24%
IMPAIRED CONSUMER LOANS				
Guarantee from a legal entity	1	1	(1)	54%
No guarantee	373	-	(191)	51%
Loans classified as doubtful based on the contagion principle, but not in arrears	1	0	(0)	52%
Total impaired consumer loans	375	1	(192)	51%
Impaired current accounts in debit and similar	98	-	(78)	79%
Impaired current accounts in debit and similar	98	-	(78)	79%

2016 financial year

(in € thousands)	31.12.2016			
	Receivables (a)	Retained value of the guarantee	Discounted provisions (b)	Provision rate after discounting (b/a)
IMPAIRED HOME LOANS				
Security interests	285	184	(111)	39%
Guarantee from a legal entity	252	227	(29)	11%
Guarantee from an individual	-	-	-	41%
No guarantee	23	4	(18)	80%
Loans classified as doubtful based on the contagion principle, but not in arrears	84	84	(1)	1%
Total impaired home loans	644	499	(159)	25%
Impaired consumer loans	367	1	(167)	45%
Total impaired consumer loans	367	1	(167)	45%
Impaired current accounts in debit and similar	53	10	(40)	76%
Impaired current accounts in debit and similar	53	10	(40)	76%

Since 2016, provisions for home loans and ordinary LBP SA accounts are based on Basel parameters (PD, LGD, ELBE) arising from internal models.

2.3 Credit and market risk exposure with legal entities

2017 financial year

(in € thousands)

	31.12.2017					
Category	Sovereign	Bank	Corporate	Public administration	Securitisation	Total
Financial assets at fair value through profit and loss	1,035	5,296	768	5	-	7,105
Available-for-sale financial assets	7,514	7,883	2,138	315	0	17,850
Loans and receivables due from credit institutions	81,503	2,535	50	-	-	84,088
Loans and receivables due from customers	1,700	31	14,974	6,596	16	23,317
Financial assets held to maturity	18,811	1,897	-	26	-	20,734
TOTAL	110,563	17,642	17,931	6,942	16	153,094

(in € thousands)

	31.12.2017				
Rating	AAA	AA	A	Other	Total
Financial assets at fair value through profit and loss	-	109	3,658	3,338	7,105
Available-for-sale financial assets	4,299	5,218	2,527	5,806	17,850
Loans and receivables due from credit institutions	10,010	72,735	514	829	84,088
Loans and receivables due from customers	582	1,563	4,027	17,145	23,317
Financial assets held to maturity	1,414	18,966	10	344	20,734
TOTAL	16,306	98,591	10,735	27,462	153,094

(in € thousands)

	31.12.2017			
Geographic area	France	euro zone	Outside euro zone	Total
Financial assets at fair value through profit and loss	3,059	2,944	1,102	7,105
Available-for-sale financial assets	6,543	6,821	4,486	17,850
Loans and receivables due from credit institutions	83,839	245	4	84,088
Loans and receivables due from customers	22,271	843	203	23,317
Financial assets held to maturity	16,941	3,235	558	20,734
TOTAL	132,653	14,088	6,353	153,094

2016 financial year

(in € thousands)

	31.12.2016					
Category	Sovereign	Bank	Corporate	Public administration	Securitisation	Total
Financial assets at fair value through profit and loss	723	10,144	932	-	-	11,798
Available-for-sale financial assets	8,258	8,488	1,846	281	7	18,879
Loans and receivables due from credit institutions	81,213	3,249	0	-	-	84,461
Loans and receivables due from customers	1,028	4	11,530	5,147	127	17,837
Financial assets held to maturity	20,322	1,920	3	26	-	22,271
TOTAL	111,543	23,805	14,310	5,454	134	155,246

(in € thousands)

	31.12.2016				
Rating	AAA	AA	A	Other	TOTAL
Financial assets at fair value through profit and loss	-	821	6,514	4,463	11,798
Available-for-sale financial assets	4,308	5,089	4,860	4,622	18,879
Loans and receivables due from credit institutions	202	82,075	1,255	928	84,461
Loans and receivables due from customers ⁽¹⁾	272	1,092	4,250	12,223	17,837
Financial assets held to maturity	1,759	18,327	-	2,185	22,271
TOTAL	6,348	106,969	14,326	27,603	155,246

(1) with one reclassification of -€3,181m from the rating "Others" to «A» for +€2,552m, to «AA» for +€436m and to «AAA» for +193M€

(in € thousands)

Geographical area	31.12.2016			Total
	France	Euro zone	Outside euro zone	
Financial assets at fair value through profit and loss	5,929	3,719	2,150	11,798
Available-for-sale financial assets	6,513	7,206	5,161	18,879
Loans and receivables due from credit institutions	83,987	146	329	84,461
Loans and receivables due from customers	16,987	385	465	17,837
Financial assets held to maturity	17,680	4,032	559	22,271
TOTAL	131,096	15,488	8,662	155,246

Financial assets at fair value through profit and loss

The financial assets at fair value through profit and loss include securities. The bulk of the financial assets at fair value through profit and loss stem from bank issuers.

They consist of good quality assets mainly located in France, as shown in the three tables above (figures shown in millions of euros).

Loans and receivables due from credit institutions

As part of its day-to-day business, La Banque Postale carries out inter-bank transactions, including deposits and securities lending/borrowing.

Financial assets held to maturity

These are good quality assets, essentially consisting of bonds issued or guaranteed by euro zone countries as shown in the above tables (figures shown in millions of euros). The portion of sovereign issuers in this portfolio is 91%. In addition, 98% of portfolio positions consist of issuers with a first-class rating (AAA to AA-).

Sovereign exposure

At 31 December 2017, La Banque Postale's direct and indirect exposure to PIIGS stood at €1.86 billion.

The breakdown of direct and indirect sovereign exposure is as follows:

2017 financial year

(in € thousands)	Total Banking Portfolio	Assets at fair value through profit or loss	Derivatives	Total direct exposure ⁽¹⁾	Borrowed securities	Off-balance sheet	Total direct and indirect exposure ⁽²⁾	Exposure in %
Greece	-	24	-	24	-	-	24	0.0%
Ireland	-	-	-	-	-	-	-	-
Italy	386,445	471,597	-	858,042	185,383	-	1,043,425	3.7%
Portugal	81,626	243,911	-	325,537	-	-	325,537	1.2%
Spain	6,758	-	-	6,758	485,005	-	491,763	1.7%
Total PIIGS	474,829	715,532	-	1,190,361	670,388	-	1,860,749	6.6%
Germany	3,792,156	90,262	-	3,882,418	-	-	3,882,418	13.7%
Austria	14,600	-	-	14,600	-	-	14,600	0.1%
Belgium	2,192,988	-	-	2,192,988	-	-	2,192,988	7.8%
Finland	-	-	-	-	-	-	-	-
France	17,400,304	7	-	17,400,311	1,150	-	17,401,461	61.6%
Luxembourg	158,841	-	-	158,841	12,199	-	171,040	0.6%
Netherlands	1,196,729	-	-	1,196,729	-	-	1,196,729	4.2%
Poland	22,321	-	-	22,321	25,409	-	47,730	0.2%
Slovakia	-	-	-	-	-	-	-	-
Slovenia	6,478	-	-	6,478	-	-	6,478	0.0%
Switzerland	22,969	-	-	22,969	-	-	22,969	0.1%
Supranational	-	-	-	-	-	-	-	-
Total Europe	24,807,386	90,269	-	24,897,655	38,758	-	24,936,413	88.3%
Rest of the world	1,042,714	229,675	-	1,272,389	170,000	-	1,442,389	5.1%
TOTAL	26,324,929	1,035,476	-	27,360,405	879,146	-	28,239,551	100.0%

Identification based on the scope defined by the EBA, including local and regional authorities or bodies benefiting from a Government guarantee. These exposures do not include deposits centralised with the CDC.

(1) Direct exposure: net book value (including impairment) of exposure on the Bank's own account.

(2) Direct and indirect exposures: direct exposures to which are added the indirect exposures via the Group's securities borrowing.

The unrealised gains and losses recorded in reserves are €11,580 thousand. Securities are classified in N1. No impairment on inventory was recorded as at 31 December 2017.

The primary changes, in nominal value, of sovereign securities in PIIGS correspond to €485 million in new securities borrowing and a net €1.64 million change for financial assets at fair value through profit or loss.

The maturity of PIIGS sovereigns is generally less than 3 years.

Summary of sovereign exposure at 31 December 2016

(in € thousands)	Total Banking Portfolio	Assets at fair value through profit or loss	Derivatives	Total Direct exposure ⁽¹⁾	Securities borrowing	Off-balance sheet	Total Direct and indirect Exposures ⁽²⁾	Exposure in %
Greece	-	-	-	-	-	-	-	-
Ireland	-	-	-	-	-	-	-	-
Italy	387,416	551,205	-	938,621	257,182	-	1,195,803	3.9%
Portugal	-	-	-	-	-	-	-	-
Spain	6,965	-	-	6,965	-	-	6,965	0.0%
Total PIIGS	394,381	551,205	-	945,586	257,182	-	1,202,768	3.9%
Germany	4,476,964	-	-	4,476,964	13,574	-	4,490,538	14.5%
Austria	15,380	-	-	15,380	4,354	-	19,734	0.1%
Belgium	2,246,720	-	-	2,246,720	11,363	-	2,258,083	7.3%
Finland	-	-	-	-	5,983	-	5,983	0.0%
France	18,586,875	-	-	18,586,875	1,229,552	-	19,816,427	63.9%
Luxembourg	590,547	1,065	-	591,612	-	-	591,612	1.9%
Netherlands	1,248,707	-	-	1,248,707	-	-	1,248,707	4.0%
Poland	22,664	-	-	22,664	25,417	-	48,081	0.2%
Slovakia	1,045	-	-	1,045	-	-	1,045	0.0%
Slovenia	6,552	-	-	6,552	-	-	6,552	0.0%
Supranational	-	-	-	-	-	-	-	-
Total Europe	27,195,454	1,065	-	27,196,519	1,290,243	-	28,486,762	91.8%
Rest of the world	990,252	170,284	-	1,160,536	182,414	-	1,342,950	4.3%
TOTAL	28,580,087	722,554	-	29,302,641	1,729,839	-	31,032,480	100.0%

(1) Direct exposure: net book value (including impairment) of exposure on the Bank's own account.

(2) Direct and indirect exposures: direct exposures to which are added the indirect exposures via the Group's securities borrowing.

Non-sovereign exposures of some European Union countries

The Group's principal non-sovereign exposures to Greece, Ireland, Italy, Portugal and Spain represent a total amount of €4,420 million (compared to €2,275 million at 31 December 2016). They are mainly shared between Banking, with €2,389 million, and Corporate, with €1.481 million (compared to €1,821 million and €431 million at 31 December 2016, respectively).

Credit risk stemming from transactions with legal entities

2017 financial year

(in € thousands)	31.12.2017					
	Gross balance sheet		Financing commitments and commitments given		Total exposure	
	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%
Finance lease transactions	2,255	93%	162	7%	2,417	8%
Loans to the local public sector	5,776	56%	4,485	44%	10,261	34%
Loans to other legal entities	10,501	74%	3,616	26%	14,117	47%
Factoring – trade receivables	2,335	100%	-	-	2,335	8%
Current accounts in debit and similar	311	50%	313	50%	624	2%
TOTAL	21,178	71%	8,576	29%	29,754	100%

2016 financial year

(in € thousands)	31.12.2016					
	Gross balance sheet		Financing commitments and commitments given		Total exposure	
	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%
Finance lease transactions	2,051	92%	174	8%	2,224	10%
Loans to the local public sector	5,679	56%	4,482	44%	10,161	44%
Loans to other legal entities	5,991	64%	3,374	36%	9,366	41%
Factoring – trade receivables	818	100%	-	-	818	4%
Current accounts in debit and similar	226	42%	310	58%	536	2%
TOTAL	14,765	64%	8,340	36%	23,105	100%

Breakdown by guarantees received for loans granted to legal entities

2017 financial year

(in € thousands)	31.12.2017									
	Security interests		Guarantee from a legal entity		Guarantee from an individual		No guarantee		Gross balance sheet	
	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%
Finance lease transactions	1,357	60%	218	10%	-	-	681	30%	2,255	100%
► Performing loans	1,319	60%	207	9%	-	-	657	30%	2,183	97%
► Impaired loans	37	52%	12	16%	-	-	23	32%	72	3%
Loans to the local public sector	34	1%	410	7%	-	-	5,333	92%	5,776	100%
► Performing loans	34	1%	410	7%	-	-	5,304	92%	5,748	100%
► Impaired loans	-	-	-	-	-	-	29	100%	29	0%
Loans to other legal entities	599	6%	216	2%	-	-	9,687	92%	10,501	100%
► Performing loans	599	6%	216	2%	-	-	9,626	92%	10,440	99%
► Impaired loans	-	-	-	-	-	-	61	100%	61	1%
Factoring and trade receivables	-	-	0	0%	1	0%	2,333	100%	2,335	100%
► Performing loans	-	-	0	0%	1	0%	2,317	100%	2,318	99%
► Impaired loans	-	-	-	-	-	-	17	100%	17	1%

2016 financial year

(in € thousands)	31.12.2016							
	Security interests		Guarantee from a legal entity		Guarantee from an individual		No guarantee	Gross balance sheet
	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	Amounts outstanding %
Finance lease transactions	1,124		286				641	2,051
▶ Performing loans	1,124	56%	276	14%			622	31%
▶ Impaired loans			10	34%			19	66%
Loans to the local public sector			24				5,655	5,679
▶ Performing loans			24	0%			5,613	100%
▶ Impaired loans							42	100%
Loans to other legal entities	1,158		2,210				2,622	5,991
▶ Performing loans	1,158	20%	2,200	37%			2,579	43%
▶ Impaired loans			10	19%			43	81%
Factoring and trade receivables			53		1		764	818
▶ Performing loans			53	7%	1	0%	760	93%
▶ Impaired loans							4	100%

Credit quality of financial assets that are neither doubtful nor individually impaired - Legal entities

(in € thousands)	31.12.2017		31.12.2016	
	Amounts outstanding	%	Amounts outstanding	%
Performing finance lease transactions	2,183	100%	2,021	100%
▶ Without arrears	2,175	100%	2,019	100%
▶ With arrears	8	0%	2	0%
Performing loans to the local public sector	5,748	100%	5,637	100%
▶ Without arrears	5,747	100%	5,635	100%
▶ With arrears	0	0%	2	0%
Performing loans to other legal entities	10,440	100%	5,938	100%
▶ Without arrears	10,317	99%	5,314	89%
▶ With arrears	123	1%	624	11%
Factoring and performing trade receivables	2,318	100%	814	100%
▶ Without arrears	2,053	89%	776	95%
▶ With arrears	265	11%	38	5%

Doubtful financial assets - Legal entities

2017 financial year

(in € thousands)	31.12.2017										
	Non-impaired outstandings with arrears						By type of guarantee				
	≤30 days	>30 days ≤60 days	>60 days ≤90 days	>90 days ≤180 days	>180 days	Total	Impaired loans	Security interests	Guarantee from a legal entity	Guarantee from an individual	No guarantee
Finance lease transactions	5	3	0	-	-	8	72	37	12	-	23
Loans to the local public sector	0	-	0	-	-	0	29	-	-	-	29
Factoring and trade receivables	231	26	9	-	-	265	17	-	-	-	17
Loans to other legal entities	111	7	5	-	-	123	61	-	-	-	61
TOTAL	347	36	14	-	-	397	178	37	12	-	130

2016 financial year

(in € thousands)	31.12.2016										
	Non-impaired outstandings with arrears						By type of guarantee				
	≤30 days	>30 days ≤60 days	>60 days ≤90 days	>90 days ≤180 days	>180 days	Total	Impaired loans	Security interests	Guarantee from a legal entity	Guarantee from an individual	No guarantee
Finance lease transactions	2	0	0	-	-	2	29	-	10	-	19
Loans to the local public sector	2	-	-	-	-	2	42	-	-	-	42
Factoring and trade receivables	28	5	4	-	-	38	4	-	-	-	4
Loans to other legal entities	624	-	0	-	-	624	53	-	10	-	43
TOTAL	656	5	5	-	-	666	128	-	20	-	109

Breakdown of individually impaired assets - Legal entities

2017 financial year

(in € thousands)	31.12.2017			
	Receivables (a)	Retained value of the guarantee	Discounted provisions (b)	Provision rate after discounting (b/a)
IMPAIRED FINANCE LEASE TRANSACTIONS				
Security interests	37	28	(9)	24%
Guarantee from a legal entity	12	10	(2)	13%
No guarantee	23	-	(11)	45%
TOTAL IMPAIRED FINANCE LEASE TRANSACTIONS	72	38	(21)	29%
IMPAIRED CREDIT TRANSACTIONS WITH THE LOCAL PUBLIC SECTOR				
No guarantee	29	-	(3)	12%
TOTAL IMPAIRED CREDIT TRANSACTIONS WITH THE LOCAL PUBLIC SECTOR	29	-	(3)	12%
IMPAIRED FACTORING TRANSACTIONS				
No guarantee	17	-	(0)	1%
TOTAL IMPAIRED FACTORING TRANSACTIONS	17	-	(0)	1%
IMPAIRED CREDIT TRANSACTIONS WITH OTHER LEGAL ENTITIES				
No guarantee	61	-	(43)	71%
TOTAL IMPAIRED CREDIT TRANSACTIONS WITH OTHER LEGAL ENTITIES	61	-	(43)	71%

2016 financial year

(in € thousands)	31.12.2016			
	Receivables (a)	Retained value of the guarantee	Discounted provisions (b)	Provision rate after discounting (b/a)
IMPAIRED FINANCE LEASE TRANSACTIONS				
Guarantee from a legal entity	10	2	(4)	39%
No guarantee	19	-	(7)	35%
TOTAL IMPAIRED FINANCE LEASE TRANSACTIONS	29	2	(11)	37%
TOTAL IMPAIRED LOANS TO THE LOCAL PUBLIC SECTOR	42	-	(5)	12%
IMPAIRED CREDIT TRANSACTIONS WITH OTHER LEGAL ENTITIES				
Guarantee from a legal entity	10	10	(1)	15%
No guarantee	43	-	(39)	90%
TOTAL IMPAIRED CREDIT TRANSACTIONS WITH OTHER LEGAL ENTITIES	53	10	(40)	76%

NOTE 3 NOTES TO THE BALANCE SHEET

3.1 Cash, central banks

(in € thousands)	31.12.2017	31.12.2016
Cash	901,079	814,029
Central banks	2,423,752	1,918,015
CASH, CENTRAL BANKS	3,324,831	2,732,044

3.2 Financial assets and liabilities at fair value through profit or loss

Assets and liabilities at fair value through profit or loss

(in € thousands)	31.12.2017			31.12.2016		
	Transaction	Fair value option	Total	Transaction	Fair value option	Total
Government paper and similar securities	950,201	-	950,201	722,554	-	722,554
Bonds and other fixed-income securities	6,058,346	-	6,058,346	11,030,946	-	11,030,946
Equities and other variable-income securities	61,000	35,307	96,307	44,358	-	44,358
Financial assets at fair value through profit and loss	7,069,547	35,307	7,104,854	11,797,858	-	11,797,858
Debt securities	-	4,526	4,526	-	4,548	4,548
FINANCIAL LIABILITIES AT FAIR VALUE THROUGH PROFIT AND LOSS	-	4,526	4,526	-	4,548	4,548

Derivatives held for transaction purposes

(in € thousands)	31.12.2017		31.12.2016	
	Assets	Liabilities	Assets	Liabilities
Interest rate derivatives	384,379	391,595	504,916	500,638
Credit derivatives	2,775	12,796	-	3,954
Exchange rate derivatives	94,194	93,277	22,809	60,435
Other derivative instruments	9,933	30,158	4,318	30,520
TRADING DERIVATIVES AT FAIR VALUE THROUGH PROFIT OR LOSS	491,281	527,826	532,043	595,547

(in € thousands)	31.12.2017		31.12.2016	
	Assets	Liabilities	Assets	Liabilities
TOTAL ASSETS AND LIABILITIES AT FAIR VALUE THROUGH PROFIT OR LOSS	7,596,135	532,352	12,329,901	600,095

(in € thousands)	31.12.2017		31.12.2016	
	Positive fair value	Negative fair value	Positive fair value	Negative fair value
Options	9,933	30,158	4,318	30,520
Rate options	9,933	30,158	4,318	30,520
Other derivatives	481,348	497,668	527,725	565,027
Foreign exchange contracts	94,194	93,277	22,809	60,435
Rate swaps	384,379	391,595	504,916	500,638
Credit derivatives	2,775	12,796	-	3,954
TOTAL	491,281	527,826	532,043	595,547

3.3 Hedging derivatives

Hedging derivatives

(in € thousands)	31.12.2017		31.12.2016	
	Assets	Liabilities	Assets	Liabilities
Interest rate derivatives	1,138,348	237,901	1,559,775	878,706
Exchange rate derivatives	5,042	301	1	35,401
Equity and index derivatives	-	-	-	-
Other derivative instruments	-	-	-	-
FAIR VALUE HEDGING DERIVATIVES	1,143,390	238,202	1,559,776	914,107

(in € thousands)	Hedging derivatives		
	Notional	Positive fair value	Negative fair value
Rate cap	458,102	939	-
Interest rate swaps	33,942,967	1,135,140	198,580
Other derivative instruments	4,748,799	2,269	39,321
Currency swaps	345,960	5,042	301
TOTAL AT 31 DECEMBER 2017	39,495,828	1,143,390	238,202
Reminder Total 31 December 2016	39,987,448	1,559,776	914,107

Cash flow hedging derivatives

(in € thousands)	31.12.2017		31.12.2016	
	Assets	Liabilities	Assets	Liabilities
Interest rate derivatives	2,363	-	17,725	-
CASH FLOW HEDGING DERIVATIVES	2,363	-	17,725	-

(in € thousands)	Hedging derivatives		
	Notional	Positive fair value	Negative fair value
Interest rate swaps	200,000	2,363	-
TOTAL AT 31 DECEMBER 2017	200,000	2,363	-
Reminder Total 31 December 2016	700,000	17,725	-

(in € thousands)	31.12.2017		31.12.2016	
	Assets	Liabilities	Assets	Liabilities
TOTAL HEDGING DERIVATIVES	1,145,753	238,202	1,577,501	914,107

3.4 Available-for-sale financial assets

(in € thousands)	31.12.2017	31.12.2016
Government paper and similar securities	6,781,298	7,526,356
Bonds and other fixed-income securities	9,542,084	10,014,086
Shares and other variable-income securities	1,326,334	1,220,049
Non-consolidated equity investments	200,371	118,991
AVAILABLE-FOR-SALE FINANCIAL ASSETS	17,850,087	18,879,482
<i>Including net unrealised gains and losses on fixed-income securities (in reserves)</i>	<i>228,511</i>	<i>246,649</i>
<i>Including net unrealised gains and losses on variable-income securities (in reserves)</i>	<i>85,129</i>	<i>53,899</i>

Details of non-consolidated equity investments

(in € thousands)	31.12.2017					31.12.2016
	Carrying amount of securities	Advances and receivables from related entities	Impairments	Net book value	Share of capital in %	Net book value of securities
Crédit Logement	97,609	-	-	97,609	6.0%	91,045
KissKissBankBank	39,600	-	-	39,600	100.0%	-
Domiserve	15,000	-	-	15,000	100.0%	-
Mandarine Gestion	14,304	-	-	14,304	12.0%	3,948
STET	6,917	-	-	6,917	5.0%	6,917
Ezyess	5,200	-	-	5,200	100.0%	40
BPIfrance Financement	4,469	-	-	4,469	0.1%	4,462
Transactis	2,474	-	-	2,474	50.0%	2,474
Titres Cadeaux SAS	2,493	-	(293)	2,200	50.0%	2,200
LBP Protection	2,183	-	-	2,183	100.0%	2,183
Other	10,639	1,000	(1,224)	10,415		5,722
TOTAL INTERESTS AND ADVANCES	200,888	1,000	(1,517)	200,371		118,991

Non-consolidated equity investments whose fair value cannot be assessed on a reliable basis are valued at cost. These investments amounted to €84,506 thousand as at 31 December 2017, compared with €21,905 thousand as at 31 December 2016.

3.5 Loans and receivables – credit institutions and similar

(in € thousands)	31.12.2017	31.12.2016
Current accounts in debit	311,145	190,726
Accounts and loans	82,904,578	82,712,054
Securities received under repurchase agreements	225,333	765,380
Subordinated and participatory loans	171,761	190,186
Impairments	-	-
Accounts and loans – credit institutions and similar	83,612,817	83,858,346
SECURITIES TREATED AS LOANS AND RECEIVABLES	474,742	603,029
LOANS AND RECEIVABLES – CREDIT INSTITUTIONS AND SIMILAR	84,087,559	84,461,375

Deposits on the Livret A, the Sustainable Development account (LDD) and the National Savings account (LEP) centralised in the Caisse des dépôts et consignations (CDC) and shown on the "Accounts and loans" line amounted to €71,094 million as at 31 December 2017, vs. €70,652 million as at 31 December 2016.

3.6 Loans and receivables – customers

(in € thousands)	31.12.2017	31.12.2016
Customer current accounts in debit *	800,456	759,342
Factoring	2,334,642	817,906
Term loans with financial clients	220,496	184,412
Short-term credit facilities	5,063,379	4,931,664
Home loans	59,813,224	55,948,430
Loans to legal entities	10,444,650	5,925,845
Loans to the local public sector	5,776,311	5,678,991
Other customer loans	56,643	65,441
Securities acquired under repurchase agreements	1,150	806,660
Impairments	(583,186)	(505,419)
Loans and receivables – customers	83,927,765	74,613,272
Finance lease transactions	2,254,896	2,050,516
Impairments	(21,043)	(10,624)
Finance lease transactions	2,233,853	2,039,892
Securities treated as loans and receivables	1,973,554	2,130,827
Impairments	-	-
Securities treated as loans and receivables	1,973,554	2,130,827
LOANS AND RECEIVABLES – CUSTOMERS	88,135,172	78,783,991

* Card payment deferrals are presented with current accounts in debit.

Finance lease transactions

(in € thousands)	31.12.2017	31.12.2016
Amount of gross investments	2,411,518	1,936,584
Less than 1 year	340,523	261,911
Between 1 and 5 years	923,969	705,167
More than 5 years	1,147,026	969,506
Discounted value of minimum payments receivable	2,058,921	1,534,493
Less than 1 year	311,990	210,598
Between 1 and 5 years	812,372	605,488
More than 5 years	934,559	718,407
Unearned financial income	160,923	161,584
Unguaranteed residual values accruing to the lessor	191,674	240,507

3.7 Impairment of assets

(in € thousands)	31.12.2016	Provisions	Reversals	Discount	Other	31.12.2017
Loans and receivables due from customers	(516,043)	(250,796)	157,325	5,285	-	(604,229)
<i>Including collective provisions</i>	(45,496)	(19,751)	20,956	93	-	(44,198)
Assets available for sale	(14,809)	(5)	3,919	-	-	(10,895)
<i>Including equity investments</i>	(2,869)	-	1,352	-	-	(1,517)
Other impairments ⁽¹⁾	(4,528)	(2,885)	2,172	-	-	(5,241)
IMPAIRMENT OF ASSETS	(535,380)	(253,686)	163,416	5,285	-	(620,365)

(1) Other impairment charges primarily consist of impairment losses on doubtful insurance premiums

3.8 Financial assets held to maturity

(in € thousands)	31.12.2017	31.12.2016
Government paper and similar securities	18,407,398	19,884,925
Bonds and other fixed-income securities	2,326,616	2,385,789
FINANCIAL ASSETS HELD TO MATURITY	20,734,014	22,270,714

3.9 Current and deferred tax assets and liabilities

(in € thousands)	31.12.2017	31.12.2016
Deferred tax assets	112,413	84,450
Other tax receivables	204,121	339,671
Tax assets	316,534	424,121
Deferred tax liabilities	112,308	123,126
Other tax payables	6,870	17,489
Tax liabilities	119,177	140,615

Deferred tax assets primarily involve the home-savings provision, temporary differences linked to the fair values of financial instruments and the spreading of commissions on loans in the EIR.

Deferred tax assets are recorded by payment date at diminishing rates, in accordance with the provisions of Article 41 of the 2018 Finance Act.

Tax assets are restricted to the capacity of each tax entity to use them in the near future; deferred tax assets on unused tax losses stand at €45 million.

Breakdown of deferred tax assets by type

(in € thousands)	31.12.2016	Net profit/(loss)	Equity	Other	Changes in scope	31.12.2017
Provisions for the home-savings product	106,011	(29,152)	-	(10)	-	76,849
Provisions for retirement commitments	7,504	300	-	(119)	-	7,685
Other non-deductible provisions	86,973	(2,409)	-	-	-	84,565
Other sources of timing differences	66,799	(12,125)	-	687	-	55,361
Deferred taxes arising from timing differences	267,287	(43,385)	-	558	-	224,460
Fair value of financial instruments and actuarial adjustments	(305,963)	22,035	58,649	923	-	(224,355)
Recycling into reserves of the deferred tax on subordinated debt coupons	-	(22,035)	22,035	-	-	-
Deferred taxes relating to IFRS valuation methods	(305,963)	0	80,684	923	-	(224,355)
NET DEFERRED TAX	(38,676)	(43,385)	80,684	1,481	-	105

3.10 Accruals and other assets

(in € thousands)	31.12.2017	31.12.2016
Prepaid expenses and income receivable	283,386	295,479
Collection accounts	47,109	33,868
Other accruals	1,133,171	873,724
Accruals	1,463,666	1,203,071
Other debtors and guarantee deposits paid	1,421,644	1,733,809
Settlement accounts for securities transactions	1,764	3,740
Impairments	(5,241)	(4,528)
Other assets	1,418,167	1,733,021
Reinsurance companies' share of technical provisions	3,902	3,609
Other insurance assets	525,440	472,787
Other insurance assets and reinsurance companies' share of technical provisions	529,342	476,396
ACCRUALS AND OTHER ASSETS	3,411,175	3,412,488

3.11 Equity associates

(in € thousands)	31.12.2017		31.12.2016	
	Equity-accounted value	Of which profit (loss)	Equity-accounted value	Of which profit (loss)
CNP Assurances Group	3,329,257	256,824	3,175,682	189,187
AEW Europe	54,101	6,575	50,978	1,794
EQUITY ASSOCIATES	3,383,358	263,399	3,226,660	190,981

The data published by the CNP Assurances Group show a balance sheet total of €423,298.2 million and revenue of €32,127 million. Capitalisation stood at €13,220.8 million at 31 December 2017, based on: 686,618,477 shares in circulation and a closing price of €19.255 per share.

Goodwill on entities accounted for using the equity method is included in the Group's share of the equity associates, in accordance with the accounting rules in effect.

3.12 Tangible and intangible fixed assets

(in € thousands)	31.12.2017			31.12.2016		
	Gross amount	Depreciation, amortisation & impairment	Net amount	Gross amount	Depreciation, amortisation & impairment	Net amount
Software and IT development costs	1,234,667	(949,517)	285,150	1,106,301	(854,779)	251,522
Intangible assets in progress	194,223	(502)	193,721	112,281	-	112,281
Other intangible assets	164,220	(24,693)	139,527	177,842	(22,189)	155,653
Intangible fixed assets	1,593,110	(974,712)	618,398	1,396,424	(876,968)	519,456
Land	170,158	(1,696)	168,462	170,158	(1,696)	168,462
Buildings	549,325	(226,176)	323,149	529,007	(211,750)	317,257
Plant, equipment and tools	125,522	(81,474)	44,048	116,078	(73,481)	42,597
IT hardware	6,144	(5,395)	749	5,794	(4,867)	927
Tangible fixed assets in progress	8,294	-	8,294	22,184	-	22,184
Other tangible fixed assets	504,032	(403,958)	100,074	522,321	(411,848)	110,473
Tangible fixed assets	1,363,475	(718,699)	644,776	1,365,542	(703,642)	661,900
TOTAL TANGIBLE AND INTANGIBLE FIXED ASSETS	2,956,585	(1,693,411)	1,263,174	2,761,966	(1,580,610)	1,181,356

3.13 Goodwill

Movements during the period

(in € thousands)	31.12.2017	31.12.2016
Net book value at 1 January	160,227	190,510
Goodwill from new holdings	-	-
Disposals ⁽¹⁾	-	(30,283)
Impairment for the period	-	-
Other movements	-	-
Net book value at 31 December	160,227	160,227

(1) Disposal of Ciloger in 2016.

Breakdown of goodwill

(in € thousands)	31.12.2017	31.12.2016
Tocqueville Finance Group	27,498	27,498
La Banque Postale Asset Management	38,429	38,429
La Banque Postale Prévoyance	94,300	94,300
Easybourse	4,722	4,722
Total gross goodwill	164,949	164,949
Goodwill amortisation	(4,722)	(4,722)
TOTAL NET GOODWILL	160,227	160,227

3.14 Liabilities due to credit institutions and similar

(in € thousands)	31.12.2017	31.12.2016
Current accounts in credit	697,837	670,827
Accounts and borrowings	2,381,785	2,652,095
Securities given under repurchase agreements	11,048,976	15,652,896
Other amounts owed	25,691	27,458
LIABILITIES DUE TO CREDIT INSTITUTIONS AND SIMILAR	14,154,289	19,003,276

3.15 Liabilities to customers

(in € thousands)	31.12.2017	31.12.2016
Livret A	59,933,751	59,574,992
Home savings schemes and accounts	32,117,678	31,947,439
Other special accounts	22,008,300	21,743,714
Special scheme savings accounts	114,059,729	113,266,145
Customer current accounts in credit	62,721,031	58,865,617
Securities assigned under repurchase agreements	3,165,109	2,744,424
Time deposit accounts	164,989	389,318
Financial customer borrowings	1,741,755	129,580
Other amounts owed	711,161	599,323
Liabilities to customers	68,504,045	62,728,262
CUSTOMER TRANSACTIONS	182,563,774	175,994,407

3.16 Debt securities

(in € thousands)	31.12.2017	31.12.2016
Certificates of deposit and treasury bills	5,172,499	6,149,043
Bond borrowings ⁽¹⁾	6,200,158	4,333,117
Other debt securities	580	1,368
DEBT SECURITIES	11,373,237	10,483,528

(1) Including €4.8 million of covered bonds issued by La Banque Postale Home Loan SFH compared to €3.5 million at 31 December 2016.

3.17 Accruals and other payables

(in € thousands)	31.12.2017	31.12.2016
Expenses payable and deferred income	557,902	521,555
Other accruals	1,370,195	1,487,544
Accruals	1,928,097	2,009,099
Securities-related liabilities	441,424	302,171
Guarantee deposits received	1,357,621	1,508,563
Other payables	1,068,552	970,926
Settlement accounts for securities transactions	8,347	7,837
Other liabilities	2,875,944	2,789,497
Other insurance liabilities	134,463	166,736
Other insurance liabilities	134,463	166,736
ACCRUALS AND OTHER LIABILITIES	4,938,504	4,965,332

3.18 Technical provisions of insurance companies

(in € thousands)	31.12.2017	31.12.2016
Life technical provisions	824,446	778,580
Non-life technical provisions	542,416	506,057
Equalisation provisions	562	15,746
Other provisions	890,072	819,902
TECHNICAL PROVISIONS	2,257,496	2,120,285

(in € thousands)	31.12.2017	31.12.2016
Deferred participating liabilities	118,070	110,917
SHADOW ACCOUNTING	118,070	110,917

The provision for deferred participation in profits arises from the use of "shadow accounting": it represents the share of policy-holders of life insurance subsidiaries in unrealised gains and losses and impairment charged on assets, when the remuneration of contracts is tied to their returns

These are provisions built up primarily by La Banque Postale Prévoyance and La Banque Postale Assurances IARD.

3.19 Provisions

(in € thousands)	31.12.2016	Allocations	Reversals	Unused reversals	Other	31.12.2017
Provisions for employee benefits	26,118	3,435	(168)	(45)	1,377	30,717
Provisions for risk on home savings plans and accounts	362,287	-	(68,461)	-	-	293,826
Provisions for labour disputes and benefits expenses	8,041	8,138	(4,525)	(1,199)	-	10,455
Other provisions	193,744	62,623	(41,839)	(71,143)	-	143,385
PROVISIONS	590,190	74,196	(114,993)	(72,387)	1,377	478,383

Information relating to home savings plans and accounts (in millions of euros)

Generations	2016 provision	Deposits collected	Loans granted in respect of PEL and CEL accounts	2017 provision	Net change
More than 10 years	73	6,378		68	(5)
4 to 10 years	104	13,004		104	1
Less than 4 years	166	8,257		95	(72)
Total Home Savings Plans (PEL)	343	27,639	36	267	(76)
Total Home Savings Accounts (CEL)	19	4,472	246	27	8
TOTAL	362	32,112	281	294	(68)

3.20 Subordinated debt

(in € thousands)	31.12.2017	31.12.2016
Subordinated debt ⁽¹⁾	3,888,976	3,780,398
TOTAL	3,888,976	3,780,398

(in € thousands)	Issue date	Maturity date	Original currency	31.12.2017
Fixed-term subordinated debt ⁽²⁾	30.11.2010	30.11.2020	EUR	750,000
Fixed-term subordinated debt ⁽²⁾	23.04.2014	23.04.2026	EUR	750,000
Fixed-term subordinated debt ⁽³⁾	19.11.2015	19.11.2027	EUR	750,000
Fixed-term subordinated debt ⁽⁴⁾	09.06.2016	09.06.2028	EUR	500,000
Fixed-term subordinated debt ⁽⁴⁾	05.10.2016	05.10.2028	EUR	100,000
Fixed-term subordinated debt ⁽⁵⁾	16.01.2017	09.06.2028	EUR	150,000
Perpetual subordinated debt ⁽⁶⁾	13.12.2013		EUR	800,000
TOTAL				3,800,000

(1) Balance sheet value including hedging effect and accrued interest.

(2) The issue includes a mechanism to convert to senior debt in the event of regulatory disqualification of the instrument with a reduction in the coupon of 30 basis points.

(3) La Banque Postale issued a Tier II securities bond in the amount of €750 million in 2015.

(4) La Banque Postale issued two bond in 2016 in the amounts of €500 million and €100 million maturing in 12 years.

(5) See "Highlights of the year".

(6) Perpetual bond issue convertible to shares and redeemable in the event of tax, accounting or regulatory changes or a change in the first call date. This debt is allowed in Tier 1 equity from a regulatory standpoint. Coupons are payable annually.

3.21 Breakdown of balance sheet items by residual maturity

Foreword: The note on liquidity risk is contained in the Risk Management section of the Registration Document.

The disclosures required by IFRS 7 are now presented in Note 2.

At end-December 2017, excess liquidity at one year, three years and five years was €8 billion, €9.2 billion and €5.3 billion, respectively, down from 2016 and reflecting the development of commercial assets.

The ratio of financial liabilities to total liabilities was 12% as at the end of 2017 (versus 14% at end 2016).

Almost 71% of these financial liabilities mature in less than one year (issue of certificates of deposit, securities lending and unsecured borrowing) and are covered by a larger liquidity reserve arising in particular from the high-quality portfolio of financial assets mentioned above.

The financing commitments (€21 billion) mainly have an overnight drawdown date.

Regarding transactions with the Banque de France, La Banque Postale deposits funds with the Banque de France to constitute mandatory reserves, as well as its short-term excess liquidity (€2.4 billion as at 31 December 2017), and obtains the regulatory minimum required to operate the market settlement systems from the 3G guarantee pool.

The tables below show the maturities of the Group's financial assets and liabilities by contractual maturity date.

Fixed-income securities, loans and debt are broken down according to their contractual maturity date. Equity investments and UCITs have been entered in the "Indefinite" column. Overnight receivables and debt are shown in the "Less than three months" column. The amounts presented in this schedule correspond to those on the balance sheet (including the effects of discounting).

Balance sheet items by remaining periods to maturity as at 31 December 2017

(in € thousands)	Less than 3 months	3 months to 1 year	1-5 years	More than 5 years	Indeterminate	Total
ASSETS						
Cash, central banks	3,324,831	-	-	-	-	3,324,831
Financial assets held for trading	2,119,535	4,896,949	124,875	419,469	-	7,560,828
Financial assets at fair value through profit and loss on option ⁽¹⁾	-	-	-	-	35,307	35,307
Hedging derivatives -Assets	3,792	972	201,794	939,195	-	1,145,753
Available-for-sale financial assets	345,456	852,967	5,632,088	9,493,320	1,526,256	17,850,087
Loans and receivables due from credit institutions	82,196,097	3,398	533,648	1,354,416	-	84,087,559
Loans and receivables due from customers	4,170,689	6,811,020	28,582,808	48,570,655	-	88,135,172
Revaluation differences on interest rate hedged portfolios - Assets	2,743	2,431	31,131	32,446	-	68,751
Financial assets held to maturity	1,713,322	1,297,537	13,742,659	3,980,496	-	20,734,014
TOTAL	93,876,465	13,865,274	48,849,003	64,789,997	1,561,563	222,942,302
LIABILITIES						
Central banks	-	-	-	-	-	-
Financial liabilities held for trading	74,551	5,269	86,133	361,873	-	527,826
Financial liabilities at fair value through profit and loss on option	-	4,526	-	-	-	4,526
Hedging derivatives - Liabilities	58,027	6,136	71,402	102,637	-	238,202
Liabilities due to credit institutions	10,394,112	2,979,156	413,615	367,406	-	14,154,289
Liabilities to customers	181,714,444	60,443	765,458	23,429	-	182,563,774
Debt securities	3,626,061	1,957,272	1,714,238	4,075,666	-	11,373,237
Subordinated debt	19,411	-	813,688	2,255,877	800,000	3,888,976
Revaluation differences on interest rate hedged portfolios - Liabilities	939	-	32,174	687,645	-	720,758
TOTAL	195,887,545	5,012,802	3,896,708	7,874,533	800,000	213,471,588
OFF-BALANCE SHEET						

(1) Fixed-income securities.

Balance sheet items by remaining periods to maturity as at 31 December 2016

(in € thousands)	Less than 3 months	3 months to 1 year	1 to 5 years	More than 5 years	Indefinite	Total
ASSETS						
Cash, central banks	2,732,044	-	-	-	-	2,732,044
Financial assets held for trading	3,906,493	7,878,693	151,098	393,617	-	12,329,901
Financial assets at fair value through profit and loss on option	-	-	-	-	-	-
Hedging derivatives - Assets	12,581	103	238,006	1,326,811	-	1,577,501
Available-for-sale financial assets	273,792	932,898	7,528,956	8,805,461	1,338,375	18,879,482
Loans and receivables due from credit institutions	81,725,444	329,800	1,125,682	1,280,449	-	84,461,375
Loans and receivables due from customers	5,379,759	6,278,958	27,381,378	39,743,896	-	78,783,991
Revaluation differences on interest rate hedged portfolios - Assets	1,341	1,970	76,413	57,835	-	137,559
Financial assets held to maturity	446,444	1,694,997	13,640,888	6,488,385	-	22,270,714
TOTAL	94,477,898	17,117,419	50,142,421	58,096,454	1,338,375	221,172,567
LIABILITIES						
Central banks	-	-	-	-	-	-
Financial liabilities held for trading	28,627	65,253	126,660	375,007	-	595,547
Financial liabilities at fair value through profit and loss on option	-	-	4,548	-	-	4,548
Hedging derivatives - Liabilities	8,386	5,181	177,425	723,115	-	914,107
Liabilities due to credit institutions	14,668,817	3,786,570	271,276	276,613	-	19,003,276
Liabilities to customers	174,127,180	404,495	1,051,894	410,838	-	175,994,407
Debt securities	3,119,060	3,313,893	1,324,325	2,726,250	-	10,483,528
Subordinated debt	13,325	-	831,448	2,135,625	800,000	3,780,398
Revaluation differences on interest rate hedged portfolios - Liabilities	1,596	-	8,227	1,040,682	-	1,050,505
TOTAL	191,966,991	7,575,392	3,795,803	7,688,130	800,000	211,826,316
OFF-BALANCE SHEET						

NOTE 4 NOTES TO THE INCOME STATEMENT

4.1 Interest income and expense and similar items

(in € thousands)	31.12.2017		31.12.2016	
	Income	Expenses	Income	Expenses
Interest and similar income on cash and interbank transactions	1,403,549	(72,383)	1,156,632	(47,450)
<i>including negative interest</i>	128,757	(61,705)	75,240	(35,034)
Interest and similar income on customer transactions	1,903,572	(1,364,573)	2,117,800	(1,364,105)
<i>including negative interest</i>	17,660	(156)	11,925	(4,667)
Interest on hedging transactions	312,804	(159,252)	311,567	(108,327)
Interest on assets available for sale and held to maturity	865,993	-	905,297	-
Interest on debt securities	333	(185,233)	397	(143,940)
Interest income and expenses	4,486,251	(1,781,441)	4,491,693	(1,663,822)
NET INTEREST INCOME AND EXPENSES	2,704,810		2,827,871	

The amount of interest and remuneration received in respect of the centralisation of deposits of the Livret A, the Sustainable Development accounts (LDD) and the National Savings accounts (LEP) amounted to €1,231 million as at 31 December 2017, compared with €1,024 million as at 31 December 2016.

4.2 Commissions

(in € thousands)	31.12.2017		31.12.2016	
	Income	Expenses	Income	Expenses
Commissions on cash and interbank transactions	57,148	(2,909)	51,227	(3,300)
Commissions on customer transactions	1,337,397	(141,369)	1,325,618	(138,298)
Commissions on financial services provided	790,107	(56,657)	722,943	(68,802)
Commissions on securities transactions	388,612	(19,006)	405,283	(17,947)
Commissions on insurance services provided	99,680	(55,340)	101,463	(56,785)
Commissions on financial instruments	-	(295)	-	(494)
Other commissions	58,946	(9)	68,132	(25)
Commission income and expenses	2,731,890	(275,585)	2,674,666	(285,651)
NET COMMISSIONS	2,456,305		2,389,015	

4.3 Net gains and losses on financial instruments at fair value through profit or loss

(in € thousands)	31.12.2017	31.12.2016
Net income from trading financial assets (excluding derivatives)	(16,059)	2,545
Net income from trading derivative instruments	11,045	(16,439)
Net income from the revaluation of hedged items and derivative hedging instruments	(3,509)	2,085
Profit (loss) from financial assets at fair value on option	307	50
Profit (loss) from financial liabilities at fair value on option	17	(494)
NET GAINS AND LOSSES ON FINANCIAL INSTRUMENTS AT FAIR VALUE THROUGH PROFIT OR LOSS	(8,199)	(12,253)

4.4 Net gains and losses on assets available for sale

(in € thousands)	31.12.2017	31.12.2016
Gains on disposals of fixed-income securities	207,953	173,949
Losses on disposals of fixed-income securities	(24,576)	(112,251)
Dividends and similar income	37,252	21,841
Gains on disposals of variable-income securities	41,299	147,671
Losses on disposals of variable-income securities and impairment	(5,138)	(23,212)
Gains and losses on disposals of loans and receivables	21,665	71
NET GAINS AND LOSSES ON ASSETS AVAILABLE FOR SALE	278,455	208,069

4.5 Total income and expenses from other activities

(in € thousands)	31.12.2017		31.12.2016	
	Income	Expenses	Income	Expenses
Product retrocessions, expense charge backs, expense transfers	44,505	-	13,587	-
Other operating income and expenses	154,800	(261,443)	194,616	(270,452)
Insurance income and expenses	822,793	(530,147)	813,169	(548,685)
Provisions for other operating expenses	64,772	(39,468)	26,124	(38,766)
Income and expenses from other activities	1,086,870	(831,058)	1,047,496	(857,903)
NET INCOME AND EXPENSES FROM OTHER ACTIVITIES	255,812		189,593	

4.6 General operating expenses

(in € thousands)	31.12.2017	31.12.2016
Personnel costs	(522,081)	(487,727)
Taxes, duties and miscellaneous contributions ⁽¹⁾	(60,610)	(10,528)
External services	(3,623,857)	(3,720,001)
Other expenses	(232,139)	(193,373)
Other general operating expenses	(3,916,607)	(3,923,902)
GENERAL OPERATING EXPENSES	(4,438,688)	(4,411,629)

(1) Including contributions to the supervisory bodies.

Average number of employees during the year

	31.12.2017	31.12.2016
Executive positions	3,384	3,242
Non-executive positions	1,151	1,119
TOTAL	4,535	4,361

4.7 Cost of risk

(in € thousands)	31.12.2017	31.12.2016
Impairments on customer accounts	(250,532)	(249,854)
Reversals of impairments on customer accounts	157,061	170,467
Losses on irrecoverable receivables hedged by impairment	(84,811)	(88,052)
Losses on non-provisioned irrecoverable losses	(18,887)	(21,451)
Amounts recovered on amortised receivables	6,179	5,883
Impairment provisions on doubtful financial assets	-	-
Reversals of impairment on doubtful financial assets	-	121
Provisions to/reversals from other impairments	(897)	1,672
COST OF RISK	(191,887)	(181,214)

4.8 Gains and losses on other assets

(in € thousands)	31.12.2017	31.12.2016
Capital gains or losses on the sale of intangible and tangible fixed assets	(1,275)	(2,353)
Gains and losses on consolidated equity interests	-	417
GAINS AND LOSSES ON OTHER ASSETS	(1,275)	(1,936)

4.9 Change in the value of goodwill

There was no change in the value of goodwill during the 2017 financial year.

4.10 Income tax and deferred taxes

(in € thousands)	31.12.2017	31.12.2016
Current tax	(296,760)	(211,281)
Deferred tax	(43,385)	(77,110)
TAXES	(340,145)	(288,391)

Deferred tax is normally recorded at the rate of 34.43% for due dates through 31 December 2018. Deferred tax settled after that date is recorded at the rate defined by the provisions of Article 41 of the Finance law of 2018.

Tax expense analysis

(in € thousands)	31.12.2017		31.12.2016	
Net income, Group share	763,699		693,825	
Share of non-controlling interests	34,255		40,460	
Share of profits of equity associates	(263,399)		(190,981)	
Income tax expense	340,145		288,391	
Pre-tax net income	874,700	34.43%	831,695	34.43%
Theoretical income tax expense	(301,159)		(286,353)	
Permanent difference effects	(2,986)	0.34%	34,646	-4.17%
Tax rate effects	(9,786)	1.12%	(22,442)	2.70%
Dividend taxation effect	(5,082)	0.58%	(13,602)	1.64%
Other effects	(21,131)	2.42%	(641)	0.08%
RECOGNISED INCOME TAX EXPENSE	(340,145)	38.89%	(288,391)	34.68%

NOTE 5 COMMITMENTS GIVEN AND RECEIVED

Contractual value of commitments given and received:

(in € thousands)	31.12.2017	31.12.2016
FINANCING COMMITMENTS		
To credit institutions and similar	1,181,921	449,555
To customers	19,366,812	19,637,367
Total financial commitments given	20,548,733	20,086,922
Received from credit institutions and similar	870,369	1,806,932
Received from customers	1,136,011	1,500,012
Total financial commitments received	2,006,380	3,306,944
GUARANTEE COMMITMENTS		
To credit institutions and similar	402,095	301,171
To customers*	1,877,153	2,234,268
Total guarantee commitments given	2,279,248	2,535,439
Received from credit institutions and similar	31,473,106	29,093,928
Received from customers	9,166,847	7,857,843
Total guarantee commitments received	40,639,953	36,951,771
SECURITIES COMMITMENTS		
Securities to be delivered	1,382,049	2,063,344
Total securities commitments	1,382,049	2,063,344
Securities to be received	246,044	339,744
Total commitments received for securities	246,044	339,744
OTHER COMMITMENTS		
Total of other commitments given	9,627,906	8,252,700
Total of other commitments received	1,410,505	1,425,694

* Including capital and performance guarantees granted to the holders of collective investment scheme units generated by Group entities.

Crédit Logement commitments

La Banque Postale has committed to maintain Crédit Logement's basic equity capital at a level equivalent to their holding in the Company, i.e. 6%, so that the Company can maintain its solvency ratio. La Banque Postale has agreed to replenish Crédit Logement's mutual guarantee fund if required, which underwrites borrower defaults on loans secured by the Company. This commitment, which is

determined according to the portion of amounts outstanding granted by La Banque Postale, was €258 million at 31 December 2017. This amount was €289 million 31 December 2016.

In addition, the guarantee commitments received from credit institutions are primarily comprised of deposits received from Crédit Logement.

Fair value of assets received as a guarantee and which are available to the Group

The fair value of securities received under repurchase agreements was €226 million at 31 December 2017 (compared with €1,572 million as at 31 December 2016).

Margin calls on loaned securities and derivatives amounted to €1,351 million as at 31 December 2017 (compared with €1,505 million as at 31 December 2016).

Other commitments given

Mainly the amount of shares pledged to the European Central Bank as part of the financing commitment received from it (3G funding). This guarantee commitment given is recorded at the market value of pledged securities before taking into account different haircuts for securities and receivables into account. The commitment given

(€916 million) is in return for a financing commitment received (€870 million) from the Banque de France (3G funding).

Other commitments also include €8,490 million in home loans pledged to hedge the bond issues launched by the Group's home loans company (La Banque Postale Home Loan SFH).

NOTE 6 FAIR VALUE OF BALANCE SHEET ITEMS

6.1 Fair value of balance sheet items recognised at amortised cost

The table below shows the fair value of balance sheet items recognised at amortised cost.

(in € thousands)	31.12.2017		31.12.2016	
	Balance sheet amount	Fair value	Balance sheet amount	Fair value
ASSETS				
Loans and receivables due from credit institutions	84,087,559	84,117,932	84,461,375	84,498,930
Loans and receivables due from customers	88,135,172	90,893,965	78,783,991	82,503,722
Financial assets held to maturity	20,734,014	22,711,306	22,270,714	25,347,955
LIABILITIES				
Liabilities due to credit institutions	14,154,289	14,153,488	19,003,276	18,851,002
Liabilities to customers	182,563,774	183,199,648	175,994,407	178,965,022
Debt securities	11,373,237	11,443,463	10,483,528	10,400,522
Subordinated debt	3,888,976	4,225,133	3,780,398	3,780,398

Fair value of loans

The scope selected includes all loans drawn on La Banque Postale and shown on its balance sheet. Loans granted but not yet drawn are not taken into account: the assumption is that since their rates were recently set, their value should not diverge from the nominal amount loaned.

The main assumptions underlying the determination of fair value are as follows for the loans marketed by the Bank:

- ▶ the fair value of current account overdrafts is presumed to correspond to the book value due to their short duration (the customer is required to return the account to credit within one month);

- ▶ the fair value of loans is determined on the basis of internal models, which consist in discounting future recoverable capital and interest flows over the residual term that are discounted based on the rate of internal disposals and a margin representing current market conditions.

Fair value of deposits

The main underlying assumptions for the calculation are as follows:

- ▶ for deposits on which the interest rate is regulated, Livret B accounts, saving accounts for young people, National Savings accounts and term deposit accounts, fair value is assumed to be the carrying amount of the amount outstanding;
- ▶ the fair value of overnight deposits is assumed to correspond to the carrying amount of the amount outstanding, net of the fair cost value of the swaps used to hedge overnight deposits (via the carve-out option).

Held or issued debt instruments

The fair value of listed financial instruments corresponds to the closing price. The fair value of unlisted financial instruments is determined by discounting future cash flows at current reporting date market rates.

All these instruments are considered Level 2, the most significant parameters in terms of their market value are considered as being indirectly observable.

6.2 Ranking of the financial assets and liabilities recognised on the balance sheet by fair value

Three levels of financial instruments are shown based on the decreasing level of observability of the prices and parameters used for their measurement:

- ▶ level 1: Instruments valued according to the (non-adjusted) prices quoted for identical assets or liabilities on an active market.

This level primarily includes listed shares and derivatives on organised markets (futures, options, etc.);

- ▶ level 2: Instruments valued according to data other than the prices listed under level 1 and that can be observed for the asset and liability in question, either directly (prices) or indirectly (derivative price data).

These instruments are measured employing valuation techniques that use observable parameters and standard models or instruments that are valued based on similar instruments listed on an active market. This category includes interest rate swaps, caps, floors, etc.;

- ▶ level 3: Instruments valued using data that are not based on observable market data (non observable data).

This category mainly includes unlisted equity investments, FCPRs (venture capital funds) and FCPIs (innovation investment funds).

The market value of unlisted equity investments classified as available-for-sale securities is determined by reference to criteria such as net assets, profitability outlook and discounting of future cash flows. Non-consolidated equity investments whose fair value cannot be assessed on a reliable basis are valued at cost.

The price quoted for an asset held or a liability to be issued is usually the bid price, and it is the ask price for a liability held or an asset to be acquired.

Financial assets

	31.12.2017			31.12.2016		
	Valuation determined using prices listed on an active market (Level 1)	Valuation process using observable data (Level 2)	Valuation process using non-observable data (Level 3)	Valuation determined using prices listed on an active market (Level 1)	Valuation process using observable data (Level 2)	Valuation process using non-observable data (Level 3)
(in € thousands)						
Government paper and similar securities	945,183	5,018	-	552,270	170,284	-
Bonds and other fixed-income securities	1,126,884	4,931,462	-	2,694,228	8,336,718	-
Equities and other variable-income securities	61,000	-	-	44,358	-	-
Financial assets at fair value through profit and loss	2,133,067	4,936,480	-	3,290,856	8,507,002	-
Equities and other variable-income securities	35,307	-	-	-	-	-
Financial assets at fair value through profit and loss on option	35,307	-	-	-	-	-
Interest rate derivatives	-	384,379	-	-	504,916	-
Exchange rate derivatives	-	94,194	-	-	22,809	-
Credit derivatives	-	2,775	-	-	-	-
Options	-	9,933	-	-	4,318	-
Trading derivatives	-	491,281	-	-	532,043	-
Interest rate derivatives	-	1,138,348	-	-	1,559,775	-
Exchange rate derivatives	-	5,042	-	-	-	-
Fair value hedging derivatives	-	1,143,390	-	-	1,559,775	-
Interest rate derivatives	-	2,363	-	-	17,725	-
Cash flow hedging derivatives	-	2,363	-	-	17,725	-
Government paper and similar securities	6,760,946	20,352	-	7,491,245	35,112	-
Bonds and other fixed-income securities	9,327,335	214,749	-	9,794,248	219,838	-
Equities and other variable-income securities	803,751	222,388	300,195	747,430	221,040	251,579
Non-consolidated equity stakes	-	-	200,371	0	-	118,992
Available-for-sale financial assets	16,892,032	457,489	500,566	18,032,923	475,990	370,571

Transfer from Level 2 to Level 1: €20.4 million (one fixed-income security for which transactions now meet the volume and frequency conditions).

Financial liabilities

	31.12.2017			31.12.2016		
	Valuation determined using prices listed on an active market (Level 1)	Valuation process using observable data (Level 2)	Valuation process using non-observable data (Level 3)	Valuation determined using prices listed on an active market (Level 1)	Valuation process using observable data (Level 2)	Valuation process using non-observable data (Level 3)
(in € thousands)						
Debt securities	-	4,526	-	-	4,548	-
Financial liabilities at fair value through profit or loss on option	-	4,526	-	-	4,548	-
Interest rate derivatives	-	391,595	-	-	500,638	-
Exchange rate derivatives	-	93,277	-	-	60,435	-
Other derivatives	-	19,784	-	-	25,388	-
Credit derivatives	-	12,796	-	-	3,954	-
Options	-	10,374	-	-	5,132	-
Trading derivatives	-	527,826	-	-	595,547	-
Financial liabilities at fair value through profit or loss	-	532,352	-	-	600,095	-
Interest rate derivatives	-	237,901	-	-	878,706	-
Exchange rate derivatives	-	301	-	-	35,401	-
Hedging derivatives	-	238,202	-	-	914,107	-

Change in fair value related to Level 3: reconciliation of opening and closing balances

	31.12.2017				
	Financial assets at fair value through profit and loss	Financial assets at fair value through profit and loss on option	Trading derivatives	Hedging derivatives	Available-for-sale financial assets
(in € thousands)					
OPENING	-	-	-	-	370,571
Total gains and losses recorded in profit and loss	-	-	-	-	(9,561)
Total gains and losses recorded in equity	-	-	-	-	39,905
Purchases	-	-	-	-	127,615
Disposals	-	-	-	-	(94)
Issues	-	-	-	-	-
Redemptions	-	-	-	-	(26,132)
Transfer to or from Level 3	-	-	-	-	-
Transfer within Level 3	-	-	-	-	-
Other movements	-	-	-	-	(1,738)
CLOSING	-	-	-	-	500,566

Level 3 available-for-sale financial assets valued at fair value are non-consolidated equity investments that do not have a market price and are valued at cost, and variable-income securities, primarily FCPR (venture capital funds), FCPI (innovation investment funds) and FDGR certificates of membership/members' certificates.

Level 3 fair value valuations: gains and losses of the financial period recorded in the income statement.

None.

NOTE 7 RECLASSIFICATION OF FINANCIAL ASSETS

The Group took the opportunity to reclassify certain available-for-sale financial assets in the "loans and receivables" category made available by the 13 October 2008 amendment to IAS 39 and IFRS 7. The transfer to the loans and receivables portfolio of a portion of the securities held in the assets available for sale portfolio that no

longer displayed the expected liquidity enables better perception in the financial statements of the way the Bank allocates its resources.

The net book value and the fair value of securities reclassified at 1 July 2008 remain non-material at 31 December 2017.

NOTE 8 OFFSETTING OF FINANCIAL ASSETS AND LIABILITIES

A financial asset and liability are offset and a net balance is shown on the balance sheet when the Group has a legally enforceable right to offset the amounts recognised, and has the intention either to settle the net amount or to realise the asset and settle the liability simultaneously.

A financial asset and liability covered by a master netting agreement or similar agreement meeting the definition of an enforceable contract (legally enforceable right to offset securities with the same maturity against cash), which can be exercised under all conditions but does not meet the offsetting criteria, are presented as net book value where they are realised with the same legal entity.

The tables below show the amounts of financial assets and liabilities that were offset in the Group's consolidated balance sheet as well as the amounts that could be offset in accordance with the master netting agreements or similar agreements, but which are not eligible to be offset in the consolidated financial statements.

The net positions resulting from these various offsets are not intended to measure the Group's exposure to counterparty risk on these financial instruments.

Offsetting of financial assets and liabilities in 2017

	(a)	(b)	(c) = (a) - (b)	(d)		(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial assets	Gross value of financial liabilities offset in the financial statements	Financial assets presented as net	Amounts not offset		Financial instruments received as guarantee	Net book value
				Financial instruments	Cash collateral received		
(in € thousands)							
Financial instruments at market value through profit and loss	7,596,135	-	7,596,135	447,842	1,162,337	-	5,985,956
Of which financial derivatives (includes hedging derivatives)	1,634,260	-	1,634,260	447,842	1,162,337	-	24,081
Loans and receivables due from credit institutions and customers	93,074,811	4,939,639	88,135,172	199,637	1,053	101,891	87,832,591
Including borrowed securities	5,164,246	4,939,639	224,607	199,637	1,053	101,891	(77,974)
Accruals and other assets	3,411,175	-	3,411,175	7,994	-	-	3,403,181
Of which guarantee deposits given	9,895	-	9,895	7,994	-	-	1,901
Other assets not offset	132,334,288	-	132,334,288	-	-	-	132,334,288
TOTAL ASSETS	236,416,409	4,939,639	231,476,770	655,474	1,163,390	101,891	229,556,015

	(a)	(b)	(c) = (a) - (b)	(d)		(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial liabilities	Gross value of financial assets offset in the financial statements	Financial assets presented as net	Amounts not offset		Financial instruments given as guarantee	Net book value
				Financial instruments	Cash collateral paid		
(in € thousands)							
Financial instruments at market value through profit and loss	238,202	-	238,202	447,842	288,191	-	(497,831)
Of which financial derivatives (includes hedging derivatives)	743,469	-	743,469	447,842	288,191	-	7,436
Liabilities due to credit institutions and customers	187,503,413	4,939,639	182,563,774	199,637	42,485	13,891,872	168,429,780
Of which loaned securities	19,171,437	4,939,639	14,231,798	199,637	42,485	13,891,872	97,805
Other debt not offset	38,581,242	-	38,581,242	-	-	-	38,581,242
TOTAL LIABILITIES	226,322,857	4,939,639	221,383,218	647,480	330,675	13,891,872	206,513,192

Offsetting of financial assets and liabilities in 2016

	(a)	(b)	(c) = (a) - (b)	(d)	(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial assets	Gross value of financial liabilities offset in the financial statements	Financial assets presented as net	Amounts not offset	Financial instruments received as guarantee	Net book value
				Financial instruments	Cash collateral received	
(in € thousands)						
Financial instruments at market value through profit and loss	12,329,901	-	12,329,901	805,403	1,252,330	-
Of which financial derivatives (includes hedging derivatives)	2,109,544	-	2,109,544	805,403	1,252,330	-
Loans and receivables due from credit institutions and customers	83,416,781	4,632,790	78,783,991	515,137	(26,642)	1,081,392
Of which borrowed securities	6,202,677	4,632,790	1,569,887	515,137	(26,642)	1,081,392
Accruals and other assets	3,412,488	-	3,412,488	6,203	-	-
Of which guarantee deposits given	7,984	-	7,984	6,203	-	-
Other assets not offset	135,051,039	-	135,051,039	-	-	-
TOTAL ASSETS	234,210,210	4,632,790	229,577,420	1,326,743	1,225,688	1,081,392
						225,943,597

	(a)	(b)	(c) = (a) - (b)	(d)	(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial liabilities	Gross value of financial assets offset in the financial statements	Financial liabilities presented as net	Amounts not offset	Financial instruments given as guarantee	Net book value
				Financial instruments	Cash collateral paid	
(in € thousands)						
Financial instruments at market value through profit and loss	914,107	-	914,107	805,403	664,393	-
Of which financial derivatives (includes hedging derivatives)	1,509,654	-	1,509,654	805,403	664,393	-
Liabilities due to credit institutions and customers	180,627,197	4,632,790	175,994,407	515,137	(14,561)	17,881,066
Of which loaned securities	23,041,875	4,632,790	18,409,085	515,137	(14,561)	17,881,066
Other debt not offset	42,845,140	-	42,845,140	-	-	-
TOTAL LIABILITIES	224,386,445	4,632,790	219,753,655	1,320,540	649,832	17,881,066
						199,902,217

NOTE 9 SEGMENT INFORMATION

- **Retail Banking**, which includes the activities of La Banque Postale, the CRSF Métropole, CRSF Dom and Tertiaire Saint Romain Limited Property Investment Partnerships that own the business premises of La Banque, La Banque Postale Financement, Easybourse, La Banque Postale Crédit aux Entreprises, La Banque Postale Collectivités Locales, La Banque Postale Home Loan SFH, BPE and SOFIAP, the SF2 holding company, FCT Elise 2012, as well as the Dutch debt securitisation funds LBP Dutch Mortgage Portfolio 1 B.V and 2 B.V.
- The **Insurance Division** includes of the CNP Assurances Group, La Banque Postale Prévoyance, La Banque Postale Assurance Santé,

La Banque Postale Assurances IARD, La Banque Postale Conseil en Assurances and Sopassure.

- **Asset management** includes of La Banque Postale Asset Management Group, Tocqueville Finance Holding, Tocqueville Finance SA and AEW Europe.

Except for the foreign subsidiaries of CNP Assurances and AEW Europe and the Dutch debt securitisation funds LBP Dutch Mortgage Portfolio 1 B.V and 2 B.V, the Group conducts its business activities in France.

Inter-segment and intra-segment transactions are performed under commercial market conditions.

9.1 Breakdown of results by business segment

Net Banking Income by business segment as at 31 December 2017

(in € thousands)	Retail Banking		Insurance		Asset management	
	External activity	Inter-segment eliminations	External activity	Inter-segment eliminations	External activity	Inter-segment eliminations
Interest and similar income	4,435,921	29	50,208	-	122	-
Interest and similar expense	(1,781,418)	-	(23)	-	-	(29)
Commission income	2,347,296	273,762	99,982	3,504	284,612	1,023
Commission expenses	(177,934)	(3,631)	(57,411)	(171,288)	(40,240)	(103,370)
Net gains and losses on financial instruments at fair value through profit or loss	(8,752)	-	553	-	-	-
Total net gains and losses on AFS assets	272,460	-	3,191	-	2,804	-
Total income and expense from other activities	(37,604)	(151)	293,005	159	411	(8)
Internal/external net banking income	5,049,969	270,009	389,504	(167,625)	247,709	(102,384)
Net banking income by segment		5,319,978		221,880		145,325
NET BANKING INCOME				5,687,183		

Net Banking Income by business segment as at 31 December 2016

(in € thousands)	Retail Banking		Insurance		Asset management	
	External activity	Inter-segment eliminations	External activity	Inter-segment eliminations	External activity	Inter-segment eliminations
Interest and similar income	4,447,837	40	43,760	-	96	-
Interest and similar expense	(1,663,081)	-	(740)	-	(1)	(40)
Commission income	2,261,907	260,157	102,417	2,939	310,342	(197)
Commission expenses	(172,124)	(3,542)	(58,152)	(163,938)	(55,375)	(95,419)
Net gains and losses on financial instruments at fair value through profit and loss	(13,027)	-	771	-	3	-
Total net gains and losses on AFS assets	195,985	-	6,842	-	5,242	-
Total income and expense from other activities	(72,369)	9	264,053	-	(2,091)	(9)
Internal/external net banking income	4,985,128	256,664	358,951	(160,999)	258,216	(95,665)
Net banking income by segment		5,241,792		197,952		162,551
NET BANKING INCOME				5,602,295		

Net income by business segment as at 31 December 2017 (excluding the cost of equity for each segment).

(in € thousands)	Retail Banking	Insurance	Asset management	TOTAL
Net banking income	5,319,978	221,880	145,325	5,687,183
General operating expenses	(4,250,711)	(104,160)	(83,817)	(4,438,688)
Net depreciation and amortisation of tangible and intangible fixed assets	(173,354)	(4,626)	(2,653)	(180,633)
Gross operating income	895,913	113,094	58,855	1,067,862
Cost of risk	(191,887)	-	-	(191,887)
Operating income	704,026	113,094	58,855	875,975
Share of profits of equity associates	-	256,824	6,575	263,399
Gains and losses on other assets	(1,174)	-	(101)	(1,275)
Goodwill	-	-	-	-
Pre-tax income	702,852	369,918	65,329	1,138,099
Income tax	(288,192)	(34,065)	(17,888)	(340,145)
Consolidated net income	414,660	335,853	47,441	797,954
Non-controlling interests	24,109	(1,233)	11,380	34,255
NET INCOME, GROUP SHARE	390,551	337,086	36,061	763,699

Net income by business segment as at 31 December 2016 (excluding the cost of equity for each segment)

(in € thousands)	Retail Banking	Insurance	Asset management	TOTAL
Net banking income	5,241,792	197,952	162,551	5,602,295
General operating expenses	(4,220,858)	(101,382)	(89,389)	(4,411,629)
Net depreciation and amortisation of tangible and intangible fixed assets	(167,850)	(4,755)	(3,216)	(175,821)
Gross operating income	853,084	91,815	69,946	1,014,845
Cost of risk	(181,214)	-	-	(181,214)
Operating income	671,870	91,815	69,946	833,631
Share of profits of equity associates	-	189,187	1,794	190,981
Gains and losses on other assets	(1,893)	(4)	(39)	(1,936)
Goodwill	-	-	-	-
Pre-tax income	669,977	280,998	71,701	1,022,676
Income tax	(229,301)	(34,751)	(24,339)	(288,391)
Consolidated net income	440,676	246,246	47,362	734,285
Non-controlling interests	21,886	7,777	10,797	40,460
NET INCOME, GROUP SHARE	418,790	238,469	36,565	693,825

9.2 Balance sheet items by business segment

Balance sheet items by business segment as at 31 December 2017

(in € thousands)	Retail Banking	Insurance	Asset management	Inter-segment eliminations	Total
SEGMENT ASSETS					
Cash, central banks	3,324,831	-	-	-	3,324,831
Financial assets at fair value through profit and loss	7,535,142	60,993	-	-	7,596,135
Hedging derivatives	1,145,753	-	-	-	1,145,753
Available-for-sale financial assets	17,187,818	2,369,733	73,482	(1,780,946)	17,850,087
Loans and receivables	172,298,008	118,190	17,340	(210,807)	172,222,731
Equity associates	-	3,329,257	54,101	-	3,383,358
SEGMENT LIABILITIES					
Liabilities at fair value through profit and loss	532,352	-	-	-	532,352
Hedging derivative instruments	238,202	-	-	-	238,202
Inter-bank transactions and similar: Liabilities due to credit institutions	14,132,067	83,271	(127)	(60,922)	14,154,289
Customer transactions	182,701,523	-	12,136	(149,885)	182,563,774
Debt securities	11,373,237	-	-	-	11,373,237

Balance sheet items by business segment as at 31 December 2016

(in € thousands)	Retail Banking	Insurance	Asset management	Inter-segment eliminations	TOTAL
SEGMENT ASSETS					
Cash, central banks	2,732,044	-	-	-	2,732,044
Financial assets at fair value through profit and loss	12,280,992	48,909	-	-	12,329,901
Hedging derivative instruments	1,577,501	-	-	-	1,577,501
Available-for-sale financial assets	18,408,002	2,162,282	75,128	(1,765,930)	18,879,482
Loans and receivables	163,240,391	60,596	14,190	(69,811)	163,245,366
Equity associates	-	3,175,682	50,978	-	3,226,660
SEGMENT LIABILITIES					
Liabilities at fair value through profit or loss	600,095	-	-	-	600,095
Hedging derivatives	914,107	-	-	-	914,107
Inter-bank transactions and similar: Liabilities due to credit institutions	18,974,951	20,093	(118)	8,350	19,003,276
Customer transactions	176,058,982	1,450	12,136	(78,161)	175,994,407
Debt securities	10,483,528	-	-	-	10,483,528

NOTE 10 RELATED PARTY DISCLOSURES

The parties related to the La Banque Postale Group include the main managers and the companies consolidated by the La Poste Group, wholly or jointly controlled subsidiaries and companies on which the Group has a significant influence. La Banque Postale is an entity controlled by La Poste.

10.1 Relationships between consolidated entities

As transactions between La Banque Postale Group's fully consolidated entities are eliminated on consolidation, the data provided below refer only to reciprocal transactions with companies over which the Group

exercises joint control in respect of the portion of those activities not eliminated on consolidation and to those companies over which it exercises a material influence.

(in € thousands)	31.12.2017			31.12.2016		
	With La Banque Postale Group entities			With La Banque Postale Group entities		
	With La Poste Group entities *	Proportional consolidation	Equity method	With La Poste Group entities	Proportional consolidation	Equity method
Interest	(921)	-	-	(2,811)	-	-
Commissions	16,068	-	569,679	13,881	-	593,518
Net income from other activities	82,913	-	-	(45,145)	-	-
NBI items with related parties	98,060	-	569,679	(34,075)	-	593,518
General operating expense items with related parties	(3,121,592)	19		(3,202,741)	4	-
Financial assets at fair value through profit and loss	67,829	-	-	9,299	-	-
Other assets	286,717	7	109,346	599,580	0	125,147
Assets with related parties	354,546	7	109,346	608,879	0	125,147
Payables	807,829	18,705	-	1,125,652	9,716	-
Other financial liabilities	162,746	-	-	242,052	-	-
Other liabilities	36,488	-	255,723	42,977	-	250,760
Liabilities with related parties	1,007,063	18,705	255,723	1,410,681	9,716	250,760
Commitments given	662,664	-	115,019	650,000	-	30,344
Commitments received	2,994	-	976,530	-	-	864,713
TOTAL COMMITMENTS WITH RELATED PARTIES	665,658	-	1,091,549	650,000	-	895,057

* These are almost exclusively transactions with La Poste.

10.2 Executive compensation

The Group treats the members of the Executive Board and the General Management Committee as related parties according to the meaning of IAS 24.

Executive Board members have no contract of employment with La Banque Postale. They therefore receive no compensation other than that paid in respect of their appointment as company officers. Likewise, they receive no remuneration in respect of their mandates carried out in the subsidiaries of La Banque Postale Group.

Rémy Weber received compensation from La Poste due to the fact that he has an employment contract made necessary by the postal

model of La Banque Postale that appointed him head of the La Poste Financial Services Department (Financial Centres).

Remuneration of the members of the Executive Board consists of a fixed annual remuneration, plus a yearly capped variable component, except for the Chairman of the Executive Board, whose total compensation is fixed.

The total gross compensation paid to members of the Executive Board was €1,415 thousand as at 31 December 2017 and €1,216 thousand as at 31 December 2016.

The remuneration of the members of the General Management Committee, with the exception of the members of the Executive Board and the members paid by La Poste, is detailed below:

(in € thousands)	31.12.2017	31.12.2016
Remuneration and benefits in kind	6,051	5,649
Post-employment benefits	940	960
TOTAL	6,991	6,609

These items may be supplemented by severance compensation in the event that their appointments at La Banque Postale are terminated.

NOTE 11 STATUTORY AUDITORS' FEES FOR THE 2017 FINANCIAL YEAR

(amount excluding tax, in € '000s)	Statutory auditors of La Banque Postale			
	PriceWaterhouseCoopers		KPMG	
	Amount	%	Amount	%
Statutory audit, review of the company and consolidated financial statements	1,414	93%	1,341	87%
Parent company	672	44%	669	44%
Fully consolidated subsidiaries	742	49%	672	44%
Services other than certification of the financial statements	103	7%	196	13%
Parent company	75	5%	180	12%
Fully consolidated companies	29	2%	17	1%
TOTAL	1,517	100%	1,537	100%

PricewaterhouseCoopers Audit has provided the following services: letters of comfort for the update of the EMTM programmes and for bond issues, technical consultancy, reviews of environmental, social and societal data and indicators.

KPMG services covered: letters of comfort for bond and EMTN issues, technical consultancy, agreed procedures concerning the purchase of a loan portfolio and reviews of environmental, social and societal data and indicators.

NOTE 12 SCOPE OF CONSOLIDATION

Companies	Registered office: City/Country	Method ⁽¹⁾	Movements	% Control	% Interest	Method	% Control	% Interest
				31.12.2017	31.12.2017	31.12.2016	31.12.2016	31.12.2016
RETAIL BANKING								
La Banque Postale	Paris – France	PARENT		100.00	100.00	PARENT	100.00	100.00
SCI CRSF DOM ⁽²⁾	Paris – France	FULL		99.94	99.94	FULL	99.94	99.94
SCI CRSF Métropole ⁽²⁾	Paris – France	FULL		99.99	99.99	FULL	99.99	99.99
SCI Tertiaire Saint Romain ⁽²⁾	Paris – France	FULL		100.00	100.00	FULL	100.00	100.00
SF2	Paris – France	FULL		100.00	100.00	FULL	100.00	100.00
La Banque Postale Financement	Saint-Denis – France	FULL		65.00	65.00	FULL	65.00	65.00
La Banque Postale Crédit Entreprises	Paris – France	FULL		100.00	100.00	FULL	100.00	100.00
Easybourse	Paris – France	FULL		100.00	100.00	FULL	100.00	100.00
FCT Elise 2012	Pantin – France	FULL		95.00	95.00	FULL	95.00	95.00
BPE	Paris – France	FULL		99.99	99.99	FULL	99.99	99.99
La Banque Postale Collectivités Locales	Paris – France	FULL		65.00	65.00	FULL	65.00	65.00
La Banque Postale Home Loan SFH	Paris – France	FULL		100.00	100.00	FULL	100.00	100.00
SOFIAP	Paris – France	FULL		66.00	66.00	FULL	66.00	66.00
LBP Dutch Mortgage Portfolio 1 B.V	Amsterdam –The Netherlands	FULL	Entered	100.00	100.00			
LBP Dutch Mortgage Portfolio 2 B.V	Amsterdam –The Netherlands	FULL	Entered	100.00	100.00			
INSURANCE								
CNP Assurances Group	Paris – France	EQUITY		36.25	20.15	EQUITY	36.25	20.15
La Banque Postale Prévoyance	Paris – France	FULL		100.00	100.00	FULL	100.00	100.00
La Banque Postale Conseil En Assurances	Paris – France	FULL		100.00	100.00	FULL	100.00	100.00
Sopassure	Paris – France	JOINT		50.02	50.02	JOINT	50.02	50.02
La Banque Postale Assurances IARD	Paris – France	FULL		65.00	65.00	FULL	65.00	65.00
La Banque Postale Assurance Santé	Paris – France	FULL		51.00	51.00	FULL	51.00	51.00
ASSET MANAGEMENT								
AEW Europe	Paris – France	EQUITY		40.00	40.00	EQUITY	40.00	40.00
La Banque Postale Asset Management	Paris – France	FULL		70.00	70.00	FULL	70.00	70.00
Tocqueville Finance Holding	Paris – France	FULL		92.67	92.67	FULL	92.62	92.62
Tocqueville Finance SA	Paris – France	FULL		99.86	92.54	FULL	99.86	92.49

- (1) Consolidation method.
 FULL: Full consolidation.
 EQUITY: Equity method.
 JOINT: Joint control recorded for the share of assets, liabilities and income received.
 NC: Not consolidated.
- (2) Property investment company holding the bank's operating buildings.

Companies excluded from the consolidation scope:

The companies listed below are excluded from the scope of consolidation when they are considered not significant with respect

to three non-cumulative criteria, corresponding to a percentage expressed on the balance sheet, of net banking income or of net income, as well as in view of their multi-year financial histories.

Companies	Registered office: City/Country	Share of capital (%)
Auxiliaire de Transaction Immo	Paris – France	100.0%
Domiserve	Montrouge – France	100.0%
Ezyness	Paris – France	100.0%
KissKissBankBank	Paris – France	100.0%
LBP AM European Debt Funds	Luxembourg – Luxembourg	100.0%
LBP Immobilier Conseil	Paris – France	100.0%
LBP International	Paris – France	100.0%
LBP NEO	Paris – France	100.0%
LBP Partenariats	Paris – France	100.0%
LBP Protection	Paris – France	100.0%
Tocqueville Finance Conseil Assurance	Paris – France	92.5%
Transactis	Courbevoie – France	50.0%
Titres Cadeaux SAS	Paris – France	50.0%

NOTE 13 IFRS 12: DISCLOSURE OF INTERESTS IN OTHER ENTITIES

La Banque Postale Group consists of 25 consolidated entities including one partnership, Sopassure, two significant associated companies, the CNP Assurances Group and AEW Europe, consolidated

by the equity method, and three structured entities. 15 subsidiaries are almost fully controlled by the Group with no significant non-controlling interests.

Consolidated subsidiaries

At 31 December 2017, following the acquisition of non-controlling interests in La Banque Postale Prévoyance in 2016, only La Banque Postale Financement is presented below.

La Banque Postale Financement

The Company is 65% owned by La Banque Postale and 35% owned by Franfinance. The contributory balance sheet excluding elimination of intragroup transactions as at 31 December 2017 was as follows:

(in € thousands)	31.12.2017
ASSETS	
Accounts and demand loans with credit institutions	503,218
Term loans and receivables with customers	4,824,451
Financial assets held to maturity	391,440
Tax assets	15,301
Accruals	22,391
Other assets	2,519
Intangible assets	6,070
Tangible fixed assets	2,448
TOTAL ASSETS	5,767,838

(in € thousands)	31.12.2017
LIABILITIES	
Demand liabilities due to credit institutions	5,090,126
Demand liabilities to customers	1,469
Tax liabilities	734
Accruals	1,140
Other liabilities	31,473
Provisions	1,117
Non-controlling equity interests	(0)
Equity, Group share	641,779
TOTAL LIABILITIES & EQUITY	5,767,838

Net income as at 31 December 2017 is €69,163 thousand, of which €24,207 thousand in non-controlling interests. No dividend was paid.

Statutory, contractual or regulatory restrictions may limit the Group's ability to access or transfer certain assets freely to or from other Group entities or to use them or to settle the Group's liabilities.

La Banque Postale Group also identified the following points:

- ▶ the Group has lent or has committed to lending securities and pledges securities in favour of the central bank and Crédit Logement (see Note 3.14 and Note 5);
- ▶ the Group pledges home loans in order to hedge bond issues made by the Group's housing financing company (La Banque Postale Home Loan SFH) in favour of holders (see Note 5);
- ▶ the Group has granted capital and performance guarantees to holders of UCITS units issued by the Group (see Note 3.14 and Note 5);
- ▶ the financial assets of insurance subsidiaries locked for the benefit of policy-holders (listed under shadow accounting in liabilities on the balance sheet) and in connection with the acceptance of risk reinsurance (see Note 3.4 and 3.18);
- ▶ guarantee deposits;
- ▶ pledges of securities relating to reinsurance contracts.

Consolidated structured entities

Pursuant to IFRS 10 and 11, and with regard to consolidation thresholds, La Banque Postale Group includes three consolidated structured entities, FCT Elise 2012, LBP Dutch Mortgage Portfolio 1 B.V and 2 B.V.

The "FCT Elise 2012" entity entered the scope of consolidation in October 2012. It is a French fund and its debt is 95% owned by La Banque Postale and 5% by Crédit Foncier de France.

The fund's assets include zero-interest loans granted to individual customers of La Banque Postale prior to 2010 (the launch date of the commercialisation of zero-interest loans in the Bank's balance

sheet). As at 31 December 2017, it represented a total of about €400 million. This fund is fully consolidated.

Two Dutch securitisation funds, LBP Dutch Mortgage Portfolio 1 B.V and 2 B.V., entered the consolidation scope respectively in October and November 2017. Their debt is 100% held by La Banque Postale. The assets of these funds consist of home loans granted to the retail customers of Aegon Hypotheken B.V and Rabobank.

The loans in the portfolio represent total net outstanding amounts of €605 million and €593 million euros, respectively. These funds are fully consolidated.

Partnership

Sopassure is a French entity that is 50% owned by La Banque Postale Group. Meeting the definition of a "joint enterprise", it is presented in the Group's consolidated financial statements on the basis of the proportionate share of assets, liabilities and income held.

The shareholders' agreement established between La Banque Postale and its partner sets out the conditions for the partnership, and, through the operating method of the holding company's governance bodies, outlines the direct rights of each partner with respect to the stake in CNP Assurances, Counterparties main asset.

Sopassure has legal reserves that bind the Group to the payment of dividends.

Investments in equity associates

The French State, the Caisse des dépôts, BPCE, La Poste Group and Sopassure have a shareholders' agreement on CNP Assurances.

La Banque Postale Group has significant influence on the CNP Assurances Group with a stake of 20.15% (including an option to purchase a further 2.01%) as at 31 December 2017.

Detailed information on CNP is published in its Registration Document available at: <http://www.cnp.fr/Le-Groupe/Nos-publications/Les-documents-de-reference>.

All income statement and balance sheet information for CNP can be found in Note 3.11. Regarding comprehensive income, information is available in the relevant note at the beginning of this document.

Reconciliation of financial information with the value obtained using the equity method:

(in € thousands)	31.12.2017	31.12.2016
Equity, Group share	18,258	17,534
Restatement	(1,790)	(1,829)
Equity based on the percent interest	3,317	3,164
Net goodwill	12	12
Value of associates accounted for using the equity method on the balance sheet	3,329	3,176
Market value	13,221	12,085

Non-consolidated structured entities

At 31 December 2017, La Banque Postale Group identified two families, securitisation and asset management.

Structured entities with financial interests

At 31 December 2017, the only significant transactions with structured entities with financial interests within the Group are represented by financial liabilities at fair value through profit or loss in the amount of €131 million on Asset management and €13 million in units held in a securitisation fund. Income drawn by the Group on these entities stands at €103 million and consist mainly of management fees. No material loss was recorded at 31 December 2017.

The maximum exposure to risk of loss is, in most cases, limited to units held in funds, with the exception of funds in which La Banque Postale guarantees capital and performance.

Regarding the funds managed by La Banque Postale Asset Management, and given the derivatives structuring, the guarantee may only be exercised in the event of default of the providers of performance swaps. The counterparties are market counterparties and the risk of default may be considered low.

Information on structured entities with no financial link

Funds defined as sponsors are those structured by a management company controlled by the Group, principally La Banque Postale Asset Management.

Income drawn by the Group on these entities stands at €76 million and consists mainly of management fees.

NOTE 14 IDENTIFICATION DETAILS OF NON-CONSOLIDATED EQUITY INVESTMENTS

Name	Registered office: City/Country	Share of capital in %	Currency	Amount of equity in the previous year	Amount of income in the previous year	Date of the last certified financial statements
BPIfrance Financement	Maisons-Alfort – France	0.1%	EUR	3,417,900,000	183,800,000	31.12.2016
Coop'HLM Financement (formerly SFHC)	Paris – France	11.9%	EUR	2,518,239	8,059	31.12.2016
Crédit Logement	Paris – France	6.0%	EUR	1,856,951,000	107,795,061	31.12.2016
Eurogiro Holding A/S	Taastrup – Danemark	8.6%	DKK	43,059,499	4,352,569	31.12.2016
Mandarine Gestion	Paris – France	12.0%	EUR	33,892,395	17,716,544	31.12.2016
Paylib Services	Paris – France	16.7%	EUR	1,361,906	262,033	31.12.2016
Société d'Équipement du Bassin Lorrain	Metz – France	0.2%	EUR	6,804,400	96,100	31.12.2016
SFIL	Issy les Moulineaux – France	5.0%	EUR	1,388,000,000	18,000,000	31.12.2016
SGFGAS	Paris – France	12.5%	EUR	1,172,587	823	31.03.2017
SIAGI	Paris – France	1.3%	EUR	34,317,000	978,000	31.12.2016
Société d'Investissement France Active	Montreuil – France	0.3%	EUR	166,495,600	1,434,100	31.12.2016
STET	Courbevoie – France	5.0%	EUR	93,927,614	7,777,548	31.12.2016
Swift	La Hulpe – Belgique	0.1%	EUR	409,519,000	27,924,000	31.12.2016
Vigeo	Bagnole – France	2.1%	EUR	5,412,111	(5,228,946)	31.12.2016
Wiseprofits SAS	Paris – France	10.0%	EUR	911,534	(520,226)	31.12.2016

The information concerning the financial statements of the above entities is generally presented under local GAAP.

5.3 STATUTORY AUDITOR'S REPORT ON THE CONSOLIDATED FINANCIAL STATEMENTS

PricewaterhouseCoopers Audit

63 rue de Villiers
92 208 Neuilly-sur-Seine Cedex
France

KPMG S.A.

Tour EQHO
2, Avenue Gambetta
92 066 Paris La Défense Cedex
France

**Statutory auditors' report on the consolidated financial statements
(Financial year ended on 31 December 2017)**

To the Shareholders

LA BANQUE POSTALE

Dear Sir/Madam,

Opinion

In execution of the mission entrusted to us by your general meeting, we have audited the consolidated financial statements of LA BANQUE POSTALE for the year ended 31 December 2017, as attached to this report.

We hereby certify that, with respect to the IFRS standards as adopted by the European Union, the consolidated financial statements for the financial year are true and fair and provide a faithful picture of the assets and liabilities, financial position and results of the whole consisting of the persons and entities included in the consolidation at the end of the year.

The opinion formulated above is consistent with the content of our report to the Accounts Committee.

Basis of Opinion

References of the Audit

We have conducted our audit in accordance with the generally accepted auditing standards in France. We consider that the evidence gathered is pertinent and sufficient to serve as a basis for our opinion.

Our responsibilities under these standards are set out in the "Responsibilities of the Statutory Auditors for the Auditing of the Consolidated Financial Statements" section of this report.

Independence

We carried out our audit mission in accordance with the independence rules applicable to us, as of 1 January 2017 to the date of our report, and in particular we did not provide services prohibited by Article 5 (1) of EU Regulation No 537/2014 or the Code of Ethics for Statutory Auditors..

Justification of the assessments - Key points of the audit

Pursuant to the provisions of Articles L.823-9 and R.823-7 of the French Commercial Code relating to the justification of our assessments, we bring to your attention the key points of the audit relating to the risks of material misstatements which, in our professional judgement, were the most significant for the audit of the consolidated financial statements for the year, as well as the responses we provided to these risks.

The assessments were made over the course of our audit of the consolidated financial statements, taken as a whole, and therefore contributed to the forming of the opinion expressed in the first part of this report. We do not express an opinion on items in these consolidated financial statements on an isolated basis.

Provisions for risk on home savings plans

Risk identified

La Banque Postale's commitments to subscribers of home savings products concern the savings phase and the loan phase. The impact of market rates on these commitments may adversely affect the future results of the bank and, as a result, result in the constitution of provisions.

At 31 December 2017, the home savings provision amounted to €293.8 million. It was the subject of a €68.5 million write-back during the year. Outstanding amounts to which this provision refers (Home Savings Plans, Home Savings Accounts and loans granted under PELs and CELs) represent €32.4 billion at closing.

The principles followed in the provisioning of the home savings risk are described in note 1.5 "Presentation and valuation rules" in the notes to the consolidated financial statements (in section 1.5.5 "Special savings accounts") and the figures are detailed in note 3.19 "Provisions".

The determination of these provisions uses customer behaviour simulation techniques, based on modelled estimates of future interest rates and the specificities for each plan generation.

We deemed that the Home Savings provision is a key point of the audit due to:

- ▶ the significant amount of home savings products collected ;
- ▶ the complexity of the assumptions used in the modelling ;
- ▶ the material impact on the results of the company in the event of an error in judgement or a change in estimate.

Procedures implemented in response to this risk

The work we have implemented is as follows :

- ▶ compliance with the governance rules put in place by management for updates to the provisions calculation model, and in particular the approval thereof by the Model Validation Committee of the Group Risk Management Department;
- ▶ critical review in conjunction with our financial modelling specialists of the changes made to the calibration and interest rate modelling assumptions, as well as the credit margin involved in the provision estimates ;
- ▶ critical analysis of the change of the Home Savings provision between 31 December 2016 and 31 December 2017 and the relative contributions of the model, stock and rate components ;
- ▶ critical review of sensitivity tests of the model with the interest rates ;
- ▶ independent recalculation of the provision by our financial modelling specialists by applying the model to the management bases of the accounting databases ;
- ▶ comparison of the ratio of provisions on home savings outstanding to that of a sample of banks that distribute home savings products ;
- ▶ review of the information disclosed in the notes to the consolidated financial statements.

Provisions for credit risk on customer loans

Risk identified

La Banque Postale sets aside provisions to cover the proven risks of losses resulting from the inability of its customers to meet their financial commitments.

As of 31 December 2017, outstanding loans to individuals and legal entities amounted to €65.3 billion and €21.2 billion, respectively, and the associated provisions represent €604 million as indicated in notes 2.2. , 2.3 and 3.6 of the notes to the consolidated financial statements. The principles followed in the provisioning of the credit risk are described in note 1.5 "Presentation and valuation rules" in the notes to the consolidated financial statements (in section 1.5.2.1 "Loans and receivables").

Provisions for depreciation are estimated on a collective or individual basis taking into account the value of the guarantees held. Collective provisions are recorded on non-doubtful loans whose credit risk has deteriorated significantly since the granting. They are determined based on historical data on probability of default and expected losses.

For individual depreciations, they are estimated on a statistical basis for loans to individuals and on a case-by-case basis for other loans.

The valuation of credit risk provisions on outstanding loans requires the exercise of judgement for the identification of exposures presenting a risk of non-recovery, or for the determination of future recoverable cash flows and recovery deadlines.

We deemed that the evaluation of these provisions is a key point of the audit due to :

- ▶ the relative importance of outstanding loans on the balance sheet ;
- ▶ the complexity of estimating the probabilities of default, losses in the event of default or future recoverable cash flows, including the value of the guarantees.

Procedures implemented in response to this risk

We have taken note of the internal control system put in place by the company to identify sensitive or doubtful debts and to evaluate the amount of depreciation on sensitive, doubtful or contentious loans.

We tested the effectiveness of the controls considered key for our audit, implemented by the company for the identification of the sensitive outstanding debts, the classification as doubtful or contentious, the evaluation of the value of the guarantees received, the correct processing of the data in business IT tools and their apportionment in accounting.

We also took note of the functioning and main conclusions of the specialised committees of the bank responsible for monitoring sensitive, doubtful or contentious debts and reviewed the documentation justifying the level of provisions made.

For collective provisions, we conducted a critical review of the changes made to the models for calculating the probability of default and loss in case of default. For business loans, we assessed the procedures for setting up and supervising "follow-up" files and depreciations recorded on business loans.

In addition, we have re-run some of the tests performed by accounting controls and we have corroborated the quality of some of the analyses produced by examining the underlying data and supporting documents.

Lastly, we analysed the change of certain key indicators, such as the sum of the outstanding and doubtful loans related to total outstanding debts as well as their coverage by the depreciations, compared to those observed at 30 June 2017 and 31 December 2016, and to those budgeted.

Technical provisions related to insurance activities

Risk identified

The entities controlled by La Banque Postale, which carry out an insurance business, recognise, on the liabilities side of their balance sheet, technical provisions representative of their commitments with respect to policyholders.

The estimate of actuarial liabilities is based on models that take into account rate (market, yield, discount), expense and cost assumptions, which give rise to statistical and actuarial calculations.

The significance of these provisions and the extent to which estimates are used in our calculations lead us to consider this a key point of the audit.

The procedures for determining the technical and mathematical provisions are detailed in Note 1 "Main rules for the valuation and presentation of the consolidated financial statements" in Section 1.4.3 "Consolidation rules" of the notes to the consolidated financial statements. The amounts recognised are detailed in note 3.18 "Insurance companies' technical provisions".

Insurance companies' technical reserves thus totalled €2,257.5 million as of 31 December 2017, compared with €2,120.3 million at the previous closing.

Procedures implemented in response to this risk

To assess the estimated technical provisions for the insurance business, the following procedures have been implemented in conjunction with our actuarial specialists :

- ▶ assessment of the relevance of models and their evolution ;
- ▶ assessment of the appropriateness of the assumptions made regarding interest, yield, discounting, claims and future costs rates;
- ▶ corroboration of the bases of calculation taken into account with the management data;
- ▶ independent recalculation of provisions ;
- ▶ verification of the correct transcription of the calculation of provisions in the accounts.

Verification of the group information given in the management report

In accordance with the professional standards applicable in France, we also carried out the specific verification required by law of the information relating to the group given in the management report.

We have no comments to make on the fair presentation of the information or on its consistency with the consolidated financial statements.

Information resulting from other legal or regulatory requirements

Appointment of statutory auditors

We were appointed statutory auditors of LA BANQUE POSTALE by your Shareholders' Meetings of 28 April 2004 for PricewaterhouseCoopers Audit and 27 May 2010 for KPMG S.A.

At 31 December 2017, PricewaterhouseCoopers Audit was in the 14th year of its assignment without interruption and KPMG S.A. in its 8th year.

Responsibilities of management and corporate governance officers in the consolidated financial statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with the IFRS standard as adopted in the European Union and for implementing such internal control as it determines to be necessary to enable the preparation of consolidated financial statements that are free of material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for evaluating the ability of the company to continue as a going concern, to present in these accounts, as appropriate, the necessary information relating to the continuity of operations and apply the going concern accounting policy unless it is intended to liquidate the company or cease trading.

The Accounts Committee is responsible for following the process of preparing financial information and for monitoring the effectiveness of the internal control and risk management systems and, where applicable, internal audit, as regards procedures relating to the preparation and processing of accounting and financial information.

The consolidated financial statements were approved by the Executive Board.

Responsibilities of the statutory auditors in relation to the consolidated financial statements

Audit objective and approach

It is our responsibility to prepare a report on the consolidated financial statements. Our objective is to obtain reasonable assurance that the consolidated financial statements taken as a whole do not contain any material misstatements. Reasonable assurance corresponds to a high level of assurance, but does not guarantee that an audit performed in accordance with the standards of professional practice can systematically detect any significant anomaly. Anomalies may arise from fraud or error and are considered significant where it can reasonably be expected that they, taken individually or cumulatively, may influence the economic decisions that account users make in their business based on such anomalies.

As specified by Article L.823-10-1 of the French Commercial Code, our mission of certification of accounts is not to guarantee the viability or the quality of the management of your company.

As part of an audit conducted in accordance with the professional standards applicable in France, the statutory auditor exercises professional judgement throughout this audit

In addition :

- ▶ they identify and assess the risks that the consolidated financial statements contain material misstatements, whether due to fraud or error, define and implement audit procedures to address these risks, and collect items considered sufficient and appropriate to base an opinion. The risk of not detecting a significant anomaly from fraud is higher than that of a significant anomaly resulting from an error, as the fraud may involve collusion, falsification, voluntary omissions, misrepresentation or circumventing internal control ;
- ▶ the statutory auditor becomes aware of the internal control relevant to the audit in order to define appropriate audit procedures in the circumstances, and not to express an opinion on the effectiveness of the internal control ;
- ▶ they assess the appropriateness of the accounting methods used and the reasonableness of accounting estimates made by management, as well as the information concerning them provided in the consolidated financial statements ;
- ▶ they assess the appropriateness of management's application of the going concern accounting policy and, depending on the evidence gathered, the existence or otherwise of significant uncertainty related to events or circumstances likely to jeopardise the company's ability to continue as a going concern. This assessment is based on the information gathered up to the date of the report, but it is recalled that subsequent circumstances or events could jeopardise the continuity of operations. If the statutory auditor concludes that there is significant uncertainty, they draw the attention of the readers of the report to the information provided in the consolidated financial statements about this uncertainty or, if this information is not provided or is not relevant, they formulate a qualified certification or a refusal to certify ;
- ▶ they assess the overall presentation of the consolidated financial statements and assess whether the consolidated financial statements reflect the underlying transactions and events in such a way as to give a true and fair view of them ;

- ▶ concerning the financial information of the persons or entities included in the scope of consolidation, they collect information that they deem sufficient and appropriate to express an opinion on the consolidated financial statements. The statutory auditor is responsible for the management, supervision and execution of the audit of the consolidated financial statements as well as the opinion expressed on these financial statements.

Report to the Accounts Committee

We submit a report to the Accounts Committee, which outlines the scope of the audit work and the work programme implemented, as well as the conclusions arising from our work. We also disclose, where appropriate, the significant weaknesses of internal control that we have identified with respect to the procedures relating to the preparation and processing of accounting and financial information.

Among the items disclosed in the report to the Accounts Committee are the risks of material misstatement that we consider to have been the most significant for the audit of the consolidated financial statements for the year and which therefore constitute the key points of the audit, which is our responsibility to describe in this report.

We also provide the Accounts Committee with the declaration provided for in Article 6 of EU Regulation No 537-2014 confirming our independence within the meaning of the rules applicable in France as laid down in particular by Articles L.822- 10 to L.822-14 of the French Commercial Code and in the Code of Ethics for Statutory Auditors. If necessary, we will discuss with the Accounts Committee risks related to our independence and the safeguards applied.

Neuilly-sur-Seine and Paris la Défense, 05 March 2018

The statutory auditors

PricewaterhouseCoopers Audit

Jacques Levi

Partner

KPMG S.A.

Marie-Christine Jolys

Partner

5.4 SEPARATE ACCOUNTS

5.4.1 Parent company balance sheet

(in € thousands)	Notes	31.12.2017	31.12.2016
ASSETS			
Cash, central banks	2.1	3,324,644	2,731,892
Government paper and similar securities	2.7	25,407,559	27,458,088
Loans and receivables due from credit institutions and similar	2.3	100,473,376	98,612,691
Customer transactions	2.5	66,531,727	60,154,155
Bonds and other fixed-income securities	2.7	19,852,508	24,406,618
Shares and other variable-income securities	2.7	713,371	674,868
Equity interests and other long-term securities	2.11	184,103	105,557
Holdings in related companies	2.10	2,061,577	2,061,577
Intangible fixed assets	2.12	448,315	338,722
Tangible fixed assets	2.12	534,306	545,336
Other assets	2.13	1,497,181	1,875,683
Accruals	2.13	1,500,283	1,494,992
TOTAL		222,528,948	220,460,178
LIABILITIES			
Central banks	2.2		
Liabilities due to credit institutions and similar	2.4	20,095,433	23,308,892
Customer transactions	2.6	181,494,637	175,202,257
Debt securities	2.9	6,383,426	6,663,888
Other liabilities	2.14	2,097,239	2,229,613
Accruals	2.14	1,950,573	2,801,766
Provisions	2.15	586,410	729,701
Subordinated debt	2.17	3,822,611	3,666,525
Fund for general banking risks (FGBR)		22,000	22,000
Parent company shareholders' equity (excluding FGBR)	2.19	6,076,618	5,835,537
▶ Subscribed capital		4,046,408	4,046,408
▶ Issue and contribution premiums		16,719	16,719
▶ Reserves		510,025	481,822
▶ Revaluation differences			
▶ Regulated provisions and investment grants			
▶ Retained earnings		950,283	726,521
▶ Profit (loss) for the period		553,183	564,066
TOTAL		222,528,948	220,460,178

5.4.2 Parent company net income

(in € thousands)	Notes	31.12.2017	31.12.2016
Interest and similar income:			
▶ Cash and interbank transactions	3.1	1,481,160	1,251,950
▶ Customer transactions	3.2	1,482,133	1,689,156
▶ Bonds and other fixed-income securities	3.3	982,126	1,122,779
▶ Other interest and similar income	3.4	213,886	229,288
Interest and similar expenses:			
▶ Cash and interbank transactions	3.1	(150,875)	(107,138)
▶ Customer transactions	3.2	(1,400,034)	(1,374,551)
▶ Bonds and other fixed-income securities	3.3	(304,462)	(259,677)
▶ Other interest and similar income	3.4	(36,127)	(71,362)
Income from variable-income securities	3.5	241,937	214,089
Commissions (income)	3.6	2,545,057	2,456,817
Commissions (expenses)	3.6	(253,826)	(235,584)
Gains or losses on trading portfolio transactions	3.7	(69,326)	(14,329)
Gains or losses on investment portfolio transactions and similar	3.8	365,981	131,504
Other bank operating income	3.9	110,526	43,736
Other bank operating expenses	3.9	(127,732)	(108,559)
Net banking income		5,080,424	4,968,120
General operating expenses:			
▶ Personnel costs	3.10	(349,567)	(322,648)
▶ Other general operating expenses	3.12	(3,823,436)	(3,831,796)
▶ Re-invoicing	3.13	88,262	79,839
Depreciation, amortisation and impairment of fixed assets	3.14	(144,298)	(140,570)
Tangible and intangible fixed assets			
Gross operating income		851,385	752,945
Cost of risk	3.15	(121,762)	(110,533)
Operating income		729,623	642,412
Gains or losses on non-current assets	3.16	11,306	(1,988)
Pre-tax income		740,929	640,424
Exceptional income		-	-
Income tax	3.17	(187,746)	(76,358)
Net allocations to the FGBR and regulated provisions		-	-
Parent company net income		553,183	564,066
Parent company net earnings per share (in euros)		15.72	16.03
Diluted earnings per share (in euros)		13.97	14.38

5.4.3 Parent company off-balance sheet items

(in € thousands)	31.12.2017	31.12.2016
Financing and guarantee commitments and commitments on securities given		
► Financing commitments		
- To credit institutions	1,003,382	1,085,872
- To customers	18,670,415	17,985,791
► Guarantee commitments		
- To credit institutions ⁽¹⁾	402,095	301,171
- To customers	6,340,149	4,283,840
► Securities commitments		
- Deliverable securities ⁽²⁾	1,362,628	2,048,745
Financing and guarantee commitments and commitments on securities received		
► Financing commitments		
- From credit institutions	870,326	1,806,867
- From customers ⁽²⁾	1,136,005	1,500,000
► Guarantee commitments		
- From credit institutions ⁽³⁾	29,431,322	27,850,837
- From customers ⁽⁴⁾	7,872,308	6,570,031
► Securities commitments		
- Securities to be received	226,624	325,145
Other commitments given and received		
► Other commitments given ⁽⁵⁾	9,457,167	8,182,287
► Other commitments received	80	292,242

Off-balance sheet commitments relating to cash and forward foreign exchange transactions and to loans and/or borrowings are described in Note 2.20.

Off-balance sheet commitments relating to forward financial transactions are described in Note 2.21.

1) Crédit Logement commitment: La Banque Postale has committed to maintain Crédit Logement's basic equity capital at a level equivalent to its holding in the Company, i.e. 6%, so that the latter can maintain its solvency ratio.

La Banque Postale has agreed to replenish, if necessary, Crédit Logement's mutual guarantee fund, which underwrites borrower defaults on loans secured by the Company. This commitment, which is equivalent to the portion of amounts outstanding granted by La Banque Postale, was €258,011 million at 31 December 2017.

2) The financing commitments received from customers and deliverable securities largely correspond to securities lending transactions after the balance sheet date.

3) Guarantee commitments received from credit institutions consist of, for €29,379 million, guarantees received from Crédit Logement.

4) Guarantee commitments received from customers correspond, for €5,721 million, to the identification of the sureties received for home loans granted and delivered by the Bank by guarantee companies other than Crédit Logement.

5) Other commitments given: La Banque Postale pledges part of its financial assets as part of the 3G refinancing line with Banque de France (€916,422 thousand), with Crédit Logement (€50,599 thousand), and part of its outstanding home loans with its home loans company, LBP Home Loan SFH for €8,490,145 thousand.

Detailed summary of notes

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NOTE 1 ACCOUNTING PRINCIPLES AND METHODS

Principal valuation and presentation rules for the separate financial statements

The individual financial statements have been drawn up in accordance with the general accounting principles applicable to credit institutions in France.

La Banque Postale, which is wholly owned by La Poste, is consolidated in its financial statements and is part of its tax group.

Furthermore, La Banque Postale, as the parent company, draws up the consolidated financial statements.

Changes in method and comparability

1 Changes in method

There were no changes in accounting methods in the year just ended. The regulations of the French national accounting authority (ANC) that came into effect in 2017 had no impact on the financial statements.

2 Comparability of financial years

Where the balance sheet, income statement and off-balance sheet statement are concerned, the data shown for the 2017 financial year are directly comparable to those for the previous financial year.

Presentation and valuation rules

The Bank adheres to the rules and principles of ANC regulation no. 2014-07 of 26 November 2014, which incorporates in a single text all the accounting regulations applicable to banking establishments.

1 Foreign currency transactions

In accordance with ANC Regulation 2014-07, the assets, liabilities and off-balance sheet commitments denominated in foreign currencies are converted at the spot exchange rate on the last day of the period.

Foreign exchange gains and losses arising on day-to-day transactions in foreign currencies are recognised through profit and loss.

Forward currency hedging transactions are recognised in the off-balance sheet statement. The position is originally recorded on the basis of the cash exchange rate, then the swap points (the difference between the forward rate and the cash rate) are recognised in profit and loss on a pro rata basis.

2 Receivables due from credit institutions and customers – Signed commitments

Receivables due from credit institutions and customers are broken down according to their initial maturity, or the nature of the receivable: demand receivables (ordinary accounts and day-to-day transactions) and term receivables (loans, securities lending transactions) for credit institutions; trade receivables, current accounts, short-term credit facilities, equipment or home loans and other customer loans. These receivables include loans granted and current accounts in debit, as well as securities received via repurchase agreements and borrowed securities.

Guarantees received are recorded off-balance sheet and regularly remeasured and capped at the carrying amount of the loan.

The credit risk (credit institution and customer receivables, fixed-income securities, signed commitments and financial instruments) is processed in accordance with the provisions of ANC Regulation 2014-07.

The credit risk for a given counterparty is characterised by the existence of a potential loss relating to the possibility of that counterparty defaulting on the commitments that it has entered into.

The monitoring of receivables is based on an expert system, which uses external or internal ratings or a mix of the two, depending on the category of the customer (individuals, corporate customers, etc.).

Loans

Loans are recorded under assets at their repayment value, with a premium/discount recognised in the event of origination/acquisitions for a different amount. The corresponding interest is calculated according to the EIR mechanism.

Doubtful receivables

The doubtful receivables downgrading process applies to unauthorised overdrafts, home loans and consumer credit, lease finance and loans to corporate customers. Receivables where the recovery outlook has deteriorated significantly are specifically identified as non-performing.

The downgrading of unauthorised overdrafts applies to active and closed accounts. The downgrading of outstanding overdrafts on active accounts means that performing outstandings are downgraded to doubtful. Downgrades are made on a monthly basis, and factor in the amount and duration of the overdraft for each account. When an account is closed, the receivable is downgraded to non performing. Receivables for very small amounts are immediately recorded as losses.

Receivables for which the institution sees a probable risk of not receiving all or part of the amounts payable in respect of the commitments entered into by the counterparty are classified as doubtful.

Loans are downgraded to doubtful status when there is an objective indication of an event following the set-up of a loan - or a group of loans - that could generate a loss of value. This could be when there have been missed payments, legal proceedings have been launched, or when the financial situation of the counterparty has deteriorated and there is a risk of non-recovery.

Outstandings are downgraded to doubtful at the latest three months following one or more missed payments, or when the borrower has submitted a request for an over-indebtedness plan from the Banque de France even when there have been no missed payments.

They must be identified as non-performing at the end of their term or when the relationship with the counterparty is terminated (in the case of undated receivables). In addition, loans are automatically downgraded to non-performing debt one year after being classified as doubtful.

By applying the contagion principle, all loans outstanding to the same beneficiary are downgraded to doubtful as soon as one loan to that beneficiary is downgraded within the Group.

Doubtful home loans can be reclassified as performing loans when all arrears have been paid and regular payment of the amounts corresponding to the contractual instalments have been made for a period of at least two months.

Loans that are deemed definitely unrecoverable are recorded under losses, while the corresponding impairment charges are reversed.

Restructured receivables

Restructured loans are loans for which the entity has modified the original financial conditions due to the borrower's financial difficulties.

Restructuring operations are defined according to two main criteria:

- concessions by the bank;
- the borrower's financial difficulties.

The discount arising from a restructured loan is recorded under cost of risk and on the balance sheet as a deduction from the corresponding amount outstanding. It corresponds to the difference between the nominal value of the debt before the restructuring and the discounted value at the original effective rate of the new expected future flows. The discount is recognised through profit or loss in the interest margin, according to an actuarial method over the term of the loan.

- Retail customers

The restructured counterparty is no longer classified as doubtful after a probationary period of 12 months, following which it is classified as sensitive for a minimum period of 24 months. After being reclassified as performing debt, if the borrower does not respect the fixed instalments, the restructured loans are immediately downgraded to doubtful as from the 1st missed payment.

- Non-retail customers

In the case of non-retail customers, a 12-month probationary period is applied on a case-by-case basis, based on expert opinion and a bank analysis. Reclassification to "performing under watch" is done by the Customer monitoring Department and validated by the Risk Department.

Note that restructured loans reclassified to performing exposures are subject to a two-year probation period and will be switched back to doubtful if any payments are missed during this period.

Specific loan impairment

- Scope of home loans

Specific provisioning for home loans in default can be statistic (based on historical data by homogeneous category), or individual by counterparty.

Amounts outstanding in default are weighted by a factor of "best estimate of expected loss on exposure at default", adjusted to recognise certain elements (such as the effect of a slowdown in the economy). This factor is determined according to the length of default and the type of security.

The amount of the impairment is recognised in "Cost of risk" on the income statement, and the value of the financial asset is reduced through recording an impairment charge.

Applying the contagion principle, all loans outstanding to the same beneficiary are provisioned as soon as one loan to that beneficiary is provisioned within the Group.

In the event of reassessment of impaired home loans, provisions may be reversed fully or in part and loans reclassified as performing loans when all arrears have been paid and regular payment of the amounts corresponding to the contractual instalments have been made for a period of at least two months.

- Scope of lease finance and loans to corporate customers

Within this scope, specific provisioning of amounts outstanding is tracked monthly and adjusted as necessary based on an expert opinion. An impairment is then recorded on the difference between the carrying amount and the net present value of the expected cash flows, discounted at the original effective interest rate, and determined taking account of the financial position of the borrower

and the present value of guarantees received. The amount of the impairment is recognised in "Cost of risk" on the income statement, and the value of the financial asset is reduced through recording an impairment charge.

Applying the contagion principle, all loans outstanding to the same beneficiary are provisioned as soon as one loan to that beneficiary is provisioned within the Group.

Collective loan impairment

In addition, loans that are not impaired on an individual basis are analysed on the basis of homogeneous portfolios presenting similar risk features and, where required, impaired on a collective basis. This process involves a group of "sensitive" loans showing initial signs of default risk, similar at the portfolio level to an objective indication of loss of value, but that cannot be individually allocated.

These cases are provisioned on the basis of probability of their transfer to "doubtful" status, calculated based on historical observations. The risk of loss taking into account the nature of the guarantee is calculated in the same way as for doubtful cases, and is the subject of a provision, based on the discounted recoverable cash flows.

The amount of the impairment is recognised in "Cost of risk" on the income statement, and the value of the financial asset is reduced through recording an impairment charge.

Impairment of outstanding overdrafts

The provisioning of outstanding overdrafts applies to active and closed accounts. It is done monthly and factors in the duration of the overdraft for each account. Very small amounts are immediately recorded as losses.

Provisioning for accounts that are still open is carried out using the same method applied to home loans.

The Bank examines the outstanding debt position, even when it falls within the authorised overdraft limits, as soon as it involves a counterparty considered to be risky and exceeds 30 consecutive days, or else when there has been a missed payment. Impairments on these accounts are then recorded and change with the account balance. The contagion principle applies to other loans of the same category. Beyond a certain period, the account is closed.

Interest due on doubtful loans is recorded in net banking income and fully impaired. Impairments are recorded under the cost of risk.

Financing commitments

Financing commitments that are not viewed as derivative instruments are not shown on the balance sheet, but are recorded as off-balance sheet items.

Guarantee commitments

Guarantee commitments are valued according to the likelihood of these guarantees being exercised. Provisions are booked under liabilities.

Securities received under repurchase agreements and borrowed securities

These securities are recorded under assets in an account that represents the receivable arising from them. The corresponding income is recorded in profit and loss for the financial year on a pro rata basis.

Securities received under repurchase agreements that are subsequently sold are recorded as securities-related debt under liabilities. They are valued at their market value at that point.

3 Securities

Securities are recorded on the balance sheet according to their type:

- ▶ government paper (Treasury bills and similar securities);
- ▶ 3 bonds and other fixed-income securities (negotiable debt securities, and inter-bank market securities);
- ▶ equities and other variable-income securities.

Applying the provisions of ANC Regulation no. 2014-07, these securities are recognised based on their destination portfolio that corresponds to the economic purpose of their holding: transaction, held-for-sale, investment, portfolio securities and long-term equity holdings, other long-term securities and stakes in related companies.

They are subject to specific valuation rules for each portfolio category, as described below.

In the event of proven credit risk, fixed-income securities recorded in the held-for-sale or investment portfolio are identified as doubtful, according to the same criteria as those applicable to doubtful receivables and commitments.

Trading securities

Trading securities include Treasury bills and negotiable debt securities, in addition to marketable securities. They are purchased or sold with the intention of reselling them or buying them back in the short term. They are traded on active markets.

Trading securities are recognised at their acquisition price on the date of acquisition, excluding charges and including accrued interest, where applicable. They are valued at their latest market price at the end of each accounting period. Any revaluation differences arising from this valuation are recorded in profit and loss.

Unrealised or realised gains or losses are recorded on the income statement under the heading "Gains or losses on trading portfolio transactions".

The coupons received are recognised under interest income.

Trading securities which are no longer held with the intention of selling them in the short term can be transferred to the "held-for-sale" or "investment" categories, if:

- ▶ an exceptional market situation requires a change in the holding strategy;
- ▶ if fixed-income securities can no longer be traded on an active market after their acquisition, and if the Bank has the capacity to hold them for a foreseeable future term or until maturity.

The securities thus transferred are recorded under their new category at the market value on the date of transfer.

If the characteristics of the market on which the trading securities were purchased change, such that this market can no longer be considered active, the institution revalues the securities in question by using valuation techniques that take the new characteristics of the market into consideration.

Held-for-sale securities

Held-for-sale securities include securities that do not meet the conditions for classification in the trading or investment portfolios.

Held-for-sale securities are recorded at their acquisition price, excluding charges, at the date they are acquired. They are managed on a "first-in, first-out" basis and valued as follows, according to

homogeneous groups and without offsetting the gains recorded on other categories of securities:

- ▶ bonds: unrealised losses compared with market value, calculated on the basis of the closing price, are recorded as an impairment;
- ▶ Treasury bills, negotiable debt securities and inter-bank market securities: impairment charges are recorded depending on the issuers' solvency and according to market indicators.

Gains on micro-hedging transactions are taken into account when calculating the impairment charges.

Potential premiums or discounts are spread over the residual life of the security on an actuarial basis.

Income from held-for-sale securities are recognised in the income statement under interest income from fixed income securities and income from variable-rate securities, otherwise realised gains or losses as well as impairment provisions and reversals are recorded in the income statement under the heading "Gains or losses on investment portfolio transactions and similar".

Held-for-sale securities can be transferred to the investment securities category if:

- ▶ an exceptional market situation requires a change in the holding strategy;
- ▶ if fixed-income securities can no longer be traded on an active market after their acquisition, and if the Bank has the capacity to hold them for a foreseeable future term or until maturity.

The securities thus transferred are recorded under their new category at the market value on the date of transfer.

In the absence of an active market, accounting valuation must be determined using valuation techniques. These techniques include the use of recent transactions carried under normal competitive conditions. They are based on market data, the fair value of substantially identical instruments, or on data generated from cash flow discounting or option valuation models, using recognised valuation methods. The aim of a valuation technique is to establish what the price of an instrument would be under normal market conditions. For example, the fair value of bonds or of variable-income securities and futures is determined using quoted prices. The use of valuation techniques that are based on market data usually concerns over-the-counter derivatives, securities for which income is taxed at the source (treasury bills, certificates of deposit, etc.) and repo deposits.

Investment securities

Investment securities consist of fixed-income securities, or securities reclassified from the "Held-for-sale securities" or "Trading securities" category, with the clear intention of holding them until maturity. They are recorded at their acquisition price at the date they are acquired, excluding charges.

Any unrealised losses that may exist between the carrying amount of the securities and their market price are not impaired. Conversely, when it is likely that the institution will not receive all or part of the repayment value when the securities mature, an impairment charge is recorded. The difference between the acquisition and repayment price of the securities (premium or discount) is amortised on an actuarial basis.

The interest from these securities is recognised in the income statement under interest income on fixed-income securities.

Impairment provisions or reversals are recognised in the income statement under the heading "Cost of risk".

In the event of a disposal or transfer to another category involving a significant amount with respect to the total amount of the other investment securities held, they can no longer be classified under

this category for the current accounting period or in the following two financial years.

All the securities held and classified under "Investment securities" are then reclassified under the "Held-for-sale securities" category. When trading and held-for-sale securities were transferred to this category due to exceptional market situations requiring a change of strategy, disposals made before the maturity of these investment securities if linked to the fact that they can once more be traded on an active market, do not lead to the application of the above-mentioned rule of reclassification of other securities held.

Portfolio holdings

Portfolio holdings correspond to investments that are made on a regular basis, with a view to realising a medium-term capital gain, without any intention of investing in the expansion of the business assets on a long-term basis, or playing an active role in the operating management of the Company issuing the securities. They are recognised at their acquisition price.

An impairment charge is recorded to cover a permanent loss of value of the securities due to the intrinsic deterioration of the Company's situation.

Income from portfolio holding securities is recognised in the income statement under "Income from variable-rate securities".

Realised gains or losses as well as impairment provisions and reversals are recorded in the income statement under the heading "Gains or losses on portfolio investments and similar".

Equity holdings, other long-term securities and stakes in related companies

Equity holdings comprise interests in companies for which La Banque Postale SA has significant influence on the governing bodies of the issuing companies, and investments that are strategic for the development of the activities of La Banque Postale SA. Such influence is presumed when La Banque Postale SA's holding is 10% or more.

Other long-term securities held are shares and similar that La Banque Postale SA intends to hold over the long term to generate sufficient returns over a shorter or longer term, without participating in the management of the issuing company, but with the intention of promoting long-term business relationships by forming a special link with the issuing company.

Stakes in related companies consist of equities and other variable-income securities in associates over which La Banque Postale SA has exclusive control, *i.e.* those that could be fully consolidated in the Group's financial statements.

The securities owned are valued at their value in use, which is estimated based on various criteria, such as net assets, prospective returns, and discounted future cash flows. An impairment charge is recorded in the event of permanent impairment of the Company's value in use. Charges net of write-backs, and gains or losses on the disposal of these securities are recorded under "Gains and losses on non-current assets".

Dividends are recorded at the date they were decided on by the General Meeting of Shareholders, or at the date of payment when the date of the decision is not known. They are recorded under "Income from variable-income securities".

4 Tangible and intangible fixed assets

Fixed assets are valued at their acquisition cost, to which initial fixtures and fittings costs may be added in the case of buildings.

In application of the provisions of ANC regulation no. 2014-03, six components were selected for the Bank's operating properties: structural work, roofing, joinery and external works, major equipment items, small equipment items and fixtures and fittings, and land.

Depreciation is calculated on a straight-line basis over the likely useful life. Depending on their components, buildings are therefore depreciated over periods ranging between 10 and 80 years:

- ▶ Structural work: 80 years ;
- ▶ Roofing: 60 years ;
- ▶ Joinery and external works: 40 years;
- ▶ Major equipment items: 20 years ;
- ▶ Small equipment items, fixtures and fittings: 10 years.

Installations and fixtures and fittings are usually depreciated over ten years.

When they meet the criteria for fixed assets, proprietary software packages are recognised at their development cost, including third-party expenses and personnel costs for employees directly assigned to the project. They are usually amortised over three to five years.

5 Liabilities due to credit institutions, and customer accounts in credit

This debt includes deposits, borrowings, securities assigned under repurchase agreements, and loaned securities.

Borrowings

Borrowings are recorded under liabilities at their repayment value. The corresponding interest is recorded in the income statement on a pro rata basis.

Securities given under repurchase agreements

The arising liability is recorded under liabilities. The securities are kept in their original portfolio and continue to be valued according to the rules applicable to that portfolio. The corresponding interest is recorded through profit and loss on a pro rata basis.

6 Debt securities

Debt securities consist of negotiable debt securities issued by La Banque Postale.

Interest accrued and not yet due attached to these securities is recorded in a related payables account and charged against the income statement.

The issue costs are amortised on an actuarial basis over the term of the corresponding issues, as are the issue premiums and repayments.

7 Provisions

The following items are currently included under this heading:

- ▶ provisions booked to meet employee-related commitments, which mainly correspond to retirement compensation;
- ▶ other provisions recorded pursuant to the provisions of ANC regulation no. 2014-03, regarding the recognition of liabilities. These provisions are intended to cover contingencies and charges where the purpose is clearly specified, and where the amount or maturity cannot be accurately determined. The recording of such provisions is conditional on the existence of an obligation towards a third party at the year-end, and on the absence of an amount that is least equivalent expected as consideration from that third party;
- ▶ provisions to cover signed commitments, where the likelihood of a guarantee call has become very high;
- ▶ the home loan savings accounts (CEL) and home loan savings plans (PEL) offered to individual customers under the provisions of the law of 10 July 1965 include two stages: a stage where funds are gathered in the form of remunerated savings and a stage where they are used to grant home loans.

They generate two kinds of commitments for the lending institution:

- ▶ an obligation to pay interest on future savings at a rate fixed at the opening of the account for an indefinite period for PEL accounts opened before 28 February 2011, and at a rate that is reviewed annually for new generation accounts;
- ▶ an obligation to grant customers, who request it, a loan at a rate set on signature of the contract.

These commitments have potentially unfavourable consequences (Notice No. 2006-02 issued by the French national accounting council (CNC)) for the Bank, and are the subject of provisions booked under balance sheet liabilities (under "Provisions"). Changes in these provisions are recorded under net banking income in the interest margin.

The provisions are estimated on the basis of customer behaviour statistics and market data for each generation of plans, in order to cover any future expenses arising from the potentially unfavourable interest rate conditions attached to these products relative to the rates offered to retail customers on similar products where the remuneration is not regulated. The provisions only relate to the commitments for home loan savings accounts and plans that exist at the date the provision is calculated.

Provisions are calculated for each generation of home loan savings plans, with no offsetting of commitments among the different generations, and for all the home loan savings accounts representing one generation.

At the savings stage, the commitments to be provisioned are evaluated according to the difference between average forecast savings deposits and minimum forecast savings deposits, both of which are determined on a statistical basis by factoring in historical observations on actual customer behaviour.

At the lending stage, the commitments to be provisioned include loans that have already been granted but not yet released at the year-end date, as well as future loans that are viewed as statistically likely based on balance sheet deposits as at the calculation date, and on historical observations on actual customer behaviour.

A provision is recorded when the net present value of future income is negative for a given generation of loans.

These results are assessed relative to the rates offered to retail customers on equivalent savings and lending products and that are consistent with respect to the estimated lifespan of the deposits and date they were set up.

8 Subordinated debt

This item includes debt where repayment is only possible once other senior or secured creditors have been repaid in the event that the debtor's assets are liquidated.

Interest accrued and payable is recorded in a related payables account and charged against income.

9 Fund for general banking risks

The aim of this fund is to counter operational risk and the expenses inherent to the banking and financial asset management business that cannot be covered elsewhere.

10 Transactions on forward financial instruments

Transactions involving interest rate, foreign exchange, or equity futures are recorded in accordance with the provisions of ANC regulation no. 2014-07. Commitments relating to these transactions are recorded as off-balance sheet items at the nominal value of the contract.

The recognition of income or losses on these instruments depends on the management intention.

Macro-hedging transactions

Income and expenses relating to macro-hedging transactions are recorded on the income statement on a pro rata basis. An amount offsetting this entry is recorded in accruals until the date when the funds are received or disbursed.

The balances recorded when interest rate hedging instruments are terminated are immediately recognised on the income statement.

Micro-hedging transactions

The income or expense from instruments that are assigned from the outset to hedge an item or a homogeneous group are symmetrically recorded on the income statement against the hedged item's income or expense.

The balances recorded when interest rate hedging instruments are terminated are immediately recognised on the income statement.

Other transactions

These transactions are valued based on their market value at the reporting date.

Where over-the-counter transactions corresponding to isolated open positions are concerned, the income or loss is recorded on a pro rata basis, or when the contract unwinds, depending on their type. Unrealised gains are not recognised. Potential unrealised losses, defined as the difference between estimated market value and the carrying amount, are subject to a provision charge.

Unrealised or realised gains or losses on transactions carried out on an organised market are recorded directly under income for the financial year.

11 Off-balance sheet commitments

The off-balance sheet statement mainly shows the financing commitments given (cash facilities, overdrafts, irrevocable financing commitments) and the guarantee commitments received or given, which have not led to fund movements.

Other commitments given correspond primarily to the fair value of securities pledged in favour of the European Central Bank as part of the financing commitment received from the latter or as part of

collateral for loans in favour of the home loan company of LBP group (La Banque Postale Home Loan SFH).

12 Employee-related commitments

Most of the employee-related commitments are covered by contributions that are expensed.

In the case of employees' rights to retirement compensation, which are not covered by insurance policies, pursuant to the preferential method specified in CNC Recommendation no. 03-R-01, these rights are provisioned according to an actuarial method that factors in the age and the seniority of the staff, life expectancies, and their likelihood of remaining at the Group until retirement age, as well as the estimated increase in remuneration.

The pension plan for contracted staff is characterised by payments to organisations that release the employer from any subsequent obligation, as the organisation is responsible for paying the amounts due to the employee. Therefore, once the contributions have been paid, no liability or commitment is shown in the Group's financial statements. Contributions paid to external organisations are expensed in the period concerned.

The Amending Finance law of 2006 introduced a reform of the way in which the pensions for government employees attached to La Poste Group were financed, which was applied retroactively as from 1 January 2006.

Under the scheme introduced in 2006, the Group pays an employer contribution, which discharges it of its liabilities. As a result, no provision for the retirement of civil servants is recorded in the financial statements.

13 Commission income and expenses

La Banque Postale recognises commissions in profit and loss according to the services supplied and the way in which the financial instruments to which that service relates are recognised:

- ▶ Commissions paid for ongoing services are recognised in profit and loss over the length of the service (commissions on means of payment);
- ▶ Commissions paid for one-off services or for a major transaction are recognised in profit and loss in full when the service is provided or the transaction executed (account management commissions, commissions on payment incidents).

14 Cost of risk

The cost of credit risk includes impairment provisions and reversals on fixed-income securities and customer loans and receivables, as well as impairment provisions and reversals relating to guarantee commitments given, losses and discounts on receivables, and the recovery of amortised receivables.

15 Corporate income tax

Only the tax payable is recorded in the separate financial statements. The tax expense indicated in the income statement corresponds to the corporate income tax payable for 2017.

The standard tax rate is 33.3%, plus a 3.3% social security contribution on earnings and an exceptional additional tax of 30%, giving an effective tax rate of 44.43%.

La Banque Postale is part of the La Poste Group's tax group. Given the terms of the agreement, the tax charge recorded in La Banque Postale's accounts is identical to what it would be if there was no tax consolidation.

NOTE 2 NOTES TO THE BALANCE SHEET

NOTE 2.1 Break down of cash and central banks

(in € thousands)	31.12.2017	31.12.2016
Cash	900,906	813,891
Central banks	2,423,737	1,918,001
Receivables related to central banks		
CASH AND CENTRAL BANKS	3,324,644	2,731,892

NOTE 2.2 Central banks - Liabilities

(in € thousands)	31.12.2017	31.12.2016
Central banks	-	-
Liabilities related to central banks (creditor)	-	-
CENTRAL BANKS	-	-

2.3 Receivables due from credit institutions and similar

(in € thousands)	31.12.2017	31.12.2016
Current accounts in debit	40,141	24,572
Overnight accounts and loans	10,000,000	10,000,000
Securities borrowed overnight	-	-
Securities received under repurchase agreements	224,119	763,685
Other securities borrowed	-	-
Non allocated securities	14	1
Doubtful receivables	-	-
Related receivables	993	1,584
Gross total	10,265,268	10,789,843
Impairments	0	(0)
Demand receivables due from credit institutions	10,265,268	10,789,843
Term accounts and loans ⁽¹⁾	90,011,536	87,602,783
Securities received under repurchase agreements	-	-
Other securities borrowed	-	-
Subordinated loans ⁽²⁾	171,670	190,095
Doubtful receivables	-	-
Related receivables	24,902	29,970
Gross total	90,208,108	87,822,848
Impairments	-	-
Term receivables due from credit institutions	90,208,108	87,822,848
RECEIVABLES DUE FROM CREDIT INSTITUTIONS AND SIMILAR	100,473,376	98,612,691

(1) Including accounts opened with the CDC: The amounts centralised at the CDC include Livret A, Sustainable Development and National Savings account balances. The amounts centralised at the Caisse des dépôts et consignations (CDC) amounted to a total of €70,982,623 thousand in 2017 versus €70,547,825 thousand in 2016. Of which loans to subsidiaries of the La Banque Postale Group: €17,284,682 K.

(2) These are subordinated loans granted to Cr dit Logement to enable the Company to comply with its regulatory capital commitments.

2.4 Liabilities due to credit institutions and similar

(in € thousands)	31.12.2017	31.12.2016
Current accounts in credit ⁽¹⁾	1,549,945	1,322,019
Overnight accounts and borrowings		
Securities loaned overnight		
Securities given under repurchase agreements		
Other amounts owed	22,211	22,717
Related payables		
Demand liabilities due to credit institutions	1,572,156	1,344,736
Term accounts and loans ⁽²⁾	7,428,770	6,272,649
Securities loaned		
Securities given under repurchase agreements	11,065,861	15,664,329
Related payables	28,646	27,178
Term liabilities due to credit institutions	18,523,277	21,964,157
LIABILITIES DUE TO CREDIT INSTITUTIONS AND SIMILAR	20,095,433	23,308,892

(1) Of which with subsidiaries of the La Banque Postale Group: €862,738 thousand at 31 December 2017.

(2) Of which with subsidiaries of the La Banque Postale Group: €5,157,229 thousand at 31 December 2017.

2.5 Receivables – Customer transactions

(in € thousands)	31.12.2017	31.12.2016
Commercial receivables	-	-
Current accounts in debit ⁽¹⁾	824,111	745,238
Loans to financial customers	180,827	143,382
Short-term credit facilities	2,479,779	1,747,410
Home loans	56,232,427	51,149,776
Equipment loans	3,915,318	3,943,285
Export credits	-	-
Other loans	3,190,296	1,849,122
Non-allocated securities ⁽²⁾	16,040	24,709
Securities received under repurchase agreements	1,149	806,659
Subordinated loans	-	-
Lease transactions and similar	-	-
Customer transactions before impairment charges	66,839,947	60,409,580
Impairments relating to customer receivables		
► On current accounts in debit	(88,092)	(94,433)
► On customer loans	(220,128)	(160,992)
CUSTOMER TRANSACTIONS	66,531,727	60,154,155
Of which related receivables	112,942	110,690
Of which gross doubtful receivables	376,605	301,467
Of which gross non-performing receivables	432,907	384,380
Of which performing restructured receivables	28,686	30,360

(1) Amount of receivables related to subsidiaries: €159,104 thousand at 31 December 2017.

(2) This item primarily represents receivables relating to discretionary transactions.

2.6 Liabilities - Customer transactions

(in € thousands)	31.12.2017	31.12.2016
Special overnight accounts	85,189,105	84,707,858
Long-term special accounts	28,350,047	28,067,684
Related payables	1,149	251
Special scheme savings accounts	113,540,302	112,775,793
Current accounts in credit ⁽¹⁾	62,364,023	58,630,603
Related payables	8,068	7,832
Customer current accounts in credit	62,372,091	58,638,435
Financial customer borrowings	1,741,858	128,124
Term deposit accounts in credit	162,439	386,603
Securities loaned		
Securities given under repurchase agreements	3,165,937	2,744,756
Other amounts payable to customers	511,848	527,782
Related payables	162	764
Other liabilities to customers	5,582,244	3,788,029
CUSTOMER TRANSACTIONS	181,494,637	175,202,257

(1) Of which €238,048 thousand with subsidiaries vs. €196,998 thousand in 2015.

2.7 Financial transactions – Breakdown by category

	31.12.2017				
	Securities				
(in € thousands)	Trading ⁽¹⁾	Held-for-sale	Investment	Portfolio	Total
GOVERNMENT PAPER AND SIMILAR SECURITIES					
Repayment value	950,201	6,239,095	17,259,920	-	24,449,216
Residual premiums/discounts	-	252,294	315,948	-	568,242
Related receivables	-	42,490	347,611	-	390,101
Impairments	-	-	-	-	-
Net book value	950,201	6,533,878	17,923,479	-	25,407,559
<i>Of which loaned securities</i>		328,607	28,828	-	357,435
<i>Of which listed securities</i>	950,201	6,533,878	17,923,479	-	25,407,559
BONDS AND OTHER FIXED-INCOME SECURITIES					
Repayment value	6,058,346	11,305,981	2,278,700	-	19,643,027
Residual premiums/discounts	-	68,834	(16,209)	-	52,625
Related receivables	-	93,609	67,004	-	160,614
Impairments	-	(3,758)	-	-	(3,758)
Net book value	6,058,346	11,464,667	2,329,495	-	19,852,508
<i>Of which loaned securities</i>				-	-
<i>Of which listed securities</i>	1,512,604	10,765,721	2,317,861	-	14,596,187
EQUITIES AND OTHER VARIABLE-INCOME SECURITIES					
Gross value	-	678,229	-	43,184	721,413
Related receivables	-	-	-	-	-
Impairments	-	(6,912)	-	(1,131)	(8,043)

	31.12.2017				
	Securities				Total
(in € thousands)	Trading ⁽¹⁾	Held-for-sale	Investment	Portfolio	
Net book value	-	671,317	-	42,053	713,371
<i>Of which loaned securities</i>					-
<i>Of which listed securities</i>		361,351			361,352
NET TOTAL BY PORTFOLIO TYPE	7,008,547	18,669,862	20,252,975	42,053	45,973,438

(1) The balance sheet value of trading securities corresponds to their market value.

During the financial year 2017, no held-for-sale securities were transferred to investment portfolios.

During the 2017 financial year, the early disposal of a portfolio investment security was made for a non-significant amount.

	31.12.2016				
	Trading				
(in € thousands)	securities	Investment	securities	Portfolio activity	TOTAL
GOVERNMENT PAPER AND SIMILAR SECURITIES*					
Repayment value	722,554	6,951,060	18,686,205	-	26,359,819
Residual premiums/discounts	-	344,348	297,530	-	641,878
Related receivables	-	49,195	407,195	-	456,390
Impairments	-	-	-	-	-
Net book value	722,554	7,344,604	19,390,930	-	27,458,088
Of which loaned securities	-	250,130	-	-	250,130
Of which listed securities	722,554	7,334,589	19,390,930	-	27,448,073
BONDS AND OTHER FIXED-INCOME SECURITIES*					
Repayment value	11,026,409	10,612,681	2,494,700	-	24,133,789
Residual premiums/discounts	-	146,751	(21,916)	-	124,835
Related receivables	-	96,316	69,178	-	165,494
Impairments	-	(17,500)	-	-	(17,500)
Net book value	11,026,409	10,838,247	2,541,962	-	24,406,618
Of which loaned securities	-	-	-	-	-
Of which listed securities	2,956,682	9,887,579	2,378,747	-	15,223,008
EQUITIES AND OTHER VARIABLE-INCOME SECURITIES					
Gross value	-	635,239	-	49,381	684,620
Related receivables	-	-	-	-	-
Impairments	-	(7,699)	-	(2,053)	(9,752)
Net book value	-	627,540	-	47,328	674,868
Of which loaned securities			-	-	-
Of which listed securities		347,771	-	-	347,771
NET TOTAL BY PORTFOLIO TYPE	11,748,962	18,810,391	21,932,892	47,328	52,539,573

* Details of the counterparty risk related to fixed-income securities are given in Note 2.22.

During the 2016 financial year, no held-for-sale securities were transferred to investment portfolios.

During the 2016 financial year, the early repurchase of an investment security for €167.4 million took place in compliance with Article 7 bis of CRB 90-01. No capital gain was recorded.

2.8 Market value of financial transactions

(in € thousands)	Held-for sale securities		Investment securities		Portfolio securities	
	31.12.2017	31.12.2016	31.12.2017	31.12.2016	31.12.2017	31.12.2016
GOVERNMENT PAPER AND SIMILAR SECURITIES						
Net book value ⁽¹⁾	6,533,878	7,344,604	17,923,479	19,390,930		
Market value	6,798,759	7,762,295	19,670,442	21,747,398		
BONDS AND OTHER FIXED-INCOME SECURITIES						
Net book value ⁽¹⁾	11,464,667	10,838,247	2,329,495	2,541,962		
Market value	11,607,899	11,014,630	2,527,772	2,859,503		
EQUITIES AND OTHER VARIABLE-INCOME SECURITIES						
Net book value	671,317	627,540			42,053	47,328
Market value and/or value in use for portfolio holdings	692,527	649,218			64,935	63,671

(1) Impairment losses are calculated taking into account unrealised gains and losses relating to any financial instruments assigned as hedges for held-for-sale securities.

2.9 Debt securities

(in € thousands)	31.12.2017	31.12.2016
Short-term notes	-	-
Related payables	-	-
Short-term notes	-	-
Inter-bank market securities	-	-
Certificates of deposit	5,177,144	6,154,997
Negotiable medium-term bills and other negotiable debt securities issued	-	-
Related payables	(4,645)	(5,954)
Inter-bank market securities and negotiable debt securities	5,172,499	6,149,043
Bond issues and similar	1,206,094	510,000
Issue premiums	(1,856)	315
Related payables	2,189	29
Bonds and similar	1,206,426	510,344
Other debt securities	4,500	4,500
Related payables	1	1
Other debt securities	4,501	4,501
DEBT SECURITIES	6,383,426	6,663,888

2.10 Breakdown of the portfolio breakdown of holdings in related companies

(in € thousands)	31.12.2017				31.12.2016					
	Carrying amount of securities	Advances	Impairments	Net book value of securities	Share of capital in %	Carrying amount of securities	Advances	Impairments	Net book value of securities	Share of capital in %
SF2	1,143,909			1,143,909	100.00%	1,143,909			1,143,909	100.00%
La Banque Postale Crédit Entreprise	220,000			220,000	100.00%	220,000			220,000	100.00%
BPE	157,626			157,626	99.99%	157,626			157,626	99.99%
LBP Home Loan SFH	210,004			210,004	100.00%	210,004			210,004	100.00%
LBP Collectivités Locales	650			650	65.00%	650			650	65.00%
LBP Prévoyance	291,635			291,635	50.00%	291,635			291,635	50.00%
SOFIAP	37,754			37,754	66.00%	37,754			37,754	66.00%
TOTAL EQUITY INVESTMENTS AND CONSOLIDATABLE ADVANCES	2,061,577			2,061,577		2,061,577			2,061,577	
Of which listed investments										

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2.11 Breakdown of the portfolio of equity holdings and other long-term securities

(in € thousands)	31.12.2017				31.12.2016					
	Carrying amount of securities	Advances	Impairments	Net book value of securities	Share of capital in %	Carrying amount of securities	Advances	Impairments	Net book value of securities	Share of capital in %
Certificates of association	91,155			91,155		75,723			75,723	
BPI	4,008			4,008	N/S	4,008			4,008	N/S
Transactis	2,474			2,474	50.00%	2,474			2,474	50.00%
STET	6,917			6,917	5.01%	6,917			6,917	5.01%
Visa Inc	12,606			12,606	N/S	14,343			14,343	N/S
Ezyness	5,200			5,200	100.00%					
Domiserve ⁽¹⁾	15,000			15,000	100.00%					
LBP Digital	5,000			5,000	99.99%					
KKBB ⁽¹⁾	39,600			39,600	100.00%					
Other	2,142			2,142		2,092			2,092	N/A
EQUITY HOLDINGS AND OTHER LONG-TERM SECURITIES	184,103			184,103		105,557			105,557	
<i>Of which listed securities</i>										

(1) Acquisitions made during the year.

2.12 Breakdown of fixed assets

(in € thousands)	01.01.2017	Change			31.12.2017			31.12.2016		
	Gross amount	Purchases	Transfers	Disposals	Gross amount	Cumulative depreciation, amortisation and impairment	Net amount	Gross amount	Cumulative depreciation, amortisation and impairment	Net amount
Land	-	-	-	-	-	-	-	-	-	-
Buildings ⁽¹⁾	375,723	-	-	-	375,723	-	375,723	375,723	-	375,723
Other operating fixed assets	657,624	42,986	499	(54,039)	647,071	(488,489)	158,583	657,624	(488,012)	169,612
Tangible fixed assets	1,033,348	42,986	499	(54,039)	1,022,795	(488,489)	534,306	1,033,348	(488,012)	545,336
Set-up costs	-	-	-	-	-	-	-	-	-	-
Franchises, licenses, and patents	289,147	12,987	(20,355)	(3,177)	278,602	(235,284)	45,142	289,147	(218,497)	70,650
Other intangible assets	866,475	187,368	19,856	-	1,073,699	(668,703)	403,173	866,475	(598,403)	268,072
Intangible assets	1,155,622	200,355	(499)	(3,177)	1,352,301	(903,986)	448,315	1,155,622	(816,900)	338,722
TANGIBLE AND INTANGIBLE FIXED ASSETS	2,188,970	243,341	-	(57,216)	2,375,096	(1,392,475)	982,621	2,188,970	(1,304,912)	884,058

(1) This item consists of the equity interests in SCI CRSF and SCI Tertiaire Saint Romain, in accordance with the 2007 recommendations of the French Prudential Supervision and Resolution Authority (ACPR).

2.13 Breakdown of accruals and other assets

(in € thousands)	31.12.2017	31.12.2016
Prepaid expenses	35,612	33,797
Receivable income from derivatives	247,137	278,800
Other receivable income	310,993	344,491
Revaluation of derivatives and foreign exchange instruments	12	3
Collection accounts	29,355	78,114
Other accruals	877,174	759,788
Accruals	1,500,283	1,494,992
Options purchased	16,618	12,668
Collective management of Sustainable Development accounts	-	-
Guarantee deposits paid ⁽¹⁾	656,435	1,020,285
Settlement accounts for securities transactions	8,831	9,642
Related receivables	430	477
Other assets ⁽²⁾	821,529	839,004
Impairments	(6,663)	(6,393)
Miscellaneous assets	1,497,181	1,875,683
ACCRUALS AND OTHER ASSETS	2,997,463	3,370,675

(1) Including €25,000 thousand with subsidiaries.

(2) Including €17,915 thousand with subsidiaries.

2.14 Breakdown of accruals and other liabilities

(in € thousands)	31.12.2017	31.12.2016
Deferred income	445,694	405,532
Expenses payable on derivatives	194,839	923,856
Revaluation of derivatives and foreign exchange instruments	239	278
Other accruals ⁽¹⁾	1,309,801	1,472,099
Accruals	1,950,573	2,801,766
Options sold	16,812	14,051
Debt securities		
Sundry creditors ⁽²⁾	2,071,786	2,206,782
Settlement accounts for securities transactions	7,826	7,821
Related payables	814	959
Other liabilities	2,097,239	2,229,613
ACCRUALS AND OTHER LIABILITIES	4,047,812	5,031,379

(1) This item primarily represents accruals for means of payment transactions in the Financial Centres.

(2) Including €115,463 thousand with subsidiary companies.

2.15 Breakdown of provisions for liabilities

(in € thousands)	31.12.2016	Allocations	Reversals of used provisions	Reversals of unused provisions	Other changes	31.12.2017
Provisions for retirement and other employee-related commitments ⁽¹⁾	25,707	6,773	(2,669)	-	-	29,811
Home savings provisions	361,900	-	(68,400)	-	-	293,500
Other provisions	342,094	82,286	(40,153)	(121,128)		263,099
Provisions (excluding counterparty risk)	729,701	89,059	(111,222)	(121,128)	-	586,410
Signed commitments	-	-	-	-	-	-
Provisions for counterparty risk recorded under liabilities	-	-	-	-	-	-
PROVISIONS	729,701	89,059	(111,222)	(121,128)	-	586,410

(1) La Banque Postale is not bound by any retirement commitments that are not shown in its balance sheet.

2.16 Breakdown of the home savings optionality

Generation	Deposits collected	Loans granted in respect of PEL and CEL accounts	2017 provision	2016 provisions	Change
> 10 years	6,369		68	73	(5)
4-10 years	12,998		104	104	1
< 4 years	8,245		95	166	(72)
Total home savings plans (PEL)	27,612	36	267	343	(76)
Total home savings accounts (CEL)	4,469	246	27	19	8
OVERALL TOTAL	32,081	281	293	362	(69)

2.17 Subordinated debt

(in € thousands)	Issue date	Maturity date	Rate	Original currency	31.12.2017	31.12.2016
Redeemable subordinated debt ⁽¹⁾	30.11.2010	30.11.2020	4.375%	EUR	750,000	750,000
Redeemable subordinated debt ⁽¹⁾	23.04.2014	23.04.2026	2.750%	EUR	750,000	750,000
Redeemable subordinated debt ⁽¹⁾	19.11.2015	19.11.2027	2.750%	EUR	750,000	750,000
Redeemable subordinated debt ⁽¹⁾	09.06.2016	09.06.2028	3.000%	EUR	500,000	500,000
Redeemable subordinated debt ⁽¹⁾	05.10.2016	05.10.2028	2.250%	EUR	100,000	100,000
Redeemable subordinated debt ⁽¹⁾	16.01.2017	09.06.2028	3.000%	EUR	150,000	
Perpetual subordinated debt ⁽²⁾	13.12.2013	N/A	8.000%	EUR	800,000	800,000
Interest and similar					22,611	16,525
TOTAL					3,822,611	3,666,525

(1) Classified as Lower Tier 2 in the calculation of additional equity capital (Article 4d of CRBF regulation no. 90-02). These debts are redeemable following approval by the ACPR on the anniversary date of the call or in the event of a regulatory or tax change. The change in the 2017 financial year is explained by the Lower Tier 2 issue for €150 million in January 2017.

(2) Classified as Hybrid Tier 1 in the calculation of additional equity capital (Article 4c of CRBF regulation no. 90-02). This debt can notably be repaid by the Bank in the event of changes in the accounting or tax legislation, in the event of changes in the regulations regarding the determination of solvency ratio or downgrading by rating agencies. These securities include a clause for automatic share conversion if the Tier 1 core equity capital ratio falls below 7%. Interest payment is discretionary.

2.18 Breakdown of transactions with credit institutions and customers by residual maturity

(in € thousands)	Accrued interest	< 3 months	3 months - 1 year	1-5 years	> 5 years	31.12.2017
ASSETS						
Loans and receivables due from credit institutions and similar	25,895	82,906,180	2,503,612	8,431,262	6,606,426	100,473,376
Receivables due from customers	115,585	2,389,658	4,824,217	18,842,712	40,359,554	66,531,727
Security portfolios (trading, held-for-sale, investment)						
<i>Government paper and similar securities</i>	390,101	1,183,658	1,619,885	12,526,754	9,687,162	25,407,559
<i>Bonds and other fixed-income securities</i>	160,614	2,958,961	5,343,336	7,188,056	4,201,542	19,852,508
LIABILITIES						
Liabilities due to credit institutions and similar	28,646	11,260,102	2,971,385	1,967,419	3,867,882	20,095,433
Liabilities to customers	9,379	180,658,872	54,140	757,666	14,580	181,494,637
Debt securities						
<i>Bond issues</i>	333	110,000	262,566	170,933	662,594	1,206,426
<i>Inter-bank market securities and negotiable debt securities</i>	(4,645)	3,520,372	1,656,772	-	-	5,172,499
Other debt securities	1	-	4,500	-	-	4,501
Subordinated debt	22,611	-	-	750,000	3,050,000	3,822,611
OFF-BALANCE SHEET						
Financing commitments given	-	5,241,210	3,866,514	3,363,490	7,202,582	19,673,796
Guarantee commitments given	-	881,307	196,018	2,917,683	2,747,235	6,742,243

2.19 Equity

(in € thousands)	Fund for general banking risks (FGBR)	Share capital	Issue and contribution premiums	Legal reserves	Other reserves and retained earnings	Parent company net income	Parent company equity (excluding FGBR)	Total parent company equity
Equity at 31 December 2014	22,000	4,046,408	16,719	151,742	1,036,489	164,649	5,416,007	5,438,007
Appropriation of net income Y-1				8,232	156,417	(164,649)		
Distribution Y of net income Y-1					(304,712)		(304,712)	(304,712)
Net income Y						478,261	478,261	478,261
Equity at 31 December 2015	22,000	4,046,408	16,719	159,974	888,193	478,261	5,589,555	5,611,556
Appropriation of net income Y-1				23,913	454,348	(478,261)		
Distribution Y of net income Y-1					(318,083)		(318,083)	(318,083)
Reversal of regulated provisions					(2)			
Net income Y						564,066	564,066	564,066
Equity at 31 December 2016	22,000	4,046,408	16,719	183,887	1,024,456	564,066	5,835,539	5,857,539
Appropriation of net income Y-1				28,203	535,863	(564,066)		
Distribution Y of net income Y-1					(312,101)		(312,101)	(312,101)
Reversal of regulated provisions								
Net income Y						553,183	553,183	553,183
Equity at 31 December 2017	22,000	4,046,408	16,719	212,091	1,248,218	553,183	6,076,618	6,098,618

2.20 Breakdown of foreign exchange transactions

(in € thousands)	31.12.2017	31.12.2016
Cash foreign exchange transactions:		
Lending and borrowing transactions:		
Forward foreign exchange transactions:		
euros receivable against currencies to be delivered	(2,959,977)	(3,338,963)
currencies receivable against euros to be delivered	(8,017,699)	(7,276,833)
Non-accrued swap points:		
to be received	(9,788)	(5,080)
to be paid	(9,927)	(5,370)

2.21 Breakdown of forward financial instruments

(in € thousands)	31.12.2017				31.12.2016			
	Position management transactions		Hedging transactions		Position management transactions		Hedging transactions	
	Notional	Fair value	Notional	Fair value	Notional	Fair value	Notional	Fair value
FUTURES TRANSACTIONS	33,473,329	8,019	38,810,725	299,667	35,027,534	(27,584)	39,798,505	(253,246)
Organised markets	4,079,549	(7,989)			4,095,409	5,820		
Interest rate futures	4,079,549	(7,989)			4,095,409	5,820		
Other futures contracts								
Over the counter	29,393,780	16,008	38,810,725	299,667	30,932,125	(33,404)	39,798,505	(253,246)
Rate swaps	24,246,532	15,091	33,715,967	294,926	26,003,627	5,733	38,937,670	(224,328)
FRA								
Other futures contracts	5,147,248	917	5,094,759	4,741	4,928,497	(39,138)	860,835	(28,918)
OPTIONS	7,096,169	430,947	9,000	16	5,469,139	297,369	9,000	33
Organised markets								
Rate options								
Other options								
Over the counter	7,096,169	430,947	9,000	16	5,469,139	297,369	9,000	33
Caps, floors	5,962,136	(209)	9,000	16	4,891,968	-848	9,000	33
Swaptions	105,000	(247)						
Foreign exchange options								
Credit derivatives	587,609	(10,020)			275,000	-3,954		
Other options	441,424	441,424			302,171	302,171		

There was no transfer of financial futures from one category to another

2.22 Counterparty risk relating to financial instruments

A financial asset and liability are offset and a net balance is shown on the balance sheet when La Banque Postale has a legally enforceable right to offset the amounts recognised, and when it intends either to settle the net amount or to realise the asset and settle the liability simultaneously. A financial asset and liability covered by a master netting agreement or similar agreement meeting the definition of an enforceable contract (legally enforceable right to offset securities with the same maturity against cash), which can be exercised under all conditions but does not meet the offsetting criteria, are presented as net book value where they are realised with the same legal entity.

The tables below show the amounts of financial assets and liabilities that were offset in the Bank's balance sheet as well as the amounts that could be offset in accordance with the master netting agreements or similar agreements, but which are not eligible to be offset in the Bank's accounts. The net positions resulting from the various offsets are not intended to measure the Group's exposure to counterparty risk on these financial instruments.

2017 Assets

	(a)	(b)	(c) = (a) - (b)	(d)		(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial assets	Gross value of financial liabilities offset in the financial statements	Financial assets presented as net	Amounts not offset		Securities received and not recorded on the balance sheet	Net book value
(in € thousands)				Financial instruments	Cash collateral received		
Derivatives (market value)	1,689,363		1,689,363	447,842	1,217,439		24,082
Borrowed and loaned securities (amortised cost)	5,164,246	4,939,639	224,607	199,637	1,053	23,894	23
Other financial assets	9,895		9,895	7,994			1,901
TOTAL	6,863,504	4,939,639	1,923,865	655,473	1,218,492	23,894	26,006

2017 Liabilities

	(a)	(b)	(c) = (a) - (b)	(d)		(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial liabilities	Gross value of financial assets offset in the financial statements	Financial liabilities presented as net	Amounts not offset		Securities not recorded on the balance sheet	Net book value
(in € thousands)				Financial instruments	Cash collateral paid		
Derivatives (market value)	744,408		744,408	447,842	288,191		8,375
Borrowed and loaned securities (amortised cost)	19,171,437	4,939,639	14,231,798	199,637	42,485	13,891,872	97,805
Other financial liabilities							
TOTAL	19,915,845	4,939,639	14,976,206	647,479	330,676	13,891,872	106,180

2016 Assets

	(a)	(b)	(c) = (a) - (b)	(d)		(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial assets	Gross value of financial liabilities offset in the financial statements	Financial assets presented as net	Amounts not offset		Securities not recorded on the balance sheet	Net book value
(in € thousands)				Financial instruments	Cash collateral received		
Derivatives (market value)	2,182,312		2,182,312	805,403	1,313,341	-	63,568
Borrowed and loaned securities (amortised cost)	6,202,677	4,632,790	1,569,887	515,137	(26,642)	1,081,392	
Other financial assets	7,984		7,984	6,203		-	1,781
TOTAL	8,392,973	4,632,790	3,760,183	1,326,743	1,286,699	1,081,392	65,349

2016 Liabilities

	(a)	(b)	(c) = (a) - (b)	(d)		(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial liabilities	Gross value of financial assets offset in the financial statements	Financial liabilities presented as net	Amounts not offset		Securities not recorded on the balance sheet	Net book value
(in € thousands)				Financial instruments	Cash collateral received		
Derivatives (market value)	1,511,252		1,511,252	805,403	664,393	-	41,456
Borrowed and loaned securities (amortised cost)	23,041,875	4,632,790	18,409,085	515,137	(14,561)	17,881,066	27,443
Other financial liabilities			-			-	-
TOTAL	24,553,127	4,632,790	19,920,337	1,320,540	649,832	17,881,066	68,899

2.23 Breakdown of financial instruments by maturity

(in € thousands)	31.12.2017				31.12.2016			
	<= 1 year	1-5 years	> 5 years	Total	<= 1 year	1-5 years	> 5 years	TOTAL
FUTURES TRANSACTIONS	22,942,218	17,354,845	31,986,992	72,284,054	21,971,732	20,167,946	32,686,360	74,826,039
Interest rate futures	4,079,549			4,079,549	4,095,409			4,095,409
Index futures								
Rate swaps	9,853,899	17,008,885	31,099,715	57,962,498	13,377,656	19,821,986	31,741,655	64,941,297
FRA								
Other futures	9,008,770	345,960	887,277	10,242,007	4,498,667	345,960	944,705	5,789,332
OPTIONS	1,687,424	4,380,690	1,037,055	7,105,169	1,224,392	3,608,377	645,370	5,478,139
Caps, floors	1,611,256	3,402,878	957,001	5,971,136	1,223,209	3,117,759	560,000	4,900,968
Swaptions	75,000	30,000		105,000				
Foreign exchange options								
Credit derivatives		587,609		587,609		275,000		275,000
Other options	1,168	360,202	80,054	441,424	1,183	215,618	85,370	302,171

2.24.1 Credit risks

(in € thousands)	Performing outstandings	Doubtful outstandings	Non- performing outstandings	Gross 31.12.2017	Gross 31.12.2016
Receivables due from credit institutions	100,473,376			100,473,376	98,612,691
Receivables due from customers	66,030,435	376,605	432,907	66,839,947	60,409,580
Of which current accounts in debit	735,015	8,324	80,772	824,111	745,238
Of which short-term credit facilities	2,462,352	16,172	1,255	2,479,779	1,747,410
Of which home loans	55,589,462	332,590	310,375	56,232,427	51,149,776
Of which equipment loans	3,897,123	18,196		3,915,318	3,943,285
Of which export credits					
Of which other loans	3,148,468	1,323	40,505	3,190,296	1,849,122
Held-for-sale and investment portfolio (fixed-income securities) ⁽¹⁾	19,852,508			19,852,508	24,406,618
Government paper	25,407,559			25,407,559	27,458,088
Financing commitments and guarantees given	26,372,303	32,648	11,090	26,416,041	23,656,674
TOTAL	238,136,180	409,253	443,997	238,989,430	234,543,650

(1) Excluding government paper.

2.24.2 Provisions for counterparty risks

(in € thousands)	31.12.2016	Provisions	Reversals	Other changes ⁽¹⁾	31.12.2017
Receivables due from credit institutions and similar					
Receivables from customers	255,426	180,044	(125,551)	(1,701)	308,220
<i>Of which current accounts in debit</i>	94,434	59,734	(65,732)	(345)	88,092
<i>Of which short-term credit facilities</i>	7,576	2,951	(6,960)	(43)	3,525
<i>Of which home loans</i>	114,636	80,190	(52,656)	(1,313)	140,857
<i>Of which equipment loans</i>					
<i>Of which export credits</i>					
<i>Of which other credits</i>	38,780	37,170	(203)		75,747
Miscellaneous assets	6,393	2,961	(2,691)		6,663
Held-for-sale portfolio (fixed-income securities)					
Investment portfolio					
<i>Total fixed-income securities</i>					
Total impairment losses deducted from assets⁽²⁾	261,821	183,005	(128,242)	(1,701)	314,883
Execution risks on signed commitment					
Other provisions for counterparty risk					
Provisions recorded under liabilities					
TOTAL IMPAIRMENTS FOR COUNTERPARTY RISKS	261,821	183,005	(128,242)	(1,701)	314,883
(1) Other changes correspond to the accretion of the net present value of impaired amounts, which are recorded in the income statement under the item "interest due to customers"; as well as reclassifications to Miscellaneous assets.					
(2) Including impairment deducted from assets.					
Gross performing outstandings	29,397	49,888	(20,622)	(52)	58,610
Gross doubtful outstandings	36,142	37,370	(32,656)	(134)	40,722
Gross non-performing outstandings	196,280	95,748	(74,963)	(1,515)	215,550

NOTE 3 NOTES TO THE INCOME STATEMENT

3.1 Interest from cash and interbank transactions

(in € thousands)	31.12.2017	31.12.2016
Interest on current accounts in debit	4,944	5,885
Interest on accounts and loans	1,319,041	1,123,222
Negative interest on demand and term borrowings	2,214	3,042
Interest on borrowed securities	-	-
Interest on securities received under repurchase agreements	13,825	14,333
Negative interest on securities received under repurchase agreements	125,384	72,198
Other interest and similar income	15,752	33,270
INTEREST AND SIMILAR INCOME FROM CASH AND INTERBANK TRANSACTIONS	1,481,160	1,251,950
Current accounts in credit	(2,493)	(1,906)
Interest on demand and term borrowings	(82,475)	(69,328)
Negative interest on accounts and loans	(56,449)	(31,031)
Interest on securities given under repurchase agreements	(130)	(766)
Negative interest on securities received under repurchase agreements	(5,256)	(4,003)
Other interest and similar expenses	(4,073)	(104)
INTEREST AND SIMILAR EXPENSES FROM CASH AND INTER-BANK TRANSACTIONS	(150,875)	(107,138)

Interest income on accounts and loans includes the income from funds centralised with the *Caisse des dépôts et consignations (CDC)*.

This income includes the interest paid to depositors shown under "Interest and similar expenses due to customers" and the additional income received by *La Banque Postale*.

3.2 Interest on customer transactions

(in € thousands)	31.12.2017	31.12.2016
Interest on current accounts in debit	45,065	47,233
Interest on trade receivables and customer loans	-	-
Interest on short-term credit facilities	15,045	16,805
Interest on equipment loans	52,976	54,245
Interest on home loans	1,195,535	1,382,877
Other interest	42,372	19,249
Interest on other loans and borrowed securities	0	1
Negative interest on term accounts in credit, borrowings and securities loaned	1,159	277
Interest on securities received under repurchase agreements	-	-
Negative interest on securities given under repurchase agreements	17,660	11,648
Other interest and similar income ⁽¹⁾	91,444	140,264
Doubtful interest	20,876	16,557
INTEREST AND SIMILAR INCOME FROM CUSTOMER TRANSACTIONS	1,482,133	1,689,156
Interest on current accounts in credit	(20,245)	(20,019)
Interest on term accounts in credit, borrowings and securities loaned	(1,634)	(2,914)
Interest on securities given under repurchase agreements	-	-
Negative interest on securities received under repurchase agreements	(156)	(4,667)
Interest on special savings accounts	(1,348,257)	(1,341,807)
Other interest and similar expenses	(29,743)	(5,144)
INTEREST AND SIMILAR EXPENSES ON CUSTOMER TRANSACTIONS	(1,400,034)	(1,374,551)

(1) Including €68,400 thousand corresponding to the reversal of the provision for home savings in 2017 vs. €141,600 in 2016.

3.3 Interest on fixed-income securities

(in € thousands)	31.12.2017	31.12.2016
Interest and similar income on held-for-sale securities	187,192	167,720
Interest and similar income on investment securities	682,022	749,496
Other interest and similar income	112,912	205,564
INTEREST AND SIMILAR INCOME ON BONDS AND OTHER FIXED-INCOME SECURITIES	982,126	1,122,779
Interest on negotiable certificates of deposit and negotiable medium-term bills	(18,390)	(2,592)
Interest and expenses on bond borrowings	(352)	(22,489)
Other interest expenses	(124,142)	(108,343)
Interest on subordinated debt	(161,578)	(126,252)
INTEREST AND SIMILAR EXPENSES ON BONDS AND OTHER FIXED-INCOME SECURITIES	(304,462)	(259,677)

3.4 Other interest and similar

(in € thousands)	31.12.2017	31.12.2016
Income from foreign exchange instruments	-	-
Income from interest rate instruments	213,886	229,288
OTHER INTEREST AND SIMILAR INCOME	213,886	229,288
Expenses on foreign exchange instruments	-	-
Expenses on interest rate instruments	(36,127)	(71,362)
OTHER INTEREST AND SIMILAR EXPENSES	(36,127)	(71,362)

3.5 Income from variable-income securities

(in € thousands)	31.12.2017	31.12.2016
Income from equities and other variable-income securities	18,684	11,944
Income from portfolio securities	3,606	1,646
Income from equity holdings	219,647	200,499
INCOME FROM VARIABLE-INCOME SECURITIES	241,937	214,089

3.6 Commissions

(in € thousands)	31.12.2017		31.12.2016	
	Income	Expenses	Income	Expenses
Cash and inter-bank transactions	57,148	(2,879)	51,206	(3,238)
Customer transactions	913,918	(80,543)	883,892	(70,471)
Securities transactions	-	(4,935)	4	(4,637)
Transactions on forward financial instruments	-	(295)	-	(494)
Supply of financial services	1,532,495	(165,175)	1,481,266	(156,738)
Foreign exchange transactions	-	-	-	(5)
Other commissions	41,496	-	40,449	-
COMMISSIONS	2,545,057	(253,826)	2,456,817	(235,584)

3.7 Gains or losses on trading portfolio transactions

(in € thousands)	31.12.2017	31.12.2016
Gain (loss) on trading securities transactions	(16,632)	1,840
Gain (loss) on foreign exchange instrument transactions	(49,054)	15,552
Gain (loss) on forward financial instrument transactions	(3,639)	(31,721)
GAINS OR LOSSES ON TRADING PORTFOLIO TRANSACTIONS	(69,326)	(14,329)

3.8 Gains or losses on held-for-sale portfolio transactions

(in € thousands)	31.12.2017	31.12.2016
Gain (loss) on the disposal of held-for-sale securities	162,767	101,675
Other income and expenses on held-for-sale securities	-	-
Impairment provisions/reversals on held-for-sale securities and gains (losses) on related hedging transactions	202,292	(74,992)
Gains or losses on held-for-sale securities transactions	365,059	26,682
Gain (loss) on the disposal of equity holding securities ⁽¹⁾	-	102,550
Impairment provisions/reversals on portfolio securities	922	2,271
Gains or losses on portfolio securities transactions	922	104,822
GAINS OR LOSSES ON HELD-FOR-SALE PORTFOLIO TRANSACTIONS AND SIMILAR	365,981	131,504

(1) Including a capital gain of €102,6 million on the disposal of Visa Europe securities in 2016.

3.9 Other banking operating income and expenses

(in € thousands)	31.12.2017		31.12.2016	
	Income	Expenses	Income	Expenses
Re-invoiced expenses, retrocession of income, and transfers of expenses	40,444	-	10,436	-
Other operating income and expenses	6,631	(88,733)	10,977	(70,546)
Provisions/reversals on other operating income and expenses	63,450	(38,999)	22,322	(38,013)
Other operating banking income and expenses	110,526	(127,732)	43,736	(108,559)
NET BANKING OPERATING INCOME AND EXPENSE	(17,206)		(64,823)	

3.10 Personnel costs

(in € thousands)	31.12.2017	31.12.2016
Wages and salaries	(194,599)	(178,062)
Pensions	(19,210)	(23,221)
Social security contributions	(80,334)	(75,356)
Incentives and profit sharing	(13,958)	(6,733)
Tax, duties and similar payments on employee compensation	(26,940)	(24,921)
Other expenses	(14,526)	(14,354)
PERSONNEL COSTS	(349,567)	(322,648)
Amount of attendance fees paid to directors	331	307

Compensation paid during the year to members of the Executive Board for the financial year amounted to €1,416 thousand.

No Executive Board member enjoys supplementary retirement benefits.

No other transaction was concluded with members of the Board under conditions other than the present.

3.11 Headcount

	31.12.2017	31.12.2016
Civil servant staff	550	547
Non-civil servant staff	2,271	1,994
TOTAL HEADCOUNT⁽¹⁾	2,821	2,541
Executives	2,479	2,281
Non-executives	342	260
TOTAL HEADCOUNT⁽¹⁾	2,821	2,541

(1) Headcount expressed in man-years at year-end.

3.12 Other general operating expenses

(in € thousands)	31.12.2017	31.12.2016
Duties and taxes ⁽¹⁾	(450)	12,925
Lease payments	-	-
Rents and rental expenses	(107,144)	(110,562)
Fees	(126,734)	(90,390)
Other operating expenses ⁽¹⁾⁽²⁾	(3,589,108)	(3,643,768)
OTHER GENERAL OPERATING EXPENSES	(3,823,436)	(3,831,796)

(1) 2017, contributions to the Single Resolution Fund and the Deposit Guarantee and Resolution Fund were reclassified from Taxes and duties to Other operating expenses.

(2) This item notably includes expenses related to the service agreements between La Poste and La Banque Postale for €3,019,069 thousand.

3.13 Re-invoicing

(in € thousands)	31.12.2017	31.12.2016
Personnel costs re-invoiced on a euro for euro basis ⁽¹⁾	25,062	23,425
General expenses excluding personnel costs re-invoiced on a euro for euro basis	63,200	56,414
RE-INVOICING	88,262	79,839

(1) Including the re-invoicing to La Poste of €6,723 thousand for staff belonging to the two companies.

3.14 Depreciation, amortisation and impairment

(in € thousands)	31.12.2017	31.12.2016
Depreciation and amortisation of operating assets	(144,298)	(140,570)
Depreciation and amortisation of operating assets		
<i>Of which depreciation of tangible operating assets</i>	(54,029)	(53,460)
<i>Of which amortisation of intangible operating assets</i>	(90,269)	(87,110)
Reversals of depreciation and amortisation of operating assets	-	-
Net depreciation and amortisation	(144,298)	(140,570)
Impairment of operating assets -	-	-
Reversals of impairment charges on operating assets	-	-
+/- Net impairment charges	-	-
NET DEPRECIATION, AMORTISATION AND IMPAIRMENT OF TANGIBLE AND INTANGIBLE FIXED ASSETS	(144,298)	(140,570)

3.15 Cost of risk

(in € thousands)	31.12.2017	31.12.2016
IMPAIRMENTS ON		
Customers and credit institutions	(185,970)	(192,090)
Sundry debtors	(2,793)	(7,690)
Impairment charges	(188,763)	(199,779)
REVERSALS OF IMPAIRMENT CHARGES ON		
Customers and credit institutions	125,552	155,243
Sundry debtors	1,724	9,614
Reversals of impairments	127,276	164,857
LOSSES AND RECOVERIES		
Losses on irrecoverable receivables hedged by impairment	(47,380)	(59,914)
Losses on irrecoverable receivables not hedged by impairment	(18,203)	(21,081)
Amounts recovered on amortised receivables	5,307	5,384
Losses and recoveries	(60,275)	(75,611)
COST OF RISK	(121,762)	(110,533)

Changes in impairment charges relating to a counterparty risk are described in Note 2.24.2.

3.16 Gains or losses on fixed assets

(in € thousands)	31.12.2017	31.12.2016
Gains or losses on disposal of tangible assets	(384)	(1,782)
Gains or losses on the disposal of intangible assets	-	(206)
Gains or losses on the disposal of tangible and intangible assets	(384)	(1,988)
Gains or losses on the disposal of investment securities and other long-term securities	11,690	-
Gains or losses on transactions involving held-for-sale and other long-term securities	11,690	-
GAINS OR LOSSES ON FIXED ASSETS	11,306	(1,988)

3.17 Income tax

(in € thousands)	31.12.2017	31.12.2016
Corporate income tax	(187,746)	(76,358)
INCOME TAX EXPENSE	(187,746)	(76,358)
Losses carried forward	-	-

NOTE 4 INFORMATION ON THE AUDIT OF THE FINANCIAL STATEMENTS

(ex-tax, thousands of euro)	Statutory auditors of La Banque Postale			
	PricewaterhouseCoopers		KPMG	
	Amount	%	Amount	%
Statutory audit, audit of the company and consolidated financial statements	672	90%	669	79%
Other services	75	10%	180	21%
TOTAL	747	100%	849	100%

NOTE 5 BUSINESS LOCATION DETAILS

List of stakes in regions that have not signed a tax assistance agreement

Name	Status	% of capital held	Voting rights	Legal form	Activity
		None			

NOTE 6 INFORMATION CONCERNING THE SUBSIDIARIES AND EQUITY STAKES HELD BY LA BANQUE POSTALE AS AT 31 DECEMBER 2017

Subsidiaries (+50% of capital held)

	SCI Tertiaire SF2 ⁽¹⁾	Saint Romain ⁽²⁾	SCI CRSF METROPOLE ⁽³⁾	SCI CRSF DOM ⁽⁴⁾	BPE ⁽⁵⁾	LBP Home Loan SFH ⁽⁶⁾	LBP Partenariats ⁽⁷⁾	LBP Digital ⁽⁸⁾	Domiserve ⁽⁹⁾
SIREN number	424,176,238	478,301,286	445,061,369	445,047,442	384,282,968	522,047,570	823,423,215	828,624,759	797,829,983
Share capital	1,053,573,881	64,001,500	256,411,996	2,333,111	102,410,685	210,000,000	60,000	5,000,000	50,000
Reserves and retained earnings before appropriation of net income	335,101,135	(4,779,639)	12,273,462	1,435,671	13,042,295	233,551	-	-	407,970
Share of capital held (%)	100%	100%	100%	100%	100%	100%	100%	100%	100%
Carrying amount of securities held									
► Gross	1,143,908,526	116,999,885	256,391,996	2,331,611	157,626,139	210,004,000	60,000	4,999,990	15,000,000
► Net	1,143,908,526	116,999,885	256,391,996	2,331,611	157,626,139	210,004,000	60,000	4,999,990	15,000,000
Loans and advances granted by the Company and not yet repaid	-	80,000,000	-	-	-	25,000,000	-	-	-
Amount of sureties and guarantees given by the Company	-	-	-	-	25,310,000	8,490,145,412	-	-	-
Revenues* excluding tax for the previous financial year	277,833	13,808,276	39,036,971	910,331	86,041,361	3,744,426	-	-	1,087,792
Net income or loss for the last financial year	177,835,543	4,079,780	9,467,966	458,329	13,127,427	1,353,268	-	-	395,121
Dividends received by the Company in the previous financial year	175,394,045	-	9,460,865	138,964	12,429,286	4,239,402	-	-	-
Notes	Holding Company	Real estate rental Company	Real estate rental Company	Real estate rental Company	Bank	Financial services advisory Company	Partnership development	Bank	Cheques for universal employment services

(1) 115, rue de Sèvres 75275 PARIS Cedex 06.

(2) 35-39, boulevard Romain Rolland 75014 PARIS.

(3) 115, rue de Sèvres 75275 PARIS Cedex 06.

(4) 115, rue de Sèvres 75275 PARIS Cedex 06.

(5) 62 rue du Louvre, 75002 PARIS.

(6) 115, rue de Sèvres 75275 PARIS Cedex 06.

(7) 115, rue de Sèvres 75275 PARIS Cedex 06.

(8) 115, rue de Sèvres 75275 PARIS Cedex 06.

(9) 106 avenue Marx Dormoy 92120 Montrouge.

* Depending on the subsidiary's business, revenue is presented if it is a trading company, and net banking income is presented if it is a bank or financial Company.

Subsidiaries (more than 50% of capital held)								Subsidiaries (10% to 50% of capital held)		
LBP Collectivités Locales ⁽¹⁰⁾	La Banque Postale Crédit Entreprises ⁽¹¹⁾	SOFIAP ⁽¹²⁾	Ezyness ⁽¹³⁾	LBP Prévoyance ⁽¹⁴⁾	KissKiss BankBank ⁽¹⁵⁾	TRANSACTIS ⁽¹⁶⁾	PayLib ⁽¹⁷⁾	Coop'HLM Financement (ex. SFHC) ⁽¹⁸⁾	SGFGAS ⁽¹⁹⁾	WiseProfits ⁽²⁰⁾
792,665,572	514,613,207	391,844,214	522,058,544	419,901,269	512,211,004	479,874,257	522,048,032	522,847,151	390,818,235	812,309,284
700,000	220,000,000	60,137,760	5,200,000	5,202,000	4,542	4,948,120	1,319,670	2,519,400	942,870	1,602,583
843,728	(45,280,559)	28,515,284	(13,961)	200,550,917	(1,315,395)	(25,566)	145	(9,220)	190,921	(51,169)
65.00%	100.00%	66.00%	100.00%	50.00%	100.00%	50.00%	16.67%	11.91%	12.50%	10.00%
649,997	220,000,000	37,754,126	5,200,000	291,634,500	39,600,000	2,474,062	219,945	300,000	140,465	492,705
649,997	220,000,000	37,754,126	5,200,000	291,634,500	39,600,000	2,474,062	219,945	300,000	140,465	492,705
	8,314,674,000	1,902,692,000	-	48,237,000	-	21,000,000	-	-	-	-
-	4,987,398,861	161,999,960	-	-	-	-	-	-	-	-
3,000,000	61,245,840	21,721,177	-	516,568,114	2,686,823	67,060,150	2,264,608	-	4,507,577	33,350
(470,417)	2,276,673	70,284	(2,714)	44,566,818	(564,035)	(191)	262,033	8,059	823	(520,226)
0	0	0	0	17,833,000	0	0	0	0	0	0
Credit broker	Financial company	Financial company	Financial services advisory company	Insurance company	Collaborative financing Company	Financial services -Holding Company	Payment solutions Company	Other credit distribution	Guarantee fund management Company	Participating investment advisory Company

(10) 115, rue de Sèvres 75275 PARIS Cedex 06.

(11) 115, rue de Sèvres 75275 PARIS Cedex 06.

(12) 7 r Pierre Levée 75011 PARIS.

(13) 115, rue de Sèvres 75275 PARIS Cedex 06.

(14) 10 Place de Catalogne 75014 PARIS.

(15) 34 rue de Paradis 75010 Paris.

(16) 33, places des Corolles - Tour Europe La Défense II - 92400 Courbevoie.

(17) 1, boulevard Haussmann 75009 Paris.

(18) 14 rue Lord Byron 75384 Paris Cedex 08.

(19) 13, rue Auber 75009 Paris.

(20) 14 avenue de l'Opéra 75001 Paris.

NOTE 7 LA BANQUE POSTALE – FIVE-YEAR EARNINGS TABLE

(in euros)	2013	2014	2015	2016	2017
FINANCIAL POSITION					
Share capital	3,413,734,750	4,046,407,595	4,046,407,595	4,046,407,595	4,046,407,595
Number of shares	29,684,650	35,186,153	35,186,153	35,186,153	35,186,153
COMPREHENSIVE INCOME					
Revenue*	7,912,903,096	7,474,544,915	7,378,305,936	7,110,660,813	7,284,155,033
Income before corporate tax, depreciation, amortisation and net provisions	891,541,339	927,845,727	960,973,920	630,611,923	755,347,375
Income tax	(267,492,028)	(310,824,005)	(258,926,682)	(76,357,888)	(187,745,716)
Income after corporate tax, depreciation, amortisation and provisions	311,249,224	164,648,962	478,260,808	564,066,406	553,183,004
Distributed income (proposed)	260,631,227	304,712,085	318,082,823	312,101,177	343,768,715
EARNINGS PER SHARE					
Income after corporate tax, before depreciation, amortisation and provisions	20.84	17.52	19.95	15.72	15.72
Income after corporate tax, depreciation, amortisation and provisions	10.49	4.68	13.59	16.03	15.72
Distributed income (proposed)	8.78	8.66	9.04	8.87	9.77
EMPLOYEE DATA					
Average headcount	2,275	2,389	2,473	2,526	2,713
Payroll expenses	142,101,291	153,564,624	161,840,302	163,848,588	176,181,220
Amounts paid for employee benefits (Social Security, social welfare organisations, etc.)	64,044,525	70,300,209	82,518,567	89,710,337	94,860,267

* This is all the banking operating income (profits or losses from financial transactions are taken at their net amount).

5.5 STATUTORY AUDITORS' REPORT ON THE ANNUAL FINANCIAL STATEMENTS

La Banque Postale S.A.

Registered office: 115, rue de Sèvres – 75275 Paris Cedex 06

Share capital: €4 046 407 595

Rapport des commissaires aux comptes sur les comptes annuels

Exercice clos le 31 décembre 2017

A l'assemblée générale de la société La Banque Postale S.A.,

Opinion

In execution of the mission entrusted to us by the General Meeting, we undertook the audit of the annual financial statements of La Banque Postale SA for the financial year ending 31 December 2017. The statements are attached to this report.

We certify that the annual financial statements, in accordance with French accounting rules and principles, give a true and fair view of the financial position and assets and liabilities of the Company and of the results of its operations at the end of this financial year.

The opinion formulated above is consistent with the content of our report to the Financial Statements Committee.

Basis for our opinion

Audit standards

We carried out our audit in accordance with the professional standards applicable in France. We consider that the evidence gathered is pertinent and sufficient to serve as a basis for our opinion.

The responsibilities incumbent upon us by virtue of these standards are described in the "Responsibilities of the statutory auditors with respect to the audit of the annual financial statements" Section of this report.

Independence

We carried out our audit mission in compliance with the rules for independence applicable to us, for the period running from 1 January 2017 through the date of issue of our report and, notably, did not provide any of the services prohibited by Article 5, Paragraph 1 of Regulation (EU) no. 537/2014 or by the statutory auditors' professional code of ethics.

Reasons for our assessments - Key points of the audit

In application of the provisions of Articles L. 823-9 and R. 823-7 of the French Commercial Code on the justification of our assessments, we hereby provide the key points of our audit regarding the risk of material discrepancies which, in our professional opinion were most important for the audit of the annual financial statements, and the answers we provided given these risks.

The assessments we made are part of the audit of the annual financial statements, taken as a whole, and contributed to forming the opinion expressed above. We have not expressed an opinion on items of the annual financial statements taken individually.

Provisions for Home Savings risks

Identified risk

The commitments made by La Banque Postale to the subscribers of home savings products relate to the savings and loan phases. The incidence of market rates on these commitments can have a negative impact on the future results of the bank and, therefore, result in the creation of provisions.

At 31 December 2017, the Home Savings provision was €293.5 million. It was subject to a reversal of €68.4 million over the financial year. The assets to which the provision refers (Plans Epargne Logement, Comptes Epargne Logement and loans granted under the PELs and CELs) amounted to €32.4 billion at the close.

The principles followed for provisions for Home Savings risk are described in Paragraph 7 "Provisions" and Note 1 "Accounting principles and methods used for assessment" in the notes to the annual financial statements. Figures are provided in Note 2.15 "Details of the provisions for liabilities" and 2.16 "Details of the Home Savings option".

The provisions were determined by using customer behavioural simulation techniques based on estimates modelled on future interest rates and on the specificities of each plan generation.

We considered Home Savings a key point of the audit in question due to:

- ▶ the significant amount of Home Savings income collected;
- ▶ the complexity of the assumptions used for modelling;
- ▶ the material impact on the Company's results in the event of an error in judgement or a change in estimates.

Procedures implemented in response to the risk

We implemented the following:

- ▶ audit of compliance with the rules of governance implemented by management for updates to the provision calculation method and, in particular, approval of the updates by the model approval committee of the Group Risk Department;
- ▶ critical review, with our financial modelling specialists, of the changes made to the calibration and interest rate modelling assumptions and to the credit margin used to estimate provisions;
- ▶ critical analysis of the changes in the Home Savings provision between 31 December 2016 and 31 December 2017 and of the relative contributions of the model, inventory and rate components;
- ▶ critical review of the tests of model sensitivity to interest rates;
- ▶ independent recalculation of the provision by our financial modelling specialists applying the model to the management basis and accounting basis;
- ▶ comparison of the ratio of provisions for Home Savings outstandings with a sample from banks which offer home savings products;
- ▶ review of the information provided in the notes to the consolidated financial statements.

Provisions for credit risks on customer loans

Identified risk

La Banque Postale creates provisions to cover proven risks resulting from its customers' inability to manage their financial commitments.

At 31 December 2017, gross loan outstandings to natural persons and legal entities were €66.8 billion overall, of which €810 million in gross doubtful outstandings. The associated provisions amounted to €308 million, as indicated in Notes 2.24.1 and 2.24.2 to the annual financial statements. The principles applied with respect to provisions for credit risk are described in Paragraph 2 "Receivables from credit institutions and customers - Commitments by signature" of Note 1 "Accounting principles and methods used for assessment" of the notes to the annual financial statements.

Provisions for impairment are estimated on a collective and individual basis taking into account the value of the guarantees held. Collective provisions are recognised on non-doubtful outstandings whose credit risk has suffered a significant deterioration since granting. They are determined based on historical data, the probability of default and the losses expected.

Individual impairment is estimated on a statistical basis for loans to private individuals and on a case-by-case basis for other loans.

The valuation of provisions for credit risk on loan outstandings requires the use of judgement to identify exposure for which there is a risk of non-collection and for the determination of future collectable flows and collection time-frames.

We considered valuation of these provisions a key point of the audit in question due to:

- ▶ the relative importance of the loan outstandings on the balance sheet;
- ▶ the complexity of estimating the probability of default, losses in the event of default and future recoverable flows, including the value of guarantees.

Procedures implemented in response to the risk

We studied the internal control system implemented by the Company to identify sensitive or doubtful debt and value the amount of impairment on sensitive, doubtful and disputed outstandings.

We tested the effectiveness of the controls deemed to be key to our audit, implemented by the Company to identify sensitive outstandings, their classification as doubtful or disputed, the valuation of the amount of guarantees received, the correct processing of data in business line information systems and their flow into the accounting process.

We also studied about the operation and main conclusions of the specialised bank committees responsible for monitoring sensitive, bad and disputed debt and reviewed the documentation justifying the level of provisions created.

For the collective provisions, we carried out a critical review of the changes made to the models to calculate the probability of default and losses in the event of default. For loans to companies, we assessed the procedures used to create and monitor the files classified as «to be monitored» and the impairment recorded on loans to companies.

In addition, we re-ran certain tests carried out by accounting control and corroborated the quality of certain analyses produced by examining the underlying explanatory data and documents.

Lastly, we analysed the changes in certain key indicators, such as the total of sensitive outstandings and bad debt compared to total outstandings, and their hedging by amortisation, compared to that seen at 30 June 2017 and 31 December 2016 and that budgeted.

Verification of the management report and of other documents sent To the Shareholders

We also carried out the specific verifications required by law in accordance with the professional auditing standards applicable in France.

Information provided in the management report and the other documents addressed To the Shareholders regarding the financial situation and annual financial statements

We have no comment as to the fair presentation, and consistency with the annual financial statements, of the information given in the Executive Board's management report or in the other reports provided To the Shareholders regarding the financial situation and the annual financial statements.

Report on corporate governance

We certify the existence, in the Supervisory Board's report on corporate governance, of the information required in Articles L. 225-37-3 and L. 225-37-4 of the French Commercial Code.

With respect to the information provided in application of Article L. 225-37-3 of the French Commercial Code on the compensation and benefits paid to corporate officers and the commitments made in their favour, we verified their consistency with the financial statements and with the data used to prepare the financial statements and, where applicable, with the information collected by your Company from the companies which control your Company or which it controls. Based on this work, we certify the accuracy and truthfulness of the information.

Additional information

In application of the law, we ensured that the information regarding interests and control were provided to you in the management report.

Information resulting from other legal and regulatory obligations

Appointment of the statutory auditors

We were appointed statutory auditors of La Banque Postale S.A. by your Combined General meetings of 28 April 2004 (PricewaterhouseCoopers Audit) and of 27 May 2010 (KPMG S.A.).

At 31 December 2017, KPMG S.A. had held the position for eight years in a row and PricewaterhouseCoopers Audit for fourteen consecutive years.

Responsibilities of management and of the persons constituting corporate governance for the annual financial statements

It is the responsibility of management to prepare annual financial statements which provide an accurate picture in compliance with French accounting rules and principles and for putting in place the internal controls it believes are necessary to prepare annual financial statements which do not contain any material discrepancies resulting from either fraud or errors.

When the annual financial statements are prepared, it is management's responsibility to assess the ability of the Company to continue operating and to provide in the financial statements the information required regarding business continuity and to apply the going concern principle unless a decision has been made to liquidate the Company or terminate its activities.

The Financial Statements Committee is responsible for monitoring the process of preparing the financial information and the effectiveness of the internal control and risk management systems and, if necessary, of internal audit, with respect to the procedures for the preparation and processing of the accounting and financial information.

The annual financial statements were approved by the Executive Board.

Responsibilities of the statutory auditors for the audit of the annual financial statements

Audit objective and approach

We are responsible for preparing a report on the annual financial statements. Our goal is to obtain a reasonable assurance that the annual financial statements taken overall do not contain any material discrepancies. This reasonable assurance corresponds to a high level of assurance without, however, guaranteeing that an audit undertaken in compliance with professional standards will consistently detect all significant discrepancies. Discrepancies can be the result of fraud or errors and are considered to be significant when it can be reasonably expected that they may, taken individually or together, impact the economic decisions that the users of the statements take based on them.

As stated in Article L. 823-10-1 of the French Commercial Code, our certification mission does not consist in guaranteeing the viability or quality of your Company's management.

Within the framework of an audit undertaken in accordance with the professional standards applicable in France, statutory auditors exercise their professional judgement throughout the audit process. In addition:

- ▶ they identify and assess the risk that the annual financial statements may contain material discrepancies, regardless if they are the result of fraud or errors, define and implement audit procedures in light of the risks and collect the information they believe to be sufficient and appropriate to form their opinion. The risk of non-detection of a significant discrepancy resulting from fraud is greater than that of a significant discrepancy resulting from an error given that fraud can involve collusion, falsification, voluntary omissions, false statements and the bypassing of internal controls;
- ▶ they study the internal controls relevant for the audit in order to define audit procedures suitable for the circumstances and not for the purpose of expressing an opinion about the effectiveness of internal control;
- ▶ they assess the appropriateness of the accounting methods selected and the reasonable nature of the accounting estimates made by management, as well as the information about them included in the annual financial statements;
- ▶ they assess the suitability of the application by management of the going concern principle and, based on the information collected, whether or not there is significant uncertainty regarding events or circumstances with the potential to jeopardise the ability of the Company to continue its operation. This assessment is based on information collected through the date of their report. Note, however, that later circumstances or events may negatively impact business continuity. If they conclude that there exists a major uncertainty, they will draw the attention of readers of the report to the information provided in the annual financial statements about the uncertainty or, if the information is not provided or not relevant, they will either provide a qualified opinion or refuse certification;
- ▶ they assess the overall presentation of the annual financial statements and determine if the annual financial statements reflect the underlying transactions and events in a way that provides a faithful picture.

Report to the Financial Statements Committee

We are submitting a report to the Financial Statements Committee which presents the extent of the audit work done and work programme implemented as well as the conclusions of our work. We are also informing it, where applicable, of any significant weaknesses in internal control we have identified with respect to the procedures for the preparation and processing of accounting and financial information.

The information provided in the report to the Financial Statements Committee includes the risks for material discrepancies which, in our opinion, were most significant for the audit of the annual financial statements and which are, as a result, the key points of the audit, which we are under an obligation to provide in this report.

We are also providing the Financial Statements Committee with the declaration required by Article 6 of Regulation (EU) no. 537-2014 confirming our independence as meant by the rules applicable in France as they have been implemented via Articles L. 822-10 to L. 822-14 of the French Commercial Code and the statutory auditors' professional code of ethics. If necessary, we will meet with the Financial Statements Committee about the risks weighing on our independence and the safeguards implemented.

The statutory auditors

Paris La Défense, on 5 march 2018

KPMG S.A.

Marie-Christine Jolys
Partner

Neuilly-sur-Seine, on 5 march 2018

PricewaterhouseCoopers Audit

Jacques Lévi
Partner

CORPORATE SOCIAL RESPONSIBILITY

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NB: The whole of this chapter meets the regulatory reporting obligation under Article 225 of the Grenelle II law and decree no. 2012-557 of 24 April 2012 on the transparency obligations of corporate, social and environmental responsibility.

NB: The acronym CSR stands for Corporate Social Responsibility.

6.1 CSR GOVERNANCE AT LA BANQUE POSTALE

Since its creation, La Banque Postale, a public service bank serving the real economy, has chosen a unique, solid, responsible and sustainable business model. As a bank for everyone, it has always welcomed every person with respect and consideration, irrespective of their situation. A useful bank, it offers responsible, simple and innovative services along with quality advice. La Banque Postale maintains close relationships with all of its customers, individual and corporate, thanks to the post offices' unique network and its numerous interconnected and long-distance access services. Focused on regional development, La Banque Postale harnesses French people's savings for local development and energy transition projects in the country. A bank built on trust, it gives first priority to its customers' interests and to the management of both financial and extra-financial risks. As a bank that works in the best interest of the community at large, it shares and creates a new relationship with money and the bank along with its customers. This relationship of trust, acclaimed by its customers and stakeholders alike, is its greatest pride and its finest quality; it is built each day through respect for the men and women working in its organisation, and through respect for the environment.

The Banque Postale's Corporate Social Responsibility (CSR) governance is ensured by the Bank's **Management Committee**, which is chaired by the Chairman of the Executive Board and which meets twice a year. The Management Committee validates the selected projects, decides on the major strategic guidelines regarding CSR and ensures

that the proposed projects can produce results that will make CSR a factor of differentiation, performance and profitability for La Banque Postale. In 2017, the Management Committee was thus able, among other things, to validate the increase in the monetisation factor of La Banque Postale's carbon footprint from €8 to €10 per tonne of CO₂ emitted, confirm the new financial budget of the internal Carbon Fund (see the *Environmental commitment* section), and approve the action plans proposed following the results of the extra-financial tests.

The Banque Postale's **CSR policy** is centred on four economic, social, societal and environmental commitments. This policy consists of 12 missions and 25 priority projects, each one supported by follow-up indicators and qualitative and quantitative targets (see the "*La Banque Postale's CSR Policy*" section). At the end of 2017, the Executive Board, wishing to give new momentum to the approach, ordered a review of the CSR strategy, focused on its main stakeholders, which will be formalised in 2018.

La Banque Postale's **CSR framework**, developed in accordance with ISO 26000, was used as the basis for constructing a rating matrix for CSR issues. In 2015, this materiality analysis, which enabled to measure the importance of these issues in the eyes of internal and external stakeholders, was used to draw up a map of the most relevant issues for the Bank. At end-2017, an internal panel worked on updating the list of La Banque Postale's strategic stakeholders. This exercise will enable the materiality matrix to be updated in 2018.

Materiality analysis

The internal **materiality matrix** has shown that four out of five customer concerns are located in the first quartile of the matrix: responsible customer relations, the responsible offer, protection and confidentiality of customer data, and accessibility to products and services. The analysis underpins La Banque Postale's strategic plan and its focus on putting customers' interests first, at a time when banks are facing competition from FinTech and new entrants in the banking sector wishing to capitalise on the opportunities offered by Big Data and artificial intelligence.

The fifth topic, new consumer modes and practices, is close to the first quartile and can therefore be viewed as emerging. This positioning is in line with the improvement priorities identified by extra-financial ratings agencies and with the internal CSR assessment conducted in 2015, which found that CSR was not adequately taken into account in designing products and services.

A response was provided by the launch of the "Green Range" in the framework of COP21 (see the *Responsible Offering* section). La Banque Postale's range now includes products and services with environmental added value both in terms of the credit offer for corporate and individual customers, and insurance and saving offers. The launch of the digital banking inclusion plan in 2017 is another solution, in that it prevents people who are not comfortable with new digital practices from being left out.

Another issue that becomes clear from the materiality matrix is the importance of embedding CSR in governance bodies. La Banque Postale responded to this concern through its awareness-raising work

with the members of its Supervisory Board in the first half of 2016. Furthermore, the decision taken in 2015 to incorporate a CSR criterion (in this case the Bank's extra-financial ratings) into the calculation of employee profit-sharing was renewed in 2017. Finally, this awareness initiative is reflected by two separate and complementary CSR training courses available in the catalogue of the corporate university of La Banque Postale and the Network, the *École de la Banque et du Réseau* (see the *Raising awareness* section below).

Another point that emerged from the materiality matrix as deserving of particular attention is the identification and management of extra-financial risks. Considered in light of Article 173 of the French "Energy Transition for Green Growth Act" (*loi pour la Transition Énergétique pour la Croissance Verte*), the risks associated with climate change have become a central issue. Thus, in 2017, La Banque Postale reinforced the approach initiated in 2015 of measuring the exposure to climate risk, initiated through the half-yearly analyses of the exposure of its trading room portfolios to extra-financial risks. By measuring the carbon intensity of its portfolios, La Banque Postale is now able to make its investment decisions based on the companies' carbon impact (see the section on *Management of extra-financial risks*).

In conclusion, a comparison between the results of La Banque Postale's materiality matrix and the action plans that emerged from the CSR assessment confirms that the decisions made are firmly within the established guidelines.

Raising awareness

The CSR Department and CSR correspondents in the various entities and establishments work throughout the year on raising employee awareness of CSR issues and projects. The teams are mobilised every year during the five weeks of nationwide events organised around the following themes: sustainable development, mobility, socially responsible investment, employment of disabled persons and waste reduction. For example, during the 2017 European Sustainable Development Week, employee awareness of the Bank's CSR policy was encouraged via a quiz and a nation-wide poster campaign promoting ecological actions.

The Internal CSR network, for its part, with about 140 employees, receives special attention as the main driver for the reporting and consolidation of extra-financial information. Conference calls are organised every two months to pass on information from the head office to the field and to share local best practices. The CSR Division held an information and discussion seminar on 23 November

2017 which brought together actors from all the Bank's departments, subsidiaries and sites, and illustrated the way in which each of the Bank's businesses (Retail Banking, corporate financing and asset management) incorporate CSR in their product and services offer. La Banque Postale also updated its **two CSR training modules** in 2017: the first tackles "The fundamentals of Sustainable Development and CSR" and the second focuses on "Becoming a participant and deploying La Banque Postale's CSR policy". The two modules form part of the training catalogue offered by the École de la Banque et du Réseau and may be taken by the 70,000 employees of the Bank, Financial Services and La Poste Network who are interested in Corporate Social Responsibility and its operational implications on the ground.

Lastly, the CSR challenges of La Banque Postale was presented in a strategic seminar for the members of the Supervisory Board held in 2016, and the exercise will be renewed in 2018.

6.2 LA BANQUE POSTALE'S CSR POLICY

La Banque Postale's CSR policy is designed around 12 missions and 25 flagship/priority projects. It will be reviewed in 2018 after the

reorganisation of the CSR Department. The table below shows where to find the results of this roadmap in the pages that follow.

Missions	Projects	Results
Help to maintain social links (teaching the use of banking services, budget management, proximity, etc.)	Assist financially-vulnerable youths in the management of their budgets and bank accounts	See chapter on Economic commitment > Banking accessibility > A partnership approach to contribute to the development of financial education
	Offer employees a programme which enables them to get involved on a voluntary basis in the teaching of budget and bank account management	See chapter on Economic commitment > Banking Accessibility > A partnership approach to contribute to the development of financial education
Promote access to financial products and services for all	Expand the offer dedicated to vulnerable customers	See chapter on Economic commitment > Banking accessibility > Promoting access to financial products and services for all
	Give advisors solutions to meet the expectations of disabled persons	See chapter on Societal commitment > Customer accessibility to premises and services
Identify and spread good customer relations practices, over and above regulatory requirements	Lay down a Responsible Customer Relations Charter	NA
	Assist vulnerable customers in their relationship with the Bank	See chapter on Economic commitment > Responsible customer relations > Listening to customers
Engage in responsible commercial management with bank advisors	Design and share a framework to measure the expected quality of service and that delivered to customers	N/A
	Set up variable remuneration partly based on the contribution to collective results and qualitative performance	See chapter on Economic commitment > Responsible customer relations > Appropriate and responsible counselling
Assist people undergoing financial difficulties	Use synergy with local players to expand the regional map of social assistance organisations	See chapter on Economic commitment > Responsible customer relations > Assistance to people experiencing financial difficulties
Put forward a transparent simple, clear and responsible offering focused on essentials	Take social and environmental responsibility criteria into account in the entire product/service offering	See chapter on Economic commitment > Responsible offering > ESG Checklist: integration of ESG criteria
Integrate Corporate Social Responsibility in a dedicated eco-responsible offering	Develop a range of eco-responsible products with social and/or environmental added value (savings products, credit products, insurance products, etc.)	See chapter on Economic commitment > Responsible offering > Products and services with added social and/or environmental value
	Involve all Asset Management subsidiaries in ESG integration	See chapter on Economic commitment > Responsible offering > Responsible asset management
	Extend the ESG integration process to the Insurance Division	See chapter on Economic commitment > Responsible offering > Responsible insurance
Systematically take into account extra-financial risks in the management of all projects conducted by La Banque Postale	Raise <i>risk managers'</i> awareness of the need to integrate ESG risks in their risk management	See chapter on Economic commitment > Management of extra-financial risks > Integrating extra-financial risks into operational risks
	Offer the business lines an opportunity study tool integrating Corporate Social Responsibility and suited to the Project Management Method	See chapter on Economic commitment > Management of extra-financial risks > Integrating extra-financial risks into operational risks
Provide the business lines concerned with appropriate extra-financial risk management tools	Lay down sector-specific policies or investment guidelines for higher-risk sectors covering asset management and the financing activities of corporate customers	See chapter on Economic commitment > Management of extra-financial risks > Measuring the level of exposure to extra-financial risks
	Analyse the extra-financial risk level -of the stock market portfolio at regular intervals	See chapter on Economic commitment > Management of extra-financial risks > Measuring the level of exposure to extra-financial risks
Be a responsible employer	Develop responsible management (respect for employees, giving meaning, managing change)	See chapter on Social commitment > Career development and employee support and Occupational health, safety and -well-being
	Integrate Corporate Social Responsibility criteria in the managers' variable remuneration	See chapter on Social commitment > Comprehensive and competitive compensation policy
	Promote equal opportunities	See chapter on Social commitment > Diversity, disability and equal opportunity

Missions	Projects	Results
Promote the societal values of the Bank with its internal and external stakeholders	Promote employees' civic commitment	See Societal Commitment chapter > Sponsorship and Partnership > Solidarity leave and skills based volunteering
	Deploy a responsible purchasing policy, both in-house and with the supply chain	See chapter on Societal commitment > A responsible purchasing process
Control the environmental impact of business activities	Control CO ₂ emissions	See chapter on Environmental commitment > Combating climate change
	Control paper consumption	See chapter on Environmental commitment > Paper Consumption
	Roll out the Green IT project	See chapter on Environmental commitment > Combating climate change > Greenhouse gas emissions related to computer equipment

6.2.1 Economic commitment

6.2.1.1 Banking accessibility

Originating from La Poste's Financial Services Division, La Banque Postale is the only bank having been given **the mission to ensure accessibility to banking** through the Economy Modernisation Act of 2008. Welcoming every person, irrespective of their situation, and offering them appropriate banking solutions – such is the Bank's commitment. Under the law of 9 February 2010, La Banque Postale must also endeavour to **prevent over-indebtedness** and **promote microcredit**.

In the new public service contract for 2018-2022, La Banque Postale has confirmed its commitment to develop civic banking products by supporting the development of the digital society and proximity-based services. It has confirmed its commitment to carry out informative and awareness-raising actions for the benefit of people in financial difficulty by offering them the most suitable products and services, notably in terms of modern and inexpensive means of payment. La Banque Postale has also committed to facilitating social home ownership through loans suited to the resources of low-income people. This contract thus highlights the civic commitment missions.

In addition to its banking accessibility mission and reasonable pricing policy, La Banque Postale thus plays an essential role in combating banking exclusion. Through its daily actions favouring access to quality banking services to the greatest number of people, and by providing guidance to financially vulnerable customers, notably to prevent over-indebtedness and **develop an original, comprehensive approach to banking inclusion**.

A partnership approach to contribute to the development of financial education and to combat banking exclusion

La Banque Postale's commitment to assisting customers in financial difficulty involves setting up several **banking education actions**.

For example, La Banque Postale, notably in partnership with the *Missions Locales* network, has offered **budget management workshops for young people** since 2012. These workshops, run by volunteer employees of the Le Groupe La Poste, cover budget management, how to use a bank account, how to use credit and how to save. Counting the volunteers who continued their commitment from previous years, almost 250 employees from the Bank and the Network take part in this volunteer skills-based programme. In 2017,

80 new employees volunteered to attend training sessions in Paris, Lyon, Bordeaux, Marseilles, and Nantes, where they were awarded a diploma as Ambassadors for the *Dilemme* personal finance and budget educational game created by the association Crésus. On average each employee runs one Mission Locale session per month for ten young people.

La Banque Postale and the La Poste Network have also encouraged their employees to support the *Entreprendre Pour Apprendre* ("Start a Business to Learn") initiative by becoming "sponsors of mini-businesses" created by students at middle and secondary schools. In 2017, 20 employees teamed up with the government association *La Finance Pour Tous* to help last year management sciences and technologies students at the Académie de Créteil with their baccalaureate case study.

These actions are complimentary to the **partnerships formed throughout France with non-profit associations which accompany vulnerable members of the public** at post offices in the La Poste Network. Thus, more than 150 partnerships with associations (e.g.: PIMMS, FACE, Unis-Cité, etc.) were active in 31 Regional departments across the entire national territory at the end of 2017 with interpreters or mediators in over 300 post offices in ZUPs (sensitive urban areas) and QPVs (priority urban neighbourhoods).

La Banque Postale and La Poste also provide training sessions to local associations, as well as a turnkey kit of instructive tools on the use of postal services, including banking services (the La Poste guide according to customers' real-life situations, "step-by-step" fact sheets on transactions carried out in an office/the internet/by phone, training materials, model bank letters).

Regarding instruction on budgeting and finance, La Banque Postale also supports the non-profit association **L'Institut pour l'éducation financière du public (IEFP)** ("Institute for the financial education of the public"), which is accredited by the French Ministry of Education. This public interest organisation, better known under the name *Finance pour tous*, was created to help citizens acquire basic knowledge of finance. Objective: for everyone to understand the economic challenges in the world in which we live so they can make informed decisions. Since 2014, La Banque Postale has sat on the Board of Directors of this non-profit association and has distributed educational and instructive documents on how to properly manage a budget to its advisors. The *Finance Pour Tous* team now also has an employee in the Bank under a skills-based sponsorship scheme.

La Banque Postale and La Poste Network also decided to support the plan to create the **magazine Debout**, aimed at the 8.6 million people living below the poverty line (14% of the population according to INSEE) as well as low-income households, students and social workers. This free educational magazine was, up until 2017, distributed to social and non-profit associations and offered advice, fact sheets, tips and instruction leaflets. Within the Le Groupe La Poste, it was notably sent to the Company's social workers, who are in charge of providing support to La Poste employees in need.

In 2017, La Banque Postale continued its actions with the non-profit association *Entreprendre pour apprendre* (EPA). In 2016, it strengthened its ties with EPA by hosting the jury for junior businesses in its premises and by becoming a member of the association's Board of Directors.

To expand its knowledge of the needs and practices of customers in a situation of financial vulnerability, La Banque Postale has, since 2012, undertaken a programme of exchange and cooperation with its stakeholders involved in combating banking exclusion. For example, La Banque Postale actively participates **in the public authorities' deliberations on banking inclusion**. In 2012, it was a member of the working group that led to the creation of an action plan to combat banking exclusion, part of the multi-year plan to combat poverty and promote social inclusion that was adopted in 2013.

In 2014, La Banque Postale thereby contributed to **the Caisse des dépôts report** to encourage the growth and promotion of microcredit in France, and to the **CCSF report** to develop education in banking and budget management.

In 2016, La Banque Postale supported the launch of the experimental "Budget Advice Points" (*Points Conseils Budgets* – PCB). An agreement was signed with the Crédit Municipal de Paris to experiment with a level 2 Budget Advice Point for Paris and Île de France, providing a physical reception point adapted to this region. La Banque Postale possesses remote PCB 2 expertise for the rest of France, via its partnership with Crésus.

Lastly, La Banque Postale sits, alongside government representatives, consumer and family non-profit associations, non-profit associations combating exclusion, and other lending institution representatives, on the **Observatoire de l'Inclusion Bancaire** (OIB), or "Observatory of Banking Inclusion". The creation of this observatory, provided for by the Banking Act of 26 July 2013, is one of the key measures of the multi-year plan to combat poverty and promote social inclusion. Its purpose is to monitor lending institutions' practices with regard to banking inclusion, especially towards populations in financial difficulties. The work of the Observatory provides public authorities and all the stakeholders with objective data, both quantitative and qualitative, to assess practices and changes in practices in order to identify potential improvements.

La Banque Postale has also initiated **direct exchanges and nurtured relations with public players in the social sector and non-profit associations combating exclusion** so as to promote "banking inclusion", i.e. the establishment of schemes facilitating access to and use of financial services for customers in a socially vulnerable situation.

Convinced that only active and organised cooperation will make it possible to meet the challenges of banking and financial exclusion, in October 2012 La Banque Postale founded a think tank tasked with developing new practices in response to the needs of customers in a situation of financial vulnerability. The goal of this think-tank, called **L'Initiative contre l'exclusion bancaire** ("action against banking exclusion"), is to:

- ▶ Promote mutual understanding among populations in financial difficulties and the other actors, banking and other, who interact with them;
- ▶ learn together in order to create and test products, services and practices that take into account the real expectations of these customers;

- ▶ promote and defend, especially vis-à-vis public authorities, the most appropriate solutions created collectively.

As an open organisation, this think tank welcomes all players in the social, non-profit association and banking world who share its goals and want to develop new initiatives to combat banking and financial exclusion. It includes, at present, the *Association pour le droit à l'initiative économique* (ADIE, "Association for the right to economic initiative"), ANDML, the Salvation Army, ATD Fourth World, La Banque Postale, the *Chambre Régionale du Surendettement Social* (CRESUS, the "Regional Chamber for Social Over-indebtedness"), the French Red Cross, Emmaus France, *Habitat et Humanisme*, *Restos du cœur*, the *Secours catholique*, the *Secours populaire*, *l'Union nationale des centres communaux d'action sociale* (UNCCAS, "National Union of Municipal Centres for Social Action"), the *Association Nationale des Directeurs de Mission Locale* (ANDML, the "National Association of Local Mission Directors"), the Soliha Federation, the *Union Nationale des PIMMS* (UNPIMMS, "National Union of the Multi-Service Mediation Points"), the *Fondation Agir Contre l'Exclusion* (FACE, "Foundation for the Fight Against Exclusion") and the *Union Nationale des Affaires Familiales* (UNAF, the "National Union of Family Affairs"). In 2017, four new players joined the organisation, *Crédit Municipal de Paris*, *WeTechCare*, *Créa-Sol* and *Solidarité Nouvelle pour le Logement* (SNL, "New Solidarity for Housing").

La Banque Postale also supports **Action Tank Entreprise et Pauvreté** ("Company and Poverty"), a non-profit association as defined by the 1901 law) that aims to promote the development of experimental entrepreneurial projects having an impact on the reduction of poverty and exclusion in France. The *Malin*, *Mobiliz* and *Optique Solidaire* programmes are promoted by the account managers of La Banque Postale's support platform (*L'Appui*). In 2017, La Banque Postale continued to offer car insurance as part of a "mobility flat rate" offer via its subsidiary La Banque Postale IARD, within the scope of *Action Tank Entreprise et Pauvreté*, as well as developing its work on comprehensive housing insurance for low income customers.

Promoting access to financial products and services for all

Under French law, everyone is entitled to open a deposit account and to basic banking services. Through the network of post offices, La Banque Postale undertakes to welcome any person, irrespective of their situation.

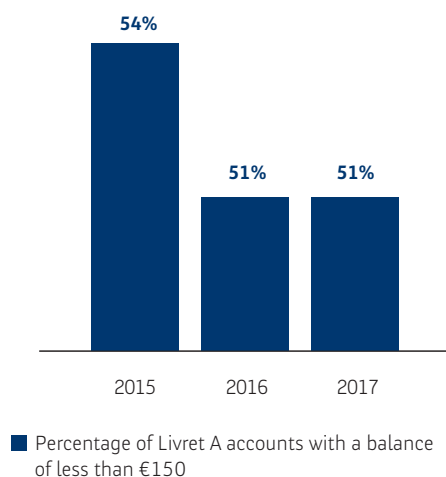
True to its postal values of providing local services to the greatest number of people, La Banque Postale is guided by a principle, to serve all, and by an approach: to offer the most suitable banking and insurance services to each customer at a reasonable price irrespective of their personal circumstances (concerning accessibility to premises and services for disabled customers see the *Societal commitment* chapter).

Regarding affordability, La Banque Postale reasserts its policy of moderate prices and customer service. As a bank that works in the best interest of the community at large, La Banque Postale has chosen to apply reasonable rates, i.e. rates that cover the costs inherent in a sustainable high-quality service and solid coverage of its customers' essential needs, while ensuring a reasonable margin for the Bank to finance its expansion. La Banque Postale is thus one of the least expensive major retail banks.

Regarding the accessibility of its banking product offer, La Banque Postale offers the lowest thresholds of accessibility to its products on the market.

La Banque Postale allows every French resident, including the most impoverished, to have a bank account for domiciliation of their income, withdrawing cash and issuing payment orders at its counters. As part of this public service and banking accessibility mission, the bank is therefore obliged to open a **Livret A** account "for any person who requests it" and to allow deposits and withdrawals to be made with a minimum of €1.50 on such accounts (compared to €10 at other banks). It is used by over 2 million customers and is the only pre-banking offer available in France.

At the end of 2017, almost 50.5% of La Banque Postale's Livret A accounts held by individuals, i.e. more than 7.8 million accounts, had an average balance of less than €150. These accounts, which amount to only 0.3% of deposits outstanding, nonetheless generate very substantial management costs because they are amongst the most used savings accounts, accounting for more than 47% of the transactions made on Livret A accounts. On 24 October 2017, the European Commission approved the public service compensation granted to La Banque Postale in order to guarantee accessibility to Livret A banking. The European Commission considered that the public financing granted by France to La Banque Postale from 2015 to 2020, intended to improve banking accessibility, is compliant with EU regulations in terms of State aid.



Moreover, La Banque Postale has always promoted access to accounts and basic banking services for financially vulnerable populations. It offers them a range of alternative payments to cheques, the **Formule de Compte Simplicité** ("easy account option"). The Bank makes this offer to customers who have had their banking services suspended or have had a card suspended for misuse or over-indebtedness. Since October 2014, in accordance with the July 2013 Banking Act, it also offers it to customers in vulnerable situations who have had recurring payment incidents for three consecutive months. With this account option, it is possible to pay for purchases and settle invoices with a systematic authorisation card (the *Réalys* card), unlimited debits, two free bank cheques per month, and four free fund transfers per month, including one standing order. To facilitate management of their account, the customer receives a monthly statement online or by mail, online account management services, and a "balance" alert service via SMS, with three free alerts per month. In the event of an incident, the costs of rejection of debit and intervention fees are capped at five transactions each per month, at a special rate. The subscription to the *Formule de Compte Simplicité*, consistent with the Bank's moderate pricing policy, is below the ceiling provided for in the decree.

In line with current social challenges, La Banque Postale launched a nation-wide **digital banking inclusion plan** in 2017 across all channels. This project is a first in the banking sector and part of an unprecedented co-construction approach with a social player and digital specialist, *WeTechCare*. La Banque Postale wishes to work toward alternative solutions so that the digitalisation of banking and insurance services does not exclude any customers, notably those who are the furthest from the digital world. It has thus committed to carrying out digital support and educational actions to reduce the effects of the digital divide on accessibility to banking products and services. This plan concerns all customers, whether they are in a situation of full or partial digital exclusion. To implement this plan, La Banque Postale is supported by the team of the La Poste Network and *WeTechCare*, an association created by Emmaüs Connect, with

which it signed a partnership in 2017. It received 2nd prize at the Efma-Accenture DMI Awards for this initiative.

In addition, in January 2014, La Banque Postale launched a **frequent-authorisation Visa card** in response to the needs of the greatest number of customers. This card provides access to services such as insurance and roadside assistance, and to the payment and withdrawal caps of a conventional Visa card. It also makes it possible to pay into revenue collection systems (motorway tolls and some car parks), which do not accept the *Réalys* card (systematic authorisation).

With more extensive services but maintaining risk control, this card is a real innovation allowing adaptation to customers' use.

Lastly, since April 2013, La Banque Postale has offered the **Protectys Card**, the first prepaid and rechargeable bank card for protected adult customers or their legal representatives. This international Visa card, when used with a PIN code, allows withdrawals and payments to be made within the limits of a weekly amount set by the legal representative. In addition, an alert system keeps the representative, as well as the protected adult, informed of the amounts used. In addition to simplifying management of everyday expenses and budgets, all transactions can be very clearly followed. More than one protected adult in four has an account with La Banque Postale: this new card therefore makes a real difference and has no equivalent with the competition. At the end of 2017, 5,117 Protectys Cards had been distributed (versus 3,900 at the end of 2016); they represent 4.8% of the total number of prepaid cards issued.

Since 2016, La Banque Postale has set up five agencies for protected adult customers. Close to 150 employees carry out transactions for legally protected customers. These agencies liaise with the main institutional and professional players (associations, etc.).

Facilitating access to credit

La Banque Postale also promotes access to credit for **customers on a modest budget**, while remaining extremely vigilant regarding the solvency of its borrowers. It offers responsible credit with follow-up and guidance aimed at protecting the customer, and within this mode of operation unique to the Bank, it grants home loans and consumer loans, which can be either instalment or revolving loans.

Regarding **home loans**, La Banque Postale enables young people under the age of 36 to obtain a home loan without having to make a down payment. Although it is extremely demanding with regard to the solvency of loan applicants, it has also broadened access to credit via an offering of **loans providing access to social home ownership (prêts d'accès sociale à la propriété)**. With this offer, introduced at the end of 2012 in response to the needs of its customers, La Banque Postale has helped more than 100,000 customers obtain access to home ownership. In 2017 La Banque Postale granted €2.2 billion in social home ownership loans. At the end of 2017, La Banque Postale had 227 partners, a large majority of which are social housing associations.

At the end of 2017, the monthly household income for 22.2% of home loans applicants was less than two net minimum monthly wages, which represents over 18,000 people on very low incomes who were helped to acquire their homes.

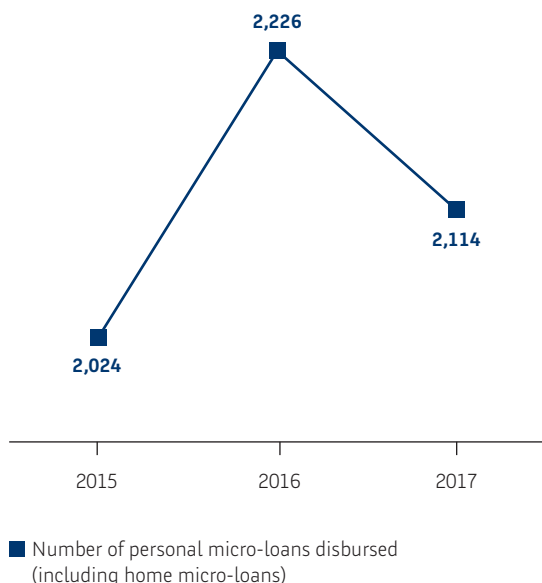
La Banque Postale Financement also offers some of the lowest interest **consumer loans** on the market with accessible durations and financing amounts: personal loans (car loans, loans for construction and renovation, projects) loan refinancing, loans for young people, and temporary workers.

With personal student loans, apprenticeship loans and "1 euro driving licence" loans, La Banque Postale also responds to the specific needs of young people.

The personal loan for temporary workers enables La Banque Postale Financement to fulfil its role as a bank that works in the best interest of the community at large by offering financing to customers often excluded from other organisations.

Since February 2014, La Banque Postale has gone even further: via the La Banque Postale Financement platform for people who have been refused personal loans. The **assisted microcredit** mechanism is intended for customers suffering from banking exclusion because of low solvency levels. They are either directed to the platform of the Credit Municipal de Paris, a partner of the La Banque Postale (for Île-de-France customers), or to the www.france-microcredit.org website, for other customers, where they can identify the microcredit financing partner closest to their place of residence. Since 2007, La Banque Postale has offered **personal microcredit** in partnership with local associations, which are responsible for detecting and assisting projects for private individuals who suffer from bank exclusion due to low solvency (examples of partner associations: Secours Catholique, UDAF, Croix-Rouge française, Les Restaurants du Cœur, etc.). In 2017, there were 146 active partnerships with social assistance organisations in 70 French regional departments. In 2017, 2,114 personal micro-loans were paid out (-5% in one year). This slight decrease was due to a reorganisation of employee missions and of the Bank's national loan centre, making 2017 a transition year toward a new form of commitment to personal microcredit by La Banque Postale. In March 2017, La Banque Postale signed a sponsorship agreement with microfinance institution Créa-Sol, providing this actor of the social and solidarity economy with the means to replicate the Bank's personal microcredit distribution model by adding new technological means, thus guaranteeing response times that better meet the urgent expectations of the beneficiaries.

In all, since 2007, La Banque Postale has disbursed 12,404 personal micro-loans for a total amount of €29.7 million, maintaining its market share at 10% in 2017, according to provisional data from the Caisse des dépôts et consignations (CDC).



Since August 2013, La Banque Postale has received the authorisation of the *Fonds de cohésion sociale* ("social cohesion fund") to finance, via **personal micro-loans, the Précarité énergétique (fuel poverty) projects**. Granted for a maximum amount of €10,000 for a maximum period of 72 months, this personal micro-loan is aimed at financing work that reduces a home's fuel poverty, adaptation or accessibility renovation work on a home occupied by an elderly or disabled person, and slum clearance work. In 2017, 52 non-profit associations worked with the Bank to develop this type of financing across partnership agreements covering 33 departments. La Banque Postale has been particularly active in proposing a wider financing offer to renovate homes with fuel poverty. La Banque Postale financed 30 between 2015 and 2017.

Since 2012, La Banque Postale has offered **business micro-loans** in partnership with ADIE. This non-profit association, which is a specialist in aid for entrepreneurs, contributes its expertise to train the Bank's advisors in providing assistance to these project leaders. The two partners are especially interested in financially vulnerable customers residing in deprived urban areas who want to lead a project. The goal is to help people excluded from the labour market and having no access to bank loans to set up their business thanks to a small loan over a short period of time. La Banque Postale customers in search of this financing are identified in post office branches and, since 2014, also via La Banque Postale's Online Bank in Châlons-en-Champagne, which directs them to ADIE's national phone platform in Roubaix, so that the association can assist them with their career plan. Since the introduction of this partnership, around 2,000 microentrepreneurs have been assisted and more than 420 have been able to complete their projects thanks to ADIE financing. Also, since 2015, account managers have received ADIE training in promoting entrepreneurship. By offering appropriate financing solutions with a benchmark non-profit association, La Banque Postale combats banking exclusion in a concrete manner and fully plays its role with small business operators.

6.2.1.2 Responsible customer relations

The welcome given to customers, customer management and quality of service are perfectly in line with La Banque Postale's "civic-minded bank" strategy. A responsible customer relationship is a relationship based on quality advice, ensured by an appropriate counselling method and customer-focused commercial management and advisor remuneration. Responsible practices are implemented in all circumstances and throughout the banking relationship: confidence, support, follow-up and transparency.

Appropriate and responsible counselling

The counselling method is based on La Banque Postale's professional ethics handbook (see the section on *Management of Extra-Financial Risks*), which clearly emphasises the importance of responsible sales practices. In addition, La Banque Postale's semantic guide reflects its fundamentals and its values, and enforces clear, simple, and transparent marketing pitches.

Since its creation in 2006, La Banque Postale has ensured that its products are adapted to the personal circumstances and needs of its customers. The **7G sales method**, recognised by the extra-financial rating agencies, has thus structured the customer-advisor relationship. After modifications in 2012 and 2015 to improve customer discovery and the quality of the advice, the 7G method was revised again in 2016 in accordance with 3 themes. It is single method for all types of interviews incorporating new tools and all contact channels (physical or remote) and is adapted to all kinds/profiles of customer. The 2017 7G method is based on a long term customer relationship, through exhaustive customer knowledge, which is regularly updated to take the needs detected into account.

Lastly it is a customisable method which permits better customer knowledge during preparation, responsiveness, and the adaptation of the interview to the customer's needs, and the integration of new customer relationship tools. Close to 9,900 advisors and all managers were trained on the 7G 2017 method between January and April 2017.

In parallel, La Banque Postale has changed its **home loan distribution model**: thus, in addition to the existing 690 specialist loan advisors and property management departments, 4,000 general advisors and all managers were trained in 2017. The European Mortgage Credit Directive also provided a basis for La Banque Postale to offer its customers even more professional advice.

Upstream, La Banque Postale pays close attention to the way in which it promotes its products to its customers, using clear, and informative communication material: instruction manuals, videos, essentials, guides, etc. The various communication campaigns based on transparency, simplicity and clarity contribute to building a long-term, quality relationship right from the start. A property guide is available on La Banque Postale's website and is updated regularly so that all customers may stay informed.

Lastly the quality of the advice and the development of a lasting relationship are based on a **commercial management system** which is focused on accompanying advisors and a **variable system of remuneration** based on the attainment of individual and collective goals. In 2017, La Banque Postale made changes to the variable remuneration system applicable to advisors, by adopting a remuneration method which is based, equally, on the team's Group performance and the quality of each employee's contribution to the team's results. Our advisors commit to these objectives every year in a Performance Contract and their progress is assessed three times a year during assessment interviews with their managers. This contract is focused on collective quantitative targets and individual qualitative targets:

- ▶ the collective targets are aimed at improving the results which are the fruit of the synergies and the collective efforts of the advisors;
- ▶ individual quantitative targets are focused on our shared strategic priorities: Improvement of the customer relationship, increasing sales, risk control and compliance.

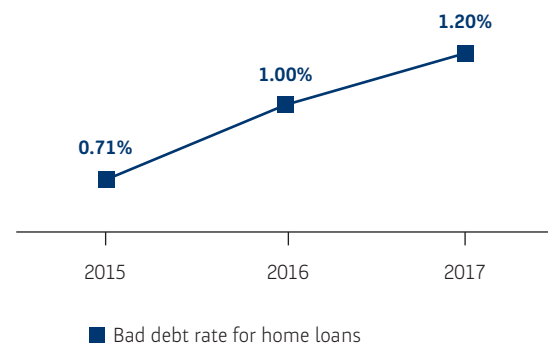
On 17 December 2014, the Bank signed a labour agreement for its bank marketing line with the trade unions. In force as of 1 January 2015, the agreement embodies La Banque Postale's commitment to developing its advisory role, while guarding against the risk of bad advice that could result from a situation where variable remuneration forms too significant a portion of total remuneration. Extended to end-2019, it confirms La Banque Postale's will to accompany its advisors in a responsible customer relationship.

La Banque Postale is pursuing its ambition, through these different changes, of having a remuneration system which corresponds to its principles of quality of advice and a lasting relationship with its customers.

Signing and follow-up of the contract: prudent risk management, regular monitoring, prevention of over-indebtedness

The signing of a product contract and its subsequent monitoring are crucial stages in building a responsible customer relationship. Prudent risk management and regularly monitoring the customer's situation are thus essential.

For example, in the commercialisation of a **home loan** offer, the advisors carry out a personalised study of the real estate transaction and consider the acquisition project within a comprehensive approach (taking into consideration the remaining disposable income, eligibility for home savings schemes, etc.). Thanks to appropriate advisory services and an objective analysis of customers' situations, La Banque Postale's rate of non-performing loans remains among the lowest on the market (1.2% as of 30 November 2017 versus 1% as of 31 December 2016 and close to 2% for the market average at the end of 2016), while managed outstanding loans exceeded €53,240 million at end-2017.



La Banque Postale's bad debt rate remains one of the lowest in the market (nearly 2% on average for the market at the end of 2016).

The criteria for granting **consumer loans** are demanding and based on a strict policy and prudent risk management to prevent customer over-indebtedness. Since its creation, La Banque Postale Financement has placed the prevention of over-indebtedness and assisting its customers at the heart of its approach as a responsible lender. For this purpose, it designed and established a comprehensive and coherent system for preventing over-indebtedness, coming into play during the lending stage and continuing throughout the contract period. The guidelines are intended to anticipate and identify potential financial difficulties to be in a position to act early and provide support:

- ▶ **as part of the procedure for granting a personal loan**, La Banque Postale Financement calculates the customer's repayment capacity based on the documents provided. Revenue and expenses are set out in the loan agreement signed by the customer. The customer's history is also taken into account when granting a loan;
- ▶ **throughout the duration of the loan**, La Banque Postale remains vigilant under its customer relations management scheme in order to detect any signs of financial difficulty as early as possible. To this effect, all the advisors in the Customer Relations Centre of La Banque Postale Financement are trained in detecting signs of financial vulnerability;
- ▶ **as part of the customer relationship**, on each contract anniversary date, the borrower is offered a budget assessment to update his/her situation and check that it corresponds to the outstanding loan. These personalised assessments between the advisor and the customer allow a verification of his/her financial position and administrative data and if necessary, the adjustment of the monthly repayment.

Revolving credits have become widespread since the redefinition of revolving credit by the Hamon Act of 17 March 2014 which improves customer protection. This offer now forms an integral part of La Banque Postale's range of consumer loans.

Positioned between an overdraft facility and a personal loan, it enables customers to cope with temporary cash flow shortfalls and unexpected expenses, or carry out small projects under well-managed conditions. Moreover, the Extension Option, which can be activated or deactivated at any time via phone or internet, makes it possible to credit the CCP post office account if the overdraft facility is exceeded.

The evolving credit offer sets itself apart by its simplicity and its responsible nature: one of the lowest interest rates on the market, different speeds of repayment including an accelerated speed (30% quicker than the statutory obligation), a partial or total early repayment option without costs, at any time by telephone or internet.

In keeping with the Bank's values, this offer is clear, detailed, transparent and responsible. It is entirely based on knowledge of the customer, developed through the quality of the banking relationship. Indeed, preventing over indebtedness has been a core concern in the designing of this offer. The offer is accordingly reserved for customers of La Banque Postale having a Compte Courant Postal (CCP — post office bank account). It is offered mainly in Post Office branches, following a detailed examination of the customer's expenses and income. An introductory guide setting out the good and bad uses of revolving credit is also available to customers.

Customers also receive comprehensive information throughout the term of their loan, through a dedicated account statement, real-time information and SMS/e-mail alerts.

Lastly, to identify any financial difficulty, an annual budget assessment is offered to all customers and special assistance is always available in the event of hard times.

Assistance to people undergoing financial difficulties

In parallel with its banking accessibility actions, La Banque Postale is very committed to assisting people undergoing financial difficulties. For this purpose, it now has an original scheme, set up with the help of non-profit associations involved in combating social exclusion, such as the French national union of communal social action centres (UNCCAS) and the regional chamber for social over-indebtedness (CRESUS).

In November 2013, La Banque Postale created "**L'Appui de La Banque Postale**", a banking and budgetary advisory and guidance platform accessible to customers via a unique toll-free number. This service has a dual purpose: firstly, assisting customers of La Banque Postale experiencing one-off or recurring financial difficulties, and, secondly, improving the prevention of financial difficulties. The account managers on this new platform assess the customer's spendable income after reviewing their budget to check for any non-conferred rights or to identify any cases of heavy indebtedness or over-indebtedness.

The account managers of the Appui platform are therefore able to propose contacts with partners or non-profit associations (CCAS, *Union départementale des associations familiales* (UDAF), *Fonds d'action sociale du travail temporaire* (FASTT), *Fondation agir contre l'exclusion* (FACE), etc.) to promote access to favourable rights or rates; and to address situations of excessive debt with credit institutions specialised in restructuring or refinancing loans, such as La Banque Postale Financement, or for situations of over-indebtedness with CRESUS. Finally, under certain conditions, the platform can provide access to social offers suited to the needs of customers in difficult financial situations, developed by *Action Tank Entreprise et Pauvreté*.

By the end of December 2017, over 100,000 customers had been assisted and almost 40,000 had benefited from the full assistance of the Appui platform since the service was launched. La Banque Postale had an impact study of Appui carried out in 2017 by KIMSO. This study revealed that, for customers benefiting from this assistance, Appui had led to:

- ▶ a stabilisation of their budget in the short term, a slowdown of the deterioration over the long term compared to customers that had not benefited from full support

- ▶ awareness of the financial difficulty, demonstrating the preventive nature of the support
- ▶ better management of incidents, demonstrating the educational aspect of Appui
- ▶ more regular monitoring of accounts using digital tools
- ▶ awareness of the customer's ecosystem, enabling them to contact social bodies and associations

On 25 June 2014, *L'Appui* de La Banque Postale was selected among "15 solidarity involvement initiatives that are changing France". These initiatives are supported by the President of the Republic as part of the programme called *La France s'engage*. In November 2014, La Banque Postale was honoured by the website www.choisir-ma-banque.com, winning the special *Banque de tous* prize for 2015, notably thanks to *L'Appui* (<http://www.lestropheesdelabanque.com/#prixspeciaux>).

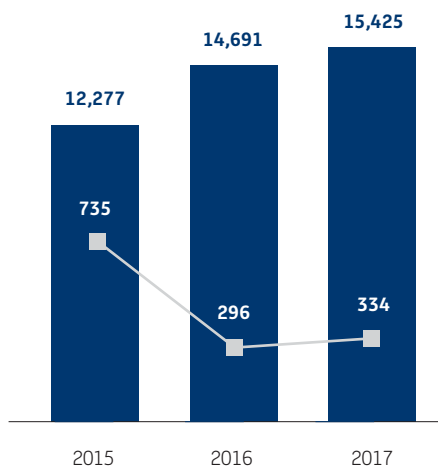
With the launch of the *L'Appui* platform, La Banque Postale, a **partner of CRESUS** since 2010 within the framework of the business of its specialist consumer lending subsidiary, thus strengthened its ties with this non-profit association recognised as a mission in the public interest. From now on, active customers of La Banque Postale undergoing financial difficulties associated with heavy indebtedness or over-indebtedness and who cannot be effectively assisted by the *L'Appui* platform will be directed to the non-profit association CRESUS. This organisation will provide intermediation support with various creditors to obtain coordinated and long-lasting adjustments as well as social and economic assistance for the customer's financial recovery. This collaboration was developed as part of a partnership agreement between La Banque Postale and CRESUS, signed in December 2013.

In November 2015, the French data protection authority (CNIL) approved the general outline of the proposed trial of the platform and authorised La Banque Postale to extend the scope of its *L'Appui* actions to all Bank customers experiencing temporary or more long-term financial difficulties and to all of its contact channels. At end-2017 the *L'Appui* team had grown to 38 employees, all of them trained in providing support for customers with limited budgets. The scope of *L'Appui* also extends to La Banque Postale customers in the French overseas departments.

Furthermore, the customer support by the Appui platform is complimentary to the **Budget Advice Points** experiment launched in 2016. La Banque Postale concluded an agreement with the Crédit Municipal de Paris to test its support as a level 2 Budget Advice Point for 2017.

As part of its consumer lending and revolving credit business since 2012, La Banque Postale Financement has established a **two-level support system** in order to monitor customers encountering financial difficulties:

- ▶ a **support unit**, dedicated to vulnerable customers who accept specific monitoring based on listening and education, was established when this activity was launched. With the help of the customer, the advisor carries out a detailed analysis of the person's financial situation and difficulties, draws up a diagnostic to guide the customer towards loan restructuring or loan consolidation, or more comprehensive support if needed. Regular meetings are scheduled to ensure on-going monitoring;
- ▶ La Banque Postale Financement also set up a **preferred partnership with L'Appui** to provide guidance for heavily indebted customers, based on loan consolidation applications rejected by the loan application unit at the Customer Relations Centre.



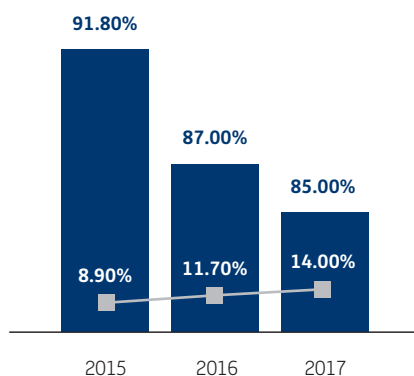
■ Number of customers receiving support from CRESUS during the year
■ Number of customers supported by L'Appui

In addition, in 2017 La Banque Postale dedicated its expert teams to handling and supporting specific types of customers:

- ▶ Over-indebted customers (36 employees) or with *droit au compte* status (right to an account granted by the Banque de France) (9 employees).
- ▶ Customers benefiting from protection measures (*Agences Majeurs Protégés* – branches for protected adult customers, 150 employees in 5 branches).

Listening to customers

Quality of service is a major **lever to ensure customer satisfaction and loyalty**. Various tools make it possible to monitor changes in the quality of service delivered. **National satisfaction surveys** were conducted. Thus in 2017 the customer satisfaction rate was 85% (with 29% of customers “very satisfied”) and the rate of complaining customers was 14%. Lastly, in terms of image, La Banque Postale has maintained its leading position on rates and geographical proximity.



■ Customer satisfaction rate
■ Customer claims rate

Continual improvement in remote customer relations

A certain number of measures were implemented as a solution to these lower results, notably in terms of **listening to customers and handling complaints**. More than 350 employees handle customer complaints on a daily basis, firstly at the Financial Centres. If the

customer is not happy with the outcome, they may write to the appeals department for a second review of their complaint. In 2017, 69% of claims were processed within 10 days. Since 2013, the claims activity has been structured to comply with the regulatory obligations of the ACPR⁽¹⁾, leading to greater visibility on “where and how to file a complaint”, in particular with the creation of a new level of referral, the “appeals” service, and the modification of the Mediator’s Charter. The process of handling and following up claims was standardised across all business lines and products. At the same time, an analysis of the causes of complaints led to the implementation of action plans to eradicate failures and bad practices and make sure the same problems do not happen again. All of these projects contribute to improving the quality of service for our customers. At the end of 2017, the six Customer Solutions Departments, all of the same size and fully integrated into Financial Centres, were given the task of managing customer dissatisfaction and proposing mutually advantageous solutions for a renewed and lasting relationship. At the same time, work was done to simplify the customer journey with regard to the complaints process, with a focus on data sharing across all channels between the customer and other parties involved, on the one hand with the Customer Advisor, and on the other through the digital applications of La Banque Postale.

In post offices

Since 2014, the La Poste Network **has improved its system for responding to complaints relating to the reception at post offices**. The 19 drafters of the customer complaints service – CRC (*Centre Relation Clients*) *Réclamations* – have been trained in a new method of writing and calls to customers to enable the complaints to be handled more reactively. New tools to measure the quality delivered and perceived have also been created. Firstly, the response quality is measured every quarter, based on an evaluation grid consisting of 10 criteria that enable to assess the substance and form of the responses. The results of this measurement reveal a rate of compliance with writing standards of over 90%, and are provided per employee; they are entry points for actions to develop the skills of the drafters. Secondly, a satisfaction questionnaire enables to measure the perceived quality post-handling of the complaint.

Lastly, in November 2017, the Network’s Customer Relations Centre received certification for the scope of complaints handling, in order to strengthen the quality approach standard NF 345 already acquired by the telephone service.

Other systems have been established by the Network to improve the quality of service:

- ▶ the quality measuring systems established by the Network Quality department and the Operations department were enhanced, to supplement and refine the insights obtained from the customer satisfaction indices and optimise management control over the fundamentals of quality of service;
- ▶ assessment of the bank advisor: reception, responsiveness and effectiveness of the advisor;
- ▶ measuring phone accessibility;
- ▶ the perceived service: customer feedback systems designed to go further with customers, gain in-depth knowledge of their perceptions and to re-contact them if they so wish. Customers can directly express their views regarding their satisfaction, enabling La Banque Postale to optimise the fluidity of circuits from end to end;
- ▶ since 2017, **satisfaction points** have been deployed in 450 offices, where customers can express their level of satisfaction to “expert advisors” directly following their contact point experience.

(1) *Autorité de contrôle prudentiel et de Résolution (ACPR – the French Prudential Supervision and Resolution Authority).*

Via social networks

La Banque Postale is close to its customers, including on social media. With presence on Facebook, Twitter, Instagram and YouTube, it proposes a personalised relationship providing after sales service and broadcasts innovative, educational and engaging content.

Thanks to the quality of its **digital customer relations**, La Banque Postale, along with the Liv'Lab team of the La Poste Group, was awarded "Best digital team" in 2017 by the French Customer Relations Association AFRC (*L'Association Française de la Relation Client*). More than 1,600 customer issues are handled each month, ensuring that customer satisfaction is measured and improved on a daily basis.

La Banque Postale is the **No. 1 bank when it comes to answering the questions of web users about money** by publishing educational and humorous videos on its YouTube channel presented by the "Le Tatou" Youtubers.

The web series *Comme le disent les gens* ("That's what people say") was once again honoured in 2017 for its fourth season and received two *Grand Prix Communication et Entreprise* awards: for the best external advertising (*Meilleure publication externe*) and brand content (*Prix d'honneur du Brand Content*).

Participative innovation: a lever to continually improve customer relations

Since January 2017, the *department Direction de l'Expérience Client du Réseau* (the Network Customer Experience Management division) of La Poste and La Banque Postale has provided its employees with a **shared participative platform** in order to improve the experience of both customers and employees. The *Ensemble vos idées* platform enables 16,000 employees to share their ideas and good practices, thereby contributing to customer satisfaction. In 2017, 1,500 ideas were shared via 17 regional challenges and 5 national challenges organised around thematic issues relating to the La Poste network.

Concerning good practices in banking customer relations, employees were thereby able to suggest best practices for assisting new account managers in their daily tasks (implementing efficient client journeys in post offices, enhancing skills, use of new internal tools, etc.), the organisation of evening events on wealth management themes (such as inheritance): follow-up meetings, chequebook orders, etc., thus giving advisors relevant information for their customers.

Lastly, in 2017, La Banque Postale launched a new **collaborative and inclusive initiative: the LABs**. The objective of this new approach is to work with people who work in customer relations on a daily basis at the operational level, on levers for qualitative and quantitative performance. This approach, which is implemented by the Customer Services Divisions of the Sales Departments and Financial Centres, enables to explore different territories such as the daily practices of account managers, managerial practices, the processes and organisation of activities. The main key is *co-design* with account managers and local managers, which is essential for the commitment and participation of all in the context of a major transformation of La Banque Postale. Everyone who is part of this approach joins in the thought process for improving customer satisfaction, from building new operational solutions to identifying and sharing good practices. This commitment approach reveals the implication and symmetry of efforts. In partnership with the École de la Banque et du Réseau, this collaborative and iterative approach characteristic of these laboratories stands out from hierarchical working methods", in moving from the symptom to the idea and then to experimenting, giving meaning and action to those providing Front Office services. This positive experience, both for account managers and their local managers, was replicated in the centres of Marseilles, Montpellier, Lyon, Grenoble and Nancy. In 2018, other LABs are set to be launched: in March in the Financial Centre of Clermont Ferrand with the Network and in April in the Financial Centre of Nantes.

Responsible marketing data protection policy

The **Marketing Ethics Charter governing how banking, financial and insurance products are marketed** is the basis of La Banque Postale's responsible marketing and client **data protection** policy. La Banque Postale's data protection and freedom policy is overseen by a dedicated individual, the Personal Data Protection Officer, or *Correspondant Informatique et Libertés* (CIL), who ensures that the Bank's marketing (and internal) procedures, do not infringe the main principles of protecting its customers' right to privacy. In 2016 La Banque Postale's data policy was strengthened by the formalisation of the **Data charter**, consisting of six commitments, at the Group level, making it a reference in terms of ethics in the digital sector.

The training provided to La Banque Postale advisors includes a course on knowledge of the customer and compliance with data confidentiality. The general conditions of sale for post office bank accounts, savings and online banking also include terms and conditions relating to customers' confidential information.

La Banque Postale's marketing procedures that refer to access to products and services require employees to accurately enter information in the Customer Relations File tool. Good customer knowledge helps to prevent abusive canvassing to concentrate on customers' actual needs.

The security section on our website labanquepostale.com provides information for all users on best practices and how to ensure the security of personal data when managing accounts online. The legal information section on the site sets out our policy for protecting all our users' data.

With regard to **mass marketing**, La Banque Postale's sales and solicitation practices are based on processes that define the eligibility of customers targeted by marketing campaigns and the degree of commercial pressure by distribution channel. The Bank has an array of tools, such as its Marketing Plan and Customer Dictionary, to help define marketing and solicitation strategies suited to every customer segment, thereby avoiding blanket mass marketing campaigns and fruitless canvassing of customers.

The marketing procedures followed by the post office network include the **facility for customers to unsubscribe from La Banque Postale's marketing efforts**. The same principles apply to digital marketing, where our data protection policy explicitly mentions:

- ▶ general information on the use of cookies and collection of information on the labanquepostale.fr website: the generic message is displayed to all users the first time they visit the La Banque Postale site. It reappears for users who deleted their cookies before returning to the site. Clicking on the message brings up all the required information and the process for accepting or rejecting cookies;
- ▶ how to access the general legal notices that can be consulted at the bottom of any page on the site: these legal notices include a specific paragraph on the use of customer data and cookies;
- ▶ information on the unsubscribe link for our emails is given in all our newsletters to customers and opt-in prospects (who have agreed to prospecting) and our solicitation emails to customers or opt-in prospects;
- ▶ information on the customer section (where customers are logged in), where users can update their personal data and opt-in for sales prospecting directly from their customer space on labanquepostale.fr.

All of these legal notices have been approved by the Legal department and the French data protection authority (CIL).

All organisations are currently exposed to **cyber-attack risks**. La Banque Postale lends particular importance to mobilising all actors involved, and its employees, and foil any potential attacks. Sabotage, exfiltration of data, fraud, etc., misuse of funds stemming from an external IT attacks comes in many forms. To provide support for dealing with this societal concern, La Banque Postale carried out several actions, notably an awareness-raising campaign with respect to malicious e-mails (from September to November 2017). Real-scale training to make sure that employees do not accidentally click on malicious e-mails sent by cybercriminals. In parallel, the Le Groupe La Poste raises the awareness of its employees about the risks linked to the use of the web by circulating 10 golden rules to be adopted to communicate good practices in terms of cyber-protection. La Banque Postale also organised a conference debate in January 2018. This was an opportunity to review the good practices recorded in the AFNOR guide to understand, prevent and handle new cyber threats.

6.2.1.3 Responsible offering

La Banque Postale is committed to proposing to its customers a simple, clear and responsible offering of products and services, focused on essentials, at an affordable price.

ESG Checklist: systematic incorporation of ESG criteria

Since June 2009, La Banque Postale has made sure that environmental, social and governance (ESG) criteria are systematically taken into account in the design of its range of products and services. It therefore has set up an **ESG checklist**: a tool that sets out the Bank's five founding values (accessibility, performance, difference, responsibility, cohesion) through 19 ESG fundamentals for La Banque Postale (e.g.: ethical advice, transparency, simplicity, clarity, fight against climate change, fight against tax evasion).

Following the set-up of the tool, the product managers were trained in its use. They are thus aware of the main CSR requirements.

The ESG checklist is supervised by the Compliance Department, which ensures that it is present in each product file presented to the *Product Review committee* (Comité d'Examen des Produits - CEP). In 2017 La Banque Postale held 31 *Product Review committee* meetings. All of La Banque Postale's new products must therefore meet extra-financial criteria covering their design, distribution and customer support.

In addition to systematically integrating ESG criteria into its offering, right from its design phase, La Banque Postale also offers products that enable true civic commitment on the part of its customers.

Offers promoting the energy transition

For the COP21 in Paris at the end of 2015, La Banque Postale launched an offer of loans tailored to private individuals, legal entities and local authority players committed to the energy transition. This offer became permanent in 2016 and 2017.

Thus, to accompany individuals in their commitment to the energy transition, La Banque Postale offers a **"Green range"** (*Gamme verte*) with interest-free eco loans (Eco PTZ), a "green" home improvement loan to improve energy efficiency, "green" loans for the purchase of electric or hybrid vehicles (for cars, as well as for bicycles, motorcycles, and even electric scooters), together with a dedicated insurance product. To encourage its private customers to embrace environmental issues, La Banque Postale is committed to offering advantageous terms on these loans.

In terms of savings products, La Banque Postale offers a solution favouring the energy transition through its thematic **SRI fund "LBPAM**

Responsable Actions Environnement". This fund is invested specifically in European companies in the environmental sector committed to sustainable development and energy transition. This fund was also awarded the **government "TEEC" label** (*Transition Énergétique et Écologique pour le climat*, "energy and ecological transition for the climate") in January 2017 and the **"ISR public" label** (government SRI label) in September 2017.

In 2017, La Banque Postale became the market's leading lender to local authorities and public hospitals with €6.5 billion of loans granted. A large number of the projects financed concern the energy transition, which the public sector bodies are responsible for: new buildings, renovation of public buildings, rehabilitation of social housing estates, clean transport, etc. For example, La Banque Postale financed the greater Avignon tramway for €61 million, as well as the extension of the tramway lines in Strasbourg.

For businesses, the Bank offers a range of financing solutions, including clean vehicle fleet leasing. It is also active in funding many specialist renewable energy companies in the photovoltaic, wind energy and other sectors. The creation in 2017 of a team dedicated to the financing of renewable energies within the financing and investment business enabled the Bank to structure its efforts in this respect. In two years, more than a billion euros was disbursed to finance projects favouring the energy transition.

Solidarity financing offers

As a bank that works in the best interest of the community at large, La Banque Postale also offers its customers the possibility to invest in solidarity financing. The **"Intérêts Solidaires" service**, which allows customers to transfer all or part of the interest from a passbook savings account (Livret A account, Sustainable Development account (LDD) or National Savings account (LEP)) to one of the 11 non-profit associations that are members of the "Initiative against banking exclusion" think tank, which the Bank is a founding member of (see section on *Promoting access for all to financial products and services in the Economic Commitment* chapter). It supports this solidarity initiative by making a 10% contribution to the amount of their donation. This service was awarded Finansol certification in 2015. La Banque Postale is the first financial institution to obtain Finansol certification for a service.

La Banque Postale also offers private individuals the opportunity to combine financial investment and social commitment, via the *ISR Investir Autrement* (SRI alternative investing) offer. La Banque Postale notably offers **three solidarity funds** in this range so customers can use their savings to support organisations with high social value. LBPAM Responsable Actions Solidaire and Décisiel Responsable Actions 70 Solidaire (employee savings funds) have a part of their savings deposits (5 to 10%) invested directly in the capital of organisations which promote insertion through employment or housing. Half of the income generated by the Libertés & Solidarité Fund is paid in the form of a donation to the International Federation for Human Rights, an international NGO with 184 organisations in 112 countries. These three funds have received the **Finansol label** for their transparency and true solidarity.

As part of its partnership with the Pasteur Institute, BPE, La Banque Postale's private bank, offers its high-net worth customers BPE Altruïs, which combines card payments with donations: each payment above €20, irrespective of the amount of the transaction, generates a donation of an amount that is fixed in advance by the customer (€0.50, €1 or €2). The donation is automatically paid to the Pasteur Institute every month by debiting the card holder's account. In 2017, BPE's customers paid more than €29,000 to the Pasteur Institute.

The Banque Postale also supports the non-profit association *Solidarité Sida* and UNICEF by offering customers affinity payment cards.

Offers with social added value

The **Livret A** account helps to finance social housing and is consistent with the principle of banking accessibility for all. Through **personal micro-loans**, customers who would generally be excluded from bank credit can obtain loans for amounts from €300 to €3,000 and up to €10,000 for **entrepreneurial micro-loans**. In August 2013, La Banque Postale also received the authorisation of the Social Cohesion Fund to grant the new *Précarité énergétique* ("fuel poverty") personal micro-loans (home micro-loans) allowing customers to borrow up to €10,000. The "Compte Simplicité" **option** provides an alternative to payment by cheque (see the section on *Banking Accessibility*).

Responsible asset management

In keeping with its signature brand, a bank that works in the best interest of the community at large, La Banque Postale is committed to responsible asset management.

In 2013, a Responsible Asset Management Committee was set up. Its goal is to recommend and implement programmes for **integrating extra-financial criteria into La Banque Postale's asset management business lines** to make them a factor for differentiation, performance, risk management and reputation. Chaired by Daniel Roy, a member of the Bank's Executive Committee and Chairman of La Banque Postale Asset Management (LBPAM), the committee's members also include all the Management directors of the asset management companies in La Banque Postale Group.

Direct application of the principles of sustainable development to asset management, **socially responsible investment (SRI)** is based on the integration of ESG (environmental, social and governance) criteria into investment decisions and portfolio management, in addition to financial criteria. In SRI management, companies are no longer selected solely on the basis of their ability to generate profit, but also for their ability to preserve natural resources for future generations, improve the working conditions of their employees and develop balanced relationships with all of their partners (customers, suppliers, shareholders, civil society). SRI strives to **reconcile performance with social and environmental impact**, encouraging companies to make societal responsibility a central part of their practices and strategies.

Therefore, La Banque Postale Asset Management (LBPAM), the main management Company in La Banque Postale Group, has made SRI one of its growth engines for satisfying its individual and institutional customers. SRI management applies to open-ended mutual funds marketed to individual and legal entity customers (FCPs, SICAVs), as well as to discretionary management on behalf of institutional investors such as insurance companies. For retail customers, in 2006 La Banque Postale launched the *Investir autrement* range, which meets the expectations of customers who are particularly sensitive to the issue of sustainable development and who wish to give meaning to their investments.

LBPAM developed an "SRI philosophy" around four themes after the merger with Fédérïs Gestion d'Actifs in 2016:

- ▶ support for the energy and ecological transition;
- ▶ regional development;
- ▶ sustainable resources management;
- ▶ responsible governance.

The SRI analysis of the LBPAM's teams aims to assess the alignment of the companies' strategies and practices with each of these four themes.

To bolster the credibility of its range and help it to stand out in an emerging SRI market, the Bank encourages subsidiaries to have funds evaluated by external agencies. Eleven SRI funds managed by LBPAM thus received the government SRI "**ISR public**" label in September 2017. Backed by the French ministry of economy and finance, this label is now the reference for SRI savings products for individual investors. It enables them to easily identify investments that favour sustainable development while targeting the same financial returns as with traditional products. The "ISR public" label provides further transparency with respect to the funds in which individual and institutional investors invest in. It also provides information concerning the impact of the environmental, social and governance management of the companies financed via the calculation of indicators. Among these 11 funds awarded with the label, five belong to the *Investir autrement* range: LBPAM Responsable Actions Euro, LBPAM Responsable Actions Europe, LBPAM Responsable Actions Environnement, LBPAM Responsable Actions Solidaire, Libertés et Solidarité.

Also meeting customers' expectations with regard to **solidarity-based financing**, two of the *Investir autrement* funds (LBPAM Responsable Actions Solidaire, Libertés et Solidarité) received the **Finansol label**, which has recognised solidarity-based savings investments since 1997.

Moreover, to promote these responsible solutions, every year La Banque Postale takes part in the **Responsible Finance Week** (formerly SRI Week), during which it offers its customers and advisors information and promotional materials for its *Investir autrement* range. Equally, during their initial training after being appointed, advisors receive training on SRI funds in order to reinforce their understanding of these products.

Applying ESG criteria can have a different impact on investment decisions and the composition of funds depending on the asset class, customers' expectations and the strategy adopted. SRI assets are therefore divided into three categories established by Novethic, the SRI research centre of the Caisse des dépôts, in order to differentiate between these different cases:

- ▶ conviction SRI;
- ▶ significant impact SRI;
- ▶ moderate impact SRI.

Conviction SRI

- ▶ Best in class selection approach, eliminating 50% of the investment universe
- ▶ Best in universe selection approach, eliminating over 25% of securities
- ▶ Thematic investments

Significant impact SRI

- ▶ Assets managed using a financial valuation or best in class selection, eliminating between 25% and 50% of the investment universe.

Moderate impact SRI

- ▶ Assets to which ESG constraints are applied and for which less than 25% of securities are eliminated for ESG criteria

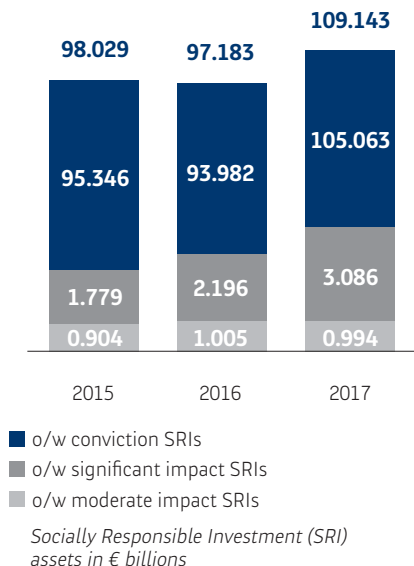
2017 was marked by a strong increase in inflows into thematic investments. The LBPAM Responsable Actions Environnement fund therefore benefited from growing interest in the climate by individual investors and Article 173 of the Energy Transition Act, which encourages institutional investors to make a greater commitment to fighting climate change. The assets under management of this fund

increased by 42% over the year, reaching €127 million at end-2017. This fund was also awarded the **government TEEC label** (*Transition Énergétique et Écologique pour le Climat*, "Energy and Ecological Transition for the Climate" label) in January 2017. Backed by the French ministry of economy and finance, the TEEC label guarantees that investments are geared toward **financing the ecological and**

energy transition. The LBPAM Responsable Actions Environnement fund was one of the only three funds in France with the TEEC label at 31 December 2017.

Total SRI assets under management increased by 12% in 2017, reaching €109.14 billion at end-2017, i.e. 50% of total AUM. Conviction SRI assets grew the strongest, rising from €2.2 billion at end-2016 to 3.1 billion at end-2017, i.e. a 41% increase.

This growth in SRI assets under management can be explained by the favourable trend of equity markets and positive net inflows in 2017, notably to SRI equity funds.



In addition to SRI assets, LBPAM has implemented actions to encourage the application of ESG criteria to all assets under management:

- ▶ beyond the obligation to exclude companies suspected of involvement in controversial weapons (anti-personnel mines, cluster bombs) from all the portfolios, apart from those under index-based management (but no investment was made in the companies concerned in 2017), LBPAM extended this exclusion to all non-conventional weapons (biological, chemical, nuclear, depleted uranium, blinding laser, incendiary). 39 companies were on this list as at 31 December 2017;
- ▶ promoting the integration of extra-financial criteria to all research by circulating all SRI analyses and ratings to all the management teams: Daniel Roy, Chairman of the Executive Board of LBPAM, is one of the 27 notable people, including investors, managers, private, public and mutual insurers, and market infrastructures, having signed a call for the generalisation of extra-financial ratings. In a text published on 8 December 2017, the signatories invited issuers to communicate their ESG rating in addition to and in the same way that they communicate their financial rating. This text stated: "We have the conviction that social, environmental, ethical and governance factors constitute areas of risk that have an impact on credit quality and the valuation of companies and that they are drivers of future value creation".
- ▶ meetings with companies or the resolutions at certain general meetings are prepared between the managers and the SRI analysts.

Lastly, LBPAM has also established dialogue with issuers to encourage the improvement of ESG practices. LBPAM applies this "commitment" approach both individually and collaboratively, i.e. with other asset management companies, depending on the issues tackled (for example, the strategy to fight climate change for the energy sector, policy of access to medicine for the pharmaceutical sector, etc.). LBPAM actively plays its role as shareholder by exercising the voting rights attached to the UCITS managed, according to a single voting policy based on four aspects of analysis in its "SRI philosophy". In 2017, LBPAM extended its voting scope to the US and Canada. LBPAM took part in 384 AGMs of European and North American companies in 2017 (compared to 249 in 2016).

For the voting process, LBPAM gives priority to open and constructive discussion with the companies.

For further information on LBPAM's commitments, its methodology and voting policy, visit the web pages on this topic at www.labanquepostale-am.fr/isr.html.

Apart from the actions taken by LBPAM, all the asset management subsidiaries in the Group's Asset and Wealth Management Division reasserted their commitment to integrating extra-financial criteria. Since 2013, a **Responsible Asset Management Committee** has circulated the best practices on implementing ESG criteria to all asset management players. Its goal is to put forward and implement programmes for integrating extra-financial criteria common to all the asset management business lines of La Banque Postale in order to make these criteria a factor of differentiation, performance and profitability. This committee, which is chaired by Daniel Roy, Head of Asset Management Division and a member of the Bank's Executive Committee, includes all the heads of the asset management companies in La Banque Postale Group.

The United Nations **Principles for Responsible Investment (PRI)**, serving as a common base for the commitment of the Group's investment management companies, were signed by all the players concerned. After LBPAM in 2009 and Tocqueville Finance in 2012, BPE, the private banking subsidiary of La Banque Postale, signed them in 2013 (at the end of 2016, 32.5% of the assets under management of La Banque Postale's Private Banking division were ESG integrated, i.e. 100% of direct investments in securities).

La Banque Postale published a **sector policy on defence** in 2015, which aims to establish a framework for the Group's activities for this sector, which presents substantial ESG challenges (see the section on *Management of extra-financial risks*). The list of exclusions is updated by the Responsible Asset Management Committee, with the assistance of the extra-financial analysis teams of La Banque Postale Asset Management, who base their work on the database of an external service provider. It is then distributed to the relevant Group entities (Risk Department, Financial Transactions department, Corporate department, Asset Management Division).

Responsible insurance

La Banque Postale's insurance businesses fully comply with the CSR approach adopted by all Group business activities. La Banque Postale aims to offer insurance solutions corresponding to its socially responsible signature; through its remedial function, insurance plays an essential role in the life of its customers, especially those who are most vulnerable. The aim is to develop simple solutions, designed to protect all its customers in the event of difficulties, and on a sustainable basis.

Offers screened with the ESG checklist

The Insurance Division of La Banque Postale has trained its project managers in risk identification, specifically including an analysis of the Group's CSR objectives in this approach. These ESG criteria are also taken into account in selecting partners for the products distributed by La Banque Postale.

La Banque Postale Assurance IARD innovations

With its “green range”, launched at end-2015, La Banque Postale Assurance IARD promotes **eco-mobility** through an attractive insurance offer for green vehicles (electric or hybrid).

For vulnerable customers and young customers, La Banque Postale proposes a new approach. For customers who rent social housing, a simple offer based solely on the number of rooms and the address providing all the coverage of comprehensive home insurance at the fairest price. This offer is being tested with the *Plaine Commune Habitat* social housing organisation. An offer at competitive rates is being considered for the future, which would involve the lessor's teams both in appraising the damage and commissioning repairs. For young people/students under 25, La Banque Postale offers coverage for one-room studios for €5/month and one-bedroom lodgings for €8 euros/month, i.e a single rate and a simplified procedure for taking out a policy. This innovation enables young people to be insured without being subject to the rate differences of geographical areas that are usually more costly.

The idea for **Proxi-client** came from internal discussions within La Banque Postale Assurances, and its objective is to be more active when customers are faced with a dramatic event. The role of an insurance provider is to compensate victims, according to the damage incurred. Aware of the vulnerability of customers following an incident or traumatising event, the advisors contact them to listen to them and establish their physical and psychological state of health. Sometimes, the conversation reveals the need for the person to consult a psychologist. La Banque Postale Assurances provides this service free of charge through its specific partner in the field. This human gesture illustrates the civic-minded insurer approach. It goes without saying that there is no sales pitch or promotion of any kind whatsoever during these conversations.

In the event of serious flooding the **NAT CAT team** of LBP Assurances goes into the post offices and offers support to the customers having suffered damage to make their on-site formalities easier. The **DomiClean service** was also set up in June 2016. Two people go to the customer's home for a day. This assistance helps to immediately save belongings, and put the living space back in order as rapidly as possible while waiting for the expert appraisal.

Innovations supported by La Banque Postale Assurance Santé and La Banque Postale Prévoyance:

As life expectancy grows and the population ages, loss of independence is becoming a real social challenge. 50% of French people already grapple with dependency, either their own or that of a close relative. To meet this challenge, at the start of 2015, La Banque Postale Prévoyance introduced an affordable and very comprehensive range of dependency insurance products designed to meet all needs.

Assurance Autonomie (“autonomy insurance”) is a complete, modifiable and personalised **dependency insurance** offer, which contributes to financing and offering support for lost autonomy though the payment of a capital sum and a monthly annuity, as well as numerous assistance guarantees: help with administrative and social formalities, psychological counselling, house audit, practical training for the carer, support for the carer, visit from the postman/woman, etc. The insured can also use these services if they become a carer for a dependent relative themselves. The *Assurance Autonomie* policy is offered to customers who need supplementary income to finance their loss of autonomy or have personal wealth to protect, as well as to customers who wish to sign up to protect a relative.

This product is one of the rare dependency coverage insurance policies to receive the GAD (*Garantie assurance dépendance*) label created by the French Insurance Federation. Right from its launch, these advantages enabled La Banque Postale Prévoyance to receive the *Trophée d'Or de l'Assuré* award in 2015 and the *Trophées des Dossiers de l'Épargne* award in 2017.

La Banque Postale Prévoyance is committed to the “**elderly dependency**” **research chair**, founded by the Fondation Médéric Alzheimer, in partnership with the École d'Économie de Paris. The purpose of the chair is to promote research into the economics of dependency of elderly people. Some of the missions of the research chair include developing a dynamic microsimulation tool, representative of the population in France, to model supply and demand for care and services connected with loss of autonomy. A major partner of the chair, La Banque Postale Prévoyance will contribute to its work and operation through both scientific and financial support.

La Banque Postale Assurance Santé offers its low-income customers **supplemental health insurance eligible for the ACS** (State financial aid for the purchase of supplemental health insurance): **Assurance Oui Santé** In addition to regulatory demands, this offer (“Yes to health” Insurance)^o provides full optical coverage for customers through the KALIVIA network of 5,000 opticians and a negotiated rate for hearing aids through the 2,000 audioprothesists of the same network. Moreover, in line with current societal challenges, this responsible offer contributes to reducing risks thanks to preventive guarantees, such as quitting smoking on medical prescription or invoice, as well as preventive vaccinations (flu, travel) that are not reimbursed by the social security.

Lastly, thanks to the **Coups Durs Santé insurance** (insurance for “hard times”), La Banque Postale provides support for its customers over the long term in the event of severe illnesses, in the form of a lump-sum payment and freely accessible assistance services.

The Insurance Division contributes its support to the Vivre site

At present 11 million people in France care for an elderly, sick, dependent or disabled family member. La Banque Postale, which endeavours to be as close as possible to the needs of families, revised the *Vivre en Aidant* (“live while helping”) site, in collaboration with numerous experts. This advice and training platform, available on tablets and smartphones, is dedicated to family caregivers and provides them with concrete support in the form of articles and video content, practical advice, testimonies, and solutions to better fulfil their role as daily family caregiver.

6.2.1.4 Management of extra-financial risks

Integrating extra-financial risks into operational risks

In accordance with the Group Risk Control Mechanism for Operational Risks, the business lines are responsible for identifying and processing operational risks which include extra-financial risks.

This principle is reinforced by La Banque Postale's governance model applied to new products and services. An analysis of extra-financial risks is always included in the risk assessments carried out when proposals are submitted to the *Product Review committee* (see the *Responsible offering section*).

Furthermore, to assist project managers in examining the extra-financial risks related to their project, an ESG Checklist was drawn up in 2014. Addressing issues from the point of view of Social and Environmental Responsibility (SER), the checklist can be used to assess the risks and impacts of a product, raise awareness of sustainable development among the bank's actors, provide ideas for the educational sales argument for customers, as well as for product design.

The ESG Checklist is an integral part of the risk assessment process and is a document that must be presented to the *Product Review committee*. La Banque Postale's CSR Division mines the results of the ESG Checklist to analyse the ESG issues highlighted and to begin awareness-raising actions where necessary.

Lastly, the assessment of ESG criteria remains one of the components of the image impact of the risk rating grid confirming the incorporation of extra-financial factors in the assessment of operational risk.

In 2017, La Banque Postale enhanced its operational risk mapping with the risk of non-compliance with its social, societal and environmental commitments, adding to the new societal commitment policy of the Le Groupe La Poste that aims to align the change with the ecological transition, toward responsible and ethical digital services and contribute to social and regional cohesion.

This identification within risk mapping – which is a tool for determining and managing risks that are monitored at the level of an entity – enables the CSR Division to assess the suitability of the risk with respect to changes in the activity and to identify the actions and measures to be taken in order to manage it.

Moreover, the management approach for cross operational risks meets the need for strengthening the supervision of these risks by applying a standard risk management framework within the La Banque Postale Group. The following risks were mapped at the entity level:

- corruption risks, in accordance with the law 2016-1691 of 9 December 2016 relating to transparency, the fight against corruption and the modernisation of the economy;
- compliance risks: four concerns (conflicts of interest, internal fraud or external fraud with internal complicity, misuse or non-compliance with attributed rights and authorisations, wrongful disclosure of confidential information).

Measuring exposure to climate risk

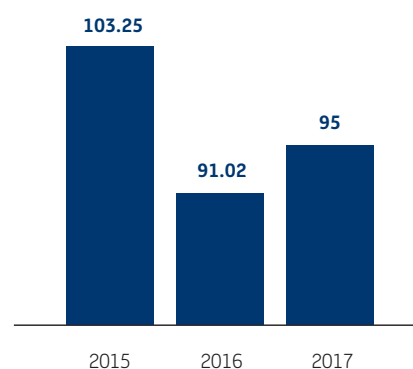
In 2017, the Group Risk Department continued, in cooperation with the Bank's CSR Department, to work to identify and analyse its sensitivity to climate change, in accordance with the recommendations of Article 173 of the Energy Transition for Green Growth Act. La Banque Postale notably participated in several working groups set up by the French Prudential Supervision and Resolution Authority (ACPR) and the Treasury to discuss the different existing methods of quantifying this risk.

These different working groups will notably enable La Banque Postale in 2018 to:

- carry out risk mapping for the carbon intensity of its portfolio using a method developed by one of its peers,
- continue its quantification work using an internal methodology that was started in 2016 following the consultation of the Treasury and the ACPR, the target of which was to identify the level of exposure to the physical risk and the transition risk of the main banking groups.

In addition to this work, in 2016 the Bank had launched an assessment of the potential loan losses that it could face on its mortgage portfolio⁽¹⁾ due to floods (which proved to be very limited in the end).

La Banque Postale used another criterion to measure its level of exposure to climate risk by applying a methodology to measure the carbon intensity of its CIB (Corporate and Investment Bank) activity. The Bank is able to measure its control of its level of exposure to securities that emit the highest levels of greenhouse gases by applying this method developed by LBPAM to corporate bonds. At the end of December 2017, the carbon intensity of "corporate issuers" was 95 tCO₂/€ m of revenue (compared to 91.02 tCO₂/€ m of revenue at the end of 2016). Despite a slight increase, this intensity remains low because it is closely correlated to the sector breakdown of the portfolio, which is heavily invested in the financial sector (industrial or energy sectors have far higher carbon intensity). The exercise also helped to identify the most carbon-intensive assets and to inform any potential divestment decisions.



■ Level of exposure to climate risks of the BFI business (corporate issuers) in t.CO₂/€m in revenue

Measuring the level of exposure to extra-financial risks

Beyond climate risk, since 2011, in order to measure the ESG risk exposure of proprietary trading carried out by the Financial Transactions department, La Banque Postale has adapted the method developed by the SRI department of La Banque Postale Asset Management (LBPAM) to analyse the extra-financial risks of sovereign and non-sovereign counterparties. In 2014, the annual measurements became half-yearly. In 2017, the methodology was refined, and the scale of the risk measurement narrowed down. The results at the end of December 2017 continued to show a globally controlled exposure: for non-sovereign issuers, 66% of assets were invested in issues that would be eligible for SRI funds (compared to 77% at the end of 2016). Moreover, there is no exposure to securities considered to be risky from an SRI viewpoint (vs. 0.4% at end-2016).

Overall, at end-2017, according to the new measurement methodology, non-sovereign issuers had a level of risk of 5.12 (compared to 4.78 at end-June 2017), on a scale of 1 to 10, 10 representing the highest risk. Sovereign issuers had a level of risk of 4.63 (compared to 4.72 at end-June 2017).

Taking extra-financial criteria into account in investment and financing activities

As stipulated in the "Defence sector policy", La Banque Postale makes sure that none of the portfolios managed by asset and wealth management actors include companies involved in controversial weapons (antipersonnel mines or cluster bombs) or non-conventional weapons (biological, chemical, nuclear, depleted uranium, blinding laser and incendiary weapons), irrespective of the type of financial instruments issued (shares, bonds, or money-market instruments). To this end, since 2012, La Banque Postale subscribed to a database kept by an independent third-party expert to reinforce its methods and to share an exclusion list used by all members of the Asset and Wealth Management Divisions in the Responsible Asset Management Committee (CGAR). This list is then shared with the Risks Department so that it can also be applied to the Financial Transactions department for proprietary transactions and the Corporate department for loan transactions. At 31 December 2017, 39 companies were on this list.

(1) Assuming financing by LBP of housing in zones at risk of flooding in proportion to the number of houses in France in these zones – source INSEE 2009 – and based on the Bank's credit risk measurement parameters.

At the same time, the CGAR maintained a heightened level of vigilance in 2017 on a certain number of securities with **high extra-financial risk** that breach international conventions and the principles of the Global Compact. These are frequently controversial and therefore do not align with La Banque Postale's civic values.

Furthermore, in keeping with La Banque Postale's governance principles, agricultural commodities are excluded from the range of its authorised financial instruments.

In January 2016, the Bank's Executive Committee approved the launch of a **Responsible Financing charter** governing the granting of corporate loans. The charter stipulates that loan applications will be rejected for a certain number of sectors, deemed too risky from an extra-financial point of view (gambling, pornography, tobacco, nightclubs, the coal industry), as well as organisations and companies that have gravely and repeatedly been in breach of the law, codes of conduct or conventions (infringement of environment law, international codes and conventions, or fundamental rights at work).

Furthermore, La Banque Postale strives to prevent financial and legal risks, and risks to its image from investing in jurisdictions with poor regulation, or which are opaque or uncooperative regarding tax fraud, money laundering and terrorism financing. It has compiled a **list of at-risk countries** where it cannot carry out or participate in any commercial development.

At the same time, since 2010, LBPAM has stepped up its responsible practices by integrating environmental, social and governance (ESG) criteria in selecting its market intermediaries. This is based on a questionnaire from the LBPAM's ESG Research and Management Department which is sent to all market intermediaries (i.e. the financial institutions with which LBPAM conducts market transactions). 72 institutions received this questionnaire in 2017.

Finally, as an essential player in the French economy, La Banque Postale **combats tax evasion** by strictly complying with applicable rules and prevention measures. As a French retail bank, its activities are almost exclusively conducted on French territory. It has no activities in countries blacklisted by the Tax Justice Network. At the very most, La Banque Postale has pursued very limited business in European countries where La Poste already conducted business at the time of the founding of La Banque Postale. The profits from this business are fully taxable at common law rates. The tax management of all Group entities and companies is handled or controlled directly by La Banque Postale's Tax department in Paris. This management is based on principles of stringent compliance with applicable regulations and transparency with respect to the authorities. Furthermore, the monitoring of customers' activities in terms of tax compliance is carried out as part of the **fight against money laundering, terrorism financing and fraud**. Measures have been set up to control international transactions between France and countries presenting risks. This monitoring generates alerts which are subsequently handled by a dedicated tool. Over 100 people are dedicated to this activity within the Financial Transactions Security department.

Following the Paris attacks in 2015, this division developed a new series of alerts based on "weak signals", below the thresholds used for combating money laundering and focusing more on behavioural indicators, with very satisfactory results.

Ethics: better risk management in business processes

True to its values of providing local services to the largest number of people, La Banque Postale is committed to promote ethical and responsible behaviour. The **2017 Kantar TNS ethics climate barometer** survey conducted among large French companies and employees of the Le Groupe La Poste shows that 90% of employees of La Banque Postale say that they are involved in the Company's ethical actions, up 2 points compared to the 2016 barometer. Likewise, 95% of employees indicated that their awareness of ethics was raised in 2017, up sharply from the 73% in 2016. Furthermore 74% of employees (a slight 2 point decrease from 2016) state that they have identified the person responsible for professional ethics inside La Banque Postale.

The 2017 ethics barometer also indicates that 76% of employees consider that there has been a shift in ethical behaviour, with the main concerns of La Banque Postale consisting of the fight against fraud and corruption (94%), compliance with rules and regulations (87%), respect of customers and partners (81%). It should be noted that 95% of employees say they are ready to blow the whistle if they witness an ethical breach.

In all, employees consider that La Banque Postale behaves ethically because it wants to have a good image (94%), improve its economic results (93%), avoid legal, social and media risks (91%).

In 2017, the **new Ethics code of conduct** was presented to all employees of La Banque Postale and the Financial Services Division of La Poste, the La Poste Network and the Solutions department shared by La Banque Postale and the La Poste Network.

The Ethics code of conduct describes the best practices to be adopted in banking, financial and insurance matters with respect to customers, employees and third parties. In particular, it describes different situations that could lead to conflicts of interest, integrates the Group's policy with respect to accepting gifts and invitations, and specifies the commitments of La Banque Postale concerning the monitoring of vulnerable customers. It incorporates the Anti-Corruption code of conduct of the Le Groupe La Poste which was also deployed in 2017 within the La Banque Postale Group.

These two documents are part of the Internal Rules of La Banque Postale and La Poste, and are enforceable against all employees.

A **general awareness-raising training programme** for around 60,000 employees supported these two new codes of conduct, with each employee having the possibility to follow an e-learning course to better understand the main challenges and concerns highlighted in these two reference documents, as well as a game to test their knowledge. At end-2017, around 24,000 people had already done this training, with a second session starting in January 2018.

Two specific projects were initiated in 2017: one pertaining to the methods for monitoring social network actions, the other to the monitoring of malware installed on workstations. In cooperation with the services concerned, these thought processes led to the specification of compliance requirements for these activities and the definition of methods for controlling and identifying any gaps that may be observed.

Concerning work on the steering of regulatory accreditations (inspection, insurance, certification), a file was constituted for an overhaul of the information system and the management of regulatory accreditations that was finalised and presented at end-2017. In addition, the project to revamp all regulatory training relating to insurance authorisations was started at end 2017, and will be finalised in 2018.

Lastly, an update of the three organisation notes for regulatory authorisations was launched and will be completed in 2018. These notes will incorporate the changes in scope and procedures. Particular attention will be paid to compliance with new regulatory requirements (MIFID2 and the IDD).

The intranet *ethics* sections were maintained and further developed during 2017, notably by putting the two new codes of conduct online, the Ethics code of conduct and the Anti-Corruption code of conduct.

Employees receive training in business ethics as soon as they take up their duties and throughout their professional career. Campaigns for training in rules of proper conduct have been carried out since 2006. In addition to the overall awareness plan launched at the time of the circulation of the new code of conduct, which concerned around 60,000 employees, training for taking up functions or additional training presented to employees concerned the principles and main rules in force within La Banque Postale and La Poste relative to respect of customer needs, banking secrecy and data confidentiality, prevention of conflicts of interest, and compliance with the rules of use of the Information Systems. Overall, these courses concerned close to 2,600 employees.

In addition, compliance officers and correspondents take part in various meetings (managerial communities — Executive Committees — specific control training — subsidiaries): around 400 people were trained during these meetings.

With respect to regulatory accreditations, 1,053 employees followed the AMF Certification course in 2017, and more than 12,000 people signed up to the different classes relating to insurance accreditations.

The system of permanent control of compliance with ethical rules uses the process for **detecting and monitoring malpractice and ethical breaches**. Alerts emitted concerned breaches of professionalism, and non-compliance with the good conduct rules. It should be recalled that the system can notify managers of any breach of the rules so that they may take the necessary measures. Several follow-up and guidance meetings were organised in 2017 to check that actions were being correctly implemented.

In case of suspected breaches of ethical rules or faults, the **whistleblowing process and alert system** provide for the relay of information to La Banque Postale's Head of Business Ethics. He/she is also informed by the compliance officers working in the Bank's various departments, at the subsidiaries, in the La Poste Network and the Solutions department.

With regard to governance issues, 10 **monthly cross-cutting business ethics committees**, led by the Head of Business Ethics, were held in 2017. These committees make it possible to monitor the progress of the business ethics action plans defined for 2017. They notably made it possible to monitor the progress of work on the update of the Ethics code of conduct, the development of business ethics e-learning and to inform correspondents about the deployment of the anti-corruption procedure. These committees will also enable the exchange of information on cross themes of several departments and Businesses, such as the procedure for submitting a complaint, methods for working with the social networks, monitoring sensitive software installed on workstations. Compliance risks were the subject of a specific project carried out jointly with the Operational Risks Department. Four main compliance issues were identified (Conflicts of interest – Fraud – Confidentiality and professional secrecy – Rights and authorisations) and incorporated into the update of the operating risk mapping. This centralisation of compliance risks will enable a cross analysis in 2018 of the actions and controls carried out.

The Head of Business Ethics of La Banque Postale takes part in the **Ethics committee of La Poste**, a body that brings together the ethics departments of the La Poste Group's four business lines.

In 2017, the Ethics-Compliance Department tested a tool for monitoring the **behaviour risk** in order to determine an action plan to manage this risk and support the relevant follow-up indicators. All of these works will be presented to the governing bodies of La Banque Postale in the first months of 2018.

Lastly, a specific Steering Committee for the **prevention of corruption** was organised in 2017 in order to set up an anti-corruption procedure in compliance with the anti-corruption section of French law 2016-1691 of 9 December 2016 (the "Sapin II" law). Following the deployment of the initial measures (code of conduct incorporated into the Internal Regulations, corruption risk mapping), this committee will now focus on the follow-up of the implementation of the eight points in the procedure.

The whistleblowing right mentioned above is exercised via a specific mailbox address that can only be accessed by the Compliance Officer, who is the only one who receives the information from the whistleblowers. In 2017, this whistleblowing procedure was broadened to include the fight against corruption and was the subject of reflection on how to strengthen monitoring capacity and confidentiality as from 2018.

6.2.2 Employee engagement

La Banque Postale places employee engagement at the heart of its human resources strategy. Every person must be both actor and beneficiary in the Group's transformation, regardless of their position and location: at the Bank's registered office and in its subsidiaries, in the Financial Services Division or within the Banking Advisory Line of the La Poste Network.

The commitment of all teams is decisive in fostering the development of the Bank and meeting tomorrow's challenges. It represents a strong lever for adapting to new customer practices and better satisfying them via the creation of new businesses. For La Banque Postale this implies showing real consideration to each of its employees.

In order to encourage this engagement, in 2017 the Bank continued to enhance its strategic and operational building blocks that have been deployed since 2015: the *École de la Banque et du Réseau*, the Recruitment and Career Teams, the PMO HR. It also launched the *Compétences 2020* programme to build the target vision of the evolution of its businesses in 2020.

It also focuses on personalised support for the mobility and integration of young people. In a forward approach, it structures its careers and training so that the right skills are there at the right time, while strengthening the employability of its employees.

In all of these areas, the HR Department of La Banque Postale favours innovative solutions, through, for example, web-conferences to present new jobs, virtual classrooms, MOOCs or the "gamification" of training (see below).

6.2.2.1 Career development and employee support

La Banque Postale's human resources policy aimed in 2017 to provide the Bank's employees with a working environment that promotes their **personal and professional commitment and development**. In a changing context, the HR Department of La Banque Postale, Financial Services and La Poste Network ensures on a daily basis that the changes needed for the development of La Banque Postale are implemented with respect for all.

It places great emphasis on supporting each employee in their professional ambitions throughout their career, but also on providing support for retraining of all those affected by a transformation project in their area. In doing so, it is committed to the Bank's social model. It creates actions to direct employees toward new businesses that drive its commercial development.

Accordingly, the staff agreement concerning the banking advisory business lines, signed on 17 December 2014, embodies the Bank's commitment to supporting bank advisors as their role changes and to offering them career development opportunities. Besides immediate salary measures, which is a sign of the recognition of these functions, and after the signature of a sales management agreement in 2015, a banking advisors job and career agreement was signed in 2016. This agreement lays down the terms for accessing banking advisor jobs, it enhances these jobs and reinforces the support for banking advisors so they can progress to tomorrow's jobs.

Some key commitments were made in the mobility agreement for employees of La Banque Postale Group that was signed in March 2016:

- ▶ on training to support employees' professional mobility plans;

- ▶ on support for employees with minimum individual contractual guarantees and specific measures for geographical mobility with respect to the La Poste Group;
- ▶ on greater visibility regarding career paths and development.

These two flagship agreements demonstrate the commitment of the Human Resources Department of La Banque Postale, Financial Services and the La Poste Network to placing the Group's men and women and their development first as part of a holistic approach to managing the changes in the sector.

The construction of a new unique, forward-looking, operational and simplified skills benchmark is the operational basis of the skills development process. In 2017, all HR processes and managerial actions were adapted to integrate its use. 2018 is the first year this benchmark will be used in yearly appraisals. The objective is to encourage constructive dialogue between employees and their managers concerning the skills expected for their job and their evolution.

This will enable an initial assessment to be made of the skills of Group employees and thus to define a personalised development plan.

The **mobility of employees** of La Banque Postale Group is therefore a key issue for the Company.

No less than 460 combined career paths were created at end-November 2017 among employees of the Bank, the Financial Services and the Banking Advisory Line (including banking support) of La Poste, i.e. 10% more than in 2016.

At the same time, 2,021 people (vs. 1,996 in 2016) were also promoted as part of their career advancement.

46 Career Development Advisors (CDA) in the Financial Centres, 75 CDAs in the Network and around 30 career managers at the head office of the Bank and the Network provide personalised support for employees: individual interviews, visibility of job offers, discussions with HR professionals about profiles, career management advice. To encourage mobility between La Banque Postale branches and the Network, especially in banking activities, the HR Department created 13 Recruitment and Paths (ER&P) teams throughout the country (60 employees). The teams are tasked with internal recruitment between branches and external recruitment, in accordance with standardised methods. These teams have four objectives: to improve employee knowledge for proactive career management, provide new *sourcing* solutions for recruiters, simplify the experience of recruiting managers, improve the experience of employees in situations of mobility.

They will be merged within the Group HR Department as of 1 January 2018. A system coordinating the HR Department of La Banque Postale, the Financial Services and the La Poste Network and the future Mobility and Group Recruitment Units needs to be set up, in order to develop the activities and businesses of La Banque Postale and its employees.

La Banque Postale Group is also an **open group**. During the year it recruited 984 people from outside the Le Groupe La Poste, 27% of which for the Banking Advisory Lines. In addition, the La Poste Group, which since 2013 has held a "career week", decided to launch a new concept in 2016: "The 4 Seasons of Career Development" to give postal workers more time to obtain information, attend a workshop, visit a site or meet colleagues,

Each season is therefore the chance for employees to obtain information, consider different career paths, participate in an event, meet HR staff, etc.

In light of the current and future changes and developments – the evolution of business lines, creation of new functions, etc. – the teams of La Banque Postale and Financial Services naturally mobilised their efforts for each season. Through the events offered, “The 4 Seasons of Career Development” forms part of a policy of developing a culture of career development in employees, alongside HR players and managers, by inviting them to become involved individually and collectively in designing, recognising and providing support for career plans.

The actions organised throughout France (visits to sites and subsidiaries, workshops, forums and talks, etc.) are intended to inform personnel and managers about professional development opportunities (growing business lines, possible career paths), and about mechanisms facilitating job transfers and career development within and between branches, as well as outside the Group (business start-ups, etc.). All these are opportunities from which everyone can build their career path.

New methods of information on business lines and career opportunities are now permanently implemented in the entities on the Bank/FS/Network scope, notably by the ER&P: web conferences presenting jobs on the Job Exchange, information meetings or workshops on developments in banking business lines, information campaigns using all channels to make recruiting business lines more visible.

Employee training

Since it was set up in July 2015, the École de la Banque et du Réseau has supported the career development of the employees of La Banque Postale, the La Poste Financial Services and Network, by training them on the new skills and business lines of the Le Groupe La Poste. It uses teams of designers and in-house trainers, as well as partnerships with prestigious benchmark partners such as the École Supérieure de La Banque-CFPB.

The École de la Banque et du Réseau set up training courses throughout the year:

- ▶ qualifying courses to accompany the transformation of functions and guarantee the employability of staff, with notably;
- ▶ the continuation of the courses for Sector Directors/Regional Directors and n-1s of the Sector Directors started in 2016 to develop the banking skills of managers;
- ▶ the creation of a course for account managers in post offices to develop their skills in the areas of banking, digital and customer relations;
- ▶ the continuation of the courses for account managers for the expansion of the home loan business. Since 2015, more than 15,000 employees have started or continued a qualifying course.
- ▶ for taking up positions in the existing and new businesses of La Banque Postale and Financial Services.

The École de la Banque et du Réseau has, moreover, set up ambitious customised training programmes to support nation-wide projects, the reinforcement of commercial efficiency in sales meetings or changes in remote relationships and to meet regulatory requirements such as anti-money laundering and terrorist financing measures, insurance accreditations, or the European Mortgage Credit Directive.

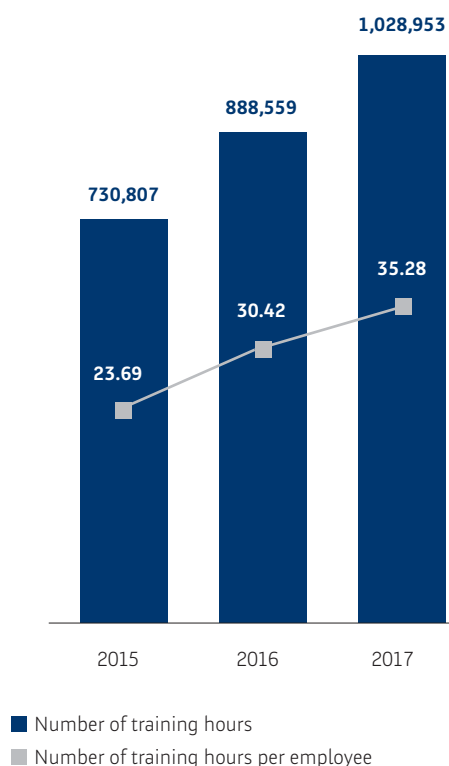
In addition, the École de la Banque et du Réseau offers courses to employees to maintain the skills for their position or support their career changes.

Lastly, since 2015, close to 1,200 employees took training that led to a diploma, thus validating their knowledge and skills for the long term.

In 2017, 1,028,953 hours of training, or 35.28 hours per employee, were carried out at the École de la Banque et du Réseau.

To ensure the success of training courses available to all employees, new methods are being developed. L'École de la Banque et du Réseau continues to develop new innovative teaching methods such as virtual classrooms, MOOCs (massive open online courses), the gamification⁽¹⁾ of training, on-site or remotely.

Backed by a **scientific committee** of experts from the Bank, business and education, which ensures the academy remains abreast of best practices in its environment, the École de la Banque et du Réseau is structured to meet the strategic challenges facing the Group's various branches.



(1) Using games as part of the training method.

6.2.2.2 Youth employment, integration and training

Since 2013, to facilitate the integration of young people into the Company, both managers and young people have a dedicated HR contact person who assists them in defining their needs and in the recruiting process. He/she ensures the integration of students into the teams and the satisfactory performance of their assignment.

La Banque Postale has consolidated its relations with the student sector: it has **32 partner schools**, including business schools, engineering schools and universities throughout France. The Bank conducted over 60 initiatives at trade shows, forums, presentations, educational games, case studies, recruiting workshops, and even examination boards. In this way, it makes its business lines and subsidiaries more well-known, improves its attractiveness and promotes student access to the world of work.

For example, it participated in the 6th **EDHEC Open Innovation** seminar where students grappled with unresolved problems in the digital environment assisted by 70 managers from different companies.

Also among the year's highlights was the renewal of the disability partnership agreements with ESSEC and Sciences Po Paris, in order to improve the access to further studies for students with disabilities.

Actively involved in the **integration and training of young people** for the labour market, La Banque Postale had 1,100 apprentices as of 31 December 2017 under apprenticeship or occupational contracts with a level of education ranging from one-year post-graduate diplomas to the Master's level for a term of 1 to 2 years.

A survey amongst sandwich course students with the bank during the summer of 2016 showed that 92% of them (+1pt compared to the previous survey) considered that their professional experience with La Banque Postale had allowed them to acquire new skills, while 86% of them considered that it was a real asset for their CV (+2pts). With regard to students at the end of their studies, a more precise qualitative follow-up of their internship or apprenticeship within La Banque Postale has been introduced in order to replenish the pool of young talent.

La Banque Postale was awarded the "Happy Trainees" label in 2016, which is an important and innovative ranking of the 150 best French companies for work placements or sandwich courses. This label currently rewards the commitment of HR managers and teams in this area. Almost 92% of students and trainees recommend La Banque Postale, and 80.3% of them have a favourable opinion of their employer (a figure which is slightly above the figure in the banking sector in general).

6.2.2.3 A comprehensive and competitive remuneration policy

La Banque Postale's ambitions for the future are to accelerate its commercial development and build the bank of tomorrow. The Bank supports this ambition with employees whose everyday dedication makes quality of service a catalyst of customer satisfaction and retention. To meet these new challenges, La Banque Postale has a human resources policy based on a comprehensive compensation system, applying fundamental principles of fairness and transparency. It aims to recognise skills development, establish a link between employees and performance, retain loyalty and support career paths.

To recognise the professional development of its employees, La Banque Postale has set aside a budget of 1.3% of total payroll for **raising fixed remuneration**. This budget notably includes a general

increase of €260 for all employees, with the exception of those in the highest salary brackets. This is consistent with the Le Groupe La Poste's budget for the compulsory annual salary negotiations for Financial Services employees. As part of the revaluation campaigns at La Banque Postale and the Financial Services, for equivalent levels in Group A, the annual rate of salary increase for women employees was, as has been the case for several years, more favourable than the one applied to men.

In 2017, La Banque Postale renewed a €100,000 budget dedicated to **gender pay equality**. This budget, which is set aside to tackle pay differences between men and women, in similar job positions, and to address the individual situations of employees beginning their careers, was used to improve the pay of 102 bank employees, 76% of whom were women and 35% of whom were employees starting their career.

La Banque Postale also shares the fruits of its expansion and performance in the form of **variable collective remuneration**: incentives and profit sharing. Incentives, which are calculated on the basis of the operating result and the CSR rating, reflect everyone's contribution to La Banque Postale's commitment to sustainable development. The incentive budget in 2017 totalled €3.5 million net. This result reflects La Banque Postale's performance in terms of sustainable development: its extra-financial rating means that it is among the most successful world banks in this area for the third year running. The Group's incentive agreements in 2017 also concerned nine subsidiaries of La Banque Postale. Profit sharing in the amount of €2.6 million net was also added to this budget.

La Banque Postale also gives its employees the opportunity to constitute medium or long-term savings via the **PEG (Group savings plan)** and **PERCO (collective pension savings plan)** schemes. La Banque Postale supports this investment effort by making an employer's contribution of as much as €1,200 gross per employee including €200 which is paid to their group PERCO without a corresponding payment. This unilateral measure set up in 2016 means that all employees can receive an employer's contribution and that their awareness of the importance of saving for retirement is raised. Lastly, La Banque Postale uses this employer's contribution, boosted by solidarity funds, to encourage employees to opt for socially responsible investments. The total employer's contribution in 2017 amounted to €2.7 million net. Furthermore, all of La Banque Postale subsidiaries can join the PEG and, since 2015, La Banque Postale's PERCO.

The La Poste Group's results for FY 2016 enabled Financial Services to pay an incentive budget of €5.5 million net to its employees. To encourage medium and long-term savings, the Le Groupe La Poste offers its employees the possibility of taking out Group savings plans and collective pension savings plans (group PEG & PERCO). The investments comprise at least 30% socially responsible assets. La Poste supports its employees' investment efforts every year by contributing up to €2,400 gross to the amounts they have invested individually. In 2017, the total employer's contribution for Financial Services employees totalled €3 million net.

A new **incentives agreement for La Banque Postale Group** was also signed in 2017. At the end of the previous incentives agreement signed in June 2014, La Banque Postale, its subsidiaries and union representatives unanimously decided to renew the Group's incentives policy for the next three years. With this new agreement signed on 28 June, La Banque Postale renewed its will to have its employees participate in the performance of the Group in the framework of a shared policy for companies that signed the incentives agreement of the La Banque Postale Group.

6.2.2.4 Dialogue and employee relations

Since its creation, La Banque Postale has paid special attention to ensuring **high-quality employee relations**, based on trust and mutual respect. In 2017, the Bank negotiated and signed nine agreements and amendments notably relating to the PEG, PERCO, incentives, Disability, NAO, supplementary group personal risk and health coverage, and the organisation of employee representatives.

Thus, the social core of La Banque Postale has continuously been reinforced since 2006. Between 2006 and 2017, more than 100 collective agreements were signed between La Banque Postale and Financial Services.

Financial Services continued, across the entire scope (Financial Centres and National Centres, DISFE, DEDT, Remote Bank National Centre and the Financial Services Department) to hold a particularly rich and dense social dialogue in 2017, maintaining a controlled social climate through a partnership and confidence-based social relationship.

Quantitatively, 18 **national meetings** were organised (nine social dialogue committee meetings and nine meetings to follow up the 2016-2020 agreement on the future of jobs in the banking sector, the *Accord Avenir des Métiers Bancaires* (AMB)) and more than 50 bilateral meetings were held with unions, notably in preparation for national bodies. This social dialogue was then rolled out in all regions, both as part of the local follow-up of the AMB3 and in compliance with the La Poste method for implementing transformation projects.

Three major themes stood out in 2017 in the Financial Services scope:

- ▶ the continuation of transformation projects concerning the Front, Middle and Back Offices;
- ▶ the "Organisation of Working Time" approach within the Financial Centres (agreements at the Nancy, Lyon and Limoges Financial Centres), the IT Department (DISFE) of La Banque Postale (framework agreement on 7 September 2017, the Remote Bank, the Corporate and Territorial Development Department (DEDT) and the Financial Services Division (DSF);
- ▶ the implementation and follow-up of the 2016-2020 *Avenir des Métiers Bancaires* (AMB) agreement.

As regards cross-cutting Financial Services/Network/ La Banque Postale activity, 14 CDSP (La Poste Social Dialogue committee) meetings were organised in 2017, some of which were devoted to structuring subjects such as MC2, Compétences 2020, CAP Client and the new home loan distribution framework.

Regarding the MC2 regional structure reorganisation project, 2017 was marked by the first ICCHSCT (Coordination body of the committees for Health, Safety and Working Conditions) within the Le Groupe La Poste.

The year was marked by the signing of the **agreement on the working conditions for banking advisors** on 11 September. This agreement concludes the 3rd and last project of the 17 December 2014 agreement on the method and social measures for the banking advisory scope. Along with the sales management agreement signed in July 2015) and the jobs and careers agreement in March 2016, they now form a coherent set of measures that will support the evolution of the role of managers and the growing need for strengthening the skills of banking advisors.

Still in the Banking Advisory Line, a full day was dedicated to the follow-up committees of the four social agreements. They enabled a review to be made of all of the commitments taken since 2014, notably on promotions for banking advisors, mobility, the set-up of recruitment pools, remuneration, qualifying training, the quality of working conditions, etc. Note also that the agreement on method and social methods and the sales management agreement expired on 31 December 2017. Their main measures were renewed by memorandum up to 31 December 2019.

6.2.2.5 Health, safety and well-being at work

The Financial Services have been committed for several years to the deployment of a policy for the prevention of occupational risks through initiatives adapted to the actual work.

Thus, actions to **prevent musculo-skeletal disorders (MSDs)** were renewed in 2017. Since early 2014, a training course for employees entitled "I protect my back and my joints", concerning movements and positions, has been provided by OSH experts and medical personnel. This one-day training course presents concepts of anatomy, ergonomics, observation of work situations, and practical exercises on the layout of computer work stations and stretching and relaxation exercises.

A project to prevent and manage incivility, both internal and external, continued in 2017, as part of the **prevention and management of psychosocial risks and incivilities** within the Financial Services Division, through the experiment of a training session on stress management in the face of uncivil behaviour towards employees during telephone conversations with customers.

2017 was also a year of **experimenting with "Work Discussion Areas" (Espaces de Discussion sur le Travail - EDT)** within the Financial Services of La Poste. The EDTs enable managers and their teams to build operational solutions for daily problems and to extend already existing best practices.

The synergy between our Health at Work Services, our Human Resources and our management line on the subject of **job retention** has been strengthened by the deployment of "return to work" and "job retention" committees that make it possible to conduct multidisciplinary work to support postal delivery employees in need. 2017 was the year of implementation of the tool dedicated to these committees making it easier for their work to be carried out.

2017 was also marked by the continuation of the **absenteeism project** with a quantitative and qualitative assessment of absenteeism within each entity. The sharing of all these good practices will be a key stage in 2018 with regard to this theme. Likewise, the deployment of the training of managers for the "return to work" interview continued in 2017. This training, the purpose of which is to explain the different stages of the return to work interview and the attitudes to adopt for each of these stages, is fully in line with the Le Groupe La Poste's "Well-being at work" project.

The Financial Services continue to deploy human impact analyses within the scope of transformation projects. This tool, deployed within each entity, makes it possible to further take into account work conditions during projects, through a multidisciplinary approach (occupational health services, preventive personnel, HR, social assistants, CHSWC (committee for Health, Safety and Working Conditions, etc.) and with the active participation of employees and managers.

The National Committee for Occupational Health and Safety (Commission nationale santé sécurité au travail, CNSST) of the Financial Services continues to monitor and propose prevention initiatives, while accounting for the human factor in projects. Different subjects were discussed, such as the "internal/external incivilities" project, the "Absenteeism" project, the deployment of "Work Discussion Areas", training on the "Return to Work" interview, the implementation of the "Well-being at work" project, incorporating actions to prevent work/service accidents and actions aiming to better integrate employees into their new service.

Following the signature of the *Avenir des Métiers Bancaires III* agreement in December 2015, a working group was set up to study the new measures to be implemented to improve working conditions inside the Financial and National Centres. This working group was composed of employee-relations partners sitting on the Financial Services CNSST and different key experts. The discussions take into account the impacts of, among others, digital technologies and changes in customer relations.

The prevention unit and occupational health services continue their work of accompanying employees and managers, and ensuring that work conditions are taken into account within their respective entities, in particular by the adapting of workstations and the organisation of working groups. In addition, the new professional training programme launched in 2016 for the whole of the sector was continued in 2017. The purpose was to provide new tools and methods to offer the best support to La Poste's Financial Services with a view to improving working conditions.

Well-being at work

Based on the principles stated in the Health and Well-being at Work Agreement, in 2017 La Banque Postale reinforced and updated its annual prevention plan and the DUERP (*Document unique d'évaluation des risques professionnels*, or "single occupational risk assessment document").

In addition, to reaffirm that La Banque Postale and the Financial Services are permanently concerned for the well-being of their personnel at work, the **Commitment and Life at Work Division**, created in September 2014 within the HR Department of La Banque Postale, the Financial Services and the Network, continued to perform its mission: "encourage, create and foster employee commitment in their work".

Since 2015, the HR Department of La Banque Postale, the Financial Services and the Network, voluntarily posted an updated policy of "consideration of people". A postal worker should be considered and treated as having "a purpose in their own right", and not just as a resource. The overhauled management must also translate this strong will to generate commitment on the part of the greatest number of postal workers by the manifestation of true consideration for people.

The quality of life in the workplace is above all connected to the ability of individuals to gain the sense of **professional fulfilment**, itself the fruit of a considerate work environment. This philosophy of consideration for people in service to their willingness to commit is taken into account in the **management courses** taught at the École de la Banque et du Réseau.

The manager's Roadmaps integrate to a considerable extent the indicators of the reality and quality of this commitment: social barometer and low absenteeism. A certain number of accompaniment measures are provided to managers to assist the implementation of their missions: coaching, mentoring, and mediation. Practices are developed in order to contribute to the advancement of the awareness of the need to go beyond messages, by knowing how to modify one's behaviour: feedback, 360 degrees, discussion space, networking workshops, etc.

It is important to understand how much this philosophy, intellectually appealing to a great number, demands very high standards from all, from the business's managers to the line managers, in matters of consistency, awareness, courage and serenity.

In June 2017, the Human Resources Department of La Banque Postale and the Financial Services carried out a third satisfaction survey of the quality of life at work among all employees: Financial Centres and National Centres, DISFE, DEDT, Remote Banking, DSF, and the Divisions of La Banque Postale.

This **social barometer** has as its ultimate goal to offer a vision of the perception in time of the quality of life in the workplace within establishments, in order to act on common themes such as finding a balance between private and professional life, the work environment, recognition, management, etc.

Thus, in two stages in 2017 (June and November), close to 54% of employees answered the questionnaire.

In addition, a **special mediation and support position** inside the Operational HR Department of the Financial Services Division supports and advises managers and local HR teams on how to deal with complex individual situations faced by the Financial Services and the Bank. Solutions are implemented on a case-by-case basis: individual support, professional or geographical mobility, etc.

Moreover, as part of the improvements in work/life balance, but also with a view to participating in stress reduction, a **work-from-home** agreement was signed on 25 June 2013 at La Poste Group.

To promote this balance, La Banque Postale for its part renewed an agreement on working from home within the UES companies on 22 January 2016. At 31 December 2017, 486 employees of La Banque Postale Employees and Financial Services benefited from this working method and remote relationship, based on the confidence of their managers.

In addition to the action initiated by the Commitment and Life at Work Division and the Financial Services, in 2017 the Commitment and Quality of Life at Work Department of the HR of the Operational Network continued to develop its organisation and expertise. Its objective is to better meet operational constraints and strengthen the primary, secondary and tertiary prevention initiatives.

Thus, thanks to a structuring of the activity by project, each actor of the Network now has a dedicated contact person, at the national level, for numerous themes: medico-social support, handling of individual situations, support for job retention and workstation ergonomics, improvement in work conditions, CHSCT expertise, handling of absenteeism, and the follow-up of commitments in the framework of major transformation projects that require changes in working behaviour. The management of the prevention part was moreover reinforced, and the future Observatory of the Quality of Life at Work will enhance the indicators measured. A CNSST geared towards co-construction also supports the regional CHSCT.

Several actions were carried out to support HR and reinforce prevention, to accompany the transformations and give greater attention to each employee. An **analysis of multi-disciplinary impact** is done, for example, as part of the CHSCT work for each national or local project, enabling information to be exchanged about the collective and individual impacts, whether at the human, organisational, technical or environmental level.

The start of 2017 was also dedicated to growing the skills of HR and medico-social actors and employee representatives: they participated in a three-hour distance training session integrating digital tools that favour the adoption of digital methods when they are implemented. This tool was also deployed as part of the work carried out to support the changes, at the national level, with two objectives: to reduce upstream the exposure to the risks inherent in the defined guidelines, and to provide the elements of language common to the Chair people of the regional CHSCTs. It was strengthened by the creation of the first CHSCT Coordination body, dedicated to the MC2 project (for the reorganisation of regional structures). Steered at the national level, this body reflects the implementation of the guidelines, with notably a consolidated prevention plan and tangible commitments, including the creation of the "Observatory of the Quality of Life at Work" (*l'Observatoire de la Qualité Vie au Travail*, or QVT).

The Network Division also rolled out the guidelines of the "**Well-being at work**" project, with a systematic analysis of work accidents and implementation of the tool dedicated to absenteeism (APALA). To this end, support tools – framework document, kit for managers – were designed by the QVT team and circulated to the HR and prevention teams.

Finally, in view of the increase in uncivil behaviour in post offices, the Department for Safety and Prevention of Incivilities of La Poste Network continues to provide training for all post office employees in preventing incivilities on these subjects. To date, over 36,000 employees have participated in a training course. In 2016, 15,000 complaints of incivilities were recorded on the ORAS application (tool to record uncivil behaviour). Specific actions were taken, notably by setting up the CTPI ("Regional Committees for the Prevention of Incivilities") and the DCI ("Uncivil Behaviour Initiative").

The purpose of the CTPI is to analyse the specific situations concerning the prevention of incivilities, to perform a diagnostic of the offices concerned and to propose actions to improve employees' working conditions. The regional department has discretionary authority to make local adaptations to ease tension in the sales rooms of these institutions. This new body, the deployment of which is being extended, already exists in 70% of the volunteer regional departments. The DCI supplements the tools which are available to postal delivery employees in the behavioural field. A General Policy for Incivility Prevention is now available to all actors concerned.

The Network QVT Division set up a procedure for **handling individual situations**, in cooperation with the national AS Technical advisors, the Head of Mediation of the Network and HR Technical advisors to the DEX. This initiative provides support for employees who are highly exposed to psychosocial risks, to absenteeism related to external violence, to significant changes and to increased inability to remain standing for long periods. In 2018, actions will as a priority focus on four themes: improving the ergonomics of workstations in order to prevent inability to work, absenteeism (sharing of experiences, manager workshops), the development of Health at Work Services and the improvement in working conditions (including office space giving priority to the societal aspect and a continuation of the project to renovate interior spaces).

6.2.2.6 Diversity, disability and equal opportunity

Commitments and agreements

Respecting and promoting the principle of equal opportunity and equal treatment is something which applies to all company players, at all levels and at all stages of their working lives. As "a caring, socially responsible bank", La Banque Postale is committed to promoting diversity and equal opportunity, to give everyone access to its various business lines. It also pursues an employment development policy for people with disabilities, promoting their integration and ensuring their career development.

A fourth disability agreement, signed in March 2017, at La Banque Postale, concerns employees of La Banque Postale and of La Banque Postale Crédit Entreprises. This agreement makes it possible to continue the actions started in 2008 by La Banque Postale, which are: recruitment, integration, training, remaining in employment and awareness-raising among different company actors. The awareness of employees with regard to disability was raised throughout the year through key events (an Employment of Disabled Persons Week, health-disability forums, which make it possible to focus on certain themes: incapacitating illnesses, visual and auditive disability, etc.). They are informed of these events by the distribution of flyers, the dissemination of articles on the intranet and dedicated communication screens, etc.

Various jobs are also the target of specific awareness-raising (buyers, trainers, etc.). External awareness raising is also implemented via participation in hiring forums, partnerships with "grandes écoles", universities, non-profit associations working with disabled persons, etc.

With respect to La Poste's Financial Services, an **amendment to the sixth La Poste Disability Agreement was signed in December 2017**.

Through this new agreement, La Poste pursues and reinforces its commitments to promote the retention of disabled persons in their jobs. In particular, the agreement gives priority to keeping disabled persons in their jobs by creating a committee for Return to Work and Job Retention in each entity. It also aims at pursuing efforts in matters of hiring persons with a disability, and turning to the adapted/protected worker sector. Moreover, the mobilisation to develop digital accessibility is being reinforced.

In 2017, the network of disabled-persons' representative officers set up in 2012 was transformed into a **network of representative offers for disabled persons and local diversity**. This network of 27 representative officers contributes to the implementation of the commitments of the agreements. They are the preferred contact people for disability and diversity issues, both with respect to job retention and in raising employee awareness. Their roles, duties and contact data are disseminated by posting them in the entities and on the intranet. Each officer organises at least one awareness raising initiative per year and receives all the employees who so request.

As proof of its commitment to **diversity, gender equality at work and the generations contract**, La Banque Postale renewed its agreement on these key subjects on 7 November 2016. New commitments have been established as part of this agreement, such as the donation of rest days, when each employee can give his or her rest days anonymously to colleagues with a seriously ill child, or parent, and implementation of the right to disconnection.

La Banque regularly establishes initiatives for raising its employees' awareness and there are training courses on diversity in the training catalogue so that everyone has a good understanding of what diversity is and its challenges.

In addition, since 18 April 2013, the signature date of the **Diversity Charter**, La Banque Postale has been pursuing its wish to integrate and to promote each person on the basis of his or her competencies, without discrimination, in order to best reflect in its workforce the diversity of the French population.

The **Professional Equality Agreement of the La Poste Group** was signed in July 2015 and covers all aspects connected to relations between men and women and, in particular, the weight of stereotypes in relations, a job gender mix through hiring and promotion, equality between men and women, and separation between personal and work life, right to disconnect, etc. It is implemented by the handicap and diversity officers of each entity, who ensure it is respected at all levels. Communication tools are used, such as, for example, an "HR Guide to Parenthood" which informs employees, particularly young parents, of existing services, a "Caregiver's Guide" for family caregivers, etc.

In terms of actions, the entities arrange local forums with non-profit organisations and address subjects according to their population (skills-based sponsorship oriented towards older workers, solidarity leave, stereotypes, gender equality, etc.).

The La Poste agreement on the integration of young people and the employment of seniors was renewed in October 2016 in order to continue the active policy of age management. The agreement aims to improve young people's access to employment, the job retention of seniors and the intergenerational transfer of knowledge.

Actions of the diversity, disability and equal opportunity mission

To achieve its goals, the disability and diversity mission of the La Banque Postale branch and the disability and diversity officers carried out numerous actions and participated in numerous events in 2017.

As regards disability, the commitment to **recruiting people with disabilities** led, in 2017, to the recruitment of three people with disabilities at La Banque Postale (two of whom on a work-study contract) and of four people in the Financial Services (including one person on professional training contracts). To achieve this result, La Banque Postale participated in several events (video chat, job teaser, "Adapt" forum, etc.). Moreover, actions were carried out with our partner schools (ESSEC, Sciences Po, IGS, etc.) to raise awareness amongst students and future managers of the professional integration of disabled people and to help develop accessibility and knowledge.

On the subject of **job retention**, La Banque Postale and the Financial Services supported around 970 disabled employees. In La Poste's Financial Services, close to **400 actions** to keep employees in their jobs were carried out in 2017, at a cost of over **€775,000**. The Disability Mission carried out a dozen position adaptations within La Banque Postale's scope: adapting hours and paying for transport costs between home and work, and for training costs in excess of the Company's training plan. In addition, half-days of leave were granted to employees of the Bank for administrative or medical procedures related to their disabilities, or those of their disabled close relatives. So that disabled employees may have better access to training, since November 2013 they may indicate their training adaptation needs directly in the management tool. The work of the project on accessibility to e-learning modules continued in 2017 with the aim of giving everyone the same access to training.

The Disability Mission has also set up **awareness-raising** actions aimed at all employees of La Banque Postale to break down barriers and stereotypes linked to disability or its representation. In 2017, La Banque Postale accordingly renewed the programme for learning French Sign Language. An awareness-raising initiative for managers of La Banque Postale was continued over 2017, to inform them of the Disability Policy and its challenges, their day to day role, and key players to assist them. This awareness-raising action conducted through the Company will continue in 2018 in order to train all La Banque Postale's managers.

Finally, the Disability Mission informed employees of **purchases in the protected and assisted work sector** during the **Sustainable Development Week** in June by inviting ESATs (Assisted Employment

Centres) and adapted companies to present their business. Purchases by the La Banque Postale from the disabled and protected sector increased by 9% between 2016 and 2017 thanks to everyone's efforts (purchasers, consultants, etc.).

In addition, every year La Banque Postale takes part in the **European Disability Employment Week (EDEW)**, which in 2017 was the week of a national Diversity and Disability campaign, entitled "*Tous différents, Tous performants*" ("everyone is different, everyone generates performance") in order to apply all of La Banque's commitments to its employees. Several events were held for employees at La Banque Postale's head office: games, quizzes, workshops dealing with stereotypes, Slam writing workshops, "come out of your bubble" workshop, etc. encouraging discussions on the theme of diversity and disability.

Several events were also organised during the week at the regional centres. At the Financial Centre financier in **Toulouse**, for example, an initiation to "Handi-scime" (wheelchair fencing) was offered, a static version of fencing in which the participants sit face to face in a wheelchair that is fixed to the ground. Employees were given electronic canes and followed a blind circuit in order to understand how people with visual disabilities get around. At the Financial Centre financier in **Marseille**, employees received massages given by people with visual and auditive disabilities. The programme of the Information Solutions department included the theme of non-verbal communication and disability during an original coffee break offered at the sites of **Ivry sur Seine, Nantes, Gradignan and Toulouse**. Employees were invited to communicate in French sign language (LSF) to order a drink offered by the department, along with many other actions carried out to raise each employee's awareness of disabilities and change perceptions. The Le Groupe La Poste invited its postmen and women to discover scenes of life at work shown from a humorous angle via an innovative digital poster campaign: five larger-than-life posters depicting scenes relating to the themes of sexist behaviour, gender equality in the workplace, family caregivers, the fight against discrimination and job retention. The campaign will be carried out over the first quarter of 2018, and its purpose is to create discussion among employees on these subjects, challenge stereotypes and encourage change in any behaviour that may exist that is not respectful of diversity.

6.2.3 Societal commitment

Its employees' commitment has made La Banque Postale a **trusted** and essential player for banking services in France. It reaffirms its identity around its unique character and its values as **a bank that works in the best interest of the community at large**. Its goal is to be an **engine for social and economic progress** by placing itself at the inflection point between individual and collective interests.

La Banque Postale is a reference in terms of responsibility and commitment. It is successful and robust and aims to deserve the trust of its customers and stakeholders by supporting their projects and participating in **regional development**.

6.2.3.1 Responsive to stakeholders

The discussions that it conducts with non-profit associations within the framework of the *Alliance Dynamique* in order to promote the social and solidarity economy (see below) or as part of the Initiative against banking exclusion (see section on "*Banking Accessibility*") shows the extent to which La Banque Postale is open to dialogue with external stakeholders.

In order to better identify the expectations of actors linked to the Bank, in 2017 the CSR Department set up an internal Group focus (grouping together HR, the DHA, Communication, Marketing, the Network and the Corporate Department) with the aim of listing and prioritising key stakeholders. The prioritisation matrix that resulted from this workshop will enable the Bank's materiality matrix to be updated in 2018.

In the **discussions held with the consumer associations** of the La Poste Group (since 1989), La Banque Postale takes part in the first discussion level. Twice a year, the Chairman of the Executive Board meets the national spokespersons of approved consumer associations.

True to its values of local presence and transparency, La Banque Postale maintains its ties with local public-sector players, notably through its **local finance steering committee**, composed of elected representatives, former parliamentarians and experts. This committee has a prospective, observation and advisory role: assessment of risks, monitoring, proposing new services, etc.

In order to meet its commitments as regards social home ownership, La Banque Postale pursues its exchanges with the actors of the social housing sector in the framework of its **steering committee for access to social home ownership** (a committee made up of notable people from the fields of housing and social home ownership). Chaired by the Chairman of La Banque Postale's Executive Board, this committee is responsible for advice, planning, and observation. Meeting at least twice per year, it thus plays a role in setting up an innovative model for home loans aimed at low-income households, one of La Banque Postale's key strategic aims (see chapter on "Banking Accessibility").

Since 2010, La Banque Postale has been issued **extra-financial ratings** on a regular basis. At 31 December 2017, La Banque Postale was still rated C+, with the "Premium" status, by the agency **Oekom research** maintaining its position as the leading French financial institution for extra-financial performance. This ranking attests to the quality of the CSR measures implemented. In April 2017, **Vigeo-Eiris** confirmed these good results, giving La Banque Postale a rating of 67/100 (up 4pts), ranking it at the top of the list of world banks on the panel that was evaluated. For the first time, in June 2017 La Banque Postale actively participated in the rating of the agency **Sustainalytics** and obtained a rating of 73/100 (up 14pts). Lastly, **MSCI** ranked it "AA". Among La Banque Postale's strong points, the agencies emphasised its responsible marketing policy and the transparency of contracts, the measures taken to ensure access to financial services for all, the development of financial services with significant social benefits, and a good integration for social and environmental issues in asset management.

La Banque Postale's responsible behaviour is also acknowledged by the French people. According to IFOP's annual **Sustainable Development Observatory**, French people designated La Banque Postale as the No. 1 French bank in terms of commitment to sustainable development, for seven years in a row between 2009 and 2015, the date of the last ranking. Its status as a bank that works in the best interest of the community at large is thus confirmed.

Moreover, La Banque Postale strives to convey its values by participating in the **major committees tasked with promoting CSR**. It also actively participates in various working groups led by the Finance Club of the ORSE (*Observatoire de la Responsabilité Sociétale des Entreprises*, the "Observatory of Corporate Social Responsibility"), in the Greater Public Commission of the Forum for Responsible Investment (*Forum pour l'Investissement Responsable - FIR*), in the CSR/SRI steering committees of Paris Europlace, in the CSR Club of the French Banking Federation, *Fédération Bancaire Française* (FBF), and in the French employers' organisation Medef's CSR and Extra-Financial Performance committees to advance major CSR projects (taking into account extra-financial criteria in the insurance sector, promoting SRI to private customers, enhancement of actions in the finance sector to promote the environment, measurement of the carbon footprint of the financial sector, etc.).

In 2017, La Banque Postale was particularly involved in the work conducted by the ACPR (French Prudential Supervision and Resolution Authority) and the DG Trésor (Public Treasury Department), after the **Task Force on Climate Related Financial Disclosure** was set up. La Banque Postale thus illustrated how it takes environmental factors into account in its financing activities, as well as the impact of climate challenges on its activities (see section on the "Management of Extra-Financial Risk").

6.2.3.2 Accessible by all and for all

The La Poste Network, a showcase for La Banque Postale in the regions, has committed itself, since 2007, to a major programme of modernisation designed to **facilitate the accessibility of post office**

branches, products and services for disabled persons. The commitment within the scope of the programmed accessibility agendas (Ad'AP) was to extend the accessibility programme to post offices between 2016 and 2024. By the end of December 2017, 5,678 post offices (65%) had accessible sales areas for all disabled people and 4,212 of them (48% of the fleet) had external access for people with reduced mobility.

At the end of 2017, 98.5% of **Automatic Teller Machines** (ATMs) situated on Post Office façades were either directly accessible to persons with reduced mobility (PRMs), or situated in direct proximity to another ATM which is accessible to PRMs in the same Post Office. The provision of accessible ATMs and SSTs (Self-Service Terminals) of La Banque Postale for blind or visually impaired persons is also underway, with an accessibility rate at the end of 2017 of 81%. ATMs that are located inside the offices are all accessible.

A **French sign language interpretation service** has been experimented in post offices since 2014 to support people who are deaf or hard of hearing. **Personalised assistance** is provided right from when the customer enters the sales space, the use of a sign language interpreter in meetings with customers has been experimented with, and many spaces are equipped with sound amplification systems for better interaction with people, whether or not they are equipped with a hearing aid. In 2017, this service was provided at least once a week across all regions.

La Banque Postale has also reinforced the accessibility of its website by setting up a **"Space for the deaf and hard-of-hearing"** via the Company *Deaf*⁽¹⁾. It enables anyone, whether already a customer or not, to be put into contact with an advisor that knows sign language via video. The advisor can direct the person according to their needs: provide information on the sections of La Banque Postale's website, direct customers through the on-line banking service for account management or to subscribe to products, or to help them make an appointment with an advisor.

La Banque Postale also monitors the **digital accessibility** of the tools it provides in three main areas:

- ▶ La Banque Postale's internet banking site, accessible to users of voice devices since 2010, was audited in 2017, with a 78% accessibility rate. No blocking point was reported during user tests. The site underwent changes in 2017, with notably the overhaul of the account summary for easier access. Its level of accessibility is constantly improving;
- ▶ La Banque Postale's institutional website was also subject to an in-depth audit in 2017. No blocking point was reported but an action plan was implemented to improve the accessibility rate (73%). This site is frequently updated and modified and special attention is paid to preventing any risk of regression in terms of accessibility;
- ▶ LBP's universal application is 86% accessible to iOS devices and offers an unparalleled experience in the mobile banking world. Our teams are involved in all the stages of the new versions of the application. In July 2017, the Touch Id function was set up for the LBP iOS application, making authentication simple and fast for all.

Moreover, the Bank's monthly newsletter is available on the internet in a version accessible to the visually impaired. At the end of 2017, around 1,000 customers had registered to receive their **bank statements in Braille**. Bank statements are available either on-line in electronic version with voice synthesis (using Jaws software), or by signing up to receive the Braille version.

(1) Customer services centre specialised in managing contact with people who are deaf or hard of hearing.

In rural areas, La Poste is involved in reducing the **digital divide** and in improving customer service. Thus, at end-2017, more than 4,100 digital tablets had been installed in La Poste Agence Communale service points. Available to customers on a self-service basis, they provide access to banking and postal services, as well as to town hall and institutional partner websites, such as the CAF (family benefits fund) or Pôle Emploi (the French national employment agency).

On 11 January 2017, the 2017-2019 regional postal presence contract was signed with the French State, the Association of Mayors of France and intermunicipal presidents and La Poste. In this respect, resources of more than €4 million enabled more than 150 existing partnerships to be continued, providing support for our most vulnerable customers and allowing banking and budget workshops to be set up. New partnerships were formed, notably in French Guiana for Haut Maroni and Haut Oyapock and in Mayotte with the *Association Réunionnaise d'Éducation Populaire* (AREP) in Reunion Island. 12 training sessions were held for partners before intervention in post offices by the École de la Banque et du Réseau (EBR).

In order to make the banking accessibility mission - which enables anyone who requests it the right to open a Livret A account - including asylum seekers, more fluid, the list of referring offices for migrants and the list of referring offices for administrative detention centres ("*Centre de Rétention Administratif*", or CRA) were updated, i.e. 146 offices concerned by special reception services. These offices are more prepared for opening Livret A accounts for asylum seekers (referring offices for migrants) and/or have specific relationships with the mediators of the detention centres of the OFII ("*Office Français de l'Immigration et de l'Intégration*"), the French national bureau for immigration and integration.

In 2017, La Banque Postale launched a **digital banking inclusion plan** via a partnership that was signed with the association WeTechCare, created by Emmaüs Connect, and the Network teams. This plan provides solutions to the challenges linked to the digital transition and the opportunities it can bring to the greatest number of people. It concerns all customers, whether they are in a situation of exclusion, or digitally deprived to a greater or lesser extent, and breaks down into three main actions:

- ▶ propose an alternative physical or remote relationship to 100% digital to excluded people, whenever this is possible;
- ▶ support extremely digitally deprived people in the transition to digital;
- ▶ develop inclusive digital services for people who are deprived to a lesser extent.

All of these day-to-day actions to ensure digital accessibility means that La Banque Postale is positioned as one of France's most accessible banks.

6.2.3.3 Committed to serving the real economy in the regions

La Banque Postale has a responsible development policy with respect to its business customers, with its guideline being a few structuring, simple and clear principles stemming from its positioning as a "civic-minded bank".

The benchmark bank in the public sector

For the second year in a row, with €10 billion in financing to the local public sector, La Banque Postale continued its development in 2017 in strict accordance with its "trademark": a long-term relationship based on confidence, transparency, and responsibility.

The No. 1 lender to local municipalities

La Banque Postale continues to anchor in tangible reality the values it demonstrates via the financing of large local municipalities, as well as those with less than 5,000 inhabitants: half of loans are granted to small municipalities. Moreover, to better meet their needs, La Banque Postale lowered its minimum loan amount to €40,000.

Promoting social assistance

To round out its services offer and its multidisciplinary offer, in 2017 La Banque Postale acquired the company Domiserve, the No. 1 issuer of Cesu employment services vouchers financing social assistance.

Committed to health

La Banque Postale puts its know-how at the service of regional health players and develops, throughout France, financing for the healthcare sector. It is also particularly committed to meeting the growing need for lodging and services of the medico-social sector. In 2017, medium and long-term loans amounting to more than 500 million euros were granted to public bodies and associations managing healthcare and medico-social establishments. They financed the construction, acquisition or fitting of homes for the elderly or disabled, or the acquisition of medical equipment for healthcare facilities.

Supporting social housing landlords

As the historical partner of two out of three social housing landlords, in 2017, La Banque Postale reinforced its positions even more by increasing its Livret A outstandings to €2.5 billion, thus becoming the No. 1 bank for social housing landlords. In addition, the Bank increased the volume of short, medium and long-term loans to this category of customer by 60%. It thus plays an active role in supporting social housing projects and contributes to the search for innovative solutions in the production and management of rental property.

Moreover, along with the teams developing the solutions for "individual" customers, the Bank makes their life easier via simple and secure rent payment solutions. It also strongly encourages social home ownership by granting loans to those wishing to acquire their home.

Support for local public companies in their transport, energy, urban planning, and equipment projects

La Banque Postale has become the No. 1 partner for local public companies, with €350 million in financing granted in 2017, bringing the total volume of loans granted since the launch of this activity in 2014 to €1 billion. La Banque Postale thus provides very strong support to large regional projects.

A partner bank to large businesses

La Banque Postale has strengthened its position with respect to the 300 largest French companies as well as social protection players, notably pension funds, for which it makes 40% of pension payments every month.

With more than €6 billion euros in deposits, and close to €4 billion in loans, La Banque Postale is also a major player in the management of flows, with volumes of €15 billion handled.

In 2017, La Banque Postale formed excellent partnerships with major retail brands, thanks notably to its electronic payment solution with a volume of 350 million transactions.

Financing Assets and Projects

With its Assets and Projects Financing team, in 2017 La Banque Postale reinforced its actions alongside private and public entities (public service outsourcing contracts, public/private partnerships, local municipalities) to finance large transport assets (tramways,

containers, ocean liners, etc.), renewable energy projects (heating networks, wind turbines, and photovoltaic systems, fibre optics installation, establishment of colleges, etc.).

SMEs/ETIs, new growth drivers

Strong acceleration to finance the growth of SMEs/ETIs

Major breakthroughs were achieved in 2017 with the large retail, transport, and real estate sectors, for which La Banque Postale has become a benchmark. Payment solutions thus saw its business increase by 15%.

With regard to financing, more than €2.4 billion in short, medium and long-term credit was granted to SMEs and ETIs (intermediate-sized enterprises) for various types of financing: acquisition of commercial property, equipment and materials, working capital, cash needs. Part of this financing enabled work to be done to improve the energy efficiency of buildings, promote recycling, renew ageing vehicle fleets, set up organic grocery stores, develop a personal services network.

To meet the needs of its customers as best possible, La Banque Postale broadened its presence with the opening of two regional business centres (Bayonne and Annecy) and two business centres in the Greater Paris region of Ile-de-France (Courbevoie and Saint Denis), bearing in mind that La Banque Postale's objective is to double the number of its business centres across the territory by 2020.

In addition, La Banque Postale acquired a stake in **WeShareBonds**, a financing solution for intangible needs via crowdlending, thereby rounding out its financing range in an innovative way.

Supporting the actions of institutional investors and the associational network

As a creator of business and employment, this local network actively supports social links. Close to all the players in the social economy, La Banque Postale offers them dedicated solutions to help them fulfil their missions. Its historical relationship is based on a strong community of values with close to 300,000 customer associations.

Among them, 5,000 management associations are supported by advisors dedicated to the associative sector. In 2017, La Banque Postale continued its development to offer them dedicated solutions. It thus streamlined its medium and long-term investment range in the aim promote its Socially Responsible Investments (SRI) to non-profit organisations.

To help large associations fulfil their missions to the maximum extent, La Banque Postale made its website available on two occasions in 2017 for large collections. It thus brought in significant sums for the Red Cross for hurricane Irma (€193,782) from 2,577 generous donors and for the **Téléthon** (€564,000). La Banque Postale thus plays its part as a bank that works in the best interest of the community at large by accelerating the collection of donations.

Developing banking services for micro-companies and professional customers

Launched in 2015, the project was again accelerated in 2017, with massive recruitment to round out the 320 advisors already in place. At a time of digitalisation and the closing of branches, La Banque Postale has anchored its strategy of proximity into reality with the external recruitment of 150 advisors.

Since October 2017, it has also created a remote "e-credit" team to make the financing of equipment for business professionals more fluid.

Thanks to its presence across all regions and its flow management and financing offers, it welcomed 23,000 new customers in 2017 and increased its loan production fourfold.

2017 was, lastly, the year of acceleration in the conquest of franchises, which is a strategic area in that franchises concern one store opening out of two, and are true accelerators of momentum in the regions. La Banque Postale participated in the "Salon de la Franchise" fair, and also visited regions, holding (free) conferences in 17 towns in France, in the framework of its "*Entreprendre en Franchise pourquoi pas vous ?*" ("Opening a franchise, why not you?") partnership. The 40 banners already part of the Franchise Division of La Banque Postale generated more than 12% of total medium to long-term credit attributed to business customers.

With the acquisition of KissKissBankBank (see below), La Banque Postale broadens its range and provides business customers with a new innovative offer in the current crowdfunding palette.

Committed to promoting crowdfunding

Since June 2011, La Banque Postale has also supported the collaborative economy thanks to a partnership agreement signed with **KissKissBankBank**, a crowdfunding platform that enables project starters to raise funds through their friends and the general public. Each month, La Banque Postale finances 50 % of a chosen project that has a sustainable development aspect, selected via votes by the public on the Facebook page of La Banque Postale. Over 90 projects have been supported in this way since the partnership was launched. Since 2013 this partnership has also included **hellomerci**, a platform for solidarity lending between private individuals.

In 2017, La Banque Postale reinforced its commitment in favour of crowdfunding by acquiring 100% of the company **KissKissBankBank&Co**. This acquisition is in line with La Banque Postale's digital development strategy and its wish to offer civic-minded products and services that meet the new expectations of its customers.

Lastly, in 2017, La Banque Postale also pursued its commitment to the **Social Cup**, the first French cup for **student social entrepreneurship**, launched with KissKissBankBank and MakeSense. This third year of the event saw more than 2,200 students compete in the 12 participating cities, to propose nearly 200 innovative social-enterprise projects. 12 projects were selected for the final, which took place in Paris in February 2017. These 12 finalist projects received a financial allowance from La Banque Postale for their first crowdfunding campaign launched on KKB. Via these partnerships and initiatives, La Banque Postale encourages entrepreneurial spirit and the expansion of the collaborative economy.

Lastly, as part of its commitment to crowdfunding, the Bank acquired an interest in the capital of **WeShareBonds** in October 2016 in order to accelerate the financing of French SMEs. WeShareBonds makes it easier for French SMEs to access new sources of financing: the savings of private customers and corporate cash.

6.2.3.4 Attentive to its suppliers

La Banque Postale's **responsible purchasing policy**, implemented since the end of 2009, is fully consistent with the Purchasing Department's cost control policy. It is based on the following four pillars:

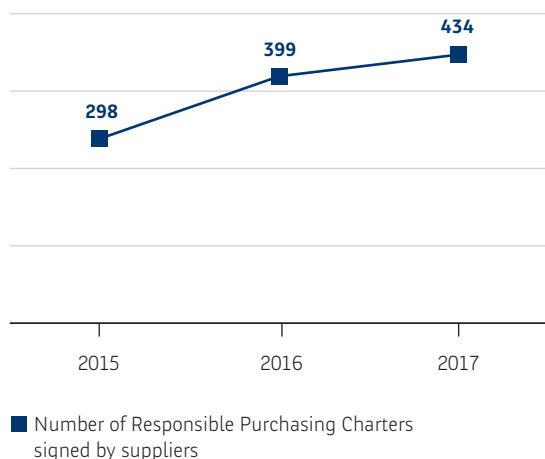
- ▶ the signing of a Responsible Purchasing Charter;
- ▶ turning to the disabled and protected sector;
- ▶ integrating extra-financial criteria into the selection and monitoring of suppliers;
- ▶ making La Banque Postale's invitations to tender accessible to small and medium-sized enterprises.

The Responsible Purchases charter

Set up in June 2009 and updated in 2014 and currently being re-updated, this charter sets out the policy for suppliers. It raises their awareness of La Banque Postale's CSR policy and encourages them to commit to a CSR approach. Moreover, in the charter, the supplier undertakes to comply with the regulations in force, which are worded in a more formal manner.

La Banque Postale's Responsible Purchasing Charter must be signed for each new contract with a supplier, or at the steering committee meeting for ongoing contracts when the charter has not been already signed. The charter is one of the factors enabling the Bank to respect its due diligence obligations with respect to the companies that make up its value chain. In signing this charter, the supplier undertakes to:

- ▶ comply with the 10 principles of the **Global Compact** and the eight Fundamental Conventions of the **ILO** (International Labour Organization);
- ▶ develop within their enterprise a management system and working conditions respectful of **human dignity and workers' rights**;
- ▶ **comply with social and environmental regulations** by establishing practices (transport policy, recyclability criteria, final waste management, etc.) for themselves and their subcontractors.



At the end of 2017, **81% of the top 150 suppliers** (compared to 79 % at the end of 2016) had a responsible commitment covering 61 % of the total purchasing volume managed by La Banque Postale.

An increasing contribution to the indirect employment of disabled people

The actions pursued by the Purchasing Department have enabled it in particular to meet objectives set in terms of purchases from **the disabled and protected employment sector**. In 2017, purchases by La Banque Postale from the disabled and protected sector amounted to €935,363 VAT inclusive, an amount that has, moreover, continually increased in recent years.

The Purchasing Department, with the support of consultants, is always identifying new services in connection with the disabled and protected employment sector for tenders. Services such as printing, intersite shuttling or catering are in part dedicated to this sector, and competitive bidding is done with the ordinary sector.

Extra-financial criteria in supplier selection and monitoring

Every buyer at La Banque Postale ensures that **social, societal and environmental** criteria in line with the purchased service is integrated into the supplier specifications and during the supplier selection process. The supplier carries out an annual assessment during the service monitoring phase, which, if applicable, includes its sustainable development actions.

An ongoing discussion in collaboration with the consultants is also conducted on the improvement of supplier specifications to ensure that services are in line with the CSR policy of La Banque Postale.

Depending on the purchasing categories, environmental and social concerns represent in general **10% of the global weighting** of the rating criteria of the invitations to tender.

Supplier risk assessment

The CSR Division, in collaboration with the Purchasing Department, created a kit with a number of tools to raise **awareness of and encourage dialogue** on the challenges, risks and opportunities of having a responsible purchasing approach: the analysis matrix of CSR challenges, risks and opportunities regarding purchasing; CSR sheets per purchase family; an awareness-raising poster, an intranet section dedicated to responsible purchasing.

This **matrix** provides possibilities to be considered in order to mitigate legal, social, environmental and societal risks, and also to improve the positive impact of the purchasing act on various levels:

- ▶ social, e.g. the inclusion of employees with disabilities by taking into account accessibility when purchasing IT upgrades;
- ▶ societal, e.g. regional development by buying from the social and solidarity economy;
- ▶ environmental, e.g. improvement of the quality of life at work by buying a partition capable of reducing air pollution; in September 2014, the introduction of an electric vehicle for mail shuttles between locations;
- ▶ economic, e.g. the possibility of developing a competitive advantage for a La Poste product or service through an evaluation of the suppliers' variants.

Making La Banque Postale's invitations to tender accessible to small and medium-sized enterprises

In order to allow small and medium-sized companies access to its invitation to tenders, La Banque Postale pays attention to:

- ▶ reducing the risk of financial dependency *via* dependency rate measurement;
- ▶ allotting invitations for tenders so that micro and small and medium-sized businesses in very specialised sectors can tender directly and not as co-contractors or subcontractors. Example: specific batches for independent services with specific intervention requirements.

6.2.3.5 Encouraging equal opportunities

L'Envol, La Banque Postale's campus

Because education is a major national concern, La Banque Postale is committed to **societal sponsorship** to prepare for the future through equal opportunities. In 2012 it therefore created an association under law 1901: "*L'Envol, le campus de La Banque Postale*", which embodies its values and those of the *Le Groupe La Poste*, and which actively involves its employees by encouraging their **civic commitment**.

This initiative has been supported by the Ministry of National Education since it was launched, and its partnership was renewed in 2016. Its mission is to **foster educational pathways for young and talented pupils** from low income households from across France (rural and urban), including the overseas territories and departments, by providing individualised support for them, from the time they enter school until they register in higher levels of superior general, technological or professional (vocational) education, and/or until they become a part of the workforce.

L'Envol runs two programmes for pupils and students. They have common objectives but are tailored to the specificities of the training courses followed:

- ▶ the **"general and technological" programme**, which started in 2012, sponsors each year 60 pupils from high school (third to last year students) through to graduate level (with three years of graduate studies on average), in partnership with the Frateli association;
- ▶ the **"career path" programme**, which started in 2015, sponsors each year 45 students who have chosen superior vocational sectors (catering trade, metal working industry, art and fashion), in partnership with the association *Réussir Moi Aussi*.

The sponsorship programme strives to be complete and consistent in order to develop talent in all its forms, foster **diversity in superior educational/career pathways** and contribute greater social openness. To do so, the programme has six dimensions:

- ▶ to have the knowledge, working methods and motivation to improve or maintain results;
- ▶ to project oneself into the future, make informed choices and prepare for them;
- ▶ to know how to communicate and interact with other people and to learn from differences;
- ▶ to be self confident, believe in one's chances, manage stress and difficulties, and assert tastes and opinions;
- ▶ to extend one's horizons by developing general knowledge and critical thinking and by being open to new experiences; studying abroad;
- ▶ relationship to commitment: to respect one's commitments and take initiatives and responsibilities in one's activities.

Since it was created, **L'Envol has sponsored 479 students**, i.e. six "general and technological" classes and three "career path" classes.

All La Banque Postale and Le Groupe La Poste employees can volunteer for the **Mentors' Community**. They can either provide individualised support for a young person when they are at secondary school and/or during their further studies. The mentor contributes to the development of the young person they are responsible for, to the success of their educational and professional path, and to their openness to the world. Sponsors can also help to organise and coordinate large national and regional gatherings. Between 2012 and 2017, **654 employees** of La Banque Postale and the Le Groupe La Poste committed to being a mentor. Since 2017, new mentors participate in a day of training that is part of the training plan before committing to a young person. The objective is to teach them how a mentor behaves, give them advice for the first interview, as well as keys to the teenage stage, etc. In 2017, the commitment of mentors represented close to **1,200 days of volunteering**.

A sign of its success, L'Envol has won many prizes since it was launched: the *France Mécénova* trophy in 2013, the Europe hallmark in 2013, the *Entreprise Citoyenne* national trophy in 2014.

In 2017, L'Envol celebrated its 5-year anniversary and organised a forum entitled *"5 ans de citoyenneté au service de l'Education"* with its institutional partners of the French National Education

system, the *Commissariat Général à l'Egalité des Territoires* (General Commission for the Equality of Regions), its associative partners and other establishments committed to equal opportunity.

During the 2016-2017 school year, L'Envol gave high school students **368 hours of virtual classes in English and general culture** in small groups and **1,880 hours of academic support**. High school students wanting to apply to medical school, Sciences Po and other prestigious universities benefited from 84 intensive courses in order to be best prepared for the entrance exams.

Because drawing up a student budget is essential, L'Envol works in **partnership with La Finance pour Tous** and offers students financial education workshops, as well as material support on a case-by-case basis; thus, 59 computers were made available to them, in partnership with Ecodair (an organisation that recycles old IT equipment).

L'Envol holds **10 large events each year** to foster initiative among students, according to their academic level: integration courses for "general track" students (for students in their third- and second-to-last years of high school) and "professional track" students (for students in their second-to-last year of high school), a "Cap sur le sup" (introductory to higher education) course and field trip to Berlin (last year of high school), "Campus vers le sup" and English immersion stays (second-to-last year students) as well as local events in the regions gathering together mentors and students.

All these actions encourage the students to succeed in their studies: 98% of students earned their baccalaureate in 2017, and 74% of them received a special mention in their exam results! They choose their vocations in conjunction with L'Envol, which assists them in the process for determining a **career plan**. They pursue their post-secondary studies in a great variety of sectors (political sciences, medicine, preparatory classes, etc.) while continuing to receive counselling from their mentor.

In order to give back what they have received from L'Envol and provide support for the younger students, the students that have come to the end of their mentor programme created an alumni association called **"L'Envol Alumni"** and regularly attend the gatherings in turn as facilitators for younger people.

Skills-based volunteering

In 2017, the **skills volunteer** programme initiated by La Banque Postale and La Poste Network continued its development. Almost 80 new employees were trained for **budget workshops**, by participating in five workshops (two in Paris, one in Lyon, one in Bordeaux and one in Nantes). They were able to deploy their acquired skills mainly among those benefiting from the *Garantie Jeunes en Mission Locale* training programme for vulnerable young people. Around 20 employees sponsored mini-companies as part of the **Entreprendre pour Apprendre** (EPA) programme. The tests for the national EPA championship for mini companies, secondary school category, were also held at La Banque Postale's head office in May 2017. In addition, around 20 Île-de-France employees teamed up with **La Finance pour Tous** to mentor final-year students on the Management Sciences and Technologies course at the Creteil Academy and support their work on their corporate case study as part of their baccalaureate, while others worked with five other partner associations of LBP or the Network (ADIE, Passerelles&Compétences, Face, Planet Adam, Unis-cité). The employees who volunteered for these programmes reunited for a day of sharing and recognition on 9 June 2017 at the head office of La Banque Postale, and benefited from pitching training. Counting the volunteers who continued their commitment from previous years, almost 250 of the Bank's and Network's employees are currently active in skills-based volunteering, some of whom participated especially actively, such as in Orléans and Lille.

6.2.3.6 Respecting and defending major international commitments

As a subsidiary of the La Poste Group, which has been a signatory to the **UN Global Compact** since 2003, La Banque Postale upholds the principles set forth by the Global Compact regarding Human Rights, Labour Standards, Environmental Protection and the Combat against Corruption.

Regarding respect for Human Rights and Labour Standards, La Banque Postale, which is a French retail bank operating exclusively on French territory, is not concerned by the issues inherent in corporate and investment banking (CIB) activities. Nevertheless, in accordance with the Due Diligence Act, it undertakes to promote and respect Human Rights as described in the Universal Declaration of Human Rights for its business and within the framework of its relations with its suppliers. It considers the International Labour Organization's Declaration on Fundamental Principles and Rights at Work as a benchmark (see section on "Corporate Responsibility"). The Bank upholds freedom of association and recognises collective bargaining rights. Forced or compulsory labour and child labour are of course prohibited. Any form of discrimination is prohibited at La Poste and La Banque Postale. The Company reiterates its attachment to compliance with rules of

equality and respect for diversity in all its forms. As an example, the trade union organisations signed various agreements concerning job equality between men and women, employment of disabled persons, and the inter-generational contract designed to promote corporate values. The Company's internal rules also reiterate the prohibition of any harassment at work, and establishes procedures for reporting any presumed situation of discrimination or harassment to the operational Human Resources Department. A mediation unit was also set up to address suspicious cases (see section on "Corporate Responsibility").

In France, the employee training sessions on business ethics cover the **fight against corruption** (see "Management of Extra-Financial Risks"). Moreover, La Banque Postale ensures that its suppliers share its values by having them sign a Responsible Purchasing Charter (see above), underlining the importance of respect for Human Rights, Labour Standards and the Environment. In 2017, La Banque Postale, jointly with the La Poste Group, launched a risk mapping project in order to comply with the Due Diligence Act.

As proof of its commitment, in its February 2017 survey on business and human rights, the ratings agency VigeoEiris ranked La Banque Postale in first place among French banks and in third place among French companies from all sectors.

6.2.4 Environmental commitment

In terms of environmental measures, La Banque Postale implements simple, concrete, rated measures which contribute to the protection of the environment. The goal of this environmental policy is to reduce its direct and indirect impacts on the environment.

La Banque Postale is committed to fighting climate change

The La Poste Group has set itself new environmental objectives, particularly to **lower its greenhouse gas (GHG) emissions by 20%** compared to its 2013 level to fight climate change, as part of the "Energy Transition" priority programme in its new strategic plan for the period 2015-2020. La Banque Postale also intends to fully contribute to achieving these ambitious goals, by reducing the greenhouse gas emissions associated with its main emitting lines by 20%: buildings and IT, business travel and paper consumption.

To ensure the relevance of this target, and that it is in line with the ambitions of the Paris Climate Agreement signed during the COP21, La Banque Postale committed in 2017 to the "Science Based Target" initiative. The Bank thus has two years to submit its reduction target, including its indirect emissions, to the SBT.

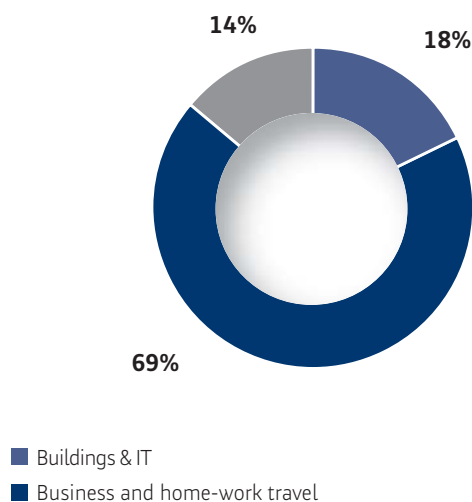
In order to structure this initiative, La Banque Postale is participating in the project started by the La Poste Group in 2016 to deploy an environmental management system. **An ISO 50001 certified SME will be set up by 2019 and will form the base** for the coherent convergence of all the Group's energy transition actions. In 2017, the work Group completed the first phase of the project (signing of an engagement letter, setting of a timetable, identification of the scope of coverage and the roles and responsibilities of the players). This approach

reflects a structural commitment on the part of the Bank in favour of the Energy Transition.

In addition, La Banque Postale remains mindful of the impact of certain indirect emissions connected to its products, as well as of reducing the environmental impact of its means of payment or its information systems. It also works to foster the circular economy of its resources and to control its water consumption. Externally it is also involved in the promotion of biodiversity.

6.2.4.1 Controlling La Banque Postale's GHG emissions

Aware of its impact and role, La Banque Postale is attentive to its direct greenhouse gas emissions connected to buildings, IT systems, employee travels (business trips and commuting) and its paper consumption. The carbon footprint of its main emitting lines in 2017 totalled 64,256 tons of CO₂ equivalent, compared to 64,451 in 2016(1). Despite a significant rise in emissions related to its employees commuting travels(2), La Banque Postale maintains an overall decrease of its carbon footprint (-0.3%) due to a 9% decrease of its other main emitting lines (buildings, business trips, paper consumption). The control of the main emitting lines is supported by an innovative mechanism, the Carbon Fund, which strengthens the management of its direct footprint in respect of the **energy performance of its buildings, the green IT performance of its computer network, the promotion of sustainable mobility and responsible paper consumption**.

WEIGHT IN THE LA BANQUE POSTALE'S CARBON
FOOTPRINT OF THE THREE MAIN EMITTING LINES
(EXCLUDING LCB)

La Banque Postale's Carbon Fund ✓

La Banque Postale launched its first "Carbon Fund" in 2015 to take concrete action on its CO₂ emissions. This is an **internal mechanism to monetise La Banque Postale's carbon footprint** (excluding LCB) in order to internalise the cost of this negative externality. For the first three versions of the Carbon Fund, a total budget of €1 million enabled to finance **internal projects** to reduce the Bank's greenhouse gas emissions and **external projects** with high added environmental value in France. This budget is calculated on the basis of the tonnes of carbon generated by the Bank's three main emitting lines - transport, buildings & IT and paper consumption (internal and external).

Invitation for tenders are launched every year for the **internal projects** and they are selected on the basis of several criteria including economic profitability and the carbon emissions potentially avoided. Thus, the 31 projects which have already been financed by the 2015, 2016 and 2017 Carbon Funds are directly involved in achieving La Banque Postale's goal of reducing its greenhouse gas emissions by 20% by 2020. Examples are renovation and energy efficiency works on buildings, awareness-raising campaigns on sustainable development in partnership with NGOs and associations, and the deployment of fleets of electrically-powered bicycles. Innovative pilot projects have also been financed, such as the vegetation of the roof of the Company restaurant of a Financial Centre, a study to optimise La Banque Postale's vehicle fleet, or remote eco-metering of energy resources, which uses intelligent sensors to itemise building consumption. According to projections, all the projects funded since the Fund was launched in 2015 have the potential to eliminate almost 3,000 tonnes of CO₂ emissions by 2020.

La Banque Postale, one of the first banks to have set up a Carbon Fund, is also the only one to date to offer financing for **external environmental projects** in France. Serving the regions, it finances, in collaboration with the Mail-Parcel Division of the La Poste Group, forestry projects of the Public Interest Group of the Massif Central and the CNPF (Centre National de la Propriété Forestière, the National Forest Ownership Centre) in the framework of the "Climat + Territoires" project⁽¹⁾ or the programme "Ferme laitière bas-carbone" (low-carbon dairy farm) project⁽²⁾ backed by the Centre National Interprofessionnel de l'Economie Laitière (CNIEL, the National Interprofessional Centre for the Dairy Economy) in the western and eastern parts of France. In 2017, the La Poste Network joined La Banque Postale in this approach by financing a forestry project of the ONF (the National Forestry Office) in the Hauts de France region.

Building on the success of this programme, La Banque Postale inaugurated the fourth version of its Carbon Fund. The call for candidatures for the 2018 Carbon Fund was launched at the end of 2017 to all its employees. The major change compared to the previous versions is the **increase in the price of the tonne of carbon from €8 to €10 euros**. This increase enables the financial budget of the Carbon Fund to be maintained at an equivalent level despite the drop in La Banque Postale's GHG emissions. Moreover, reinforcing the mechanism yet further, La Poste Network joined La Banque Postale in this approach in 2017. This new Fund promotes the implementation of projects fostering energy efficiency at post offices where over 50% of activities are dedicated to the Bank's business lines. This commitment by La Poste Network allows the Bank to offer an effective mechanism to promote the reduction of its environmental footprint across the whole of its banking, Financial Services, subsidiaries and Banking Advisory Line activities.

An energy performance policy for its buildings

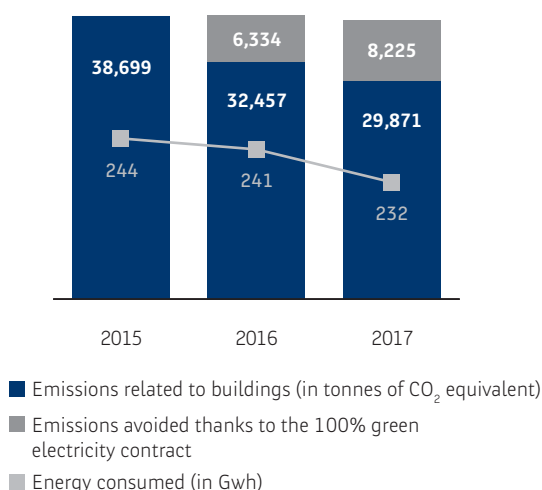
The policy on the energy performance of buildings overseen by La Banque Postale's Real Estate Department is based on the following three main axes:

- ▶ promoting energy savings work on buildings;
- ▶ optimising the energy efficiency of its real estate assets on a daily basis: inside temperature of premises, lighting, detection of leaks, etc.;
- ▶ encouraging ecologically responsible behaviour among employees.

The measures taken in this respect have enabled La Banque Postale to maintain its building-related greenhouse gas emissions in recent years despite the increase in business. Between 2013 and 2017, La Banque Postale's CO₂ emissions linked to buildings fell by 29% on a like-for-like basis. The ratio in terms of the number of employees is also positive with a 40% reduction in CO₂ emissions per employee in 2017 compared to 2013. In 2017, emissions linked to buildings totalled 29,871 tonnes of CO₂ equivalent (down 8% compared to 2016) across the most exhaustive scope available at this time, i.e. covering 13 out of 14 subsidiaries and taking the emissions caused by the banking activity (LCB) in post offices into account. This reduction is notably due to purchasing 100% renewable electricity for the majority of La Banque Postale buildings from 2016.

(1) The purpose of the "Climat + Territoires" programme is to support innovative socio-environmental projects in France, with a threefold objective: to "offset" the local environmental footprint, favour the adaptation to climate change and create value in the regions.

(2) Evaluation of the GHG emitted by the dairy production in each farm and the set up of an action plan adapted to each farm and its environment.



La Banque Postale expects that its **reduction targets** will be standardised from 2016, in line with its 2016-2022 strategic plan:

- 5% reduction in 2017;
- 10% reduction in 2018;
- 15% reduction in 2020;
- 20% reduction in 2022.

In order to achieve these objectives, La Banque Postale and its main landlord, Poste Immo, are already committed to various structuring actions and real estate projects which concretely reflect the energy performance policy's main axes.

In response to the first axis for the implementation of work on energy efficiency:

- La Banque Postale's Real Estate Department regularly orders, for its premises, heat insulation, roof repairs, heat regulation, replacement of obsolete air-conditioning, boilers or fitting of movement detection LED lighting in communal areas;
- in addition, La Banque Postale was able to identify energy emission-reducing actions that will feed into its 2016-2022 energy performance policy thanks to 11 **energy audits** (2015 Daddue Act) over more than 70% of the direct energy bill of La Banque Postale SA.

In response to the second axis for optimising the energy management of its real estate park on a day-to-day basis:

- La Banque Postale has purchased **100% renewable electricity** since 1 October 2015 to supply all its major sites (power above 36kVA), which represents 60% of total electricity consumption. This exemplary decision is part of the Le Groupe La Poste's commitment to the **RE 100 initiative** which undertakes to supply the real estate park managed by Poste Immo with 100% renewable electricity between now and 2020. This is another example of linking economic performance and the reduction of the ecological footprint. It contributes to the responsible economic development of the French regions and fosters the development

of renewable energy in France. La Banque Postale thus avoided emitting 8,225 tonnes of CO₂ in 2017 thanks to its suppliers of 100% renewable energy (vs. 6,334 tonnes in 2016);

- La Banque Postale works on a daily basis with its landlord Poste Immo to implement the Green Lease approach to its buildings. This approach aims to improve the environmental quality of buildings and reduce operating expenses thanks to sustainable use and management. It is implemented through raising the awareness of the occupiers to eco-gestures, the optimisation of building equipment and renovation planning that systematically incorporates energy performance;
- this approach covers La Banque Postale's 25 highest energy-consuming buildings affected by the environmental annex (leases for premises over 2,000 m² used as offices or shops). Moreover, in anticipation of the decree on service sector renovation, Poste Immo is a signatory to the Tertiary charter committing it to improving the energy performance of its properties of more than 5,000 m² by 25% between 2011 and 2020. 12 buildings used by La Banque Postale's employees are covered by this charter whilst the Green Lease initiative has been extended to this new scope.

The CUBE 2020 competition is one of the actions set up in the framework of the Green Lease approach. This competition is organised by the IFPEB (French Institute for Building Performance) and aims to encourage companies to reduce the energy consumption of their operational buildings. La Banque Postale, represented by Poste Immo, participated for the third year in a row. In 2017 236 buildings participated in CUBE 2020. 13 of them are occupied (partially or totally) by La Banque Postale employees. This third version ended on 31 December 2017. In the September ranking, all of La Banque Postale's sites had already achieved 10% of energy savings over nine months of competition. One of them has already exceeded the 20% threshold, putting it in the running for the gold or even platinum medal by the end of the competition!

- in this respect, the **SOBRE** solution (a joint venture between Poste Immo, Caisse des dépôts and Egis), which was created in 2016, began to be deployed in 2017 in the 5,000 sites most energy-consuming sites of the Le Groupe La Poste's real estate park. In view of the challenges regarding energy savings, compliance with regulatory requirements, and the mobilisation of users to support the energy transition, SOBRE offers a simple tool which makes it possible to have a better understanding of real estate assets, and to streamline and improve energy consumption. SOBRE aims to optimise how installations function and to influence behaviour and good practices in the Company to make savings of 10% to 15% without investment. La Banque Postale participated in the experimental phase of SOBRE. In 2017, 26 sites of La Banque Postale were equipped with the Sobre box, and 12 additional sites are planned for 2018. The feedback from the experiments and initial results enabled SOBRE to win the Consumer/Best Practices Smart Awards at the Smart Energies Expo in June 2017. SOBRE will be commercialised to companies and local municipalities in 2018, to provide them with better knowledge of their real estate network, and help them streamline and improve their energy consumption.

* Data restated on a historical basis.

* The total energy consumption includes the consumption of electricity natural gas, fuel oil, district heating, and propane gas.

Lastly, in response to the last axis of the energy performance policy, which involves fostering ecologically responsible behaviour among employees: La Banque Postale promotes multiple awareness-raising activities every year (eco-gesture campaigns, **awareness-raising** stand, thematic exhibitions) in offices throughout France thanks to the work of its CSR correspondents, who raise employees' awareness of the importance of adopting ecologically responsible habits.

A Green IT performance policy for its computers

The energy efficiency assessment conducted in 2007 and 2008 revealed that the share of electricity consumption attributable to IT systems was between 40% and 50%.

The carbon footprint of the various installed computer networks has been measured since 2013 at the level of the Le Groupe La Poste, thanks to the "Green Argile" IT tool. Thus, in 2017, the distributed IT⁽¹⁾ and La Banque Postale's Data Centers represented around 8,616 tonnes of CO₂ equivalent (vs. 8,968 tonnes of CO₂ equivalent in 2016), i.e. a decrease of close to 4% in two years⁽²⁾.

In parallel to a responsible purchasing approach to IT hardware and services, the department in charge of the IT systems of the Bank and the Network (DISFE), based on the analysis of the trend in the carbon footprint under its responsibility, has a Green IT action plan.

Thus, all the desktop and laptop PCs of La Banque Postale, the Financial Centres and the Network (post office branches) bought since 2012, gradually replaced, bear the EPEAT eco-label and currently represent 72% of the network.

Likewise, all printers and photocopiers acquired or leased since 2014 have the Energy Star label, i.e. 48% of the network.

Finally, the decision was taken to launch two new actions from 2018:

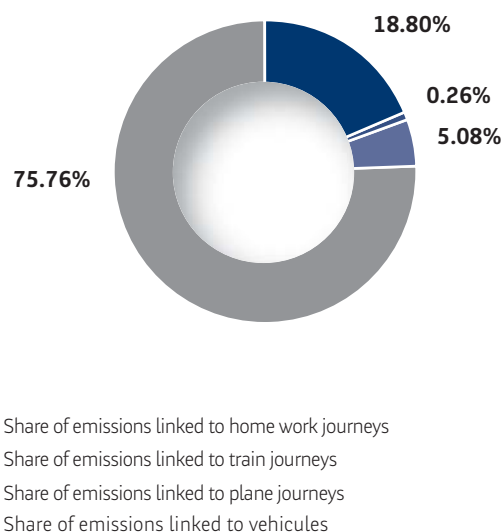
- the gradual implementation of the Watchdoc tool at our sites as part of printing management, which should reduce paper and ink consumption.

The gradual deployment of thin terminals in post offices in order to reduce electricity consumption.

A responsible mobility policy for its employees

La Banque Postale has taken various measures to reduce the environmental impact of journeys made in relation to its business, firstly by reducing the number of journeys made by employees, and secondly by promoting the most environmentally-friendly modes of transport among them. The responsible mobility policy concerns long business trips and home-work journeys by employees by car, train, plane, or soft transport methods.

EMISSIONS RELATED TO JOURNEYS



Assessment of employees' travel between home and work

Thanks to the participation of employees in the **home-work survey** carried out during the **2017 Mobility Week**, La Banque Postale was able to calculate trends in the environmental footprint related to its employees' travel between home and work.

The results of this survey show that 158.2 million km were travelled by La Banque Postale employees in 2017, or the equivalent of 3,955 revolutions of the Earth and 20,397 tonnes of CO₂ equivalent. We note that the distance travelled between home and work increased by more than 25% between 2015 and 2017, with an average of 40km per employee per day for an average travel time of 1h20. While this increase is proportional to that of the tonnes of CO₂ emitted, the **drop in the use of road transport** nevertheless limited CO₂ emissions by around 1,400 tonnes.

This increase in the distance between home and work is accompanied by an increase in the use of public transport. In fact, in 2017, the use of public transport by 44% of employees (vs. 38% for cars with a single passenger) was up by 25% compared to 2015. **Public transport has thus become the main method of transport for the employees** of La Banque Postale, while in 2015 it was still cars with a single passenger.

In 2017, 14% of km (compared to 11% in 2015), were travelled by La Banque Postale's employees using non-polluting means of transport, also called **active means of transport**: bicycles, scooters, roller blades, or walking. These active modes of transports are increasingly used by the Bank (+63% compared to 2015), with walking (61%) and bicycle (38%) the preferred choices.

(1) Distributing IT corresponds to office, corridor/department printers, laptops, screens, desktop computers and infrastructure servers.

(2) It is important to note that this network use data is included in the calculation of the greenhouse gas emissions linked to buildings.

Moreover, while **carpooling** remains a secondary mode of transport, it has increased by 35% compared to 2015 with 3.8 million km travelled by employees in 2017, reflecting a favourable trend in behaviour.

The survey is done every two years and will therefore be repeated in 2019. These figures are in line with the efforts made by La Banque Postale to encourage its employees to adopt soft modes of transport and enable it to calibrate the efficiency of corporate reduction actions.

Deployment of mobility plans

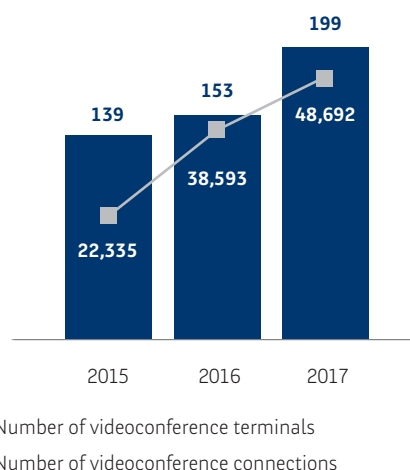
In order to reduce the footprint linked to employee travel, La Banque Postale began, in 2017, with the Le Groupe La Poste, an initiative to assist its sites in implementing the "**Company Journey Plans**" on a national scale. The purpose of a Journey Plan is to optimise the environmental and economic costs of **business and home-work travel** for employees whilst respecting the relevant legislation and complying with the regulatory requirements of the Atmosphere Protection Plans and the "Energy Transition for Green Growth" Act. La Banque Postale employees were involved throughout this project. In an initial step, they answered the **mobility survey**, which enabled an assessment of business and home-work travel. In a second step, they participated in consultation workshops organised by CSR correspondents supporting the company Journey Plans of their site. Out of the around 30 sites concerned, these steps led to the drawing up of **action plans** that in 2018 will lead to the deployment of company Journey Plans across all regions.

In order to reduce the impact of the travel of La Banque Postale employees, **awareness-raising actions were also conducted during the year**, and notably during the European Mobility Week. This week allows the Bank to recall its commitment to responsible mobility and to raise employees' awareness of these challenges. Numerous events were again carried out at national and regional entities during the 2017 edition of the event. The CSR correspondents also organised various parallel initiatives such as bike repair workshops, electric transport tests (electric bicycles and scooters, ZOE electric cars, etc.), promoting carpooling (notably via the discovery of platforms or carrying out inter-site challenges), multi-sport activities, guided visits of city centres, and many other mobility-associated events.

Limiting the impact of business journeys

Part of La Banque Postale's responsible mobility policy involves the installation of **videoconference** terminals in its buildings to simplify exchanges and meetings between its employees whilst limiting their business journeys. Thus, 199 videoconference terminals have been deployed since 2011 inside La Banque Postale's head offices, the Financial Services and certain subsidiaries. Since then, the number of connections has increased sharply, reaching 48,692 in 2017, i.e. a number of connections that has increased by more than 25% in only two years, proof of this service's success among users.

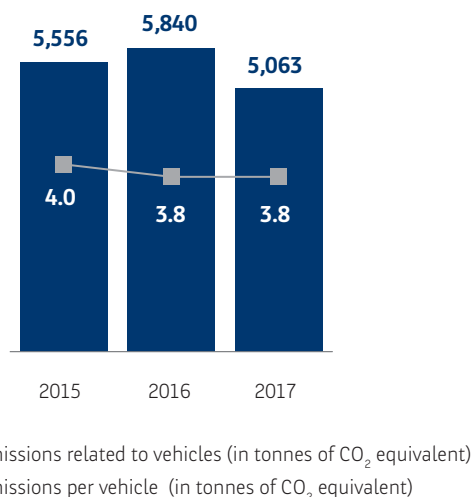
The development of **working from home** as part of improving the balance between work and private lives also contributes to limiting the impact of business journeys (see the *Social commitment* chapter, *Well-being at work* section)



The La Banque Postale vehicles

With respect to the **fleet of La Banque Postale's Company-owned vehicles**, 99% of the fleet's in-service vehicles were emitting less than 120 grams of CO₂ per km at the end of 2017, of which 42.7% emitted less than 101 grams.

In 2017, there was a **more than 13% increase in the emissions of tonnes of CO₂ equivalent linked to the consumption of the fleet of vehicles**, executive and company cars (5,063 tonnes of CO₂ equivalent in 2017 vs. 5,840 in 2016). In addition, the average volume of tonnes of CO₂ equivalent emitted per vehicle fell by almost 1%. This reduction is consistent with the policy of integrating more energy-efficient vehicles into the fleet, and of fostering responsible driving habits among the employees.



A study led by the Purchasing Department on **the optimisation of the vehicle fleet**, which won the 2016 Carbon Fund, enabled to identify optimisation methods that La Banque Postale can implement in the near future. The purpose of this study by Bemöbi Conseil, a subsidiary of the Le Groupe La Poste, was to identify driving practices in order to adapt La Banque Postale's car fleet and the costs of mobility.

In parallel, since 2014, La Banque Postale has looked into the possibility of integrating **electric and hybrid vehicles** into the vehicle fleet when possible. In line with the roll-out of the first electric vehicle at the Financial Centre of Marseilles in 2014, the Centres of Lyon and Limoges also each benefited from a vehicle in 2015. Subject to the need for renewal, the deployment of other electric vehicles will

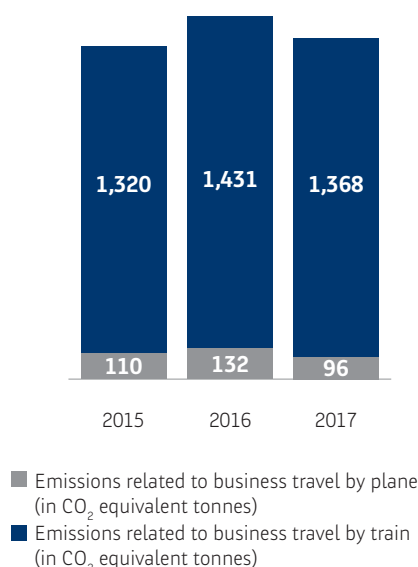
* Data restated on a historical basis.

be considered. The registered office, for its part, acquired **five hybrid petrol vehicles** in 2015 and 2017 (to replace diesel vehicles). This extended the incorporation of two electric vehicle references into the service vehicle catalogue in 2016 and 2017.

In addition, since 2008, 2,174 La Banque Postale employees were trained in eco-driving in the Financial Centres and head offices outside awareness campaigns. These **eco-responsible driving** courses provide training in more flexible driving methods based on anticipation and resulting in a reduction in fuel consumption and thus CO₂ emissions.

Rail and air travel

In 2017, employee travel by rail accounted for 96 tonnes of CO₂ equivalent (versus 132 in 2016) and air travel accounted for some 1,368 tonnes of CO₂ equivalent (versus 1,431 in 2016). Between 2015-2017, the CO₂ emissions related to air travel increased by 4%, while those related to rail travel decreased (down 13%). These figures are consistent with La Banque Postale's travel policy of providing different transport methods for its employees according to their destinations. This policy encourages "green" journeys by train for all journeys in metropolitan France apart from exceptions, while air travel is reserved for journeys to the overseas departments and abroad.



Promoting green transport

To encourage travel by green transport systems, 26 bikes including 19 power-assisted bikes are made available to employees in the Financial and National Centres. The head offices also became involved in the initiative, starting with Bords de Seine II,

The winner of the 2015 Carbon Fund, which was the first head office to be equipped with eight electric powered bicycles in 2016 for professional and private use. In order to test their appetite and change their travel habits, employees can borrow an electric bicycle for a month. Around 50 employees use this service on a regular basis and, thanks to this initiative, other employees have bought a bicycle.

All the Village La Poste sites (Lemny, Brune and Crossing) have been fitted with electric powered vehicles since 2016 to encourage green transport between sites.

The 2017 Carbon Fund also enabled the Nantes Financial Centre to install a bicycle shed including a terminal for eight electric bicycles, as an alternative to using service vehicles.

Encouraging responsible paper consumption

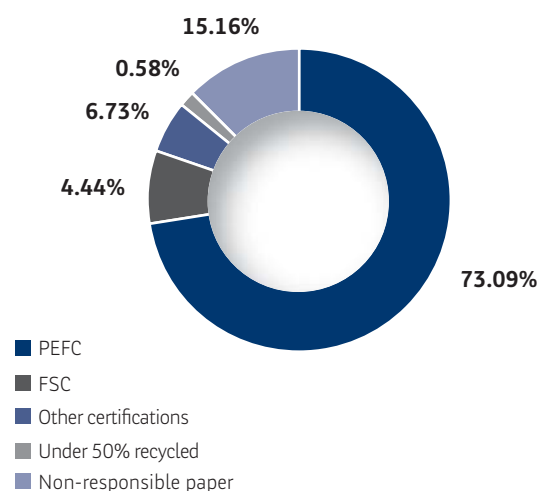
For the second consecutive year, La Banque Postale was able to integrate into its scope of publication (with historic reprocessing) the greenhouse gas emissions connected to the consumption of paper of the Banking Advisory Line (allocation external consumption direct to customers and communication).

Thus, of the 7,314 tonnes of paper consumed in 2017 (compared to 8,162 tonnes in 2016, i.e. an 10.4% reduction):

- 9% was consumed internally, representing 22 kg per employee, or, on average, an 2 kg reduction in the paper consumed by each employee compared to 2016;
- 91% was external (directly to customers and communications) and represented 0.63 kg per active customer.

In 2017, the **portion of "responsible" paper**, in other words, recycled or sourced from forests that are sustainably managed, was 88.5%.

BREAKDOWN OF PAPER PER TYPE OF CERTIFICATION (EXCL. LCB)



In the LBP scope, Financial Services, 84.64% of Subsidiaries and excluding LCB, or 71% of total consumption.

Total paper consumption fell by 19% between 2013 and 2017 after the Banking Advisory Line was incorporated in the reporting scope for paper in 2013. Over the same period, this decrease resulted, in particular, from a 18% drop in "external paper" consumption for customers and communications as a result of a paperless approach for example, online account statements, etc.), and from a 29% drop in "internal paper" consumption, notably thanks to the awareness-raising among, and increased accountability of, employees concerning paper consumption.

It should be noted that, since 2014, till receipts have not included bisphenol A.

* Data restated on a historical basis.

6.2.4.2 Management of indirect GHG emissions linked to La Banque Postale's products

La Banque Postale's goal is to control the indirect greenhouse gas emissions related to its products. In this framework, La Banque Postale Asset Management calculated the carbon intensity (which corresponds to greenhouse gas emissions based on the level of activity) of about 2,000 businesses, with the aid of a database dedicated to environmental impacts. As an initial step for an improved **integration of the efforts to combat climate change in investments**, this information is made available to all LBPAM's fund managers.

2017 was marked by the growing awareness of investors of the major role they have to play in the necessary energy transition. This movement was symbolised by two major international events held in France in December 2017 marking the 2nd anniversary of the signing of the Paris Agreement during COP21 in 2015: the "*One Planet Summit*" and the "*Climate Finance Day*" international climate summit, bringing together international financial players around the theme of financing and the fight against climate change. In France, Article 173 of the Energy Transition Act for Green Growth has, since 2017, created **new requirements for transparency and commitment for institutional investors** with respect to incorporating environmental (E), social (S) and governance (G) criteria in their investment policy and the means that they implement to contribute to the energy and ecological transition.

The regulation and events enabled LBPAM to highlight its SRI approach that it initiated in 1997. To better accompany customers in the challenges of Article 173, LBPAM put in place a **portfolio analysis and reporting tool** enabling to measure the carbon intensity of each portfolio (invested in shares or in bonds,) the share of the portfolio invested in energy transition solutions (companies with at least 20% of their activities linked to environmental solutions, "green bonds") and finally the portfolio's exposure to companies with coal-related activities.

For four SRI funds in the *Investir Autrement* range (LBPAM Responsable Actions Euro, LBPAM Responsable Actions Europe, LBPAM Responsable Actions Environnement and Libertés et Solidarité), LBPAM calculates the **carbon intensity of the portfolio** compared to that of its benchmark index as well as the portion of the portfolio invested in companies that comply with the sustainable development themes. This information is sent monthly to investors via the LBPAM website.

Moreover, **supporting the energy and economic transition** is one of the four analysis criteria on which LBPAM bases its SRI philosophy. LBPAM's SRI analysis thus looks at the exposure to climate change of each company and their ability to face environmental challenges. These criteria (carbon exposure, carbon intensity, current and future fossil fuel exposure, integration of the energy transition strategy in the Company's strategy, offer of products and services to face the challenges of climate change, etc.) aim to measure how companies are exposed to transition risks (legislation, carbon price, etc.).

Other projects support this ambition:

- ▶ the creation of a thematic fund dedicated to the energy transition: the LBPAM Responsable Actions Environnement fund, created in 2009, which aims to invest via European markets in environmental themes, notably the fight against climate change. The assets under management of this fund increased by more than 40% in 2017;

- ▶ investments in "green bonds": since the end of 2013, LBPAM has implemented a specific methodology to evaluate "green bonds". These bonds stand out from conventional instruments by the issuer's commitment to use the funds raised for environmental or social projects. The issuers of these bonds are varied, including business development banks and local authorities, and now States (in January 2017, France issued its first green bond"). Built jointly by the SRI analysts and credit fund managers, this methodology factors in the issuer's ESG rating and a qualitative evaluation of the projects related to the issue (ESG quality of the issue, transparency regarding the projects financed, reporting). Via this dedicated rating, fund managers are encouraged to pay special attention to responsible bond issues. The total assets invested in responsible bonds by LBPAM amounted to €1,195 million at end-2017 (compared to €514 million at the end of 2016), i.e. a 132% increase over the year.

Within this framework, LBPAM has proven its commitment to the energy transition by associating itself with various initiatives in place:

- ▶ in 2015, LBPAM joined the IIGCC (*Institutional Investors Group on Climate Change*), a forum whose mission is to change investment practices by encouraging the adoption of public policies promoting transition towards a low carbon economy and the development of solutions for adaptation to climate change;
- ▶ in 2015, LBPAM also signed the Montreal Carbon Pledge, thus undertaking to measure and publish the average intensity of its open equity portfolio investments.

On 31 December 2016:

- ▶ the average carbon intensity of its open funds invested in equities totalled 250.7 tonnes of CO₂ equivalent per million euros of revenue;
- ▶ the exposure to companies with more than 15% of revenue or the energy mix stemming from carbon was 0.36% on average;
- ▶ the average share of investments in green solutions (only European equity funds) was 11.29%.

These calculations were done for all shares held in equity funds available to the general public, i.e. a total of 12.3 billion euros (except for the third indicator for which the calculation was made for European public equity funds, i.e. a total of 9.9 billion euros).

In comparison, the average carbon intensity of the "Euro Stoxx 300" and "MSCI World" indices were, respectively, 280 and 304 tonnes of CO₂ equivalent per million euros of revenue. The results of these two market indices – the first in the euro zone and the second global – are presented here for illustrative purposes.

6.2.4.3 Promoting a circular economy

La Banque Postale, in parallel to reinforcing social and environmental criteria and specifications for the service providers that clean and manage waste at its premises, has also, for several years, offered awareness-raising activities to its employees, notably during the **European Week for Waste Reduction (EWWR)**. Numerous actions were again carried out at national and regional entities during the 2017 EWWR. Among the events organised by CSR correspondents, with the help of several local associations, we can cite: donations, collection and recycling of used objects (toys, furniture, books, clothes, bottle caps, pens, etc.), workshops for making cosmetics and cleaning products, visiting recycling plants, the "day without disposable cups" challenge; the presentation of the application of recycling

guidelines, etc. To organise these events, the CSR correspondents used the "Reduce our waste" toolbox, circulated by the CSR Division in 2016. This toolbox aims to facilitate the "turnkey" implementation of different awareness-raising actions to promote the circular economy among employees in accordance with the "3Rs" rule: Reduce waste – Reuse products – Recycle materials. In addition to these awareness-raising operations, La Banque Postale works every day to reduce, reuse and recycle the materials used in its business activity.

Collecting WEEE

Like any other company in the service sector, the management of end-of-life WEEE is an important challenge for waste management policies. The PAPREC service provider is responsible for the majority of WEEE collection and recycling processes at La Banque Postale. In 2017, close to 80 tonnes of WEEE were collected inside the Financial and National Centres. Since 2012, the DISFE, which is responsible for La Banque Postale's IT assets, also set up a policy for processing and recycling WEEE with Valdelec, a service provider which collects, dismantles and processes the WEEE of the IT network.

Combating food waste

The catering offering of the DNAS (National Social Activities Directorate) of the Le Groupe La Poste, which partly manages La Banque Postale's catering facilities, includes various initiatives to promote responsible collective catering by combating food wastage and encouraging healthy eating by its users.

The specifications for collective catering incorporate CSR requirements, notably with regard to combating waste, which are reflected by:

- ▶ setting up processes and methods to avoid daily waste and food losses. For example, inventorying before ordering, analysing the number of users of restaurants to adapt the quantities produced daily, FIFO stock management, etc.;
- ▶ raising the awareness of kitchen teams: daily briefings, training on eco-gestures, communicating with users in order to serve quantities matching their requirements.

We can therefore cite the following 2017 best practices:

- ▶ experimenting with weighing waste as part of the fight against food waste;
- ▶ continuation of the work to implement extra-financial indicators with service providers;
- ▶ awareness-raising campaigns regarding food wastage, a balanced diet, labels, the sustainable development week, organic products, local products, the "Bleu Blanc Cœur" label.

Recy'go, the paper recycling offer

Recy'go, created by the La Poste Group, demonstrates its commitment to the energy transition. This **office paper recycling service** is offered by the mail and parcel service branch (Branche Service Courrier Colis).

The principle is simple: the paper is directly picked up from the offices by the postal worker. The paper is then delivered to Nouvelle Attitude, a subsidiary of the Le Groupe La Poste that helps the long-term unemployed rejoin the workforce. Nouvelle Attitude then carries out the sorting of the paper, in order to enhance its value, before transmitting it to nearby paper recyclers located in France.

Recy'go has two positive results:

- ▶ first of all, on the environment, through its initiative of circular savings (recycling) and of neutral carbon emission inverse logistics, thanks to the optimisation of the return trips of the postal workers to their mail platform;
- ▶ secondly, on solidarity, through Nouvelle Attitude, a Le Groupe La Poste subsidiary that operates with the vocational integration sector through economic activity. Nouvelle Attitude employs persons needing vocational integration, provides them with training, and promotes their return to work.

In tune with the Group and its CSR policy, La Banque Postale has been deploying, since 2013, the Recy'go paper service in its Financial and National Centres.

At end-2017, 19 Financial and National Centres were thus equipped, as well as the Bords de Seine II head office.

In 2017, Recy'go made it possible to collect 620 tonnes of paper for recycling, i.e. 2.4% less than in 2016 (635 tonnes collected in 2016).

It should be noted that the Recy'go solution also enabled 444 tonnes of paper and 85 tonnes of cardboard to be collected for recycling inside the La Poste Network.

Collecting used ink cartridges from post offices

The recycling solution in partnership with Lexmark was expanded further this year, with 38,000 used cartridges returned by the post offices and the management sites to our service provider.

Thanks to this eco-gesture made by employees and all the stages of sorting, cleaning and tests carried out by Lexmark:

- ▶ 49% of reused printer cartridges were refilled for reuse by following the same manufacturing processes as new cartridges during the reconditioning phases (change of used or defective parts, tests, same quality processes);
- ▶ 51% of cartridges were recycled.

The total recycled materials in 2017 as part of this programme came to 25,000 kg, i.e. the equivalent of 121,000 kg of CO₂ savings. This represents energy consumption savings of 13 houses in one year. The cartridges of the Lexmark-La Poste programme are neither incinerated nor put in landfills.

6.3 CSR INDICATORS

The CSR indicators published in this section support La Banque Postale's transparency objective and substantiate the qualitative elements described in the previous sections. They were grouped into four categories: economic indicators, employment indicators, societal indicators, and environmental indicators.

As an introduction to the indicator tables, the following methodology notice provides the required information for the proper understanding of the indicators, their scope and their possible limitations.

6.3.1 Note on methodology

The reporting protocol supports the definition of the CSR indicators established in order to report on the CSR performance of La Banque Postale. The information is reported by a network of over one hundred CSR correspondents who contribute to the extra-financial reporting process.

The CSR indicators were built with regard to the indicators suggested by the French NRE Act on new economic regulations, Article 225 of the Grenelle II Act, and according to their relevance to La Banque Postale's business activity. The indicators put forward by the Global Reporting Initiative (GRI), in particular in its Financial Services Sector Supplement (FSSS), were also taken into account. National methodology such as ADEME's Bilan Carbone® (carbon footprint) was used as a guideline, particularly for the calculation of environmental indicators.

For each indicator, the figures for the last three years were included whenever possible. The data is presented on a like-for-like basis and the changes in the scope are explained. Due to a change in scope, a change in methodology and a subsequent data correction, the 2013, 2014 and 2015 data have been adjusted since the previous publications for comparison purposes and are therefore followed by an asterisk*.

The aim of La Banque Postale's feedback process is to cover all of the Bank's business activities and their impacts, all of the physical entities (buildings) and all of the players at La Banque Postale. Various scopes have therefore been defined in order to account for the corporate, social and environmental impacts of business activities in a relevant way. The table below presents the data from the **targeted extra-financial scope as at 31 December 2016**.

La Banque Postale (legal entity)	▶ Head office of La Banque Postale ▶ Department of Regional Compliance	2,739 employees (i.e. 9% of the personnel of La Banque Postale Branch) as at 31 December 2017
		38,899 m² (i.e. 3% of the occupied surface area) at 31 December 2017
Financial Services (employees of the La Poste Group working under the name of and on behalf of La Banque Postale)	▶ 20 metropolitan Financial Centres, four Financial Centres in the French overseas departments, four National Centres ▶ IT Department of Financial Services and the Retail Brand (DISFE) ▶ Bank Marketing Department ▶ Department of Businesses and Regional Development	14,413 employees (i.e. 49% of the personnel of La Banque Postale Branch) as at 31 December 2017
		281,594 m² (or 21% of the occupied surface area) at 31 December 2017
Banking Advisory Line (employees of the La Poste Group working under the name of and on behalf of La Banque Postale) -The functions taken into account in the LCB are as follows: customer advisor, financial advisor, customer manager, wealth management advisors, specialist real estate advisor, CFAS, CPCI, banking support function (ASB); banking sales monitor, youth coordinator, credit assistant and DOPI.	▶ Advisors working in post offices	10,069 employees (i.e. 35% of the personnel of La Banque Postale Branch) as at 31 December 2017
		980,093 m² (i.e. 73% of the occupied surface area) as at 31 December 2017 Operating in post offices, the surface area and the energy and paper consumption of the Banking Advisory Line is calculated on the basis of the financial pro rata used for breaking down the charges, i.e.: 52.6 %.
Subsidiaries (16 subsidiaries are consolidated in the extra-financial report)	▶ Employees working in the 16 subsidiaries within the scope	1,942 employees (i.e. 7% of the personnel of La Banque Postale Branch) as at 31 December 2017
		40,465 m² (i.e. 3% of the surface area occupied – excluding LCB) as at 31 December 2017

Note that the counter staff of the post offices, who work for the different businesses of the La Poste Group, are not included in the extra-financial scope of La Banque Postale.

The scope is the same for all the economic indicators which cover all of La Banque Postale. However, for the other indicator categories, the scope may vary from one indicator to another. For each indicator, the scopes actually covered are specified in a reference box as shown below and followed by an explanatory sentence where required:

Scope covered: **Entity** Scope not covered: **Entity**

Where applicable, for the employment and social indicators, the coverage rate is calculated according to the number of employees. For the environmental indicators, it is calculated according to the area occupied.

Consolidation of subsidiaries

The consolidation of subsidiaries within the extra-financial scope is based on the principle of accounting consistency as well as on the principle of relevance of their various impacts. The goal is thus to include all consolidated subsidiaries in which the Group holds an interest of at least 50% (fully consolidated), as well as certain non-consolidated subsidiaries which have relevant impacts on the Bank's interests (see organisation chart in Section 1.4 of the Registration Document). In 2016, the 16 consolidated subsidiaries were the following:

- ▶ Retail Banking: La Banque Postale Financement (LBPF), EasyBourse, Titres Cadeaux, La Banque Postale Immobilier Conseil (LBPIC), La Banque Postale Crédit Entreprises (LBPCE), La Banque Postale Collectivités Locales (LBPCL), BPE (merger with LBP Gestion Privé), SOFIAP and SFH Home Loan;
- ▶ asset management: La Banque Postale Asset Management (LBPA) (integrates LBPSAM and Fédérés following a merger in January 2016), Tocqueville Finance SA;
- ▶ insurance: La Banque Postale Prévoyance (LBPP), La Banque Postale Conseil en Assurances (LBPCA), La Banque Postale Assurances IARD (LBPIARD), La Banque Postale Assurances Santé (LBPAS) and SOP ASSURE.

In 2016, these 16 subsidiaries were either all included, all excluded, or partially included in the calculation of the indicators. Where only part of the subsidiaries was covered, in addition to the coverage rate shown in the scope reference box, details of the subsidiaries covered are given below the indicator.

SOP ASSURE and SFH HOME LOAN, having neither staff nor area at their disposal, are in effect excluded from the scope of extra-financial reporting.

Fédérés (merged with LBPA) was deliberately left out of the extra-financial environmental reporting consolidation scope, pending the setting up of a reliable reporting procedure to integrate it.

The scope of the corporate and societal indicators covers 14 subsidiaries (excluding SFH Home Loan and SOP ASSURE).

The scope of the environmental indicators covers 14 subsidiaries (excluding SFH Home Loan and SOP ASSURE).

6.3.1.2 Information feedback in 2017

Economic indicators

- ▶ The assets under management of funds where at least 90% of assets integrate ESG criteria (environmental, social and governance) are included in the SRI assets under management.
- ▶ For more clarity, the notion of ESG integration used in the previous publications has been removed and is replaced by a graduation of the SRI assets under management on three levels (moderate impact, significant impact, conviction), inspired by the Novethic research centre. The 2014 and 2015 data were recalculated using the new definition.
- ▶ Included in the calculation of the SRI portion in the employee savings plans for 2015, 2014 and 2013 are investments made

in all of La Banque Postale's Décisiel funds, and no longer in the one Décisiel solidarity fund, as was the case for the preceding 2014 report.

- ▶ Support for financially vulnerable customers is provided by CRESUS across all of France. From 2017, the customers of Greater Paris are supported by the Crédit Municipal de Paris (CMP).
- ▶ Since 2017, the level of exposure to ESG risks is measured on a scale from 1 to 10, with 10 being the highest level of risk. As the risk measurement methodology was reviewed, the data from 2015 and 2016 cannot be compared with those for 2017.

Social and societal indicators

- ▶ The 14 subsidiaries included in the extra-financial scope were covered by most of the social indicators.
- ▶ Only working employees are included in the total workforce (staff on permanent contracts, civil servants, staff on permanent contracts and emplois d'avenir ("jobs of the future" contracts). Work/study contracts (apprenticeship contracts, occupational contracts) and corporate officers are no longer included in the total workforce as part of the protocol harmonisation process with the Le Groupe La Poste. The distribution by age of the staff numbers only takes into account permanent contracts.
- ▶ The permanent workforce is made up of permanent employees and civil servants.
- ▶ The Banking Advisory Line has no strategic women executives and thus reports 0. In 2015, the Tocqueville subsidiary was taken into account in the indicator.
- ▶ Days of absence for work-related accidents are monitored on a calendar basis.
- ▶ Monitoring of occupational diseases is performed by La Banque Postale but the quantification is not consolidated at present, since the materiality of this indicator is not considered relevant to its service activity.
- ▶ The number of sick days is reported in calendar days, and takes into account permanent employees and State employees. The indicator takes account of the days of absence over the period from 1 January of year Y to 31 December of year Y.
- ▶ Dismissals do not include the revocation of the appointments of state employees and the termination of trial periods at the employer's initiative.
- ▶ The training indicator takes into account completed training to date, chargeable or non-chargeable, and e-learning.
- ▶ Subcontracting at La Banque Postale is not significant and does not concern La Banque Postale's core business activities. Subcontractors remain in all circumstances under the authority of the Service Provider, who retains sole responsibility for performance of all the services, and more specifically for compliance with quality, security and confidentiality levels. See Article 28 of the contracts signed by suppliers.
- ▶ Concerning the number of employees doing skills-based volunteering: these are employees who have benefited from training in the budget workshops in the aim to deploy their acquired skills among those benefiting from the *Garantie Jeunes en Mission Locale* or in skills-based training programmes such as *Entreprendre Pour Apprendre* and *La Finance pour Tous*.
- ▶ Concerning the number of employees committed to L'Envol: these are the number of new employees that have answered calls for mentors and have committed to being a mentor in L'Envol during year Y.
- ▶ Concerning the number of young people benefiting from the L'Envol programme: these are the number of young people benefiting from the L'Envol programme at 31 December of year Y.

Environmental indicators

- ▶ Indicators are tracked over a rolling 12-month period, from 1 December of Y-1 to 30 November of year Y, with regard to: energy consumption and greenhouse-gas emissions related to buildings, greenhouse-gas emissions related to vehicles, the number of employees trained in eco-responsible driving, water consumption and tonnes of Waste from Electrical and Electronic Equipment (WEEE) collected.
- ▶ Energy consumption is monitored mainly on the basis of invoices and, in the possible case of an invoicing delay, on the basis of meter readings, in order to report the most exhaustive data possible.
- ▶ In 2017, the data was converted into CO₂ equivalents based on Version 13.0 of ADEME's Bilan Carbone®. All data has been adjusted on a historical basis since 2012. The emission factors only include combustion (excluding upstream) for gas, propane gas, fuel oil, diesel and petrol. The emission factor used for the conversion of LCB's district heating consumption is the French average of the District Heating Energy Factor of Version 13.0 of the Bilan Carbone.
- ▶ Particularities since 2017: CO₂ emissions generated by employees' business travel by rail or air are calculated based on the data given by transport services providers, who apply their own emissions factors to the journeys made by employees. The 2015 and 2016 data have been adjusted.
- ▶ The emission factor for electricity consumption does not include online losses; grey electricity is calculated separately from green electricity. The average emission factor for the renewable energy mix in France is used for green electricity.
- ▶ Since 2015, the Banking Advisory Line has been integrated in the scope of publication of building-related energy consumption and paper consumption, according to a distribution key based upon the accounting base, making it possible to distribute the charges attributable to LCB employees working in the name and on behalf of La Banque Postale.

- ▶ The four Financial Centres located in the French overseas departments are not included in the environmental criteria, except for the vehicle indicators.
- ▶ The water consumption of four sites of the IT Department of the Financial Services and the Retail Brand (DISFE) is not included in the extra-financial report.
- ▶ Paper scrap in production is included in total consumption. "Urgent" paper consumption excluding framework contracts is not taken into account in the graphic chain's paper consumption. The contribution is marginal.
- ▶ For certain missing data, and in cases where such an approach would be considered relevant, an extrapolation of missing or erroneous consumption could be performed based on the actual consumption data deemed most reliable.

6.3.1.3 Data verification

In 2011, La Banque Postale initiated a verification process for its CSR indicators by an independent third party. In the framework of Article 225 of the Grenelle II Act, La Banque Postale has since continued this process. All of the audit missions were the subject of a moderate assurance opinion, published in La Banque Postale's Registration Documents. In 2016, for the second year running, certain indicators will be the subject of a reasonable assurance opinion.

On 13 May 2013, the decree determining the procedures used by the independent third party to carry out its mission was published. Accordingly, pursuant to Article L. 225-102-1 of the French Commercial Code, the report of one of the statutory auditors of La Banque Postale, designated as an independent third party, can be found after this section on responsible development indicators. This report concerns the presence of the CSR Information set out by Article R. 225-105-1 of the French Commercial Code, and expresses a reasoned opinion on the sincerity of the information published in the Management report included in the Registration Document for the financial year ended 31 December 2017.

6.3.2 Economic indicators

The indicators presented in the following table supplement the Banking Accessibility, Responsible Customer Relations, Responsible

Offering and Management of Extra-Financial Risks sections of this document. For all of these indicators, the scope is as follows:

ECONOMIC INDICATORS	2017	2016	2015
BANKING ACCESSIBILITY			
Number of personal micro-loans disbursed (including home micro-loans)	2,114	2,226	2,024
In 2017, there were 146 active partnerships with social assistance organisations in 70 French regional departments			
Percentage of consumer loans less than or equal to €1,500	6.30%	7.00%	7.00%
Percentage of home loan borrowers earning less than 2 minimum wages per month	22.20%	22.40%	20.32%
Percentage of Livret A accounts with a balance of less than €150	50.50%	51.00%	54.00%

	2017	2016	2015
RESPONSIBLE CUSTOMER RELATIONS			
Customer satisfaction rate	85.00%	87.00%	91.80%
Customer claims rate	14.00%	11.70%	8.90%
Rate of doubtful home loans	1.20%	1.00%	0.71%

La Banque Postale's doubtful loan rate is among the lowest on the market (the market average as of the end of 2016 was close to 2%).

Number of customers having received support from CRESUS during the year	334	296	735
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Support for financially vulnerable customers is provided by CRESUS across France. From 2017, customers in the Greater Paris region are sported by Cr dit Municipal de Paris (CMP).

Number of customers supported by l'Appui	15,425	14,691	12,277
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Number of deaf and hard of hearing supported by Deafi	5,053	0	0
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Since February 2017, customer service in French for deaf or hard of hearing customers is accessible to current and prospective customers on labanquepostale.fr and the Deafi mobile application.

Please refer to the information dedicated to La Banque Postale's Responsible Customer Relations in the Societal Commitment for more information

	2017	2016	2015
RESPONSIBLE OFFERING			
socially responsible investment (SRI) assets in € billions V	109.14	97.18	98.03
o/w conviction SRI	3.09	2.20	1.78
o/w significant impact SRI	0.99	1.01	0.90
o/w moderate impact SRI	105.06	93.98	95.35

In 2017, SRI investments accounted for 50% of all investments managed by LBPAM

	2017	2016	2015
MANAGEMENT OF EXTRA-FINANCIAL RISKS			
ESG risk exposure of the CIB activity (non-sovereign issuers)	5.12	NA	NA
ESG risk exposure of the CIB activity (sovereign issuers)	4.63	NA	NA

Since 2017, the level of exposure to ESG risks is measured on a scale from 1 to 10, with 10 being the highest level of risk.

As the risk measurement methodology has been reviewed, the data from 2015 and 2016 cannot be compared with 2017 data.

Level of exposure to climate risks of the CIB activity (corporate issuers) in t.CO₂/�m of revenue	95.00	91.02	103.25
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Number or Percentage of employees trained in combating money laundering and terrorism financing over the last three years	2017	2016	2015
La Banque Postale Employees	56.80%	46.40%	61.00%
Financial Centre Employees	81.30%	86.30%	90.00%
Network employees	94.00%	85.20%	89.00%

The percentage La Banque employees has dropped sharply, due to major incidents on the e-learning training platform in 2016.

6.3.3 Social indicators

The indicators presented in the following table supplement the Social Responsibility section of this document.

	2017	2016	2015
EMPLOYMENT: WORKFORCE, HIRES AND DISMISSALS			
Number of employees of the La Banque Postale Group as a number of people	29,163	29,206	30,855
La Banque Postale	2,739	2,468	2,438
Financial Services	14,413	15,217	15,934
Banking Advisory Line	10,069	9,741	10,742
Subsidiaries	1,942	1,780	1,741

Includes permanent employees, state employees, temporary employees, and "contrat d'avenir" personnel (excluding work-study employees and dormant contracts), and banking support positions

The **29,163** employees of the La Banque Postale Group work in France.

Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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		2017	2016	2015
Percentage of employees aged under 25 in the permanent workforce		0.83%	0.77%	1.15%
Percentage of employees aged 55 and over in the permanent workforce		27.02%	26.61%	24.69%
Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries

	2017	2016	2015
Number of CDI (permanent) employees recruited	940	612	726

Includes the number of permanent hires following a temporary contract, an apprenticeship contract or an occupational contract, and external permanent hires.

Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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	2017	2016	2015
Number of redundancies	91	103	93

La Banque Postale has not made anyone redundant on economic grounds over the past three years.

Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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	2017	2016	2015
REMUNERATION			
Average gross annual remuneration for women in euros	39,119	38,100	37,682
Average gross annual remuneration for men in euros	47,313	45,641	45,014

Indicators calculated using the average annual FTE headcount (permanent, state employees).

Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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	2017	2016	2015
Annual remuneration of the Chairman / gross median remuneration of the employees	20.46 times the minimum wage	25.6 times the minimum wage	NC

Fixed gross annual salary for permanent employees

Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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In 2017, the amount retained is the yearly annual minimum wage salary for 2017, i.e. €17,763.24

	2017	2016	2015
Amount of the incentive plans in euros	10,708,928	12,298,963	18,480,534
Amount of profit sharing in euros	8,583,423	2,862,417	10,513,569
Amount of employer's contribution in euros	7,516,943	5,218,271	5,519,269
Portion of socially responsible investment in employee savings	33.69%	37.26%	29.06%

Includes amounts paid yearly in respect of the previous financial year.

Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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Excluding Easybourse and SOFIAP in 2017. Excluding subsidiaries in 2016.

		2017	2016	2015
FIGHT AGAINST DISCRIMINATION: gender equality at work and employment of disabled persons				
Percentage of women in the workforce		61.84%	61.98%	61.81%
Percentage of women in executive positions		56.62%	56.57%	55.77%
Percentage of women in strategic executive posts √		37.20%	36.59%	35.80%
Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries

		2017	2016	2015
Percentage of women on the Executive Board of La Banque Postale		23%	27%	33%
Percentage of women on the Supervisory Board of La Banque Postale		40%	40%	40%
Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries

	2017	2016	2015
Percentage of Employment Obligation Beneficiaries	3.03%	3.21%	2.97%

Percentage calculated according to AGEFIPH rules.

In 2016, indirect employment represented 39.04 units resulting from contracts concluded with the adapted/protected sector.

Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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	2017	2016	2015
Number of disabled employees assisted	898	859	812

Moreover, the percentage of Employee Obligation Beneficiaries is only calculated at the Le Groupe La Poste level.

Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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	2017	2016	2015
WORK ORGANISATION: OVERTIME, PART-TIME, ACCIDENTS AND ABSENCES			
Amount of overtime per employee in hours	2.51	1.89	1.88

Includes the number of overtime hours declared by each employee under permanent contract and State employees.

Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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	2017	2016	2015
Percentage of part-time employees in the workforce	9.19%	9.63%	9.01%

Includes employees on permanent contracts and State employees who have chosen to work part-time.

In 2017, 88.6% of part-time employees were women (88.9 % in 2016).

Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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		2017	2016	2015
Number of teleworking employees		527	444	237
Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
Excluding subsidiaries in 2016				

		2017	2016	2015
Frequency rate of work accidents		4.51	5.00	4.62
Severity rate of work accidents		0.16	0.18	0.14
Number of days of work stoppage due to work accidents and travel per employee		0.59	0.58	0.49

Includes accidents and days off work for permanent, state and temporary employees.

Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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		2017	2016	2015
Rate of absenteeism due to illness		5.60%	5.61%	5.23%
Number of days of work stoppage due to illness per employee		20.65	20.81	19.56

Includes accidents and days off work for permanent and state employees

Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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		2017	2016	2015
EMPLOYEE RELATIONS				
Number of collective agreements signed		51	29*	36*
Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries

		2017	2016	2015
TRAINING				
Number of training hours		1,028,953	888,559	730,807
Number of training hours per employee		35	30	24

In 2017, 26,579 employees attended at least one training programme during the year.

Excluding LBPCCE and LBPCA in 2015, 2016, 2017. Excluding LBP FI and CILOGER in 2015.

Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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		2017	2016	2015
Number of employees on banking courses leading to a qualification or diploma		1,415	2,351	138

Added to this are 2,794 customer advisors who followed the qualifying course for the generalisation of mortgages.

Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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* Adjusted data.

6.3.4 Manufacturer's Crushutility

	2017	2016	2015
RESPONSIBLE PURCHASING			
Number of Responsible Purchasing Charters signed by suppliers	434	399	298

Certain subsidiaries use La Banque Postale contracts.

Please refer to the information dedicated to La Banque Postale's responsible purchasing in the Societal Responsibility section for more information regarding the integration of extra-financial issues and supplier and subcontractor relationships.

In order to ensure the reliability of the data, we have used, since 2015, information obtained from the www.provigis.com internet platform, on which La Banque Postale's suppliers have agreed to file and update the various contractual documents, including the Responsible Purchasing Charter.

Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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	2017	2016	2015
Increase in purchases from the adapted/protected sector	9%	10%	2%

Change calculated relative to the previous year.

Please refer to the subsections on diversity, disability and equal opportunity in the Social Responsibility section for further information.

Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries
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	2017	2016	2015	
CIVIC COMMITMENT				
Financial commitment for sponsorship in euros	5,027,395	3,798,630	3,210,782	
Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries

Number of employees in skilled-based volunteering		74	NC	NC
Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries

Number of employees committed to L'Envol		85	NC	NC
Number of young people benefiting from the L'Envol programme		387	NC	NC
Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries

Territorial, economic and social impact and stakeholder relations

Please refer to the Societal Responsibility section of this document as well as the Social Responsibility section in which a paragraph is dedicated to La Banque Postale's relationships with academic institutions.

Compliance with the fundamental conventions of the ILO (International Labour Organisation)

Please refer to the end of the Societal Responsibility section of this document regarding compliance with fundamental labour rights for employees, suppliers and subcontractors.

Corruption Prevention

Please refer to the end of the Management of extra-financial risks section of this document focusing on business ethics.

Health and Safety of customers

Please refer to the Banking Accessibility (combating banking exclusion) and Responsible Customer Relations (preventing over-indebtedness and support in the event of financial insecurity) sections of this document.

* Adjusted data

6.3.5 Environmental indicators

The indicators presented in the following table supplement the Environmental Responsibility section of this document.

	2017	2016	2015
Total Carbon footprint of La Banque Postale (tonnes of CO₂ equivalent)	56,796	64,451 *	70,818*

* Adjusted data
The carbon footprint takes account of the following sources of emissions: buildings, business travel, travel between home and work, paper consumption.
The consumption of LCB is included under buildings and paper consumption..

	2017	2016	2015
BUILDINGS			
Energy consumed (in Gwh)	232.31	241.09	243.99
Emissions related to buildings in tonnes of CO₂ equivalent	29,871	32,457	38,699
Emissions avoided thanks to the 100% green electricity contract in tonnes of CO ₂ equivalent	8,225	6,334	
Emissions per employee in kg of CO₂ equivalent	1,025	1,124	1,268

The total energy consumption includes the consumption of electricity natural gas, fuel oil, district heating, and propane gas.

Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries: 99.33% of m ²
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13 of the 14 BP subsidiaries: LBPFI, LBPIARD, Easybourse, LBPAM, Titres Cadeaux, LBPCE, LBPAS, LBPCL, Tocqueville Finance SA, LBPP, BPE, SOFIAP, LBPIC.

The Banking Advisory Line is integrated on an accounting pro rata basis.

		2017	2016	2015
TRAVEL				
Emissions related to vehicles in tonnes of CO ₂ eq.		5,063	5,840	5,566
Emissions per vehicle in tonnes eq. CO ₂ eq.		3.8	3.8	4.0
Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries: 81.11% of m

14 subsidiaries: BPE, Easybourse, LBP AS, LBP CA, LBP CE, LBP FI, LBP GP, LBP IARD, LBP IC, LBP P, LBP AM, SOFIAP, Titres Cadeaux, Tocqueville Finance

		2017	2016	2015
Emissions related to business travel by train in tonnes of CO ₂ equivalent		96	132*	110*
Emissions related to business travel by plane in tonnes of CO ₂ equivalent		1,368	1,431*	1,320*
Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries: 81.49% m ²

14 subsidiaries included: LBPFI, LBPAS, Titres Cadeaux, LBPIC, Tocqueville, Transactifs, LBPCE, Easybourse, LBP IARD, LBPGP, LBPCA, BPE, SFIL, LBPAM

		2017	2016	2015
Emissions related to work-home travel in CO ₂ equivalent		20,397	16,266	16,266
Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries

		2017	2016	2015
Number of videoconference terminals		199	153	139
Number of videoconference connections		48,692	38,593	22,335
Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries

	2017	2016	2015
Number of employees trained in eco-responsible driving	16	22	38
Scope:	La Banque Postale	Financial Services	Banking Advisory Line
			Subsidiaries

By the end of 2017, 2,174 employees had therefore been trained since 2008 in the Financial Centres and in the head offices (excluding awareness-raising actions).

	2017	2016	2015
RESOURCES			
Paper consumption in tonnes	7,314	8,162	8,684
Emissions related to paper in tonnes of CO ₂ equivalent	7,460	8,326	8,858
Portion of responsible paper out of total paper consumption	88.85%	91.19%	97.06%
Consumption of paper for internal purposes per employee in kg	22.15	23.70	26.27
Consumption of paper for external purposes per active customer in kg	0.63	0.70	0.73

Paper is the main raw material used by La Banque Postale, which pays close attention to both the quality of paper used and the volumes consumed.

	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries: 84.48% of m ²
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Nine of the fourteen subsidiaries are included: LBP FI, LBP IARD, LBP AS, LBP P, LBP AM, LBP CE, LBP CL, Tocqueville and BPE.
The banking advisory line is accounted for on a pro-rata basis.

	2017	2016	2015
Water consumption in millions of litres	114.21	131.25*	139.91*
Consumption per employee per day in litres	29.65	33.49*	34.60*

With respect to La Banque Postale's business activities, only the water consumed by Company restaurants and sanitary appliances is taken into account. La Banque Postale consumes only potable water coming from French municipal utilities and is therefore not faced with the issue of depletion of water resources. However, as part of its policy of controlling the use of resources, reducing water consumption is a constant operating objective of the sites and is covered by monitoring and reporting.

Scope:	La Banque Postale	Financial Services	Banking Advisory Line	Subsidiaries: 84.44% of m ²
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9 of the 14 subsidiaries included: LBP FI, LBP IARD (excluding Customer Relations Centre), LBP AM, LBPAS, Tocqueville Finance SA, BPE, LBP Prévoyance, SOFIAP, LBP IC.

	2017	2016	2015
CIRCULAR ECONOMY			
Number of tonnes of paper waste collected by Recygo for recycling	620.00	635.10	407.70
Scope:	La Banque Postale	Financial Services	Banking Advisory Line
			Subsidiaries

Including: the head office of Bords de Seine and 19 Financial and National Centres (excluding DISFE).

	2017	2016	2015
Collection of WEEE (waste electrical and electronic equipment) in tonnes	78.1	81.7	87.9
Scope:	La Banque Postale	Financial Services	Banking Advisory Line
			Subsidiaries

Only the Financial Centres, which account for 88.2% of the area occupied by Financial Services, are included in the scope.

Use of soil

This item does not apply to La Banque Postale's business activities.

Atmospheric discharges

Please refer to the environmental responsibility section of this document concerning the fight against climate change as well as the related environmental indicators in this section. For further information, also refer to La Banque Postale's response to Article 75 of the Grenelle II Act.

Discharges into the soil and water

This item does not apply to La Banque Postale's business activities.

Noise and olfactory pollution

This item does not apply to La Banque Postale's business activities.

Measures taken to ensure compliance with legal provisions relating to the environment

In view of its business activities and its culture as a public-interest organisation, La Banque Postale has implemented particularly thorough procedures to control its business activities, which involve the Risk Department (in a regulatory monitoring) and the Compliance Department. La Banque Postale therefore fulfils its obligations in respect of caring for the environment, particularly in terms of collecting and sorting its waste, and of the renovation work done on its buildings.

Measures taken to preserve and promote biodiversity

The actions and initiatives conducted by La Banque Postale, particularly to control its CO₂ emissions, or through the inclusion of environmental criteria in purchasing specifications, help to limit its impact on the environment. Furthermore, La Banque Postale took part in the French Banking Federation (FBF) Working Group on the carbon footprint of means of payment, with a view to moving the banking sector forward on this issue. In addition, La Banque Postale installed beehives on the roofs of its Paris head office in 2012, thereby contributing to plant pollination and the protection of biodiversity.

Company environmental assessment or certification initiatives

Please refer to the paragraph concerning the extra-financial agency ratings in the societal responsibility section of this document.

Expenses incurred in order to prevent the Bank's activities from having a negative impact on the environment

The expenses incurred in order to protect the environment are not identified among the overall expenses incurred by La Banque Postale's CSR section.

Internal organisation, employee training and awareness-raising

Please refer to the Governance of responsible development at La Banque Postale section of this document on governance bodies and employee awareness-raising.

Resources dedicated to preventing risks

Please refer to the Management of extra-financial risks section of this document.

Amount of provisions and guarantees for environmental risks

The nature of La Banque Postale's business activities does not require provisions or guarantees for environmental risks.

Combating food waste

6.4 REPORT BY ONE OF THE STATUTORY AUDITORS, DESIGNATED AS AN INDEPENDENT THIRD PARTY, ON THE CONSOLIDATED SOCIAL, ENVIRONMENTAL AND SOCIETAL INFORMATION IN THE MANAGEMENT REPORT

In our capacity as statutory auditors, designated as an independent third party of La Banque Postale S.A., accredited by COFRAC under number 3-1049 ⁽¹⁾, we hereby present our report on the consolidated social, environmental and societal information for the financial year ended 31 December 2017 presented in the management report (hereinafter, the «CSR Information»), pursuant to the provisions of Article L. 225-102-1 of the French Commercial Code.

Responsibility of the Company

It is the responsibility of the Executive Board to prepare a management report that includes the CSR Information pursuant to Article R. 225-105-1 of the French Commercial Code, prepared in accordance with the reporting protocol used by the Company (hereinafter, the «Framework»), a summary of which is included in the management report and available upon request at the Company's registered office.

Independence and quality control

Our independence is defined by regulatory provisions, the professional code of ethics and the provisions of Article L. 822-11-3 of the French Commercial Code. In addition, we have implemented quality control procedures that include documented policies and procedures whose purpose is to ensure compliance with the applicable ethical rules and legal and regulatory provisions.

Responsibility of the independent third-party organisation

It is our duty, based on our work:

- ▶ to certify that the required CSR Information is included in the management report or, if it is omitted, that such omission is explained in accordance with Article R. 225-105, paragraph 3, of the French Commercial Code (Certification of presentation of CSR Information);
- ▶ to provide limited assurance as to whether the CSR Information, taken as a whole, is fairly presented in all material respects in accordance with the Framework (Reasoned opinion as to the fair presentation of the CSR Information);
- ▶ to express, on the Company's request and outside the scope of accreditation, a conclusion of reasonable assurance on the fact that the information selected by the Company and identified by the symbol V in Chapter 6.3 «CSR indicators» of the management report, have been drawn up, with regard to all their significant elements, pursuant to the Framework (report of reasonable assurance on selected CSR Information).

On the other hand, it is not our responsibility to rule on the compliance with the other legal provisions applicable if necessary, in particular those envisaged by Article L. 225-102-4 of the French Commercial Code (surveillance plan) and by Law No. 2016-1691 of 9 December 2016 known as the Sapin II Law (anti-corruption).

Our work, mobilising six people, took place between September 2017 and February 2018 for a total intervention of approximately eight weeks. We called upon our experts in CSR to assist us.

We performed the work described hereinafter in accordance with the order of 13 May 2013 determining the terms and conditions under which the independent third-party organisation performs its mission as well as the professional doctrine of the National Association of Statutory Auditors relating to this intervention and, with respect to the motivated opinion of genuineness and the reasonable assurance report, with international standard ISAE 3000 ⁽²⁾.

(1) The scope of which is available on the www.cofrac.fr website

(2) ISAE 3000 - Assurance engagements other than audits or reviews of historical financial information

1. Certificate of presentation of CSR Information

Nature and extent of work

On the basis of interviews with the relevant department managers, we have familiarised ourselves with the Company's sustainable development policies, in terms of the social and environmental consequences of the Company's activity and its societal commitments, as well as, where applicable, the actions or programmes arising therefrom.

We have compared the CSR Information presented in the management report with the list provided for in Article R. 225-105-1 of the French Commercial Code.

Where certain consolidated information was missing, we verified that explanations were provided in accordance with the provisions of Article R. 225-105, Paragraph 3 of the French Commercial Code.

We have verified that the CSR Information covers the consolidation scope, namely the Company and its subsidiaries within the meaning of Article L. 233-1, as well as the companies that it controls within the meaning of Article L. 233-3 of the French Commercial Code, subject to the limits specified in Paragraph 6.3.1 entitled «Methodology Notice» in the management report.

Conclusion

On the basis of this work, and in light of the limits referred to above, we attest that the required CSR Information is presented in the management report.

2. Reasoned opinion on the fairness of the CSR Information

Nature and extent of work

We conducted approximately 20 interviews with the persons responsible for preparing the CSR Information within the departments charged with collecting information. Where necessary, we also interviewed the persons responsible for internal control and risk management procedures. We conducted these interviews in order to:

- ▶ analyse the appropriateness of the Framework in terms of its relevance, completeness, reliability, neutrality and clarity, taking into consideration industry best practices;
- ▶ verify the implementation of procedures for collecting, compiling, processing and auditing the CSR Information to ensure that it is exhaustive and consistent, and to familiarize ourselves with the internal control and risk management procedures with respect to the preparation of CSR Information.

We determined the nature and extent of our tests and audits based on the nature and amount of CSR Information and in light of the Company's Characteristics, the social and environmental effects of its activities, its sustainable development policies and industry best practices.

For the CSR Information that we deemed the most significant ⁽¹⁾:

- ▶ at the level of the consolidating entity, we reviewed documents and conducted interviews to corroborate the qualitative information (such as organisation, policies, and actions), we implemented analytic procedures with respect to the quantitative information, and we verified, on a sampling basis, the calculations and consolidation of data. We verified the consistency of the information and its concordance with the other information included in the management report;
- ▶ using a representative sample of entities that we chose ⁽²⁾ based on their activity, their contribution to consolidated indicators, their location and a risk analysis, we conducted interviews to verify the proper implementation of procedures and to identify possible omissions, and implemented detailed tests based on sampling, which consisted in verifying the calculations performed and reconciling the data with the supporting documentation. The sample thus selected represents 29% of the workforce, considered to be a characteristic quantity for the employment segment, between 17% and 77% of the environmental data, considered to be a characteristic ⁽³⁾ quantity for the environmental segment, and 100% of the quantitative societal and economic information presented.

(1) Reasonable assurance

Employment information: Percentage of women in strategic executive posts.

Societal information: Number of microloans granted in the year, SRI (Socially Responsible Investment) outstanding.

Qualitative Information: the Carbon Fund.

Moderate Assurance

Employment information: Total number and distribution by age, gender and geographical area, Number of permanent hires, Number of layoffs, Number of sick leave days, Number of training hours, Number of employees working from home.

Environmental information: Energy consumption and associated CO2 emissions, CO2 emissions related to vehicles, Paper consumed and responsible paper use, Carbon Fund.

Societal information: Number of employees trained against money laundering, number of customers supported and breakdown by type of customer orientation by the Support.

Qualitative information: Policies implemented in the field of training, The organisation of the company to take into account environmental issues, and where applicable environmental assessment or certification procedures, Adaptation to the consequences of climate change, Actions taken to prevent corruption, Measures taken for the health and safety of consumers, Territorial, economic and social impact of the company's activity on local populations.

(2) The Financial Centres of Dijon, Toulouse and Bordeaux, Poste Immo, Véhiposte, Purchasing Department, the Head Office of La Banque Postale, the Center for Human Resources Services (CSRH) of Dijon, the Compliance Department and the Retail Banking Department.

(3) See the list of environmental indicators mentioned in footnote 3 of this report.

For the other consolidated CSR Information, we analysed its consistency with our knowledge of the company.

Finally, we analysed the relevance of any explanations relating to the total or partial omission of certain information.

We believe that the sampling methods and sample sizes that we used, exercising our professional judgement, enable us to reach a conclusion of limited assurance. A higher level of assurance would have required more extensive verification work. Due to the use of sampling techniques, as well as other Limits inherent in the functioning of any information and internal control system, the risk of a failure to detect a significant anomaly in the CSR Information cannot be entirely eliminated.

Conclusion

On the basis of this work, we have found no significant anomalies that would cause us to doubt that the CSR Information, taken as a whole, is fairly presented in accordance with the Framework.

3. Report of reasonable assurance on selected CSR Information

Nature and extent of work

Concerning the information selected by the Company and identified by the symbol √, we carried out work of a similar nature to that described in Paragraph 2 above for the CSR Information considered to be the most important, but in a more in-depth manner, in particular with respect to the number of tests.

The selected sample represents 100% of the workforce and 100% of the societal information identified by the sign √.

We consider that this work makes it possible for us to state a reasonable assurance as to the information selected by the Company and identified by the sign √.

Conclusion

In our opinion, the information selected by the Company and identified by the sign √ was established, in all its significant aspects, in accordance with the Framework.

Paris La Défense, On 28 February 2018

KPMG S.A.

Anne Garans
Partner
Sustainability Services

Marie-Christine Jolys
Partner

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7.1 DOCUMENTS AVAILABLE TO THE PUBLIC

All documents made available to the public under legal conditions may be consulted at La Banque Postale's registered office at 115, rue de Sèvres, 75275 PARIS Cedex 06. La Banque Postale's Registration Documents are also available on the website : www.labanquepostale.com.

The Company's Articles of Association are included in this Registration Document. All reports, letters and other documents, historical

financial data, assessments and statements made by an expert at the Company's request, where a section is included or mentioned in this document, together with all financial information, including information related to the subsidiaries for each of the two years prior to the publication of this document, can be consulted on the La Banque Postale Group website, or otherwise by writing to the Company Secretary at the Bank's registered office.

7.2 SIGNIFICANT CHANGES

There has been no significant change in the Group's financial or commercial position since the close of the last financial year for which audited financial statements have been published, and specifically

since the signing of the Statutory Auditors' report on the consolidated financial statements on 22 February 2017.

7.3 SIGNIFICANT CONTRACTS

To La Banque Postale's knowledge, no significant contracts have been signed other than agreements entered into as part of the normal course of business, or in relation to the shareholders (as presented in Chapter 1, which provides an overview of the Group).

7.4 SITUATION OF DEPENDENCY

Not applicable.

7.5 REGULATION

7.5.1 Banking activities

La Banque Postale, a subsidiary of La Poste, which holds the entirety of the share capital, is a French public limited Company (société anonyme) with an Executive Board and a Supervisory Board, licensed as a bank by the French Credit Institutions and Investment Firms committee (CECEI), and registered as an insurance intermediary with the French Insurance Intermediaries Registration Body (ORIAS).

In this respect, La Banque Postale meets the needs of all types of customers and provides a complete banking, financial, savings and insurance offering:

- ▶ banking services: holding of postal current accounts and payment services, overdraft facilities, home and consumer loans, loans to businesses and the local public sector;
- ▶ financial instruments: holding of securities accounts, investment in financial securities including units or shares of collective investment funds and forward financial instruments;
- ▶ savings products: savings products subject to a specific tax regime and unregulated savings products, employee savings products and insurance-related products.

It also offers payment services not related to a bank account, such as postal mandates, money transfers, manual currency exchange and traveller's cheques.

Banking and related transactions, investment and related services, savings products, and manual foreign exchange are regulated by the French Monetary and Financial Code.

Insurance products are governed by the French Insurance Code.

These codified provisions, together with the non-codified legal and regulatory provisions, govern the activity of La Banque Postale in their respective fields.

Moreover, La Banque Postale is subject to supervision by the relevant industry authorities: the European Central Bank (ECB) and the French Prudential Supervision and Resolution Authority (ACPR) as part of the single supervision mechanism in effect since 4 November 2014, and the French Financial Markets Authority (AMF).

The Single Supervisory Mechanism (SSM) is the system of banking supervision in Europe. It comprises the ECB and the national supervisory authorities of the participating countries.

Its main aims are to ensure the safety and soundness of the European banking system, increase financial integration and stability, and ensure consistent bank supervision.

The ECB has the authority to conduct prudential reviews, on-site inspections and investigations, to grant or withdraw banking licences, to assess banks' acquisitions and disposals of qualifying holdings, and to set higher capital requirements ("buffers") in order to counter any financial risks.

The ECB directly supervises the 119 significant banks of the participating countries.

The SSM is one of the two pillars of the EU banking union, along with the Single Resolution Mechanism (SRM). Established in response to the 2008 financial crisis, its purpose is to increase the transparency, resilience and integration of the European banking sector.

The SRM entered fully into effect on 1 January 2016. Its purpose is to ensure efficient resolution of failing banks, at minimal cost to the taxpayer and the real economy. It was created pursuant to the transposition into European law of the Bank Recovery and Resolution Directive (BRRD). The Single Resolution Board (SRB) Board was

established on the same date and is tasked with expediting the decision-making process. The Single Resolution Fund (SRF) is a fund formed to finance the bank resolution measures. It is funded by contributions from the banking sector and must reach the target of 1% of the amount of covered deposits by 31 December 2024 at the latest (Article 102 BRRD).

The BRRD defines a European system for bank resolution and recovery, and was transposed into French law in August 2015. It provides for the preparation and maintenance of preventive plans for recovery and resolution.

La Banque Postale updates its recovery plan and submits it annually to the ECB for approval.

La Banque Postale is among the banks under the responsibility of the Brussels-based Single Resolution Board (SRB), which is tasked with drawing up its resolution plan.

In the context of its resolution, La Banque Postale very carefully monitors progress in Europe of measures on loss absorption capacity, with particular attention focused on the work of the SRB to set a *Minimum Requirement for own funds and Eligible Liabilities* (MREL).

7.5.2 The banking accessibility mission

The legislator has entrusted La Poste with a public interest mission to ensure accessibility to banking⁽¹⁾: "in the banking, financial and insurance fields, La Poste shall offer products and services as widely as possible, particularly the 'Livret A' accounts"⁽²⁾. La Poste shall carry out this role via La Banque Postale, its subsidiary, a credit institution⁽³⁾.

The banking accessibility function is exercised through Livret A accounts.

Until 1 January 2009, La Banque Postale, Caisses d'Épargne and, subject to specific conditions, Crédit Mutuel, were the only institutions allowed to distribute Livret A accounts.

The law on the Modernisation of the Economy dated 4 August 2008, generalised the distribution of the Livret A to all banks as from 1 January 2009. However, it set out specific obligations for La Banque Postale in terms of the distribution and operation of the Livret A in respect of its banking accessibility mission:

- ▶ La Banque Postale is obliged to offer, free of charge, a Livret A to any natural person, any association mentioned in 5 of Article 206 of the French General Tax Code, to low-rent housing bodies and to co-ownership syndicates which request it;
- ▶ the minimum amount of individual cash withdrawal or deposit transactions is set at €1.50;
- ▶ La Banque Postale is obliged to allow holders of the Livret A to make payment and withdrawal transactions free of charge in all post offices where it offers these same transactions to holders of postal current accounts;
- ▶ La Banque Postale is obliged to authorise, on the Livret A, in accordance with the conditions set out in the general regulations, all the transactions listed in the decrees of 4 December 2008 and 14 May 2010:

- payment transactions relating to social security payments made by public authorities and social security bodies, and civil servants' pensions,
- direct debits relating to the payment of income taxes and duties, residence tax, property taxes, water, gas, and electricity bills, and subsidised housing rents payable to social housing associations;
- ▶ La Banque Postale is obliged to offer the following free services: transfer to a current account by the holder of the Livret A (or their legal representative or agent) regardless of which institution holds the account; bank cheques drawn in favour of the holder of the Livret A (or their legal representative or agent); a cash withdrawal card that can be used in the ATMs of La Banque Postale.

At the end of 2017, almost 50.5% of La Banque Postale's Livret A accounts held by individuals, i.e. more than 7.8 million accounts, had an average balance of less than €150. These accounts, which amount to only 0.3% of deposits outstanding, nonetheless generate very substantial management costs because they are amongst the most used savings accounts, accounting for close to 47% of the transactions made on Livret A accounts.

La Banque Postale has also undertaken, under the terms of the law of 9 February 2010, to fight and prevent over-indebtedness and to promote micro-loans.

In respect of these specific obligations which are incumbent on it in terms of the distribution and operation of the Livret A, La Banque Postale receives annually a "compensation in proportion to the public economic interest service role which is entrusted to it". This compensation is fixed by decree:

- ▶ for the period 2009-2014 (decrees of 4 December 2008 and 29 July 2013, in application of Article R. 221-8-1 of the French Monetary and Financial Code)

(1) law of 2 July 1990.

(2) Article L. 518-25 of the French Monetary and Financial Code.

(3) Article L. 518-25-1 of the French Monetary and Financial Code.

(€ million)	2009	2010	2011	2012	2013	2014
Amount	280	270	260	250	246	242

- for the period 2015-2020 (decrees of 4 December 2017 and 26 February 2015, in application of Article R. 221-8-1 of the French Monetary and Financial Code).

(€ million)	2015	2016	2017	2018	2019	2020
Amount	235	355	340	320	300	280

On 24 October 2017, the European Commission approved the public service compensation granted to La Banque Postale in order to guarantee accessibility to "Livret A" banking. The European Commission considered that the public financing granted by France to

La Banque Postale from 2015 to 2020, intended to improve banking accessibility, and is compliant with EU regulations in terms of State aid.

7.5.3 Eckert law⁽¹⁾ on dormant accounts and unclaimed life insurance contracts: volumes and outstandings

The "Eckert law", which entered into force on 1 January 2016, stipulates that amounts in dormant bank accounts must be transferred to the Caisse des Dépôts et Consignations (CDC) after a ten-year dormancy period (i.e. with no transactions or contact between a customer and their bank). In addition, the bank is obliged to publish an annual list of dormant accounts and the total deposits and credits in its books.

In 2015, La Banque Postale SA and its subsidiaries set up the procedure necessary for prior exhaustive identification of all of its dormant customers within the meaning of this law: identification of the date the account was last active for all customer accounts and the date of the last contact with La Banque Postale or its subsidiaries (through any communication channel). Each Company of the La Banque Postale Group has its own system of procedures for this. The scope of application of this system concerns the customers of La Banque Postale SA (and subsidiaries of the La Banque Postale Group). An independent procedure is applied directly by insurance providers CNP Assurances, Allianz and La Banque Postale Prévoyance for their policies distributed by La Banque Postale.

The arrangements for transferring the funds to the CDC do not concern customers that make regular transactions on at least one of their accounts, or customers that contact their bank on a regular basis (either by checking their account online, by contacting their Financial Centre, or by visiting a post office in person).

As soon as a client is identified as dormant, La Banque Postale (and its subsidiaries) fulfils its legal obligations: providing customers with annual information, closing dormant accounts, transferring amounts in credit (in euro only) to the CDC, filing information and documents concerning the customer (or any rightful owners known to the bank).

Following a rather atypical year in 2016 in terms of customer volumes (high deposit volumes) due to the entry into force of the law, dormant customer volumes in 2017 proved to be far lower, as did the overall volume of funds that were deposited at the CDC.

With the continual exchange of information with the CDC throughout 2017, La Banque Postale ensured the continuity of this system for customers, who, once their outstandings have been transferred, may, since 1 January 2017, research information about them and recover their funds via the website www.ciclade.fr.

Volumes and amounts outstanding within the scope of the Eckert law, for which La Banque Postale SA and its subsidiaries are the account custodians (individuals/legal entities):

	Dormant accounts closed in 2017	Dormant accounts at 31.12.2017
Number of accounts		
LBP S.A. and subsidiaries	340,116	2,480,258
of which LBP S.A.	340,106	2,478,728
of which BPE	8	744
of which EasyBourse	0	79
of which Tocqueville Finance	0	0
of which LBP Épargne Salariale	2	707
Amounts outstanding (€ '000s)		
LBP S.A. and subsidiaries	234,669	1,376,613
of which LBP S.A.	234,653	1,372,512
of which BPE	15	1,485
of which EasyBourse	0	1,615
of which Tocqueville Finance	0	0
of which LBP Épargne Salariale	1	1

(1) law no. 2014-617 of 13 June 2014 relative to dormant bank accounts and unclaimed life insurance contracts

7.6 LEARN MORE ABOUT LA BANQUE POSTALE

All the information is available at www.labanquepostale.com

This website provides an overview of La Banque Postale, its business lines, news, etc.

All financial information is available at www.labanquepostale.com/groupe/Investisseur.html

This section of the site is completely dedicated to financial information. It can be used to download information on all financial and institutional publications, financial press releases, the financial timetable, and presentations to investors.

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The Articles of Association of La Banque Postale can be viewed on the website www.labanquepostale.com. The Articles of Association presented below are up to date as at the date of this document.

HEADING I. CHARACTERISTICS OF THE COMPANY

Article 1. Form

The Company was set up in the form of a public limited company (*société anonyme*) with a Board of Directors, and registered with the Paris Trade and Companies Registry.

By a decision of the Combined General Meeting of Shareholders of 12 December 2005, its governance was changed, and it became a public limited company with an Executive Board and a Supervisory Board.

The Company is governed by current laws and regulations, and specifically by:

- ▶ the provisions of the French Commercial Code regarding commercial companies;
- ▶ the provisions of the French Monetary and Financial Code regarding credit institutions;
- ▶ the provisions of law No. 2005-516 of 20 May 2005 regarding the regulation of postal activities;
- ▶ the provisions of order No. 2014-948 of 20 August 2014 regarding governance and transactions involving the share capital of companies with public shareholdings; and
- ▶ these Articles of Association.

Article 2. Corporate purpose

(a) The corporate purpose of the Company, in France and abroad, is:

- banking transactions, as defined in article L. 311-1 of the French Monetary and Financial Code, and specifically credit transactions;
- transactions relating to banking transactions, as defined in article L. 311-2 of the French Monetary and Financial Code;
- the execution of investment services, order reception and transmission on behalf of third parties, order execution services on behalf of third parties, trades on its own account, investment advisory services, underwriting services, and guaranteed and non-guaranteed investment services, within the meaning of article L. 321-1 of the French Monetary and Financial Code governing financial instruments as a whole;
- services relating to investment services, as defined in article L. 321-2 of the French Monetary and Financial Code.

(b) The Company may also carry out all transactions other than those listed above on a habitual basis, notably acting as an insurance intermediary, including insurance broking, in accordance with the provisions of the French Insurance Code, under the conditions defined by a decree of the Minister in charge of the Economy and Finance.

(c) The Company receives *Livret A* deposits and distributes them in accordance with the provisions of article L. 518-25-1 of the French Monetary and Financial Code.

(d) Generally speaking, the Company may carry out all financial, commercial, industrial, securities or property transactions that may relate to the above activities, directly or indirectly, or that

may facilitate carrying out these activities on its own account, on behalf of third parties, or in concert.

Article 3. Name

The Company's name is "La Banque Postale".

The Company's name must always be immediately and legibly followed by the words "limited company with an Executive Board and a Supervisory Board", written in full, by a statement of the amount of the share capital, and by the place where and the number under which the Company is registered with the Trade and Companies Registry in all deeds and documents issued by the Company and intended for third parties, including letters, invoices, announcements, and miscellaneous publications.

Article 4. Registered office

The registered office is situated at 115 rue de Sèvres – 75275 Paris Cedex 06, France.

It may be transferred to any other location in the same French *département*, or to a neighbouring *département*, by simple decision of the Supervisory Board, which shall be subject to ratification by the next Ordinary General Meeting.

In this case, the Supervisory Board shall also be authorised to amend the Articles of Association accordingly.

Article 5. Duration

The duration of the Company is 99 years from the date of its registration with the Trade and Companies Registry, except in the event of dissolution, or of an extension decided by an Extraordinary General Meeting.

Article 6. Share capital

The share capital is set at four billion forty-six million four hundred and seven thousand five hundred and ninety-five euros (€4,046,407,595).

It is divided into thirty-five million one hundred and eighty-six thousand one hundred and fifty-three (35,186,153) fully paid-up shares of a single class.

In accordance with the provisions of Article 16-II-1 of law No. 2005-516 of 20 May 2005 on the regulation of postal business, La Poste owns a majority interest in the Company's share capital.

These Articles of Association do not provide for any specific advantage in favour of anyone whatsoever.

Article 7. Changes to the share capital

The share capital may be increased, decreased, or redeemed in accordance with the current laws and regulations.

HEADING II. RIGHTS AND OBLIGATIONS OF THE SHAREHOLDERS

Article 8. Share payments – Rights and obligations

Shares shall be paid up as provided for under the current laws and regulations.

The amounts still payable on the shares to be paid up in cash shall be called up by the Executive Board. However, subscribers and shareholders may pay all or part of said amounts in advance, if they wish to do so.

Subscribers and shareholders shall be made aware of calls for funds by any means, at least fifteen days before the date set for each payment.

Any shareholder who does not make the payments required for the shares that they own when these payments are due shall automatically be liable to pay a late interest charge to the Company at the legal rate.

In addition to a voting right, each share grants the right to ownership of the Company's assets, and to a share of the profits and liquidation premiums, which shall be proportional to the number of shares outstanding.

Whenever holding several shares is required in order to exercise any right, single securities, or a number of securities that is lower than the one required shall not confer upon their owners any rights with respect to the Company; in this event, shareholders shall be personally responsible for assembling the number of shares required.

Article 9. Form of the shares

The shares are registered shares.

They shall be registered in individual accounts in accordance with the terms and conditions provided for by current legal and regulatory provisions.

Article 10. Disposal and transfer of shares

Ownership of the shares results from their being recorded in an individual account in the name of the holder(s) in the registers held for this purpose at the Company's registered office.

Share transfers shall be carried out by electronic transfer.

Except in the event of:

- i) inheritance;
- ii) dissolution of joint ownership of assets between spouses;

iii) disposal to a spouse, an ascendant or a descendant;

iv) disposal or transfer of shares for the benefit of a private individual or a company that is already a shareholder; or

v) disposal of shares for the benefit of an individual who is a member of the Supervisory Board;

where there are no restrictions on transfer.

The transfer of shares to a non-shareholder third party, regardless of the reason and in any form, is subject, in addition to compliance with regulation No. 96-16 and to the provisions applicable to companies in the public sector, to the approval of the Supervisory Board, in accordance with the provisions of article L. 228-24 of the French Commercial Code, under the following conditions:

- the seller must forward to the Company the approval request, including the surname, names and address of the buyer, the number of shares that they plan to sell, and the price proposed,
- the approval is granted (i) either by the seller being informed of the decision of the Supervisory Board, acting on a simple majority of its members present or represented, (ii) or within a period of three months from when the request was made, if there is no answer from the Supervisory Board,
- in the event that the suggested buyer is not approved, and unless the seller decides to abandon the planned sale, the Executive Board is required to have the shares purchased, either by a shareholder or by a third party, or by the Company, with the seller's agreement, within three months from the date when the refusal is delivered, in order to reduce the share capital. The seller may abandon the planned sale on condition that they inform the Company via an extra-judicial deed, or by registered letter with request for an acknowledgement of receipt within thirty (30) days from the date the Company notified the seller of the name of the buyer suggested by the Supervisory Board,
- if the purchase has not occurred when the three-month period provided for above expires, the approval is considered as having been granted. However, this period may be extended by a court ruling this at the Company's request,
- if no agreement is reached between the parties in the sale scenarios listed above, the price of the shares shall be determined through an expert appraisal, under the conditions specified in Article 1843-4 of the French Civil Code.

Shares issued for cash and shares representing contributions in kind are only marketable once the Company has been registered with the Trade and Companies Registry, and upon completion of a capital increase.

HEADING III. ADMINISTRATION AND CONTROL OF THE COMPANY

The Company is managed by an Executive Board, which performs its duties under the control of a Supervisory Board.

A. Executive Board

Article 11. Executive Board – Composition

The Executive Board consists of at least two and at most five members, who are appointed by the Supervisory Board.

The members of the Executive Board must be private individuals, who may be chosen from outside the Company's shareholders, and even among the Company's salaried employees. The members of the Executive Board must fulfil the conditions of good repute, knowledge, skills and experience required by the regulations applicable to companies exercising the business activities described in Article 2 of these Articles of Association.

If a member of the Supervisory Board is appointed to the Executive Board that Supervisory Board member's office shall lapse upon his or her taking up the new duties.

In the event that a seat falls vacant, the Supervisory Board must fill it within two months. The substitute member shall be appointed for the period remaining until the Executive Board is renewed.

Failing that, any interested party may ask the Chairman of the Commercial Court, acting in summary proceedings, to make this appointment on a provisional basis.

Article 12. Length of term of office – Age limit

The Supervisory Board appoints members of the Executive Board for a period of five years, which expires at the first Supervisory Board meeting held following the fifth anniversary of this appointment. The Executive Board is renewed in its entirety when a five-year period has elapsed.

Members of the Executive Board may be re-elected.

Any member of the Executive Board may be dismissed by the Supervisory Board, or by the General Meeting. In the event that the interested party has entered into an employment contract with the Company, the termination of his or her duties as a member of the Executive Board shall not result in the termination of this contract.

No private individual who has reached the age of 65 may be appointed as a member of the Executive Board, or be reappointed to this position.

When the interested party has reached the age limit, he or she is automatically considered to have resigned from the date of the next meeting of the Supervisory Board, which shall see to his or her replacement.

Article 13. Chairmanship of the Executive Board – Chief Executive Officers – Effective manager

13.1 Chairman

The Supervisory Board shall appoint one of the Executive Board members as Chairman.

The Chairman shall perform his or her duties during the term of office as a member of the Executive Board.

The Chairman shall represent the Company in its dealings with third parties.

The Supervisory Board may dismiss the Chairman of the Executive Board from his or her duties as Chairman at any time, based on a majority vote of the members present or represented.

13.2 Chief Executive Officers

The Supervisory Board may assign the same power of representation to one or several members of the Executive Board, who shall then bear the title of Chief Executive Officer. In such a case, one of the Chief Executive Officers appointed in this way will also act in the capacity of effective manager, within the meaning of Article 13.3 below.

The Supervisory Board may dismiss the Chief Executive Officer(s) from his or her duties as Chief Executive Officer(s).

The Supervisory Board may remove from the Chief Executive Officer(s) the powers to represent the Company in its dealings with third parties under the same conditions.

13.3 Effective managers

The Supervisory Board assigns the capacity of effective manager to at least two of the members of the Executive Board. These directors are responsible for effectively determining the Company's management policy in accordance with the provisions of article L. 511-13 of the French Monetary and Financial Code, and must fulfil the conditions of good repute, knowledge, skills and experience listed in article L. 511-51 of the aforementioned Code, it being specified that the Chairman of the Executive Board shall be one of the effective managers.

13.4 Representation of the Company

Any action committing the Company towards third parties shall be duly performed by the Chairman of the Executive Board or by any other member who has been granted the title of Chief Executive Officer by the Supervisory Board.

The Chairman of the Executive Board, and the Chief Executive Officer(s), where applicable, are authorised to delegate part of their powers to any corporate officers that they deem appropriate. They may in particular delegate any power to represent and commit the Company in its dealings with any third parties to a member of the Executive Board who has the skills required, as resulting from the division of duties set out under Article 13.5.

13.5 Division of management duties

Members of the Executive Board may divide the management tasks between them, with the authorisation of the Supervisory Board. However this division of powers may not prevent the effective managers, within the meaning of the banking regulations, from performing their tasks and fulfilling their remits and obligations as defined by the French Monetary and Financial Code. Moreover, it may not result in stripping the Executive Board of its role as a collective management body. The effective managers must effectively manage the Company's affairs. They shall also present the division of their respective powers to the Supervisory Board. Measures that each member of the Executive Board takes individually, within his or her area of responsibility, shall be deemed to have been accomplished collectively by the Board, and shall commit it in its entirety.

However, the Executive Board may decide that any action committing the Company beyond an amount that it shall determine on a regular basis must be authorised in advance by the Board itself. Failure to secure this approval may result in the individual concerned being personally liable towards the Company and its shareholders.

Article 14. Powers of the Executive Board

The members of the Executive Board shall manage the Company on a collective basis.

The Executive Board has been invested with the most extensive powers to act in the Company's name under all circumstances. It exercises these powers within the limits of the corporate purpose, and subject to those powers expressly granted to the Supervisory Board and to Shareholders' Meetings in law and by these Articles of Association.

In its dealings with third parties, the Company shall be committed even by actions of the Executive Board that are not related to the corporate purpose, unless it proves that the third party was aware that the action exceeded that purpose, or could not be unaware of this fact given the circumstances, although the sole publication of the Articles of Association is not enough to amount to this proof.

However, the following actions shall be subject to the prior authorisation of the Supervisory Board, pursuant to the legal provisions:

- ▶ disposals of property assets;
- ▶ full or partial disposals of equity investments;
- ▶ the provision of security with the exception of deposits, endorsements and guarantees granted by the Company in the ordinary course of its business activities as a credit institution.

The Supervisory Board may, with powers to delegate and within a maximum amount that it sets for each transaction, authorise the Executive Board to dispose of property assets, to dispose of equity investments partially or in full and to provide security. When a transaction exceeds the amount set in this way, the Supervisory Board's authorisation shall be required in each case.

The following corporate transactions and decisions are also subject to the prior authorisation of the Supervisory Board:

- ▶ the approval of the strategic plan and of any significant changes made to it;
- ▶ investment or divestment decisions for amounts exceeding €12,000,000 in France and abroad, and relating to:
 - any projects involving the creation of subsidiaries or branches,
 - any projects involving a contribution, merger, split, restructuring or transfer of assets, including through a universal transfer of assets, with the exception of transactions within La Banque Postale Group where the amount of such transaction is lower than €30,000,000,
 - any joint venture or equity partnership with the exception of transactions within La Banque Postale Group where the amount of such transaction is lower than €30,000,000,
 - any acquisition or equity investments with the exception of transactions within La Banque Postale Group where the amount of such transaction is lower than €30,000,000;
- ▶ decisions relating to the allocation of shares subscription or purchase options, or of equivalent securities, to the corporate officers and/or managers, as well as the allocation of free shares;
- ▶ decisions relating to financing transactions for terms exceeding one year and having a significant impact on the consolidated balance sheet of La Banque Postale (in excess of €1 billion) or any issuance of debt securities falling within Tier 1 or Tier 2 (additional own funds) for an amount in excess of €500 million;

- ▶ draft resolutions to be submitted to the Shareholders' Meeting, pursuant to article L. 228-92 of the French Commercial Code, and relating to the issuance of marketable securities, giving access to other equity securities or giving the right to the allocation of debt securities or to the issue of marketable securities that give access to equity securities to be issued, and to the setting of the issuance terms and conditions for said marketable securities;
- ▶ dividend distribution proposals and related transactions.

The Executive Board shall present a report on the conduct of the Company's affairs to the Supervisory Board at least once a quarter.

In the three months following the close of each financial year, the Executive Board shall approve the separate financial statements, and, where applicable the consolidated financial statements and the related management report, and present them to the Supervisory Board for examination and checking. It will suggest the appropriation of net income for the year just ended.

The Executive Board shall convene the General Meetings of Shareholders, shall set their agenda and execute their decisions.

Article 15. Structure and operation of the Executive Board

The Executive Board shall meet as often as the Company's interests require it to do so, on the invitation of its Chairman, its Chief Executive Officer, if it has one, or of at least half of its members, either at the registered offices, or at any other location mentioned in the notice of meeting.

The agenda shall be set by the person notifying the meeting, no later than the day before the scheduled meeting. However, in the event of urgency, the agenda may be set at the time of the meeting.

The notice of meeting may be communicated by any means.

The statutory auditors shall be invited to those Executive Board meetings at which the separate or interim financial statements are reviewed or approved.

A member of the Executive Board may ask another member to represent him or her.

The Chairman, or in his or her absence, a member who is present and appointed by the Executive Board and takes the title of Chairman, shall chair the meetings.

The actual presence of at least half of the members is required for the discussions to be valid, or the presence of both members, if the Executive Board consists of only two members. For the purpose of calculating the quorum and majority, members who take part in the Executive Board meeting by video-conferencing facilities that comply with technical characteristics guaranteeing effective participation in the Executive Board meeting, where proceedings must be broadcast on an uninterrupted basis, shall be deemed present, except for the approval of the separate and consolidated financial statements and the management report.

In the event of a tied vote, the Chairman shall have the casting vote.

Regardless of their form, the discussions of the Executive Board shall be recorded in minutes drawn up in a special register, or on serially numbered loose-leaf sheets. These sheets or the register shall be kept at the Company's registered office. They shall be signed by the Chairman and all the Executive Board members present, and shall be circulated to all members of the Executive Board.

Copies or excerpts of the minutes of the discussions are duly certified by the Chairman of the Executive Board, or by one of the members of the Executive Board or a person empowered for this purpose by the Executive Board.

Where applicable, the Executive Board ratifies the internal rules specifying its operating procedures.

Article 16. Remuneration of Executive Board members

The Supervisory Board shall set the remuneration method and amount for each member of the Executive Board in accordance with the current legal provisions and regulations.

Article 17. Holding of multiple offices by Executive Board members

Members of the Executive Board must comply with the rules governing the plurality of offices as defined by the current laws and regulations, and in particular the provisions of the French Commercial Code, and the French Monetary and Financial Code.

Any private individuals, who find themselves in breach of the above provisions after having accepted a new office, must resign from one of their offices within three months of their appointment.

Article 18. Liability of Executive Board members

Without prejudice to the specific liability that may arise from the Company entering receivership, the members of the Executive Board shall be liable, individually or jointly, depending on the case, towards the Company or third parties, either for breaching the legal or regulatory provisions applicable to limited companies, or for breaching the Articles of Association, or for errors committed under their management.

B. Supervisory Board

Article 19. Supervisory Board

19.1 Composition

19.1.1 – The Supervisory Board shall consist of at least three, and at most eighteen members, one-third of whom shall be employee representatives and, where applicable, a representative appointed by the Government and/or members of the Supervisory Board appointed by the General Meeting based on a proposal by the Government, pursuant to Articles 4, 6 and 7 of order No. 2014-948 of 20 August 2014.

The members of the Supervisory Board must fulfil the conditions of legal capacity, skills and good repute required by the regulations applicable to companies exercising the business activities described in Article 2 of these Articles of Association.

Members of the Supervisory Board other than employee representatives are appointed from among private individuals or companies by the Ordinary General Meeting.

The General Meeting may dismiss any member of the Supervisory Board it has appointed at any time.

19.1.2 – Employee representative members of the Supervisory Board are elected under the conditions specified by the provisions of order No. 2014-948 of 20 August 2014.

Any employee representative may be dismissed for gross misconduct in the exercise of his or her office as a member of the Supervisory Board, through a summary ruling of the President of the District Court at the request of the majority of the members of the Supervisory Board.

In the event of severe dissent impeding the management of the Company, any dismissal decided upon by the General Meeting may include the employee representatives, in accordance with the provisions of order No. 2014-948 of 20 August 2014.

19.2 Reappointment

The offices of all members of the Company's Supervisory Board shall end on the same day, at the end of a five-year term. During the existence of the Company, the members of the Supervisory Board may be reappointed under the current legal and regulatory provisions.

The members representing the employees are eligible for reappointment.

In the event that a Supervisory Board member's seat falls vacant, for any reason whatsoever, the replacement member shall only exercise his or her office for the period remaining until the renewal of the entire Board.

In the event that a new member is appointed to the Supervisory Board by the General Meeting outside the date when the entire Board is renewed, the new member shall only hold his or her office for the period remaining until the renewal of the entire Board.

19.3 Restrictions on the holding of multiple offices

Members of the Supervisory Board must comply with the rules governing the plurality of offices as defined by the current laws and regulations and in particular by the provisions of the French Commercial Code and the French Monetary and Financial Code.

Any private individuals, who find themselves in breach of the above provisions after having accepted a new office, must resign from one of their offices within three months of their appointment.

19.4 Combining office with an employment contract

In accordance with legal provisions, the number of members of the Supervisory Board who have an employment contract with the Company may not exceed one-third of the serving members on the Board. In accordance with the provisions of Article 15 of law No. 73-1196 of 27 December 1973, the members of the Supervisory Board representing the employees are not included in this number.

19.5 Incompatibility – Restrictions

The performance of the office of a Supervisory Board member must not be incompatible with the holding certain public or professional duties.

No member of the Supervisory Board may be a member of the Executive Board. If a member of the Supervisory Board is appointed to the Executive Board that Supervisory Board member's office shall lapse upon his or her taking up the new duties.

In addition, no one may be appointed to the Supervisory Board or remain on the Board if they find themselves subject to any court order that results in them being prohibited from running or directing any firm or company.

19.6 Supervisory Board Membership for legal entities

A legal entity may be appointed as a member of the Supervisory Board. The legal entity is required to appoint a Permanent Representative at the time it is appointed.

Permanent representatives are subject to the same rules as members who are private individuals, particularly where restrictions and disqualifications, and the age limit, are concerned.

In cases where the legal entity withdraws its Permanent Representative's mandate, it is required to provide for his replacement at the same time. The same applies in the event of the death or resignation of the Permanent Representative. The legal entity is required to notify the Company of this death or resignation, together with the identity of the member's successor without delay, by registered letter with request for an acknowledgement of receipt.

19.7 Status of the Employee representative members of the Supervisory Board in accordance with order No. 2014-948 of 20 August 2014

A Supervisory Board employee representative member's term of office is incompatible with any other office involving the representation of employees' interests within the Company or its subsidiaries, and particularly with the positions of trade-union representative, member of the works council, staff representative or member of the committee on health, safety and working conditions. The aforementioned mandates and their related protection shall lapse upon at the date of taking up the new office.

An employee representative's membership of the Supervisory Board is also incompatible with holding the position of full-time union representative. In the event of the appointment to the Supervisory Board of an employee who holds the position of full-time union representative, his or her duties as representative shall be terminated and the person concerned shall resume his or her position as an employee.

Employee representative members of the Supervisory Board shall be granted a minimum time period of 15 hours per month to fulfil their mandate. The length of the Supervisory Board meetings is not deductible from this allowance, nor is the time spent on their training in company management.

The employee representatives' mandates shall end automatically when they no longer fulfil the eligibility conditions.

Article 20. Shares held by members of the Supervisory Board

Members of the Supervisory Board are not required to own a minimum number of Company shares.

Article 21. Length of term of office – Age limit

Without prejudice to the application of Article 19.2 of these Articles of Association, members of the Supervisory Board are appointed for a period of five years. They may be re-elected.

No private individual or legal entity representative who is aged over seventy may be appointed, elected or reappointed as a member of the Supervisory Board. In addition, the number of members of the Supervisory Board who have reached the age of seventy shall not exceed one-third of the serving members of the Supervisory Board.

If the proportion of one-third is exceeded due to the fact that a serving member of the Supervisory Board comes to be older than seventy, the oldest member of the Supervisory Board shall automatically be deemed to have resigned.

Article 22. Vacancy – Co-option – Ratification

In the event of a vacancy due to the death or resignation of one or more members appointed by the General Meeting, the Supervisory Board may replace them on a temporary basis. The appointment of the replacement members must be approved at the next General Meeting.

If ratification is not granted, the resolutions voted and the actions accomplished by the Supervisory Board or by this member during their management term would nonetheless remain valid.

When a seat is left vacant by an employee representative, the candidate on their list immediately after the last candidate elected shall be called upon to replace them. If the list in question is not sufficient to fill the vacancies, the seats that are not filled shall remain vacant up until the following election. However, if the number of vacancies exceeds half the employee representative seats, a partial election shall be organised, except during the remaining six months of the term of office.

Substitute members shall only hold their office for the period remaining until the renewal of the entire Supervisory Board.

If the number of Supervisory Board members falls below the legal minimum, the Supervisory Board must immediately convene the Ordinary General Meeting in order to supplement the numbers on the Board.

Article 23. Board officers

The Supervisory Board shall elect a Chairman and a Vice-Chairman among its members. The Chairman, or in the absence of the Chairman, the Vice-Chairman, where applicable, is responsible for convening the Supervisory Board and directing its discussions. The Chairman and the Vice-Chairman, where applicable, shall hold their office for the duration of their term of office as a member of the Supervisory Board.

The Supervisory Board shall determine their remuneration, where applicable.

The Supervisory Board may appoint a secretary, who may be chosen from outside its members.

Article 24. Supervisory Board proceedings – Minutes

The Supervisory Board shall meet at the registered office or in any other location specified in the notice of meeting, as often as the Company's interests require it to do so, and at least once a quarter, in order to review the Executive Board's report.

The Supervisory Board shall consider any matter included in the agenda by the Chairman or the Board, taking decisions on the basis of a simple majority.

The agenda may be set at the time of the meeting.

The Supervisory Board is convened by the Chairman, by any means.

By derogation to Article 12 of order No. 2014-948 of 20 August 2014, in the absence of the Chairman of the Supervisory Board, the Vice-Chairman may convene the Supervisory Board by any means.

The Company's Works Council shall be represented at the meetings of the Supervisory Board in accordance with the provisions of article L. 2323-64 of the French Labour Code.

However, the Chairman must convene the Supervisory Board at a date that cannot be later than within 15 days, when a member of the Board or at least one-third of the members of the Supervisory Board presents them with a reasoned request to this effect. If the request is not acted upon, its authors may convene the Board themselves, and specify the agenda for the meeting.

Pursuant to Article 13 of order No. 2014-948 of 20 August 2014, meetings of the Supervisory Board may be convened by over one-third of the members of the Supervisory Board on an agenda and at a location established in the notice of meeting.

A member of the Supervisory Board may give another member of the Board a mandate to represent him or her at any Supervisory Board meeting by letter, email, or fax.

Each member of the Supervisory Board may only have one proxy for a given meeting.

Under the conditions and subject to the exceptions provided by law, the Supervisory Board's resolutions may be voted by videoconference or through the use of all means of telecommunication or remote transmission that enable the members to be identified under the conditions set by the current legislation.

An attendance register is kept, which is signed by the Supervisory Board members taking part in the meeting. The actual presence of at least half the Supervisory Board members is required for the discussions to be valid. Members of the Supervisory Board, who take part in the Supervisory Board meeting via videoconference, or by any of the telecommunication or remote broadcasting means listed in the previous paragraph, shall be deemed present for the purpose of calculating the quorum and majority. The minutes shall mention the members of the Supervisory Board who took part in said Board meeting by videoconference or any other telecommunication or remote broadcasting means.

Decisions are taken by majority vote of the members who are present or represented; each member who is present or represented has one vote. The Chairman of the meeting has the casting vote in the event of a tied vote.

The Supervisory Board's discussions shall be recorded in minutes written in a special register or on serially numbered loose-leaf sheets. These sheets or the register shall be kept at the Company's registered office. They shall be signed by the Chairman of the meeting and one of the Supervisory Board members present. In the event that the Chairman of the meeting is unable to attend, they shall be signed by two members of the Supervisory Board. The minutes shall be circulated to all members of the Supervisory Board.

Article 25. Remit and powers of the Supervisory Board

The Supervisory Board exercises ongoing control over the management of the Company through the Executive Board, and grants the latter prior authorisation to enter into transactions that the Executive Board cannot perform without its authorisation, in accordance with Article 14 of these Articles of Association.

The Supervisory Board shall hold discussions on the Company's main strategic, economic, financial and technological orientations, and specifically on the corporate or programme contract, prior to the Executive Board's decisions.

The Supervisory Board shall perform the tasks assigned to the supervisory body pursuant to the order of 3 November 2014 on internal control for companies in the banking, payment services and investment services sectors under the supervision of the French Prudential Supervision and Resolution Authority (ACPR).

In addition, the Supervisory Board shall authorise the disposal of shares to a third party, in accordance with the provisions of Article 10 of these Articles of Association.

The Board shall perform the checks and controls that it deems necessary at any time of the year, and may ask for disclosure of the documents that it considers necessary to perform its remit.

It shall authorise agreements, in accordance with the provisions of article L. 225-86 of the French Commercial Code.

It shall present its observations on the Executive Board's report and on the financial statements for the year to the Annual Ordinary General Meeting.

It shall decide on relocating the registered office within the same French *département*, or to a neighbouring *département*, subject to the approval of this decision by the next Ordinary General Meeting.

The Supervisory Board may assign to one or more of its members any special duties for one or more determined purposes.

The Supervisory Board shall approve the internal rules specifying its operating procedures, and those of the special committees that it may have set up.

The Supervisory Board shall appoint, and may dismiss the members of the Executive Board.

The Supervisory Board shall suggest the appointment or renewal of the statutory auditors to the General Meeting.

Article 26. Remuneration of Supervisory Board members

The General Meeting may award an annual fixed amount, in the form of attendance fees, to members of the Supervisory Board, as remuneration for their duties. This amount shall be recognised under operating expenses.

The Supervisory Board shall divide the total amount allocated between its members in accordance with legal and regulatory provisions in effect.

The remuneration of the Chairman and Vice-Chairman shall be determined by the Supervisory Board, in accordance with the current legal and regulatory provisions.

The Supervisory Board may award exceptional remuneration amounts for special duties or remits assigned to members of the Board. These exceptional remuneration amounts are subject to the provisions of article L. 225-86 of the French Commercial Code.

The expenses incurred by members of the Supervisory Board in the exercise of their functions shall be reimbursed by the Company on production of substantiating documentation.

Office held by members representing the employees is unpaid.

Article 27. Liability of Supervisory Board members

The Supervisory Board members are liable for personal errors committed in the performance of their duties of office. They shall incur no liability for management actions or for their outcome.

They may be pronounced civilly liable for the offences committed by members of the Executive Board, if they did not disclose them to the General Meeting when they became aware of them.

The employee representative members of the Supervisory Board, elected under order No. 2014-948 of 20 August 2014, may not under any circumstances be declared liable jointly and severally with the members of the Supervisory Board who represent the shareholders. Their liability shall be assessed paying due regard to the fact that their tenure of office is unpaid.

Article 28. Supervisory Board Committees

The Supervisory Board may decide to set up Board Committees responsible for assisting it, and shall determine the composition, the special powers and the potential remuneration of their members, who shall execute their tasks under its responsibility. The Chairman of each committee is appointed by the Supervisory Board.

The Supervisory Board shall in particular establish the committees as provided by the French Commercial Code and the French Monetary and Financial Code.

Article 29. Non-voting advisors

The Supervisory Board may appoint one or several non-voting advisors, whose remit is to assist the Supervisory Board in performing its control duties, and who take part in Supervisory Board meetings on a non-voting basis.

Each non-voting advisor is appointed for a period of one year, which is renewable indefinitely.

Non-voting advisors are not required to be shareholders, and their work on behalf of the Company may be remunerated as determined by the Supervisory Board.

HEADING IV. SHAREHOLDERS' MEETINGS**Article 30. General Meetings – Convening – Composition**

General Meetings are convened by the Executive Board under the conditions determined by law, or, where applicable, by the Supervisory Board, the statutory auditors, or a corporate officer appointed by the Chairman of the Commercial Court, acting on a summary basis at the request of one or several shareholders who represent at least 5% of the share capital.

The meetings shall take place at the registered office or at any other location in France specified in the notice of meeting.

The General Meeting meets at least once a year before 31 May in order to approve the separate financial statements.

The notice of meeting is sent to shareholders no later than fifteen days before the meeting date, either via a standard letter, or via a registered letter with request for an acknowledgement of receipt or by email, in accordance with article R. 225-63 of the French Commercial Code.

Where a meeting has been unable to deliberate validly, due to the lack of the required quorum, a second meeting, and where applicable, the extended second meeting shall be called in the same manner as the first meeting, and the notice of meeting shall remind the recipients of the date of the first meeting, and shall set out its agenda again. The notice of meeting shall be sent at least ten days before the meeting upon the second notice of meeting.

All shareholders may take part in the meetings, in person or by proxy, on presentation of proof of identity and of the ownership of their shares, in the form of a registered entry in their name in the Company's registers, made at least two days before the meeting. The Executive Board may cancel or shorten this time limit, but only for the benefit of all shareholders.

All shareholders may also vote remotely, according to the legal and regulatory procedures.

Shareholders who take part in the meeting via video-conference, or via any other means that enables them to be identified, the nature and conditions for which are determined by Council of State decree, shall be deemed present for calculating the quorum and majority.

A shareholder may be represented only by his/her spouse, partner in a civil solidarity pact or another shareholder.

Corporate shareholders shall take part in meetings through their legal representatives or through any person the latter may appoint for this purpose.

The meetings are chaired by the Chairman of the Supervisory Board or, in his or her absence, by the Vice-Chairman specifically appointed to this effect by the Supervisory Board. Failing this, the General Meeting shall appoint its own Chairman.

In the event that the meeting is convened by a statutory auditor or by a court-appointed representative, the General Meeting shall be chaired by the issuer of the notice of meeting.

The Board of officers thus constituted shall appoint a secretary, who may be chosen from outside the members of the General Meeting.

The tellers' duties shall be fulfilled by the two members of the General Meeting who are present and accept their office, both for themselves and as proxies, and who hold the largest number of shares.

The General Meeting's discussions are recorded in minutes signed by the Board officers, and written on a special register in accordance with the law. Copies and excerpts of these minutes are duly certified under the conditions set in law.

Article 31. General Meeting proceedings

Ordinary and Extraordinary General Meetings, sitting under the quorum and majority conditions specified by the respective provisions that govern them, exercise the powers that are assigned to them in law.

HEADING V. FINANCIAL YEAR – FINANCIAL STATEMENTS – AUDIT

Article 32. Company financial year

Each Company financial year runs for a period of 12 months beginning on 1 January and ending on 31 December each year.

Article 33. Appropriation of net income

If a distributable profit, as defined by law, arises from the financial statements for the year, as approved by the General Meeting, the latter may decide to assign that profit to one or more reserves, for which the meeting sets the allocation and use, to carry it forward to retained earnings, or to distribute it.

Upon noting the existence of reserves available to it, the General Meeting may decide to distribute amounts drawn from those reserves. In this case, the decision shall expressly indicate the specific reserves from which the drawings are made.

However, dividends shall be deducted first from the distributable profit for the year.

The General Meeting has the power to grant each shareholder the option of payment of the dividend or interim dividends in cash or in shares, for all or part of the dividend or interim dividend distributed.

The procedures for paying dividends in cash are set by the General Meeting, or, failing which, by the Executive Board.

However, the dividend payment must occur within a maximum period of nine months after the close of the financial year, unless that period is extended by a court order.

When a balance sheet drawn up during or at the end of the financial year, and certified by a statutory auditor, shows that the Company has made a profit since the close of the previous financial year, after recording the required depreciation and amortisation and provision charges, and after deducting prior losses, where necessary, as well as the amounts to be recorded under reserves pursuant to the law and to the Articles of Association, and taking earnings carried forward into

account, an interim dividend may be distributed, before the approval of the financial statements for the year. The amount of this interim dividend may not exceed the amount of the profit thus determined.

The Company may not demand that shareholders return a dividend, unless it was distributed in breach of legal provisions, and the Company establishes that the beneficiaries were aware of the irregular nature of this distribution at the time it was made, or could not have been unaware of it, given the circumstances.

Any right of action in recovery shall lapse three years after these dividends are made payable. Dividends that are not claimed within five years of their payment shall lapse.

Article 34. Statutory auditors

The Company is audited by at least two statutory auditors, who fulfil the legal eligibility conditions.

Each statutory auditor is appointed by the Ordinary General Meeting for six financial years, in compliance with the special regulations that apply depending on the Company's business activities. Their term of office shall expire following the General Meeting that approves the financial statements for the sixth financial year.

The Ordinary General Meeting shall appoint at least two alternate statutory auditors, who shall be called upon to replace the principal statutory auditors in the event of their refusal, unavailability, resignation or death.

Article 35. Government commissioner

A Government Commissioner appointed pursuant to the provisions of Section II of article L. 615-1 of the French Monetary and Financial Code shall discharge his or her duties within the Company's bodies, under the conditions specified in Articles D. 615-3 et seq. of the French Monetary and Financial Code.

HEADING VI. DISSOLUTION – DISPUTES

Article 36. Dissolution

When the Company's term expires, or in the event of early dissolution, the General Meeting shall choose the method of liquidation and shall appoint one or more liquidators, whose powers it shall determine, and who shall fulfil their duties in accordance with the law.

The liquidator(s) shall represent the Company. Following asset liquidation and the settlement of liabilities, the liquidator(s) shall distribute any available balance.

The remaining net assets following the redemption of the shares at their nominal value shall be shared among the shareholders in proportion to their interest in the share capital.

Article 37. Disputes

Any disputes on Company-related issues that may arise during the life of the Company or on its liquidation, either between the shareholders, the members of the Board, or the statutory auditors and the Company, or between the shareholders themselves, shall be judged in accordance with the law and subject to the jurisdiction of the competent courts.

SUPERVISORY BOARD CHARTER AND INTERNAL RULES

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9.1 SUPERVISORY BOARD MEMBERS' CHARTER

At its meeting of 25 January 2006, La Banque Postale's Supervisory Board adopted this charter for the Board member (the "charter"), which aims to specify the rights, obligations and principles applicable to the members of La Banque Postale's Supervisory Board.

Article 1. Assumption of office

When they assume office, each member of the Supervisory Board is given a copy of the Legal and regulatory provisions that apply to their position within La Banque Postale, a copy of the internal rules of the Supervisory Board and of the special committees set up within the Board, and this charter, as well as the provisions relating to the rights and obligations of Board members, as defined in Articles 7 to 13 of Section II, Chapter I, of the law of 26 July 1983 on the democratisation of the public sector.

Article 2. Compliance with laws and regulations and the corporate interest

2.1 - Every member of the Board must be fully aware of their rights and obligations at all times. Specifically, they must understand and comply with the legal and regulatory provisions applicable within La Banque Postale, and with the provisions of the internal rules of the Supervisory Board and of the existing special committees.

2.2 - Every member of the Board shall act in the Company's corporate interest at all times. They shall abide by the principles listed in the charter.

2.3 - Every member of the Board may, at any time, consult the Supervisory Board's Secretariat regarding the scope of the provisions governing the rights and obligations relating to their office.

Article 3. Holding of office – Guiding principles

Every member of the Board shall fulfil their duties with independence and loyalty, and in a professional manner, and shall undertake to take the measures required when they believe in good faith that they are no longer fully able to carry out their mandate.

Article 4. Personal involvement

4.1 - Every member of the Board undertakes to devote all the time and attention required by their mandate to examine the applications submitted to the Board and the issues that are entrusted to them on a more specific basis, as well as to the work of the committee(s) of which they are a member. They undertake to take part in all the Supervisory Board meetings in an attentive and diligent manner, unless they are prevented from doing so.

4.2 - Every member of the Board is responsible for requesting the information that they believe is useful to them within the appropriate time frame, in order to be able to discuss it with the Board in full knowledge of the facts.

4.3 - Every member of the Board must familiarise themselves with the Company's business lines and specific features, its challenges, its values, and its regulatory environment. Every member of the Board must make efforts to update the knowledge that is useful to them in fulfilling their mandate properly.

Article 5. Duty to speak

5.1 - Every member of the Board has a duty to express the questions and opinions resulting from the fulfilment of their mandate.

5.2 - In the event of a disagreement, they shall ensure that their position or proposals are expressly entered in the minutes of the discussions.

Article 6. Independence

6.1 - Every member of the Board undertakes to maintain their independence of analysis, judgement, decision and action under any circumstance, and to reject any direct or indirect pressure that may be exercised on them.

6.2 - Every member of the Board undertakes not to accept any benefits of any kind from La Banque Postale or from related firms or companies, either directly or indirectly, which are likely to be considered of a nature to compromise their independence during the term of their mandate or beyond it.

6.3 - Every member of the Board undertakes, during the term of their mandate, to notify the Chairman of the Supervisory Board immediately of any situation involving the holding of multiple offices, within companies or other legal entities governed by French or foreign law.

Article 7. Potential conflicts of interest

7.1 - Without prejudice to the application of the French Commercial Code provisions relating to the control of regulated agreements, every member of the Board shall inform the Supervisory Board and its Chairman of any situation concerning them that is likely to create a conflict, even one that is potential or temporary, with the interests of La Banque Postale or any of its subsidiaries, as soon as they become aware of it.

7.2 - In such cases, the member of the Supervisory Board shall:

- ▶ abstain from taking part in the discussions and from any decision on the issues in question, if the conflict of interest is temporary;
- ▶ take all measures aimed at ending said conflict of interest, including tendering their resignation from their office as a Board member to the Chairman of the Supervisory Board, if it turns out that the conflict of interest is ongoing.

7.3 - Generally speaking, every member of the Board shall undertake to avoid any conflict that may exist between their material or moral interests and those of La Banque Postale or any of its subsidiaries.

Article 8. Confidentiality

8.1 - Every member of the Board personally undertakes to respect the absolute confidentiality of the information that they receive, of the discussions in which they participate, and of the decisions taken by the Supervisory Board, under the conditions determined in Article 8 of the Supervisory Board internal rules.

8.2 - Every member of the Board shall refrain from using, revealing or disclosing, for their own benefit or for the benefit of any third party, any non-public information regarding La Banque Postale or any of its subsidiaries, their activities or their projects, that they are aware of due to their capacity as a Board member.

Article 9. Effectiveness of the Board's operations

9.1 - Every member of the Board shall contribute, through their active participation, to the collective spirit and effectiveness of the work performed by the Supervisory Board and by any special committees set up within it, and to the tasks in which they participate.

9.2 - Every member shall express any recommendation that they believe will improve the operating procedures of the Supervisory Board, particularly within the context of any meeting of the Supervisory Board that addresses its operations. The same goes for any of the special committees where they participate in the tasks.

9.3 - Along with the other members of the Supervisory Board, every member shall strive to ensure that the control bodies fulfil their remit effectively, and without hindrance. Specifically, members shall ensure that they are informed of the implementation of procedures enabling controls on compliance with the laws and regulations within the Company.

9.4 - Every member shall ensure that, without exception, the positions adopted by the Supervisory Board are the subject of formal decisions, which are correctly reasoned and registered in the minutes of its meetings.

9.5 - In the event that a member of the Supervisory Board ceases to be in a position to fulfil their mandate in compliance with the charter, whether of their own volition or for any other reason, they must inform the Chairman and the Board, seek solutions to resolve the situation and, failing that, make their mandate available to the Board.

Article 10. Endorsement of the charter

Every member of the Supervisory Board shall endorse this charter as soon as they assume their office.

9.2 INTERNAL RULES OF THE SUPERVISORY BOARD OF LA BANQUE POSTALE

The Supervisory Board of La Banque Postale (the "**Company**") decided at its meeting of 25 January 2006 to adopt the present internal rules of the Board (the "**Internal Rules**") which are designed to supplement the articles of Section III of the Company's Articles of Association, particularly with regard to the functioning and organisation of the Supervisory Board and its relations with the Executive Board.

Article 1. Powers of the Supervisory Board

The Supervisory Board exercises the powers granted to it by law and regulations, and by the Company's Articles of Association.

Moreover, in accordance with the provisions of Article L. 225-68 of the French Commercial Code and Article 14 of the Company's Articles of Association, the following corporate transactions and decisions are subject to the prior authorisation of the Supervisory Board:

- ▶ disposals of property assets;
- ▶ full or partial disposals of equity investments;
- ▶ the provision of security with the exception of deposits, endorsements and guarantees granted by the Company in the ordinary course of its business activities as a credit institution.

The Supervisory Board may, with powers to delegate and within a maximum amount that it sets for each transaction, authorise the Executive Board to dispose of property assets, to dispose of equity investments partially or in full and to provide security. When a transaction exceeds the amount set in this way, the Supervisory Board's authorisation shall be required in each case.

The following corporate transactions and decisions are also subject to the prior authorisation of the Supervisory Board:

- ▶ the approval of the strategic plan and of any significant changes made to it;
- ▶ investment or divestment decisions for amounts exceeding €12,000,000 in France and abroad, and relating to:
 - any projects involving the creation of subsidiaries or branches,
 - any projects involving a contribution, merger, split, restructuring or transfer of assets, including through a universal transfer of assets,

with the exception of transactions within La Banque Postale Group where the amount of such transaction is lower than €30,000,000,

- any joint venture or equity partnership with the exception of transactions within La Banque Postale Group where the amount of such transaction is lower than €30,000,000,
- any acquisition or equity investments with the exception of transactions within La Banque Postale Group where the amount of such transaction is lower than €30,000,000;
- ▶ decisions relating to the allocation of shares subscription or purchase options, or of equivalent securities, to the corporate officers and/or managers, as well as the allocation of free shares;
- ▶ decisions relating to financing transactions for terms exceeding one year and having a significant impact on the consolidated balance sheet of La Banque Postale (in excess of €1 billion) or any issuance of debt securities falling within Tier 1 or Tier 2 (additional own funds) for an amount in excess of €500 million;
- ▶ draft resolutions to be submitted to the Shareholders' Meeting, pursuant to Article L. 228-92 of the French Commercial Code, and relating to the issuance of marketable securities, giving access to other equity securities or giving the right to the allocation of debt securities or to the issue of marketable securities that give access to equity securities to be issued, and to the setting of the issuance terms and conditions for said marketable securities;
- ▶ dividend distribution proposals and related transactions.

Moreover, the Supervisory Board ensures performance of the duties assigned under the French Monetary and Financial Code and by the decree of 3 November 2014 on the internal control of banking sector companies, payment services and investment services supervised by the French Prudential Supervision and Resolution Authority (ACPR). Pursuant to these provisions, it adopts and regularly revises the general principles of the remuneration policy; in particular, it approves the overall risk limits and determines guidelines regarding the programme of periodic audit assignments, compliance obligations and the risk management function.

The Board may ask the Chairman, or a member of the Board appointed for this purpose, or else one of the committees provided for in Article 2, for verifications or specific information or any other assignments regarding specific items.

Article 2. Supervisory Board Committees

In order to prepare some of the Supervisory Board's work, the Board creates committees. It determines their composition and responsibilities and appoints the Chairman:

- ▶ Risk Committee;
- ▶ Financial Statements Committee;
- ▶ Nomination Committee;
- ▶ Compensation Committee;
- ▶ Strategy Committee.

Article 3. Participants in Supervisory Board meetings

3.1 Appointment of participants

In addition to the members of the Supervisory Board appointed in accordance with the legal and regulatory provisions, the following shall take part in meetings of the Supervisory Board, in a non-voting role:

- ▶ the statutory auditors, who by law must be invited to attend any Supervisory Board meetings at which the Company's annual or interim financial statements are examined;
- ▶ the Secretary of the Works Council, who must be invited to attend by law⁽¹⁾;
- ▶ the Government Commissioner⁽²⁾;
- ▶ the members of the Executive Board;
- ▶ the Secretary of the Board;
- ▶ any person whose skills and expertise the Chairman may deem necessary to the accomplishment of the Board's tasks.

The persons thus invited may, like the members of the Supervisory Board, attend the Board meeting by the means and under the conditions stipulated in Article 5.4 hereafter.

Their attendance at the Board meeting shall be mentioned in the minutes of each meeting.

3.2. Chairmanship and Secretariat of the Supervisory Board

- a) The Chairman, or the Vice-Chairman where applicable in the absence of the Chairman, directs the discussions and ensures compliance with the legal and regulatory provisions in relation to the internal rules. He may, if necessary, order an adjournment of the meeting.
- b) The Board may appoint, under the conditions of Article 23 of the Articles of Association, a permanent secretary of the Company's Supervisory Board, with the following powers:
 - organising meetings of the Supervisory Board, in accordance with the principles set out in Article 4 of these regulations, keeping an up-to-date schedule of meetings of the Board and preparing minutes reporting the proceedings of each meeting in accordance with the provisions of Article 6 of these regulations;
 - certifying any copy or excerpt of the minutes of the decisions of the Supervisory Board and of the proceedings of the Company's General Meeting;

- maintaining the register of share movements and the Company's shareholder registers, maintaining them up-to-date and certifying any copy of these documents;
 - the register of Supervisory Board minutes and the register of minutes of General Meetings; and
 - in general, completing all legal formalities of filing, publicity and registration with the Trade and Companies Registry (RCS).
- c) The Secretary of the Supervisory Board nominated, except in the case of absence, as meeting secretary at each Supervisory Board meeting, is in charge of maintaining the Supervisory Board attendance register, counting the votes and drawing up the minutes of the meeting under the responsibility of the Chairman of the Board.

Article 4. Convening the Supervisory Board

4.1 Convocation

a) Frequency

The Supervisory Board shall meet as often as the Company's interests require it to do so, when convened by the Chairman, and at least once each quarter to review the Executive Board's report.

However, the Chairman must convene the Supervisory Board at a date that cannot be later than within 15 days, when a member of the Board or at least one-third of the members of the Supervisory Board presents them with a reasoned request to this effect. If the request is not acted upon, its authors may convene the Board themselves, and specify the agenda for the meeting.

Pursuant to Article 13 of order No. 2014-948 of 20 August 2014, meetings of the Supervisory Board may be convened by over one-third of the members of the Supervisory Board on an agenda and at a location established in the notice of meeting.

b) Form and content

The participants are invited to attend Supervisory Board meetings by any means, and for this purpose shall provide their contact details to the Secretary of the Board. The notice of meeting shall be issued by the Chairman, or the Vice-Chairman where applicable in the absence of the Chairman, except in the cases provided above in Paragraphs 2 and 3 of Article 4.1 (a). It may be communicated by the Secretariat of the Board.

The notice of meeting shall indicate the date, venue and agenda of the meeting, and, where applicable, the necessary information to allow members of the Board to take part in meetings by the means referred to in Article 5.4 below. This latter information may, however, be specified subsequently by the author of the notice of meeting with the same formal requirements as the notice of meeting itself.

meetings of the Supervisory Board shall take place either at the registered office or at any other location indicated in the notice of meeting.

c) Provisional schedule

At the last Board meeting for the financial year, at the latest, the Supervisory Board shall establish a provisional schedule of its upcoming meetings. This provisional schedule shall be updated by the Board during the year.

4.2 Deadlines for meeting notices

A period of at least ten days must be observed between the date of sending the notice and the date on which the Supervisory Board meeting covered by said notice takes place.

(1) Pursuant to Article L. 2323-64 of the French Labour Code.

(2) Pursuant to Article D. 615-4 of the French Monetary and Financial Code.

However, the Chairman is authorised to add to or amend the agenda of a meeting convened previously by sending another notice before the planned date of the meeting, specifying the agenda thus added to or amended and giving a reminder of the date and venue of the meeting.

The Chairman may also, in case of emergency, convene an extraordinary meeting of the Supervisory Board on a defined agenda. In this case, the minimum period of ten days does not apply.

4.3 Documents and information

The necessary and relevant internal documents to enable the participants to give an informed decision regarding the items on the agenda shall be sent by mail or by secure electronic media, if possible at the same time as the notice of meeting and except in exceptional cases at least six days before the date of the Board meeting.

The documents communicated to the participants shall be treated as strictly confidential, in the terms specified in Article 9 below, unless otherwise decided at the Supervisory Board meeting.

The minutes of the previous meeting shall be approved at the next Supervisory Board meeting.

Article 5. Proceedings of Supervisory Board meetings

5.1 Attendance register

An attendance register is maintained, which is initialised at the start of the meeting by the Supervisory Board members attending either in their personal capacity or in their capacity as proxy.

When persons participate in the Board meeting by the means referred to in Article 5.4 below, the attendance register shall be initialised in their name by the meeting Chairman with an indication of the means of participation of the persons concerned.

5.2 Quorum for the Board meeting and verification of the quorum

- a) The quorum for the Supervisory Board meeting is reached when at least half the Board members are effectively present. Members of the Supervisory Board who take part in the Supervisory Board meeting by the means referred to in Article 5.4 below shall be deemed present for the purpose of calculating the quorum.

The quorum shall be recorded by the Secretary at the start of each meeting. His observation shall be recorded in the minutes of the meeting.

- b) When the Supervisory Board deliberates on an agreement that is within the scope of application of Articles L. 225-86 et seq. of the French Commercial Code (so-called regulated agreements), the Board members having an interest in the agreement are not counted for calculating the quorum. The Supervisory Board can in that case conduct business only if half the Board members not having an interest in the agreement are effectively present.

5.3 Powers

A member of the Supervisory Board may give another member of the Board a mandate to represent him or her at any Supervisory Board meeting by letter, email, or fax.

Each member of the Supervisory Board may only have one proxy for a given meeting.

5.4 Deliberations

Under the conditions and subject to the exceptions provided for in law, the Supervisory Board's resolutions are voted (i) either through the actual presence of the members at the meeting venue, (ii) or by videoconferencing or other means of telecommunication, or any other means authorised by the regulations, that enable the members to be identified under the conditions set by the laws and regulations in force except for the examination and review of the annual and consolidated financial statements, or (iii) by a combination of these means.

If videoconferencing or telecommunications facilities are provided to enable all or part of the members to take part in the meeting, the Chairman of the Board shall ensure that the facilities thus implemented by the Company offer technical characteristics ensuring continuous effective participation and retransmission of the discussions. Otherwise, the Board members in question cannot be considered present and, given the lack of a quorum, the meeting must be postponed.

It is the responsibility of each Board member or each participant to be equipped to take part remotely in the meetings via these facilities.

5.5 Voting procedures

Voting in the Supervisory Board takes place by a show of hands.

The Supervisory Board's decisions are taken by majority vote of the Board members present or represented; each member has one vote. In the event of a split vote, the meeting Chairman shall have the casting vote.

Members of the Board who take part in the Supervisory Board meeting by the means referred to in Article 5.4 above shall be deemed present for the purpose of calculating the majority.

When voting on a so-called regulated agreement as referred to in Article L. 225-86 of the French Commercial Code, those persons having an interest in the agreement shall declare themselves before voting on the decision and may not take part in the vote in accordance with the current legal provisions. For this ballot, the majority is calculated taking into account only those members with voting rights.

Any member of the Supervisory Board who leaves a Board meeting when it is in progress is deemed not to take part in voting on the resolutions put to the vote in his absence, unless he has given an explicit proxy in writing to another member of the Board before leaving. This departure must be taken into account with regard to the quorum needed for the Board to be able to duly conduct business.

Article 6. Minutes

6.1 Contents of the minutes

The minutes of each meeting of the Supervisory Board shall mention the date, time and place of the meeting and state the meeting agenda. It shall indicate the names of the Board members, specifying whether they are present or participating in the meeting by the means referred to in Article 5.4 above, represented or absent and, where applicable, the names and job titles or positions of the other participants in the meeting. The minutes shall also mention, where applicable, any technical incident relating to videoconferencing, when said incident has disturbed the meeting proceedings.

The minutes report on the substantial presentations of each of the members of the Board and the other participants. They contain the full text of the resolutions submitted to the vote of the members of the Board and lists the departures previously stated in Article 5.5 paragraph 5. In the event of a vote on the text of a resolution, the minutes will report on the outcome of the vote, detailing the number of votes for, against and the abstentions and, if applicable, the opinion of the persons attending the Board meeting with a consultative vote. They specify whether the resolution has been passed or not as a result of this vote.

Where applicable, the minutes record statements, reservations or specific opinions that any Board member expressed the wish to see mentioned in the minutes during the meeting.

6.2 Procedure for drawing up the minutes

As soon as possible following each meeting of the Supervisory Board, draft minutes containing all the information referred to in Article 6.1 above shall be drawn up by the Secretary of the Board.

This draft shall be forwarded to each Board member with the information and documents mentioned in Article 4.3 above relating to the next meeting.

The Board members may express their comments at the Supervisory Board meeting, which establishes the final terms of the minutes allowing them to be re-transcribed on the legal register.

This formal approval does not prevent the possibility of establishing excerpts of the minutes necessary for the accomplishment of legal formalities between two meetings of the Supervisory Board.

6.3 Format of the minutes

The minutes are typewritten and paginated with continuous page numbers in a register kept by the Secretary of the Supervisory Board and stored by the Board at the Company's registered office.

After approval by the Board, the minutes shall be signed by the meeting Chairman and at least one member of the Board present. In the event that the Chairman of the meeting is unable to attend, they shall be signed by two members of the Board. The minutes shall be circulated to all members of the Supervisory Board.

6.4 Copies or excerpts produced in evidence or made public

Copies or excerpts of minutes to be produced in evidence or made public shall be certified in compliance with the original by the Chairman of the Supervisory Board, the Vice-Chairman of the Supervisory Board, a member of the Executive Board or by the Secretary.

6.5 Confidentiality of the debates and the minutes

Minutes and all excerpts shall be confidential, under the terms specified in Article 8 below, except when their publication is required by law or by binding regulations, or except if the Supervisory Board decides otherwise.

The same holds true for any position expressed during Supervisory Board meetings by any of its members or participants. By derogation, each member of the Board may freely state their personal position

on the subjects discussed by the Board, except if such statements or positions mention information that is confidential.

Article 7. Information conveyed to the Supervisory Board and committees

7.1 - Each member of the Supervisory Board or committees may request any information necessary to accomplish their remit from the Executive Board.

7.2 - Requests for information shall be sent to the Executive Board by the Chairman of the Supervisory Board, or, if the Chairman is absent or unavailable, by the Vice-Chairman, or by the Chairman of the committee in question. The Executive Board shall send the information and documents that it has obtained to the Board or committee making the request by return mail.

7.3 - For this purpose, on appointment, the members of the Executive Board shall become acquainted with the respective powers of the committees and agree to forward to the Supervisory Board, via its Chairman, the documents needed for its remit and to accept any request for information or the production of documents.

Article 8. Resources made available to the members of the Supervisory Board

8.1 - The members of the Supervisory Board must have the necessary means to perform their mandate.

8.2 - The Company shall provide to the members of the Supervisory Board the ability to send and receive all correspondence related to their remit, with a guarantee of confidentiality.

8.3 - Every member of the Supervisory Board elected by the personnel shall have, for this purpose, a time credit of 35 hours per month to perform their mandate.

Article 9. Obligation of confidentiality

9.1 - Every member of the Supervisory Board and any person taking part in a meeting of the Supervisory Board is required to observe the utmost confidentiality with regard to the documents and information of which they have knowledge when performing their duties and may not disclose any of it, in any way, to outsiders.

9.2 - In particular, except for documents for which the Chairman explicitly authorises disclosure to third parties, the documents and exhibits forwarded to Board members before Supervisory Board meetings, or during or as a consequence of said meetings (or outside of any meeting, within the more general framework of the Board members' performance of their mandate), are of a strictly confidential nature and may not be disclosed to third parties in any way.

9.3 - If necessary, these documents may be marked as a reminder of their confidential nature. The absence of such an indication in no case amounts to a derogation from the rule of confidentiality.

9.4 - Regarding confidential operations, the Chairman is not required to provide written information to the Board members. He may thus choose to communicate the information in question orally at Board meetings intended to provide knowledge of these plans. Board members and participants are in that case required to preserve the

oral nature of the information thus transmitted, and may not report it to third parties or disclose it.

9.5 - The confidentiality rules summarised in the internal rules apply in the same terms to the Board members and to any person called upon to take part in the work of the Supervisory Board, in any capacity.

9.6 - Failure to comply with the obligation of confidentiality mentioned in this article exposes the faulty Board member or participant to a civil suit for damages brought by the Company, without prejudice to any other legal action which could also be considered.

Article 10. Liability of Supervisory Board members

10.1 - The Supervisory Board members are liable, under civil and penal law, for the faults they commit when performing their mandate under the conditions set by the current legislation.

10.2 - The employee representative members of the Supervisory Board, elected under order No. 2014-948 of 20 August 2014, may not under any circumstances be declared liable jointly and severally with the members of the Supervisory Board who represent the shareholders. Their liability shall be assessed paying due regard to the fact that their tenure of office is unpaid.

Article 11. Remuneration of Supervisory Board members – Reimbursement of expenses

11.1 - The General Meeting that approves the annual financial statements may determine a total amount of attendance fees which may be awarded to Board members for their duties performed in the current financial year and in subsequent financial years, until a further resolution.

The Supervisory Board distributes this amount among the Board members except for the members representing the employees, who

perform their duties on a non-remunerated basis, in accordance with law and regulations in force.

11.2 - The Board members representing the employees and those representing the shareholders are entitled, upon presentation of substantiating documents, to the reimbursement of travel and travel-related expenses they have reasonably paid to perform their duties.

Article 12. Date of adoption and amendment of the Internal Rules

12.1 - The Internal Rules came into effect on 25 January 2006. They were revised by the Supervisory Board on 29 March 2007, 16 December 2014, 19 February 2016, 15 April 2016 and 25 May 2016.

12.2 - Any amendment of the Supervisory Board's Internal Rules is adopted by a majority vote of the Board members present or represented, under the conditions summarised above.

Article 13. Communication of the Internal Rules

13.1 - The texts of these Internal Rules and the internal rules of the committees, together with the Board Members' Charter, appended to the Internal Rules to which they must subscribe by signing the deed of membership attached in appendix, shall, notably, be communicated to every member of the Supervisory Board at the time of their appointment.

13.2 - The text of these regulations is also communicated to the members of the Executive Board when they are appointed.

13.3 - The members of the Supervisory Board and/or the Executive Board may also consult them at any time by contacting the Secretary of the Supervisory Board.

13.4 - At each meeting of the Supervisory Board, the text of the Internal Rules is made available to anyone taking part in the meeting, particularly the invited persons mentioned in Article 3.1 above, to whom the Internal Rules are applicable.

STATUTORY AUDITORS' SPECIAL REPORT ON RELATED-PARTY AGREEMENTS AND COMMITMENTS

10

GENERAL MEETING TO APPROVE THE FINANCIAL STATEMENTS FOR THE YEAR ENDING 31 DECEMBER 2017

La Banque Postale SA

115, rue de Sèvres 75275 PARIS Cedex 06

To the Shareholders

In our capacity as your Company's statutory auditors, we hereby present our report on related-party agreements and commitments.

Our role is to inform you, based on the information that has been provided to us, of the features and main conditions of the agreements and commitments that have been disclosed to us, or of which we may have become aware during our assignment, and of the reasons underlying their interest to the Company. It is not incumbent upon us to issue an opinion on their usefulness and legitimacy, or to determine whether other agreements and commitments exist. Your role, in accordance with the terms of Article R. 225-58 of the French Commercial Code, is to assess the Company's interest in entering into these agreements and commitments, with a view to their approval.

Furthermore, it is our role, where applicable, to disclose the information specified in Article R. 225-58 of the French Commercial Code on the execution of the agreements and commitments that have already been approved by the General Meeting during the past financial year.

We have performed the checks that we considered necessary, in light of the professional standards of the French National Institute of Statutory Auditors relating to this assignment. These checks consisted in ensuring that the information provided to us was consistent with the background material from which it was derived.

Agreements and commitments submitted for the approval of the General Meeting

Agreements and commitments not previously authorised

Pursuant to Articles L. 225-90 and L. 823-12 of the French Commercial Code, we hereby inform you that the following agreement has not been the subject of prior authorisation by your Supervisory Board.

It is our responsibility to communicate to you the circumstances in which the authorisation procedure was not followed.

Amendment no. 1 to the framework memorandum of understanding between La Banque Postale, Malakoff Médéric, La Mutuelle Générale and La Banque Postale Assurance Santé in relation to health insurance.

Your Supervisory Board, at its meeting of 20 January 2015, authorised the conclusion of a framework memorandum of understanding between La Banque Postale, acting jointly with SF2, Malakoff Médéric (MM), La Mutuelle Générale (LMG) and La Banque Postale Assurance Santé (LBPAS), providing for a health insurance agreement.

An amendment to this protocol was signed on 17 January 2017. It provides for an exception to the exclusivity commitments defined by the framework memorandum of understanding to authorise La Banque Postale to:

- ▶ market group health insurance contracts developed by MM Prévoyance and Quatrem and,
- ▶ put its client companies in contact with MM Prévoyance and Quatrem for the marketing of MM health contracts insured by Malakoff Médéric Prévoyance and Quatrem.

By simple omission, the amendment did not follow the procedure applicable to related-party agreements, although Rémy Weber, Chairman of the Executive Board of La Banque Postale and director of La Banque Postale Assurance Santé, is concerned.

We inform you that, at its meeting of 13 December 2017, your Supervisory Board decided to authorise this amendment.

Agreements and commitments authorised since the closing

We have been advised of the following agreements and commitments, authorised since the end of the past financial year, which have been subject to the prior authorisation of your Supervisory Board.

La Banque Postale's commitments granting compensation to Rémy Weber in the event of termination of his term of office

Subject to the approval of the Minister of the Economy, your Supervisory Board, at its meeting of 27 February 2018, authorised severance compensation to be paid to the Chairman of the Executive Board in the event of termination of his duties.

This commitment renews La Banque Postale's commitment to Rémy Weber regarding the awarding of severance in the event of termination of his term of office authorised by your Supervisory Board on 15 October 2013 as described in the section "Agreements and commitments approved in previous years".

La Banque Postale's commitment granting compensation to Marc Batave in the event of termination of his term of office

Subject to the approval of the Minister of the Economy, your Supervisory Board, at its meeting of 27 February 2018, authorised severance compensation to be paid to the Chairman of the Executive Board in the event of termination of his duties.

This commitment renews La Banque Postale's commitment to Marc Batave regarding the awarding of severance in the event of termination of his term of office authorised by your Supervisory Board on 27 February 2013 then modified by the Supervisory Board of 31 July 2017 as described in the section "Agreements and commitments approved in previous years".

Agreements and commitments already approved by the General Meeting

Agreements and commitments approved during the previous financial years

Pursuant to Article R. 225-57 of the French Commercial Code, we have been informed that implementation of the following agreements and commitments, which had already been approved by the General Meeting in prior financial years, was ongoing during the financial year just ended.

Memorandum of understanding with CNP Assurances regarding life insurance, capitalisation of borrowers' insurance and pensions

Nature and purpose

The Supervisory Board meeting of 9 December 2015 authorised the renewal of the partnership with CNP Assurances and the conclusion of a distribution agreement concerning group credit insurance policies. A non-binding Preliminary Memorandum of Understanding was signed on 18 December 2015.

Terms and conditions

The purpose of the preliminary memorandum of understanding was to define the principles to be implemented within the framework of the negotiation of final contracts pertaining to the Draft Renewed Partnership Agreement, built around three major components:

- ▶ the renewal of the partnership agreement with CNP Assurances for a term of ten years, according to revised terms and conditions;
- ▶ the buyback of the entire equity interest held by CNP Assurances in La Banque Postale Prévoyance;
- ▶ the conclusion of a distribution contract with CNP Assurances on group credit insurance policies.

The general framework memorandum between CNP Assurances and your Company and its related agreements were signed on 25 March 2016.

Pursuant to the terms of these agreements, La Banque Postale:

- ▶ received commissions of €573 million for the distribution of insurance policies from CNP Assurances in 2017;
- ▶ recorded income of €1.477 billion for the additional contribution commission provided by the agreement. This commission, in the amount of €75 million, is based on a forward-looking benchmark business plan agreed between the parties for a period running until the agreement expires (2025), which may be adjusted according to the business plan's execution.

The persons concerned by this agreement are the following: Philippe Wahl, Chairman of the Supervisory Board of La Banque Postale, director of CNP Assurances; and Rémy Weber, Chairman of La Banque Postale's Executive Board, director of CNP Assurances.

Framework memorandum of understanding between La Banque Postale, Malakoff Médéric, La Mutuelle Générale and La Banque Postale Assurance Santé in relation to health insurance.

Nature and purpose

Your Supervisory Board, at its meeting of 20 January 2015, authorised the conclusion of a framework memorandum of understanding between La Banque Postale, acting jointly with SF2, Malakoff Médéric (MM), La Mutuelle Générale (LMG) and La Banque Postale Assurance Santé (LBPAS), providing for a health insurance agreement.

Terms and conditions

The framework memorandum of understanding was signed on 3 April 2015, as well as the Health Insurance Agreement, which was entered into between La Banque Postale, SF2, LMG, Malakoff Médéric Assurance (MMAss), Malakoff Médéric Santé (MMS) and LBPAS.

The Health Insurance Agreement provides that LMG and MMAss shall hold together 49% of the share capital and of the voting rights of LBPAS and that La Banque Postale shall hold 51%.

This agreement defines (i) the objectives and scope of the partnership agreement over all of the health insurance operations, (ii) the operational and commercial model for the Small Group Offer (Offre Petites Collectives), (iii) the terms for the implementation of Extra Opportunities (Opportunités Additionnelles), and (iv) the financial elements over all of the health insurance operations.

The term of the agreement is for 15 years, renewable each 5-year period.

According to the terms of this agreement, LBPAS has exclusive rights to supply products developed by the new group and La Banque Postale is the exclusive distributor for LBPAS on its distribution channels, in metropolitan France and in the overseas departments, without prejudice to the possibility that LBPAS may distribute the exclusive products through other channels authorised by La Banque Postale. Also, LBPAS may distribute the exclusive products through Remote Health Insurance Platforms.

The terms relating to the governance of LBPAS and the rules for the transfer of LBPAS securities are feature in a new shareholders' agreement signed by La Banque Postale, SF2, LMG, and MMAss in the presence of LBPAS (the "LBPAS agreement") which will take effect as from the Completion Date, replacing the Initial Agreement which shall terminate on the aforesaid date.

An amendment to this protocol was concluded on 17 January 2017, as described in the section "Agreements and commitments submitted for the approval of the general meeting".

Pursuant to this framework memorandum of understanding and its first amendment, La Banque Postale has received commissions related to the distribution of this new group's products, representing €15.9 million for the financial year ending 31 December 2017.

The person concerned with this agreement is Rémy Weber, Chairman of La Banque Postale's Executive Board, and Director of La Banque Postale Assurance Santé.

La Banque Postale's commitments granting compensation to Rémy Weber in the event of termination of his term of office

Nature and purpose

Subject to the approval of the Minister of the Economy, your Supervisory Board, at its meeting of 15 October 2013, authorised severance compensation to be paid to the Chairman of the Executive Board in the event of termination of his duties.

Managers concerned

Rémy Weber, Chairman of La Banque Postale's Executive Board;

Terms and conditions

Subject to the approval of the Minister of the Economy and fulfilment of the performance condition set out below, in accordance with and under the conditions provided for in Article L. 225-90-1 of the French Commercial Code, compensation will be paid to Rémy Weber, Chairman of the Executive Board, except in the case of gross misconduct or gross negligence having a material impact on the Company's financial position, in the following cases:

- ▶ dismissal during his term of office;
- ▶ merger, change of control or change of strategy leading to his departure.

Payment of this compensation shall be subject to fulfilment of a performance condition, according to which a success rate of 80 % or above in meeting the annual targets set by the Executive Board, as defined by the Supervisory Board, for two out of the last three full financial years.

The severance compensation shall be equal to a maximum of twice his fixed annual remuneration as on the day of termination of his duties.

This agreement was renewed by your Supervisory Board on 27 February 2018 as described in the section entitled "Agreements and commitments authorised since the closing".

This commitment had no impact on the financial statements for financial year 2017.

La Banque Postale's commitment granting compensation to Marc Batave in the event of termination of his term of office

Nature and purpose

Your Supervisory Board, at its meeting of 31 July 2013, amended the clause granting compensation to Executive Board members in the event of termination of their term of office.

Subject to the approval of the French Government Shareholding Agency (APE), the Supervisory Board meeting of 27 February 2013 authorised severance compensation payments to be made to Executive Board members in the event of termination of their duties.

Terms and conditions

The initial commitment stipulated that severance compensation would be made in the event of dismissal during their term of office and in the event of a merger, change of control or change of strategy resulting in the departure of the Executive Board member, except in cases of gross misconduct or serious professional misconduct having a material impact on the Company's financial position. It also stipulated that where a director's term of office is not renewed, the decision of whether to make a compensation payment would be at the Supervisory Board's discretion, on the basis of advice received from the Appointments and Compensation Committee.

During the Supervisory Board meeting of 31 July 2013, the APE ruled out making severance compensation payments in case of non-renewal of the office term. The other terms and conditions authorised by the Supervisory Board meeting of 27 February 2013 remained unchanged.

Compensation is due subject to fulfilling a performance condition according to which a success rate of 80% or above in meeting the annual targets set by the Executive Board for two out of the last three full financial years.

The severance compensation due to Mr Marc Batave will be equal to the aggregate amount of the fixed portion of his annual remuneration for the last year, on the day of termination of his duties, and the average variable portion of his annual remuneration for the last three years.

Should an executive rejoin the public sector within two years of his or her forced departure from the Company, the compensation will be reduced commensurate with the remuneration received at that time (including bonuses).

Mr Marc Batave will be entitled to an unemployment insurance policy taken out by La Banque Postale and providing compensation capped at one year's remuneration over the chosen compensation period. This insurance policy will replace the severance compensation listed above on completion of the waiting period.

This agreement was renewed by your Supervisory Board on 27 February 2018 as described in the section entitled "Agreements and commitments authorised since the closing". This commitment had no impact on the financial statements for financial year 2017.

The statutory auditors

Neuilly-sur-Seine, 09 March 2018

PricewaterhouseCoopers Audit

Jacques Lévi
Partner

Paris la Défense, 09 March 2018

KPMG S.A.

Marie-Christine Jolys
Partner

PERSON RESPONSIBLE FOR THE REGISTRATION DOCUMENT

11

Person responsible for the Registration Document

Rémy Weber
Chairman of the Executive Board
La Banque Postale

Statement by the person responsible for the Registration Document

I hereby certify that I have taken all reasonable steps to ensure that the information contained in this Registration Document is, to my knowledge, consistent with reality, and does not contain any omission likely to affect its import.

I certify that, to my knowledge, the financial statements have been drawn up in accordance with applicable accounting standards, and give a true and fair view of the assets, financial position and results of the Company and of all companies included in the scope of consolidation, and that the management report (set out in the table from the annual financial report featured of this Registration Document) provides an accurate picture of the business, results and financial position of the Company and of all companies included in the scope of consolidation, together with a description of the main risks and uncertainties that they face.

I have received a letter from the statutory auditors stating that they have completed their assignment, and in which they state that they have checked the information relating to the financial position and financial statements provided in this document, and have read this document from end to end.

Paris, 16 March 2018

Rémy Weber
Chairman of the Executive Board

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12.1 REGISTRATION DOCUMENT CORRELATION TABLE

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12.2 ANNUAL FINANCIAL REPORT CORRELATION TABLE

Pursuant to Article 222-3 of the French Financial Markets Authority General Regulation (Autorité des marchés financiers, AMF), the annual financial report mentioned in Section I of Article L. 451-1-2 of the French Monetary and Financial Code includes the items described in the following pages of the Registration Document:

	Page No.
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In addition, and pursuant to Article 28 of EC Regulation 809/2004 of 29 April 2004, the following documents have been included in this Registration Document for reference purposes:

- ▶ the separate and consolidated financial statements for the 2016 financial year, together with the statutory auditors' reports on the separate and consolidated financial statements, which are shown on pages 152-202 and 202-236, respectively, of the 2016 Registration Document, filed with the AMF on 14 March 2017 under No. D.17-0164;
- ▶ the separate and consolidated financial statements for the 2015 financial year, together with the statutory auditors' reports on the separate and consolidated financial statements, which are shown on pages 172-173 and 213-214, respectively, of the 2015 Registration Document, filed with the AMF on 16 March 2016 under No. D.16-0147;

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